

Listing Memorandum



US\$750,000,000 8.500% Senior Secured Notes due 2032

We are offering US\$750,000,000 aggregate principal amount of 8.500% senior secured notes due 2032. The notes will mature on October 28, 2032. Interest will accrue from October 29, 2025, and will be payable semi-annually, in arrears on April 28 and October 28 of each year, commencing on April 28, 2026.

The notes will be guaranteed on a senior basis by the subsidiary guarantors described in “Description of Notes” (the “Subsidiary Guarantors”) and secured by first priority liens on the Collateral (as defined in “Description of Notes”). The notes will rank equal in right of payment with all other existing and future senior indebtedness of the Company, and the guarantees will rank equal in right of payment with all other existing and future indebtedness of the Subsidiary Guarantors. See “Description of Notes—General.” The notes and the guarantees will be senior obligations of the Company and the Subsidiary Guarantors, respectively, secured by first priority liens on the Collateral (as defined herein), subject to permitted liens and certain other exceptions as described under “Description of Notes—Collateral.” The notes and the guarantees will be effectively (i) *pari passu* with all existing and future indebtedness permitted to be secured by a first-priority lien on the Collateral, subject to permitted collateral liens and existing liens and rights on the Collateral, (ii) senior in right of payment to all existing and future subordinated indebtedness of the Company and the Subsidiary Guarantors, and (iii) senior to all other existing and future senior indebtedness of the Company and the Subsidiary Guarantors that is unsecured or that is secured by junior liens or liens that are not on the Collateral, in each case to the extent of the value of the Collateral. The notes and the guarantees will be effectively subordinated to (i) the extent of the value of the collateral securing (x) all existing and future secured indebtedness of the Company to the extent such security interest does not also secure the notes, and (y) all existing and future secured indebtedness of the Subsidiary Guarantors to the extent such security interest does not also secure the guarantees, (ii) all additional existing and future indebtedness of the Company’s subsidiaries that does not provide a guarantee, and (iii) obligations of the Company or the Subsidiary Guarantors preferred by statute or by operation of law.

We may redeem the notes in whole or in part at any time on or after October 28, 2028 at a redemption price specified in this offering memorandum, plus accrued and unpaid interest, if any, to the date of redemption. Before October 28, 2028, we may redeem some or all of the notes at a redemption price equal to 100% of the principal amount of the notes redeemed plus a “make-whole” premium, plus accrued and unpaid interest, in any, to the date of redemption. Upon the occurrence of specified events relating to tax law as a result of which we will be obligated to pay additional interest amounts with respect to the notes, the notes will be redeemable at a price equal to 100% of the principal amount of the notes, plus accrued and unpaid interest, if any, to the date of redemption. We may also redeem up to 35% of the aggregate principal amount of the notes using the proceeds of certain equity offerings completed on or before October 28, 2028 at the redemption price set out in this offering memorandum, plus accrued and unpaid interest, if any, to the date of redemption. If we experience specific kinds of changes in control, or, subject to certain conditions, we sell certain of our assets, we must offer to purchase the notes. See “Risk Factors” beginning on page 16 for a discussion of certain risks that you should consider in connection with an investment in the notes.

Issue price: 100.000% plus accrued interest, if any, from October 29, 2025.

The notes have not been registered under the Securities Act of 1933, as amended (the “Securities Act”), or the securities laws of any jurisdiction. We are offering the notes only to qualified institutional buyers under Rule 144A under the Securities Act and non-U.S. persons outside the United States in reliance on Regulation S of the Securities Act. For a description of certain restrictions on transfer of the notes, see “Transfer Restrictions.”

Application has been made to list the notes on the Official List of the Luxembourg Stock Exchange and to admit the notes to trading on the Euro MTF Market of the Luxembourg Stock Exchange. Our LEI code is 549300XKJ91C4SZLG750. This offering memorandum constitutes a prospectus for the purposes of the Luxembourg law on prospectuses for securities, dated July 16, 2019. This offering memorandum constitutes a prospectus for the purpose of Part IV of the Luxembourg law on prospectuses for securities, dated July 16, 2019. Currently, there is no public market for the notes.

None of the U.S. Securities and Exchange Commission, any U.S. state securities commission or any securities regulatory authority has approved or disapproved of these securities or determined whether this offering memorandum is accurate or complete. Any representation to the contrary is a criminal offense.

The notes and the information contained in this offering memorandum have not been, and will not be, registered with or approved by the Peruvian Superintendency of the Securities Market (*Superintendencia del Mercado de Valores*, or “SMV”) or the Lima Stock Exchange (*Bolsa de Valores de Lima*, or the “BVL”). Accordingly, the notes cannot be offered or sold in the Republic of Peru (“Peru”), except if such offering is considered a private offering under the securities laws and regulations of Peru. The Peruvian Securities Market Law, approved by Legislative Decree No. 861, whose sole text was enacted by Supreme Decree No. 020-2023-EF, as amended, establishes, among other things, that any particular offer may qualify as private if it is directed exclusively to institutional investors. The notes may not be offered or sold in Peru or in any other jurisdiction except in compliance with the securities laws thereof.

Delivery of the notes was made to investors in book-entry form through The Depository Trust Company (“DTC”) for the accounts of its direct and indirect participants, including Euroclear Bank S.A.N.V., as operator of the Euroclear System (“Euroclear”), and Clearstream Banking, *société anonyme* (“Clearstream”), on October 29, 2025.

Global Coordinators

BofA Securities

BTG Pactual

Goldman Sachs & Co. LLC

Joint Book-Runner

Natixis

November 14, 2025

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Unless otherwise indicated or the context otherwise requires, all references in this offering memorandum to “Volcan,” the “issuer,” “Company,” “we,” “us” and words of similar effect refer to Volcan Compañía Minera S.A.A. with its consolidated subsidiaries unless the context otherwise requires.

For the sale of the notes in the United States, we are relying upon an exemption from registration under the Securities Act for an offer and sale of securities that does not involve a public offering. By purchasing the notes, you will be deemed to have made certain acknowledgments, representations and agreements as set forth under “Transfer Restrictions.” We are not, and the initial purchasers are not, making an offer to sell the notes in any jurisdiction except where such an offer or sale is permitted. You should understand that you will be required to bear the financial risks of your investment for an indefinite period of time.

We have submitted this offering memorandum solely to a limited number of qualified institutional buyers and to persons other than U.S. persons so they can consider a purchase of the notes. We have not authorized the use of this offering memorandum for any other purpose. By accepting delivery of this offering memorandum, you agree to these restrictions. See “Transfer Restrictions.”

The market information in this offering memorandum has been obtained from publicly available sources deemed by us to be reliable. Such information has been accurately reproduced and as far as we are aware and are able to ascertain from information published by such sources, no facts have been omitted which would render the reproduced information inaccurate or misleading. We and the initial purchasers cannot assure you that such information provided to us is accurate or complete. This offering memorandum summarizes certain documents and other information, and we refer you to them for a more complete understanding of what we discuss in this offering memorandum. In making an investment decision, you must rely solely on your own examination of us and the terms of the offering and the notes, including the merits and risks involved.

We are not making any representation to any purchaser regarding the legality of an investment in the notes by such purchaser under any legal investment or similar laws or regulations. You should not consider any information in this offering memorandum to be legal, business, tax or other advice or recommendation with respect to any investment. You should consult your own counsel, accountant, business advisor and tax advisor for legal, tax, business and financial advice regarding any investment in the notes.

We are responsible for the information contained in this offering memorandum. We confirm that, after having made all reasonable inquiries, this offering memorandum contains all information with regard to us and the notes that is material to the offering and sale of the notes, that the information contained in this offering memorandum is true and accurate in all material respects and is not misleading and that there are no omissions of any facts from this offering memorandum which, by their absence herefrom, make this offering memorandum misleading. We have not, and the initial purchasers have not, authorized any person to provide you with different information or to make any representation not contained in this offering memorandum. You should assume that the information contained in this offering memorandum is accurate only as of the date on the front cover of this offering memorandum. Our business, financial condition, results of operations and prospects may have changed since that date.

By purchasing any of our notes, you will be deemed to have acknowledged that: (1) you have received a copy and have reviewed this offering memorandum; (2) you have had an opportunity to review all financial and other information considered by you to be necessary to make your investment decision and to verify the accuracy of, or to supplement, the information contained in this offering memorandum and have been offered the opportunity to ask us questions, and received answers, as you deemed necessary in connection with your investment decision; (3) you have not relied on the initial purchasers or any person affiliated with the initial purchasers in connection with your investigation of the accuracy of such information or your investment decision; (4) the initial purchasers are not responsible for, and are not making any representation to you concerning us, our future performance or the accuracy or completeness of this offering memorandum and they take no responsibility with respect to the information contained herein; and (5) no person has been authorized to give any information or to make any representation concerning us or the notes or the offer and sale of the notes, other than as contained in this offering memorandum.

You should contact the initial purchasers with any questions about this offering or if you require additional information to verify the information contained in this offering memorandum.

We reserve the right to withdraw this offering of the notes at any time, and we and the initial purchasers reserve the right to reject any commitment to subscribe for the notes in whole or in part and to allot to any prospective investor less than the full amount of notes sought by that investor. The initial purchasers and certain related entities may acquire for their own account a portion of the notes.

You must comply with all applicable laws and regulations in force in any jurisdiction in connection with the possession or distribution of this offering memorandum and the purchase, offer or sale of the notes and you must obtain any consent, approval or permission required by you for the purchase, offer or sale of the notes under the laws and regulations applicable to you in force in any jurisdiction to which you are subject or in which you make such purchase, offer or sale, and neither we nor the initial purchasers will have any responsibility therefor.

The distribution of this offering memorandum and the offering and sale of the notes in certain jurisdictions may be restricted by law. We and the initial purchasers require persons in possession of this offering memorandum to inform themselves about and to observe any such restrictions. This offering memorandum does not constitute an offer of, or an invitation to purchase, any of the notes in any jurisdiction in which such offer or invitation would be unlawful.

The contents of our website do not form part of this offering memorandum.

NOTICE TO CERTAIN INVESTORS

Notice to Investors within the United Kingdom

The notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the United Kingdom (“UK”). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client, as defined in point (8) of Article 2 of Regulation (EU) No 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 (“EUWA”); (ii) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000, as amended (“FSMA”) and any rules or regulations made under the FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA; or (iii) not a qualified investor as defined in Article 2 of Regulation (EU) 2017/1129 as it forms part of domestic law by virtue of the EUWA. Consequently no key information document required by Regulation (EU) No 1286/2014 as it forms part of domestic law by virtue of the EUWA (the “UK PRIIPs Regulation”) for offering or selling the notes or otherwise making them available to retail investors in the United Kingdom has been prepared and therefore offering or selling the notes or otherwise making them available to any retail investor in the United Kingdom may be unlawful under the UK PRIIPs Regulation.

Notice to Investors within the European Economic Area

The notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the European Economic Area (“EEA”). For these purposes, a retail investor means a person who is one (or more) of: (i) a retail client as defined in point (11) of Article 4(1) of Directive 2014/65/EU (as amended, “MiFID II”); or (ii) a customer within the meaning of Directive (EU) 2016/97 (as amended, the “Insurance Distribution Directive”), where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II; or (iii) not a qualified investor as defined in Regulation (EU) 2017/1129 (as amended, the “Prospectus Regulation”). Consequently no key information document required by Regulation (EU) No 1286/2014 (as amended, the “PRIIPs Regulation”) for offering or selling the notes or otherwise making them available to retail investors in the EEA has been prepared and therefore offering or selling the notes or otherwise making them available to any retail investor in the EEA may be unlawful under the PRIIPs Regulation.

ADDITIONAL INFORMATION

We have agreed that while any notes remain outstanding and are “restricted securities” as defined in Rule 144(a)(3) under the Securities Act, we will make available, upon request, to any holder or prospective

purchaser of notes the information required pursuant to Rule 144A(d)(4) under the Securities Act with respect to us during any period in which we are not subject to Section 13 or 15(d) of the Securities Exchange Act of 1934, as amended (the “Exchange Act”) or exempt by virtue of Rule 12g3 2(b) thereunder. Any such request should be directed to us at our principal office at Av. Manuel Olguín 373, Santiago de Surco, Lima, Peru.

We are a publicly held corporation (*sociedad anónima abierta*) incorporated in Peru. Our Class A voting shares and our Class B non-voting shares are registered with the Public Registry of the Securities Market (*Registro Público del Mercado de Valores*) of the SMV and listed on the Lima Stock Exchange (*Bolsa de Valores de Lima*). Accordingly, we are currently required to file certain information in Spanish with the SMV and the Lima Stock Exchange such as quarterly and annual reports and notices of material events (*hechos de importancia*). All such reports and notices are available at www.smv.gob.pe and www.bvl.com.pe. The documents filed with the SMV and the Lima Stock Exchange are not a part of this offering memorandum and are not incorporated by reference herein.

ENFORCEMENT OF JUDGMENTS

We are incorporated as a publicly held corporation (*sociedad anónima abierta*) under the laws of Peru. Substantially all of our directors and officers, as well as certain of the experts named herein, reside in Peru or elsewhere outside the United States and a substantial portion of their assets may be, and substantially all of our assets are, located in Peru or elsewhere outside the United States. As a result, it may not be possible for investors to effect service of process within the United States or elsewhere outside Peru upon us or upon any of our directors or officers or to enforce against such parties in courts outside Peru judgments predicated solely upon the civil liability provisions of the federal securities laws of the United States or other foreign regulations. In addition, there may be doubt as to whether the courts of Peru would enforce in all respects, to the same extent and in as timely a manner as a U.S. court or foreign court, an action predicated solely upon the civil liability provisions of the U.S. federal securities laws or other foreign regulations.

We have been advised by Payet, Rey, Cauvi, Pérez Abogados, our Peruvian counsel, that any final and conclusive judgment for a fixed and definitive sum obtained against us and/or any of the Subsidiary Guarantors in any foreign court having jurisdiction in respect of any suit, action or proceeding against us and/or any of the Subsidiary Guarantors for the enforcement of any of the obligations assumed under this offering memorandum or the notes would, upon request, be deemed valid and enforceable in Peru through an *exequatur* judiciary proceeding (which does not involve the reopening of the case or reexamination of the merits of the case), *provided* that: (a) there is in effect a treaty between the country where said foreign court sits and Peru regarding the recognition and enforcement of foreign judgments; or (b) in the absence of such a treaty, the original judgment is ratified by the Peruvian courts (*Cortes de la República del Perú*), *provided* that the following conditions and requirements are met:

- (i) the foreign judgment does not resolve matters under the exclusive jurisdiction of Peruvian courts (and the matters contemplated by this offering memorandum or the notes are not matters under the exclusive jurisdiction of Peruvian courts);
- (ii) the relevant foreign court had jurisdiction under its own conflicts of law rules and under general principles of international procedural jurisdiction;
- (iii) the defendant was served in accordance with the laws of the place where such proceeding took place, was granted a reasonable opportunity to appear before such foreign court, and was guaranteed due process rights;
- (iv) the foreign judgment has the status of *res judicata* in the jurisdiction of the court rendering such judgment;
- (v) there is no pending litigation in Peru between the same parties for the same dispute, which shall have been initiated before the commencement of the proceeding that concluded with the foreign judgment;
- (vi) the foreign judgment is not incompatible with another judgment that fulfills the requirements of recognition and enforceability established by Peruvian law unless such foreign judgment was rendered first;

- (vii) the foreign judgment is not contrary to public policy (*orden público*) or good morals (*buenas costumbres*) of Peru;
- (viii) it is not proven that the foreign court that rendered the foreign judgment denies enforcement of Peruvian judgments or engages in a review of the merits thereof;
- (ix) a copy of such judgment has been (a) in case of jurisdictions that are party to the 1961 Hague Convention Abolishing the Requirements of Legalization of Foreign Public Documents (“The Hague Apostille Convention”), duly apostilled by the competent authority of the jurisdiction of the issuing court, or (b) in case of jurisdictions that are not party to The Hague Apostille Convention, certified by Peruvian consular authorities and, in each case, is accompanied by a certified and officially translated copy of such judgment into Spanish by a Peruvian Certified translator; and
- (x) the applicable court taxes or fees have been paid.

We have no reason to believe that any of our obligations relating to the notes would be contrary to Peruvian public policy (*orden público*), good morals (*buenas costumbres*) and international treaties binding upon Peru or generally accepted principles of international law.

Some of our properties could be subject to the exemption set forth under Article No. 616 of the Peruvian Civil Procedure Code (Legislative Decree No. 768, whose sole unified text was approved through Ministerial Resolution No. 10-93-JUS) pursuant to which the property of any private entity assigned to render essential public services may not be subject to preliminary attachments (*medida cautelar*) that could affect the normal rendering of such services.

In the past, Peruvian courts have enforced judgments rendered in the United States based on legal principles of reciprocity and comity. However, the United States does not currently have a treaty with Peru providing for reciprocal recognition and enforcement of judgments in civil and commercial matters. Therefore, unless the above-mentioned requirements are satisfied, a final judgment for payment of money rendered by a federal or state court in the United States based on civil liability, whether or not predicated solely upon U.S. federal securities laws, may not be enforceable, either in whole or in part, in Peru. However, if the party in whose favor such unenforced final judgment was rendered brings a new suit in a competent court in Peru, such party may submit to the Peruvian court the final judgment rendered in the United States. Under such circumstances, a judgment by a federal or state court of the United States against us and/or of the Subsidiary Guarantors may be regarded by a Peruvian court only as evidence of the outcome of the dispute to which such judgment relates, and a Peruvian court may choose to re-hear the dispute. In addition, awards of punitive damages in actions brought in the United States or elsewhere are unenforceable in Peru.

CAUTIONARY STATEMENT REGARDING FORWARD-LOOKING STATEMENTS

This offering memorandum contains certain forward-looking statements within the meaning of Section 21E of the Exchange Act, and Section 27A of the Securities Act. Statements that do not relate strictly to historical or current facts are forward-looking and usually identified by the use of words such as “anticipate,” “estimate,” “forecasts,” “approximate,” “expect,” “project,” “intend,” “plan,” “believe,” “will,” “may” and other words of similar meaning in connection with any discussion of future operating or financial matters. Such statements are made in reliance upon the safe harbor provisions of the Private Securities Litigation Reform Act of 1995.

Without limiting the generality of the foregoing, forward-looking statements in this offering memorandum include statements regarding expected commencement dates of mining or metal production operations, projected quantities of future metal production, anticipated production rates, operating efficiencies, costs and expenditures, including taxes, as well as projected demand or supply for our products. Actual results could differ materially depending upon factors including the risks and uncertainties relating to general Peruvian and international economic and political conditions, the cyclical and volatile prices of the metals we produce, other commodities and supplies, including fuel and electricity, availability of materials, insurance coverage, equipment, required permits or approvals and financing, the occurrence of unusual weather or operating conditions, epidemics and pandemics and other health outbreaks, cyber-attacks and system integrity, lower than expected ore grades, water and geological problems, the

failure of equipment or processes to operate in accordance with specifications, failure to obtain financial assurance to meet closure and remediation obligations, labor relations, litigation and environmental risks, as well as political and economic risk associated with our operations. Results of operations are directly affected by metals prices, which can be volatile. These statements involve risks and uncertainties that could cause actual results to differ materially from projected results. Accordingly, investors should not place undue reliance on forward-looking statements as a prediction of actual results. We have based these forward-looking statements on current expectations and assumptions about future events. While we consider these expectations and assumptions to be reasonable, they are inherently subject to significant business, economic, competitive, regulatory and other risks and uncertainties, most of which are difficult to predict and many of which are beyond our control. The risks and uncertainties that may affect our operations, performance and results and the forward-looking statements include, but are not limited to, those set forth under “Risk Factors.”

PRESENTATION OF FINANCIAL INFORMATION

Currencies and Exchange Rates

Unless otherwise specified herein or the context otherwise requires, in this offering memorandum references to “Peru” are to the Republic of Peru; references to the “Peruvian government” are to the government of the Republic of Peru; references to the “United States” or the “U.S.” are to the United States of America; references to “US\$” and “U.S. dollars” are to United States dollars, and references to “S/” and “soles” are to Peruvian soles.

Unless otherwise indicated, translations of sol amounts into U.S. dollars in this offering memorandum have been made at the period-end rates of each corresponding period. For a complete description of the exchange rates between the sol and the U.S. dollar, see “Exchange Rates.” The Federal Reserve Bank of New York does not report a noon buying rate for soles.

Financial Statements

Our audited consolidated financial statements included in this offering memorandum fairly represent our financial position as of December 31, 2023 and 2024 and our results of operations for each of the two years ended December 31, 2023 and 2024. Our unaudited interim condensed consolidated financial statements included in this offering memorandum fairly represent our financial position as of June 30, 2025 and our results of operation for the six months ended June 30, 2024 and 2025.

Our consolidated financial statements as of and for the years ended December 31, 2023 and 2024 have been audited by Velásquez, Loli y Asociados S. Civil de R.L., member firm of Deloitte Touche Tohmatsu Limited. Our unaudited interim condensed consolidated financial statements as of June 30, 2025 and for the six-month period ended June 30, 2025 have been subject to the limited review by Gaveglío Aparicio y Asociados Sociedad Civil de Responsabilidad Limitada, a member firm of the PricewaterhouseCoopers International Limited network, which will also audit our consolidated financial statements as of and for the year ended December 31, 2025.

Special Note Regarding Non-IFRS Financial Measures

We prepare our financial statements in U.S. dollars and in conformity with IFRS Accounting Standards, as issued by the International Accounting Standards Board (“IASB”) (“IFRS”) and, in respect of our unaudited interim condensed consolidated financial statements as of June 30, 2025 and for the six months ended June 30, 2024 and 2025, in accordance with IAS 34 “Interim Financial Reporting,” the standard of IFRS applicable to the preparation of interim financial statements.

This offering memorandum presents our EBITDA and Adjusted EBITDA information for the convenience of investors. EBITDA and Adjusted EBITDA are presented because we deem them to better represent our operating and economic performance, although they are not IFRS-based measures of liquidity or performance. EBITDA is calculated as net (loss) profit for the year/period before income tax expense, financial expenses (income), depreciation and amortization during such period. Adjusted EBITDA is calculated by eliminating from the calculation of EBITDA: (a) any non-recurring items during such period, (b) gains or losses on the sale of property (other than the sale of property in the ordinary course of business) during such period, (c) any other non-cash items deducted from or included in the calculation of pre-tax net income for such period (other than items that will require

cash payments and for which an accrual or reserve has been, or is required by IFRS to be, made), and (d) foreign exchange gains or losses upon loans and foreign currency translation adjustments or monetary correction and bank charges. We believe that EBITDA and Adjusted EBITDA, while providing useful information, should not be considered in isolation or as a substitute for net income as an indicator of operating performance, or as an alternative to cash flow as a measure of liquidity. Additionally, our calculation of EBITDA and Adjusted EBITDA may be different from the calculation used by other companies and therefore, comparability may be affected.

As used in this offering memorandum, “cash cost” is on a by-product basis, is calculated in accordance with the methodology specified by Wood Mackenzie Limited (“Wood Mackenzie”) for determination of C1 cost (cash cost) and includes all direct cash costs of mining, including costs associated with extraction, leaching and further processing of metal ores, as well as labor, transportation and physical plant costs associated with those processes, and net of income from sales of by-products. Cash cost figures are given as nominal dollar amounts, usually expressed as dollars per metric tonne, and exclude provisions, amortization, depreciation and central office costs and purchases of concentrates. Cash cost is presented because it is a widely used measure of costs, although it is not an IFRS-based measure of cost. We believe that cash cost, while providing useful information, should not be considered in isolation or as a substitute for costs of sales, costs of selling and administrative expenses, or as an indicator of costs.

Rounding

Rounding adjustments have been made to figures included in this offering memorandum. Unless otherwise stated or the context otherwise requires, all financial information in this offering memorandum is rounded to the nearest one hundred thousand U.S. dollars, and percentage figures included in this offering memorandum are rounded to the nearest one-tenth of one percent. As a result, numerical figures shown as totals in some tables may not be an arithmetic aggregation of the figures that preceded them.

PRESENTATION OF COUNTRY, MARKET AND OTHER INFORMATION

This offering memorandum contains and refers to information and statistics regarding Peru and the markets of the metals we produce. These data were obtained from independent public sources, including publications and materials from participants in the industry such as Wood Mackenzie and GFMS Limited (“GFMS”), and from governmental entities such as the Peruvian Superintendency of Banking, Insurance and Private Pension Fund Administrators (*Superintendencia de Banca, Seguros y Administradoras Privadas de Fondos de Pensiones* or “SBS”), the Peruvian Central Bank (*Banco Central de Reserva del Perú* or “BCRP”), the Peruvian Ministry of Economy and Finance (*Ministerio de Economía y Finanzas* or “MEF”), the Peruvian Ministry of Energy and Mines (*Ministerio de Energía y Minas* or “MINEM”) and the Peruvian National Institute of Statistics and Information Processing (*Instituto Nacional de Estadística e Informática* or “INEI”). Some data are also based on our estimates, which are derived from our review of internal reports, as well as independent sources. Although we believe these external sources are reliable, neither we nor the initial purchasers have independently verified, and do not make any representation as to the accuracy and completeness of, the information contained therein.

All tonnage information in this offering memorandum is expressed in metric tonnes and all references to ounces are to troy ounces, in each case, unless otherwise specified.

MINERAL RESOURCE AND RESERVE DATA

In this offering memorandum, we present our holdings in, or rights to, mineral deposits in two categories: (i) resources and (ii) reserves, as is standard in the industry. Our ore reserve and mineral resource estimates are consistent with the application of internationally used classifications. The information on reserves and resources included in this offering memorandum has been estimated following the intent of international definitions as established by the Joint Ore Reserves Committee Code of Australia (“JORC”). Such information has been prepared under the general supervision of our chief geological engineer in consultation with recognized consultant geologists and engineers, acting as competent persons. This information is not, however, typically subject to review or audit by independent or external experts.

Mineral resources are ore bodies of economic value that have been identified and evaluated through exploration, reconnaissance and sampling. Resources are estimated based on geological knowledge about the

deposit, which is based on scientific concepts concerning the formation of minerals such as oxides, sulfides and mixed ores, as well as available knowledge concerning the geological continuity of the mineralized sectors. This is based on technical parameters, such as robustness of the genetic-geological model and its validation through drillings.

Resources may be subdivided further, based on the degree of knowledge that we have of their extent and composition. If our knowledge of the resources is extensive and direct, they are measured resources; if our knowledge of them is substantial but less extensive, they are indicated resources; and if our knowledge of them is only indirect, they are inferred resources. Measured resources are based on a dense grid of regularly distributed drillings, indicated resources are based on an intermediate grid of regularly distributed drillings, and inferred resources are based on irregularly, sometimes sporadically distributed drillings, where the continuity of ore grades is mostly supported by concepts on the theoretical continuity of geological events, such as lithology, alteration and mineralization. Resources that are either measured or indicated, as opposed to inferred, are sometimes together referred to as demonstrated resources. Resources of all three categories are sometimes referred to, together, as identified resources.

A “reserve” is that part of a mineral resource, which, at the time of determination, may be economically and legally extracted. Reserve estimates are the result of studies that take into account certain technical, economic and legal factors, which are not considered when estimating mineral resources. Reserve estimates are based on mineral resource estimates but also reflect beliefs, at the time of determination, regarding the amount of such resources that can be recovered and sold at prices in excess of the total costs associated with extraction and processing. Reserve estimates are adjusted as technical, economic and legal circumstances change. Reserves are typically first determined at the time of planning a full-scale mining project. As a result, reserves are not reported for certain of our mineral deposits. Reserves may be “proven” or “probable.” Our proven reserves are based on our measured mineral resources, while our probable reserves are based on our indicated mineral resources, in each case after undertaking studies regarding certain technical, economic and legal factors.

GLOSSARY OF CERTAIN MINING TERMS

Alteration: Changes in the chemical or mineralogical composition of a rock, generally produced by weathering or hydrothermal solution.

Assay: The chemical analysis of mineral samples to determine the metal content.

Breccia: A rock composed of broken fragments of minerals or rock cemented together that can be either similar to or different from the composition of the fragments.

Brownfield exploration: An exploration or development project near or within an existing operation, which can share infrastructure and management.

Concentration: The process by which crushed and ground ore is separated into metal concentrates and reject material through processes such as flotation.

Concentrator Plant: A plant where concentration takes place.

Crushing and Grinding: The processes by which ore is broken into small pieces to prepare it for further processing.

Deposit: A mineralized body that has been physically delineated by sufficient drilling, trenching, and/or underground work, and found to contain a sufficient average grade of metal or metals to warrant further exploration and/or development expenditures. Such a deposit does not qualify as a commercially mineable ore body or as containing reserves or ore, unless final legal, technical and economic factors are resolved.

Development: Activities related to the building of infrastructure and the stripping and opening of mineral deposits, commencing when economically recoverable reserves can reasonably be estimated to exist and generally continuing until commercial production begins.

Diamond Drilling: Diamond drilling is used in the mining industry to probe the contents of known ore deposits and potential sites. By withdrawing a small diameter core of rock from the ore deposit, geologists can analyze the core by chemical assay and conduct structural and mineralogical studies of the rock.

Exploration: Activities associated with ascertaining the existence, location, extent or quality of a mineral deposit.

Indicated Resources: Resources about which our knowledge is substantial but less extensive than our knowledge of measured resources.

Inferred Resources: Resources about which our knowledge is only indirect.

Leaching: The process of extracting a soluble metallic compound from an ore by selectively dissolving it in a suitable solvent.

Leaching plant: A plant where leaching takes place.

LME: London Metal Exchange.

Measured Resources: Resources about which our knowledge is both extensive and direct.

Mill: A machine used to grind ore to the consistency of powder or (in wet grinding) slurry.

Milling: A treatment process in which ore is ground into a fine powder.

Mine: Mines are the source of mineral-bearing material found near the surface or deep in the ground.

Mineral Deposit or Mineralized Material: A mineralized underground body that has been probed by a sufficient number of closely-spaced drill holes and/or underground sampling measurements to support an estimate of sufficient tonnage and ore grade to warrant further exploration or development. Mineral deposits or mineralized materials do not qualify as commercially minable ore reserves (*i.e.*, probable reserves or proven reserves), as prescribed under standards of the U.S. Bureau of Mines Circular 831 of 1980, until a final and comprehensive economic, technical, and legal feasibility study based upon the test results has been concluded.

Mineralization: A deposit of rock containing one or more minerals for which the economics of recovery have not yet been established.

Ore: A mineral or aggregate of minerals from which metal can be economically mined or extracted.

Ore Grade: The average amount of metal expressed as a percentage or in ounces per metric tonne.

Ore Deposit: Category including all resources and reserves.

Ounces: Unit of weight. A troy ounce equals 31,103 grams or 1.097 avoirdupois ounces.

Oxide Ore: Metalliferous minerals altered by weathering, surface waters, and their conversion, partly or wholly, into oxides, carbonates, or sulfates.

Porphyry: A variety of igneous rock consisting of large-grained crystals, such as feldspar or quartz, dispersed in a fine-grained groundmass.

Probable Reserves: Reserves about which our knowledge is substantial but less extensive than our knowledge of Proven Reserves.

Proven Reserves: Reserves about which our knowledge is both extensive and direct. Quantities of Proven Reserves are computed from dimensions revealed in outcrops, trenches, workings or drill holes, and grade and quality are computed from the results of detailed sampling. Sites for inspection, sampling and measurement of Proven Reserves are spaced so closely together, and the geologic character of the ore is so well defined, that its size, shape, depth and mineral content are well established.

Reclamation: The process of restoring mined land to a condition established by applicable law. Reclamation standards vary widely, but usually address issues of ground and surface water, topsoil, final slope gradients, overburden and revegetation.

Refining: The purification of crude metallic substances.

Reserves: Ore deposits for which we have established a business development plan.

Resources: Ore deposits for which we have not yet established a business development plan.

Sett: Settlement price.

SHG: Special High Grade.

Skarn: Metamorphic zone developed in the contact area around igneous rock intrusions when carbonate sedimentary rocks are invaded by large amounts of silicon, aluminum, iron and magnesium. The minerals commonly present in a skarn include iron oxides, calc-silicates, andradite and grossularite garnet, epidote and calcite. Many skarns also include ore minerals, several productive deposits of copper or other base metals have been found in and adjacent to skarns.

Tailings: Finely ground rock from which valuable minerals have been extracted by concentration.

Tonne: A unit of weight. One metric tonne equals 2,204.6 pounds. One short tonne equals 2,000 pounds. Unless otherwise specified in this document, “tonnes” refers to metric tonnes.

SUMMARY

This summary highlights information presented in greater detail elsewhere in this offering memorandum. This summary is not complete and does not contain all the information you should consider before investing in the notes. Please read the following summary together with the information set forth under the heading “Risk Factors” and in the financial statements and accompanying notes appearing elsewhere in this offering memorandum.

Overview

We are a diversified Peruvian mining company and a major global producer of zinc, silver and lead. We began operations in the early 1940s and have consistently ranked among the largest producers of these metals globally every year from 2006 to 2025, according to Wood Mackenzie and GFMS. We were the second-leading producer of zinc, first in lead and among the top three producers of silver in Peru up to June 2025, according to MINEM. We believe that the quality of our ore deposits, the efficiency of our operations and our economies of scale make us competitive among metal producers worldwide.

Our operations are divided into five main units that currently consist of five underground mines and two open pit mines in operation, five operating concentrator plants and one leaching plant extending across the Junín and Pasco departments in Peru, with San Cristobal - Carahuacra the largest mine accounting for approximately 32.5% of our 2024 tonnage production of zinc. Our mining units are all located between 170 and 295 kilometers from Lima, in the Central Andean region, a center of mining activity in Peru for centuries. As of December 31, 2024, our proven and probable reserves were 46.04 million tonnes and our measured, indicated and inferred resources were 908.2 million tonnes, which represented an average mine life of approximately 22 years at 2024 production levels (in each case, excluding the Cerro de Pasco Unit and the Óxidos de Pasco Unit, each as defined below). We have been granted mining concessions totaling approximately 294,000 hectares, of which: (i) 35.9% are currently being exploited, (ii) 3.8% are being explored, and (iii) approximately 60.3% remain unexploited and unexplored. In addition to our mining operations, we also own 868.5 hectares of land near the Chancay port that we expect to develop directly or through potential partnerships.

In the six-month period ended June 30, 2025, we had sales of US\$568.0 million, net profit of US\$72.5 million and Adjusted EBITDA of US\$223.3 million. In the first six months of 2025, zinc represented 51%, silver represented 33%, lead represented 11%, gold represented 3% and copper represented 3% of our sales by value. For the year ended December 31, 2024, we had sales of US\$960.5 million, net profit of US\$137.1 million and Adjusted EBITDA of US\$381.8 million. In 2024, zinc represented 50%, silver represented 33%, lead represented 10%, gold represented 3% and copper represented 4% of our sales by value. In 2024, concentrator plants treated 8.2 million dry tonnes of ore grading on average, 3.5% zinc, 1.9 silver ounces per tonne, 1.0% lead and 0.1% copper, and the Oxides leaching plant treated 0.9 million dry tonnes of ore grading 6.3 silver ounces per tonne and 0.5 gold grams per tonne. We are currently developing projects to expand our production such as Romina, Esperanza and Zoraida. See “*Business—Growth Projects.*” For a reconciliation of Adjusted EBITDA to profit for the period/year, see “*Selected Consolidated Financial Data.*”

Our main units are:

- **Yauli.** The Yauli unit (the “Yauli Unit”) is comprised mainly of three underground mines (San Cristobal - Carahuacra, Andaychagua and Ticlio) producing an aggregate of approximately 2.9 million tonnes per year of ore bearing zinc, silver, lead, and copper. The ore is treated at two concentrator plants, Victoria and Andaychagua, with an aggregate processing capacity of 8,900 tonnes of ore per day. In 2024, this unit produced approximately 159.4 thousand tonnes of zinc, 7.0 million ounces of silver, 24.3 thousand tonnes of lead and 2.6 thousand tonnes of copper, representing approximately 56% of our sales by value. In the first six months of 2025, this unit produced approximately 80.1 thousand tonnes of zinc, 3.4 million ounces of silver, 13.1 thousand tonnes of lead, 1.1 thousand tonnes of copper and 2.1 thousand ounces of gold, representing approximately 63% of our sales by value in the period, as compared to the approximate production of 70.8 thousand tonnes of zinc, 3.0 million ounces of silver, 10.9 thousand tonnes of lead, 0.8 thousand tonnes of copper and 1.6 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were approximately 20.5 million tonnes and our measured, indicated and inferred resources were 61.1 million tonnes. The estimated mine life of the Yauli Unit is

approximately 11 years at 2024 production levels, taking into account resources from advanced exploration targets.

- *Chungar.* The Chungar unit (the “Chungar Unit”) is comprised of two underground mines, one in production and one in suspension since July 2023, producing an aggregate of approximately 1.3 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 5,500 tonnes of ore per day. In 2024, this unit produced approximately 43.0 thousand tonnes of zinc, 1.7 million ounces of silver, 16.3 thousand tonnes of lead and 0.8 thousand tonnes of copper, representing approximately 20% of our sales by value. In the first six months of 2025, this unit produced approximately 21.1 thousand tonnes of zinc, 0.8 million ounces of silver, 10.0 thousand tonnes of lead, 0.4 thousand tonnes of copper and 0.3 thousand ounces of gold, representing approximately 14% of our sales by value in the period, as compared to the approximate production of 20.1 thousand tonnes of zinc, 0.7 million ounces of silver, 6.8 thousand tonnes of lead, 0.8 thousand tonnes of copper and 0.4 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 5.9 million tonnes and our measured, indicated and inferred resources were 55 million tonnes. The Chungar Unit mine life is estimated at approximately 22 years at 2024 production levels, taking into account resources from advanced exploration targets such as the Esperanza project.
- *Óxidos de Pasco.* The Óxidos de Pasco unit (the “Óxidos de Pasco Unit”) consists of one leaching plant, which has a processing capacity of 2,500 tonnes of ore per day. In 2024, this unit produced approximately 2.9 million ounces of silver and 7.8 thousand ounces of gold, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 1.3 million ounces of silver and 4.4 ounces of gold, representing approximately 9% of our sales by value in the period, as compared to the approximate production of 1.5 million ounces of silver and 3.5 thousand ounces of gold in the first six months of 2024.
- *Cerro de Pasco.* The Cerro de Pasco unit (the “Cerro de Pasco Unit”) consists of an open pit mine and mineral stockpiles producing an aggregate of approximately 3.2 million tonnes per year of ore bearing zinc, silver and lead. The ore is treated at one concentrator plant, which has an aggregate processing capacity of approximately 10,000 tonnes of ore per day. In 2024, this unit produced approximately 22.7 thousand tonnes of zinc, 1.5 million ounces of silver and 9.7 thousand tonnes of lead, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 12.4 thousand tonnes of zinc, 0.8 million ounces of silver, 7.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 11% of our sales by value in the period, as compared to the approximate production of 9.7 thousand tonnes of zinc, 0.7 million ounces of silver, 3.6 tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024.
- *Alpamarca.* The Alpamarca unit (the “Alpamarca Unit”) is comprised of an open pit mine and mineral stockpiles producing an aggregate of approximately 1.0 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 2,500 tonnes of ore per day. In 2024, this unit produced approximately 5.0 thousand tonnes of zinc, 0.8 million ounces of silver, 4.3 thousand tonnes of lead and 0.2 thousand tonnes of copper, representing approximately 4% of our sales by value. In the first six months of 2025, this unit produced approximately 2.5 thousand tonnes of zinc, 0.4 million ounces of silver, 2.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 2% of our sales by value in the period, as compared to the approximate production of 2.6 thousand tonnes of zinc, 0.4 thousand million ounces of silver, 2.3 thousand tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 10.1 million tonnes, including Romina’s reserves, and our measured, indicated and inferred resources were 13.1 million tonnes. The Alpamarca Unit mine life is estimated at 14 years at 2024 production levels, taking into account resources from advanced exploration targets. We believe that the future of the Alpamarca Unit is in the Romina project, which consists of zinc, lead and silver polymetallic mineralization in the form of replacement bodies. Romina is expected to enter production in the second half of 2026, with an estimated average annual production of 40,000 tonnes of zinc, 20,000 tonnes of lead and one million ounces of silver during the life of the mine, which is estimated at 13 years. For additional information on the Romina and other projects, please see “*Business—Growth Projects.*”

Competitive Strengths

We believe that the following competitive strengths will provide us with a significant advantage as we execute our business strategy:

- *Significant Reserves in an Extensive Concession Area.* As of December 31, 2024, our proven and probable reserves were 46.04 million tonnes and our measured, indicated and inferred resources were 908.2 million tonnes. Our average estimated mine life is approximately 22 years at 2024 production levels, taking into account resources from advanced exploration targets (excluding the Cerro de Pasco Unit and Óxidos de Pasco Unit). We are currently exploiting only 35.9% and exploring an additional 3.8% of our approximately 294,000 hectares of concessions in a region with high geological potential.
- *Mix of Low-Correlation Metals.* The diversified mix of base and precious metals we produce reduces volatility in our earnings caused by commodity price cycles, because silver prices and prices for our base metals have historically exhibited low correlation. Silver prices have shown resilience in times of economic uncertainty because silver is seen as store of value in addition to its uses in industrial processes. Diversification allows us to mitigate, to some extent, the effects of the decrease in prices of certain metals.
- *Leading Producer in an Attractive Mining Jurisdiction.* Our concessions are located in Peru, which has shown economic resilience over time and has a long history in the mining industry. Our mining units are located in the Central Andean region, home to a number of well-known international and local mining companies, including Buenaventura, Chinalco, Glencore and Nexa Resources. This region has a developed infrastructure of electricity, roads, railroads, water reservoirs and township facilities, as well as a trained labor force, local supply chains and communities with long-standing ties to the mining industry. We ranked second in the production of zinc, first in lead and among the top three in the production of silver in Peru for the six-month period ended June 30, 2025, according to MINEM. According to U.S. Geological Survey 2024, Peru ranked as the world's second-largest producer of zinc, third-largest producer of silver and copper, fourth-largest producer of lead, and twelfth-largest producer of gold. As of December 31, 2024, Peru accounted for 12.3%, 11.5% and 10.9% of global silver, copper, and zinc reserves, respectively, according to the United States Geological Survey.
- *Long History of Operating in Cooperation with Surrounding Communities.* Since we were founded over 80 years ago, we have been working closely with the communities surrounding our operations. We are committed to upholding our tradition of building and developing strong relationships with local communities by providing employment and demand for local products and services and investing in community development programs. As of June 30, 2025, we have entered into 79 agreements with local communities that mainly provide for the use of land for our operations with no material conflicts with such local communities up to date.
- *Diversified Operational Base and Logistical Network.* Our operations are divided into five mining units that currently consist of five underground mines and two open pit mines in operation, five operating concentrator plants and one leaching plant extending across the Junin and Pasco departments in Peru, with San Cristobal - Carahuacra being the largest mine accounting for approximately 32.5% of our 2024 tonnage production of zinc. The mining units have access to multiple energy sources and transport routes connecting them to refineries and port facilities in Peru. We believe that our mines and processing facilities provide a diversified operational base and redundant logistical network that reduce the risk of significant disruptions to our operations.
- *Qualified and Experienced Management.* Our workforce and management have extensive experience in the Peruvian and global mining industry. Our management has a proven track record of developing large mining prospects and consists of seasoned industry professionals with executive experience in leading global companies. We believe that the extensive experience of our management has resulted in our ability to manage our operations cost-effectively and maintain profitability through different commodity price cycles. We also benefit from an experienced board of directors, which includes independent members and former executives of leading mining companies.

- *ESG/Sustainability.* We consider sustainability at the core of our business strategy to safeguard resilience, reputation, and our capacity to create value now and in the future. Our strategy is underpinned by a robust corporate sustainability framework aligned with our corporate values. This framework is grounded in leading global initiatives we have adopted—such as the Mining Principles of the International Council on Mining and Metals (“ICMM”), the United Nations Sustainable Development Goals (“SDGs”), and the market standards from Global Reporting Initiative (“GRI”), ISO, and the Global Industry Standard on Tailings Management (the “GISTM”)—and which are translated by such framework into policies, rules, and practices that govern our day-to-day activities. The implementation of our sustainability framework started in 2023 and has since been aligned with strong risk management and has been integrated into our corporate governance strategies and objectives, which focus on maintaining responsible production, minimizing our environmental footprint, while at the same time generating shared value with our communities.
- *Attractive Development Projects:* We are constantly developing projects to grow and further diversify our operations, both through exploration activities at our existing mines and surrounding areas as well as expansion projects. As an example, we are currently engaged in the Romina project to expand our zinc, lead and silver production, as summarized above and further detailed below. Additionally, we are engaging in growth projects such as Esperanza, Zoraida, Carhuacayan, and Palma. See “*Business—Growth Projects—Exploration and Growth Projects.*”

Business Strategy

Our strategy is focused on consolidating our position as a world-class diversified mining company. We are investing in increasing our base and precious metals production. We prioritize operational excellence while upholding the highest standards of health, safety and environmental compliance and maintaining close community and labor relations and financial discipline. In order to implement our strategy, we intend to implement the following key initiatives:

- *Expand Production.* We plan to continue consolidating and growing our product portfolio. For this purpose, we are currently engaged in the Romina project to expand our zinc, lead and silver production, which is expected to represent an investment of approximately US\$114 million from 2024 to 2026, and is expected to produce an average of approximately 40,000 tonnes of zinc, 20,000 tonnes of lead and one million ounces of silver per year during the life of the mine, which is estimated at 13 years. From January 2024 to September 2025, approximately US\$27.0 million has been invested in the Romina project. The project has already advanced through the construction phase of its main components: the underground mine, which includes mine development and preparation, dumps, industrial water treatment systems, camps, a power supply line, workshops, and on-site offices; and work has also begun on the adaptation of the Alparmarca concentration plant, which will receive the high-grade Romina ore. We believe that we will benefit from the strong fundamentals we anticipate for these three metals. We also continuously evaluate opportunities to make acquisitions to expand our operations and resource base. See “*Management’s Discussion and Analysis of Financial Condition and Results of Operations—Capital Expenditures,*” “*Business—Growth Projects*” for additional detail on our capital expenditure plan.
- *Strengthen our Balance Sheet and Leverage Profile:* We intend to improve on our balance sheet and achieve low leverage with ample liquidity, which will help us manage volatility through future commodity cycles. Also, we plan to continue our financial policies, reducing leverage over the following years and taking a measured approach to investments in new projects and prospects.
- *Strive for Sustainable Growth and Close Collaboration with Our Surrounding Communities:* We are focused on generating a positive impact in the surrounding communities where we operate, identifying and preventing potential negative environmental impacts and ensuring the health and safety of our workers. We are committed to upholding our longstanding tradition of building and developing strong relationships with local communities and services and investing in community development programs.
- *Operational Excellence:* Through our Volcan Avanza program, our continuous improvement program, we constantly seek process improvement initiatives, cost reduction and for the optimization and prioritization

of sustainable capital expenditures. This continuous improvement program is monitored monthly by our officers.

Concurrent Tender Offer and Consent Solicitation of the 2030 Notes

On October 8, 2025, we launched an offer to purchase for cash any and all of our 8.750% Senior Secured Notes due 2030 (the “2030 Notes”) and soliciting consents (the “Tender Offer and Consent Solicitation”) to amend (i) the indenture governing the 2030 Notes, dated as of September 10, 2024, by and among us, the guarantors named therein, and Citibank, N.A., as trustee, registrar, paying agent and transfer agent (the “2030 Notes Indenture”) and (ii) certain provisions of the Security Documents (as defined in “Description of Notes—Change of Control Triggering Event” and “—Certain Definitions”), pursuant to the terms of, and subject to the conditions set forth in an offer to purchase and consent solicitation statement dated as of October 8, 2025 and related documents (the “Tender Offer Documents”). The Tender Offer and Consent Solicitation are conditional upon our receiving the financing necessary for the payment of the purchase price offered thereby and accrued interest to tendering holders of the 2030 Notes, plus fees and expenses, and other general conditions set forth in the Tender Offer Documents. We expect to finance the Tender Offer and Consent Solicitation with a part of the proceeds from the issuance of the notes. We may waive any of these conditions at our sole discretion. We cannot assure you that the Tender Offer and Consent Solicitation will be consummated. This offering is not conditioned on the successful consummation of the Tender Offer and Consent Solicitation.

In addition, we intend to use the remaining proceeds from this offering to (i) fully repay the entire aggregate principal amount outstanding of US\$330.2 million, as of June 30, 2025 (without incorporating the effects of measurement at amortized cost under IFRS), under our syndicated senior term loan facility dated as of December 29, 2021, as amended, by and among us, certain subsidiary guarantors, the syndicated lenders party thereto and Citibank, N.A., as administrative agent (as amended, the “Credit Agreement”), plus any accrued and unpaid interest until the payment date, expenses, related costs and breakage fees, (ii) fully repay the aggregate principal amount outstanding of US\$68.0 million as of June 30, 2025, under our 4.375% Senior Notes due 2026 (the “2026 Notes”), as of June 30, 2025 (without incorporating the effects of measurement at amortized cost under IFRS), plus any accrued and unpaid interest until the payment date and additional amounts, (iii) repay other short and medium-term indebtedness and (iv) general corporate purposes, including to pay transaction fees and expenses.

This offering memorandum does not constitute an offer to purchase 2030 Notes pursuant to the Tender Offer and Consent Solicitation. An offer to purchase the 2030 Notes will be made solely on the terms and subject to the conditions set forth in the Tender Offer Documents.

Corporate Information

We are a publicly held corporation, or *sociedad anónima abierta*, organized under the laws of Peru. Our shares are listed on the Lima Stock Exchange, Santiago Stock Exchange and the Latibex segment of the Madrid Stock Exchange. Our principal executive office is located at Av. Manuel Olguín 373, Santiago de Surco, Lima, Peru, and our telephone number is +51-1-416-7000.

Recent Developments

Our 2025 Third Quarter Results

As of the date of this offering memorandum, we do not have financial statements as of September 30, 2025, for the nine months ended September 30, 2025, and 2024. Based on available preliminary financial information and estimates for the nine-month period ended September 30, 2025 (consisting of preliminary financial information for the months of July, August and September, 2025 and estimates for the full third quarter), we currently expect our results for the nine-month period ended September 30, 2025 to be better, compared to our results for the same period in 2024 and consistent with the trends disclosed in this offering memorandum for the year ended December 31, 2024 and the six-month period ended June 30, 2025.

This preliminary financial information for the nine-month period ended September 30, 2025 has not been subject to a limited review by our auditors, is subject to normal recurring and other period-end adjustments and does not rise to the level of finality of quarterly unaudited financial statements. Therefore, this preliminary financial

information may be subject to changes and our actual 2025 third quarter results may differ from the information presented herein once financial statements for the nine-month period ended September 30, 2025 become available. This preliminary financial information is derived from calculations or figures that have been prepared internally by our management and should not be viewed as a substitute for full financial statements prepared in accordance with IFRS.

Political Developments in Peru

On October 10, 2025, Peru's Congress impeached and removed President Dina Boluarte from office on the grounds of "permanent moral incapacity." The proceeding occurred amid heightened public concern over the government's inaction to the surge in violent crime and ongoing investigations into alleged misconduct during Boluarte's administration.

After the impeachment vote, the President of Congress, José Enrique Jerí Oré, was sworn in as interim president in accordance with rules of presidential succession. Peru currently has no vice president. Congress may replace the interim president by approving a vote of no confidence (*moción de censura*) against the Directive Board (*Mesa Directiva*) of Congress, in which case Congress must appoint a new Directive Board whose president shall serve as new interim president. The interim administration is expected to serve the remaining presidential term until July 2026. General elections remain scheduled for April 2026.

See "Risk Factors—Risks Relating to Peru—Our growth and profitability depend on economic, social and political stability in Peru and other emerging markets" and "Risk Factors—Risks Relating to Peru—Political uncertainty may adversely affect our business, financial condition and results of operations."

THE OFFERING

The following summary contains basic information about the notes and is not intended to be complete. For a more complete understanding of the notes, please refer to the section entitled “Description of Notes” in this offering memorandum.

Issuer	Volcan Compañía Minera S.A.A.
Subsidiary Guarantors	Compañía Minera Chungar, Empresa Administradora Cerro, Empresa Minera Paragsha, Compañía Industrial Huacho, Roquel Global and Compañía Hidroeléctrica Tingo.
Notes Offered	US\$750,000,000 8.500% Senior Secured Notes due 2032.
Issue Date	October 29, 2025.
Issue Price.....	100.000%, plus accrued interest, if any, from October 29, 2025.
Maturity	October 28, 2032, unless earlier redeemed or repurchased and cancelled in accordance with the terms of the Notes.
Interest	8.500%, per annum, payable semi-annually on April 28, and October 28 of each year, commencing on April 28, 2026.
Subsidiary Guarantees	The Notes will be guaranteed on a senior basis by the Subsidiary Guarantors. The guarantees and any future guarantees may be subject to certain limitations as described under “Description of Notes—Subsidiary Guarantees.”
Collateral	The Notes (and any other Secured Obligations) will be secured by first priority liens on the Collateral, subject to permitted collateral liens and certain other exceptions, under and in accordance with the terms set forth in “Description of the Notes—Collateral.” Upon payment in full of all obligations under the 2030 Notes, subject to our ability to obtain a ratings affirmation with respect to such Collateral release, the Collateral securing the Notes will be automatically released. See “Description of Notes—Collateral—Collateral Release.”
Intercreditor Agreement	On the Issue Date, the Collateral will secure the Notes and the obligations under the 2030 Notes on a <i>pari passu</i> basis. The terms of the Notes Indenture provide that the Trustee in its capacity as such and the Trustee in its capacity as the Notes Collateral Agent under the Intercreditor Agreement (the “Notes Collateral Agent”) shall enter into a joinder agreement to the Intercreditor Agreement, as defined herein, which provides that the Collateral which shall secure the Notes also secures the 2030 Notes and any future Additional First Lien Debt, subject to the terms described in “Description of Notes.”

Ranking.....

The Notes will:

- (a) be senior obligations of the Company;
- (b) be secured by first-priority Liens on the Collateral, which Collateral also secures the 2030 Notes and shall secure any future Additional First Lien Debt on a *pari passu* basis, subject to the terms of the Collateral Documents and to any Permitted Collateral Liens or Rights over Collateral, as defined in “Description of Notes”;
- (c) be unconditionally Guaranteed by each Subsidiary Guarantor with such Subsidiary Guarantee ranking equal in right of payment with all other existing and future Senior Indebtedness of such Subsidiary Guarantor, as further described under “Description of Notes—Subsidiary Guarantees”;
- (d) rank *pari passu* in right of payment with any existing and future Senior Indebtedness of the Company (including the Existing Notes and any Additional Notes);
- (e) rank senior in right of payment to all existing and future Subordinated Indebtedness of the Company, if any;
- (f) be effectively senior to all other existing and future Senior Indebtedness of the Company that is unsecured, or that is secured by junior Liens on the Collateral or Liens that are not on the Collateral, in each case to the extent of the value of the Collateral;
- (g) be effectively subordinated to (i) the extent of the value of the assets securing (x) all existing and future secured Indebtedness of the Company to the extent such security interest does not also secure the Notes and (y) all existing and future secured Indebtedness of the Subsidiary Guarantors to the extent such security interest does not also secure the Subsidiary Guarantees (including the 2030 Notes) and (ii) all additional existing and future Indebtedness of any Subsidiary that does not provide a Subsidiary Guarantee; and
- (h) be subordinated to obligations of the Company or the Subsidiary Guarantors preferred by statute or by operation of law.

Optional Redemption.....

Before October 28, 2028, the Company may redeem the Notes, in whole or in part, at a redemption price equal to 100% of the principal amount of each note to be redeemed plus a make-whole premium described in “Description of Notes—Optional Redemption—Optional Redemption with a Make-Whole Premium.”

At any time on or after October 28, 2028, the Company may redeem the Notes, in whole or in part, at its option at the prices set forth in “Description of Notes—Optional Redemption—Optional Redemption Without a Make-Whole Premium,” plus accrued and unpaid interest and additional amounts, if any, to the date of redemption.

At any time prior to October 28, 2028, the Company may redeem up to 35% of the Notes with the net cash proceeds from specified equity offerings at a redemption price equal to 108.500% of the principal amount of each note to be redeemed, plus accrued and unpaid interest, if any, to the date of redemption. See premium described in “*Description of Notes—Optional Redemption—Optional Redemption with Proceeds of Equity Offerings.*”

Optional Redemption Upon Tax Event	The Notes are also redeemable at our option, in whole but not in part, at any time, at the principal amount thereof plus accrued and unpaid interest, if any, and any additional amounts due thereon to, but excluding, the redemption date if certain changes in applicable tax laws occur. See “ <i>Description of Notes—Optional Redemption—Optional Redemption Upon Tax Event.</i> ”
Optional Clean-Up Redemption	The Notes are also redeemable at our option, in whole but not in part, at any time, at the principal amount thereof plus accrued and unpaid interest, in the event that Holders of not less than 90% of the aggregate principal amount of the outstanding Notes validly tender and do not withdraw such Notes in a Change of Control Offer, Asset Sale Offer, or other tender offer. See “ <i>Description of Notes—Optional Redemption—Optional Clean-Up Redemption.</i> ”
Notice of Redemption.....	Notice of any redemption of the Notes may, at the Company’s discretion, be subject to one or more conditions precedent. If such redemption is so subject to the satisfaction of one or more conditions precedent, such notice shall describe each such condition and, if applicable, shall state that such redemption may not occur and such notice may be rescinded in the event that any or all such conditions shall not have been satisfied by the redemption date.
Change of Control Offer.....	Upon the occurrence of a Change of Control Triggering Event (as defined in “ <i>Description of Notes—Change of Control Triggering Event</i> ” and “ <i>—Certain Definitions</i> ”), we will be required to make an offer to purchase the Notes at a purchase price equal to 101% of the principal amount thereof plus accrued and unpaid interest, if any, to, but excluding, the date of purchase. See “ <i>Description of Notes—Change of Control Triggering Event</i> ” and “ <i>—Certain Definitions.</i> ”
Additional Amounts	All payments in respect of the Notes will be made free and clear of and without any deduction or withholding for or on account of any present or future taxes, duties, levies, imposts, assessments or other government charges and any interest, penalties or other liabilities with respect thereto (“Taxes”), unless the withholding or deduction of such Taxes is required by law or the official interpretation thereof, or by the administration thereof, as set forth under “ <i>Description of Notes—Additional Amounts.</i> ” The Company or the Subsidiary Guarantors, as applicable, will pay such additional amounts as will result in receipt by the holders of Notes of such amounts as would have been received by them had no such withholding or deduction been required, subject to certain exceptions (including an exception for U.S. federal withholding taxes) set forth under “ <i>Description of Notes—Additional Amounts.</i> ”

Covenants	The indenture governing the Notes will, among other things, limit our ability to: • incur additional indebtedness; • make dividend payments or other restricted payments; • sell assets; • incur liens; • enter into sale and leaseback transactions; • designate unrestricted subsidiaries and non-guarantor restricted subsidiaries; • create or assume indebtedness for borrowed money that is secured by a lien; • engage in mergers, consolidations and transfers of substantially all of our assets; or • enter with transactions with affiliates. However, these covenants are subject to a number of significant exceptions. See “<i>Description of Notes—Covenants.</i>”
Events of Default	For a discussion of certain events of default that will permit acceleration of the principal of the Notes plus accrued interest, and any other amounts due with respect to the Notes, see “<i>Description of Notes—Events of Default.</i>”
Use of Proceeds	The gross proceeds from the offering of the notes will be US\$750.0 million before deducting the discount paid to the initial purchasers, estimated legal fees and all other expenses payable by us in connection with the offering. The net proceeds from the issuance of the notes will be used to purchase for cash the aggregate principal amount of our outstanding 2030 Notes that are tendered, not withdrawn and accepted for purchase pursuant to the Tender Offer Documents. The remainder will be used to (i) fully repay the entire aggregate principal amount outstanding of US\$330.2 million, under our Credit Agreement (without incorporating the effects of measurement at amortized cost under IFRS), plus any interest due to the payment date, expenses, related costs and breakage fees; (ii) fully repay the aggregate principal amount outstanding of approximately US\$68.0 million under our 2026 Notes (without incorporating the effects of measurement at amortized cost under IFRS), plus any accrued and unpaid interest and additional amounts, (iii) repay other short and medium-term indebtedness and (iv) general corporate purposes, including to pay transaction fees and expenses. See “<i>Use of Proceeds.</i>”
Book-Entry System; Delivery and Form and Denomination of the Notes	The Notes will be issued only in fully registered form, without interest coupons, in the form of beneficial interests in respect of one or more global securities in denominations of US\$2,000 and integral multiples of US\$1,000 in excess thereof. Beneficial interests in respect of the global securities will be shown on, and transfers thereof will be effected only through, the book-entry records maintained by DTC and its direct and indirect participants, including

	Euroclear and Clearstream. The Notes will not be issued in definitive form except under certain limited circumstances.
Governing Law.....	The Notes, the guarantees and the indenture will be governed by the laws of the State of New York.
Listing.....	Application has been made to list the Notes on the Official List of the Luxembourg Stock Exchange and to admit the Notes to trading on the Euro MTF Market of the Luxembourg Stock Exchange.
Trustee, Registrar, Paying Agent and Transfer Agent.....	The Bank of New York Mellon.
Luxembourg Listing Agent.....	Allen Overy Shearman Sterling SCS.
Transfer Restrictions.....	The Notes have not been registered under the Securities Act and are subject to restrictions on transfer and resale. See “ <i>Transfer Restrictions</i> ” and “ <i>Plan of Distribution</i> .”
Risk Factors.....	Investing in the Notes involves substantial risks and uncertainties. See “ <i>Risk Factors</i> ” and other information included in this Offering Memorandum for a discussion of factors you should carefully consider before deciding to invest in the Notes.

SUMMARY CONSOLIDATED FINANCIAL DATA

We set forth below certain financial and operating data as of and for the years ended December 31, 2023 and 2024 and the six-month periods ended June 30, 2024 and 2025. Our interim condensed consolidated financial data as of and for the six-month periods ended June 30, 2024 and 2025 is unaudited.

You should read this information together with our audited consolidated financial statements and unaudited interim condensed consolidated financial statements, and related notes, included elsewhere in this offering memorandum, as well as the information presented in the sections “Presentation of Financial Information” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations.” These results are not necessarily indicative of our future results of operations or financial condition.

	For the year ended		For the	
	December 31,		six months ended	
	2023	2024	2024	2025
(In millions of U.S. dollars)				
Consolidated Statement of Comprehensive Income				
Net Sales	883.1	960.5	395.0	568.0
Cost of sales	(725.5)	(699.6)	(323.9)	(366.6)
Gross profit	157.6	260.9	71.1	201.5
Administrative expenses.....	(55.2)	(62.9)	(22.5)	(33.7)
Selling expenses	(30.6)	(29.1)	(14.0)	(18.1)
Other income.....	63.4	145.1	51.4	12.5
Other expenses	(78.5)	(115.3)	(50.3)	(21.8)
Reversal of impairment loss of long-lived assets.....	(36.2)	91.7	-	-
Operating profit (losses)	20.6	290.5	35.7	140.3
Financial income (expenses)	(64.7)	(74.3)	(36.2)	(40.7)
Profit (loss) before income tax	(44.2)	216.2	(0.5)	99.6
Income tax expense (benefit).....	34.2	(79.1)	(8.3)	(27.1)
Net (loss) profit	(10.0)	137.1	(8.8)	72.5

	As of December 31,		As of June 30,	
	2023	2024	2024	2025
(In millions of U.S. dollars)				
Consolidated Statement of Financial Position				
Cash and cash equivalents.....	61.6	155.8	68.0	146.8
Trade accounts receivable (net).....	20.3	33.5	15.4	43.7
Other accounts receivable.....	77.0	67.4	81.8	69.4
Other financial assets.....	0.7	0.9	-	1.4
Inventories (net)	48.3	38.1	47.0	35.7
Assets classified as held for sale.....	-	-	20.5	-
Total current assets	208.0	295.8	232.7	297.0
Other accounts receivable (net)	36.0	31.8	31.3	42.0
Financial investments.....	185.3	153.0	192.5	129.6
Inventories (net)	5.6	5.2	5.4	5.0
Property, plant and equipment, net	771.8	683.1	690.2	673.8
Right-of-use assets	17.9	15.7	17.6	11.7
Investment properties (net)	-	-	-	5.0
Mining concessions, costs of exploration and development costs, and other intangibles (net)	650.7	656.2	646.2	664.4
Total non-current assets	1,667.2	1,545.1	1,583.1	1,531.6
Total assets	1,875.2	1,840.8	1,815.8	1,828.5
Total current liabilities	440.1	320.3	440.0	383.1

Total non-current liabilities	1,070.5	1,070.8	1,045.0	950.9
Total liabilities	1,510.6	1,391.1	1,485.0	1,334.0
Total equity	364.6	449.7	330.9	494.5
Total liabilities and equity	1,875.2	1,840.8	1,815.8	1,828.5

	As of or for the year ended		As of or for the six months ended	
	December 31,		June 30,	
	2023	2024	2024	2025
(In millions of U.S. dollars, except for ratios, cash cost, production data, reserves and resources, and prices)				

Consolidated Statement of Cash Flow

Cash from operating activities.....	248.4	298.5	104.9	139.3
Cash used in investing activities.....	(179.9)	(147.9)	(75.3)	(90.3)
Cash resulting from (used in) financing activities.....	(80.4)	(56.4)	(23.8)	(58.0)
Net increase (decrease) in cash and cash equivalents	(12.0)	94.2	5.9	(9.0)

Other Items

Depreciation and amortization.....	207.1	195.0	94.2	82.9
Interest expense ⁽¹⁾	55.9	60.8	28.7	32.4
Adjusted EBITDA ⁽²⁾	277.2	381.8	132.0	223.3
Ratio of net financial debt to Adjusted EBITDA ⁽³⁾	2.6	1.5	n/a	n/a
Adjusted EBITDA coverage ratio ⁽⁴⁾	5.0	6.3	n/a	n/a
Accrued capital expenditures (non-cash) ⁽⁵⁾	179.6	167.3	66.7	90.0
Working capital ⁽⁶⁾	(232.1)	(24.5)	(207.3)	(86.1)

Sales by metal and adjustments

Zinc.....	438.4	502.2	212.0	299.5
Silver.....	153.3	177.7	70.9	126.7
Lead.....	228.6	213.8	90.1	98.1
Copper.....	60.6	71.3	24.8	39.7
Subtotal	881.0	965.0	397.7	564.0
Execution of financial instruments.....	3.9	(0.1)	(0.1)	0.3
Embedded derivatives.....	(1.8)	(4.5)	(2.7)	3.7
Total	883.1	960.5	395.0	568.0

Cash Cost⁽⁷⁾

Zinc (U.S. dollars per finished metric tonne).....	1,310	970	1,229	791
Silver (U.S. dollars per ounce).....	2.1	(2.5)	2.0	(1.4)

Fine Metal Production

Zinc (in thousands of tonnes).....	242.0	230.1	103.2	116.2
Silver (in millions of ounces).....	15.2	13.9	6.3	6.7
Lead (in thousands of tonnes).....	60.8	54.6	23.6	32.2
Copper (in thousands of tonnes).....	5.3	4.3	1.6	2.0
Gold (in thousands of ounces).....	18.4	13.1	5.8	7.0

Average Spot Prices

Zinc (US\$/tonne – LME SHG Sett).....	2,649	2,777	2,641	2,739
Silver (US\$/ounce – London Spot).....	23.4	28.2	26.1	32.8
Lead (US\$/tonne – LME Sett).....	2,137	2,072	2,121	1,959
Copper (US\$/tonne – LME Sett).....	8,483	9,144	9,097	9,432
Gold (US\$/ounce – London Spot).....	1,943	2,387	2,205	3,071

- (1) The components of interest expense are as follows:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Interest Expense				
Interest on Credit Agreement.....	38.5	39.4	20.2	16.7
Interest on issued bonds.....	16.8	21.1	8.3	15.3
Interest on lease liabilities.....	0.7	0.4	0.2	0.4
Total interest expense	55.9	60.8	28.7	32.4

- (2) EBITDA is calculated as net (loss) profit for the year/period before income tax expense, financial expenses (income), depreciation and amortization during such period. Adjusted EBITDA is calculated by eliminating from the calculation of EBITDA: (a) any non-recurring items during such period, (b) gains or losses on the sale of property (other than the sale of property in the ordinary course of business) during such period, (c) any other non-cash items deducted from or included in the calculation of pre-tax net income for such period (other than items that will require cash payments and for which an accrual or reserve has been, or is required by IFRS to be, made), and (d) foreign exchange gains or losses upon loans and foreign currency translation adjustments or monetary correction and bank charges. We believe that EBITDA and Adjusted EBITDA, while providing useful information, should not be considered in isolation or as a substitute for net income as an indicator of operating performance, or as an alternative to cash flow as a measure of liquidity. Additionally, our calculation of EBITDA and Adjusted EBITDA may be different from the calculation used by other companies and therefore, comparability may be affected.

The following table sets forth the Adjusted EBITDA reconciliation:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Net (loss) profit	(10.0)	137.1	(8.8)	72.5
Income tax expense	(34.2)	79.1	8.3	27.1
Financial expenses, net ⁽¹⁾	56.8	66.7	31.1	38.5
Depreciation and amortization	207.1	195.0	94.2	82.9
EBITDA	219.7	477.9	124.8	221.0
Adjustments ⁽²⁾	57.5	(96.1)	7.2	2.3
Adjusted EBITDA⁽²⁾	277.2	381.8	132.0	223.3

⁽¹⁾ Excluding exchange difference loss, net and bank charges.

⁽²⁾ The components of the adjustments are as follows:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Adjustments				
Impairment loss of long-lived assets, net of reversal.....	36.2	(91.7)	-	-
Doubtful recovery provision	4.8	-	-	-
Adjustment of inventories	0.5	3.1	-	-
Net present value change of mine closure and communities agreements	6.8	(7.7)	-	-
Others.....	1.2	(7.3)	2.2	-
Exchange difference loss, net.....	(1.0)	(0.6)	0.7	(0.9)
Commissions and other expenses.....	9.0	8.1	4.3	3.2
Adjustments	57.5	(96.1)	7.2	2.3

- (3) The following table sets forth a description of our financial debt:

	As of December 31,		As of June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Financial debt				
Credit Agreement.....	400.0	344.3	365.7	330.2
Fees amortized cost - Credit Agreement.....	(2.0)	(15.1)	(1.5)	(14.5)
Issued bonds.....	365.0	367.9	365.0	367.9
Fees amortized cost – issued bonds.....	(2.3)	(12.7)	(1.7)	(11.1)
Lease liability with financial entities.....	13.9	4.2	9.5	1.5
Loans.....	-	31.4	25.0	25.0
Total gross financial debt***	774.5	720.0	761.9	699.0

Cash and cash equivalents.....	<u>61.6</u>	<u>155.8</u>	<u>68.0</u>	<u>146.8</u>
Total net financial debt.....	<u>712.9</u>	<u>564.2</u>	<u>693.9</u>	<u>552.2</u>

***Does not include operating leases (IFRS 16) or bank overdrafts.

- (4) Adjusted EBITDA coverage ratio is the ratio of Adjusted EBITDA for the applicable period to interest expense for the same period.
- (5) Capital expenditures differ from cash used in investing activities because cash used in investing activities includes investments accrued in previous periods paid during the current period and excludes investments accrued in the current period but not paid in the current period. The components of capital expenditures are as follows:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Capital Expenditures				
Local exploration	13.1	8.8	4.1	3.6
Mine development.....	76.3	69.1	32.9	34.3
Plants and tailing facilities	32.0	39.3	13.4	20.8
Mine and infrastructure	34.5	25.3	10.9	12.9
Electrical infrastructure in units	8.7	5.5	0.7	1.7
Support and others	3.5	12.3	2.4	5.1
Romina Project*.....	8.3	6.2	1.9	10.2
Corporate	2.6	0.7	0.4	1.3
Energy and other expenditures	0.5	0.2	0.0	0.1
Total accrued capital expenditures (non-cash)**	179.5	167.3	66.7	90.0

* For a description of the projects, see “*Business—Growth Projects.*”

** These amounts exclude leasing additions and are replaced by lease installment payments.

- (6) Working capital is current assets less current liabilities.
- (7) Zinc and silver cash cost includes all expenses incurred in the production and sale of concentrate, such as production costs (excluding depreciation and amortization), treatment and refining charges, selling expenses, and royalties.

RISK FACTORS

You should carefully consider the following risk factors, as well as the other information presented in this offering memorandum, before buying our notes. The risks and uncertainties described below are not the only ones that we face. Additional risks and uncertainties that we do not know about or that we currently think are immaterial may also impair our business operations. Any of the following risks, if they actually occur, could materially and adversely affect our business, results of operations, prospects and financial condition. In that event, the market price of the notes could decline, and you could lose all or part of your investment.

Risks Relating to Our Business

Our business is highly dependent on the price of the metals we produce.

Our financial performance is significantly affected by the commodity prices of the minerals we produce, particularly the market prices of zinc, silver, lead and, to a lesser extent, copper and gold. Historically, prices of such metals have been subject to substantial fluctuations and are affected by numerous factors beyond our control, including international economic and political conditions, levels of supply and demand, the availability and costs of substitutes, inventory levels maintained by users, actions of participants in the commodities markets and currency exchange rates. In addition, the market prices of zinc, silver, lead, copper, gold and certain other metals have on occasion been subject to rapid short-term changes.

During the last 3-year period ended June 30, 2025, zinc, silver, lead, copper and gold showed average highs and lows as follows: zinc US\$2,364 per tonne, low in 2024 and US\$4,371 per tonne, high in 2022; silver US\$18.84 per ounce, low in 2022 and US\$35.94 per ounce, high in 2025; lead US\$1,874 per tonne, low in 2022 and US\$2,396 per tonne, high in 2022; copper US\$7,530 per tonne, low in 2022 and US\$10,237 per tonne, high in 2022; and gold US\$1,665 per ounce, low in 2022 and US\$3,352 per ounce, high in 2025. We cannot predict whether metal prices will rise or fall in the future. Future declines in metal prices, and especially zinc, silver, lead, copper and gold prices, could have an adverse impact on our results of operations and financial condition, and we might consider curtailing or modifying certain of our operations.

Changes in the demand for the metals we produce could adversely affect our sales volume and revenues.

Our revenues depend on the volume of metals we sell, which in turn depends on the level of industrial and consumer demand for these metals. Demand for these metals is mostly driven by: in the case of zinc, consumption of galvanized steel for construction and infrastructure, the production of brass and die-casting; in the case of silver, its general perception as a store of value as well as its uses in industrial processes and products, such as batteries, bearings, brazing and soldering, catalysts, electronics and photographic material, and its use by direct consumers, such as for jewelry, silverware and coins; in the case of lead, its uses as energy storage and in certain other products such as chemicals, ammunition, oxides in glass and ceramics, casting metals and sheet lead; in the case of copper, its uses in the construction industry, electronic product manufacturing, power generation, transmission and distribution, and the production of industrial machinery; and in the case of gold, its general perception as a store of value as well as global economic activity outlook. See “Industry Overview.” An increase in the production of these metals worldwide or changes in technology, industrial processes or consumer habits, including increased demand for substitute materials, may decrease the demand for these metals. A fall in demand, resulting from economic slow-downs or recessions or other factors, could also decrease the volume of metals we sell and therefore materially and adversely impact our results of operations and financial condition.

Our results and financial condition are affected by global and local market conditions which we do not control and cannot predict.

We are subject to the risks arising from adverse changes in domestic and global economic and political conditions. Our industry is cyclical by nature, fluctuates with economic cycles and is impacted by economic instability.

If the global economic condition deteriorates it could have an impact on our business and our financial condition. Continued global economic weakness may prompt banks to limit or deny lending to us or to our customers, which could have a material adverse effect on our liquidity, on our operations, on our ability to carry out our announced capital investment programs and may prompt our customers to slow down or reduce the purchase of

our products. We may experience longer sales cycles, difficulty in collecting sales proceeds, and lower prices for our products. We cannot provide any assurance that any of these events will not have a material adverse effect on market conditions, the prices of our securities, our ability to obtain financing, and our results of operations and financial condition.

We have incurred losses in the past and may incur losses in the future.

For the year ended December 31, 2023, our net loss was US\$10.0 million. Although we had a net profit of \$137.1 million in 2024, we may incur losses in the future and there can be no assurance that we will be able to operate profitably during future periods. If we are unable to operate profitably during future periods, and are not successful in obtaining additional financing, we could be forced to cease certain exploration and evaluation programs and mine development activities as a result of insufficient cash resources, which could adversely affect our business, financial condition and results of operations.

Our operations and results of operations may be affected by international conflicts and terrorist activities.

Our business and operations may be adversely affected by political tension, hostility and instability caused by conflicts around the world. It is not possible to predict the broader or longer-term consequences of this risk as it could end in the expansion of conflicts into adjacent countries, further sanctions, embargoes, regional instability, geopolitical shifts and adverse effects on macroeconomic conditions, security conditions, fuel prices, critical mining commodities, transport issues, currency exchange rates and financial, credit and insurance markets, and others. For example, on February 24, 2022, Russia launched a large-scale military invasion of Ukraine and since then sustained conflict and disruption in the region has occurred and is likely to continue. In response, several countries imposed broad and far-reaching sanctions against Russia, certain Russian persons and certain activities involving Russia or Russian persons. Regional unrest, terrorist threats and the potential for war may increase market volatility across the globe. Ongoing international conflicts, including also tensions in the Middle East, and the Israel-Hamas conflict and concerns about the relationship between China and other countries, including the surrounding Asian countries, also have the potential to impact supply-chains, transportation routes, commodity prices and overall market stability, which may potentially have economic effects on our results.

The mining industry is highly competitive.

We face competition from other mining, processing, trading and industrial companies in Peru and around the world. Competition principally involves sales, supply and labor prices, contractual terms and conditions, attracting and retaining qualified personnel and securing the services and supplies we need for our operations. We cannot assure you that competition will not adversely affect us in the future. For example, lower cost producers of the metals we mine could be better positioned to manage future volatility through commodity price cycles. In addition, mines have limited lives and, as a result, we must periodically seek to replace and expand our reserves by increasing exploration expenses or acquiring new properties. Significant competition exists to acquire mining concessions, land and related assets.

Potential changes to international trade regulations and agreements, as well as other political and economic arrangements (including direct or indirect subsidies) may benefit metal producers or traders operating in countries other than where our mining operations are currently located or adversely affect the prices we pay for the supplies we need and our export costs when we engage in international transactions. We cannot assure you that we will be able to compete on the basis of price or other factors with companies that in the future may benefit from favorable regulations, trading or other arrangements or that we will be able to maintain the cost of the supplies we require and our export costs.

Our estimates of reserves and resources may be materially different from mineral quantities we actually recover and we depend on our ability to replenish ore reserves and resources for our long-term viability.

There is a degree of uncertainty attributable to the calculation of mineral reserves and resources. Until reserves are actually mined and processed, the quantity of ore and grades must be considered as estimates only. The proven and probable ore reserves and resources data included in this offering memorandum follow the information management guidelines and international definitions established by the JORC, using specialized software, and are estimates prepared under the general supervision of our geology and planning managers in consultation with recognized consultant geologists and engineers, acting as competent persons, based on evaluation methods generally

used in the mining industry. This information, however, is not reviewed or audited by independent or external experts. We may be required in the future to revise our reserves and resources estimates and we cannot assure you that our reserves and resources conform to geological, metallurgical or other expectations or that the estimated volume and grade of ore will be recovered. Market prices of our metals, increased production costs, reduced recovery rates, short-term operating factors, royalty taxes and other factors may render proven and probable reserves uneconomic to exploit and may result in revisions of reserves data from time to time. Reserves and resources data are not indicative of future results of operations and are depleted as we mine. We depend on our ability to replenish our ore reserves for our long-term viability. We use several strategies to replenish and increase our ore reserves, including exploration, acquisition of mining concessions and investing in technology that could extend the life of a mine by allowing us to cost-effectively process ore types that were previously considered uneconomic. However, we cannot assure you that we will be able to continue with our strategy to replenish reserves indefinitely.

Our exploration efforts are highly speculative in nature and may be unsuccessful.

Mining exploration is highly speculative in nature, involves many risks and is frequently unsuccessful. Moreover, once mineralization is discovered, it may take a number of years from the initial phases of drilling before production is possible, during which time the economic feasibility of production may change. Substantial expenditures are required to establish proven and probable ore reserves through drilling, to determine processes to extract the metals and, if required, to construct mining and processing facilities and obtaining the rights on the land and resources required to develop the mining activities. We have approximately 294,000 hectares of mining concessions, of which 35.9% are currently being exploited, 3.8% are being explored and 60.3% remain unexploited and unexplored. We cannot assure you that our exploration programs will result in the expansion or replacement of current production with new proven and probable reserves.

Development projects have no operating history upon which to base estimates of proven and probable ore reserves and estimates of future cash operating costs. Estimates are, to a large extent, based upon the interpretation of geological data obtained from drill holes and other sampling techniques, and feasibility studies that derive estimates of cash operating costs based upon anticipated tonnage and grades of ore to be mined and processed, the configuration of the ore body, expected recovery rates of metal from the ore, comparable facility and equipment operating costs, anticipated climatic conditions and other factors. As a result, actual cash operating costs and economic returns based upon development of proven and probable ore reserves may differ significantly from those originally estimated. Moreover, significant decreases in actual or expected prices may mean reserves, once found, will be uneconomical to mine.

Public health threats could have an adverse effect on the Peruvian economy.

Peru has been and could in the future be adversely affected by the effects of contagious diseases. As true for most economic sectors, the Peruvian mining sector was negatively affected by the COVID-19 pandemic both directly and indirectly, mostly because of public health measures imposed, such as business closings, lockdowns, and restrictions on travel and gatherings, among others, which negatively impacted mining companies as well as their customers, counterparties, employees, supply chain and other stakeholders. The exact ramifications of any future public health threats on the mining sector and on the global and Peruvian economy are difficult to predict. Any of those ramifications, or any future adverse conditions related to public health threats, not yet known, could have a material adverse effect on the Peruvian mining sector or on the Peruvian economy.

Health and safety law, environmental laws and other law and regulations may increase our costs of doing business, restrict our operations, or result in the application of fines, revocation of permits or shutdown of our facilities.

Our exploration, exploitation and processing activities are subject to a number of Peruvian laws and regulations, including relating to health and safety, environmental protection, as well as governmental authorizations and certain industry standards. Additional matters subject to regulation include, but are not limited to, concession fees, transportation, production, water use and discharge, power use, electricity generation and transmission, use, handling and storage of explosives and other hazardous materials, land use rights, housing and other facilities for workers, taxation, labor standards, safety, and occupational health.

We are required to comply with occupational health and safety and environmental laws and regulations in Peru where our operations are subject to periodic inspections by the relevant governmental authorities. These laws

and regulations govern, among others: workplace conditions, use of safety equipment, workers insurance coverage, and the handling, storage and disposal of hazardous substances. Compliance with these laws and regulations and new or existing regulations that may be applicable to us in the future could increase our operating costs and adversely affect our financial results of operations and cash flows.

We monitor occupational health and safety and environmental performance and compliance regularly through programs, reports, and activities at our operations. For example, we issue reports according to the Peruvian mining health and safety regulations enacted pursuant to Supreme Decree No. 024-2016-EM, as amended, which regulations include the formation of a committee of security and health in the workplace, producing monthly occupational health and safety statistics, preparing an annual occupational health and safety program, and a training register, among other measures. We also issue reports according to our safety, health, environmental and quality system. These include, among others, a daily report of accidents, a weekly occupational health and safety report, a monthly occupational health and safety newsletter and an annual occupational health and safety plan. Mining is an inherently dangerous activity which involves substantial risks, and both our workers and our contractors' workers are subject to accidents, some of which may result in injuries or death. Accidents are reported to Peruvian authorities as required. Although we believe we comply with these regulations in all material aspects, we cannot assure you that we have been or will be at all times in full compliance with the laws and regulations. Any violation of such laws or regulations could result in substantial fines, criminal sanctions, temporary or permanent shutdown of the affected operations or facilities or the suspension or revocation of authorizations, permits or licenses. Pursuant to certain applicable environmental laws, we could be found liable for all or substantially all of the damages caused by pollution at our current or former facilities or those of our predecessors at disposal sites. We could also be found liable for all incidental damages due to the exposure of individuals to hazardous substances or other environmental damage. We cannot assure you that our costs of complying with current and future environmental and health and safety laws and regulations, and any liabilities arising from past or future releases of, or exposure to, hazardous substances will not materially and adversely affect our business, financial condition, and results of operations.

Furthermore, there is the risk that relevant regulators may impose work stoppages for alleged breaches of operating permits, which we will have to challenge through administrative or judicial actions. The occurrence of any of these events could delay or halt production, increase production costs and result in financial and regulatory liability for us, which could have a material adverse effect on our business, financial condition, results of operations, prospects or liquidity.

Environmental regulations have become increasingly stringent in Peru and we are required to allocate more time and money to compliance and remediation activities. We expect additional environmental laws and regulations will be enacted over time.

Environmental laws and regulations imposing environmental obligations on the mining industry have been enacted in Peru, and we anticipate additional laws and regulations will be enacted over time. Future changes to environmental laws and regulations could increase the extent of investment and work required to be performed by us in order to comply with our environmental obligations, including, but not limited to, reclamation and remediation activities. Any future regulatory developments and possible increases in compliance costs could materially impact the amounts charged to operations in this regard.

Regulatory and industry response to climate change, restrictions, caps, taxes, or other controls on emissions of greenhouse gases, including controls on emissions of carbon-based fuels, controls on effluents and restrictions on the use of certain substances or materials could significantly increase our operating costs. This could also affect our customers and suppliers. A number of governments or governmental bodies have introduced or are contemplating regulatory changes in response to the potential impacts of climate change. These regulatory initiatives will be either voluntary or mandatory and may impact our operations directly or through our suppliers or customers.

The potential impact of climate change on our operations is highly uncertain and would be particular to the geographic circumstances of our facilities and operations. It may include changes in rainfall patterns, water shortages, changing sea levels, changing storm patterns and intensities, and changing temperatures. These effects may materially and adversely impact the cost, production and financial performance of our operations.

In order to operate, mining operations require an approved environmental certification and a mine closure plan ("PCM"). Both the environmental certification and the PCM may be amended from time to time to account for changes introduced in the mining operation (e.g. due to the inclusion or exclusion of components, the modification

of the method of exploitation). Also, the approval process of the environmental certification and its amendments, and other environmental/social compliance documentation, may require arrangement of open hearings with local communities to inform them of the activities to be performed. In such hearings the local communities have the opportunity to voice their opinion and concerns. The National Service of Environmental Certification for Sustainable Investments - SENACE is the entity that approves environmental certifications for the development of medium and large-scale mining projects, while MINEM approves the PCM. In addition, several other environmental, social and regulatory authorizations or permits are required to be obtained from several other governmental entities in order to carry out mining operations.

We cannot assure you that any future projects will be approved or that existing approvals, authorizations, licenses and permits will not be questioned or revoked. Furthermore, we cannot assure you that even if we get the required approvals, licenses, authorizations and permits for any future projects we will not experience opposition from local communities that could impede the development of such projects.

The development of more stringent environmental protection programs in Peru, international conventions and treaties, trade agreements or generally in the industry could impose constraints and additional costs on our operations and require us to make significant capital expenditures in the future. We cannot assure you that future legislative, regulatory, international law, industry, trade or other developments will not have a material adverse effect on our business, properties, operating results, financial condition or prospects.

Our operations depend on our relations and agreements with local communities, and new projects require carrying out a prior consultation procedure.

There are 37 local communities that surround our operations. As of June 30, 2025, we have entered into 79 agreements with 27 of these local communities that mainly provide for the use of their land for our operations. We also interact with regional and local governments and depend on our close relations with local communities and regional/local governments to carry out our operations. In the event that our relations with the communities and regional/local governments were to deteriorate in the future, or the communities do not comply with the existing agreements or renew them upon expiration, it could have a material adverse effect on our business, properties, operating results, financial condition or prospects. Our ability to obtain permits and approvals and to successfully operate in particular communities or to obtain financing may be adversely impacted by real or perceived detrimental events associated with our activities or those of other mining companies affecting the environment, human health and safety or the surrounding communities. Furthermore, in order to develop new projects on land owned by, or in the possession of, third parties, we need to reach an agreement with such third parties in order to use that land. Our failure to reach such agreements or obtain governmental approvals for our new projects could result in a material adverse effect on our business, properties, operating results, financial condition or prospects.

In addition, Law No. 29785 on the Prior Consultation Right of the Indigenous Population, which was passed on September 7, 2011, based on the International Labor Organization's ("ILO") Convention No. 169, ratified by Peru in 1994, provides that the government shall conduct a prior consultation with the local indigenous population prior to the issuance of new laws, regulations and administrative measures, as well as national and regional plans, programs and projects, that may directly affect such communities, including the commencement of mining activities. Regulations to implement the law were approved by Supreme Decree No. 001-2012-MC, as amended, which became effective on April 4, 2012. The regulations specify the form and circumstances of the required consultation, the manner in which agreements therefrom will be documented, and establish that the consultation process must be carried out within 120 calendar days after the date in which the proposed relevant new law, regulation, administrative measure, national or regional plan, program or project is delivered to the affected indigenous population. Under the law, the applicable Peruvian governmental body responsible for issuing or approving the administrative measure or decree in question, rather than the affected local indigenous community, retains the right to approve or reject the relevant legislative or administrative matter following such consultation. However, to the extent that any future projects operated by us require legislative or administrative measures that impact local indigenous communities, the required prior consultation procedure may result in delays and additional expenses. The failure to obtain support for such new project from the relevant indigenous communities may also lead to situations of social tension, which could have a material adverse effect on our business, properties, operating results, financial condition or prospects. See "Regulatory Framework."

Lead pollution and contamination as well as high lead blood levels in children living in communities, around our Cerro de Pasco Unit continue to present a community health risk. Although we believe that this contamination was produced prior to our ownership of the mining operations, and that therefore we do not have any legal liability for the contamination, the risk to community health nonetheless exists. We have collaborated with the Peruvian government and other private mining companies in the area as well as the NGO Prisma to address critical lead and pollution-related health concerns in the Cerro de Pasco community. As a result, we maintain our sustainable commitment by encouraging good health and nutrition practices through awareness-raising programs and medical campaigns in cooperation with local communities.

We may be adversely affected by labor disputes.

We employ more than 10,752 workers to carry out our operations, of which approximately 31.7% are under direct payroll and approximately 68.3% are from mining service contractor companies. As of June 30, 2025, we had twelve front-line workers unions and one Volcan Workers Union Federation among our direct payroll staff. Front-line workers unions represented approximately 33% of direct payroll workers at the Yauli Unit and our Lima headquarters, 4.8% of direct payroll workers in the case of the Cerro de Pasco Unit and 17% in the case of the Chungar and the Alpamarca Units. We negotiate collective agreements with the unions annually. These negotiations generally focus on salaries, working conditions and welfare. Although we consider that our relations with employees and contractors are currently positive, we cannot assure you that we will not experience work slowdowns, work stoppages, strikes or other labor disputes in the future, particularly in the context of the annual renegotiation of our collective agreements, which could have a material adverse effect on our business, financial condition, and results of operations.

Changes in tax laws may increase our tax burden and, as a result, could adversely affect our business, financial condition and results of operations.

The Peruvian government implements changes to tax laws, regulations and the interpretation thereof from time to time. Any such changes may result in increases to our overall tax burden, which would negatively affect our profitability. See “Regulatory Framework” and “Taxation—Peruvian Taxation.” We cannot assure you that the Peruvian government will not implement changes to tax regulations in the future, which could adversely affect our business, financial condition and results of operations.

Our business requires substantial capital expenditures and is subject to financing risks.

Our business is capital intensive. Specifically, the exploration and exploitation of zinc, silver, lead and copper reserves, the mining costs, the maintenance of machinery and equipment and compliance with applicable laws and regulations require substantial capital expenditures. We must continue to invest capital to maintain or to increase the amount of our metal reserves and our production. We expect to invest more than US\$700 million over the next three years to sustain and improve our current operations. We depend on our cash flows for maintenance capital expenditures.

In particular, at our Romina project we have determined the existence of important deposits of zinc, lead and silver, with Puagjanca being the most explored area. In surrounding areas, we determined the existence of the Andrea, Adriana and Esperanza deposits. Our Romina project is expected to produce minerals that will be treated at the concentrator plant located in the Alpamarca Unit and it is estimated that it will enter production in the second half of 2026. See “Management’s Discussion and Analysis of Financial Condition and Results of Operations—Liquidity and Capital Resources—Capital Expenditures” and “Business—Growth Projects.”

We cannot assure you that that we will be able to maintain our production levels or generate sufficient cash flow, capitalize a sufficient amount of our net profit or have access to sufficient investments, loans or other financing alternatives to finance our capital expenditure program at a level necessary to continue our exploration and exploitation activities at or above present levels. In addition, we cannot assure you that any of the existing projects or future projects will be approved or, if approved and executed, that such execution will be completed on schedule, within budget or achieve an adequate return on investment.

Our projects are subject to risks that may result in increased costs or delays that prevent their successful implementation.

We are investing to further increase our production capacity, logistics capabilities and to expand the scope of minerals we produce. Our projects are subject to a number of risks that may materially and adversely affect our growth prospects and profitability, including the following:

- we may encounter delays or higher than expected costs in obtaining the necessary equipment, machinery, materials, supplies, labor or services and in implementing new technologies to develop and operate a project;
- our efforts to develop projects according to schedule may be hampered by a lack of infrastructure, including a reliable power supply;
- we may fail to obtain, or experience delays or higher than expected costs in obtaining, the required agreements, authorizations, licenses and permits to develop a project, including the prior consultation procedure and agreements with local communities;
- changes in market conditions or regulations may make a project less profitable than expected at the time we initiated work on it;
- adverse mining conditions may delay and hamper our ability to produce the expected quantities and qualities of minerals;
- pandemics and other public health events may delay implementation and hinder profitability of projects; and
- conflicts with local communities and/or strikes or other labor disputes may delay the implementation or the development of projects.

The mining business is subject to inherent risks, some of which are not completely insurable.

The business of mining zinc, silver, lead, copper and other minerals is generally subject to a number of risks and hazards. Hazards associated with open pit mining operations include flooding of the open pit, collapse of the open pit wall, accidents associated with the operation of large open pit mining and rock transportation equipment or with the preparation and ignition of large scale open pit blasting operations, production disruptions due to causes such as adverse weather conditions and hazards associated with air pollution, the disposal of tailings, hazardous substances and materials and mineralized waste water, such as groundwater and waterway contamination. Hazards associated with underground mining operations include underground fires and explosions, including those caused by flammable gas, gas and coal outbursts, cave ins or falls of ground, fall of rocks, tunnel collapse, lack of oxygen, air pollution, discharges of tailings, hazardous substances and materials, gases and toxic chemicals, flooding, sinkhole formation and ground subsidence, other accidents and conditions resulting from underground mining, such as drilling, blasting, removing and processing material.

Such occurrences could result in damage to, or destruction of, our properties or production facilities, third party property, human exposure to pollution, personal injury or death, environmental and natural resource damage or contamination, delays in mining, monetary losses, reputational damage and legal liability. We maintain insurance policies in accordance with mining industry standards, and in amounts that we believe to be adequate, but which may not provide complete coverage in certain circumstances. Insurance against certain risks (including certain liabilities for environmental contamination and other hazards as a result of exploration and production) is not generally available or is uneconomical to afford.

We may be materially and adversely affected by challenges relating to slope and tunnel stability.

Our open-pit and underground mines get deeper and our waste and tailings deposits increase in size as we continue with our mining activities, presenting certain geotechnical challenges including the possibility of slope and tunnel failure. If we are required to decrease pit or waste or tailings deposit slope angles, provide additional road access, reinforce tunnels or take additional actions to prevent such a failure, we could incur additional expenses and our operations and stated reserves could be negatively affected. We have taken actions in order to maintain the stability of slopes and tunnels, but additional action may be required in the future. Unexpected failure or additional

requirements to prevent slope and tunnel failure may materially and adversely affect our costs, the results of our operations and financial condition, as well as have the effect of diminishing our stated ore reserves.

Natural disasters could damage our facilities.

Natural disasters continue to pose a significant threat to mining and production facilities, as well as to general infrastructure in Peru. The central Andes region, where the mines are located, is particularly susceptible to earthquakes, landslides, and floods. In 2023, the weather phenomenon known as “El Niño” caused heavy rains and floods in several regions of the country, leading to a 1.1% reduction in the Peruvian GDP. Mining operations in the north and center of the country were affected by floods and landslides, which caused production disruptions and damage to infrastructure. We cannot assure you that we will not experience natural disaster-related damage or casualties in the future, which could materially and adversely affect our ability to conduct our operations and, as a result, reduce our future operating results.

The most common consequences of natural disasters on mining operations are damage to infrastructure, supply chain disruptions, increased operating costs and impact on workers safety and health.

We could be subject to information technology system failures, network disruptions, and breaches in data security which could negatively affect our business, financial position, results of operations, and cash flows.

As dependence on digital technologies is expanding, cyber incidents, including deliberate attacks or unintentional events have been increasing worldwide. Computers and telecommunication systems are used to conduct our exploration, development and production activities and have become an integral part of our business. We use these systems to analyze and store financial and operating data, as well as to support our internal communications and interactions with business partners. Cyber-attacks could compromise our computer and telecommunications systems and result in additional costs as well as disruptions to our business operations or the loss of our data. A cyber-attack involving our information systems and related infrastructure, or those of our business partners, could disrupt our business and negatively impact our operations in a variety of ways, such as, among others:

- an attack on the computers which control our mining operations could cause a temporary interruption of our production;
- a cyber-attack on our accounting or accounts payable systems could expose us to liability to employees and third parties if their sensitive personal information is obtained;
- possible loss of material information, which in turn could delay productive processes and selling efforts, causing economic losses; or
- a cyber-attack on a service provider could result in supply chain disruptions, which could delay or halt our major development projects.

During the initial months of the COVID-19 pandemic in 2020, there was exponential growth in deliberate attacks on our information technology systems. In particular, our email platform suffered several phishing attacks. All attacks have been associated with increased risks such as identity fraud and theft of user credentials. We took the following actions to mitigate the increased risks:

- Implemented multifactor authentication on all our email accounts;
- Enhanced password security by requesting a combination of uppercase, lowercase and special characters;
- Contracted a specialized security service to provide 24-hour management and monitoring of our perimeter security architecture through different security- and cyber-intelligence tools; and
- Implemented an encryption system for all users to increase the security of stored information from theft or loss of the equipment;

On March 29, 2025, Supreme Decree 016-2024-JUS - Regulations of Personal Data Protection Law (*Reglamento de la Ley de Protección de Datos Personales*) came into effect and established a notification obligation for any breach of security that results in the destruction, loss, unlawful alteration of personal data, or unauthorized communication or exposure of such data (“personal data security incident”); which results in the exposure of large volumes of data in terms of quantity or type of data, or which may affect a large number of people, or which involves sensitive data, or in which case there is clear harm to other rights or freedoms of the data subject. We are

obligated to report any such breach to the Peruvian data protection authority within 48 hours after we become aware of such incident.

Moreover, if the personal data security incident affects other rights of the data subjects, we are obliged to inform said data subjects within 48 hours, along with the measures adopted to mitigate its effects, unless such impact has not occurred and the personal data security incident has been fully resolved by the measures adopted.

Since 2020, we have not been the victim of any further cyber-attacks which have resulted in the loss of any confidential data, damage or reputational harm. However, we cannot offer any assurance that we will not suffer similar cybersecurity breaches in the future, which could have a material adverse effect on our business and reputation and expose us to increased liability.

Deliveries under our sales agreements may be suspended or cancelled by our customers in certain cases.

Under our sales agreements, our customers may suspend or cancel delivery of our products in some cases, such as force majeure. Events of force majeure under these agreements generally include, among others, acts of god, strikes, fires, floods, wars, government actions or other events that are beyond the control of the parties. Any suspension or cancellation by our customers of deliveries under our sales contracts that are not replaced by deliveries under new contracts would reduce our cash flow and could materially and adversely affect our financial condition and results of operations.

Interruptions of energy supply or increases in energy costs and other production costs may materially and adversely affect our results of operations.

We require substantial amounts of electricity for our operations. Electricity purchase costs constituted approximately 11% of our total costs in both 2023 and 2024. We obtain the necessary electric power for the operation of our equipment and facilities from (i) our own hydroelectric power plants which cover approximately 18-20% of our total electricity requirements (a percentage that will not be affected by any ongoing or contemplated sale of non-core assets since they do not provide energy to our operations) and (ii) third parties through electricity supply contracts. We also have some small thermoelectric generators as backups. In 2024, we entered into a long-term electricity supply contract with Fenix Power Perú S.A. which will expire on December 31, 2033. In the event of any interruption or failure of our sources of electricity or in transmission lines or in any part of the grid (*Sistema Eléctrico Interconectado Nacional del Perú*, or “SEIN”), we cannot assure you that we will have access to other energy sources at the same prices and conditions, which could materially and adversely affect our results of operations and have a material adverse effect on our business, financial condition and result of operations.

The prices for and availability of energy resources may be subject to change or reduction, respectively, due to, among other things, new laws or regulations, imposition of new taxes or tariffs, supply interruptions, equipment damage, worldwide price levels and market conditions. We thus cannot assure you that prices will not increase in the future. In addition, in 2024, thermoelectric generation with gas represented approximately 38.72% of total energy production in Peru. Consequently, energy prices are highly correlated with gas prices. Disruptions in energy supply or increases in costs of energy resources or increases of other production costs could have a material adverse effect on our financial condition and results of operations.

Shortages of water supply, critical spare parts, maintenance service and new equipment and machinery may materially and adversely affect our operations and development projects.

Our mining operations require significant quantities of water for mining, ore processing and related support facilities. We obtain the majority of the water we use for our operations pursuant to licenses granted for an unlimited period by the Peruvian Water Management Authority (*Autoridad Nacional del Agua* or “ANA”) to exploit our own wells, which are generally granted based on studies of the existing and projected water supply. Although each operation currently has access to sufficient water resources to cover its operational demands, the extinction of some or all water resources, failure in the water supply infrastructure, or the loss of some or all water supply contracts or relevant rights in relation to any of our mines or operations, in whole or in part, or shortages of water could require us to curtail or shut down operations and could prevent us from pursuing expansion opportunities.

Water rights, including licenses, may be terminated by governmental authorities or courts under certain circumstances, including: (i) titleholder’s forfeiture; (ii) annulment of the resolution approving the corresponding

permit, authorization and/or license, declared by the ANA based on certain infringements to the Law of Water Resources, Law No. 29338 (“LWR”), and its regulations enacted by Supreme Decree 001-2010-AG; or (iii) failure to pay applicable water rights fee. According to Peruvian law, authorities may grant temporary water rights, as well as rights for indefinite periods such as those licenses granted to us as on the date hereof, subject to the compliance of certain legal conditions related to the permitted use of the water. Peruvian law establishes that the granting of water rights is subject to the purpose for which would be granted and fluctuations in the availability of water. Water resources must be used efficiently without adversely affecting its quality or the environment, prioritizing primary use (such as water for food preparation, human direct consumption and personal hygiene) and rights for the use of water previously granted.

The available water supply may be adversely affected by shortages or changes in governmental regulations. We cannot assure you that water will be available in sufficient quantities to meet our future production needs or will prove sufficient to meet our water supply needs. In addition, we cannot assure you that our existing licenses related to water rights will be maintained. A reduction of our water supply could materially and adversely affect our business, results of operations, financial condition and ability to repay the notes.

In addition to water and energy, our mining operations require intensive use of equipment and machinery. Shortage in the supply of key spare parts or adequate maintenance service or new equipment and machinery to replace old ones and cover expansion requirements could materially and adversely affect our operations and development projects.

Our financial condition and results of operations may be materially and adversely affected by currency exchange rate fluctuations.

The U.S. dollar is our functional currency and our revenues are primarily denominated in U.S. dollars. However, portions of our operating costs are denominated in soles. Accordingly, when inflation in Peru increases without a corresponding devaluation of the sol, our financial position, results of operations and cash flows could be materially and adversely affected. For the six-month period ended June 30, 2025, approximately 44% of our costs were denominated in soles. These costs mainly include electricity, labor, maintenance, local contractors and fuel. To manage the volatility related to the risk of currency rate fluctuations, we have entered into forward exchange contracts in the past and could use them again in the future. We cannot assure you, however, that currency fluctuations will not have an impact on our financial condition and results of operations.

We engage in hedging activity to reduce the risk associated with metal price volatility, which may not be successful and may result in losses to us.

We currently use metal commodity futures to reduce the risk associated with metal price volatility. In addition, we have used in the past and could use in the future foreign currency forwards to mitigate the risk related to our U.S. dollar revenues and certain payments we make in soles. The net result of hedging operations in the comprehensive income statement was a profit of US\$0.719 million in 2024 and a loss of US\$9.269 million in the first six months of 2025. As of December 31, 2024, we had effective hedge transactions with an accrued profit of \$0.948 million.

Our hedging activities could cause us to lose the benefit of an increase in the prices of the metals we produce if they increase over the level of hedge positions. The cash flows from and the mark-to-market values of our production hedges can be affected by factors such as the volatility of the market price of metals, which are not under our control.

Our hedging agreements contain events of default and termination events that could lead to early close-outs of our hedges such as failure to pay, breach of the agreement, misrepresentation, default under our loans or other hedging agreements and bankruptcy. In the event of an early termination of our hedging agreements, the relevant hedge positions would be settled at that time. In that event, there could be a lump sum payment to be made either to or by us. The magnitude and direction of such a payment would depend upon, among other things, the characteristics of the particular hedge instruments that were terminated and the relevant market prices at the time of termination. See Note 11 to our audited consolidated financial statements and Note 4 to our unaudited interim condensed consolidated financial statements for further information on our hedging activity.

The nature of our business includes risks related to litigation and administrative proceedings that could materially and adversely affect our business and financial performance in the event of an unfavorable ruling.

The nature of our business exposes us to litigation relating to labor, environmental, health and safety matters, regulatory, tax and administrative proceedings, governmental investigations, tort claims and contract disputes, criminal prosecution, among other matters. While we contest these matters vigorously and make insurance claims when appropriate, litigation and other proceedings are inherently costly and unpredictable, making it difficult to accurately estimate the outcome of actual or potential litigation or proceedings. Although we establish provisions as we deem necessary, the amounts that we reserve could vary significantly from any amounts we actually pay due to the inherent uncertainties in the estimation process. We cannot assure you that these or other legal proceedings will not have a material adverse effect on our ability to conduct our business, financial condition and results of operations in the event of an unfavorable ruling.

Our concessions may be terminated or not renewed by governmental authorities.

Under Peruvian law, mineral resources belong to the state and government concessions are required to explore for or exploit mineral reserves. Our mining rights derive from concessions granted by the Geological, Mining and Metallurgical Institute (*Instituto Geológico Minero y Metalúrgico*, or “INGEMMET”) for our exploration and exploitation activities, while our ore processing concessions have been granted by the Directorate General for Mining of MINEM. A concessionaire (concession holder) needs to comply, on an annual basis, with two key obligations to maintain the mining concessions in good standing: (i) paying the applicable validity fees (*derecho de vigencia*), and (ii) achieving a minimum annual production or, if the concessionaire fails to attain such minimum annual production, paying the applicable production penalties. Failure to pay the validity fees and/or the production penalties, if applicable, for two years, consecutive or not, will result in the cancellation of the mining concession, which could have a material adverse effect on our operations, financial condition or prospects. See “*Regulatory Framework*.”

In addition, we have been granted power generation and transmission concessions and authorizations under the Electricity Concessions Law (*Ley de Concesiones Eléctricas*), Law Decree No. 25844 (the “Electricity Concessions Law”) and its regulations. Failure to comply with the obligations set forth by the Electricity Concessions Law and its regulations to maintain the concessions and authorizations in good standing may result in their termination, which could have a material adverse effect on our operations, financial condition or prospects. See “*Regulatory Framework*.”

Transition Metals exercises control over our affairs and policies and its interests may be different from yours.

Transition Metals AG (“Transition Metals”), a subsidiary of the Argentinian investment vehicle Integra Capital Business S.A. (“Integra Business”), owns 55.03% of our Class A voting shares (which represents 22.06% of our total capital stock), granting Transition Metals control over the Company. We cannot assure you that the interests of Transition Metals or Integra Business will not conflict with yours. Transition Metals has the ability to determine the outcome of substantially all matters submitted for a vote to our shareholders and thus exercises control over our business policies and affairs, including the following:

- the appointment of the majority of our board of directors and, as a result, most determinations of our board with respect to our business direction and policy, including the appointment and removal of our officers;
- decisions with respect to acquisitions, sales and dispositions of assets;
- whether dividends are paid or other distributions are made and the amount of any dividends or other distributions; and
- the amount of debt financing that we incur.

See “*Management*” and “*Principal Shareholders and Description of Share Capital*.”

We depend on key managers.

Our success depends largely on the efforts and strategic visions of our executive management teams and board of directors. The loss of key managers and members of our board of directors, or our inability to attract and retain qualified management personnel could materially and adversely affect the success of our operations. We cannot assure you that we will be able to attract and retain qualified management personnel on acceptable terms.

Any acquisitions we make may not be successful; we may make future acquisitions and dispositions that may not achieve expected benefits.

In the late 1990s, we acquired several mining operations including Mahr Tunel S.A., Empresa Minera Paragsha, Compañía Minera Chungar and Vinchos, to expand and consolidate our operations. We regularly consider and evaluate opportunities to acquire mining assets, companies and operations. We may choose to finance these acquisitions through our cash flow, borrowings or the issuance of additional securities. There can be no assurance that we will be able to successfully integrate any acquired assets, companies or operations. In addition, any additional debt we incur to finance an acquisition may materially and adversely affect our financial position and results of operations.

In the future, we may decide to expand our business by acquiring other companies in Peru or abroad in order to diversify our existing portfolio of products and services and expand our geographic footprint, or alternatively, contract our business by disposing some of our assets. Any future acquisitions and dispositions will depend on our ability to identify suitable candidates or buyers, negotiate acceptable terms, and obtain financing in the case of acquisitions. If future acquisitions or dispositions are significant, they could change the scale of our business and expose us to new geographic, political, operating, and financial risks. In addition, each transaction involves a number of risks, such as the diversion of our management's attention from our existing business, possible adverse effects on our results of operations, our inability to achieve the intended objectives of the transaction and potential unknown liabilities associated with the acquired assets.

We may be liable for labor benefits to individuals employed by third party contractors.

We currently have over 3.4 thousand employees. In addition, we engage services from over seven thousand individuals employed by third party contractors. Under Peruvian law, outsourcing of employees from third party contractors is permitted as long as certain requirements are met. To the extent that such requirements are not met, the outsourced company may be jointly liable for all mandatory employment benefits, salaries and social security contributions and, thus, may be required to pay workers used under an outsourcing scheme salaries, social security contributions and profit sharing benefits as if they were employed directly by the outsourced company. Although we believe that we are in material compliance with Peruvian labor laws, we cannot assure you that any legal proceedings initiated by outsourced employees against us will be resolved in our favor and that we will not be liable for any mandatory employment benefits or for profit sharing benefits. See “Regulatory Framework—Labor Regulations” and “—Outsourcing.”

Risks Relating to Peru

Our growth and profitability depend on economic, social and political stability in Peru and other emerging markets.

Substantially all of our revenues are derived from our operations in Peru. Accordingly, our results of operations and general financial condition depend in part on Peruvian markets for labor and certain services, materials, supplies, machinery and equipment, and on factors relating to Peruvian economic, social and political stability generally.

Our financial condition and results of operations could be affected by changes in economic conditions (both domestic and international), policies of the Peruvian government (which has exercised and continues to exercise substantial influence over many aspects of the private sector) and by other economic and political developments in Peru, including devaluation, currency exchange controls, limits on interest rates, seizure of private property, financial regulation, inflation, economic downturns, corruption scandals, social unrest and terrorism, among others.

Historically, Peru's GDP growth rates and external surplus, reflect, in part, the strength of Peru's economic fundamentals. However, ongoing deterioration of the global economy, rising inflation and fluctuation of commodity prices may adversely affect Peru's economy. In addition, an economic contraction or weak economic growth in Peru's trading partners may have an adverse effect on Peru's economy. Despite Peru's ongoing economic growth and stabilization, social and political tensions and high levels of poverty and unemployment continue. In recent years, different regions in Peru (including La Oroya in the central region and Arequipa, Apurimac and Cuzco in the south) have experienced strikes and protests related mainly to the environmental impact of metallic mining activities, resulting in political tensions and commercial disruptions in that area. Future government policies in response to social unrest could include increased taxation, restrictions on the ability of companies to dismiss employees, the prohibition to repatriate profits, and other measures intended to address local communities' demands. These policies could materially and adversely affect the Peruvian economy and, as a result, our business, cash flows, financial condition and results of operations. The combination of these factors may be exacerbated by political events, which may lead to intensified economic, social and/or political crises, sparking a wave of protests and social unrest.

Furthermore, Peru has experienced political instability that has included a succession of regimes with differing economic policies and programs, followed by periods of stability. Beginning in 2018, Peru has suffered a series of government institutional crises due to, among other things, several investigations and allegations of corruption and confrontation on the political front, which have resulted in the resignation of one Peruvian president, the impeachment of four Peruvian Presidents and a shutdown of the Peruvian Congress, including most recently former President Dina Boluarte. On October 10, 2025, Peru's Congress voted to impeach and remove President Dina Boluarte for "permanent moral incapacity" following months of political confrontation related to the inaction of the government against a surge in criminal violence and investigations into alleged misconducts during Boluarte's administration. In accordance with the constitutional rules for presidential succession, when the presidency is vacated and there are no vice presidents, the President of Congress assumes office as interim president. Pursuant to these rules, José Enrique Jerí Oré was sworn in as President and is expected to serve the remaining presidential term until July 2026. General elections are scheduled for April 2026. These developments have further heightened political uncertainty.

Peru's most recent presidential elections took place in April 2021. Following a run-off between the top contenders, José Pedro Castillo Terrones (*Partido Político Nacional Perú Libre*), a far-left candidate, and Keiko Sofia Fujimori Higuachi (*Fuerza Popular*), a center-right candidate. On June 6, 2021, Pedro Castillo was elected and sworn in as President on July 28, 2021. On December 7, 2022, Mr. Castillo announced his intention to dissolve the Peruvian Congress and to intervene in, among others, the Peruvian judicial branch and Superior Court, the Public Ministry, the Constitutional Tribunal and the National Board of Justice (*Junta Nacional de Justicia*) and to call new elections of Congress with faculties to immediately reform the Peruvian Constitution. Mr. Castillo's actions were deemed to constitute an attempted coup, which led to his impeachment and arrest. According to the Peruvian Constitution, Mr. Castillo was succeeded by his then first vice-president, Dina Boluarte to serve the remaining presidential term until 2026. Following Mr. Castillo's impeachment, a wave of protests in support of Mr. Castillo erupted across the country, generating multiple clashes between protesters and security forces, roadblocks and damaging several infrastructure assets across the country which led new President Boluarte to declare a state of emergency across several regions in Peru on December 12, 2022 and submitted a bill to call early general elections in 2024, which was rejected by the Congress.

New presidential elections are scheduled for April 2026. Peru has experienced several past administrations that directly intervened in Peru's economy and social structure, and implemented measures, such as controls on prices, exchange rates, local and foreign investment and international trade, restricted the ability of companies to dismiss employees, expropriated private sector assets and prohibited the remittance of profits to foreign investors. Such political uncertainty, and any future policies that might be implemented by the Peruvian government, could impact interest rates and currency volatility, as well as adversely and materially affect the Peruvian economy, which could have a material adverse effect on our business, financial condition or results of operations. See "—The re-implementation of certain laws by the Peruvian government, most notably restrictive exchange rate policies, could have an adverse effect on our business, financial condition or results of operations." The removal of President Boluarte, the installation of an interim administration, and any related prosecutorial actions may prolong uncertainty, weigh on investor sentiment, and heighten policy volatility, which could amplify the macroeconomic and market risks described herein.

We cannot assure you that Peru will avoid ongoing or emerging economic, political or social challenges in the future or that these challenges will not adversely affect our business, financial condition and results of operations. Future government policies to avoid or respond to social unrest could include, among other things, declarations of state of national emergency, expropriation, nationalization, suspension of the enforcement of creditors' rights and new taxation policies. Additionally, further impeachment initiatives, constitutional complaints, or changes in the interim administration's status—such as the calling of early general elections—could disrupt the policy agenda and administrative continuity, potentially affecting regulatory stability and the operating environment.

Political uncertainty may adversely affect our business, financial condition and results of operations.

On October 10, 2025, President Dina Boluarte was impeached and removed from office, following political confrontation related to government inaction against a surge in criminal violence and investigations into alleged misconducts during Boluarte's administration. The President of the Congress, José Enrique Jerí Oré, assumed the office of the presidency pursuant to the constitutional rules of presidential succession. The interim president can be replaced if Congress approves a vote of no confidence (*moción de censura*) against the Directive Board (*Mesa Directiva*) of Congress, in which case the President of the new Directive Board shall assume the office of the presidency. In April 2026, Peru is scheduled to hold general elections to elect a new President, a Senate and a Chamber of Deputies for a five-year term. The interim administration and the authorities to be elected in 2026 will be entitled to enact, amend or repeal laws and regulations that may apply to us. Most Peruvian administrations and members of Congress elected in the last 35 years have generally maintained economic policies based on free market and contractual liberty. All these principles are also set forth in the Peruvian Constitution. Nevertheless, a new administration may pursue policies that are detrimental to the Peruvian economy and/or that may negatively affect our business and industry in general, and our results of operations and/or financial condition, in particular.

It is anticipated that candidates from several political parties with different and opposite political views will participate in the elections to be held in 2026. Some of these political parties hold favorable views towards a controlled market and strong governmental intervention in the economy. Although a drastic change in the actual economic model would require the amendment of the economic chapter of the Peruvian Constitution, we cannot assure you that a change to the Peruvian Constitution or policies against free market and subsidiary intervention of the government in the economy will not be promoted by the new authorities. Furthermore, we cannot assure you that such new authorities will not enact, amend or repeal laws and regulations currently applicable to us and our business that could have an adverse effect on our financial condition and our results of operations or the trading price of the notes.

In the past, the possibility of a political outsider or a radical leftist candidate being elected President has been a source of political instability in Peru and has generated negative economic consequences. Increased political turmoil or an electoral victory by a Presidential candidate perceived to favor governmental intervention in the economy may have an adverse effect on investors' perception of the country's risk. Additionally, any newly elected President and the controlling party of the Senate or the Chamber of Deputies could be from different political parties, or there could even be no outright majority in either chamber, situations that could lead to fragmented forums which may adversely affect the Peruvian government's ability to pass legislation to implement policies or address economic or social challenges.

Any changes in the Peruvian political stability or the Peruvian Government's economic policies may have a negative effect on our business, financial condition and results of operations.

The market volatility generated by distortions in the international financial markets may affect the Peruvian capital markets.

The global financial and economic crisis of 2008 and 2009, and more recently, the COVID-19 pandemic and the market turmoil generated by the recent bank failures in the United States and the emergency sale of Credit Suisse, adversely affected and increased the volatility of the performance of the Lima Stock Exchange. The Lima Stock Exchange was downgraded from an "emerging market" to "frontier market" in September 2020, which may in the future affect trading activity in the Peruvian capital markets.

In recent years, the Lima Stock Exchange has experienced increased participation from local and international retail investors that react rapidly to the effects from international markets. The general index of the Lima Stock Exchange increased by 1.0% in 2022, by 21.7% in 2023, by 11.6% in 2024 and by 13.0% in the six months ended June 30, 2025. However, increased volatility in the international markets may adversely affect the Peruvian capital markets and could therefore impact our ability to raise funds from local capital markets at a level necessary to fund our operations.

The re-implementation of certain laws by the Peruvian government, most notably restrictive exchange rate policies, could have an adverse effect on our business, financial condition and results of operations.

Since 1991, the Peruvian economy has undergone a major transformation from a highly protected and regulated system to a free-market economy. During this period, protectionist and interventionist laws and policies have been gradually dismantled to create a liberal economy led by the private sector and market conditions. The Peruvian economy has generally performed well under these policies. GDP has grown at an average annual rate of over 4.26% during the period from 2000 to June 2025, though only grew at an average annual rate of 1.3% from 2020 to 2024, according to the Peruvian Central Bank. Currency exchange controls and restrictions on remittances of profits, dividends and royalties have ceased. Prior to 1991, Peru exercised control over the foreign currency exchange markets by imposing multiple exchange rates and placing restrictions on the possession and use of foreign currencies. In 1991, the Peruvian government eliminated all foreign currency exchange controls and unified exchange rates. Currently, foreign currency exchange rates are determined by market conditions, with regular purchases of U.S. dollars in the local market by the Peruvian Central Bank in order to reduce volatility in the value of the sol.

In the future, the Peruvian government may institute restrictive exchange rate policies and restrictions on remittances of profits, dividends and royalties. Any such policies could affect our ability to engage in foreign currency exchange activities, and could also have a material adverse effect on our business, results of operations, financial condition and ability to repay the notes.

Peru has different corporate disclosure rules than holders may be familiar with in other markets.

The securities laws and regulations in Peru have as a principal objective promoting disclosure of all material corporate information to the public. Peruvian disclosure requirements, however, differ from those in the United States and other jurisdictions in some important respects. In addition, although Peruvian law imposes restrictions on insider trading and price manipulation, applicable Peruvian laws are different from those in the United States and other countries, and in certain respects the Peruvian securities markets are not as highly regulated and supervised as the securities markets in other jurisdictions.

The perception of higher risk in other emerging economies may materially and adversely affect the Peruvian economy, our business and the market price of securities issued by Peruvian issuers, including the notes.

Emerging markets like Peru are subject to greater risks than more developed markets, and financial turmoil in any emerging market could disrupt business in Peru and adversely affect the price of the notes. Moreover, financial turmoil in any important emerging market country may materially and adversely affect prices in stock markets and prices for debt securities of issuers in other emerging market countries as investors move their money to more stable, developed markets. An increase in the perceived risks associated with investing in emerging markets could dampen capital flows to Peru and materially and adversely affect the Peruvian economy in general, and the interest of investors in our notes, in particular. We cannot assure you that investors' interest in Peru, and in our notes, will not be materially and adversely affected by events in other emerging markets or the global economy in general.

Increased inflation in Peru could have an adverse effect on the Peruvian economy and, therefore, on our financial condition and results of operations.

The Peruvian Central Bank, which sets the Peruvian reference interest rate, may increase or decrease the reference interest rate to control inflation or reduce borrowing costs in recessive periods. The Peruvian inflation rate for the last ten years has been generally controlled with a peak of 7.92%, in 2022 after the COVID-19 pandemic, but has normalized to a rate of 1.97% in 2024, within the Peruvian Central Bank target levels. However, a return to a high inflation environment that Peru had in the past would undermine Peru's foreign competitiveness, with negative

effects on the level of economic activity and employment, while increasing our operating costs and adversely impacting our operating margins.

Corruption and ongoing high profile corruption investigations may hinder the growth of the Peruvian economy and have a negative impact on our business and operations.

In recent years, corruption scandals have taken place in the majority of Peruvian public institutions, with the involvement of political authorities at municipal, regional and national government levels, and former government officials have been detained. In the first quarter of 2024, the Peruvian prosecutor's office initiated preliminary investigations against former President Dina Boluarte for her alleged irregular possession of a collection of luxury watches and jewelry, which culminated in her impeachment and removal on October 10, 2025. In addition, further developments have occurred in relation to criminal judicial procedures against three former Presidents of Peru. Alejandro Toledo Manrique was convicted twice (in first instance) to 20 and 13 years in prison and Ollanta Humala Tasso was convicted (in first instance) to 15 years in prison, while the oral trial of Martin Vizcarra Cornejo commenced in October 2024.

These investigations have resulted in suspension or delay of infrastructure projects and adversely affected economic growth in Peru.

We cannot predict how these or future corruption scandals or investigations may affect the Peruvian economy, hinder the growth of the Peruvian economy and indirectly have a material adverse effect on our business, financial condition and results of operations.

The laws of Peru related to anti-bribery and anti-corruption are still developing and could be less stringent than those of other jurisdictions, and our risk management and internal controls may not be successful in preventing or detecting all violations of law or of company-wide policies.

Our business is subject to a significant number of laws, rules and regulations, including those relating to anti-bribery and anti-corruption. However, the Peruvian regulatory regime related to anti-bribery and anti-corruption legislation is still developing and could be less stringent than anti-bribery and anti-corruption legislation which has been implemented in other jurisdictions.

We have implemented a compliance program in order to prevent acts of bribery, corruption, money laundering and other related criminal actions within our institution, in accordance with the requirements of Law N°30424, as amended, and its regulations. However, our existing compliance processes and internal control systems may not be sufficient to prevent or detect all inappropriate practices, fraud or violations of law by our partners, employees, contractors, agents, officers or any other persons with whom we conduct business or who do so on our behalf. We may discover in the future instances where we fail to comply with applicable laws and regulations or internal controls. If any of our partners, employees, contractors, agents, officers or other persons with whom we conduct business engage in fraudulent, corrupt or other improper or unethical business practices or otherwise violate applicable laws, regulations or our own internal compliance systems, we could become subject to one or more enforcement actions by Peruvian or foreign authorities (including the U.S. Department of Justice) or otherwise be found to be in violation of such laws, which may result in penalties, fines and sanctions and in turn adversely affect our reputation, business, financial condition and results of operations.

Risks Relating to the Notes and the Guarantees

Our substantial indebtedness may make it difficult for us to service our debt, including the notes, and to operate our businesses.

We have, and assuming the offer and sale of the notes is consummated, will continue to have, a significant amount of indebtedness. As of June 30, 2025, after excluding intercompany balances and intercompany guarantees and excluding interest and fees, we and the Subsidiary Guarantors had US\$733.4 million of outstanding consolidated indebtedness of which US\$630.1 million was secured indebtedness (in each case, without incorporating the effects of measurement at amortized cost under IFRS). We anticipate that our substantial indebtedness will continue for the foreseeable future. Our substantial indebtedness may have important negative consequences for you, including:

- making it more difficult for us and the Subsidiary Guarantors to satisfy our obligations with respect to our debt, including the notes and other liabilities;
- requiring that a substantial portion of the cash flow from operations of our operating subsidiaries be dedicated to debt service obligations, thus reducing the availability of cash flow to fund internal growth through working capital and capital expenditures and for other general corporate purposes;
- increasing our vulnerability to economic downturns in our industry;
- exposing us to interest rate increases;
- limiting our flexibility in planning for or reacting to changes in our business and our industry;
- restricting us from pursuing strategic acquisitions or exploiting certain business opportunities;
- limiting, among other things, our and the Subsidiary Guarantors' ability to borrow additional funds or raise equity capital in the future and increasing the costs of such additional financings; and
- placing us at a competitive disadvantage compared to our competitors that have less debt.

In the event of significant and/or sustained financial difficulties, there is no guarantee that we would continue to be able to meet all of our debt service obligations. Any inability to meet such debt service obligations could result in insolvency proceedings or reorganization and investors could lose all or a significant portion of their investment.

Despite our current substantial indebtedness, we may be able to incur substantially more debt, which could further exacerbate the risks of our indebtedness.

Subject to the restrictions in the indenture governing the notes and in other instruments governing our debt, such as the 2030 Notes Indenture and the Collateral Documents (as defined below), we and our subsidiaries may be able to incur substantial additional debt in the future. Although the terms of the indenture governing the notes and in other instruments governing our debt, such as the 2030 Notes Indenture and the Collateral Documents, contain restrictions on the incurrence of additional debt, these restrictions are subject to a number of significant qualifications and exceptions, and debt incurred in compliance with these restrictions could be substantial. To the extent new debt is added to our current debt levels, the substantial leverage-related risks described above would increase. For example, we would be required to use a portion of future cash flow from operating activities to service the principal and interest payments on such indebtedness, which will reduce the funds available for operations, including capital investments and business expenses.

In addition, we may be able to incur additional debt that ranks on an equal and ratable basis with the notes, and the holders of that debt will be entitled to share ratably with the holders of the notes in any proceeds distributed in connection with an insolvency, liquidation, reorganization, dissolution or other winding-up of us subject to satisfaction of certain debt limitations. We may also incur additional debt that could mature prior to the notes. This may have the effect of reducing the amount of proceeds available to be paid to you. Any such additional debt could further exacerbate the risks of our indebtedness. See "Description of Notes—Covenants—Limitation on Liens."

The notes will be structurally subordinated to the indebtedness and other liabilities of certain of our present and future subsidiaries that do not become guarantors, and to indebtedness secured by assets other than Collateral, to the extent of the value of such assets.

The notes are not guaranteed by all of our present subsidiaries and may not be guaranteed by all of our future subsidiaries and therefore will be structurally subordinated to the outstanding indebtedness and other liabilities of certain of our present and future subsidiaries that do not become guarantors. If one of our subsidiaries who is not a guarantor were to be liquidated, subject to the Cash Flows Trust (as defined below), the creditors of that subsidiary would be paid in full from the assets of the liquidated subsidiary before holders of the notes would be paid from those assets. For the six months ended June 30, 2025, our revenues combined with the revenues of the Subsidiary Guarantors were US\$568.0 million, representing 100% of our consolidated revenues. As of June 30, 2025, we and the

Subsidiary Guarantors had combined assets of US\$1,827.5 million, representing 100% of our consolidated assets. See “Description of Notes—Subsidiary Guarantees.”

Although Collateral is comprised of the Company’s and the Subsidiary Guarantors’ material assets as described in “*Description of Notes—Collateral*”, the liens on the Collateral may be subject to existing liens and permitted liens or rights on the Collateral. These existing and permitted liens or rights may have priority over the liens securing the notes to the extent of the assets subject to such liens. As a result, if there is a default, holders of debt secured by such existing and permitted liens, or holders of such rights will have a senior claim to the specified assets ahead of the holders of the notes. This could materially and adversely affect the value of the Collateral and the ability to recover amounts due under the notes, potentially resulting in reduced recoveries or losses for noteholders.

The results of operations of the Subsidiary Guarantors and restrictions on the ability of our subsidiaries to make dividend payments or other distributions to us could affect our ability to make payments on the notes.

The obligations to make payments of principal, premium, if any, and interest on the notes will be solely our and the Subsidiary Guarantors’ obligations. As some of our assets are held by the Subsidiary Guarantors, the results of operations of the Subsidiary Guarantors could affect our ability to make principal or interest payments on the notes.

Furthermore, in order to pay our obligations under the notes, we rely on cash from dividends, loans, interest payments, capital reductions and other distributions from our subsidiaries. Our ability to make interest and principal payments under the notes will depend on the ability of our subsidiaries to generate, and our ability to collect, sufficient cash flow from their operations. We cannot assure you that our subsidiaries will be able to generate and that we will be able to collect sufficient cash flow to meet all of our collective expenses, including our debt service requirements. The ability of our subsidiaries to make dividend or other payments to us are affected by, among other factors, the obligations of our subsidiaries to their creditors (including as a result of the Subsidiary Guarantees), requirements of the relevant corporate and other laws in the jurisdiction in which each subsidiary operates, and restrictions contained in agreements entered into by or relating to these entities. To the extent that the cash requirements of any of our subsidiaries exceed their available cash, such subsidiary will not be able to make cash available to us. Any of these conditions could adversely affect our business, results of operations and financial condition, and as a result our ability to make principal and interest payment on the notes.

To the extent that any of our future subsidiaries do not become guarantors, such non-guarantor subsidiaries would not have an obligation to pay amounts due on the notes or to make funds available to us for that purpose. While the indenture governing the notes limits the ability of our subsidiaries to incur consensual restrictions on their ability to pay dividends or make intercompany payments to us, these limitations are subject to certain qualifications and exceptions.

Our obligations under the notes and the guarantees will be subordinated to certain statutory liabilities.

Under Peruvian bankruptcy law (*Ley General del Sistema Concursal*), Law No. 27809, our obligations under the notes and the guarantees are subordinated to certain statutory preferences. In the event of our bankruptcy, such statutory preferences, including claims for salaries, wages, secured obligations to the extent of the value of the assets securing such indebtedness, social security, taxes, court fees and expenses related thereto, will have preference over any other claims, including claims by any investor in respect of the notes and the guarantees.

It is possible that the guarantees may not be enforceable in the event of insolvency or bankruptcy or may be limited as to enforcement.

The guarantees provide a basis for a direct claim against the Subsidiary Guarantors. However, it is possible that the guarantees may not be enforceable under the law of the jurisdiction of the organization of such guarantor or U.S. federal or state law. In particular, while the laws of these jurisdictions do not prevent the guarantees from being granted, in the event that a Subsidiary Guarantor is declared insolvent or bankrupt, the relevant guarantee could be voided, or claims in respect of a guarantee could be subordinated to all other debts of that Subsidiary Guarantor if, among other things, the Subsidiary Guarantor, at the time it provided its guarantee:

- issued such guarantee by means of misrepresentation;

- provided the guarantee with the intent to hinder, delay or defraud current or future creditors;
- received less than reasonably equivalent value or fair consideration for the incurrence of such guarantee;
- was insolvent or rendered insolvent by reason of such incurrence;
- was engaged in a business or transaction for which the Subsidiary Guarantor's remaining assets constituted unreasonably small capital; or
- intended to provide, or believed that it would provide, the guarantee beyond its ability to repay it upon its maturity.

If a court were to find that the incurrence of the guarantee was a fraudulent transfer or conveyance, the court could void the payment obligations under such guarantee or subordinate the guarantee to presently existing and future indebtedness of the applicable guarantor, or require the holders of the notes to repay any amounts received in respect of such guarantee. In the event of a finding that a fraudulent transfer, conveyance or preference occurred, you may not receive any payment on the notes in respect of such guarantee.

Although each guarantee entered into by a Subsidiary Guarantor will contain a provision intended to limit such Subsidiary Guarantor's liability to the maximum amount that it could incur without causing the incurrence of obligations under its guarantee to be a fraudulent transfer, this provision may not be effective to protect those guarantees from being voided under fraudulent transfer law, or may reduce that guarantor's obligation to an amount that effectively makes its guarantee worthless.

Holders of the notes may find it difficult to enforce civil liabilities against us, our directors, officers and the Subsidiary Guarantors.

The issuer and the Subsidiary Guarantors are organized under the laws of Peru. All of our directors and officers reside outside of the United States. In addition, all or a substantial portion of our assets are located outside of the United States. As a result, it may be difficult for holders of the notes to effect service of process within the United States on such persons or to enforce judgments against them or us, including in any action based on civil liabilities under the U.S. federal securities laws. There is uncertainty as to the enforceability against such persons in Peru, whether in original actions or in actions to enforce judgments of U.S. courts, of liabilities based solely on the U.S. federal securities laws. In addition, the bankruptcy, insolvency, administrative and other laws of Peru may be materially different from, or in conflict with, each other, including in the areas of rights of creditors, priority of government entities and other third-party and related-party creditors, treatment of intercompany debt, ability to obtain post-bankruptcy filing loans or to pay interest and the duration of proceedings. The laws of Peru may not be as favorable to your interests as the laws of jurisdictions with which you are familiar. See *"Enforcement of Judgments."*

The notes and the guarantees are a new issue of securities for which there is currently no public market. You may be unable to sell your notes if a trading market for the notes does not develop.

The offer and sale of the notes and the guarantees have not been registered under the Securities Act or the securities laws of any other jurisdiction and the notes are being offered and sold only to qualified institutional buyers within the meaning of Rule 144A and in offshore transactions to persons other than U.S. persons pursuant to Regulation S. The notes and the guarantees will constitute a new issue of securities with no established trading market. If a trading market does not develop or is not maintained, holders of the notes may experience difficulty in reselling the notes or may be unable to sell them at all. Application has been made for the listing of and quotation for the notes on the Euro MTF Market of the Luxembourg Stock Exchange.

There are restrictions on your ability to transfer the notes.

The notes and the guarantees have not been registered under the Securities Act or any state securities laws and may not be offered or sold within the United States or to, or for the account or benefit of, U.S. persons except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act and applicable state securities laws. Such exemptions include offers and sales that occur outside the United States in compliance with Regulation S and in accordance with any applicable securities laws of any other jurisdiction and

sales to qualified institutional buyers as defined under Rule 144A. For a discussion of certain restrictions on resale and transfer, see “*Plan of Distribution*” and “*Transfer Restrictions*.” Consequently, a holder of notes and an owner of beneficial interests in those notes must be able to bear the economic risk of their investment in the notes and the guarantees for the term of the notes and the guarantees.

We may not have the ability to raise the funds necessary to finance the change of control offer required by the indenture governing the notes.

Under the indenture governing the notes, if a Change of Control Triggering Event (as defined in “Description of Notes—Change of Control Triggering Event” and “—Certain Definitions”) occurs, we must offer to purchase the notes for a price equal to 101% of the principal amount of the notes, plus any accrued and unpaid interest to the date of purchase. In addition, even if a Change of Control Triggering Event under the indenture does not occur, the occurrence of a change of control under other debt instruments may require us to refinance large amounts of such debt. We may not have sufficient funds available to us to make any required repayments under such debt instruments or repurchases of the notes upon a Change of Control Triggering Event. If we fail to repay such indebtedness or repurchase the notes in those circumstances, we will be in default under indenture or such other debt instruments, which default may, in turn, trigger cross-default provisions in the indenture or our other debt instruments, as the case may be. Any future debt that we incur may also contain restrictions on repurchasing the notes upon a change of control.

We cannot assure you that the credit ratings for the notes will not be lowered, suspended or withdrawn by the rating agencies.

The credit ratings of the notes may change after issuance. Such ratings are limited in scope, and do not address all material risks relating to an investment in the notes, but rather reflect only the views of the rating agencies at the time the ratings are issued. An explanation of the significance of such ratings may be obtained from the rating agencies. We cannot assure you that such credit ratings will remain in effect for any given period of time or that such ratings will not be lowered, suspended or withdrawn entirely by the rating agencies, if, in the judgment of such rating agencies, circumstances so warrant. Any lowering, suspension or withdrawal of such ratings may have an adverse effect on the market price and marketability of the notes.

The price of the notes is subject to volatility.

The market price of the notes could be subject to significant fluctuations due to various factors, including actual or anticipated fluctuations in our financial performance, losses of key personnel, economic downturns, political events in Peru or other jurisdictions in which we operate, developments affecting the mining industry, changes in financial estimates by securities analysts, the introduction of new technologies by us or our competitors, or our failure to meet expectations of analysts or investors. In addition, any lowering, suspension or withdrawal of the credit ratings of the notes or other debt securities issued by Volcan or its subsidiaries may have an adverse effect on the market price and marketability of the notes and/or any other securities issued by Volcan or its subsidiaries. See “—We cannot assure you that the credit ratings for the notes will not be lowered, suspended or withdrawn by the rating agencies.”

The notes are also subject to redemption as set forth under “Description of Notes—Optional Redemption,” including pursuant to an Optional Clean-Up Redemption (see “Description of Notes—Optional Redemption—Optional Clean-Up Redemption”), which may be effected at a price below par. As a result, investors may not be able to reinvest the proceeds at a rate of return comparable to that of the notes.

Developments in other countries may adversely affect the market value of the notes.

The market price of the notes may be adversely affected by developments in the international financial markets and world economic conditions. The Peruvian securities market is influenced, to varying degrees, by economic and market conditions in other countries, especially China, the United States and countries in Latin America and other emerging markets. Although economic conditions are different in each country, investor reaction to the developments in one country may affect the securities of issuers in other countries, including Peru. We cannot assure you that the market for the securities of Peruvian issuers will not be affected negatively by events elsewhere or that such developments will not have a negative impact on the market value of the notes.

Risks Relating to the Collateral for the notes

There are circumstances other than repayment or discharge of the notes under which the Collateral will be released automatically, without the consent of the holders of the notes or the Trustee, including upon repayment in full of the 2030 Notes, in connection with any release of liens on such Collateral following the sale or disposition of Collateral or certain other circumstances.

There are circumstances other than repayment or discharge of the notes under which Collateral will be released automatically, without the consent of the holders of the notes or the Trustee. In particular, upon payment in full of all obligations under the 2030 Notes, subject to our ability to obtain a ratings affirmation with respect to such Collateral release, the Collateral securing the notes will be automatically released. In addition, the Collateral will be released automatically upon a sale, transfer or other disposal of such Collateral in a transaction not prohibited under the Indenture to a person that is not the Company, a Subsidiary Guarantor or a Restricted Subsidiary, or in connection with the taking of an enforcement action by the Peruvian Collateral Agent or the Chilean Collateral Agent on the instructions of the Applicable Collateral Agent subject to the terms of the Indenture, *provided* that the proceeds from such dispositions shall be applied in accordance with the Indenture and the Intercreditor Agreement. See “Description of Notes—Collateral—Collateral Release.”

Even though the holders of the notes will benefit from liens on the Shared Collateral, the representative of the creditors with the greatest outstanding principal amount has the exclusive right to control actions (including the exercise of remedies) with respect to the Shared Collateral. The Intercreditor Agreement contains customary provisions for a New York law intercreditor agreement, but it does not contain any provisions that seek to address non-New York law insolvency and restructuring considerations.

The rights of the holders of the notes in the Shared Collateral (including the right to exercise remedies) will be subject to the Intercreditor Agreement among the Peruvian Collateral Agent, the Chilean Collateral Agent, the Trustee, the Notes Collateral Agent, the 2030 Notes Trustee and any representative for the holders of future *pari passu* obligations. Under the Intercreditor Agreement, after the discharge of all obligations under the Credit Agreement, expected at the closing of this offer, any actions that may be taken with respect to the Shared Collateral, including the ability to cause the commencement of enforcement proceedings against the Shared Collateral or to control such proceedings, shall be at the direction of the authorized representative for the secured debt that has the greatest outstanding principal amount. That authorized representative that will have the right to control the actions and remedies with respect to the Shared Collateral may not be the Trustee in case another *pari passu* secured debt has a greater outstanding amount, pursuant to the provisions of the Intercreditor Agreement.

Under the Intercreditor Agreement, none of the Trustee, the Notes Collateral Agent or the Holders of the notes may object following the filing of a bankruptcy petition or commencement of any other insolvency, restructuring or liquidation proceeding to (i) any debtor-in-possession financing that is not opposed or objected to by the controlling authorized representative or (ii) the use of the Shared Collateral to secure debtor-in-possession financing that meets certain specified conditions, subject to limited exceptions. After the filing of any bankruptcy petition or commencement of any other insolvency, restructuring or liquidation proceeding, the value of the Shared Collateral could materially deteriorate. For a description of important waivers by holders of the notes and limits on their rights as secured creditors see “Description of Notes—Collateral—Intercreditor Agreement—Administration and Enforcement of the Collateral.”

The Intercreditor Agreement contains customary provisions for New York Law intercreditor agreements governing priority of claims among secured creditors. See “Description of Notes—Collateral—Intercreditor Agreement.” While all of the Subsidiary Guarantors are incorporated, organized, formed, registered or have their center of main interest in jurisdictions other than New York, the Intercreditor Agreement does not contain provisions specific to these jurisdictions.

There may not be sufficient collateral to pay all or any of the notes or it may be difficult to realize the value of the Collateral.

No appraisal of the value of the Collateral will be made in connection with the offer of the notes and the value of the Collateral in the event of liquidation will depend on market and economic conditions and other factors. The amount to be received upon a sale of the Collateral would be dependent on numerous factors, including, but not limited to, the actual fair market value of the Collateral at such time, the timing and the manner of the sale and

the availability of buyers. By its nature, portions of the Collateral may be illiquid and may have no readily ascertainable market value. Accordingly, there can be no assurance that the Collateral can be sold in a short period of time or in an orderly manner. In the event of a foreclosure, liquidation, reorganization, bankruptcy or other insolvency proceeding, we cannot assure you that the proceeds from any sale or liquidation of the Collateral will be sufficient to pay our obligations under the notes. In addition, in the event of any such proceeding, the ability of the holders of the notes to realize upon any of the Collateral may be subject to bankruptcy and insolvency law limitations. In the event that the proceeds from the foreclosure of the Collateral are insufficient to satisfy our obligations under the notes, the overall recovery of a holder of the notes could therefore be materially adversely affected. Furthermore, in the event proceeds from the foreclosure of the Collateral were to exceed the amount required to satisfy our secured obligations, such surplus amount would be returned to us and could be subject to claims from any of our other creditors.

The value of the Collateral and the guarantees could be impaired in the future as a result of changing economic conditions, our failure to implement our business strategy, competition, unforeseen liabilities and other future events. Accordingly, there may not be sufficient Collateral to pay all or any of the amounts due on the notes, the 2030 Notes and any future *pari passu* lien obligations. Any claim for the difference between the amount, if any, realized by holders of the notes from the sale of the Collateral and the guarantees and the obligations under the notes, the 2030 Notes and any future *pari passu* lien obligations will rank equally in right of payment with all of our other unsecured unsubordinated indebtedness and other obligations, including trade payables. Also, any disposition of the Collateral during a bankruptcy or insolvency proceeding outside the ordinary course of our business would require approval from the bankruptcy court (which may not be given under the circumstances).

To the extent that third parties enjoy prior liens on any of the Collateral, such third parties may have rights and remedies with respect to the Collateral that, if exercised, could adversely affect the value of the Collateral. In addition, certain assets, including the Alparmarca Mining Unit and the Romina Project Assets, will be excluded from the Collateral. Additionally, the terms of the indenture will allow us to issue additional notes and additional debt that may rank *pari passu* with the notes and incur refinancing indebtedness in certain circumstances. The indenture will not require that we maintain the current level of collateral or maintain a specific ratio of indebtedness to asset values. Under the indenture, any such additional notes issued pursuant to the indenture and refinancing indebtedness or other additional debt incurred in accordance with the terms of the indenture will rank *pari passu* with the notes and be entitled to the same rights and priority with respect to the Collateral. Thus, the issuance of any such additional debt and refinancing indebtedness may have the effect of significantly diluting your ability to recover payment in full of the notes from the then existing pool of Collateral.

In addition, the security interest of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, for the benefit of the holders of the notes will be subject to practical problems generally associated with the realization of security interests in collateral. For example, such Peruvian Collateral Agent or Chilean Collateral Agent, as applicable, may need to obtain the consent of a third party, including regulatory consents, to obtain or enforce a security interest in a contract. We cannot assure you that the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, will be able to obtain any such consent. We also cannot assure you that the consents of any third parties will be given when required to facilitate a foreclosure on such assets. Accordingly, the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, may not have the ability to foreclose upon those assets and the value of the Collateral may significantly decrease.

We will, in most cases, have control over the Collateral, and the sale of particular assets by us could reduce the pool of assets securing the notes and any future guarantees. In addition, certain assets, including the Alparmarca Mining Unit and the Romina Project Assets, will be excluded from the Collateral.

Subject to the terms of the Intercreditor Agreement, the Collateral Documents allow us to remain in possession of, retain exclusive control over, freely operate, and collect, invest and dispose of any income from, the Collateral. In addition, we are not required to comply with Section 314(d) of the Trust Indenture Act of 1939, or any other law governing the delivery of a certificate or opinion to the trustee prior to the release of collateral secured by a lien as the case may be. As a result, so long as no default or event of default under the indenture would result therefrom, we may, among other things, without any release or consent by the Trustee, conduct ordinary course activities with respect to the Collateral, such as selling, factoring, abandoning or otherwise disposing of Collateral and making cash payments (including repayments of indebtedness). The lien on the Collateral will be

automatically released upon any permitted disposition thereof to a person that is not the Company, a Subsidiary Guarantor or a Restricted Subsidiary. See “Description of Notes.”

In addition, certain assets, including the Alpamarca Mining Unit and the Romina Project Assets, are excluded from the Collateral. See “Description of Notes—Collateral.”

The value of the Collateral may not be sufficient to secure post-petition interest in bankruptcy.

In the event of a bankruptcy, liquidation, dissolution, reorganization or similar proceeding commenced by or against us in the U.S., holders of the notes will only be entitled to post-petition interest under the Bankruptcy Code to the extent that the value of the Collateral is greater than the obligations outstanding under the notes, the 2030 Notes and any other indebtedness secured by *pari passu* liens. In the event the value of the Collateral is equal to or less than such claims, the holders of the notes will not be entitled to post-petition interest under the Bankruptcy Code or adequate protection for any undersecured portion thereof. No appraisal of the fair market value of the Collateral has been prepared in connection with the offer and sale of notes and we therefore cannot assure you that the value of the Collateral equals or exceeds the amount of such claims. See “—There may not be sufficient collateral to pay all or any of the notes or it may be difficult to realize the value of the Collateral.”

In the event of our bankruptcy, the ability of the holders of the notes to realize upon the Collateral will be subject to certain bankruptcy law and other limitations.

The ability of holders of the notes to realize upon the Collateral will be subject to certain bankruptcy law limitations in the event a bankruptcy, liquidation, dissolution, reorganization or similar proceeding is commenced by or against us. Under the U.S. Bankruptcy Code, secured creditors are prohibited from repossessing their security from a debtor in a bankruptcy case without bankruptcy court approval and may be prohibited from disposing of security repossessed from such a debtor without bankruptcy court approval, which may not be given or could be materially delayed. Moreover, the U.S. Bankruptcy Code generally permits the debtor to continue to retain and use collateral, including cash collateral, during bankruptcy, even though the debtor is in default under the applicable debt instruments, provided that the secured creditor is given “adequate protection.” The meaning of the term “adequate protection” may vary according to the circumstances, but is intended generally to protect a secured creditor from the diminution in value of its collateral during the pendency of a bankruptcy case and may include cash payments or the granting of additional security or superpriority administrative expense claims if and at such times as the court, in its discretion, determines that there is a risk of diminution in value of the collateral as a result of the “automatic stay” of repossession or the disposition of the collateral during the pendency of the bankruptcy case and/or the ability of a debtor in bankruptcy to use collateral. In view of the lack of a precise definition of the term “adequate protection” and the broad discretionary powers of a U.S. bankruptcy court, we cannot predict whether or when the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, could foreclose upon or sell the Collateral or whether or to what extent holders of notes would be compensated for any delay in payment or loss of value of the Collateral through the requirement of “adequate protection.”

See also “Description of Notes—Collateral—Certain Bankruptcy and Insolvency Limitations” for a summary description of certain limitations on the validity and enforceability of the notes and the guarantees and a summary of certain insolvency considerations in Peru.

Your rights in the Collateral may be adversely affected by the failure to perfect security interests in the Collateral, including Collateral acquired in the future.

Applicable law requires that a security interest in certain tangible and intangible assets can only be properly perfected and its priority retained through certain actions undertaken by the secured party. The liens in the Collateral may not be perfected with respect to the claims of the notes if the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, or its designee or predecessor is not able to take the actions necessary to perfect any of these liens on or prior to the date of the issuance of the notes. Moreover, many of the actions required to perfect or secure the priority of security interests in the Collateral require public filings, registrations, permits or other actions that may be substantially delayed or logistically limited due to any office closures or delays in the processing of any such filings, registrations, permits or other actions by the applicable registries or government authorities, which may result in a delay in perfecting or securing the priority of security interests in the Collateral. Such failure may result in the loss of the security interest in the Collateral or the priority of the security interest in

favor of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, for the benefit of the holders of the notes against third parties.

In addition, applicable law requires that certain property and rights acquired after the grant of a general security interest, such as real property, equipment subject to a certificate and certain proceeds, can only be perfected at the time such property and rights are acquired and identified. Furthermore, in certain jurisdictions, “blanket” or “floating” liens will not be available to secure any Collateral. Although we are required to do so under the terms of the Collateral Documents, we may inadvertently fail to inform the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, of, the future acquisitions of property and rights that constitute Collateral, and necessary action may not be taken to properly perfect the security interest in such after-acquired Collateral. None of the Notes Collateral Agent, the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, have any obligation to monitor the acquisition of additional property or rights that constitute Collateral or the perfection of any security interest in favor of the notes against third parties. As a result, the inability or our or any Subsidiary Guarantor’s failure to promptly take all actions necessary to create properly perfected security interests in the Collateral may result in the loss of the priority, or a defect in the perfection, of the security interest for the benefit of the noteholders to which they would have been otherwise entitled. In addition, as described further herein, even if the liens on Collateral acquired in the future are properly perfected, such liens may potentially be avoidable as a preference in any bankruptcy or insolvency proceeding under certain circumstances. See “—Any future pledge of collateral or guarantee provided after the notes are issued might be avoided by us or by a trustee in bankruptcy.”

The Collateral is subject to casualty risks.

Although we maintain insurance policies to insure against losses in a manner that is customary for our business, there are certain losses that may be either uninsurable or not economically insurable, in whole or in part. As a result, it is possible that the insurance proceeds will not compensate us fully for our losses in the event of a catastrophic loss. If there is a total or partial loss or impairment in value of any of the Collateral, we cannot assure you that any insurance proceeds received by us will be sufficient to satisfy all the secured obligations, including the notes.

To the extent it is determined in any jurisdiction that additional actions are required to secure the notes on a perfected basis, security interests in certain Collateral may not be in place by the Issue Date or will not be perfected by the Issue Date. Perfection of such security interests after the Issue Date increases the risk that such security interests could be avoided.

To the extent it is determined in any jurisdiction that additional actions are required to secure the notes on a perfected basis, certain security interests in favor of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, may not be in place and/or perfected (to the extent possible under applicable law) as of the Issue Date. With respect to any liens on or security interests in the Collateral that are not maintained or perfected (to the extent possible under applicable law) on or prior to such date, we will use our commercially reasonable efforts to have all such security interests created, maintained or perfected (to the extent possible under applicable law) within 90 calendar days following the Issue Date, provided that, an additional 45 calendar day extension shall be automatically granted if the Company is using commercially reasonable best efforts to obtain the registration and observations to the registration have been issued by the relevant registrar, which observations the Company is diligently addressing. Under the U.S. Bankruptcy Code, to the extent a security interest in certain Collateral is granted or perfected (to the extent possible under applicable law) after the date which is 30 days following the Issue Date, that security interest would remain at risk of being avoided as a preferential transfer by the pledgor (as debtor in possession) or by its trustee in bankruptcy if we were to file for bankruptcy within 90 days after the grant or after perfection, as applicable (or, under certain circumstances, including in Peru, up to one year).

In addition, delays in the perfection of the security interests in the Collateral increase the risk that the liens granted could become subject to the liens of intervening creditors. If an intervening creditor were to perfect a security interest in certain of the items included within the Collateral, the security interest in those aspects of the Collateral in favor of the notes may be junior in priority as compared to the security interest of the intervening creditor.

Any future pledge of collateral or guarantee provided after the notes are issued might be avoided by us or by a trustee in bankruptcy.

The Indenture and the Collateral Documents may require us to grant liens on certain assets that we or any Subsidiary Guarantor acquires after the notes are issued. Liens recorded or perfected (to the extent possible under applicable law) after the Issue Date may be treated under bankruptcy law as if they were delivered to secure previously existing indebtedness. Any future guarantee or additional lien in favor of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, for the benefit of the holders of the notes might be avoidable by the grantor (as debtor-in possession) or by a trustee in bankruptcy or other third parties if certain events or circumstances exist or occur. For instance, if the entity granting a future guarantee or additional lien was insolvent at the time of the grant and if such grant was made within 90 days before that entity commenced a bankruptcy proceeding (or one year before commencement of a bankruptcy proceeding if the creditor that benefited from the guarantee or lien is an “insider” under the Bankruptcy Code), and the granting of the future guarantee or additional lien enabled the holders of the notes to receive more than they would if the grantor were liquidated under chapter 7 of the Bankruptcy Code, then such guarantee or lien could be avoided as a preferential transfer. In bankruptcy proceedings commenced within 90 days of a lien being granted or perfected (to the extent possible under applicable law), as applicable, to secure previously existing indebtedness, such lien is materially more likely to be avoided as a preference by the bankruptcy court than if granted and/or promptly recorded on the issue date (or within a 30-day safe harbor provided for in the Bankruptcy Code). Accordingly, if we or any Subsidiary Guarantor were to file for bankruptcy protection after the Issue Date and any new liens had been perfected (to the extent possible under applicable law) in less than 90 days before the commencement of such bankruptcy proceeding, such new liens securing the notes may be particularly subject to challenge as a preference as a result of having been delivered after the issue date of the notes. To the extent that such challenge succeeded, the holders of the notes would lose the benefit of the security that such new Collateral was intended to provide and could be required to turn over any payments on the notes already made.

The security interests in the Collateral will be granted in favor of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, rather than directly to the holders of the notes.

The security interests in the Collateral that will secure our and the Subsidiary Guarantors’ obligations under the notes and the guarantees will not be granted directly in favor of the holders of the notes but will be granted only in favor of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable. The Indenture will provide that only the Notes Collateral Agent acting at the direction of the applicable authorized representative pursuant to the Intercreditor Agreement has the right to instruct the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, to enforce the Collateral Documents. As a consequence, holders of the notes will not have direct security interests and will not be entitled to take enforcement action in respect of the Collateral, except through the Trustee, who will at the time it is entitled to do so pursuant to the Intercreditor Agreement (subject to the provisions of the indenture) provide instructions to the Notes Collateral Agent in respect of the Collateral. See “—*Even though the holders of the notes will benefit from liens on the Shared Collateral, the representative of the creditors with the greatest outstanding principal amount has the exclusive right to control actions (including the exercise of remedies) with respect to the Shared Collateral. The Intercreditor Agreement contains customary provisions for a New York law intercreditor agreement, but it does not contain any provisions that seek to address non-New York law insolvency and restructuring considerations*” and “Description of Notes—Intercreditor Agreement.”

Lien registers may not reveal all liens on the Collateral.

We cannot guarantee that the lien registers will reveal any or all existing liens on the Collateral. Any such existing lien, including undiscovered liens, could be significant, could be prior in ranking to the liens that will secure the notes and could have an adverse effect on the ability of the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, to realize or foreclose upon the Collateral.

Enforcing your rights against us or under the Collateral Documents across multiple jurisdictions may be difficult.

The Collateral Documents securing the notes are governed by Peruvian, Chilean and New York law. Your rights under the Collateral Documents may be subject to the laws of Peru, Chile and such other jurisdictions, including insolvency and administrative laws, and there can be no assurance that you will be able to effectively

enforce your rights in the respective Collateral or in priority to such bankruptcy, insolvency or similar proceedings. In addition, the bankruptcy, insolvency, administrative and other laws of Peru, Chile and such other jurisdictions may be materially different from, or conflict with, each other, including in the areas of rights of creditors, priority of government entities and other third-party and related-party creditors, ability to foreclose on Collateral, obtain post-bankruptcy filing loans or to pay interest and the duration of proceedings. The laws of Peru, Chile or such other jurisdictions may not be as favorable to your interests as the laws of jurisdictions with which you are familiar. The application of these laws, or any conflict among them, could call into question what and how Peru's, Chile's or such other jurisdictions' laws should apply. Such issues may adversely affect your ability to enforce your rights under the Collateral Documents or limit any amounts that you may receive.

Your rights under the Collateral Documents will thus be subject to the laws of several jurisdictions, and you may not be able to effectively enforce your rights in multiple bankruptcy, insolvency and other similar proceedings. Moreover, such multi-jurisdictional proceedings are typically complex and costly for creditors and often result in substantial uncertainty and delay in the enforcement of creditors' rights.

You may have difficulty enforcing U.S. bankruptcy and insolvency laws.

Under the Bankruptcy Code, U.S. bankruptcy courts are given jurisdiction over a debtor's property wherever it is located, including property situated in other countries. However, courts outside of the U.S. may not recognize the U.S. bankruptcy court's jurisdiction. Accordingly, you may have difficulty administering a U.S. bankruptcy case or a ruling of a U.S. bankruptcy court involving the Company or the Subsidiary Guarantors, because their centers of main interest and/or the substantial majority of their respective property are located outside of the U.S. Any orders or judgments of a bankruptcy court in the U.S. may not be enforceable against the Company or the Subsidiary Guarantors with respect to property located outside the U.S.

USE OF PROCEEDS

The gross proceeds from the offering of the notes will be US\$750.0 million before deducting the discount paid to the initial purchasers, estimated legal fees and all other expenses payable by us in connection with the offering. The net proceeds from the issuance of the notes will be used to purchase for cash the aggregate principal amount of our outstanding 2030 Notes that are tendered, not withdrawn and accepted for purchase pursuant to the Tender Offer Documents. The remainder will be used to (i) fully repay the entire aggregate principal amount outstanding of US\$330.2 million under our Credit Agreement (without incorporating the effects of measurement at amortized cost under IFRS), plus any interest due to the payment date, expenses, related costs and breakage fees; (ii) fully repay the aggregate principal amount outstanding of US\$68.0 million under our 2026 Notes (without incorporating the effects of measurement at amortized cost under IFRS), plus any accrued and unpaid interest until the payment date and additional amounts, (iii) repay other short and medium-term indebtedness and (iv) general corporate purposes, including to pay transaction fees and expenses.

Any amounts that we repay under the Credit Agreement, the 2030 Notes or the 2026 Notes with the proceeds of this offering of notes may include amounts payable to certain of the initial purchasers and/or certain of their affiliates.

CAPITALIZATION

The following table sets forth our capitalization in accordance with IFRS at June 30, 2025 and as adjusted to give effect to the offering of the notes, the intended uses of proceeds thereof and the consummation of the Tender Offer and Consent Solicitation. See “*Use of Proceeds*” and “*Summary— Concurrent Tender Offer and Consent Solicitation of the 2030 Notes*.” This table is qualified in its entirety by reference to, and should be read together with, our unaudited interim condensed consolidated financial statements, including the notes thereto, included elsewhere in this offering memorandum and with “*Presentation of Financial Information*,” “*Selected Consolidated Financial Data*” and “*Management’s Discussion and Analysis of Financial Condition and Results of Operations*.”

	As of June 30, 2025	
	Actual ⁽¹⁾	As Adjusted ⁽²⁾
	(In millions of U.S. dollars)	
Cash and cash equivalents		
Cash and cash equivalents	146.8	214.6
Short-term debt		
Credit Agreement	21.0	-
2026 Notes	69.2	-
2030 Notes	11.9	-
Notes offered hereby	-	-
Other short-term financial obligations ⁽⁴⁾	13.9	13.9
Total short-term debt	116.0	13.9
Long-term debt		
Credit Agreement	315.2	-
2030 Notes	299.9	36.3
Notes offered hereby	-	750.0
Other long-term financial obligations ⁽³⁾	21.9	21.9
Total long-term debt	637.0	808.2
Share capital	774.3	774.3
Treasury shares	(41.5)	(41.5)
Legal reserve	12.0	12.0
Share premium	(162.3)	(162.3)
Unrealized loss	21.7	21.7
Accumulated results	(109.7)	(109.7)
Total Equity	494.5	494.5
Total capitalization⁽⁴⁾	1,247.5	1,316.6

- (1) The capitalization table above includes (i) US\$68.0 million of principal outstanding under the 2026 Notes and US\$299.9 million of principal outstanding under the 2030 Notes, each as of June 30, 2025, given that under IFRS debt is recorded at its amortized cost using the effective interest rate method (amortized cost is calculated by taking into account any initial premium or discount on the notes and includes any transaction costs that are an integral part of the effective interest rate), (ii) US\$330.2 million of principal outstanding under the Credit Agreement, as of June 30, 2025 (without incorporating the effects of measurement at amortized cost under IFRS) and (ii) accrued interest of US\$19.1 million owed under the 2026 Notes, the 2030 Notes and the Credit Agreement, as of June 30, 2025 (without incorporating the effects of measurement at amortized cost under IFRS). The adjustments are presented without giving effect to the deduction of fees and expenses.
- (2) As adjusted to reflect (i) the receipt of the gross proceeds from the issuance of the notes of US\$750.0 million, before deduction of expenses and the underwriting discount associated with the offering, (ii) the full repayment of the 2026 Notes, (iii) the payment of US\$282.8 million purchase price under the Tender Offer and Consent Solicitation for the 2030 Notes that were tendered, not withdrawn and accepted for purchase on the early settlement date as described in the Tender Offer Documents (including accrued interest under the 2030 Notes), and (iv) the payment of US\$330.2 million under the Credit Agreement, including accrued interest.
- (3) Includes operating leasing, financial leasing and loan with Glencore Lima Trading S.A.C.
- (4) Total capitalization is calculated as the sum of total short-term debt, total long-term debt and total equity.

Except as set forth above, there have been no material changes to our total capitalization since June 30, 2025.

EXCHANGE RATES

Currently, Peruvian law does not impose any restrictions on the ability of companies having operations in Peru to transfer foreign currencies from Peru to other countries, to convert soles into any foreign currency or to convert any foreign currency into soles. Companies may freely remit interest and principal payments abroad and investors may repatriate capital from liquidated investments, except for restrictions applicable to companies that have been convicted or have admitted to and/or acknowledged committing crimes against the Peruvian public administration or money laundering, or equivalent crimes (if they have been committed in a foreign country), pursuant to Law No. 30737 (*Ley que asegura el pago inmediato de la reparación civil a favor del Estado Peruano en casos de corrupción y delitos conexos*), as amended, and its corresponding regulations approved by Supreme Decree No. 096-2018-EF, as amended (“Law No. 30737”).

As of the date of this offering memorandum, Law No. 30737 does not apply to us or our subsidiaries and we are not related to any individual that has been convicted or admitted the aforementioned crimes.

Peruvian law in the past has imposed restrictions on the conversion of Peruvian currency and the transfer of funds abroad, and we cannot assure you that Peruvian law will continue to permit such payments, transfers, conversions or remittances without restrictions.

The following table sets forth the high, low, period-end and average exchange rates for the periods indicated, expressed in soles per U.S. dollar.

	Exchange Rates			
	High	Low	Period-end	Average
2014.....	2.987	2.760	2.981	2.837
2015.....	3.408	2.981	3.408	3.183
2016.....	3.536	3.248	3.352	3.373
2017.....	3.391	3.230	3.238	3.259
2018.....	3.383	3.206	3.369	3.285
2019.....	3.403	3.281	3.311	3.335
2020.....	3.654	3.301	3.618	3.493
2021.....	4.132	3.593	3.975	3.877
2022.....	3.994	3.627	3.808	3.831
2023.....	3.892	3.552	3.705	3.740
2024.....	3.882	3.665	3.764	3.753
2025:				
January.....	3.780	3.711	3.720	3.746
February.....	3.718	3.670	3.679	3.695
March.....	3.686	3.618	3.667	3.650
April.....	3.743	3.661	3.698	3.671
May.....	3.690	3.625	3.625	3.658
June.....	3.648	3.539	3.539	3.601
July.....	3.585	3.539	3.585	3.555
August.....	3.581	3.519	3.532	3.541
September.....	3.501	3.464	3.464	3.498
October (through October 14)	3.479	3.421	3.421	3.447

Source: Peruvian Central Bank (banking bid exchange rate).

On October 14, 2025, the exchange rate was S/3.447 per U.S. dollar.

SELECTED CONSOLIDATED FINANCIAL DATA

We set forth below certain financial and operating data as of and for the years ended December 31, 2023 and 2024 and the six-month periods ended June 30, 2024 and 2025. Our interim condensed consolidated financial data as of and for the six-month periods ended June 30, 2024 and 2025 is unaudited.

You should read this information together with our audited consolidated financial statements and unaudited interim condensed consolidated financial statements, and related notes, included elsewhere in this offering memorandum, as well as the information presented in the sections “Presentation of Financial Information” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations.” These results are not necessarily indicative of our future results of operations or financial condition.

	For the year ended		For the	
	December 31,		six months ended	
	2023	2024	2024	2025
(In millions of U.S. dollars)				
Consolidated Statement of Comprehensive Income				
Net Sales	883.1	960.5	395.0	568.0
Cost of sales	(725.5)	(699.6)	(323.9)	(366.6)
Gross profit	157.6	260.9	71.1	201.5
Administrative expenses.....	(55.2)	(62.9)	(22.5)	(33.7)
Selling expenses	(30.6)	(29.1)	(14.0)	(18.1)
Other income.....	63.4	145.1	51.4	12.5
Other expenses	(78.5)	(115.3)	(50.3)	(21.8)
Reversal of impairment loss of long-lived assets.	(36.2)	91.7	-	-
Operating profit (losses)	20.6	290.5	35.7	140.3
Financial income (expenses)	(64.7)	(74.3)	(36.2)	(40.7)
Profit (loss) before income tax	(44.2)	216.2	(0.5)	99.6
Income tax expense (benefit).....	34.2	(79.1)	(8.3)	(27.1)
Net (loss) profit	(10.0)	137.1	(8.8)	72.5

	As of December 31,		As of June 30,	
	2023	2024	2024	2025
(In millions of U.S. dollars)				
Consolidated Statement of Financial Position				
Cash and cash equivalents	61.6	155.8	68.0	146.8
Trade accounts receivable (net)	20.3	33.5	15.4	43.7
Other accounts receivable.....	77.0	67.4	81.8	69.4
Other financial assets.....	0.7	0.9	-	1.4
Inventories (net)	48.3	38.1	47.0	35.7
Assets classified as held for sale.....	-	-	20.5	-
Total current assets	208.0	295.8	232.7	297.0
Other accounts receivable (net)	36.0	31.8	31.3	42.0
Financial investments	185.3	153.0	192.5	129.6
Inventories (net)	5.6	5.2	5.4	5.0
Property, plant and equipment, net	771.8	683.1	690.2	673.8
Right-of-use assets	17.9	15.7	17.6	11.7
Investment properties (net).....	-	-	-	5.0
Mining concessions, costs of exploration and development costs, and other intangibles (net)	650.7	656.2	646.2	664.4
Total non-current assets	1,667.2	1,545.1	1,583.1	1,531.6
Total assets	1,875.2	1,840.8	1,815.8	1,828.5
Total current liabilities	440.1	320.3	440.0	383.1

Total non-current liabilities	1,070.5	1,070.8	1,045.0	950.9
Total liabilities	1,510.6	1,391.1	1,485.0	1,334.0
Total equity	364.6	449.7	330.9	494.5
Total liabilities and equity	1,875.2	1,840.8	1,815.8	1,828.5

	As of or for the year ended		As of or for the six months ended	
	December 31,		June 30,	
	2023	2024	2024	2025
(In millions of U.S. dollars, except for ratios, cash cost, production data, reserves and resources, and prices)				

Consolidated Statement of Cash Flow

Cash from operating activities	248.4	298.5	104.9	139.3
Cash used in investing activities	(179.9)	(147.9)	(75.3)	(90.3)
Cash resulting from (used in) financing activities ..	(80.4)	(56.4)	(23.8)	(58.0)
Net increase (decrease) in cash and cash equivalents	(12.0)	94.2	5.9	(9.0)

Other Items

Depreciation and amortization	207.1	195.0	94.2	82.9
Interest expense ⁽¹⁾	55.9	60.8	28.7	32.4
Adjusted EBITDA ⁽²⁾	277.2	381.8	132.0	223.3
Ratio of financial debt to Adjusted EBITDA ⁽³⁾	2.6	1.5	n/a	n/a
Adjusted EBITDA coverage ratio ⁽⁴⁾	5.0	6.3	n/a	n/a
Capital expenditures ⁽⁵⁾	179.6	167.3	66.7	90.0
Working capital ⁽⁶⁾	(232.1)	(24.5)	(207.3)	(86.1)

Sales by metal and adjustments

Zinc	438.4	502.2	212.0	299.5
Silver	153.3	177.7	70.9	126.7
Lead	228.6	213.8	90.1	98.1
Copper	60.6	71.3	24.8	39.7
Subtotal	881.0	965.0	397.7	564.0
Execution of financial instruments	3.9	(0.1)	(0.1)	0.3
Embedded derivatives	(1.8)	(4.5)	(2.7)	3.7
Total	883.1	960.5	395.0	568.0

Financial Investments	185.3	153.0	192.5	129.6
Investment in associate	148.1	-	-	-
Financial investments	37.2	153.0	192.5	129.6

(1) The components of interest expense are as follows:

	For the year ended		For the six months ended	
	December 31,		June 30,	
	2023	2024	2024	2025
(In millions of U.S. dollars)				
Interest Expense				
Interest on Credit Agreement	38.5	39.4	20.2	16.7
Interest on issued bonds	16.8	21.1	8.3	15.3
Interest on lease liabilities	0.7	0.4	0.2	0.4
Total interest expense	55.9	60.8	28.7	32.4

(2) EBITDA is calculated as net (loss) profit for the year/period before income tax expense, financial expenses (income), depreciation and amortization during such period. Adjusted EBITDA is calculated by eliminating from the calculation of EBITDA: (a) any non-recurring items during such period, (b) gains or losses on the sale of property (other than the sale of property in the ordinary course of business) during such period, (c) any other non-cash items deducted from or included in the calculation of pre-tax net income for such period (other than items that will require cash payments and for which an accrual or reserve has been, or is required by IFRS to be, made), and (d) foreign exchange gains or losses upon loans and foreign currency translation adjustments or monetary correction and bank charges. We believe that EBITDA and Adjusted EBITDA, while providing useful information, should not be considered in isolation or as a substitute for net income

as an indicator of operating performance, or as an alternative to cash flow as a measure of liquidity. Additionally, our calculation of EBITDA and Adjusted EBITDA may be different from the calculation used by other companies and therefore, comparability may be affected.

The following table sets forth the Adjusted EBITDA reconciliation:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Net (loss) profit	(10.0)	137.1	(8.8)	72.5
Income tax expense	(34.2)	79.1	8.3	27.1
Financial expenses, net ⁽¹⁾	56.8	66.7	31.1	38.5
Depreciation and amortization	207.1	195.0	94.2	82.9
EBITDA	219.7	477.9	124.8	221.0
Adjustments ⁽²⁾	57.5	(96.1)	7.2	2.3
Adjusted EBITDA	277.2	381.8	132.0	223.3

⁽¹⁾ Excluding exchange difference loss, net and bank charges.

⁽²⁾ The components of the adjustments are as follows:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Adjustments				
Impairment loss of long-lived assets, net of reversal	36.2	(91.7)	-	-
Doubtful recovery provision	4.8	-	-	-
Adjustment of inventories	0.5	3.1	-	-
Net present value change of mine closure and communities agreements	6.8	(7.7)	-	-
Others	1.2	(7.3)	2.2	-
Exchange difference loss, net	(1.0)	(0.6)	0.7	(0.9)
Commissions and other expenses	9.0	8.1	4.3	3.2
Adjustments	57.5	(96.1)	7.2	2.3

- (3) The following table sets forth a description of our financial debt:

	As of December 31,		As of June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Financial debt				
Credit Agreement	400.0	344.3	365.7	330.2
Fees amortized cost - Credit Agreement	(2.0)	(15.1)	(1.5)	(14.5)
Issued bonds	365.0	367.9	365.0	367.9
Fees amortized cost - issued bonds	(2.3)	(12.7)	(1.7)	(11.1)
Lease liability with financial entities	13.9	4.2	9.5	1.5
Loans	-	31.4	25.0	25.0
Total gross financial debt***	774.5	720.0	761.9	699.0
Cash and cash equivalents	61.6	155.8	68.0	146.8
Total net financial debt	712.9	564.2	693.9	552.2

***Does not include operating leases (IFRS 16) or bank overdrafts.

- (4) Adjusted EBITDA coverage ratio is the ratio of Adjusted EBITDA for the applicable period to interest expense for the same period.
- (5) Capital expenditures differ from cash used in investing activities because cash used in investing activities includes investments accrued in previous periods paid during the current period and excludes investments accrued in the current period but not paid in the current period. The components of capital expenditures are as follows:

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Capital Expenditures				
Local exploration	13.1	8.8	4.1	3.6
Mine development	76.3	69.1	32.9	34.3
Plants and tailing facilities	32.0	39.3	13.4	20.8
Mine and infrastructure	34.5	25.3	10.9	12.9
Electrical infrastructure in units	8.7	5.5	0.7	1.7

Support and others	3.5	12.3	2.4	5.1
Romina Project*	8.3	6.2	1.9	10.2
Corporate	2.6	0.7	0.4	1.3
Energy and other expenditures	0.5	0.2	0.0	0.1
Total accrued capital expenditures (non-cash)**	179.5	167.3	66.7	90.0

* For a description of the projects, see “*Business—Growth Projects.*”

** These amounts exclude leasing additions and are replaced by lease installment payments.

- (6) Working capital is current assets less current liabilities.

SELECTED OPERATING DATA

The following table sets forth a summary of our production and sales data for each of the years ended December 31, 2023 and 2024 and for the six-month periods ended June 30, 2024 and 2025. For more information regarding such data, see “Business.”

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Summary Operating Data				
Treated Mineral (in thousands of dry tonnes)	9,429	9,194	4,321	4,673
Concentrate Production				
Zinc (in thousands of tonnes)	461.9	456.0	202.4	232.5
Lead (in thousands of tonnes)	80.5	99.7	42.5	56.2
Copper (in thousands of tonnes)	11.4	12.9	4.2	5.8
Bulk (in thousands of tonnes)	32.9	7.2	3.8	3.4
Fine Metal Production				
Zinc (in thousands of tonnes)	242.0	230.1	103.2	116.2
Silver (in millions of ounces)	15.2	13.9	6.3	6.7
Lead (in thousands of tonnes)	60.8	54.6	23.6	32.2
Copper (in thousands of tonnes)	5.3	4.3	1.6	2.0
Gold (in thousands of ounces)	18.4	13.1	5.8	7.0
Average Ore Grade				
Zinc (%)	3.51%	3.49%	3.39%	3.48%
Silver (ounces per tonne)	2.43	2.36	2.33	2.26
Lead (%)	0.99%	0.97%	0.92%	1.06%
Copper (%)	0.12%	0.11%	0.10%	0.10%
Reserves and Resources (in millions of tonnes)				
Reserves				
Proven	6.8	13.9	n/a	n/a
Probable	22.9	32.1	n/a	n/a
Total	29.7	46.0	n/a	n/a
Resources				
Measured	40.0	25.3	n/a	n/a
Indicated	106.8	98.0	n/a	n/a
Inferred	324.0	784.9	n/a	n/a
Total	470.8	908.2	n/a	n/a
Production of Metal Contained per Mining Unit and Project				
Cerro de Pasco				
Zinc (in thousands of tonnes)	19.4	22.7	9.7	12.4
Silver (in millions of ounces)	1.5	1.5	0.7	0.8
Lead (in thousands of tonnes)	7.5	9.7	3.6	7.0
Chungar				
Zinc (in thousands of tonnes)	49.9	43.0	20.1	21.1
Silver (in millions of ounces)	2.2	1.7	0.7	0.8
Lead (in thousands of tonnes)	21.0	16.3	6.8	10.0
Copper (in thousands of tonnes)	1.2	0.8	0.3	0.4
Yauli				
Zinc (in thousands of tonnes)	166.9	159.4	70.8	80.1
Silver (in millions of ounces)	7.8	7.0	3.0	3.4
Lead (in thousands of tonnes)	28.4	24.3	10.9	13.1
Copper (in thousands of tonnes)	2.8	2.6	0.8	1.1
Óxidos de Pasco				
Silver (in millions of ounces)	2.7	2.9	1.5	1.3
Gold (in thousands of ounces)	11.4	7.8	3.5	4.4
Alpamarca				
Zinc (in thousands of tonnes)	5.8	5.0	2.6	2.5
Silver (in millions of ounces)	1.0	0.8	0.4	0.4
Lead (in thousands of tonnes)	4.0	4.3	2.3	2.0
Copper (in thousands of tonnes)	0.3	0.2	0.1	0.1

Average Ore Grade per Mining Unit and Project

Cerro de Pasco				
Zinc (%)	1.9%	2.0%	2.0%	2.2%
Silver (ounces per tonne).....	1.50	1.42	1.49	1.45
Lead (%).....	0.8%	0.9%	0.8%	1.0%
Chungar				
Zinc (%)	4.3%	4.5%	4.8%	4.5%
Silver (ounces per tonne).....	2.04	1.95	1.79	1.83
Lead (%).....	1.8%	1.7%	1.6%	2.1%
Copper (%).....	0.2%	0.2%	0.1%	0.2%
Yauli				
Zinc (%)	5.7%	5.7%	5.8%	5.5%
Silver (ounces per tonne).....	2.83	2.72	2.63	2.58
Lead (%).....	1.0%	1.0%	1.0%	1.0%
Copper (%).....	0.2%	0.2%	0.1%	0.2%
Óxidos de Pasco				
Silver (ounces per tonne).....	5.94	6.30	6.28	5.88
Gold (grams per tonne).....	0.6	0.5	0.4	0.5
Alpamarca				
Zinc (%)	0.8%	0.6%	0.6%	0.6%
Silver (ounces per tonne).....	1.20	0.88	0.90	0.88
Lead (%).....	0.5%	0.5%	0.5%	0.4%
Copper (%).....	0.0%	0.0%	0.0%	0.0%

Reserves and Resources per Mining Unit (including inferred resources)

Cerro de Pasco				
Reserves (in millions of tonnes)	8.7	9.7*	n/a	n/a
Resources (in millions of tonnes).....	15.4	103.7	n/a	n/a
Chungar				
Reserves (in millions of tonnes)	4.6	5.9	n/a	n/a
Resources (in millions of tonnes)	13.2	55.0**	n/a	n/a
Yauli				
Reserves (in millions of tonnes)	16.1	20.5	n/a	n/a
Resources (in millions of tonnes)	35.7	61.1	n/a	n/a
Alpamarca				
Reserves (in millions of tonnes)	0.3	10.1***	n/a	n/a
Resources (in millions of tonnes).....	0.5	13.1	n/a	n/a

*Includes 2.0 from Oxides.

**Includes 32.8 from Esperanza

***Includes 9.15 from Romina.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion is based on our consolidated financial statements and should be read in conjunction with such financial statements and the notes thereto included elsewhere in this offering memorandum, as well as the data set forth in "Selected Consolidated Financial Data" and "Summary Consolidated Financial Data." Our audited consolidated financial statements as of December 31, 2023 and 2024 and for each of the years ended December 31, 2023 and 2024, and our unaudited condensed consolidated financial statements as of and for the six-month periods ended June 30, 2024 and 2025 have been prepared in U.S. dollars in accordance with IFRS and IAS 34, respectively. The following discussion contains forward-looking statements that reflect our plans, estimates and beliefs. Our actual results could differ materially from those discussed in the forward-looking statements. Factors that could cause or contribute to these differences include those discussed below and elsewhere in this offering memorandum, particularly in "Risk Factors."

Overview

We are a diversified Peruvian mining company and a major global producer of zinc, silver and lead. We began operations in the early 1940s and have consistently ranked among the largest producers of these metals globally every year from 2006 to 2025, according to Wood Mackenzie and GFMS. We were the second-leading producer of zinc, first in lead and among the top three producers of silver in Peru up to June 2025, according to MINEM. We believe that the quality of our ore deposits, the efficiency of our operations and our economies of scale make us competitive among metal producers worldwide.

Our operations are divided into five main units that currently consist of five underground mines and two open pit mines in operation, five operating concentrator plants and one leaching plant extending across the Junín and Pasco departments in Peru, with San Cristobal - Carahuacra the largest mine accounting for approximately 32.5% of our 2024 tonnage production of zinc. Our mining units are all located between 170 and 295 kilometers from Lima, in the Central Andean region, a center of mining activity in Peru for centuries. As of December 31, 2024, our proven and probable reserves were 46.04 million tonnes and our measured, indicated and inferred resources were 908.2 million tonnes, which represented an average mine life of approximately 22 years at 2024 production levels (in each case, excluding the Cerro de Pasco Unit and the Óxidos de Pasco Unit, each as defined below). We have been granted mining concessions totaling approximately 294,000 hectares, of which: (i) 35.9% are currently being exploited, (ii) 3.8% are being explored, and (iii) approximately 60.3% remain unexploited and unexplored. In addition to our mining operations, we also own 868.5 hectares of land near the Chancay port that we expect to develop directly or through potential partnerships.

In the six-month period ended June 30, 2025, we had sales of US\$568.0 million, net profit of US\$72.5 million and Adjusted EBITDA of US\$223.3 million. In the first six months of 2025, zinc represented 51%, silver represented 33%, lead represented 11%, gold represented 3% and copper represented 3% of our sales by value. For the year ended December 31, 2024, we had sales of US\$960.5 million, net profit of US\$137.1 million and Adjusted EBITDA of US\$381.8 million. We had Adjusted EBITDA of US\$380.6 million for the year ended December 31, 2021, and US\$297.5 million for the year ended December 31, 2022. In 2024, zinc represented 50%, silver represented 33%, lead represented 10%, gold represented 3% and copper represented 4% of our sales by value. In 2024, concentrator plants treated 8.2 million dry tonnes of ore grading on average, 3.5% zinc, 1.9 silver ounces per tonne, 1.0% lead and 0.1% copper, and the Oxides leaching plant treated 0.9 million dry tonnes of ore grading 6.3 silver ounces per tonne and 0.5 gold grams per tonne. We are currently developing projects to expand our production such as Romina, Esperanza and Zoraida. See "*Business—Growth Projects*." For a reconciliation of Adjusted EBITDA to profit for the period/year, see "*Selected Consolidated Financial Data*."

Key Factors Affecting Our Business and Results of Operations

Metal Prices. Our financial performance is significantly affected by the market prices of zinc, lead, silver and, to a lesser extent, copper. Metal prices have historically been subject to wide fluctuations and are affected by numerous factors beyond our control. These factors, which affect each metal to varying degrees, include international economic and political conditions, levels of supply and demand, the availability and cost of substitutes, inventory levels maintained by producers and others, and, to a lesser degree, inventory carrying costs and currency exchange rates. In addition, the market prices of certain metals have on occasion been subject to rapid short-term changes due to speculative activities. For example, in the first half of 2025, metal prices, except for lead, increased

compared to 2024 prices, mainly driven by the weakness of the US dollar and the economic stimulus measures implemented by China. Furthermore, the tariffs imposed by the Trump administration have positively impacted gold and silver as safe-haven assets. The following table sets forth the average published market prices for the metals and periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Zinc (US\$/tonne – LME SHG Sett)	2,649	2,777	2,641	2,739
Silver (US\$/ounce – London Spot)	23.4	28.2	26.1	32.8
Lead (US\$/tonne – LME Sett)	2,137	2,072	2,121	1,959
Copper (US\$/tonne – LME Sett)	8,483	9,144	9,097	9,432
Gold (US\$/ounce – London Spot)	1,943	2,387	2,205	3,071

The key drivers and recent trends of each of the metals that we produce are:

- Zinc* is a major component of the construction and automotive industries, mainly due to its galvanizing applications. At the beginning of 2025, metal prices remained relatively high, although slightly below the levels seen at the end of 2024. In the second quarter of 2025, growing concerns over the trade war initiated by President Trump led to a decline in global markets, negatively impacting zinc prices. However, the introduction of a stimulus economic package by China, which included interest rate cuts and a significant liquidity injection, helped stabilize zinc prices, which have remained relatively steady. As of June 30, 2025, the price of zinc was US\$2,650.91 per tonne.
- Silver* is generally seen as store of value and therefore its price tends to be resilient in times of economic uncertainty. In addition, applications in electronics and solar cells have added to the already wide spread uses of silver in photography, currency, jewelry and silverware. Due to the weakness of the US dollar and the tariffs implemented by the Trump administration throughout the year, silver prices have followed the same trend as gold, acting as a safe haven amid the current market uncertainty. In the first half of 2025, silver prices increased compared to the average price in the first half 2024 from US\$26.1 per ounce to an average of US\$32.80 per ounce in the first half of 2025. As of June 30, 2025, the price of silver was US\$ 35.94 per ounce.
- Lead* is used as energy storage and in certain other products such as ammunition, oxides in glass and ceramics, casting metals and sheet lead. As in the case of zinc, lead prices have also been guided by the growing concerns over the trade disputes between United States and China, and to a lesser extent, by the impact of the Chinese economy. Nonetheless, lead's own demand structure as an energy storing metal has resulted in its price diverging from zinc, with lower prices in several periods since late 2015. Opposition to lead-related projects has hampered the potential for increased demand for lead amid more battery demand. From the end of 2021 to the end of 2024, the price of lead has been on the rise, primarily due to high automobile penetration rates in various countries. Additionally, new technologies have spurred fresh demand for lead, such as mobile data networks and electronic personal vehicles like electric bicycles. During the first half of 2025, however, lead prices experienced a downturn, predominantly attributable to the uncertainty caused by the imposed tariffs by the United States government. As of June 30, 2025, the price of lead stood at US\$1,972.88 per tonne.
- Copper* is used for construction, power generation and transmission, electronic product manufacturing, and the production of industrial machinery and transportation vehicles. Similar to the other metals described above, the price of copper was also initially negatively impacted as a result of the trade disputes between the United States and China. However, this decrease was rapidly mitigated by strong economic results from China and the further removal of the previously imposed 50% tariff on the metal by the United States government, which has resulted in the price remaining stable to date. As of June 30, 2025, the price of copper was US\$10,040 per tonne.

For further information on the drivers and trends affecting these metals, see “*Industry Overview.*”

Production Volumes, Ore Grade and Metal Mix. We have consistently ranked among the ten largest producers of zinc, silver and lead globally from 2006 to 2025, according to Wood Mackenzie. We were also the second-leading producer of zinc, first -leading producer of lead and among top three producers of silver in Peru as of June 2025, according to MINEM. In 2024, due to higher treated tonnage at the Yauli Unit and higher grades at the Chungar Unit, our zinc, lead and silver production has increased, meanwhile our copper production remains stable at the production level from previous years. See “*Business—Operations—Mining Units—Cerro de Pasco Unit—Outlook.*” We are currently using 96% of our installed capacity. Our reserves for all metals as of December 31, 2024 demonstrated grades that are consistent with those of the last few years. The following table sets forth our production for the metals and periods indicated, and the average ore grade of our reserves as of December 31, 2024.

	Average Ore Grade of Reserves as of December 31, 2024	Year ended December 31,		Six months ended June 30,	
		2023	2024	2024	2025
	(percentages and, in the case of silver, ounces per tonne)	(in thousand tonnes and million ounces in the case of silver)			
Zinc	4.1%	1,162	1,883	n/a	n/a
Silver	2.1 oz	68	96	n/a	n/a
Lead.....	1.3%	275	598	n/a	n/a
Copper.....	0.1%	36	50	n/a	n/a

Costs and Expenses. Our ability to manage our costs and expenses affects our business performance. We strongly focus on controlling and limiting our costs and expenses so that we are better prepared to overcome less favorable pricing conditions. The quality and richness of our ore deposits and our economies of scale allow us to be one of the lowest cost metal producers worldwide. Our unit cost of production increased by 25.4% in the last five years, from US\$41.3 per metric tonne in the second quarter of 2020 to US\$51.8 per metric tonne in the second quarter of 2025.

The largest components of our cost structure are contractors’ expenses, production materials and supplies, labor and energy expenses, which accounted for approximately 44%, 26%, 20% and 11%, respectively, of our production costs in the first six months of 2025. In 2024, contractors’ expenses accounted for approximately 44%, production materials and supplies accounted for approximately 27%, labor accounted for approximately 18% and energy expenses accounted for approximately 11% of our production costs. In the past we have been able to react quickly to commodity price cycles by reducing controllable costs, such as exploration projects and mining development, achieving significant cost reductions.

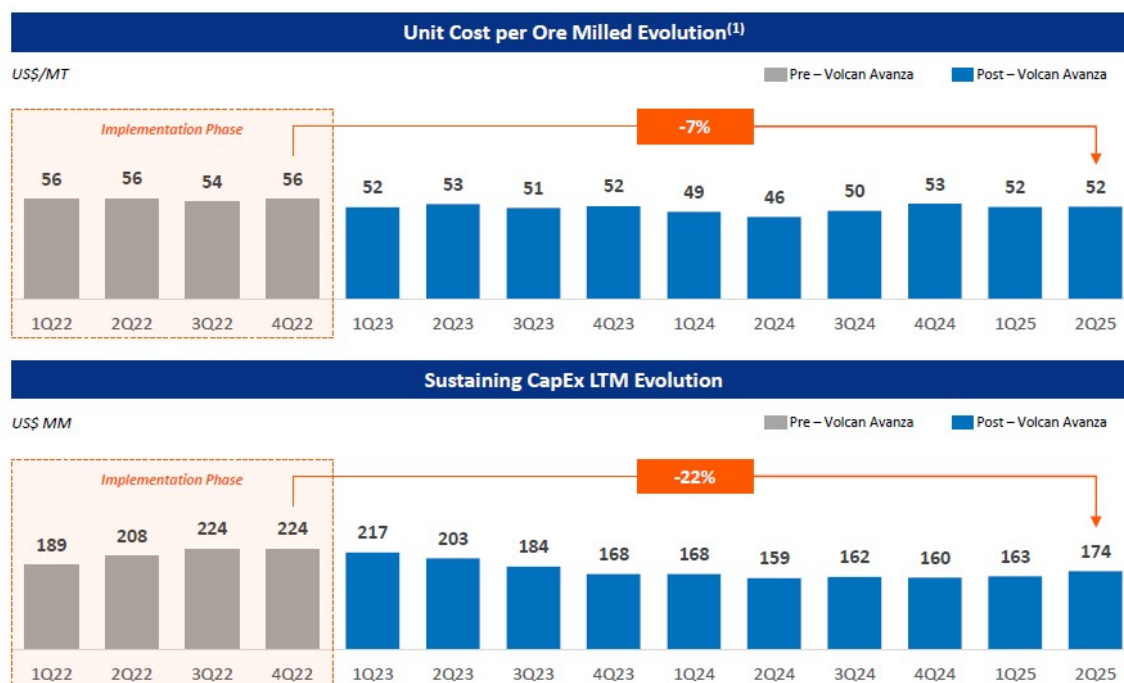
Our continuous improvement program, Volcan Avanza, focuses on optimizing and standardizing our internal processes, cost reduction opportunities, and transforming the culture of operational excellence in all of our mining units. Through Volcan Avanza, during 2024, we focused our efforts on reducing the consumption of supplies in all mining cycle activities, mechanical and electrical maintenance and use of reagents without disrupting normal course of business and maintaining global safety standards. Since the implementation of the Volcan Avanza program in 2022, the company has achieved savings of US\$ 28.1 million in 2022, US\$ 27.2 million in 2023 and US\$ 33.2 million in 2024. Among other cost saving and productivity initiatives, we suspended operations at Islay Mine, which has been in suspension since July 2023. We also believe that the Volcan Avanza initiatives allow us to mitigate many external market effects such as international metal prices, inflation and exchange rates, among others.

The following table sets forth our cash cost for the metals and periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
	(U.S. dollars per finished metric tonne and per ounce in the case of silver)			
Cash Cost By-Product⁽¹⁾				
Zinc (U.S. dollars per finished metric tonne).....	1,310	970	1,229	791
Silver (U.S. dollars per ounce)	2.1	(2.5)	2.0	(1.4)

(1) For the zinc cash cost calculation, silver, lead, copper and gold are considered as by-products. For the silver cash cost calculation, zinc, lead, copper and gold are considered by-products. Therefore, the by-products are not included in this table.

Furthermore, the Volcan Avanza program also helped decrease our unit cost per ore milled and sustaining capital expenditures as shown in the graph below:



(1) Includes infill drilling cost.

Commercial Terms. The commercial terms that we negotiate for our sales affect our business performance. We sell our products through long-term contracts and tenders. In 2024, approximately 32% of our sales were under long-term contracts and 68% under tenders. Our client base is composed of major global commodity traders and refineries. We have significant negotiating leverage and typically obtain very competitive commercial terms for our products. Sales prices for our products are established principally by reference to prices quoted on the London Metal Exchange and London Bullion Market. Pricing is based on prevailing average prices for the relevant metal for a given period, generally for the month of shipment, the month following the month of shipment or the second month following the month of shipment. Revenues are recorded at provisional prices determined at the time of shipment. Usually, an adjustment is then made after delivery of the products, based on the final pricing terms, the final tonnage delivered (FOB and CIF tonnages are determined at destination) and the final metal contents delivered. Sales to trading companies accounted for approximately 69% of our sales by value in 2024 and 77% in the first six months of 2025.

We take advantage of our leading position in the Central Andes in terms of tonnage and a diversified high quality product basket. The Central Andes is home to several other major mining operations. As a result, this area is one of the most important concentrate hubs of the world. In addition, trading companies have a long history in the region and are generally willing to accept premium terms for our concentrates, as our volume and quality is needed to offset other producers' low volume and especially lower quality concentrates. In general, because of the quality and volume of our production, we have several alternatives to choose from when placing our sales.

Hedging Operations. We generally use metal commodity futures in order to reduce the risk associated with metal price volatility. In addition, we may use foreign currency forwards to mitigate the risk related to our U.S. dollar revenues and certain payments we make in soles. Our hedging policy is approved by our board of directors and our current approval consist of hedging up to 45% of zinc and silver separately per calendar year. The net result of hedging operations in the comprehensive income statement was a profit of US\$0.719 million in 2024 and a loss of US\$9.269 million in the first six months of 2025. Currently, we remain active in hedging operations. See "Risk Factors—Risks Relating to Our Business—We engage in hedging activity which may not be successful

and may result in losses to us.” See also Notes 2(e) and 30 to our financial statements for further information on our hedging activity.

Peruvian Inflation and Devaluation of the Sol. Our functional currency is the U.S. dollar. Approximately 44% of our expenses are denominated in soles for the six-month period ended June 30, 2025. Since our revenues are primarily denominated in U.S. dollars, when inflation/deflation in Peru is not offset by a change in the exchange rate of the sol to the U.S. dollar, our financial position, results of operations and cash flows may be adversely affected to the extent that the inflation/devaluation effects are passed onto us by our suppliers or reflected in our wage adjustments. In addition, the U.S. dollar value of our net monetary assets denominated in soles may be affected by devaluation of the sol, resulting in a re-measurement loss in our financial statements. Recent inflation and devaluation/appreciation rates are provided in the table below.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Peruvian inflation rate ⁽¹⁾	3.41%	1.90%	1.89%	1.73%
Sol/U.S. dollar devaluation (appreciation) rate	(2.71%)	1.57%	3.45%	(5.97%)

Source: INEI and BCRP

(1) Consumer Price Index for Metropolitan Lima as published by INEI.

Critical Accounting Policies and Estimates

We have identified certain significant accounting policies on which our financial condition and results of operations are dependent. These significant accounting policies most often involve complex quantitative analyses or are based on subjective judgments or decisions. A change in these estimates and assumptions could affect the reported amount of assets and liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. See Note 2 to our audited consolidated financial statements and Note 2 to our unaudited interim condensed consolidated financial statements for a detailed discussion of our significant accounting policies, including ‘Statement of compliance and basis of preparation and presentation’, ‘Consolidation principles’, ‘Functional and presentation currency’, ‘Foreign currency transactions’, ‘Financial instruments’, ‘Cash and cash equivalents’, ‘Inventories and obsolescence estimate’, ‘Property, plant and equipment (net)’, ‘Investment properties (net)’, ‘Mining concessions, evaluation, exploration and development costs and other intangibles’, ‘Review of impairment of long-term assets’, ‘Investment in associates’, ‘Leases’, ‘Provisions’, ‘Provision for closure of mining units’, ‘Financing costs’, ‘Revenue recognition’, ‘Recognition of costs and expenses’, ‘Employee benefits’, ‘Operating profit’, ‘Income tax’, ‘Contingent assets and liabilities’ and ‘Basic and diluted earnings per share’ and ‘Segments’.

Results of Operations

Six months ended June 30, 2024 compared to Six months ended June 30, 2025

The following table sets forth our summarized results of operations for the periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
	(In millions of U.S. dollars)		
Net Sales.....	395.0	568.0	43.8%
Cost of sales	(323.9)	(366.6)	13.2%
Gross profit.....	71.1	201.5	183.4%
Administrative expenses.....	(22.5)	(33.7)	49.8%
Selling expenses	(14.0)	(18.1)	29.3%

	Six months ended June 30,		% Change
	2024	2025	
	(In millions of U.S. dollars)		
Other income	51.4	12.5	(75.7%)
Other expenses	(50.3)	(21.8)	(56.7%)
Operating profit.....	35.7	140.3	293.0%
Financial income (expenses)	(36.2)	(40.7)	12.4%
Profit (loss) before income tax	(0.5)	99.6	n/a
Income tax expense	(8.3)	(27.1)	226.5%
Net (loss) profit	(8.8)	72.5	n/a

The following table sets forth each line item of our summarized results of operations as a percentage of our net sales for the periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
Net Sales	100.0%	100.0%	0.0%
Cost of sales.....	(82.0%)	(64.5%)	(21.3%)
Gross profit (loss)	18.0%	35.5%	97.1%
Administrative expenses	(5.7%)	(5.9%)	4.1%
Selling expenses.....	(3.5%)	(3.2%)	(9.0%)
Other income	13.0%	2.2%	(83.1%)
Other expenses	(12.7%)	(3.8%)	(69.8%)
Operating profit (loss).....	9.0%	24.7%	174.5%
Financial income (expenses).....	(9.2%)	(7.2%)	(22.1%)
Loss before income tax	(0.1%)	17.5%	n/a
Income tax expense.....	(2.1%)	(4.8%)	127.2%
Net profit (loss).....	(2.2%)	12.8%	n/a

Net Sales. The 43.8% increase in net sales during the six months ended June 30, 2025 as compared to the corresponding period in 2024, was primarily due to higher sales volumes, which in turn were primarily driven by stronger silver and gold prices, and more favorable commercial terms for concentrate sales.

The following table sets forth the components of our sales by value, average realized prices and the production of metal contained in our mined ore for the metals and periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
	(In millions of U.S. dollars, except for prices and production data)		
Sales by metal and adjustments			
Zinc.....	212.0	299.5	41.3%
Silver.....	70.9	126.7	78.7%
Lead	90.1	98.1	8.9%
Copper	24.8	39.7	60.1%
Subtotal.....	397.7	564.0	41.8%
Execution of financial instruments	(0.1)	0.3	n/a
Embedded derivatives.....	(2.7)	3.7	n/a
Total.....	395.0	568.0	43.8%
Average Realized Prices			
Zinc (US\$/tonne)	2,624	2,817	7.4%

Silver (US\$/ounce)	25.7	32.4	26.1 %
Lead (US\$/tonne).....	2,129	1,964	(7.8%)
Copper (US\$/tonne).....	8,487	9,449	11.3 %
Gold (US\$/ounce).....	2,193	3,104	41.5 %

Fine Metal Production

Zinc (in thousands of tonnes).....	103.2	116.2	12.6%
Silver (in millions of ounces).....	6.3	6.7	6.4%
Lead (in thousands of tonnes).....	23.6	32.2	36.4%
Copper (in thousands of tonnes)	1.6	2.0	25.0%
Gold (in thousands of ounces)	5.8	7.0	20.7%

Cost of sales. The 13.2% increase in cost of sales during the six-month period ended June 30, 2025, as compared to the corresponding period in 2024, was primarily due to higher production costs, inventory drawdowns, and increased worker profit sharing from better results. The following table sets forth our cost of sales for the periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
Cost of sales	(In millions of U.S. dollars)		
Consumption of supplies	57.1	62.4	9.3%
Labor.....	38.2	54.2	41.9%
Services provided by third parties, energy and others.....	117.2	134.1	14.4%
Purchase of mineral and concentrates	0.3	17.3	5,666.7%
Depreciation and amortization	83.7	76.6	(8.6%)
Plant stoppage cost ⁽¹⁾	28.5	15.2	(46.7%)
Change in inventories of concentrates in process and ore.....	(1.1)	6.7	n/a
Total cost of sales	323.9	366.5	13.2%

(1) Plant stoppage cost consists of cost of plants' shutdown, depreciation of plants' shutdown and amortization of plants' shutdown.

Administrative expenses. The 49.8% increase in administrative expenses during the six-month period ended June 30, 2025 as compared to the six-month period ended June 30, 2024 was mainly due to higher personnel charges and provisions, increased insurance premiums and additional costs related to external consultants. The following table sets forth our administrative expenses for the periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
	(In millions of U.S. dollars)		
Administrative expenses⁽¹⁾			
Personnel charges.....	10.9	19.5	78.9%
Mails, telecommunications and other minor items.....	1.9	2.1	10.5%
Services provided by contractors	0.2	0.1	(50.0%)
Professional fees	1.6	4.0	150.0%
Insurance	1.9	2.9	52.6%
Leases.....	0.7	0.6	(14.3%)
Operating rights - penalties	2.2	0.6	(72.7%)
Communication and information technology	0.2	0.4	100.0%
Depreciation.....	0.7	0.6	(14.3%)
Amortization	1.0	0.9	(10.0%)
Others.....	1.1	2.0	81.8%
Total administrative expenses	22.5	33.7	49.8%

Selling expenses. The 29.3% increase in selling expenses during the six-month period ended June 30, 2025 as compared to the six-month period ended June 30, 2024 was mainly attributable higher sales volume during the period, as explained above.

The following table sets forth our selling expenses for the periods indicated.

	Six months ended June 30,		% Change
	2024	2025	
	(In millions of U.S. dollars)		
Selling expenses			
Freight.....	8.5	10.4	22.4%
Services for the sale of concentrates	1.7	3.5	105.9%
Sundry services	0.3	0.7	133.3%
Services provided by contractors	0.4	0.5	25.0%
Personnel charges.....	0.5	0.7	40.0%
Samples, assays and supervision	0.7	0.9	28.6%
Shipment expenses.....	0.5	0.3	(40.0%)
Services provided by third parties	0.3	0.3	0.0%
Leases.....	1.0	0.8	(20.0%)
Total selling expenses.....	14.0	18.1	29.3%

Financial income (expenses). The 12.4% increase in financial expenses during the six-month period ended June 30, 2025 as compared to the six-month period ended June 30, 2024 is primarily the result of higher interest rate expenses considering the completion of an offer to exchange our 2026 Notes for our 2030 Notes in September 2024.

Income tax expense. The 226.5% increase in income tax and royalties during the six-month period ended June 30, 2025 as compared to the six-month period ended June 30, 2024 is mainly due to improved financial results obtained during the period, resulting in the direct increase of mining royalties and taxes.

Net profit (loss). Net profit (loss) results reversed from a US\$8.8 million loss in the six-month period ended June 30, 2024 to a US\$72.5 million profit in the same period in 2025, mainly due to higher production and sales of all metals, better metal prices, and more favorable commercial terms in the sale of concentrates.

Year ended December 31, 2024 compared to Year ended December 31, 2023

The following table sets forth our summarized results of operations for the periods indicated.

	For year ended December 31,		% Change
	2023	2024	2024/2023
	(In millions of U.S. dollars)		
Sales	883.1	960.5	8.8%
Cost of sales	(725.5)	(699.6)	(3.6%)
Gross profit.....	157.6	260.9	65.6%
Administrative expenses	(55.2)	(62.9)	14.0%
Selling expenses.....	(30.6)	(29.1)	(4.9%)
Other income.....	63.4	145.1	128.9%
Other expenses	(78.5)	(115.3)	46.9%
Reversal of impairment loss of long-lived assets	(36.2)	91.7	(353.3%)
Operating profit	20.6	290.5	1,310.2%
Financial income (expenses)	(64.7)	(74.3)	14.8%
Profit (loss) before income tax	(44.2)	216.2	n/a
Income tax expense.....	34.2	(79.1)	n/a
Net profit (loss).....	(10.0)	137.1	n/a

The following table sets forth each line item of our summarized results of operations as a percentage of our sales for the periods indicated.

	For year ended December 31,		% Change
	2023	2024	2024/2023
Sales.....	100.0%	100.0%	0.0%
Cost of sales.....	(82.2%)	(72.8%)	(11.4%)
Gross profit	17.8%	27.2%	52.8%
Administrative expenses	(6.3%)	(6.5%)	3.2%
Selling expenses.....	(3.5%)	(3.0%)	(14.3%)
Other income	7.2%	15.1%	109.7%
Other expenses.....	(8.9%)	(12.0%)	34.8%
Reversal of impairment loss of long-lived assets	(4.1%)	9.5%	n/a
Operating profit.....	2.3%	30.2%	1,213.0%
Financial income (expenses).....	(7.3%)	(7.7%)	5.5%
Profit (loss) before income tax.....	(5.0%)	22.5%	n/a
Income tax expense.....	3.9%	(8.2%)	n/a
Net (loss) profit.....	(1.1%)	14.3%	n/a

Sales. The 8.8% increase in sales in 2024 as compared to 2023 was primarily due to higher prices and more favorable commercial terms for concentrate sales.

The following table sets forth the components of our sales by value, average realized prices and the production of metal contained for the metals and periods indicated.

	For year ended December 31,		% Change
	2023	2024	2024/2023
(In millions of U.S. dollars, except for prices and volume)			
Sales by metal and adjustments			
Zinc	438.4	502.2	14.6%
Silver	153.3	177.7	15.9%
Lead	228.6	213.8	(6.5%)
Copper.....	60.6	71.3	17.7%
Subtotal.....	881.0	965.0	9.5%
Execution of Financial Instruments	3.9	(0.1)	n/a
Embedded Derivatives.....	(1.8)	(4.5)	150.0%
Total	883.1	960.5	8.8%
Average Realized Prices			
Zinc (US\$/tonne).....	2,642	2,768	4.8%
Silver (US\$/ounce).....	23.2	28.2	21.6%
Lead (US\$/tonne).....	2,132	2,079	(2.5%)
Copper (US\$/tonne)	8,428	8,709	3.3%
Gold (US\$/ounce)	1,943	2,419	24.5%
Fine Metal Production			
Zinc (in thousands of tonnes)	242.0	230.1	(4.9%)
Silver (in millions of ounces)	15.2	13.9	(8.6%)
Lead (in thousands of tonnes)	60.8	54.6	(10.2%)
Copper (in thousands of tonnes).....	5.3	4.3	(18.9%)
Gold (in thousands of ounces).....	18.4	13.1	(28.8%)

Cost of sales. The 3.6% decrease in the cost of sales of 2024 as compared to 2023 was mainly explained by a stoppage of operations for approximately one month during the first half of 2024, pursuant to a regulatory order related to an alleged inconsistency in our operating permits, which was resolved in April 2024, when we resumed operations of all halted mines. The following table sets forth our cost of sales for the periods indicated.

	For the year ended		
	December 31,		% change
	2023	2024	2024/2023
	(In millions of U.S. dollars)		
Cost of sales			
Consumption of supplies.....	128.5	121.0	(5.8%)
Labor.....	89.5	89.2	(0.3%)
Services provided by third parties, energy and others	279.5	259.0	(7.3%)
Purchase of mineral and concentrates	-	1.3	n/a
Depreciation and amortization	196.9	178.2	(9.5%)
Plant stoppage cost ⁽¹⁾	26.6	42.3	59.0%
Others.....	-	2.9	n/a
Change in inventories of concentrates in process and ore	4.6	5.7	23.9%
Total cost of sales.....	725.5	699.6	(3.6%)

(1) Plant stoppage cost consists of cost of plants' shutdown, depreciation of plants' shutdown and amortization of plants' shutdown.

Administrative expenses. The 13.9% increase in administrative expenses during the year ended December 31, 2024 as compared to the year ended December 31, 2023 was mainly explained by increased personnel charges in 2024. The following table sets forth our administrative expenses for the periods indicated.

	For the year ended December 31,		% change
	2023	2024	2024/2023
	(In millions of U.S. dollars)		
Administrative expenses⁽¹⁾			
Personnel charges.....	21.6	35.1	62.5%
Mails, telecommunications and other minor items.....	3.1	3.1	0.0%
Services provided by contractors	4.9	0.5	(89.8%)
Professional fees	5.6	6.4	14.3%
Insurance.....	4.3	5.1	18.6%
Leases.....	2.3	1.5	(34.8%)
Operating rights - penalties	2.9	3.6	24.1%
Communication and information technology	0.8	0.6	(25.0%)
Depreciation	1.5	0.7	(53.3%)
Impairment of accounts receivable	-	0.4	n/a
Amortization	2.6	2.1	(19.2%)
Depreciation of right-of-use assets	0.9	0.7	(22.2%)
Others	4.6	3.1	(32.6%)
Total administrative expenses	55.2	62.9	13.9%

(1) Includes administrative expenses for exploitation and exploration activities.

Selling expenses. The 4.9% decrease in selling expenses in 2024 as compared to 2023 was explained mainly by the decrease of shipment services during the year ended December 31, 2024. The following table sets forth our selling expenses for the periods indicated.

	For the year ended December 31,		% Change 2024/2023
	2023	2024	
	(In millions of U.S. dollars)		
Selling expenses			
Freight.....	19.3	18.0	(6.7%)
Services for the sale of concentrates	3.3	3.7	12.1%
Sundry services	0.8	0.6	(25.0%)
Services provided by contractors	0.9	1.0	11.1%
Personnel charges.....	1.2	1.1	(8.3%)
Samples, assays and supervision.....	1.5	1.5	0.0%
Shipment expenses.....	1.2	0.7	(41.7%)
Services provided by third parties.....	0.4	0.8	100.0%
Leases	2.1	1.7	(19.0%)
Depreciation.....	-	0.1	n/a
Total selling expenses.....	30.6	29.1	(4.9%)

Financial income (expenses). The 14.8% increase in financial expenses during 2024 as compared to 2023 is primarily the result of higher interest rate expenses considering the completion of an offer to exchange our 2026 Notes for our 2030 Notes in September 2024.

Income tax expense. The 331.3% increase in income tax expense in 2024 as compared to 2023 is related to improved financial results obtained during the period, resulting in the direct increment of mining royalties and taxes.

Net profit (loss). Our net loss changed from a loss of \$10.0 million in the year 2023 to a profit of \$137.1 million in the year 2024, mainly due to higher production of all metals, better metal prices, and more favorable commercial terms in the sale of concentrates.

Liquidity and Capital Resources

Our primary source of liquidity is cash provided by operations, with our primary uses of liquidity being working capital and capital expenditures. Other financing sources include financial leasing lines for the acquisition of mine equipment and lines of credit from financial institutions for working capital purposes. As of June 30, 2025, our long-term debt outstanding was US\$724.6 million, excluding accrued interest.

We expect that we will meet our working capital, capital expenditure and exploration expense requirements for the next several years from internally generated funds and cash on hand. Additional financing, if necessary for the construction of any project, is expected to be obtained from borrowings under bank loans or the issuance of debt securities. There can be no assurance, however, that sufficient funding will be available to us from internal or external sources to finance any future capital expenditure program, or that external funding will be available to us for such purpose on terms or at prices favorable to us. A very significant decline in metal prices would be reasonably likely to affect the availability of such sources of liquidity.

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Cash from operating activities.....	248.4	298.5	104.9	139.3
Cash used in investing activities	(179.9)	(147.9)	(75.3)	(90.3)
Cash resulting from (used in) financing activities.....	(80.4)	(56.4)	(23.8)	(58.0)

Cash From Operating Activities. The increase in cash flow generated from operating activities for each of the two years ended December 31, 2024 and 2023 resulted primarily from refunds of tax balances and claims from

tax authorities in the amount of US\$43.7 million. The increase in cash flow generated from operating activities for the six months ended June 30, 2025, as compared to the previous period in 2024 is mainly related to sales variation of US\$169.4 million and an increase in tax payments of US\$29.4 million.

Cash Used in Investing Activities. The decrease in our capital expenditures in 2024, as compared to 2023, is mainly related to maturing bonds and loans, leading to a reduction in our investment spending to meet our financial obligations. The increase in cash used in investing activities for the six months ended June 30, 2025, as compared to the previous period in 2024 was mainly related to the refinancing of our debts, which allowed us to stabilize our financial position and gradually resume our capital investments, and increased cash flow from the increase in the sales of our hydroelectric companies.

Cash Resulting from (Used in) Financing Activities. Financing activities during 2023 consisted primarily of interest payments of US\$54.2 million and medium-term loan payments of US\$25.4 million. Financing activities during 2024 consisted primarily of interest payments of US\$60.4 million and financial obligations payments of US\$124.1 million. Financing activities during the first six months of 2025 consisted primarily of interest payments of US\$30.3 million and financial obligations payments of US\$27.6 million; while financing activities during the first six months of 2024 consisted primarily of interest payments of US\$29.3 million and financial obligations payments of US\$44.7 million.

Contractual Obligations and Contingencies

The following table sets forth, in accordance with IFRS, certain contractual obligations and contingencies as of June 30, 2025.

Payments Due by Period

	Total	<1 year	1-3 years	3-5 years	More than 5 years
	(In millions of U.S. dollars)				
Financial obligations	975.5	173.3	166.5	635.7	-
Workers' participation ⁽¹⁾	12.0	12.0	-	-	-
Derivatives and financial instruments	10.9	8.8	2.1	-	-
Provision for the closure of mining units ⁽²⁾ ..	184.9	9.6	38.2	19.8	117.3
Total	1183.3	203.7	206.8	655.5	117.3

- (1) Workers' participation is currently calculated based on our pre-tax earnings. In Peru, the provision for workers' participation is calculated at 8% of pre-tax earnings. The current portion of this participation, which is accrued during the year, is based on our taxable income and is largely distributed to workers following determination of final results for the year.
- (2) Asset retirement obligations include the aggregate amount of the closure and remediation costs of our mines and facilities to be paid under the mine closure plans.

Our total net financial debt was US\$552.2 million as of June 30, 2025, US\$564.2 as of December 31, 2024, US\$712.9 as of December 31, 2023, US\$714.3 million as of December 31, 2022 and US\$684.6 million as of December 31, 2021.

The credit agreements executed by us with financial institutions impose certain financial covenants during the term of these agreements which are usual for these types of agreements. As of June 30, 2025, we were in compliance with all restrictions and covenants related to our obligations in our credit agreements. See Note 16 to our audited consolidated financial statements included elsewhere in this offering memorandum.

Capital Expenditures

The following table sets forth our accrued capital expenditures for the periods indicated.

Accrued Capital Expenditures (non-cash)

	For the year ended December 31,		For the six months ended June 30,	
	2023	2024	2024	2025
	(In millions of U.S. dollars)			
Local exploration	13.1	8.8	4.1	3.6
Mine development.....	76.3	69.1	32.9	34.3
Plants and tailing facilities	32.0	39.3	13.4	20.8
Mine and infrastructure.....	34.5	25.3	10.9	12.9
Electrical infrastructure in units	8.7	5.5	0.7	1.7
Support and others	3.5	12.3	2.4	5.1
Romina Project*.....	8.3	6.2	1.9	10.2
Corporate	2.6	0.7	0.4	1.3
Energy and other expenditures	0.5	0.2	0.0	0.1
Total accrued capital expenditures (non-cash) **	179.5	167.3	66.7	90.0

* For a description of the projects, see “*Business—Growth Projects.*”

** These amounts exclude leasing additions and are replaced by lease installment payments

We seek to maintain our competitive position in the industry through our capital expenditure program. Over the next three years, we expect to invest more than US\$700 million to sustain and improve our current operations. Besides, our growth investment plan includes the development of the Romina project, which is expected to enter production in 2026, with an estimated average annual production of 40,000 fine tonnes of zinc, 20,000 fine tonnes of lead and around one million ounces of silver during the life of the mine, which is estimated at 13 years.

For the development of the Romina project, we estimate capital expenditures of approximately US\$114 million from 2024 to 2026. As of September 30, 2025, US\$74.9 million has been invested in the Romina project, comprised of US\$47.9 million from 2017 to 2023, US\$6.2 million in 2024 and US\$20.8 million in 2025. We expect to invest an additional US\$32 million through the end of 2025 and approximately US\$55 million in 2026. The sustaining capital expenditures for the Romina project are expected to reach an average of US\$16 million to US\$19 million per year during the first eight years of the mine, and an average of US\$2 million per year in the remaining years of the expected mine life. The operational expenditures expected for the Romina project are around US\$45 per tonne during the first nine years of the mine and US\$25 per tonne in the remaining four years of the estimated mine life, with an estimated mine unit cost of US\$45 per metric tonne.

We plan to fund these projects with cash provided by operations. For a description of these projects, see “*Business—Growth Projects.*”

Dividend Policy

Our dividend policy based on past years’ practice has been to pay approximately 20% of our net profits in the form of either cash or stock. There are two kinds of dividend payments: (i) provisional dividends, which are approved by the board of directors and are generally paid during the fourth quarter of each year, and (ii) final dividends, which are paid in accordance with the annual shareholders’ meeting. However, the amount and timing of such payments are subject to the final approval at such annual shareholders’ meeting and board of directors’ meeting, as well as to the availability of earnings to distribute. Peruvian corporations law (law No. 26887, as amended, *Ley General de Sociedades*) establishes a mandatory dividend of 50% or less of the previous year’s after-tax profits, net of the amount allocated to the legal reserve, if requested by shareholders representing at least 20% of the total common stock outstanding.

We have two classes of shares: Class A shares have full voting rights while Class B shares have no voting rights (except in certain exceptional cases) and receive an additional 5% on dividends over what Class A shares receive. We did not make any distribution of dividends in the last three years (2022, 2023, and 2024).

Off-Balance Sheet Arrangements

We did not have any off-balance sheet arrangements as of December 31, 2024 and 2023, and June 30, 2025 and 2024.

Quantitative and Qualitative Disclosures about Market Risk

During the normal course of our operations, we are exposed to several market risks, such as exchange rate risk, interest rate risk, price risk, credit risk and liquidity risk. Our risk management program is focused on minimizing the potential adverse effects of such risks on our financial performance. For a description of these risks and our capital risk management program as of and for the year ended December 31, 2024, see Note 5 to our audited consolidated financial statements included elsewhere in this offering memorandum. As of June 30, 2025, there has not been any material change in the risk factors as described therein.

BUSINESS

General

We are a diversified Peruvian mining company and a major global producer of zinc, silver and lead. We began operations in the early 1940s and have consistently ranked among the largest producers of these metals globally every year from 2006 to 2025, according to Wood Mackenzie and GFMS. We were the second-leading producer of zinc, first in lead and among the top three producers of silver in Peru up to June 2025, according to MINEM. We believe that the quality of our ore deposits, the efficiency of our operations and our economies of scale make us competitive among metal producers worldwide.

Our operations are divided into five main units that currently consist of five underground mines and two open pit mines in operation, five operating concentrator plants and one leaching plant extending across the Junín and Pasco departments in Peru, with San Cristobal - Carahuacra the largest mine accounting for approximately 32.5% of our 2024 tonnage production of zinc. Our mining units are all located between 170 and 295 kilometers from Lima, in the Central Andean region, a center of mining activity in Peru for centuries. As of December 31, 2024, our proven and probable reserves were 46.04 million tonnes and our measured, indicated and inferred resources were 908.2 million tonnes, which represented an average mine life of approximately 22 years at 2024 production levels (in each case, excluding the Cerro de Pasco Unit and the Óxidos de Pasco Unit, each as defined below). We have been granted mining concessions totaling approximately 294,000 hectares, of which: (i) 35.9% are currently being exploited, (ii) 3.8% are being explored, and (iii) approximately 60.3% remain unexploited and unexplored. In addition to our mining operations, we also own 868.5 hectares of land near the Chancay port that we expect to develop directly or through potential partnerships.

In the six-month period ended June 30, 2025, we had sales of US\$568.0 million, net profit of US\$72.5 million and Adjusted EBITDA of US\$223.3 million. In the first six months of 2025, zinc represented 51%, silver represented 33%, lead represented 11%, gold represented 3% and copper represented 3% of our sales by value. For the year ended December 31, 2024, we had sales of US\$960.5 million, net profit of US\$137.1 million and Adjusted EBITDA of US\$381.8 million. We had Adjusted EBITDA of US\$380.6 million for the year ended December 31, 2021, and US\$297.5 million for the year ended December 31, 2022. In 2024, zinc represented 50%, silver represented 33%, lead represented 10%, gold represented 3% and copper represented 4% of our sales by value. In 2024, concentrator plants treated 8.2 million dry tonnes of ore grading on average, 3.5% zinc, 1.9 silver ounces per tonne, 1.0% lead and 0.1% copper, and the Oxides leaching plant treated 0.9 million dry tonnes of ore grading 6.3 silver ounces per tonne and 0.5 gold grams per tonne. We are currently developing projects to expand our production such as Romina, Esperanza and Zoraida. See “*Business—Growth Projects.*” For a reconciliation of Adjusted EBITDA to profit for the period/year, see “*Selected Consolidated Financial Data.*”

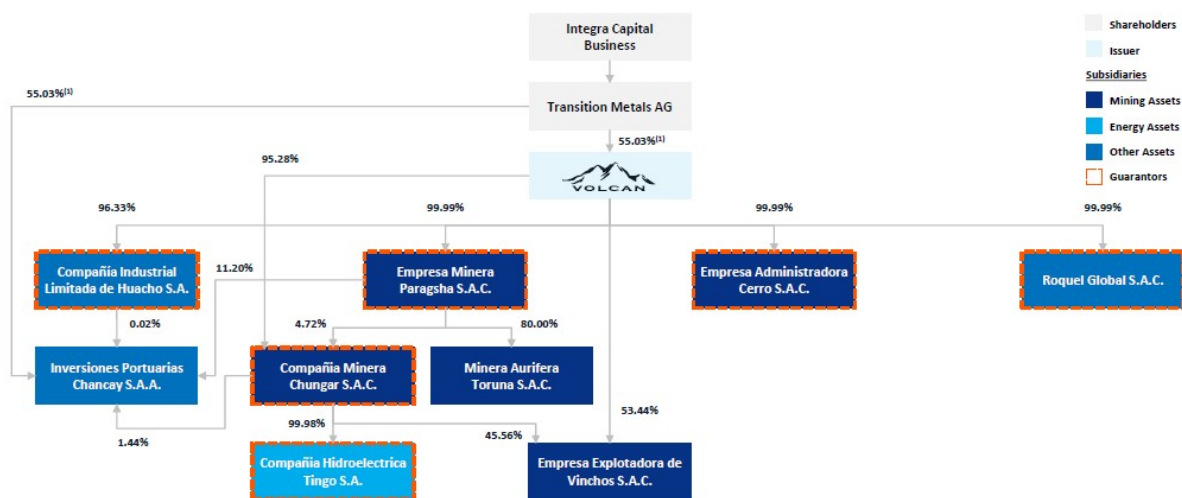
Our main units are:

- **Yauli.** The Yauli unit (the “Yauli Unit”) is comprised mainly of three underground mines (San Cristobal - Carahuacra, Andaychagua and Ticlio) producing an aggregate of approximately 2.9 million tonnes per year of ore bearing zinc, silver, lead, and copper. The ore is treated at two concentrator plants, Victoria and Andaychagua, with an aggregate processing capacity of 8,900 tonnes of ore per day. In 2024, this unit produced approximately 159.4 thousand tonnes of zinc, 7.0 million ounces of silver, 24.3 thousand tonnes of lead and 2.6 thousand tonnes of copper, representing approximately 56% of our sales by value. In the first six months of 2025, this unit produced approximately 80.1 thousand tonnes of zinc, 3.4 million ounces of silver, 13.1 thousand tonnes of lead, 1.1 thousand tonnes of copper and 2.1 thousand ounces of gold, representing approximately 63% of our sales by value in the period, as compared to the approximate production of 70.8 thousand tonnes of zinc, 3.0 million ounces of silver, 10.9 thousand tonnes of lead, 0.8 thousand tonnes of copper and 1.6 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were approximately 20.5 million tonnes and our measured, indicated and inferred resources were 61.1 million tonnes. The estimated mine life of the Yauli Unit is approximately 11 years at 2024 production levels, taking into account resources from advanced exploration targets.

- *Chungar.* The Chungar unit (the “Chungar Unit”) is comprised of two underground mines, one in production and one in suspension since July 2023, producing an aggregate of approximately 1.3 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 5,500 tonnes of ore per day. In 2024, this unit produced approximately 43.0 thousand tonnes of zinc, 1.7 million ounces of silver, 16.3 thousand tonnes of lead and 0.8 thousand tonnes of copper, representing approximately 20% of our sales by value. In the first six months of 2025, this unit produced approximately 21.1 thousand tonnes of zinc, 0.8 million ounces of silver, 10.0 thousand tonnes of lead, 0.4 thousand tonnes of copper and 0.3 thousand ounces of gold, representing approximately 14% of our sales by value in the period, as compared to the approximate production of 20.1 thousand tonnes of zinc, 0.7 million ounces of silver, 6.8 thousand tonnes of lead, 0.8 thousand tonnes of copper and 0.4 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 5.9 million tonnes and our measured, indicated and inferred resources were 55 million tonnes. The Chungar Unit mine life is estimated at approximately 22 years at 2024 production levels, taking into account resources from advanced exploration targets such as the Esperanza project.
- *Óxidos de Pasco.* The Óxidos de Pasco unit (the “Óxidos de Pasco Unit”) consists of one leaching plant, which has a processing capacity of 2,500 tonnes of ore per day. In 2024, this unit produced approximately 2.9 million ounces of silver and 7.8 thousand ounces of gold, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 1.3 million ounces of silver and 4.4 ounces of gold, representing approximately 9% of our sales by value in the period, as compared to the approximate production of 1.5 million ounces of silver and 3.5 thousand ounces of gold in the first six months of 2024.
- *Cerro de Pasco.* The Cerro de Pasco unit (the “Cerro de Pasco Unit”) consists of an open pit mine and mineral stockpiles producing an aggregate of approximately 3.2 million tonnes per year of ore bearing zinc, silver and lead. The ore is treated at one concentrator plant, which has an aggregate processing capacity of approximately 10,000 tonnes of ore per day. In 2024, this unit produced approximately 22.7 thousand tonnes of zinc, 1.5 million ounces of silver and 9.7 thousand tonnes of lead, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 12.4 thousand tonnes of zinc, 0.8 million ounces of silver, 7.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 11% of our sales by value in the period, as compared to the approximate production of 9.7 thousand tonnes of zinc, 0.7 million ounces of silver, 3.6 tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024.
- *Alpamarca.* The Alpamarca unit (the “Alpamarca Unit”) is comprised of an open pit mine and mineral stockpiles producing an aggregate of approximately 1.0 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 2,500 tonnes of ore per day. In 2024, this unit produced approximately 5.0 thousand tonnes of zinc, 0.8 million ounces of silver, 4.3 thousand tonnes of lead and 0.2 thousand tonnes of copper, representing approximately 4% of our sales by value. In the first six months of 2025, this unit produced approximately 2.5 thousand tonnes of zinc, 0.4 million ounces of silver, 2.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 2% of our sales by value in the period, as compared to the approximate production of 2.6 thousand tonnes of zinc, 0.4 thousand million ounces of silver, 2.3 thousand tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 10.1 million tonnes, including Romina’s reserves, and our measured, indicated and inferred resources were 13.1 million tonnes. The Alpamarca Unit mine life is estimated at 14 years at 2024 production levels, taking into account resources from advanced exploration targets. We believe that the future of the Alpamarca Unit is in the Romina project, which consists of zinc, lead and silver polymetallic mineralization in the form of replacement bodies. Romina is expected to enter production in the second half of 2026, with an estimated average annual production of 40,000 tonnes of zinc, 20,000 tonnes of lead and one million ounces of silver during the life of the mine, which is estimated at 13 years. For additional information on the Romina and other projects, please see “*Business—Growth Projects.*”

Organizational Structure

We act as the operating parent company of several subsidiaries, all of which are wholly-owned by us. Our corporate structure is shown in the following chart (the Yauli mining operations are owned by us directly and not by a separate subsidiary):



(1) Considers class A voting shares.

History

We began operations in 1943 as Volcan Mines Limited, with the Ticlio and Carahuacra mines. In the 1990s, as part of several privatizations in Peru, the Peruvian government auctioned certain mining areas and related assets. We acquired several of them and grew at a rapid pace. Most significantly:

- In 1997, Volcan Mines Limited acquired, via an international public auction, Empresa Minera Mahr Tunel S.A., owner of the Mahr Tunel, San Cristobal and Andaychagua mining operations, from Centromin, which had been Peru's state mining company since 1974. This acquisition started our expansion process, which resulted in a 400% increase in production. In 1998, Volcan Mines Limited and Empresa Minera Mahr Tunel S.A. merged to create Volcan Compañía Minera S.A.A., our current legal name.
- In 1999, we acquired, via an international public auction, Empresa Minera Paragsha from Centromin. This acquisition included the Cerro de Pasco mining operation, which made us the largest zinc mining company in Peru.
- In 2000, we acquired Empresa Administradora Chungar and Vinchos, owners of the Animón and Vinchos mines, respectively.
- Since 2000, in addition to selectively acquiring other smaller mining operations, we have focused on integrating the companies we acquired, placing emphasis on reducing costs and increasing our reserves and resources. Under the leadership of Dr. Roberto Letts Colmenares, majority shareholder and Chairman of the board until his passing in 2010, we expanded our operations and became the largest silver and lead producer in Peru and the second largest in zinc. At the same time, we became one of the top ten producers in silver, lead and zinc worldwide.
- On February 1, 2011, we spun off the assets that conform our Cerro de Pasco Unit to Empresa Administradora Cerro S.A.C. ("Empresa Administradora Cerro"). In consideration, we received shares representing 99.99% of the capital stock of Empresa Administradora Cerro., which is now our wholly-owned subsidiary.

- In January 2012, we issued an aggregate amount of US\$600 million of 5.375% notes due 2022 in a Rule 144A/Regulation S offering in the international capital markets, the proceeds of which were used to finance the oxide plant expansion project of our Cerro de Pasco Unit and the new Alparmarca Unit.
- A month afterwards, in February 2012, we acquired Empresa Hidroeléctrica Huanchor S.A.C. (“Empresa Hidroeléctrica Huanchor”) for US\$47.0 million. The business is comprised of the Huanchor Plant and was previously owned by Sociedad Minera Corona S.A. Halfway through 2012, Empresa Administradora Chungar S.A.C. also completed the construction and commenced operation of the Baños V hydroelectric plant. This 9.2 MW plant required a total investment of US\$24.0 million.
- In 2013, the Islay mine was consolidated into the Chungar Unit as a result of the acquisition of two nearby mining concessions (Islay and Islay 4) for US\$17.0 million. Earlier that year, we also completed the Animón plant expansion, which increased processing capacity from 4,200 to 5,200 tonnes per day. The upgrade of the Victoria and Andaychagua plants located in the Yauli Unit was also completed in 2013, which increased their processing capacity to 10,500 tonnes per day.
- In 2014, we continued expanding the Yauli Unit plants, which reached a processing capacity of 10,800 tonnes per day. In addition, in the Chungar Unit, the Jacob Timmers shaft commenced operations with a nominal capacity of 4,000 tonnes per day. In July 2014, we acquired a 1.25 MW hydroelectric power plant (the “Tingo Plant”), in addition to 82 kilometers of 22.9 kV and 50 kV transmission lines for a total of US\$13.5 million. The Tingo Plant is expected to be upgraded to approximately 15 MW and connected to the Alparmarca Unit and the Chungar Unit.
- In 2014, the Alparmarca Unit and the oxide plant in Cerro de Pasco commenced operations. With a total investment of US\$280 million, the plant reached full capacity in June 2015.
- In addition, in 2015 the following corporate reorganizations were undertaken: (i) Empresa Administradora Chungar S.A.C. absorbed Compañía Minera El Pilar S.A.C., Compañía Minera Huascarán S.A.C., Compañía Minera Santa Clara y Llacsacocha S.A.C., Shalca Compañía Minera S.A.C., and Recursos Troy S.A.C.; (ii) Óxidos de Pasco S.A.C. was spun off from Empresa Administradora Cerro and (iii) Compañía Minera Alparmarca S.A.C. absorbed Empresa Administradora Chungar S.A.C. In addition, the latter changed its corporate name to Compañía Minera Chungar.
- In August 2016, the Rucuy Plant, with a capacity of 120 GWh per year, began operations. The total investment in this unit was US\$50 million. In 2016, we also acquired the Romina project, which consists of a zinc, lead and silver polymetallic mineralization in the form of replacement bodies, from Compañía Minera Milpo S.A.A. (“Compañía Minera Milpo”) for US\$17.9 million.
- In November 2017, Glencore carried out a public tender offer to acquire our Class A shares where it ultimately purchased a total of 603,077,387 shares. As Glencore and its affiliated companies already held 295,754,888 of our shares, this acquisition increased their total holding of Class A shares to 898,832,275, or 55.028%. Taking into account our Class A and Class B shares, Glencore held 22.06% of our total equity.
- In January 2019, we signed agreements with CSPL for the development of the Chancay port, a natural port with a depth of up to 16 meters located 80 kilometers north of Lima. Once completed, the port is expected to include two specialized terminals, one of which would be a container terminal that would include 11 berths and the other would be for bulk cargo, general cargo and rolling cargo, with four berths. It is expected that the port will be able to receive the world’s largest Triple E-type vessels. The Chancay port is owned by CSPCP, with CSPL holding 60% of the ownership interests thereof. The remaining 40% of CSPCP was owned directly by us until May 30, 2024, when we transferred such shares to our subsidiary Inversiones Portuarias Chancay.
- On May 8, 2024, Glencore International, and Blomara Financing Corp., Earthwind International S.A. and Sandown Resources S.A., entities belonging to Glencore’s economic group, sold their controlling stake in our capital stock and their stake in Inversiones Portuarias Chancay to Transition Metals, a subsidiary of Integra Business, a financial and investment firm that has invested in a diversified portfolio in Argentina

and overseas. Founded in 1995, Integra Business has developed projects for over US\$17 billion in financing and investment.

- On May 31, 2024, we finalized the sale of our subsidiary Empresa de Generación Eléctrica Río Baños to Sindicato Energético S.A.
- On October 11, 2024, we finalized the sale of subsidiary Empresa Hidroeléctrica Huanchor to Rimac Hydro S.A.C.

We are a publicly held corporation, or *sociedad anónima abierta*, organized under the laws of Peru. Our shares are listed on the Lima Stock Exchange, Santiago Stock Exchange and the Latibex segment of the Madrid Stock Exchange. Our principal executive office is located at Av. Manuel Olgüín 373, Santiago de Surco, Lima, Peru, and our telephone number is +51-1-416-7000.

Concessions

We have been granted mining concessions totaling approximately 294,000 hectares, of which: (i) 35.9% are currently being exploited, (ii) 3.8% are being explored, and (iii) approximately 60.3% remain unexploited and unexplored. We are required to pay an annual validity fees (*derecho de vigencia*) and a production penalty (*penalidad*) if we fail to meet the required minimum annual production levels. Notwithstanding the above, our mining concessions will be cancelled if we fail to meet the required minimum production levels before the end of the thirtieth (30th) year after the later of (i) the grant of the mining concession or (ii) January 1, 2009, the date of enactment of Legislative Decree No. 1320, as amended. Failure to pay the validity fees and/or the penalty, if applicable, for two years, consecutive or not, will result in the forfeiture of our mining concessions. As of this date, we have paid all applicable fees (both validity and production penalties) on our operating concessions, including penalty fees for mining concessions that remained unexploited or unexplored. See “*Regulatory Framework*.” We paid approximately US\$5.9 million in validity and penalty fees in 2025 and approximately US\$3.0 million in 2024.

Reserves and Resources

Methodology

The information on reserves and resources included in this offering memorandum has been prepared following the reporting guidelines and international definitions established by the JORC. Such information was prepared under the general supervision of our geology and planning managers.

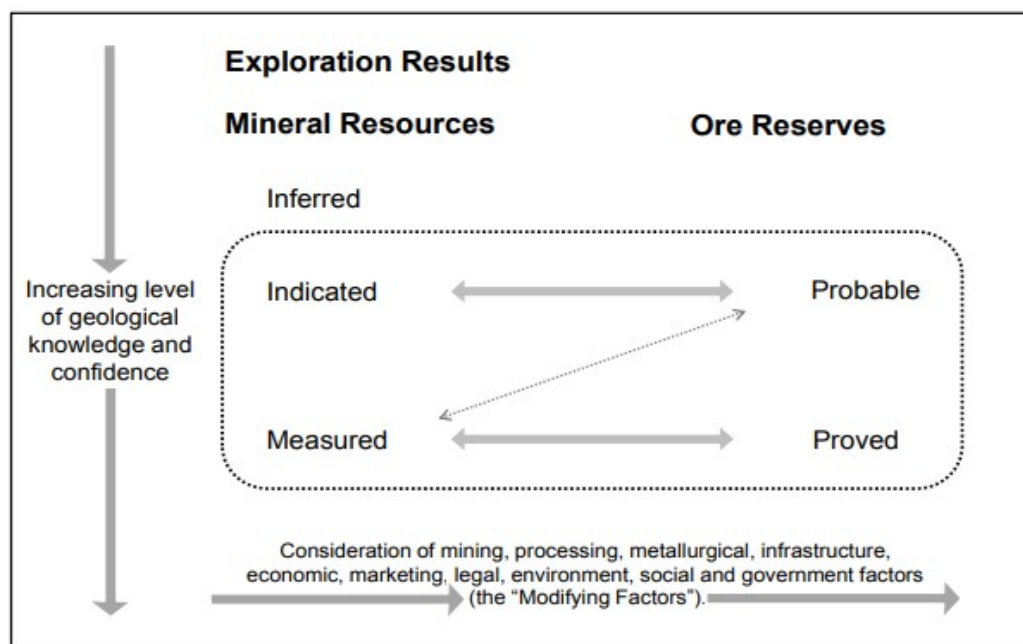
The mineral resources listed in this offering memorandum also include those that originate reserves. This information is not, however, typically subject to review or audit by independent or external experts.

Mineral resources are veins and ore bodies of economic value that have been identified and evaluated through exploration, reconnaissance and sampling. Resources are estimated based on geological knowledge about the deposit, which is based on scientific concepts concerning the formation of minerals such as oxides, sulfides and mixed ores, as well as available knowledge concerning the geological continuity of the mineralized sectors. This is based on technical parameters, such as robustness of the genetic-geological model and its validation through drillings.

Resources may be subdivided further, based on the degree of knowledge that we have of their extent and composition. If our knowledge of the resources is extensive and direct, they are measured resources; if our knowledge of them is substantial but less extensive, they are indicated resources; and if our knowledge of them is only indirect, they are inferred resources. Measured resources are based on a dense grid of regularly distributed drillings, indicated resources are based on an intermediate grid of regularly distributed drillings, and inferred resources are based on irregularly, sometimes sporadically distributed drillings, where the continuity of ore grades is mostly supported by concepts on the theoretical continuity of geological events, such as lithology, alteration and mineralization. Resources that are either measured or indicated, as opposed to inferred, are sometimes together referred to as demonstrated resources. Resources of all three categories are sometimes referred to together as identified resources.

A “reserve” is that part of a mineral resource, which, at the time of determination, may be economically and legally extracted. Reserve estimates are the result of studies that take into account certain technical, economic and legal factors, which are not considered when estimating mineral resources. Reserve estimates are based on mineral resource estimates but also reflect knowledge, at the time of determination, regarding the amount of such resources that can be recovered and sold at prices in excess of the total costs associated with extraction and processing. Reserve estimates are adjusted as technical, economic and legal circumstances change. Reserves are typically first determined at the time of planning a full-scale mining project. As a result, reserves are not reported for certain of our mineral deposits. Reserves may be “proven” or “probable.” Our proven reserves are based on our measured mineral resources, while our probable reserves are based on our indicated mineral resources, in each case after undertaking studies regarding certain technical, economic and legal factors.

The following graph shows the classification of reserves and resources according to the JORC.



The drilling programs during 2024 were strategically subdivided as follows: (i) exploration drilling, to incorporate new economically inferred resources and evaluate areas with high geological-economic potential, and (ii) infill drilling, aimed at reclassifying inferred resources to indicated and indicated to measured, with the objective of increasing geological certainty of the mining plan blocks and replenishing and increasing reserves, that is, dynamically relocating drilling programs in strategic areas where the highest volume of resources that can be converted into reserves can be obtained. The development of exploration drilling and infill drilling programs allowed for proper production planning and ensured its long-term sustainability.

Mineral reserves are the economically mineable portion of a measured and indicated mineral resource whose mining is viable based on evaluation with various modifying factors. Reserves include material dilution, contingencies for losses that may occur during mining, and associated costs for mining. Reserves are categorized as either proven or probable based on their degree of certainty.

General

As of December 31, 2024, our reserves were approximately 5% from the resources of 908.2 million tonnes. As of December 31, 2023, we had approximately 29.7 million tonnes of proven and probable reserves, 146.8 million tonnes of measured and indicated resources, and 324.4 million tonnes of inferred resources. Our average estimated mine life is approximately 22 years at 2024 production levels.

Proven and probable reserves⁽¹⁾

Year	Tonnes	Zinc (%)	Zinc Content	Lead (%)	Lead Content	Silver grade	Silver Content
As of December 31,	(in thousands)		(thousands of tonnes)		(thousands of tonnes)	(ounces/tonne)	(millions of ounces)
2013	69,417	3.90%	2,728	1.00%	676	4	276
2014	73,699	2.50%	1,864	0.70%	486	1.8	133
2015	76,891	3.70%	2,840	0.90%	701	3.5	267
2016	65,242	3.90%	2,536	0.90%	614	3.3	215
2017	50,296	4.10%	2,039	0.90%	465	3.6	179
2018	34,300	4.00%	1,388	0.90%	306	2.4	81
2019	32,700	4.80%	1,565	1.10%	371	3	99
2020	27,719	4.60%	1,274	1.10%	299	2.7	75
2021	23,526	4.60%	1,091	1.00%	231	2.6	61
2022	31,499	3.70%	1,162	0.90%	279	2.4	75
2023	29,718	3.90%	1,162	0.90%	275	2.3	64
2024	46,042	4.09%	1,883	1.3%	598	2.1	96

The following table shows the metal prices applied to our reserve estimates for the metals and years indicated.

		Metal Price Evolution (2021-2024) ⁽¹⁾			
		2021	2022	2023	2024
Zinc	US\$/tonne	3,000	3,500	2,650	2,700
Lead	US\$/tonne	2,200	2,150	2,140	2,150
Copper	US\$/tonne	9,310	8,810	8,480	9,000
Silver	US\$/ounce	25.2	21.8	23.4	26.5
Gold	US\$/ounce	1,800	1,800	1,940	2,000

(1) Source: Refinitiv Eikon.

Reserves per Mining Unit and Project

Our reserves as of December 31, 2024 increased by 54.9% in tonnage compared to the previous year, mainly due to the inclusion of the Romina Project. Fine zinc reserves increased 721 thousands of tonnes, while lead increased 323 thousands of tonnes and silver increased 32 million ounces.

In the Yauli Unit, reserves as of December 31, 2024 increased to those as of December 31, 2023. There were no significant changes in grades; zinc remained unchanged, lead increased by 7%, and silver decreased by 12% relative to 2023.

In the Chungar Unit, there was an 28.4% increase in reserves as of December 31, 2024 compared to those as of December 31, 2023, with an decrease of 1% in zinc, 7% in lead, and 1% in silver relative to the 2023 grade. These results do not include the Islay mine in 2023 or 2024, as reserves were not reported.

The Alparmarca Unit experienced 10.1 Mt increase in reserves as of December 31, 2024 compared to those as of December 31, 2023, of which 9.15 Mt are related to the inclusion of Romina project in our reserves, with grades of 4.7% Zn, 2.6% Pb and 1.2 Oz/t Ag. For the Cerro de Pasco Unit, there was a 7% decrease in reserves as of December 31, 2024 compared to those as of December 31, 2023, with an increase of 20% in Zn, 42% in Pb, 11% in Cu and 3% in silver grades.

In the Óxidos de Pasco Unit, as of December 31, 2024, reserves amounted to 1.95 million tonnes with grades of 6.04 silver ounces per tonne and 0.46 gold grams per tonne.

The following table shows the reserve estimates for the metals indicated per mining unit and certain projects as of December 31, 2024.

Reserves estimates for metals per mining unit and certain as of December 31, 2024

	Mineral Reserves	Tonnes (MM)	Grade				Metal Content			
			Zn	Pb	Cu	Ag	Zn	Pb	Cu	Ag
			%	%	%	Oz/TM	Thousands of tonnes	Thousands of tonnes	Thousands of tonnes	Thousands of ounces
Yauli	Andaychagua	6.45	5.69	1.24	0.09	1.97	367	80	6	13
	Proven	3.47	6.32	1.26	0.07	1.60	219	44	2	6
	Probable	2.98	4.96	1.23	0.13	2.40	148	37	4	7
	San Cristobal - Carahuacra	12.09	4.39	0.67	0.13	2.73	530	81	16	33
	Proven	3.86	4.65	0.63	0.12	2.87	180	24	5	11
	Probable	8.23	4.26	0.69	0.14	2.66	351	57	11	22
	Ticlio	1.91	5.33	0.61	0.23	1.30	102	12	4	2
	Proven	0.46	5.49	0.55	0.18	1.17	25	3	1	1
	Probable	1.45	5.29	0.63	0.25	1.34	77	9	4	2
	Yauli	20.45	4.89	0.85	0.13	2.35	1,000	173	27	48
	Proven	7.79	5.44	0.91	0.10	2.20	424	71	8	17
	Probable	12.66	4.55	0.81	0.15	2.45	576	103	19	31
Chungar	Animón	5.86	4.63	1.78	0.15	2.08	271	104	9	12
	Proven	0.99	4.91	1.97	0.19	2.05	49	20	2	2
	Probable	4.87	4.57	1.74	0.15	2.09	223	85	7	10
	Alpamarca	0.93	0.62	0.47	0.03	0.85	6	4	0	1
	Proven	0.52	0.81	0.69	0.04	1.05	4	4	0	1
	Probable	0.40	0.38	0.19	0.02	0.58	2	1	0	0
	Romina	9.15	4.67	2.63	0.09	1.21	427	240	8	11
	Proven	4.29	4.66	2.60	0.08	1.22	200	112	4	5
	Probable	4.86	4.67	2.65	0.09	1.19	227	129	4	6
	Islay	-	-	-	-	-	-	-	-	-
	Proven	-	-	-	-	-	-	-	-	-
	Probable	-	-	-	-	-	-	-	-	-
Cerro de Pasco	Chungar	15.93	4.42	2.19	0.11	1.51	704	349	17	24
	Proven	5.80	4.35	2.32	0.10	1.35	253	135	6	8
	Probable	10.13	4.46	2.11	0.11	1.60	451	214	11	16
	Óxidos	1.95	-	-	-	6.04	0	0	0	12
	Proven	0.17	-	-	-	6.98	0	0	0	1
	Probable	1.79	-	-	-	5.95	0	0	0	11
	Sulfuros	7.70	2.33	0.99	0.08	1.56	179	76	6	12
	Proven	0.16	7.63	5.87	0.23	3.30	12	9	0	1
	Probable	7.54	2.22	0.89	0.07	1.52	167	67	6	11
	Cerro de Pasco	9.66	1.86	0.79	0.06	2.46	179	76	6	24
	Proven	0.33	3.75	2.88	0.11	5.17	12	9	0	2
	Probable	9.33	1.79	0.72	0.06	2.37	167	67	6	22
Total	Proven	13.92	4.95	1.54	0.10	1.92	689	215	14	27
	Probable	32.12	3.72	1.19	0.11	2.16	1,194	384	36	69
	Total	46.04	4.09	1.30	0.11	2.08	1,883	598	50	96

Resources per Mining Unit and Projects

The following table shows the resource estimates for the metals indicated per mining unit and certain projects as of December 31, 2024.

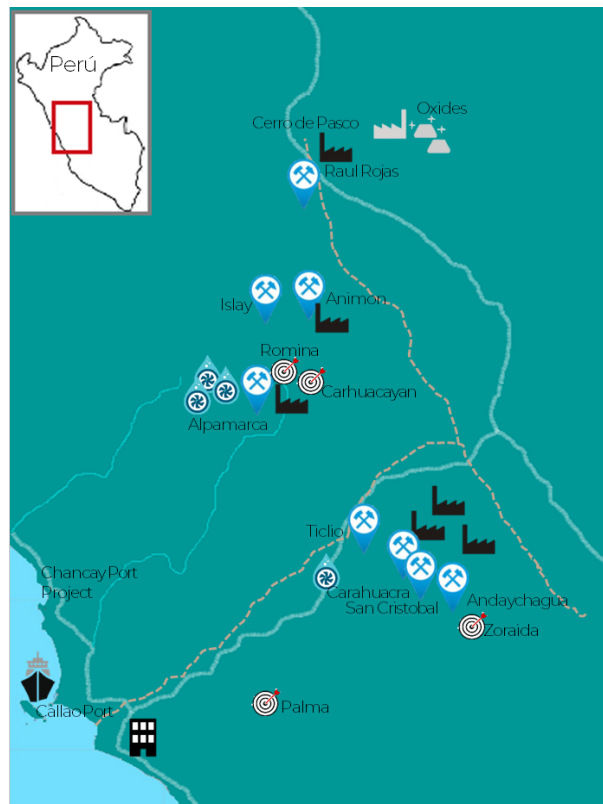
Unit	Class	Grade					Metal Content			
		Tonnes	Zinc	Lead	Copper	Silver	Zinc	Lead	Copper	Silver
		(Millions)	(%)	(%)	(%)	(Oz/t)	(Kton)	(Kton)	(Kton)	(MtOz)
Yauli Unit	Subtotal Yauli	61.1	5.7	1.0	0.2	3.2	3,502	620	115	197
	Measured	15.6	7.0	1.2	0.2	3.1	1,081	180	24	49
	Indicated	22.5	5.8	1.0	0.2	3.3	1,300	234	43	75
	Inferred	23.0	4.9	0.9	0.2	3.2	1,120	206	48	74
Cerro de Pasco Unit	Subtotal Cerro	103.7	3.4	1.3	0.2	3.2	3,514	1,381	183	332
	Measured	0.4	1.4	1.1	0.1	4.6	6	4	0	2
	Indicated	25.5	1.0	0.6	0.2	3.6	252	161	40	92
	Inferred	77.8	4.2	1.6	0.2	3.1	3,257	1,216	143	238
Chungar Unit	Subtotal Chungar	22.2	6.7	2.2	0.2	3.0	1,487	499	44	66
	Measured	2.4	8.7	2.8	0.3	3.2	212	67	7	8
	Indicated	8.5	7.2	2.5	0.2	3.0	609	211	18	26
	Inferred	11.3	5.9	1.9	0.2	2.9	666	220	19	33
Alpamarca	Subtotal Alpamarca	1.7	0.7	0.5	0.0	0.9	12	9	1	2
	Measured	0.8	0.8	0.8	0.0	1.0	6	6	0	1
	Indicated	0.6	0.7	0.3	0.0	0.8	4	2	0	1
	Inferred	0.4	0.6	0.3	0.1	0.8	2	1	0	0
La Tapada	Subtotal La Tapada	9.5	3.5	1.5	0.0	1.4	334	139	0	14
	Indicated	3.4	3.7	1.7	0.0	1.6	125	56	0	5
	Inferred	6.1	3.4	1.4	0.0	1.4	209	83	0	8
Zoraida	Subtotal Zoraida	5.1	4.4	3.2	0.1	4.3	226	165	5	22
	Indicated	3.0	4.5	3.2	0.1	4.4	134	95	3	13
	Inferred	2.1	4.3	3.3	0.1	4.2	92	70	2	9
Esperanza	Subtotal Esperanza	32.8	6.3	0.0	0.7	0.6	2,053	13	222	20
	Inferred	32.8	6.3	0.0	0.7	0.6	2,053	13	222	20
Palma	Subtotal Palma	34.7	3.6	0.7	0.0	0.6	1,254	239	13	22
	Indicated	18.0	3.8	0.7	0.0	0.8	684	134	6	14
	Inferred	16.7	3.4	0.6	0.0	0.5	570	105	7	9
Puagjanca	Subtotal Puagjanca	11.4	4.8	2.7	0.1	1.2	552	305	10	14
	Measured	5.2	5.2	2.8	0.1	1.4	272	149	5	7
	Indicated	5.1	4.8	2.7	0.1	1.2	245	140	5	6
	Inferred	1.1	3.3	1.5	0.1	0.7	35	16	1	1
Andrea	Subtotal Andrea	2.2	4.0	0.0	0.0	0.2	89	1	1	0
	Inferred	2.2	4.0	0.0	0.0	0.2	89	1	1	0
Santa Bárbara	Subtotal Santa Bárbara	594.2	-	-	0.2	-	-	-	1,349	

	Inferred	594.2	-	-	0.2	-	-	-	1,349	
Rondoní	Subtotal Rondoní	25.3	-	-	0.4	-	-	-	89	
	Indicated	10.4	-	-	0.4	-	-	-	45	
	Inferred	14.9	-	-	0.3	-	-	-	44	
Islay	Subtotal Islay	4.3	2.1	1.0	0.1	5.5	88	42	2	24
	Measured	0.9	2.7	1.2	0.1	6.0	25	11	1	6
	Indicated	1.1	2.0	1.0	0.1	5.4	22	11	1	6
	Inferred	2.3	1.8	0.9	0.0	5.4	41	20	1	12
Total	Measured	25.3	6.3	1.6	0.1	2.8	1,602	416	37	716
	Indicated	98.0	3.4	1.1	0.2	2.4	3,375	1,044	160	2,378
	Inferred	784.9	1.0	0.2	0.2	0.5	8,134	1,951	1,838	4,036
	Grand Total	908.2	1.4	0.4	0.2	0.8	13,111	3,411	2,035	7,130

Operations

General

Our operations are divided in five main units, the Yauli Unit, the Cerro de Pasco Unit, the Alpamarca Unit, the Chungar Unit and the Óxidos de Pasco Unit, as set forth on the following map and further described below.



The following table summarizes the treated mineral, ore grade and aggregate production for the periods indicated.

	Year ended December 31,		Six months ended June 30,
	2023	2024	2025
Treated Mineral (thousand tonnes) ..	9,429	9,194	4,673
Ore Grade			
Zinc (%)	3.51%	3.49%	3.48%
Silver (ounces per tonne).....	2.43	2.36	2.26
Lead (%).....	0.99%	0.97%	1.06%
Copper (%).....	0.12%	0.11%	0.10%
Concentrates			
Zinc (in thousands of tonnes)	461.9	456.0	232.5
Lead (in thousands of tonnes)	80.5	99.7	56.2
Copper (in thousands of tonnes).....	11.4	12.9	5.8
Bulk (in thousands of tonnes)	32.9	7.2	3.4
Dore bars (in thousand kilograms)	96.9	97.9	41.9
Fine Metal Production			
Zinc (in thousands of tonnes)	242.0	230.1	116.2
Silver (in millions of ounces)	15.2	13.9	6.7
Lead (in thousands of tonnes)	60.8	54.6	32.2
Copper (in thousands of tonnes).....	5.3	4.3	2.0
Gold (in thousands of ounces).....	18.4	13.1	7.0

Mining Units

Each mining unit consists of one or more mines and treatment plants as summarized in the following table and further described below.

Mining Unit	Mines	Treatment Plants
Yauli.....	San Cristobal - Carahuacra Andaychagua	Victoria Andaychagua
	Ticlio	Marh Tunel (not operating)
Chungar.....	Animón Islay (suspended)	Animón
Alpamarca	Alpamarca	Alpamarca
Cerro de Pasco	Raúl Rojas	Paragsha-San Expedito
Óxidos de Pasco	-	Óxidos

Yauli Unit

General

The Yauli Unit is located 40 kilometers from the city of La Oroya and 170 kilometers from Lima and is accessible by road and railway. It is comprised mainly of three underground mines (San Cristobal - Carahuacra, Andaychagua and Ticlio) producing an aggregate of approximately 2.9 million tonnes per year of ore bearing zinc, silver, lead and copper. The San Cristobal mine has been recently merged with Carahuacra mine and we have 154 mining concessions registered in our name which are currently in the process of registration as a merged concession

“San Cristobal - Carahuacra” before the Public Registries. The ore is treated at two concentrator plants, Victoria and Andaychagua, with an aggregate processing capacity of 8,900 tonnes of ore per day. In 2024, this unit produced approximately 159.4 thousand tonnes of zinc, 7.0 million ounces of silver, 24.3 thousand tonnes of lead and 2.6 thousand tonnes of copper, representing approximately 56% of our sales by value. In the first six months of 2025, this unit produced approximately 80.1 thousand tonnes of zinc, 3.4 million ounces of silver, 13.1 thousand tonnes of lead, 1.1 thousand tonnes of copper and 2.1 thousand ounces of gold, representing approximately 63% of our sales by value in the period, as compared to the approximate production of 70.8 thousand tonnes of zinc, 3.0 million ounces of silver, 10.9 thousand tonnes of lead, 0.8 thousand tonnes of copper and 1.6 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 20.45 million tonnes and our measured, indicated and inferred resources were 61.1 million tonnes. The estimated mine life of the Yauli Unit is approximately 11 years at 2024 production levels, taking into account resources from advanced exploration targets

The table below summarizes this unit’s treated mineral, ore grade and production for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	3,106	2,935	1,290	1,534
Ore Grade				
Zinc (%).....	5.67%	5.72%	5.77%	5.50%
Lead (%).....	1.04%	0.97%	0.99%	0.98%
Copper (%).....	0.17%	0.17%	0.13%	0.15%
Silver (ounces per tonne).....	2.83	2.72	2.63	2.58
Concentrates				
Zinc (thousand tonnes).....	322.6	322.6	142.0	164.5
Lead (thousand tonnes).....	51.2	45.1	19.8	23.6
Copper (thousand tonnes).....	10.0	9.6	3.0	4.2
Metal Contained				
Zinc (thousand tonnes).....	166.9	159.4	70.8	80.1
Lead (thousand tonnes).....	28.4	24.3	10.9	13.1
Copper (thousand tonnes).....	2.8	2.6	0.8	1.1
Silver (million ounces).....	7.8	7.0	3.0	3.4

San Cristobal - Carahuacra Mine

In 2024, the San Cristobal - Carahuacra Mine produced a total of 1,594 thousand tonnes of ore grading 4.9% zinc, 3.1 ounces per tonne silver, 0.8% lead and 0.2% copper. In 2024, diamond drilling totaled 30.8 thousand meters and mine production levels were approximately 4,428 tonnes per day in 2024.

The table below summarizes this mine’s treated mineral and ore grade for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	1,778	1,594	664	803
Ore Grade				
Zinc (%).....	5.01	4.95	4.95	4.73
Lead (%).....	0.81	0.78	0.83	0.75
Copper (%).....	0.18	0.19	0.14	0.17
Silver (ounces per tonne).....	3.16	3.09	3.00	3.07

Andaychagua Mine

In 2024, the Andaychagua mine produced 1,016 thousand tonnes of ore grading 6.9% zinc, 2.2 ounces per tonne silver, 1.3% lead and 0.1% copper. In 2024, diamond drilling totaled 26.1 thousand meters and mine production levels were approximately 2,822 tonnes per day in 2024.

The table below summarizes this mine's treated mineral and ore grade for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	947	1,016	480	549
Ore Grade				
Zinc (%).....	7.0	6.9	6.9	6.1
Lead (%).....	1.6	1.3	1.3	1.4
Copper (%).....	0.1	0.1	0.1	0.1
Silver (ounces per tonne).....	2.3	2.2	2.1	1.8

Ticlio Mine

In 2024, the Ticlio mine produced 326 thousand tonnes of ore grading 5.7% zinc, 2.6 ounces per tonne silver, 0.7% lead and 0.3% copper. In 2024, diamond drilling advanced 8.6 thousand meters and production totaled 906 tonnes per day in 2024.

The table below summarizes this mine's treated mineral and ore grade for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	381	326	146	181
Ore Grade				
Zinc (%).....	5.4	5.7	5.7	7.0
Lead (%).....	0.7	0.7	0.7	0.8
Copper (%).....	0.4	0.3	0.3	0.3
Silver (ounces per tonne).....	2.6	2.6	2.7	2.7

Victoria Plant

In 2024, the Victoria plant treated a total of 1,681 thousand tonnes of ore grading 5.2% zinc, 3.2 ounces per tonne silver, 0.8% lead and 0.2% copper, obtaining 164.9 thousand tonnes of zinc concentrate, 19.4 thousand tonnes of lead concentrate and 9.6 thousand tonnes of copper concentrate.

The table below summarizes the Victoria plant's operations for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	1,901	1,681	691	908
Ore Grade				
Zinc (%).....	5.3	5.2	5.2	5.3
Lead (%).....	0.8	0.8	0.8	0.8
Copper (%).....	0.2	0.2	0.2	0.2
Silver (ounces per tonne).....	3.3	3.2	3.2	3.1
Concentrates				
Zinc (thousand tonnes).....	183.3	164.9	67.9	91.7
Lead (thousand tonnes).....	23.5	19.4	8.4	10.1
Copper (thousand tonnes).....	10.0	9.6	3.0	4.2
Metal Contained				
Zinc (thousand tonnes).....	95.1	83.1	34.2	45.8
Lead (thousand tonnes).....	13.0	10.5	4.6	5.7
Copper (thousand tonnes).....	2.8	2.6	0.8	1.1
Silver (ounces).....	5.6	4.8	1.9	2.5

Andaychagua Plant

In 2024, the Andaychagua plant treated 1,254 thousand tonnes of ore grading 6.4% zinc, 2-0 ounces per tonne silver, 1.2% lead and 0.1% copper, obtaining 157.7 thousand tonnes of zinc concentrate, and 25.7 thousand tonnes of lead concentrate. The table below summarizes the Andaychagua plant's operations for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	1,205	1,254	598	626
Ore Grade				
Zinc (%).....	6.3	6.4	6.5	5.8
Lead (%).....	1.4	1.2	1.2	1.3
Copper (%).....	0.1	0.1	0.1	0.1
Silver (ounces per tonne).....	2.1	2.0	2.0	1.8
Concentrates				
Zinc (thousand tonnes).....	139.4	157.7	74.1	72.8
Lead (thousand tonnes).....	27.7	25.7	11.4	13.5
Metal Contained				
Zinc (thousand tonnes).....	71.8	76.7	36.7	34.3
Lead (thousand tonnes).....	15.4	13.8	6.3	7.4
Silver (million ounces).....	2.2	2.2	1.1	0.9

Chungar Unit

General

The Chungar Unit is comprised of two underground mines, one in production and one in suspension since July 2023, producing an aggregate of approximately 1.0 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 5,500 tonnes of ore per day. In 2024, this unit produced approximately 43.0 thousand tonnes of zinc, 1.7 million ounces of silver, 16.3 thousand tonnes of lead and 0.8 thousand tonnes of copper, representing approximately 20% of our sales by value. In the first six months of 2025, this unit produced approximately 21.1 thousand tonnes of zinc, 0.8 million ounces of silver, 10.0 thousand tonnes of lead, 0.4 thousand tonnes of copper and 0.3 thousand ounces of gold, representing approximately 14% of our sales by value in the period, as compared to the approximate production of 20.1 thousand tonnes of zinc, 0.7 million ounces of silver, 6.8 thousand tonnes of lead, 0.8 thousand tonnes of copper and 0.4 thousand ounces of gold in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 5.86 million tonnes and our measured, indicated and inferred resources were 55 million tonnes. The Chungar Unit mine life is estimated at approximately 22 years, including Esperanza Project at 2024 production levels, taking into account resources from advanced exploration targets.

The table below summarizes this unit's treated mineral, ore grade and production for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes).....	1,261	1,025	455	508
Ore Grade				
Zinc (%).....	4.30	4.55	4.76	4.51
Lead (%).....	1.81	1.74	1.63	2.14
Copper (%).....	0.17	0.17	0.15	0.19
Silver (ounces per tonne).....	2.04	1.95	1.79	1.83
Concentrates				
Zinc (thousand tonnes).....	87.8	77.4	35.7	37.2
Lead (thousand tonnes).....	11.0	29.0	12.4	16.2
Copper (thousand tonnes).....	1.4	3.3	1.2	1.6
Bulk (thousand tonnes).....	26.2	0.0	0.0	0.0
Metal Contained				
Zinc (thousand tonnes).....	49.9	43.0	20.1	21.1
Lead (thousand tonnes).....	21.0	16.3	6.8	10.0

Animón Mine

In 2024, the Animón mine produced 1,025 thousand tonnes of ore grading 4.5% zinc, 1.9 ounces per tonne silver, 1.7% lead and 0.2% copper. In 2024, diamond drilling advanced to 37.9 meters and mine produced 2,848 tonnes of ore per day. The table below summarizes this mine's treated mineral and ore grade for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes)	1,149	1,025	455	509
Ore Grade				
Zinc (%).....	4.5	4.5	4.8	4.5
Lead (%).....	1.9	1.7	1.6	2.1
Copper (%).....	0.2	0.2	0.1	0.2
Silver (ounces per tonne).....	1.8	1.9	1.8	1.8

Islay Mine

Since July 2023, the Islay Mine had no mining production.

Animón Plant

In 2024, the Animón plant treated a total of 1,025 thousand tonnes of ore grading 4.5% zinc, 1.9 ounces per tonne silver, 0.2% copper and 1.7% lead, obtaining 77.4 thousand tonnes of zinc concentrate, 29.0 thousand tonnes of lead concentrate, and 3.3 thousand tonnes of copper concentrate. The plant reported a capacity level of 5,500 tonnes per day in 2024. The table below summarizes the Animón plant's operations for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes)	1,261	1,025	455	508
Ore Grade				
Zinc (%).....	4.30	4.55	4.76	4.51
Lead (%).....	1.81	1.74	1.63	2.14
Copper (%).....	0.17	0.17	0.15	0.19
Silver (ounces per tonne).....	2.04	1.95	1.79	1.83
Concentrates				
Zinc (thousand tonnes).....	83.9	77.4	35.7	37.2
Lead (thousand tonnes).....	11.0	29.0	12.4	16.2
Copper (thousand tonnes)	1.4	3.3	1.2	1.6
Bulk (thousand tonnes).....	23.0	0.0	0.0	0.0
Metal Contained				
Zinc (thousand tonnes).....	47.7	77.4	35.7	37.2
Lead (thousand tonnes).....	19.8	29.0	12.4	16.2

Outlook

Work in surface mapping, geochemistry and geophysics is expected to continue in coming years, with the purpose of generating drill targets and extending the life of the mines through of the incorporation of economic mineral resources as well as the discovery of new structures with high zinc, lead and silver contents, including Vein 3 in the Animón mine. In particular, in the Animón mine, exploration of the Esperanza body was restarted in 2023 and 37.9 thousand meters of diamond drilling was executed during 2024. This exploration project demonstrated the continuity of the ore body to the southeast. Geophysical, geotechnical and metallurgical studies will be carried out simultaneously.

Alpamarca Unit

General

The Alpamarca Unit is comprised of one open pit mine and mineral stockpiles producing an aggregate of approximately 1.0 million tonnes per year of ore bearing zinc, silver, lead and copper. The ore is treated at a concentrator plant, which has a processing capacity of 2,500 tonnes of ore per day. In 2024, this unit produced approximately 5.0 thousand tonnes of zinc, 0.8 million ounces of silver, 4.3 thousand tonnes of lead and 0.2 thousand tonnes of copper, representing approximately 4% of our sales by value. In the first six months of 2025, this unit produced approximately 2.5 thousand tonnes of zinc, 0.4 million ounces of silver, 2.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 2% of our sales by value in the period, as compared to the approximate production of 2.6 thousand tonnes of zinc, 0.4 thousand million ounces of silver, 2.3 thousand tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024. As of December 31, 2024, our proven and probable reserves were 10.07 million tonnes, including Romina project and our measured, indicated and inferred resources were 13.1 million tonnes. The Alpamarca Unit mine life is estimated at 14 years at 2024 production levels, taking into account resources from advanced exploration targets.

The table below summarizes this unit's treated mineral, ore grade and production for the periods indicated.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes)...	958	1,004	536	511
Ore Grade				
Zinc (%).....	0.76	0.62	0.59	0.63
Lead (%).....	0.50	0.48	0.49	0.45
Copper (%).....	0.05	0.03	0.03	0.03
Silver (ounces per tonne).....	1.20	0.88	0.90	0.88
Concentrates				
Zinc (thousand tonnes).....	10.9	9.3	4.6	4.6
Bulk (thousand tonnes).....	6.7	7.2	3.8	3.4
Metal Contained				
Zinc (thousand tonnes).....	5.8	5.0	2.6	2.5
Lead (thousand tonnes).....	4.0	4.3	2.3	2.0
Copper (thousand tonnes).....	0.3	0.2	0.1	0.1
Silver (million ounces).....	1.0	0.8	0.4	0.4

Outlook

We believe that the future of the Alpamarca Unit is in the Romina project. We have determined the existence of important deposits of zinc, lead and silver here, particularly in the Puagjanca body. In surrounding areas, we also determined the existence of the Andrea, Adriana and Esperanza deposits. Romina is expected to enter production in the second half of 2026, with an estimated annual production of 40,000 tonnes of zinc, 20,000 tonnes of lead and one million ounces of silver, during the life of the mine which is estimated at 13 years.

Additionally, we are engaging in growth projects such as Esperanza, Zoraida, Carhuacayan, Palma. See “—Growth Projects— Exploration and Growth Projects” for additional information on these projects.

Cerro de Pasco Unit

General

The Cerro de Pasco Unit is located in the Pasco district, Pasco department, and is accessible from the Central Highway of Peru, approximately 295 kilometers from Lima. It consists of an open pit mine, and mineral stockpiles producing an aggregate of approximately 3.2 million tonnes per year of ore bearing zinc, silver and lead.

The ore is treated at one concentrator plant, which has an aggregate processing capacity of approximately 10,000 tonnes of ore per day. The Raul Rojas open pit is located within close proximity to the city of Cerro de Pasco, which has more than 60,000 inhabitants and has grown alongside the mine since mining activity began in the Colonial period. This close proximity to a populated area poses significant challenges to the future expansion of the mine's operations. The ore is treated at the Paragsha-San Expedito concentrator plant, which has an aggregate processing capacity of approximately 10,000 tonnes of ore per day. In 2024, this unit produced approximately 22.7 thousand tonnes of zinc, 1.5 million ounces of silver and 9.7 thousand tonnes of lead, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 12.4 thousand tonnes of zinc, 0.8 million ounces of silver, 7.0 thousand tonnes of lead and 0.1 thousand tonnes of copper, representing approximately 11% of our sales by value in the period, as compared to the approximate production of 9.7 thousand tonnes of zinc, 0.7 million ounces of silver, 3.6 tonnes of lead and 0.1 thousand tonnes of copper in the first six months of 2024.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes)	3,146	3,249	1,551	1,637
Ore Grade				
Zinc (%).....	1.89	2.03	1.99	2.16
Lead (%).....	0.76	0.87	0.81	0.98
Silver (ounces per tonne).....	1.50	1.42	1.49	1.45
Concentrates				
Zinc (thousand tonnes).....	40.6	46.8	20.2	26.1
Lead (thousand tonnes).....	18.3	25.6	10.4	16.4
Metal Contained				
Zinc (thousand tonnes).....	19.4	22.7	9.7	12.4
Lead (thousand tonnes).....	7.5	9.7	4.5	7.0
Silver (million ounces).....	1.5	1.5	0.7	0.8

Outlook

We are reprocessing the Rumiallana stockpiles, with favorable results that will allow the continuity of the Cerro de Pasco Unit beyond 2030. Evaluations to determine additional opportunities are currently underway.

Óxidos de Pasco Unit

General

The Óxidos de Pasco Unit is located in the Pasco district, Pasco department, and is accessible from the Central Highway of Peru, approximately 295 kilometers from Lima. It consists of a leaching plant treating oxides in situ and stockpiles, with an aggregate processing capacity of approximately 2,500 tonnes of ore per day. This unit produces an aggregate of approximately 0.9 million tonnes per year of ore bearing silver and gold. In 2024, this unit produced approximately 2.9 million ounces of silver and 7.8 thousand ounces of gold, representing approximately 10% of our sales by value. In the first six months of 2025, this unit produced approximately 1.3 million ounces of silver and 4.4 thousand ounces of gold, representing approximately 9% of our sales by value in the period.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Treated Mineral (thousand tonnes)	958	981	489	484
Ore Grade				
Silver (ounces per tonne).....	5.94	6.30	6.28	5.88
Gold (grams per tonne).....	0.6	0.5	0.4	0.5
Metal Contained				
Silver (in millions of ounces).....	2.7	2.9	1.5	1.3
Gold (in thousands of ounces).....	11.4	7.8	3.5	4.4

Outlook

The permit application process for expanding the explorations limits for the Óxidos de Pasco Unit and carrying on mineral-in-site extraction with high gold and silver ore grades is underway and is currently pending approval.

Transportation and Shipping

After we extract the ore from our mines, we transport it by truck or, in the case of our Cerro de Pasco Mining Unit, by belt, to the plants that then will consequently treat the ore and produce the Zinc, Lead and Copper concentrates, which are our final products. Concentrate's destinations change and are organized according to a monthly shipping and delivery program managed by our commercial department. We transport all our concentrates to warehouses in the Callao port area except for part of the Zinc concentrates that we allocate to the Cajamarquilla Zinc refinery in Huachipa. We transport our concentrates to both destinations either by truck or railroad, depending on the availability thereof and the plant where they come from. The Yauli Unit and the Cerro de Pasco Unit can easily share trucks and railcars. In the case of the Chungar Unit and the Alpamarca Unit, the transportation method currently used is trucks.

Regarding our dore bar sales, we use armored trucks for the transportation of the bars from Cerro de Pasco Mining Unit to the Jorge Chavez Airport in Lima and the bars are then transported by plane to the country of destination (which in most cases is Switzerland).

We use the following methods for the sale of our products:

- *CIP (Carriage and Insurance Paid to) Warehouse.*

Concentrates are delivered locally and once the trucks enter the warehouse, risk is transferred. Concentrates are usually exported afterwards but we do not arrange the process.

- *DAP (Delivered at Place) Warehouse*

Concentrates are delivered to a designated place with costs and risk covered until arrival. The buyer then manages custom clearance and pays any applicable tariffs. Concentrates are usually exported afterwards but we do not arrange the process.

- *FOB (Free on Board) Callao port.*

Concentrates are delivered at the warehouse and stored there until the buyer provides a vessel for loading and shipping. The risk is transferred when the concentrates cross the ship's rail during loading. We arrange the export paperwork.

- *CIF (Cost, Insurance and Freight) "Discharge Port."*

Concentrates are delivered at the warehouse and stored there until we arrange a vessel for loading and shipping. The risk is transferred when the concentrates cross the ship's rail during loading. We arrange the export paperwork.

Sales & Marketing

We sell our products through long-term contracts and tenders. In 2024, approximately 32% of our sales were under long-term contracts and 68% under tenders. Our ability to produce and deliver significant volumes makes us a significant supplier to a broad client base composed of major global commodity traders and refineries. As a result, we have significant negotiating leverage, and we typically obtain very competitive sales conditions (commercial terms) for our products.

Sales prices for our products are established principally by reference to prices quoted on the London Metal Exchange and London Bullion Market. Pricing is based on prevailing average prices for the relevant metal for a given period, generally for the month of shipment, the month following the month of shipment or the second month

following the month of shipment. Revenues are recorded at provisional prices determined at the time of shipment. Usually, an adjustment is then made after delivery of the products, based on the final pricing terms, the final tonnage delivered (in FOB and CIF tonnages are determined at destination) and the final metal contents delivered.

Sales to trading companies accounted for approximately 69% of our sales by value in 2024 and 77% in the first six months of 2025. Sales to smelters accounted for approximately 31% of our sales by value in 2024 and 23% in the first six months of 2025.

We take advantage of our leading position in the Central Andes in terms of tonnage and a diversified high quality product basket. The Central Andes is home to several other major mining operations. As a result, this area is one of the most important concentrate hubs of the world. In addition, trading companies have a long history in the region and are generally willing to accept premium terms for our concentrates, as our volume and quality is needed to offset other producers' low volume and especially lower quality concentrates. In general, because of the quality and volume of our production, we have several alternatives to choose from when placing our sales.

Our main agreements in place for the sale of our products are with two Glencore affiliates (Glencore Peru S.A.C. and Glencore Lima Trading S.A.C.), Mercuria Energy Trading S.A., Trafigura Pte. Ltd, Argor Heraeus SA, and Nexa Resources Perú S.A.A., owner of the Cajamarquilla refinery in Peru.

Growth Projects

Exploration and Growth Projects

We are carrying out a series of mining projects that are expected to result in growth during the coming years. Most of these projects are located in close proximity to our current areas of operation, thus presenting an attractive risk/return profile. The following table summarizes the expected contributions of these projects, that may vary when more information about these projects becomes available.

Mining Projects	Operating Unit / Project	Additional expected production per year (thousand ore tonnes)	Estimated start date
Romina	Alpamarca	900	2026
Esperanza	Animón	2,800	2031
Zoraida	Yauli	540	2036
Carhuacayán	Alpamarca	540	2039
Palma	Stand alone	1,000	TBD

No assurance can be given that these projects will be completed. See “*Risk Factors—Risks Relating to our Business—Our projects are subject to risks that may result in increased costs or delays that prevent their successful implementation.*”

Romina Project

The Romina project is owned by Volcan and is being developed by our subsidiary Compañía Minera Chungar, located in the district of Santa Cruz Andamarca, approximately 14 kilometers west of the Alpamarca mine, features rich polymetallic zinc, lead and silver mineralization in the form of replacement bodies. Among the advanced projects in the area, and part of the Alpamarca Unit, the Romina project stands out for the definition of significant mineralization, especially in the Puagjanca body, which shows a significant zinc, lead and silver content. In addition, exploration has uncovered significant mineralization in the vicinity of Puagjanca, connecting the existing ore bodies to the Andrea, Adriana and Esperanza deposits. This discovery represents an important milestone in the development of the project, promising prospects for future exploration and production activities.

The estimated resources of the Puagjanca body include 11.4 million tonnes or resources in total, including 4.8% grade zinc, 2.7% grade lead, 0.1% grade copper and 1.2 oz/t silver.

	Tonnes	Grade				Metal Content			
	As of December 31, 2024								
	(millions)	Zinc (%)	Lead (%)	Copper (%)	Silver (oz/ton)	Zinc (thousands of tonnes)	Lead (thousands of tonnes)	Copper (thousands of tonnes)	Silver (millions of ounces)
Resources									
Measured.....	5.2	5.2	2.8	0.1	1.4	272	149	5	7
Indicated.....	5.1	4.8	2.7	0.1	1.2	245	140	5	6
Inferred.....	1.1	3.3	1.5	0.1	0.7	35	16	1	1
Total.....	11.4	4.8	2.7	0.1	1.2	552	305	10	14

The average ore milled during the life of mine of the Romina project, estimated at 13 years, is an estimate of 890 thousand future mining tonnage per year, ranging between 697 thousand future mining tonnage and 981 thousand future mining tonnage, peaking in 2038, according to the project's feasibility study, updated in 2023. The average zinc production during the life of mine is an estimate of 40 thousand future mining tonnage per year, ranging between 20 thousand future mining tonnage and 57 thousand future mining tonnage, peaking in 2027 and decreasing thereafter. The average lead production during the life of mine is an estimate of 20 thousand future mining tonnage per year, ranging between 14 thousand future mining tonnage and 30 thousand future mining tonnage, peaking in 2032 and decreasing thereafter. The average silver production during the life of mine is an estimate of one million ounces per year, ranging between 524 thousand ounces and 1,590 thousand ounces, peaking in 2031 and decreasing thereafter.

Over the 2024 - 2026 period, we expect to invest approximately US\$114 million on the Romina project (see “*Management’s Discussion and Analysis of Financial Condition and Results of Operations—Capital Expenditures*” for more details). The Romina project is expected to go into full production in the second half of 2026. The construction work of the underground mine (development and preparation) is being carried out, and the exploitation permit is scheduled for October 2025. Significant life of mine average annual production is projected, estimated at 40,000 tonnes of zinc, 20,000 tonnes of lead and one million ounces of silver, according to its updated feasibility study.

In 2019, a 3,994-meter infill drilling program was completed with a total of 15 holes in the Puagjanca body in order to recategorize mineral resources, increasing certainty and increasing the resource base. Diamond drilling for pilot metallurgical testing, conducted by SGS Chile, was also completed, as well as drilling for geomechanical stress measurement tests. After 10,170 meters of diamond drilling, inferred resources were defined in the Andrea, Adriana and Esperanza deposits. These deposits are located in the vicinity of the Puagjanca body and we believe they should significantly increase the potential of Romina’s project. In 2019, the pre-feasibility study was also completed, which determined that the Puagjanca body will be developed through open-pit and sub-level caving mining methods. An engineering feasibility study for the mining and surface infrastructure was also initiated in 2019.

In 2023, an update of the feasibility study of Romina project was completed, which supports the business case for a production of 2,500 tonnes per day (tpd), with the transportation of polymetallic ore to the existing concentrator plant and storage areas in Alpamarca. New components were included in the scope of the project, such as:

- a 1.6 km long transport tunnel;
- a 11.3 km access road that connects the Alpamarca Power Plant with the transport tunnel;
- an industrial wastewater treatment plant;
- the development of an open pit for a 3-year operation;
- the development of the 9-year underground mine; and
- the upgrade of the Alpamarca Plant facilities (camps, powder magazine, waste dump, substations, laboratory).

We plan to process the extracted ore from the Romina project at the Alpamarca concentrator plant, and it will only require improvements in the flotation circuit, concentrate thickening and filtration sections. Regarding the treatment tailings product, they will be disposed of at the existing tailings storage facility in Alpamarca. We believe this will ensure an efficient and profitable production flow to the project, deferring the closure of Alpamarca and exploiting its potential as a services provider.

At the end of 2023, the key infrastructure for the Romina project had been completed, such as the comprehensive construction of the accommodation and office camp and the implementation of the Yanahuin – ROM and Shagua – Santa Catalina transmission lines. In addition, the construction of the platforms and internal accesses, to optimize operations and ensure the efficiency of the site, are currently underway.

In terms of engineering, the design of the industrial wastewater treatment plant has been completed, and we are currently in the process of engineering suppliers for the acquisition of essential equipment, such as the clarifier and the flocculant plant. A review of the detailed engineering of the Alpamarca tailings dam is also being carried out, a crucial aspect to ensure the operational safety and environmental protection of the project.

In addition to the activities described above, a new "Greenfield" drilling campaign was started in 2025 in the Romina project area, with 3,800 meters of diamond drilling.

Animón - Esperanza

In 2019, near the Animón mine of the Chungar Unit, an economic intercept of 125 meters with zinc and copper mineralization was discovered. In 2020, we restarted exploration of the Esperanza body, executing 959 meters of diamond drilling which demonstrates the continuity of the ore body to the southeast. The Esperanza project is located 600 meters below the current operational zone of the Animón mine.

Between late 2020 and 2021, 5,684 meters of diamond drilling were carried out, which allowed the geometry of the mineralized body to be configured, as well as confirming its economic metal content. It should be noted that, after the development of the drilling program on the Esperanza body, its continuity with economic mineralization in all its extensions remained open.

During 2022, an aggressive diamond drilling program was carried out, executing a total of 32,782 meters (distributed 26,091 meters for Esperanza and 6,691 for the Techo Esperanza project). Thus, in Esperanza two diamond drilling programs were carried out, the first for exploration drilling to incorporate inferred resources and the second to delimit the total extent of the mineralization. The program confirmed inferred resources of 27 million tonnes with grades of 5.2% zinc, 0.8% copper, 19 g/t silver and additionally a potential of 11 million tonnes with grades of 3.9% zinc, 0.7% copper and 17 g/t silver; even with the mineralization still open. Meanwhile, in Techo Esperanza, replacement bodies with significant zinc and silver grades were discovered and quite close to current mining operations.

In 2023, exploration continued, executing a total of 18,874 meters, both from surface and underground, with very satisfactory results. In Esperanza, zinc and copper Inferred Resources were estimated at 32 million tonnes with grades of 6.36% zinc, 0.68% copper, 0.62 silver ounces per tonne and potential resources of 18 million tonnes with grades of 7.10% zinc, 0.27% copper, 0.52 silver ounces per tonne. The mineralization in Esperanza remains open to the East and West.

As a result of the 2022 and 2023 drilling campaigns at Esperanza, the discovery of two additional projects has been consolidated, named Resurgidora and Techo Esperanza.

Resurgidora was discovered through deeper drilling, intercepting copper, zinc, and silver mineralization located below the Esperanza blankets. Preliminary results estimate potential mineral of 44 million tonnes with grades of 1.75% zinc, 0.97% copper, and 1.07 silver ounces per tonne. This massive replacement mineralization is in a widely developed skarn zone that is open in all directions and at depth, with geological characteristics similar to Antamina; therefore, the opportunity to significantly increase the potential is quite high. In addition, certain sectors show significant values of molybdenum, tin, and tungsten, probably related to a porphyry-type mineralization environment.

Also, in the upper levels of Esperanza, the discovery of another body with relevant polymetallic mineralization named Techo Esperanza was confirmed, where potential mineral of 3 million tonnes with grades of 6.06% zinc, 0.74% lead, 0.29% copper, and 3.78 ounces per tonne silver has been estimated. These replacement bodies, hosted in skarn zones, are quite close to the current mining operations and the mineralization is open to the south and southwest. One of the deepest drill holes in this sector intercepted copper, zinc, and silver replacement bodies hosted in skarn zones, similar to Resurgidora. Vein-type structures were also intercepted that correspond to the current veins in operation, which indicates their continuity up to 400 meters below the current operation.

Zoraida Project (Yauli)

Located seven kilometers south of the Andaychagua mine, Zoraida is primarily a silver project with lead and zinc content. Due to its geological characteristics, it may become the third polymetallic system in the Yauli dome, after San Cristóbal and Andaychagua Mines. Production at Zoraida is expected to be treated in the Andaychagua concentrator plant.

In 2018, more than 23,000 meters of diamond drilling performed from 2007 to 2014 were reviewed and reinterpreted under new standards. This review later assisted in defining part of the Zoraida Vein and replacement bodies with significant mineralization of silver, lead, and zinc, generating a new geological model. The mineralization is open to the northwest and southwest, and geophysical studies confirm the continuity of the mineralized zones in both directions, so we believe it has high potential.

In 2019, a 10,730-meter diamond drilling program was completed, which made it possible to validate the geological model based on diamond drilling carried out in previous years and indicated and inferred resources of four million tonnes with a significant silver content.

In 2021, a 6,340-meter diamond drilling program to the northwest and southeast of the mineralized deposits allowed the increase of the indicated and inferred resources to 5 million tonnes.

An agreement is currently being negotiated with the Suitucancha community to resume operations in order to increase the mineral resources.

Carhuacayán Project

Situated 20 kilometers east of the Alpamarca Mine, Carhuacayán is a polymetallic project consisting of zinc, lead, and silver resources located in a mountainous area. The mineralization is observed in veins, breccia bodies, replacement bodies and deposits. At Carhuacayán, a significant mineralization of zinc, lead and silver was defined in the La Tapada body, not just beneath the old pit mine, but also on other levels of this older mine. Like the Romina project, we expect ore from Carhuacayán to be treated at the Alpamarca concentrator plant.

In 2017, a 21,811-meter diamond drilling program was completed in La Tapada, Candelaria and surrounding areas. Positive results were obtained, with significant mineralization found primarily in La Tapada. In addition, new possible exploration zones were defined. Replacement bodies were found in La Tapada, in an embedded lime block that had been mined previously. This half-table replacement zone has dimensions that are more than 500 meters long and 300 meters deep, with a width ranging from 30 to 50 meters, located in very significant polymetallic mineralization areas.

In 2018, a 14,110-meter diamond drilling program was completed in La Tapada. This was carried out primarily in the old production zone, showing significant mineralization in these older levels, defining a continuous mineralization throughout the older zone.

In 2019, a 10,359-meter diamond drilling program was completed in La Tapada, where indicated and inferred resources were increased to 10.1 million metric tonnes, and significant mineralization was shown in La Tapada Norte and La Tapada Oeste. Trade-off studies were commenced at venture analysis level.

In 2020, a preliminary economic evaluation at the venture analysis level was completed. Despite the positive results, a planned 5,500-meter diamond drilling program was suspended as a result of the COVID-19 pandemic.

In 2025, we revaluated the Santa Bárbara project which is a Cu-Au porphyry located 2km north of Carhuacayan project, with estimate inferred resources of +594Mt at 0.23% Cu, 0.22gr.Au/t and 0.80gr.Ag/t. Starting in the last quarter of 2025 and during 2026, we plan to drill approximately 28,000 meters in the area to increase indicated and inferred resources.

Palma Project

Located 60 kilometers southeast of the city of Lima, Palma is a greenfield project aimed at extracting volcanogenic massive sulfides (“VMS”) distributed in mineralized deposits of zinc, lead, and silver. A significant mineralization of zinc, lead and silver has been defined, sufficient to begin a mining project separate from the other Mining Units.

The first stage of the project involved 17,000 meters of diamond drilling. Diamond drilling permitted estimation of inferred resources and identification of ore structured in deposits, which we believe show optimal potencies, good rock quality, and mineralization open both at depth and towards the sides.

The second amendment to the EIASd was approved by DGAAM in 2017, after which a 7,920-meter diamond drilling program was completed in the upper part of the deposit, confirming the continuity of the mineralization.

In 2018, a 21,591-meter diamond drilling program was completed in the zone, which we believe shows very positive results. The mineralization horizon increased by one kilometer, with over 600 meters in depth.

In 2019, a 19,041-meter diamond drilling program directed towards the southwest extension was completed, achieving a significant increase in indicated and inferred resources to 22.7 million metric tonnes.

In the last drilling campaign in 2019, we found evidence of cooper mineralization. We currently plan to drill approximately 5,000 meters during the remaining months of 2025, in order to evaluate the cooper mineralization and increase the value of the project.

Growth through JVs

In 2023, under the “Greenfield” Exploration program, significant progress was made in the interpretation and integration of geophysical, geochemical, spectral, and geological data obtained during the intensive exploration campaign carried out in 2022. The results of this work have allowed the identification of over 100 exploration targets.

Recognizing the significant geological and economic potential for zinc, lead, silver, and copper deposits in central Peru, where we have over 300,000 hectares under claim, we have developed a strategic plan to seek partners and share exploration risks.

In 2023, we launched the first package of projects and reached an agreement with Antofagasta Minerals through two mining transfer and option agreements to explore and develop:

- The Cu-Mo Puy Puy project, located north of Ticlio;
- Six prospects: Pool, Taulish, and Anticona, located in Ticlio;
 - Garacuhuaman and Piñicocha, located in Río Pallanga;
 - Rondoni located in Huánuco; and
 - Esperanza de Iray, located in Ica.

In 2025, the agreement with Antofagasta Minerals remains in effect, and Antofagasta, through its subsidiary Minera Anaconda Perú, is securing the environmental permits needed to begin drilling campaigns. Anaconda has already started drilling at *Puy Puy* project.

Brownfield Exploration

We have undertaken a brownfield exploration in Yauli (Andaychagua, San Cristóbal Carahuacra and Ticlio mines) and in the Animón mine to define new mineralization zones and define the extent of current mines, generating a base to increase resources and replacement zones.

The work involved preparation of databases (compilation, standardization, and integration of historic geological data), creation of 3D geological models (lithology, structural, alterations and mineralogy), defining drilling targets and exploring superficially (geological mapping, semi-detailed geochemical and mineralogical prospecting, and geophysical prospecting). This work provided the basis for defining several initial targets exploration, both for the Yauli and Animón.

Yauli

As part of the brownfield exploration efforts conducted in Yauli, in 2019, a 9,834-meter diamond drilling program was completed in the Andaychagua and San Cristobal - Carahuacra mines, identifying targets we believe have strong potential. In 2020, only 615 meters were drilled in the brownfield program because of the COVID-19 pandemic.

In 2021, brownfield explorations in Yauli focused on the surroundings of the Andaychagua and San Cristobal - Carahuacra mines. A diamond drilling program of 11,593 meters was carried out, which was complemented in 2022 and 2023 with additional diamond drillings of 6,034 meters and 2,542 meters, respectively.

According to Andaychagua mine, brownfield exploration was mainly developed on the metalotect called “Corredor Metavolcánico” which houses multiple polymetallic bodies with high grades of zinc, lead and silver. In addition, the Esther - Gina target, prospective for veins with high silver contents, was evaluated. Consequently, as a relevant result, the discovery of the polymetallic body Salvadora Sur, located three kilometers from the current operational area, is achieved.

Likewise, in the San Cristobal - Carahuacra mine, systematic exploration is being carried out on the limestone rock corridor located to the West of the operational area called "Corredor Pucará", where polymetallic bodies and mantles have historically been mined by open pit and underground methods. In this sense, the discovery of the polymetallic bodies J and K, with economic zinc and silver mineralization, located 400 meters from the operational infrastructure, is consolidated. This discovery opens an exploration front of more than eight km, where new deposits could continue to be discovered close to the operation.

Geophysical prospecting work has also been carried out in the San Cristóbal Carahuacra metavolcanic rocks corridor, looking for replacement bodies like those of Andaychagua.

At Ticlio, in the old San Nicolás Mine, a corridor called Lucy featuring zinc, lead and silver mineralization was defined. Likewise, a zinc skarn mineralization was discovered. In addition, important polymetallic mineralization (mainly silver) was discovered in the western extension of the old Borrachitos mine. In 2020, no diamond drilling work was completed in these areas due to the COVID-19 pandemic.

Animón

As a result of brownfield exploration campaigns carried out between 2019 and 2023, with a total of 60,155 meters of diamond drilling; the discoveries of Esperanza, Techo Esperanza, and Resurgidora were consolidated. Together, they make up the growth project portfolio of the Animón mine.

Expansion of Current Operations

The drilling campaign carried out during 2024 was aimed at covering the blocks of the mining plan to increase the geological certainty of mineral resources to the indicated and measured categories, through infill drilling programs. Exploration drilling was also carried out with the aim of incorporating new economic inferred resources and evaluating areas with high geological-economic potential, which guarantee the extension of the asset's life of operations (Life of Asset) in the medium and long term.

Yauli

A total of 65,486 meters of diamond drilling were carried out in Yauli during 2024, distributed among the following projects: (i) Andaychagua: 26,096 meters; (ii) San Cristóbal-Carahuacra: 30,797 meters; and (iii) Ticlio: 8,593 meters.

Andaychagua

Increased geological certainty in sectors with mining plans through the recategorization of indicated resources to measured and inferred resources. Incorporated new mineral resources with high grades of zinc, lead, and silver in the extensions of the Salvadora Norte, Prosperidad Techo, Andaychagua, and Adriana orebodies, as well as in the Bárbara vein. Confirmed economic mineralization with high silver contents in the Valentina vein and consolidated the discovery of the Katherine vein with high grades of zinc, copper, and silver. These new zones with economic mineralization guarantee great operational performance in the following years and an extension of the asset's life (Life of Asset - LoA).

San Cristóbal Carahuacra

In San Cristobal, the results of the drilling programs allowed us to incorporate economic mineral resources in the lateral extensions and deepening of the Ramal Piso 722, 658, Split 658, Sheyla, and K veins, as the main contributors of zinc and silver mineralization. The discovery of new polymetallic bodies and mantles is being consolidated, developed at the intersection of vein systems with the same structural pattern as the main veins (NE-SW orientation, Veta 658) and calcareous rocks of the “Pucará Corridor,” located immediately to the West and high levels (above Level 810) of the current operational area. Preliminary results show high grades of zinc and silver, generating a better operational perspective in the medium and long term.

In Carahuacra, consolidated mineral resources with high grades of zinc, lead, silver, and copper in the mantles of the Principal and Melissa systems, as well as in the East extension and the deepening of the Lourdes vein. Continuity of economic mineralization is confirmed in the Jovencita mantle above level 720, with high grades of zinc and silver.

Ticlio

Increased geological certainty in the deepening of the Ramal Techo vein and delineated new economic resources on the Reemplazamiento body. Geochemical results show high grades of zinc, lead, and silver, guaranteeing the operational continuity of the Ticlio mine in the coming years. New areas with high geological potential are being explored near the operation, such as the Giuliana – Reina – Katti vein systems and large tonnage polymetallic bodies, with great expectations of consolidating their discovery in 2026.

Chungar

A drilling campaign of 37,873 meters was carried out in Animón, with the aim of providing greater certainty to geological models and delineating new resources in areas with high economic value. New inferred and indicated resources were also incorporated into the Janeth Piso - Split Janeth - Split Janeth Oeste, María Rosa - María Rosa Oeste, Andalucía – V3, Principal – Split 225 – Carmen, Andalucía 120 – Gaby, Ramal Piso 3 and Ramal 85 – Ofelia vein systems, with economic results of zinc, lead, silver, and copper. Drilling campaigns are also being developed to consolidate the discovery of the Keren and Deby polymetallic bodies, whose preliminary results show economic grades of zinc and silver.

The results of the 2024 drilling program confirmed the lateral and depth continuity of economic mineral resources in the main mineralized structures. At the Animón mine, the certainty of resources is increased to the indicated and measured categories, on the veins that contemplate a mining plan; prioritizing stopes for the years 2025 and 2028. Also, quality mineral resources are incorporated on the main vein systems, mainly in depth. A sustained drilling campaign is also being developed aimed at discovering high-grade polymetallic bodies and allowing operational connection with Techo Esperanza and Esperanza body. At the Islay mine, there are no activities due to the operational suspension.

Cerro de Pasco

A total of 2,725 meters of diamond drilling were carried out in the Cerro de Pasco Unit during 2024.

Areas with economic grades of zinc, lead, and silver were defined on the south wall of the Raúl Rojas open pit, where the continuity of the CNB-Emilia and Cerreñita orebody was confirmed, becoming a mining alternative to ensure operational sustainability in the coming years. Likewise, with the geological information obtained, the geological model in the CNB-Emilia and Cerreñita sector was updated, which allows for a pushback and improvement of the ore quality for the Paragsha plant.

Mineral resources with economic grades of silver and gold were recategorized in In Situ Oxides (Cleopatra Sector located southwest of the Raúl Rojas Open Pit). Likewise, the comprehensive geological model of In Situ Oxides was updated, characterizing mainly three domains of gold and silver mineralization, called: (i) hydrothermal breccia of volcanic protolith (BxH-v), hydrothermal breccia of sedimentary protolith (BxH-s) and pyrite IV, at the base of the In Situ Oxides deposit with economic silver values. Together, they will ensure the operational continuity of Cerro Óxidos.

The results confirmed economic mineralization in the Cerro unit: (i) economic polymetallic mineralization in the CNB-Emilia sector, for the Paragsha metallurgical plant; and (ii) economic gold and silver mineralization in In Situ Oxides (Cleopatra), to extend the life of the asset (Life of Asset - LoA) and operational continuity of the Oxides metallurgical plant.

Status of Permits & Authorizations

The following table summarizes the status of permits and authorizations for each of the projects.

Project	Status
Romina	In March 2025, SENACE approved the Detailed Environmental Impact Assessment (EIAd) for the underground and open-pit exploitation of the Romina Project for a period of 14 years. In October 2024, the MINEM approved the second amendment to the Semi-detailed Environmental Impact Assessment (EIAsd) for exploration, extending the schedule until September 2026. In September 2025, SENACE approved the second amendment to the EIAd of the Alpamarca Mining Unit, which encompasses the disposal of tailings in the pit.
Carhuacayán	The amendment to the Semi-detailed Environmental Impact Assessment (EIAsd) for exploration was approved in October 2021. In January 2025, the MINEM accepted the request to extend the suspension of the exploration schedule for 12 months, from January 19, 2025, to January 19, 2026. The Project currently has an 53-month exploration schedule, which would begin once the suspension of operations is lifted
Zoraida	The first Technical Supporting Report (ITS) for the amendment of the Environmental Impact Declaration (MDIA) for exploration was approved in July 2021. In April 2025, the MINEM accepted the request to extend the suspension of the exploration schedule for 12 months, from January 1, 2025, to December 31, 2025. The Project currently has an 8-month exploration schedule,

Project	Status
	which will begin once the suspension of operations is lifted.
Palma	The second ITS of the second Environmental Impact Assessment (EIA) for exploration was approved in June 2019. In April 2025, the MINEM accepted the suspension of the exploration schedule for 12 months, from January 1, 2025, to January 1, 2026. The Project currently has an 25-month exploration schedule, which will begin once the suspension of operations is lifted.

Cash Flows Trust Agreements

We and our subsidiaries Empresa Administradora Cerro and Compañía Minera Chungar each executed and entered into separate administrative trust agreements with Banco Internacional del Perú S.A.A. (Interbank), as trustee, in 2013, 2013 and 2015, respectively. Under these trust agreements, we and our subsidiaries established and transferred in trust (i) all amounts owed to each of us by certain of our customers (the “Collection Rights”) and (ii) all sums of money from such credit rights (the “Cash Flows”). As of this date, the trusts serve as a mechanism for us and our subsidiaries to administer all of our current operating and financial expenses. Initially, we and our subsidiaries were the sole beneficiaries of each of our respective trusts. As part of the refinancing of the Credit Agreement in July 2024 and the exchange offer that led to the issuance of our 2030 Notes in September of 2024, the cash flows released from these trusts (after deducting reasonable and documented (x) expenses related to the trusts and (y) operating expenses of and other customary related costs incurred in the ordinary course of business by us, Empresa Administradora Cerro and Compañía Minera Chungar, respectively) are transferred to a new cash flows trust (*fideicomiso en administración y garantía*) established under Peruvian law by an agreement dated as of July 24, 2024, as amended on September 10, 2024 (the “Cash Flows Trust Agreement”), among us, Compañía Minera Chungar, Empresa Administradora Cerro, the trusts created in 2013, the La Fiduciaria S.A., as trustee, and the Peruvian Collateral Agent (the “Cash Flows Trust”). The Cash Flows Trust secures our obligations and the obligations of the Subsidiary Guarantors under the Credit Agreement and the 2030 Notes, and will secure our obligations and the obligations of the Subsidiary Guarantors under the notes currently offered.

Power and Energy Supply

We obtain electricity for our operations from the SEIN and our own hydroelectric power plants. For the year ended December 31, 2023, and the year ended December 31, 2024, we supplied approximately 18-20% each year of our electricity demand with our hydroelectric power plants owned by Compañía Minera Chungar and Compañía Hidroeléctrica Tingo. The remainder of our electricity consumption is currently supplied by Fenix Power Perú S.A. In 2024, each of our subsidiaries Empresa Administradora Cerro, Compañía Minera Chungar, Vinchos and us signed new electricity supply agreements through December 31, 2033, with Fenix Power Perú S.A. The power and energy supplies were increased to cover an estimated increase in the electrical demand of mining units and new projects.

Energy Generation

During the six-month period June 30, 2025, energy generation totaled 81 GWh, a decrease from the 234 GWh generated in the same period last year.

Compañía Minera Chungar owns 10 hydroelectric plants. In the six-month period until June 30, 2025, they generated 77 GWh fully injected into the Chungar and Alparmarca Units.

Compañía Hidroeléctrica Tingo owns the 1.25 MW Tingo Plant and 82 kilometers of 50 and 22.9 kV transmission lines. In the six-month period ended June 30, 2025, the Tingo Plant generated 3.2 GWh, which were fully supplied to the Chungar Unit’s operations. This power plant already has an approved environmental instrument and has the final generation concession for the Tingo Plant expansion project from 1.25 MW to 15 MW.

Additionally, Compañía Hidroeléctrica Tingo owns 2 projects: (i) C.H. Chancay 2 (16.6 MW), and (ii) C.H. Chancay 3 (13.5 MW). Both projects have been granted with a definitive concession by the MINEM.

As described above, both Empresa de Generación Eléctrica Río Baños and Huanchor were sold to third parties in the first half of 2024.

Energy Consumption

Our consolidated energy consumption as of June 30, 2025, totaled 443 GWh, with a peak demand of 113 MW, representing a 7% reduction compared to the same period. This is mainly explained by the continuous operation of the Victoria Plant, which was shut down in March and April 2024, and by higher energy consumption at the mine.

Energy generation from the hydroelectric power plants owned by Compañía Minera Chungar and Compañía Hidroeléctrica Tingo accounted for approximately 20% of our total energy consumption in 2024. Additional energy required was purchased from Fenix Power and supplied via the SEIN, through a supply contract effective from February 1, 2024 to December 31, 2033, and in the years 2023 and 2024, we paid US\$49 million and US\$55 million, respectively under this supply contract.

The annual availability recorded for the SEIN during 2024 in the Yauli Unit was 99.9%, while the availability in Chungar–Alpamarca was 99.9%, excluding preventive maintenance activities. This indicator reflects the level of continuity and availability of electricity supply to the mining operations.

	Year ended December 31,		Six months ended June 30,	
	2023	2024	2024	2025
Energy generation (GWh)	424.8	358.6	234.2	80.6
Chungar	141.6	158.0	81.2	77.4
Tingo.....	6.7	6.8	3.4	3.2
Huanchor	142.5	123.1	78.9	0.0
Rucuy.....	134.0	70.7	70.7	0.0
Energy consumption (GWh)	843.2	843.5	415.4	442.7
Energy purchase (GWh)	694.9	678.8	330.8	362.1

Employees

We engage more than 10,752 workers to carry out our operations, of which approximately 31.7% are under direct payroll and approximately 68.3% are from mining service contractor companies. As of June 30, 2025, we had twelve front-line workers unions and one Volcan Workers Union Federation among our direct payroll staff. Front-line workers unions represented approximately 33% of direct payroll workers at the Yauli Unit and our Lima headquarters, approximately 4.8% of direct payroll workers in the case of the Cerro de Pasco Unit and approximately 17% in the case of the Chungar and Alpamarca Units. We negotiate collective agreements with the unions annually. These negotiations generally focus on salaries, working conditions and welfare.

Although management believes its present labor relations are good, there can be no assurance that a work slowdown, a work stoppage or strike will not occur prior to or upon the expiration of the current collective bargaining agreements and management is unable to estimate the effect of any such work slowdown, stoppage or strike on our production levels.

Health, Safety and Environmental Compliance; Relationships with Communities

We are committed to the industry’s world-class practices in the areas of health, safety, and environmental management. Our activities are subject to regular internal audit programs following internationally accepted standards and we have a long history of obtaining and renewing international health, safety, and environmental certifications. Our health, safety, and environmental management policies, which are aligned with both ISO 45001

and 14001, include investments in technology, the implementation of emergency response programs, and regular employee training, among other strategies.

Our social responsibility management aims to promote the development of communities through the fulfillment of the commitments assumed in easement agreements, community relations plans and sustainable development plans. Also, we ensure the relationship with local authorities and constant communication with all of our stakeholders to foster a harmonious relationship with them. For these stakeholders, the key aspects of the relationship are maintaining proper communication, establishing agreements beneficial to the parties, and enforcing these agreements.

Our operations are located in rural social areas that possess a culture and worldview that differ from a commercial or corporate life in significant ways. In order to have a proper relationship with the members of these rural social areas, it is necessary to know their history, culture, traditions and customs. On the other hand, the underdevelopment of these emerging social areas offers opportunities to help foster economic activity, enabling the use of funds from non-renewable natural resources to drive profitable economic activities using renewable natural resources.

Our main action is to establish strong agreements with stakeholders and enforce these agreements to support trust and commitment with these stakeholders, nutrition, health, and education aspects to strengthen the social community with healthy and educated future generations, as well as infrastructure development, and productive development in particular, to promote sustainable development.

We have been working closely with the communities surrounding our operations since they were founded more than 80 years ago. We are committed to maintaining our tradition of building and developing strong relationships with local communities by creating jobs and demand for local products and services and investing in community development programs. As of December 31, 2024, we have entered into 79 agreements with most of these local communities that primarily provide for the use of their land for our operations.

In achieving these objectives, we have developed various activities and projects, the most important of which are indicated below:

- *Primary and Secondary Education:* Our alliance with "Enseña Perú" remains strong. This NGO aims to transform education and ensure that all students in Peru can reach their potential. In 2024, this partnership focused on teacher training. We continued with the "Trainer of Trainers" program with the goal of strengthening the competencies of 27 specialists from UGEL Pasco and Yauli, allowing them to create high-quality environments for teachers in their jurisdiction. Likewise, the pilot program "Teacher 360°" was launched, focused on strengthening the capacities of 90 primary and secondary school teachers from 11 educational institutions. By agreement with the UGEL Pasco, the focus was on the implementation of Reading Comprehension Strategies for primary school and Formative Assessment for secondary school. We also continue with our full scholarship program benefiting the different mining units.
- *Health campaigns:* We continue to collaborate with the NGO Prisma to support the improvement of health standards and quality of life in the communities in which we operate.

The project has identified the most prevalent diseases in the communities in which we operate in eight medical specialties average. In response, we implemented preventive care programs that included advocacy meetings, awareness advocacy, and experiential educational sessions on topics focused on disease prevention, including self-care and hygiene, healthy eating, and anemia prevention. In 2024, the medical campaigns lasted a total of 19 days with 3,584 visits in the localities of influence. Since the government plays a critical role in ensuring the sustainability of the project, we also seek to involve government authorities in the implementation and execution of these initiatives.

- *Economic Development:* Together with the NGO Prisma, we have designed a joint strategy for the conservation and protection of traditional businesses and the development of these industries through innovative ideas. We have promoted campaigns aimed at local farmers with the aim of improving the production chain through the provision of technical assistance. In 2024, more than 106 thousand heads of cattle were vaccinated through the program.

- *Promotion of Local Employment:* We promote local employment to help reduce unemployment rates and increase incomes in the areas in which we operate, encouraging upskilling and contributing to human and professional development. We continue with our policy of involving local businesses. In 2024, local businesses in the areas where we operate reported an annual sales turnover of approximately US\$69.3 million.
- *Environment:* reforestation and afforestation activities were carried out where 1.4 thousand forest species (Quinales, Colle, Pines and Cypressess) were planted in coordination with the Daniel Alcides Carrión National University and residents of the area of social influence.
- *Infrastructure:* (i) road maintenance and improvement; (ii) supply and maintenance of school; and (iii) support for local community infrastructure.

Finally, with the goal of reducing Peru's infrastructure gap, since 2011 we have allocated \$34.3 million to finance projects under the works-for-taxes mechanism. In partnership with local and regional public entities, 16 infrastructure and basic services projects have been executed in key sectors such as education, water and sanitation, environment, transportation, commerce, culture, and sports, benefiting approximately 530 thousand people. These initiatives are primarily aimed at our communities and respond to an internal strategy that seeks to invest in priority areas to generate significant social impact. Volcan currently ranks fourth among the mining companies in the rankings for investment.

Insurance

We maintain a comprehensive insurance program designed to address specific risks associated with our operations, in addition to covering the insured risks common to major mining companies. Our insurance program is provided through the local Peruvian insurance market and international reinsurance market and includes employers' liability, comprehensive third-party general liability, comprehensive automobile liability, all risk property on a replacement basis, including transit risks, business interruption insurance and mining equipment. We believe our insurance programs and policy limits and deductibles are appropriate for the risks associated with our business and are in line with the insurance policies of similar mining companies that operate in Peru.

Legal Proceedings

We are involved in a number of tax, legal, civil, administrative and regulatory proceedings incidental to the ordinary course of our business. We believe that none of such legal and regulatory proceedings is likely to have, in the aggregate, a material adverse effect on our consolidated financial condition or results of operations. In connection with these proceedings, we established a provision for probable contingencies for US\$33.19 million as of June 30, 2025, US\$ 31.99 million as of December 31, 2024 and US\$ 32.346 million as of December 31, 2023.

Amortization of development expenses

Development expenses consist of investments of sums of money incurred by mining companies before starting the production stage *and* the legislator has given special treatment to such investments. Article 75 of the Supreme Decree No. 014-92-EM ("General Mining Law") allows companies to deduct development expenses in the year in which they are produced or amortized within a maximum period of three years; however, it does not indicate that they must be amortized proportionally or linearly. For as long as we have operated in Peru, we have amortized these expenses in accordance with the indicated law; that is, for the maximum period of three years, without any other restriction.

According to the Peruvian national tax authority (*Superintendencia Nacional de Aduanas y de Administración Tributaria*, or "SUNAT"), development expenses must be amortized linearly, despite the lack of specific regulation governing this specific point. The Company and certain of its subsidiaries have had their amortization schedules challenged by SUNAT.

Compañía Minera Chungar has obtained a favorable ruling of the Supreme Court in this matter, in which the Court recognized that its development expenses could be amortized without any restriction other than the maximum term of 3 years. However, other companies in our economic group still face disputes on this issue. Since

2018, the Company and its subsidiaries have started amortizing development expenses linearly, preventing new challenges from SUNAT in connection with this matter in the future.

Losses sustained from transactions with derivative financial instruments that have no hedging purpose

Pursuant to article 5-A of Supreme Decree No. 179-2004 EF (“Income Tax Law”), a loss derived from derivative financial instruments can only be considered for tax purposes a deductible loss if it has a hedging purpose. According to the Income Tax Law, a derivative financial instrument has a hedging purpose if, among others, the following requirements are met: (i) the asset or liability hedged must be identified, (ii) the risk to be hedged must be specific; and (iii) the derivative financial instruments must be entered into or subscribed in a publicly recognized market. The Company, Empresa Administradora Cerro and Compañía Minera Chungar have entered into or subscribed several derivative financial instruments in the form of a swap in order to cover the risk of the downward trend in zinc and lead prices. At the time of liquidation of such derivative financial instruments, deductible losses were generated for tax purposes.

SUNAT concluded that the Company, Empresa Administradora Cerro and Compañía Minera Chungar did not submit sufficient documentation to prove the identification of the covered sales and the specific risk, as required by the Income Tax Law. SUNAT also concluded that the Company, Empresa Administradora Cerro and Compañía Minera Chungar did not comply with requirement (iii) above because the underlying prices agreed to under the swap agreements were not published in the London Metal Exchange (LME). For those reasons, SUNAT disqualified the loss that resulted from those derivative financial instruments as deductible for tax purposes.

The Company, Empresa Administradora Cerro and Compañía Minera Chungar have challenged these SUNAT objections before the Administrative Tax Court. As of the date of this offering memorandum, the Administrative Tax Court has not yet rendered a decision on the matter.

INDUSTRY OVERVIEW

Zinc Industry

Overview

Zinc is an internationally traded commodity. The London Metal Exchange is recognized as its principal trading market. Prices generally reflect the worldwide zinc supply and demand balance, but can also be influenced by the activities of speculative market participants such as investment funds and by fluctuations in currency exchange rates.

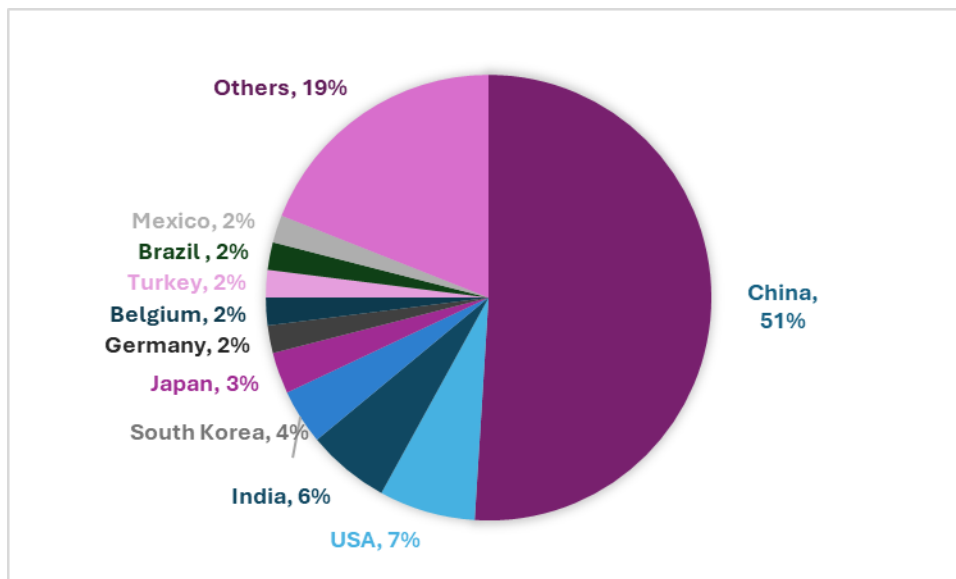
An important characteristic of zinc is its resistance to corrosion, which makes it a versatile metal. Additionally, its low melting point, fluidity, non-magnetic propensity, strength and alloying properties have increased its general demand across various applications. Its capacity as a surface treatment has proved crucial in protecting steel products against corrosion and improving their durability. The primary end-use applications of zinc include: construction (zinc is a major additive in galvanized steel), transportation and automobiles, white goods, industrials goods and equipment. Currently, there are limited low-cost substitutes for zinc in several of these applications.

Zinc Demand

Galvanizing is the predominant first-use for zinc, accounting for approximately 60% of global zinc usage in all forms in 2024. The next largest use of zinc is zinc alloys, accounting for 15% of total demand, followed by usage in brass production at 9%. 11% of zinc compounds is used in producing oxides and chemicals and a further 4% of zinc usage involves its conversion into rolled and extruded semi-manufactured products. In both absolute and percentage terms, galvanizing is forecast to be the fastest growing end-use, with principal applications in the construction and automotive industries.

The largest end-use sector for zinc is construction, which, together with publicly-funded infrastructure activity, accounted for 50% of global end-use zinc consumption in 2024. The second most important end-use sector is transport, which accounted for 20% of zinc consumption. The infrastructure represented 15% of consumption and the remainder was used mostly in household appliances.

Slab Zinc Consumption Trends, 2024 Geographic Mix



Source: Wood Mackenzie

Asian, European, and North American consumption together comprised approximately 92% of global slab zinc demand in 2024. Driven by China's strong growth, Asia has been the biggest zinc market in the world.

Zinc Supply

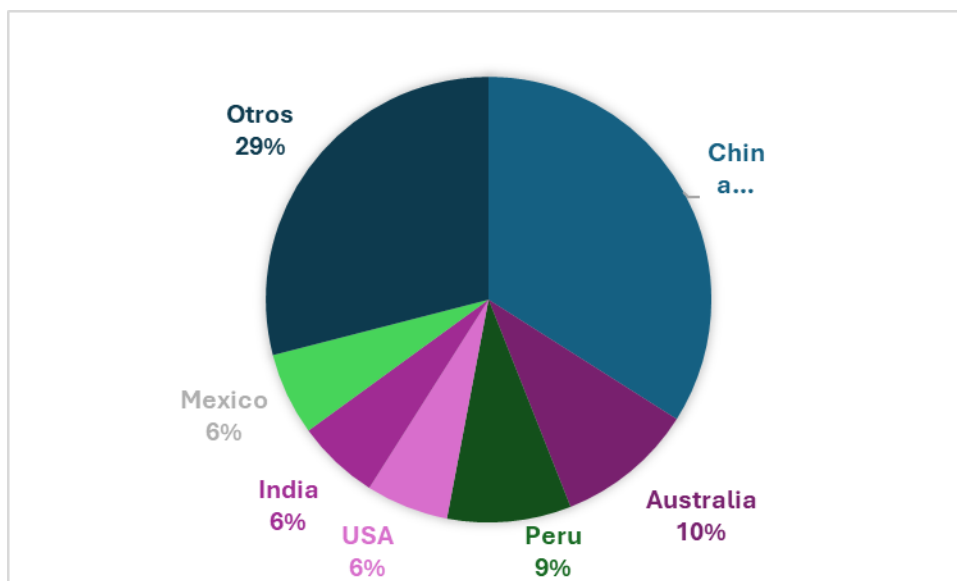
Zinc deposits typically occur in close association with other minerals, most commonly copper, lead, silver and gold. Most of the global supply is produced by mines as well as a small recovery volume from scrap, mainly in the form of die-castings, brass and bronze (not including the simple re-melting of zinc, brass, and the like for reuse without further treatment).

According to Wood Mackenzie, based upon 2024 mine production, Peru was one of the top zinc producing countries in the world, with 9% of total production. Other of the world's largest producers were: China (34%), Australia (10%), the United States (6%), India (6%) and Mexico (6%), which, together with Peru, accounted for 71% of total zinc mined worldwide in 2024. The rapid emergence of China as a mined and refined zinc producer has seen it become the world's premier primary producer of the metal.

From 2022 through 2024, refined zinc production has decreased at a CAGR of 1.7%.

Approximated Global Zinc Mine Production (kt)

Zinc in Zinc and Bulk Concentrate



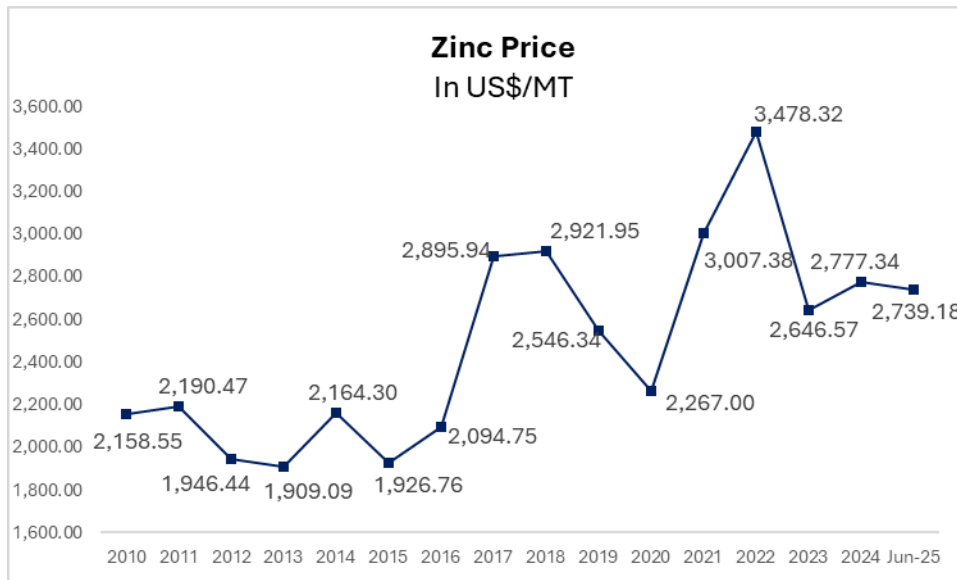
Source: Wood Mackenzie

According to Wood Mackenzie, at the global level, zinc mine supply is expected to increase over the coming years, with an average annual growth rate of 4.1% in 2025, 5.5% in 2026, and 2.3% in 2027. This growth will be primarily driven by new project developments and production ramp-ups at key operations such as Antamina, Kipushi, and Ozeroye. Additional supply is also anticipated from new and expanding operations, including the initial production from Woodlawn (Australia), with concentrate already sold to Trafigura; the advancement of the Hermosa project (USA), which is expected to commence operations in 2027; and the potential acquisition of the Lady Loretta mine by Austral Resources to avoid its scheduled closure at year-end.

Price History and Outlook

The following chart sets forth LME zinc prices between January 1, 2010 and June 30, 2025 showing at period-end the average zinc prices between each of the periods displayed. The LME zinc price was US\$2,650.91 per tonne as of June 30, 2025.

Historical Zinc Prices (US\$/tonne)



Source: Bloomberg

According to Wood Mackenzie, following the deficit in 2023, 2024 witnessed an extreme tightness in the concentrate market attributed to supply shortages and delays in mining operations. Overall implied stocks are forecast to be the equivalent of 31 days of consumption at the start of the year trending to 34 stock days by the end of 2025. Wood Mackenzie forecasts a significant increase for supply for 2025 and early in 2026.

Silver Industry

Overview

Silver is one of the eight precious, or noble, metals; the others are gold and the six platinum-group metals. Silver occurs naturally in its solid metallic state and is commonly associated with deposits of zinc, copper, lead and gold.

Silver is distinct from other precious metals in that it is both an industrial and a monetary asset. Silver's value is driven by two main factors: first, silver has a number of distinctive physical and chemical properties that make it an essential and hard-to-substitute component in several industrial applications, and second, in times of economic uncertainty, silver is viewed as an attractive hedge against inflation and a decrease in value of, among others, the U.S. dollar.

Silver Demand

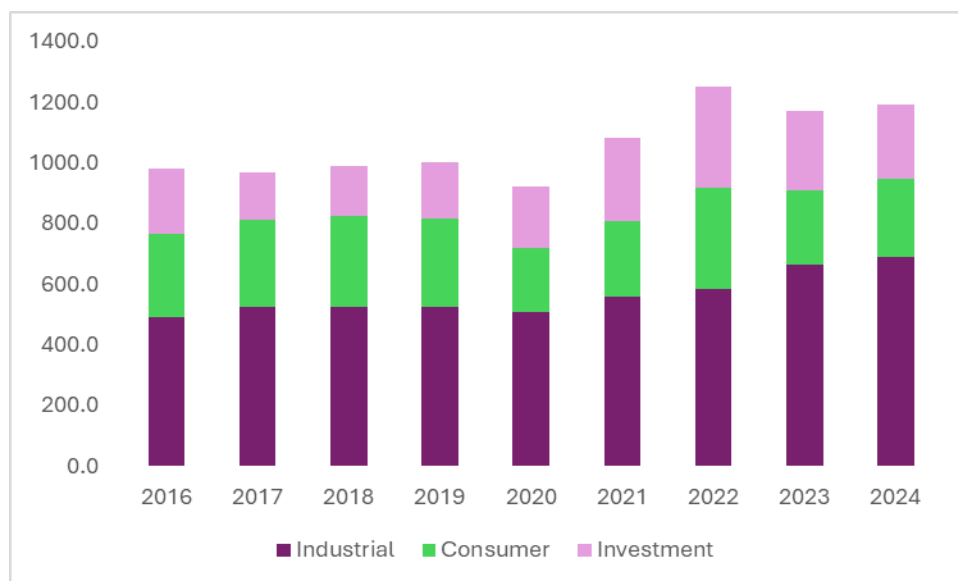
Silver has solid supply and demand fundamentals, with significant demand coming from diverse sectors. Industrial applications, consumer use and investment are the three main demand drivers. According to J.P. Morgan, in 2024, industrial, consumer and photography represented 70.4%, 27.0% and 2.6% of silver industrial demand, respectively.

According to J.P. Morgan, total global demand for industrial and consumer end-uses, which is in the form of manufactured end-products, increased by 1.7% in 2024, to 1,202.3 million ounces. This increase was led by the industrial category, which, according to J.P. Morgan, increased by 7.2% to 701 million ounces in 2024.

China is the largest global silver marketplace, fueling significant industrial and consumer demand. China's rapid population and income growth, surging demand for consumer electronics and promising housing market are driving its silver demand. According to World Silver Survey, industrial demand for silver in China has risen from 150.9 million ounces in 2010 to 680 million ounces in 2024, an increase of 350.7%, growth led by China

The graph below denotes global silver demand from 2016 to 2024:

Approximated Global Silver Demand (MM oz)



Source: JP Morgan, 2025

Industrial Demand

Traditional industrial applications of silver include batteries, bearings, brazing and soldering, catalysts and electronics. Silver's electrical and thermal conductive properties make it ideal for multiple high-performance electronics and high voltage circuits, connectors and other electrical components. Silver's increased use in emerging applications, as opposed to otherwise traditional industrial uses, is expected to continue to augment industrial demand. Emerging applications include utilizing silver's reflectivity as a component in solar cells to produce "green" electricity, utilizing silver's antimicrobial properties in medical applications and in the prevention of algae build-up in water purification systems.

According to J.P. Morgan, industrial demand for silver rose by 30.1% between 2016 and 2024 to 997.3 million ounces.

Consumer Demand

Jewelry, silverware and coin minting are the main consumer uses of silver. The fabrication of these products relies on silver's luster, resistance to tarnishing and malleability. According to J.P. Morgan, this sector accounted for 27% of total demand for silver in 2024.

In 2024, photographic uses accounted for 2.6% of total silver demand, according to J.P. Morgan. However, photographic off-take has been on a steady decline since 2001, driven by the move from silver halide to digital technology, especially in the area of consumer film.

According to the World Silver Survey, between 2023 and 2024, consumer demand for silver increased by 1.09%, to 288.4 million ounces. A major source of the increase in consumer demand for silver in 2024 was in jewelry.

Investment Demand

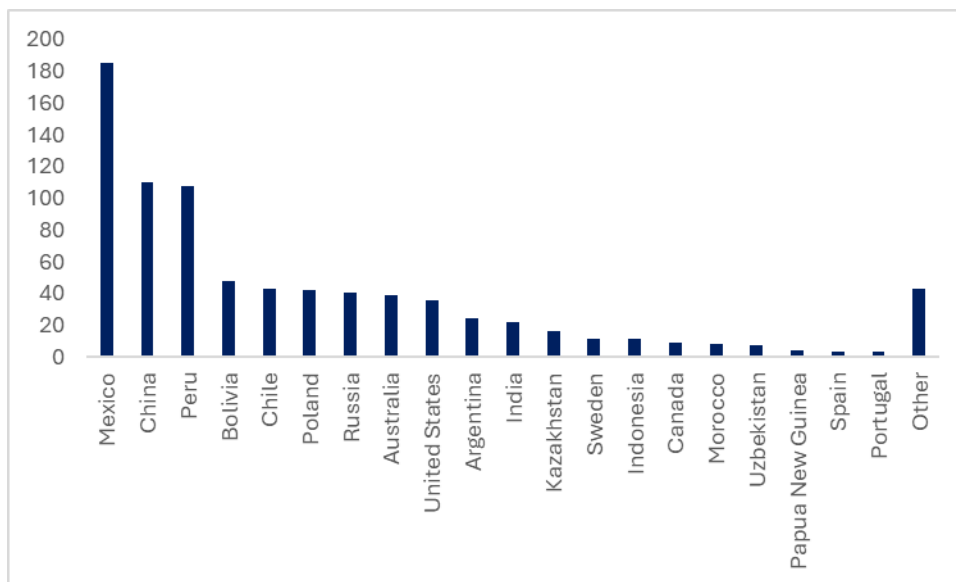
Investment demand for silver has decreased from 2023 to 2024. According to J.P. Morgan, net investment in silver declined to 205 million ounces in 2024, down 15.6% from 2023 levels.

Silver Supply

Silver supply derives from two principal sources: mine production and scrap supply. According to J.P. Morgan, mine production in 2024 comprised 81.6% of total silver supply, while scrap silver constituted 18.2% of total silver supply. According to J.P. Morgan, silver mine production increased by 1% in 2024.

According to World Silver Survey, Peru was the third largest silver mining country in 2024 (108 million ounces), surpassed only by Mexico and China (185.7 and 110.1 million ounces respectively). Bolivia (47.8 million ounces) and Chile (43.2 million ounces) followed. The graph below illustrates the world's leading silver producing countries.

Top 20 Silver Producing Countries, 2024 (MM oz)



Source: GFMS, World Survey 2025

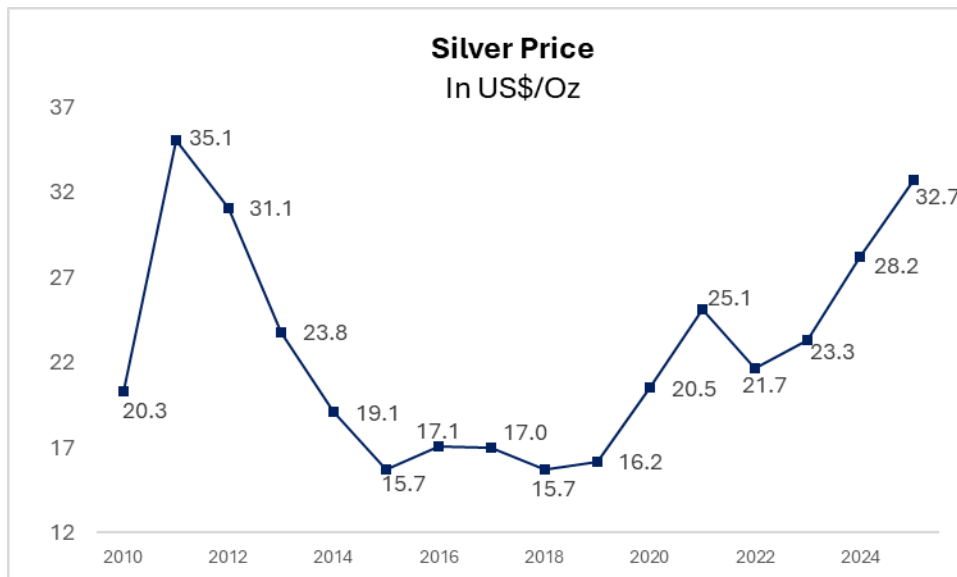
Price History and Outlook

The price of silver increased 324.72% over the last 20 years, proving to be relatively volatile in that timeframe. The price of silver averaged approximately US\$16.70 per ounce from 2000 through the end of 2024.

The silver market expanded in both volume and value in 2024, as prices increased over 32.74% between January 1, 2024, and December 31, 2024.

The following chart sets forth silver prices between January 1, 2010, and June 30, 2025, showing at period-end the average silver prices between each of the periods displayed. The price of silver was US\$35.94 per ounce as of June 30, 2025.

Historical Silver Prices (US\$/oz)



Source: Bloomberg

Lead Industry

Overview

Lead has an estimated abundance of almost one-sixth that of zinc, with which it is commonly geologically associated. Lead is not found in nature in its native form, but is commonly found in sulfide, oxide and silicate forms.

The battery sector is the single largest consumer of lead, accounting for approximately 80% of lead demand in 2024. It can be subdivided into two groups, including:

- SLI (Starting-Lighting-Ignition) batteries currently account for over half of all lead demand. These are mainly used in cars and light vehicles.
- Industrial batteries (both stationary and traction) currently consume around one quarter of all lead produced. Stationary batteries are principally used in back-up power supply systems for electrical equipment and are also used extensively in telecommunications networks. Traction batteries are used for motive power in certain equipment such as forklift trucks and motorized wheelchairs.

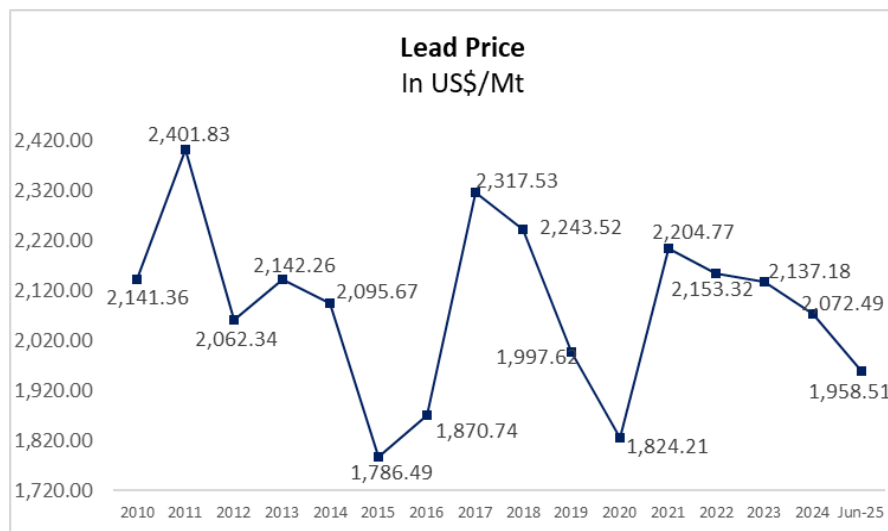
The remaining approximately 20% of lead consumed in 2024 was for non-battery applications. Lead has several other small uses, which have declined over time as the battery sector's market share has increased, and all remaining applications for lead are under scrutiny due to environmental concerns. What may prevent any rapid decline in many uses, however, is the lack of suitable alternatives to lead with, in some cases, the only alternatives being of even greater toxicity.

Price History and Outlook

Global refined production capability is forecast to increase by 1.1% per year between 2024-2026. This equates to an increase in tonnage of 0.6 million tonnes. China is expected to continue to drive growth, at 2.5% per year (an increase of 0.3 million tonnes), driven by new operations and capacity expansions at existing plants.

The following chart sets forth LME lead prices between January 1, 2010, and June 30, 2025, showing at period-end the average lead prices between each of the periods displayed. The LME lead price was US\$1,972.88 per tonne as of June 30, 2025.

Historical Lead Prices (US\$/tonne)



Copper Industry

Overview

Copper is an internationally traded commodity, and its price is largely determined on the major metals exchanges. Like zinc prices, copper prices generally reflect the worldwide copper supply and demand balance but can also be influenced by the activities of speculative market participants and by movements in currency exchange rates.

Copper is a ductile, corrosion resistant and malleable metal that is an excellent conductor of heat and electricity and has significant structural capabilities. The primary applications for copper include electronics applications, electrical conduit, construction and transportation industries, industrial equipment, and consumer products. While other materials compete with copper for various uses, substitution is modest because of copper's unique characteristics.

Copper Demand

The world's consumption of copper has increased significantly in the past five years, as large developing countries enter the global market. Population and industrial growth will continue to be the primary driver of demand for copper. The rate of industrialization, especially in China and India, has created a high level of copper demand over the past decade, while metal use in many developing countries remains a fraction of the intensity observed in developed nations.

Copper consumption is largely associated with industrial production and tends to follow economic cycles. Demand for copper products tends to increase during expansion phases, which often leads to price increases.

Asian refined copper consumption, led by China, has been particularly strong, increasing by a CAGR of 3.7%, compared to a global rate of 2.4% since 2021.

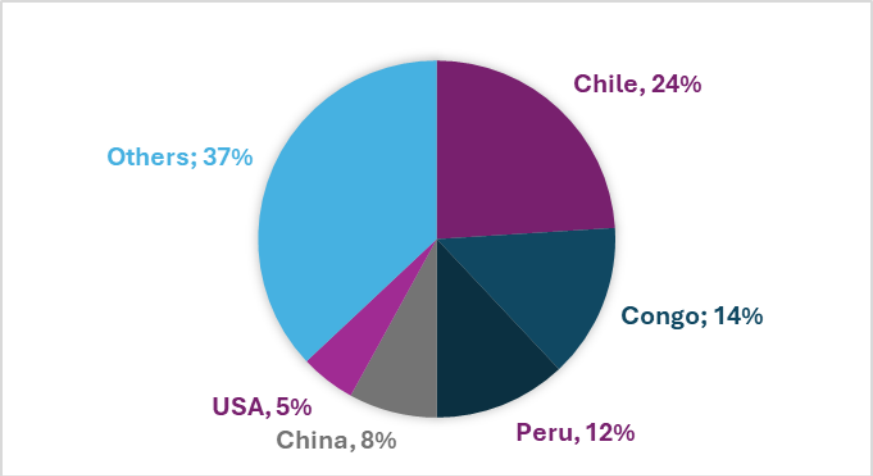
Copper Supply

While the earth's crust contains an almost inexhaustible supply of copper, most of it cannot be extracted economically utilizing existing technologies. Worldwide copper supply is driven by production rates at copper mines around the globe, as well as a small amount of scrap metal that is available for reuse. According to Wood

Mackenzie, based upon total copper mined in 2024, the world’s largest producers were Chile (24%), Democratic Republic of the Congo (14%), Peru (12%), China (8%) and the United States (5%).

From 2022 through 2024, refined copper production grew at a CAGR of 3.4%.

Approximated Global Copper Mine Production Copper by Country – 2024



Source: Wood Mackenzie

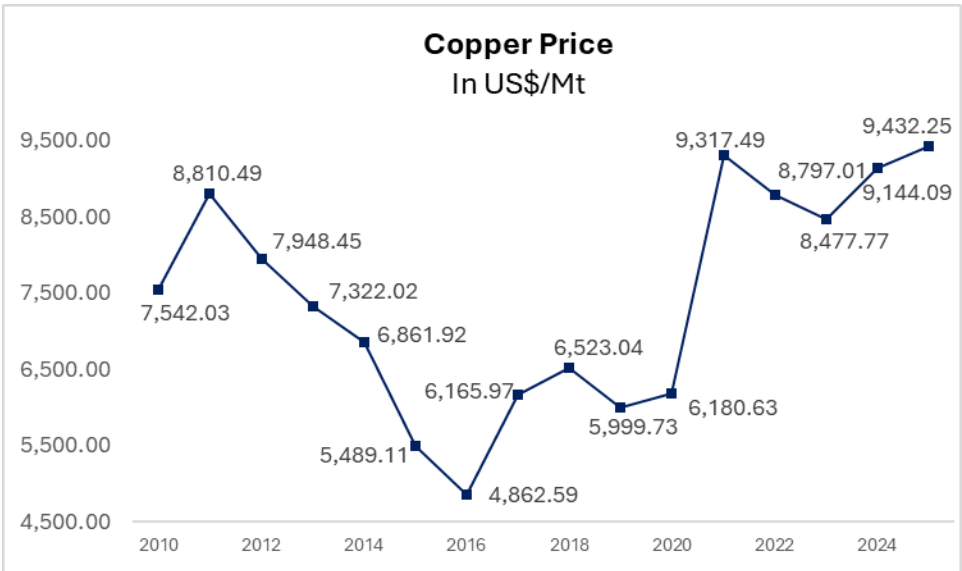
Several copper discoveries have been made in the past 20 years, with continued development underway.

Markets and Outlook

While in the past decade copper prices have displayed considerable volatility driven by economic cycles, in 2024 the copper price increased by 7.8% year-on-year.

The following chart sets forth historical spot prices for copper, showing at period-end the average copper prices between each of the periods displayed. The LME copper price was US\$9,833.74 per tonne as of June 30, 2025.

Historical Copper Prices US\$/metric tonne



Source: Bloomberg

While a number of major copper projects are set to start producing in coming years, supply growth has been affected by declining ore grades, social disputes, labor disputes, slower than anticipated ramp-ups resulting from long equipment lead times, weather-related delays, water/power supply constraints and other technical issues. Several new copper projects have not met their original timetables due to cost overruns, permit complications and difficulty securing appropriate financing in the context of escalating capital expenditure requirements.

REGULATORY FRAMEWORK

Mining and Processing Concessions

The General Mining Law (*Texto Único Ordenado de la Ley General de Minería*) approved by Supreme Decree No. 014-92-EM, published in the Peruvian Official Gazette, *El Peruano*, on June 4, 1992, is the primary law governing both metallic and non-metallic mining activities in Peru and is supplemented by implementing guidelines, regulations and policies regarding mining and the processing of minerals enacted by MINEM. Under the General Mining Law, mining activities (except reconnaissance, prospecting, and trade) are carried out exclusively through various forms of concessions. A concession provides its titleholder with the exclusive right to undertake a specific mining activity within a determined area.

There are four types of concessions:

- Mining concession: grants the right to explore and exploit mineral resources (either metallic or non-metallic).
- Processing concession: grants the right to extract and concentrate minerals and, to purify, melt and refine metals.
- General works concession or mining labor: grants the right to give auxiliary services to two or more mining concessions.
- Mining transportation concession: grants the right to install and operate a massive transportation system of mineral products provided the transportation is not conventional.

Large and medium scale mining concessions are granted by the INGEMMET, while the other types of concessions are granted by the General Directorate of Mining of MINEM (*Dirección General de Minería* or “DGM”). Any act, transfer, termination, or agreement related to these concessions must be registered with the Mining Rights Book, which is part of the Peruvian Public Registry, to be effective against the Peruvian government and third parties.

In Peru, as in many other countries, a mining concession is a special type of real property, different and separate from the surface land where it is located. Consequently, holding a mining concession does not grant the titleholder any right to the surface land. To commence mining activities, an authorization from the DGM is required, which in turn requires having a title over the surface land. (property right, lease, mining easement, authorization to use or similar valid title to use such land) granted by the owner of the land.

Holders of concessions or mining claims must comply with several obligations, including the payment of an annual validity fee (*derecho de vigencia*) of US\$3.00 per applicable hectare in the case of large and medium scale mining. The annual validity fee is due and payable on or prior to June 30 of each year. Failure to pay the annual validity fee for two years, consecutive or not, will result in the forfeiture of the mining concession.

Mining concessions are required to achieve the minimum production level in accordance with the following rules:

- The minimum annual production levels equivalent to 1 Peruvian tax unit (S/5,350 for 2025, approximately US\$1,540) per year per hectare, in the case of metallic concessions, and 10% of 1 Peruvian tax unit (approximately US\$154) per year per hectare, in the case of nonmetallic mining concessions.
- The minimum annual production level is to be achieved no later than the end of the tenth year from the year of grant.

- If the minimum annual production level is not achieved within that period, an annual penalty shall be paid. The following rules for calculating the amount of the penalty apply:
 - If the minimum annual production level is not achieved until the end of the tenth year from the year following the granting of the concession, a mining penalty equivalent to 2% of the corresponding annual production level per year per hectare shall be paid.
 - If the minimum annual production level is not achieved until the end of the fifteenth year from the year following the granting of the concession, a mining penalty equivalent to 5% of the corresponding annual production level per year per hectare shall be paid.
 - If the minimum annual production level is not achieved until the end of the twentieth year from the year following the granting of the concession, a mining penalty equivalent to 10% of the corresponding annual production level per year per hectare shall be paid.
 - If the minimum annual production level is not achieved by the end of the thirtieth year from the year following the granting of the concession, the mining concession will be cancelled. In the case of mining concessions granted before 2008, the 30th year term began on January 1, 2009.

The annual penalty must be paid prior to June 30 of each year. Failure to pay the annual penalty for two years consecutive, or not, results in the forfeiture of the mining concession.

The holders of mining concessions are not required to pay the annual penalty fee if they invest at least 10 times the amount of the respective penalty fee per year and per hectare.

To comply with the minimum production level or minimum investment, the holders of mining concessions can group concessions into economic management units (*Unidades Económicas Administrativas*). In order to form an economic management unit, the mining concessions must be located within a radius ranging from 5, 10 and 20 kilometers depending on the type of mineral exploited. The formation of an economic management unit requires an approval resolution issued by INGEMMET.

Finally, titleholders of mining concessions that are in exploration, construction, operation or closure phase, must file every year a Consolidated Annual Statement (*Declaración Anual Consolidada*) with the General Directorate of Mining of MINEM. The Consolidated Annual Statement that contains information in connection with investments is required on an annual basis (before April 30 of each year) and the Consolidated Annual Statement that contains information in connection with production is required on an annual basis (before June 30 of each year). As of the date of this offering memorandum, we primarily owned metallic mining concessions with respect to zinc, silver, lead, and copper. Substantially all of our concessions were granted prior to 2008. Our mining rights and concessions are in full force and effect under applicable Peruvian laws. We believe that we are in compliance in all material respects with the terms and requirements applicable to our mining rights and concessions.

Environmental Matters

In 2005, Peru enacted the General Environmental Law (Law No. 28611), which establishes the main environmental guidelines and principles applicable in Peru. Pursuant to the General Environmental Law, the Ministry of Environment (“MINAM”) issued national environmental regulations, which have gradually replaced prior guidelines governing governmental agencies environmental competencies. All environmental studies for exploration activities are evaluated by the General Directorate of Environmental Mining Affairs of the MINEM (*Dirección de Asuntos Ambientales Mineros* or “DGAAM”). The agency in charge of Environmental Certification (*Servicio Nacional de Certificación Ambiental para las Inversiones Sostenibles* or “SENACE”) evaluates the exploitation and beneficiation environmental studies. In addition, the Environmental Supervisory and Enforcement Agency (*Organismo de Evaluación y Supervisión Ambiental* or “OEFA”) is responsible for supervising the fulfillment of environmental obligations including commitments approved in environmental assessments studies. If the holder of a mining concession fails to comply with any obligation related to environmental matters, OEFA can levy a sanction for such breach with fines of up to 30,000 Peruvian Tax Units (approximately US\$41,756,756.76). An entity cannot be fined more than 10% of the gross annual income it received in the year prior to the date the infraction was committed.

According to the Environmental Regulations for Mining Exploration Activities approved by Supreme Decree 042-2017-EM, exploration activities fall into two categories: Category I and Category II. Category I exploration activities are those involving no more than 40 drilling platforms or affecting an area measuring of up to 10 hectares in size or the construction of tunnels of up to 100 meters long, while Category II exploration activities are those involving between 40 and 700 drilling platforms and affecting an area measuring greater than 10 hectares, the construction of tunnels of up to more than 100 meters long or a pilot plan. For Category I exploration activities, an Environmental Impact Statement (*Declaración de Impacto Ambiental* or “DIA”) is required. For Category II exploration activities, an Environmental Impact Assessment semi-detailed (*Estudio de Impacto Ambiental semi-detallado* or “EIASd”) is required and incorporates technical, environmental, and social matters. The approval of DIAs and EIASd may require the prior favorable opinion of some competent authorities, such as the National Service of Natural Areas Protected by the State (*Servicio Nacional de Áreas Naturales Protegidas por el Estado*, or “SERNANP”) for exploration activities performed within protected natural areas or their buffer zones.

In addition, the new regulation requires only an Environmental Technical Report (*Ficha Técnica Ambiental* or “FTA”), which is a complementary environmental assessment, for exploration activities involving a maximum of twenty platforms and which, due to their location and/or characteristics, are expected to generate non-significant negative environmental impacts. By Resolution No. 237-2024-MINEM/DM, the MINEM approved two types of FTA: (i) a standard FTA, which allows up to twenty platforms; and (ii) the simplified FTA, which allows up to ten platforms and to affect an area of up to five hectares.

Exploration, exploitation and/or processing activities must start within a maximum of five years following the date that the DIA, EIASd or EIAd is approved. The DIA, the EIASd and the FTA, as applicable, must be approved before exploration activities begin. Any commitments assumed by mining companies in a DIA, EIASd or FTA are mandatory and, if they are not fulfilled, OEFA has the authority to fine non-compliant mining companies or suspend their activities.

The regulation also provides that the holder of mining concessions will perform specified progressive closure, final closure, and post closure activities during and after exploration programs. In addition, fines can be imposed if exploration programs begin before the DIA, the EIASd and the FTA are approved.

Holders of mining concessions or mining activities that have completed the exploration stage, or envisage mining development and exploitation activities (including the processing of minerals), are required to prepare and obtain the approval of an EIAd from SENACE, which involves, among others, a process of public hearings in the locations where the project will be developed.

A modification to the environmental assessment will be required prior to conducting mining activities that may generate new moderate or negative environmental impacts.

In addition, according to the Public Participation Regulations in the Mining Subsector approved by Supreme Decree No. 028-2008-EM, for purpose of preparing the EIA holders of mining concessions must gather and analyze the social, environmental and economic concerns of the population that lives or works in the areas surrounding the project prior to the authorization of any activity.

Holders of mining concessions must undertake steps for public participation prior to and during the preparation of the DIA, EIASd and EIAd subject to evaluation as well as during the process of evaluation by DGAAM (DIA and EIASd) or SENACE (EIAd). In this process, holders of a mining project are required to submit a public participation plan, detailing the public participation mechanisms to be executed.

Supreme Decree 054-2013-PCM was passed in 2013 to promote investment projects. It allows companies to submit a supporting technical report (*Informe Técnico Sustentatorio* or “ITS”), to modify ancillary components, capacity expansions, or introduce technological improvements in exploration and exploitation activities. Although regulation requires that the responsible authority must evaluate the ITS within no more than 15 working days from the date of submission, this deadline has not been strictly applied in the past.

According to the Mining Closure Law (Law No. 28090) holders of mining concessions who wish to initiate mining exploitation activities, as well as those in operation, are required to prepare and submit a mining closure plan one year after their EIA has been approved. The mining closure plan must contain a description of the steps that will be taken to restore the areas and facilities of each mining unit they are going to operate. Holders of mining project

are required to secure completion of the final closure and post-closure measures by means of the following guarantees: (i) letters of credit; (ii) surety bond and similar types of insurance, without the benefit of *excussio* issued by local or foreign first category insurance companies; (iii) trust, trust over cash flows, trusts over movable and immovable assets (other than mining concessions and the facilities covered by the Mine Closure Plan), as well as securities excluding those issued by the mining activity holder; (iv) joint and several guarantees, based on the previous mentioned arrangements, without the benefit of *excussio*; or (v) bank certificates, letters of credit, and stand-by letters of credit issued by local or foreign first category banking entities.

Supreme Decree No. 042-2017-EM also requires mining companies that perform exploration activities to conduct certain closing activities in accordance with the approved environmental assessment, subject to deferral under certain circumstances, and contemplates a Closure Plan to be submitted by the mining company following the terms and conditions of Supreme Decree N° 033-2005-EM, as amended from time to time.

Law No. 28271, Law that Regulates the Environmental Liabilities of Mining Activities (*Ley que Regula los Pasivos Ambientales de la Actividad Minera*), came into force on July 7, 2004 and serves to regulate the identification of environmental liabilities and financial responsibility for remediation in mining activities, in each case to mitigate any negative impact mining may have with respect to the health of the population, environment and property. Pursuant to Law No. 28271, the DGM will identify environmental liabilities and the entities responsible for their remediation, which must submit an Environmental Liabilities Closure Plan to the DGAAM. This law also allows voluntary remediation of environmental liabilities by any person or entity even if these parties are not holders of mining concessions.

Finally, we anticipate that additional laws and regulations relating to environmental matters will be enacted over time. The development of more stringent environmental regulations in Peru could impose additional constraints and additional costs on our operations that would require us to make significant additional capital expenditures in the future.

Agriculture Communities and Indigenous People

Peru has ratified ILO Convention No. 169 concerning Indigenous and Tribal Peoples in Independent Countries through Legislative Resolution No. 26253. This convention gives indigenous and tribal peoples the right to previous consultation. As a result, on September 7, 2011, Law No. 29785 on the Right to Prior Consultation of the Indigenous Population was published. This law, which came into force on 7 December 2011, establishes a prior consultation procedure for an indigenous population whose collective rights may be directly affected by a legislative or administrative measure. The Regulations of Law No. 29785 were approved by Supreme Decree No. 001-2012-MC, which entered into force on April 4, 2012. This regulation specifies the form and circumstances of the required consultation and the manner in which the agreements will be formalized and provides for a consultation process that should not last more than 120 calendar days, a term which is not observed in practice.

In 2019, the Ministerial Resolution No. 403-2019-MINEM/DM was issued, which establishes the administrative procedures of the Mining Sector that require prior consultation – in the event that such procedures directly affect indigenous communities – which are: (i) concession of processing; (ii) authorization to commence or restart exploration, development or exploitation activities; (iii) transport of minerals; and (iv) concessions for general works and mining labor.

The consultation procedures are carried out by the *General Office of Social Management* (“OGGS”) of the MINEM before the granting of the corresponding authorization by the DGM. Indigenous peoples do not have the right to veto or stop a mining project. Once this prior consultation procedure has been completed, the Peruvian Government may approve or reject the applicable legislative or administrative measures at its discretion.

In addition, the sale, lease, or other disposition of surface lands owned by agriculture or native communities is subject to the approval of at least two thirds of all community members.

Permits and Licenses

Explosives

The use of explosives for civil use is regulated by Law No. 30299 and its regulations. Under such law, mining companies are required to obtain the following permits to operate and store explosives from the National Superintendence of Security Services, Guns, Munitions and Explosives of Civil Use (*Superintendencia Nacional de Control de Servicios de Seguridad, Armas, Municiones y Explosivos de Uso Civil* or “SUCAMEC”):

- Authorization for the acquisition and use of explosives (*Autorización para la adquisición y uso de explosivos y materiales relacionados*).
- Authorization for the storage of explosives (*Autorización para el almacenamiento de explosivos y materiales relacionados*).
- Authorization of the manipulation of explosives for each individual that intends to handle explosives (*Autorización para la manipulación de explosivos y materiales relacionados*).

Water, wastewaters, and emissions

To use water resources in a mining project, it is necessary to obtain a water right granted by the National Water Authority (*Autoridad Nacional del Agua* or “ANA”) prior to the use of underground or fresh water sources. If the proposed activities will generate domestic or industrial wastewaters discharged into natural water sources or dry creeks, it is necessary to obtain an authorization granted by the ANA, with the favorable opinion of the General Bureau of Environmental Health (*Dirección General de Salud Ambiental* or “DIGESA”).

In 1996, MINEM also issued regulations that establish maximum permissible levels (“LMPs”) of (i) liquid effluents emissions and (ii) elements and compounds present in gaseous emissions resulting from mining activities. Mines and processing plants that were in operation before May 1993 were required to submit Environmental Adaptation and Management Programs, or PAMAs, that set forth plans to ensure compliance with LMPs. The first General Water Law was enacted in 1969. In 2008 and 2010, MINAM enacted new water quality standards and new LMPs for liquid effluents, and, in 2009, all Peruvian mining companies were required to submit updated environmental management plans that complied with water quality standards and new LMPs for liquid effluents to MINEM. By the end of 2015, Supreme Decree No. 015-2015 - MINAM was enacted, modifying water quality standards and establishing supplementary provisions related to compliance. In 2017, Environmental Quality Standards (*Estándares de Calidad Ambiental* or “ECAs”) for water were modified by Supreme Decree No. 004-2017-MINAM. Permissible maximum limits approved in 2010 by Supreme Decree No. 010-2010-MINAM are still valid.

Solid waste and soil contamination

Within Peru’s mining–environmental regime, environmental certification for large-scale mining projects is granted by the National Service of Environmental Certification for Sustainable Investments (SENACE) through a Detailed Environmental Impact Assessment (EIA-d) and its amendments. Environmental oversight and enforcement rest with the OEFA, which covers assessment, supervision, enforcement, and sanctions. MINEM, through the General Directorate of Mining Environmental Affairs (DGAAM), issues sector regulations and manages the regime for Mining Environmental Liabilities (PAM). The Supervisory Agency for Investment in Energy and Mining (OSINERGMIN) oversees safety and technical-operational aspects; this role does not replace OEFA’s environmental enforcement.

Under Peru’s legal framework, waste management obligations cover both non-mining solid waste and mining waste. For non-mining solid waste and hazardous waste, Legislative Decree 1278 and its Regulations (Supreme Decree 014-2017-MINAM) require application of the 5R hierarchy (Refuse, Reduce, Reuse, Recycle and Recover), source segregation, safe temporary storage, engagement of authorized Solid Waste Operator companies (*Empresas Operadoras de Residuos Sólidos* or “EO-RS”), use of Hazardous Solid Waste Manifests (MRSP), annual reporting, full traceability, and certification of recovery or final disposal. For mining waste, including tailings and waste rock, Supreme Decree 040-2014-EM and the commitments in the approved Detailed Environmental Impact

Assessment (EIA-d) govern the design, operation, monitoring, and closure of tailings storage facilities (TSFs) and waste-rock dumps (WRDs) to ensure physical and geochemical stability, with periodic reporting.

For soil protection in Peru, the Environmental Quality Standards for Soil (EQS), established by Supreme Decree 011-2017-MINAM and complemented by Supreme Decree 012-2017-MINAM on contaminated-site management criteria, serve as the binding reference to determine contamination; site management follows a staged process comprising identification and characterization, risk assessment, selection of remediation technologies, implementation, verification, and post-closure. A transitional regime under Supreme Decree 002-2013-MINAM, as complemented by Supreme Decree 002-2014-MINAM, applied to pre-existing Environmental Management Instruments (*Instrumentos de Gestión Ambiental* or “IGAs”) until they were updated.

Regarding PAM in Peru, Law No. 28271 and Supreme Decree 059-2005-EM provides that if a responsible party is identified, it must undertake remediation, and where no responsible party is identified, the Peruvian government may intervene in accordance with the official PAM inventory and prioritization.

Chemical feedstock

The commercialization, transportation, and use of controlled chemical feedstock (*Insumos Químicos y Bienes Fiscalizados* or “IQBF”) is restricted, because of their potential, direct or indirect, use for the production of illegal drugs and their use in illegal mining activities. Companies that conduct activities that involve IQBF must register before the SUNAT any IQBF activities that they play to carry out (*Registro para el Control de los Bienes Fiscalizados*). Companies such as ours are also required to track all activities performed in connection with IQBF daily (*Registro de Operaciones*) and submit monthly consolidated information to SUNAT.

Fuel storage

Any company that purchases fuels for its own activities and has facilities to receive and store fuel with a minimum capacity of 1 meter cubed (264.170 gallons) is required to (i) obtain from the Mining and Energy Investment Supervision Body (*Organismo Supervisor de la Inversión en Energía y Minería* - OSINERGMIN) prior permission to build and operate said installations, and (ii) be registered with the Registry of Direct Fuel Consumers, in order to obtain the SCOP Code (*Código del Sistema de Control de Órdenes de Pedido*) necessary to purchase fuel.

Cultural heritage protection

If the design and development of mining projects involve the removal of topsoil, companies need to have a Surface Archaeological Survey (*Diagnóstico Arqueológico de Superficie* or “DAS”) conducted and certified by a licensed archaeologist or obtain from the Ministry of Culture a Certificate of Non-Existence of Archeological Ruins (*Certificado de Inexistencia de Restos Arqueológicos* or “CIRA”) and the authorization to perform an Archeological Monitoring Plan (*Plan de Monitoreo Arqueológico* or “PMAR”) with respect to the area that is going to be used in the construction process or in developing the relevant mining project. DAS and CIRA will certify that on the surface of the evaluated area no archaeological sites or features were discovered. The PMAR involves an archaeological monitoring by, at least, one archaeological professional, while works are performed seeking to prevent, avoid, control, reduce and mitigate possible negative impacts on archaeological evidence found in the soil and subsoil. A PMAR is required prior to initiating works involving soil removal.

If any archaeological artifacts are accidentally discovered during the construction works or due to any natural cause, the mining company must stop the construction work immediately and notify the Ministry of Culture. Failure to stop the construction work will generate applicable civil and criminal liabilities.

Mining Regulatory Contributions

In Peru, the regulatory contribution (*Aporte por Regulación*, “APR”) is a mandatory contribution-type tax that funds sector regulators, capped at 1% of a company’s annual invoicing, net of VAT. It applies to medium and large mining companies on a monthly self-assessment basis, with enrollment in the relevant APR registries and exposure to fines for non-compliance and is distinct from royalties that finance regional development.

For OSINERGMIN, the APR finances safety, technical oversight, and tariff regulation functions in mining, with the 2025 contribution set at 0.12% of monthly invoicing (excluding VAT). For OEFA, the APR supports environmental supervision and enforcement in mining, with the 2025 rate at 0.07% (still within the 1% legal ceiling), and monthly declarations and payments monitored for compliance.

Mining Royalties

Since October 1, 2011, holders of mining concessions have been required to pay a mining royalty (*regalia minera*) to the Peruvian government for the exploitation of metallic and non-metallic resources in accordance with Law No. 28258, as amended by Law No. 29788. The amount of the royalty is now payable on a quarterly basis and is equal to the greater of (i) an amount determined in accordance with a statutory scale of tax rates based on a company operating profit margin and applied to the company's operating profit, and (ii) 1% of a company's net sales, in each case during the applicable quarter. The mining royalty rate applied to the company's profit is based on its operating profit margin according to the following statutory scale of rates:

Operating profit margin			
Scale No.	Lower limit	Higher limit	Rate
1	0%	10%	1.00%
2	10%	15%	1.75%
3	15%	20%	2.50%
4	20%	25%	3.25%
5	25%	30%	4.00%
6	30%	35%	4.75%
7	35%	40%	5.50%
8	40%	45%	6.25%
9	45%	50%	7.00%
10	50%	55%	7.75%
11	55%	60%	8.50%
12	60%	65%	9.25%
13	65%	70%	10.00%
14	70%	75%	10.75%
15	75%	80%	11.50%
16	More than 80%		12.00%

Mining royalty payments will be deductible as an expense for income tax purposes in the fiscal year in which such payments are made.

Special Mining Tax

Effective October 1, 2011, Law No. 29789, published on September 28, 2011, requires that holders of mining concessions pay a special mining tax (*Impuesto Especial a la Minería*) to the Peruvian government for the sale of metallic resources, regardless of the state in which they are sold. The Special Mining Tax is payable on a quarterly basis and is calculated on the basis of the operating profit derived exclusively from the sale of metallic resources. The applicable Special Mining Tax rate (which is between 2% and 8.40%) is determined by the quarterly operating profit margin of the company and such rate is applied to the operating profit derived from the sale of metallic resources, according to the following table:

Operating profit margin			
Scale No.	Lower limit	Higher limit	Rate
1	0%	10%	2.00%
2	10%	15%	2.40%
3	15%	20%	2.80%
4	20%	25%	3.20%
5	25%	30%	3.60%
6	30%	35%	4.00%
7	35%	40%	4.40%
8	40%	45%	4.80%

Operating profit margin			
Scale No.	Lower limit	Higher limit	Rate
9	45%	50%	5.20%
10	50%	55%	5.60%
11	55%	60%	6.00%
12	60%	65%	6.40%
13	65%	70%	6.80%
14	70%	75%	7.20%
15	75%	80%	7.60%
16	80%	85%	8.00%
17	More than 85%		8.40%

Special Mining Tax payments will be deductible as an expense for income tax purposes in the fiscal year in which such payments are made.

Complementary Retirement Fund for Mining, Metallurgic and Steel Activities

Law No. 29741, passed on July 14, 2011, created the Complementary Retirement Fund for Mining, Metallurgic and Steel Activities (*Fondo Complementario de Jubilación Minera, Metalúrgica y Siderúrgica*), which is a social security retirement fund for mining, metals and steel workers and will be partly funded by mining, metallurgic and steel companies, including us, with a payment equal to 0.5% of their annual net income before taxes and 0.5% funded by the employee's monthly income.

Safety

As a mining company, we are subject to both the General Occupational Safety and Health Law (*Ley de Seguridad y Salud en el Trabajo*) approved by Law No. 29783, as amended by Law No. 30222, and the relevant regulations on safety and health applicable to mining activities approved by Supreme Decree No. 055-2010-EM, subsequently repealed and replaced by Supreme Decree No. 024-2016-EM and its amendments enacted pursuant to Supreme Decree No. 029-2016-EM, Supreme Decree No. 029-2016-EM, Supreme Decree No. 023-2017-EM and Supreme Decree No. 034-2023-EM.

The main principle of this law is that the employer assumes the economic, legal and any other type of liability arising from accidents or diseases suffered by the employee while working and guarantees the employee's health and safety in connection with the employee's work. This legislation entitles labor inspectors to inspect commercial facilities and, under certain circumstances, suspend operations. According to such laws and regulations, our main obligations in connection with occupational safety and health rules are: (i) to establish a safety and health committee which shall comprise the same number of employees and employer representatives and shall approve (A) an internal occupational safety and health code, (B) an occupational safety and health annual program, and (C) an occupational safety and health risk map, (ii) to implement and maintain a safety and health management system and its registries and related documentation updated, (iii) to deliver a copy of the internal occupational safety and health code to its employees, (iv) to supervise the employees' fulfillment of the internal occupational safety and health code, (v) to perform medical examinations prior, during and at the end of the employee's labor relationship with us, (vi) to provide employees the adequate protective equipment, (vii) to inform the labor authority regarding any deterioration in an employee's health, and (viii) to ensure the same safety and health standards apply to all members of our labor force regardless if the employee is directly employed or through an outsourcing company.

Emergency Decree No. 044-2019 amended Law No. 28806, General Labor Inspection Law and the Criminal Code to establish measures to strengthen the protection of the health and lives of workers in Peru, by amending Law No. 28806, the General Labor Inspection Law and the Criminal Code. This law included a new provision in the criminal code, which now establishes that a person who intentionally breaches safety and health provisions and is deemed to seriously jeopardize the life, health or physical integrity of such person's employees may be held criminally liable for such behavior and subject to mandatory sentencing of no less than one and no more than four years. If an employee or third-party dies or is severely injured because of willful non-compliance with occupational health and safety laws, such criminal offense would be punishable with mandatory imprisonment of no less than four and no more than eight years. These punishments would be applied to the legal representative of the employer.

The safety and health of our employees is our highest priority. Although we believe that we follow all safety and health regulations in all material respects, we have implemented adequate safety measures and work continuously to improve our occupational health and safety training and performance. We regularly monitor occupational health and safety performance and compliance through safety training programs, review and analysis of audit reports, accident reports, and other routine safety measures at our operating mines.

Under Peruvian law, reportable injuries include accidental injuries resulting in lost-time, fatal accidents, accidents that require medical treatment or restricted work, and hazardous incidents. Injuries involving first-aid only are not reportable as they are considered minor accidents. During 2023 we experienced 48 reportable injuries, including no fatal injuries, compared to 82 reportable injuries, including no fatal injuries in 2022. During 2024, we experienced a total of 58 reportable injuries, including 1 regrettable fatal injury for the first time in the last 3 years. During the nine-month period ended September 30, 2025, we experienced a total of 53 reportable injuries, with no fatal injuries.

Labor Regulations

Peruvian legislation allows the hiring of employees through: (i) a fixed-term contract, (ii) an indefinite-term contract; or (iii) a part-time employment contract. The minimum wage established in Peru as of the date of this offering memorandum is S/1,130.00 per month (US\$320 approximately). Peruvian labor legislation establishes a maximum working day of 8 hours a day or 48 hours a week for employees over 18 years of age. Likewise, the application of cumulative or atypical days is allowed, as long as the average time worked is within the indicated maximum. Atypical or cumulative days comprise a cycle in which workdays are accumulated in a continuous work block and rest days are accumulated in another continuous block.

In the case of overtime work, employers must pay at least an additional 25% and an additional 35% over the regular hourly wage for the first two hours and for any additional hours, respectively. What is indicated applies to both ordinary days and atypical or cumulative days.

Outsourcing

According to Law No. 29245, complemented by Legislative Decree No. 1038 and the regulations enacted thereunder, outsourcing is a form of business organization under which a company (main company) delegates part of its main activities to one or more outsourcing companies. A “main activity” is an activity that, if not performed, would immediately affect and/or interrupt the operations of a company.

Under Peruvian law, companies may outsource their main activities *provided* that the following conditions are met: (i) the outsourcing company must provide services at its own cost and risk, (ii) the outsourcing company must have its own financial, technical or material resources, (iii) the outsourcing company must be responsible for the results of its activities, and (iv) the employees of the outsourcing company must be under its exclusive subordination. Failure to comply with any of the foregoing conditions renders the recognition of the employees as directly employed by the main company, and the latter liable for all employment benefits as if the employees had been directly employed by the main company.

The following elements characterize outsourcing activities: (i) the outsourcing company has more than one client, (ii) the outsourcing company has its own equipment and capital investment, and (iii) the compensation paid to the outsourcing company is calculated based on the services rendered by the company (not based on the salaries of the personnel assigned to the service).

Pursuant to regulations governing outsourcing relationships, the main company is jointly responsible for the payment of the main company employee’s remunerations, labor benefits and social security contributions accrued during the term of the outsourcing relationship. Rights and benefits as a consequence of collective bargaining, labor agreements or those unilaterally set forth by the employer are excluded. The main company’s joint responsibility applies for up to one year after the conclusion of the term of the outsourcing relationship.

Electricity Regulatory Framework

We hold a number of electricity concessions granted by MINEM or regional governments in order to conduct our power generation and transmission activities. As a result, we are subject to the following regulatory framework.

The Electricity Concessions Law, published in the Official Gazette, El Peruano, on November 19, 1992, is the primary law governing electricity activities in Peru. The regulations to this law were enacted by means of Supreme Decree No. 009-93-EM published in the Official Gazette, El Peruano, on February 25, 1993.

On July 23, 2006, the Peruvian government enacted the Law to Secure the Efficient Development of Power Generation (*Ley para Asegurar el Desarrollo Eficiente de la Generación Eléctrica*), approved by Law No. 28832, which approved important modifications to the regulatory framework set forth in the Electricity Concessions Law. Both laws have been supplemented by several regulations regarding quality conditions for energy provision, tariff calculation, environmental, water use, wastewater disposal, cultural heritage protection, and other applicable permits required to develop electricity activities. In 2025, Law No. 28832 was amended by Law No. 32249. The modifications included in this law will allow the separate sale of capacity and energy and would modify, among other aspects, the mechanism of public tenders applicable to distribution companies for the acquisition of capacity and energy. The entry into force of the modifications set forth in Law No. 32249 is subject to the approval of its regulations, which is still pending as of the date of this offering memorandum.

According to the foregoing laws, the following electricity activities shall be carried out exclusively through (i) a definitive concession, in the case of hydroelectric plants and other type of plants that use renewable energy resources with installed power capacity higher than 500 kW, power transmission activities that affect state-owned property or require the imposition of easements, and power distribution with a demand of over 500 kW, or (ii) authorizations in the case of thermoelectric power generation with an installed capacity that exceeds 500 kW. Both concessions and authorizations are granted by MINEM or by regional governments (in case of plants with installed power capacity greater than 500 kW and less than 10 MW).

Also, in accordance with the Non-Regulated Users Rules (*Reglamento de Usuarios Libres*), approved by Supreme Decree No. 022-2009-EM, users are qualified according to their degree of power consumption. Electricity users that have power demands larger than 2.5 MW in each supply point per year are considered non-regulated users and therefore have the right to choose their energy supplier. Electricity users whose maximum annual demand from each supply point is greater than 0.2MW up to 2.5 MW have the right to choose their status as regulated or non-regulated users. Users with a demand up to 0.2 MW are considered regulated clients.

The Supervisory Agency of Investment in Energy and Mining (*Organismo Supervisor de la Inversión en Energía y Minería* - OSINERGMIN) is an independent entity that has the power and responsibility to, among other things: (i) supervise participants' compliance with their concession agreements, legal obligations and regulations, as well as with the technical rules relating to the generation, transmission, distribution and commercialization of power; (ii) administer fines and penalties in case of violations of laws and regulations; (iii) handle claims by, between or against consumers and/or the energy sector participants and (iv) promote competition, transparency and equity in the energy market.

The Peruvian government, through OSINERGMIN, regulates and supervises the tariff (Bus Bar Tariff) to be charged by the electricity distributors that provide the energy distribution public service (regulated users). Distributors are required to purchase their energy supply with generators and two different regimes may apply: (i) bilateral agreements with generators, and (ii) contracts resulting from public tenders, called by distributors, in which the contract price will be the one offered by each bidder, with the maximum price being the one set by OSINERGMIN for each tender process. However, in the case of energy supply required by distributors for their energy demand from non-regulated users, the electricity supply conditions shall be freely agreed with the generators.

Generation companies may sell electricity to distribution companies and non-regulated users. In the latter case, electricity prices (energy and power) are freely negotiable, but the tariffs and compensations for the use of the transmission networks and distribution networks, if applicable, are subject to the regulations issued by OSINERGMIN.

According to articles 36 and 105 of the Electricity Concessions Law, the government is entitled to terminate a definitive concession agreement in the case of certain events, including the following:

- If the concessionaire fails to communicate to the MINEM the registration of its concession agreement in public records within 20 business days from the date of registration.
- If the concessionaire breaches its works schedule unless it was a consequence of a force majeure event, qualified as such by the MINEM, or a new guaranteed works schedule is approved.
- If the concessionaire stops operating its facilities without cause for over 876 hours during a calendar year.
- If, the relevant generation or transmission concessionaire, after the imposition of fines, continues to operate its facilities without following the orders of the Economic Committee of the System (COES).
- If the MINEM unilaterally terminates the concession for reasons other than those expressly established in the Electricity Concessions Law.

According to article 69 of the regulations of the Electricity Concessions Law, the government is entitled to revoke the authorizations for the development of electricity activities in the case of certain events, including the following:

- For repeated violations related to the protection of the environment or of the nation's cultural heritage that has been officially declared as such at the time of executing the works.
- If the owner of a generation plant that is part of an interconnected system, after the imposition of the corresponding sanctions, fails to operate its facilities in accordance with the coordination rules of the Economic Committee of the System (COES).
- If the owner fails to execute the works and installations within the time limits established in the approved schedule, except in cases of force majeure, fortuitous events, or duly substantiated and approved technical-economic reasons. Such technical-economic reasons may only be invoked once and shall be approved when they are beyond the control of the owner and/or its economic group and constitute a direct cause of the non-compliance.

If the revocation of the authorization for the development of electricity activities compromises the public electricity service, the requirements and procedures established for the termination of a definitive concession must apply, insofar as they are relevant. Otherwise, a favorable report from the General Directorate of Electricity (DGE) of the MINEM or the regional government should be enough to revoke the authorization.

The revocation of the authorization for the development of electricity activities must be declared by the corresponding resolution, which must also order the execution of any guarantees that remain in force.

Holders of electricity concessions and authorizations must comply with several obligations, including the payment of a monthly contribution to OSINERGMIN, MINEM's General Department of Electricity (*Dirección General de Electricidad*) and OEFA, based on a percentage of their monthly billing net of value-added tax (18%). Such contribution shall be equal to the following percentages:

- MINEM: 0.35%
- OSINERGMIN: 0.46% (2023); 0.43% (2024); 0.41% (2025)
- OEFA: 0.10% (2023-2025)

According to the Framework Law on the Regulatory Agencies for Private Investment in Public Services (*Ley Marco de los Organismos Reguladores de la Inversión Privada en los Servicios Públicos*), approved by Law No. 27332, this contribution cannot exceed in aggregate to 1% of their annual billing net of value-added tax.

The environmental aspects of electricity activities are regulated by the General Directorate of Environmental Energy Affairs of the MINEM (*Dirección de Asuntos Ambientales Energéticos* or "DGAAE"),

SENACE, MINAM, ANA, SERNANP, Ministry of Culture, among others. In addition, the OEFA is responsible for supervising the environmental aspects related to the electricity activities. Failure to comply with environmental obligations may result in the application of fines of up to 30,000 Tax Units (approximately US\$45,857,142.90) and other ancillary measures.

Environmental regulations and requirements are set forth in the Regulations for Environmental Protection in Electricity Activities approved by Supreme Decree No. 014-2019-EM. Furthermore, in order to obtain a definitive electricity concession, the submission of an approved environmental management instrument by DGAAE, regional governments or SENACE is mandatory. SENACE is the entity in charge of reviewing and approving EIAs for investment projects of national and multi-regional scope involving activities, construction and other commercial activities and services that are likely to cause significant environmental impacts. Other management environmental instruments (DIA and EIA) are approved by DGAAE and certain regional governments.

MANAGEMENT

Under our bylaws, the board of directors is in charge of our administration and of all matters that are not expressly reserved to the shareholders' meeting. The board of directors consists of six members, all of them elected by the shareholders' meeting. The board of directors is elected for three-year periods, and directors may be reelected. The business address of the board of directors is Av. Manuel Olguín 373, Santiago de Surco Lima, Republic of Peru.

The required quorum for any board of directors meeting is the whole number of directors immediately exceeding half of its members. The resolutions shall be adopted by a majority of the directors in attendance. In case of a tie, the chairman has a casting vote. The board of directors has to meet at least monthly, and at any moment when requested by the chairman or by any director.

The following table sets forth certain information about the members of our board of directors.

Name	Position	Age	Year Appointed
Ricardo Nicolás Mallo Huergo	Chairman of the board	54	2024
Juan Verde Suarez	Vice chairman of the board	52	2024
Pilar Marcó	Director	40	2024
Alejandro Rufino Marcelo	Director	61	2024
Luis Fernando Herrera	Director	44	2023
José Enrique Juan Picasso Salinas	Director	70	1996

Ricardo Nicolás Mallo Huergo: Director and Chairman of the Board of Directors since May 2024. He is currently member of the Board of Directors of Phoenix Global Resources Plc (Ticker: AIM: PGR) and has also served as member of the Boards of Directors of Ketsal S.A., Kilwer S.A., Integra Oil & Gas S.A.S., Grecoil S.A. and other local and foreign companies. Mr. Huergo is a lawyer, with a bachelors degree from Universidad Católica Argentina and an LL.M. degree (master of laws) with honors from Northwestern University School of Law, Chicago, United States.

Juan Verde Suarez: Vice Chairman of the Board since May 2024. Mr. Suarez is a member of President Biden's Presidential Advisory Council (President's Export Council), an advisory body to the White House on matters related to foreign trade and US competitiveness in international markets. In the private sector, Mr. Suarez has been a consultant to various prestigious companies and institutions, such as Google, Cisco, SAS, American Express, Banco Santander Investments US, Inter-American Development Bank, Harvard University and the World Bank. He is a member of the Board of Directors of Hispasat, the leading satellite communications operator in Spain, Portugal and Latin America, and a member of the Airbus Advisory Board. In the public sector, Mr. Suarez has worked with the governments of the United States, Lithuania and Gibraltar, as well as with numerous presidents, governors and mayors of Latin America. He holds a masters degree in public administration from Harvard University and a bachelor of arts degree cum laude in political science and international relations from Boston University. He has also completed additional studies at Georgetown University and Tufts University. In addition, Mr. Suarez has served on the boards of directors of companies and universities such as Harvard University, Abengoa and the International Board of Lithuania.

Pilar Marcó: Director since May 2024. Ms. Marcó has worked at Beretta Godoy, Bruchou, Fernandez Madero & Lombardi and Ministerio de Relaciones Exteriores de la Nación, all of them in Buenos Aires and has been an intern in Shearman & Sterling LLP, in Paris. Pilar is a lawyer from Universidad de Buenos Aires and obtained an LL.M. (master of laws) in 2012 from University of Virginia School of Law, United States.

Alejandro Rufino Marcelo: Director since May 2024. Mr. Rufino served as a first instance secretary in the commercial court, partner at Llerena & Asociados Abogados, and is currently a partner at Estudio Jurídico Romero Carranza, Rufino & Monsegur. He was a member of the commission for the reform of the Argentinian Civil and Commercial Code of the Nation created in 2019 and is an arbitrator of the Electronic Open Market. He is also a professor of Commercial Law at the University of Buenos Aires and the University of Palermo. He specializes in corporate debt restructuring, acquisitions, and structuring of investment vehicles, representing companies, high-net-

worth families and entrepreneurs in local and international transactions. Mr. Rufino is a lawyer from the University of Buenos Aires and has taken postgraduate studies such as the Program of Instruction for Lawyers and Negotiation Workshop at Harvard Law School.

Luis Fernando Herrera: Director since October 2023 and Chief Executive Officer since November 2023. Mr. Herrera was Zinc South America Asset Manager at Glencore having joined the group in June 2010. He has held the position of vice president of business development at the mining company Sinchi Wayra (a former subsidiary of the Glencore Group) in the city of La Paz, Bolivia for the period from 2015 to 2020 and has previously been part of the trading team at the Glencore offices in Baar, Switzerland. He is a director of Perubar S.A. since March 2020. Mr. Herrera is a Business Administrator from the Universidad de San Andrés in Argentina and holds an MBA degree from Dartmouth College (Tuck) in the United States of America.

José Enrique Juan Picasso Salinas: Director since March 1996, and member of the Executive Committee from March 1996 to November 2023. Previously, Mr. Picasso has been the Vice Chairman of the Board of Directors, and from April 2010 to September 2023, the Chairman of the Board of Directors and the Executive Committee. Mr. Picasso is also Chairman of the Board of Reactivos Nacionales S.A., Vice Chairman of the Board of Directors of Compañía Minera Poderosa S.A. and Cosco Shipping Ports Chancay Perú S.A., a Director of Bodegas Vista Alegre S.A., Compañía Minera Chungar, the Sociedad Nacional de Minería, Petróleo y Energía – SNMPE and Cemento Polpaico S.A. (Chile), and a member of the Chilean-Peruvian Business Council (CEChP). Previously, he was Vice Chairman of the Board of Embotelladora Latinoamericana S.A.A. (Coca-Cola) and Director of Compañía Minera Atacocha S.A., EXSA, S.A., Castrovirreyna Compañía Minera S.A., Compañía Molinera del Perú S.A., Compañía de Seguros La Fénix Peruana S.A., Bolsa de Valores de Lima S.A. and Acción Comunitaria-ACP.

Executive Officers

The following table sets forth certain information about our executive officers.

<u>Name</u>	<u>Position</u>	<u>Age</u>	<u>Year Appointed</u>
Luis Fernando Herrera	Chief Executive Officer	44	2023
Ricardo Alberto Romero	Executive Vice President	53	2024
Miguel Sanchez Valdez	Deputy General Manager	45	2025
Aldo de la Cruz Peceros	Vice President of Operations	53	2018
Jorge Leoncio Murillo Núñez	Chief Financial Officer	52	2013

Luis Fernando Herrera: Director since October 2023 and Chief Executive Officer since November 2023, with over 15 years of mining sector experience. Mr. Herrera was Zinc South America Asset Manager at Glencore having joined the group in June 2010. He has held the position of vice president of business development at the mining company Sinchi Wayra (a former subsidiary of the Glencore Group) in the city of La Paz, Bolivia for the period from 2015 to 2020 and has previously been part of the trading team at the Glencore offices in Baar, Switzerland. He is director of Perubar S.A. since March 2020. Mr. Herrera is a Business Administrator from the Universidad de San Andrés in Argentina and an MBA from Dartmouth College (Tuck) in the United States of America.

Ricardo Alberto Romero: With over 25 years of corporate experience, Mr. Romero previously served as CFO of Compañía Minera Aguilar, Group CFO & General Manager at InterOil Norway, CFO of Tenute del Mondo Holding (Wine Division of SPI Group), CFO & Estate Director at Achaval Ferrer S.A., and Financial Manager at Supercanal S.A. He is a Certified Public Accountant from the National University of Cuyo – Mendoza, holds an MBA from the Catholic University of Córdoba – Mendoza, completed the Executive Finance Program at IAE Business School – Buenos Aires, and earned a Specialization in Managerial Development (PDG) from the McKenna School of Business – Saint Vincent College / ADEN – Mendoza.

Miguel Sanchez Valdez: Deputy General Manager since January 2025, with over 20 years of mining sector experience. Mr. Sanchez is an experienced executive in the mining industry. He recently served as General Manager of the mining companies Lincuna and Norcobre, and previously was Operations Manager at El Roble Mine of Atico Mining Corporation in Colombia, as well as Project Manager at the Azulcocha and Esquilache mines of

Vena Resources. He is currently a professor in the Master's program in Mining Operations Management at Universidad Peruana de Ciencias Aplicadas (UPC). Mr. Sanchez is a Mining Engineer from Pontificia Universidad Católica del Perú and holds an MBA from INCAE in Costa Rica and Universidad Adolfo Ibáñez in Chile.

Aldo de la Cruz Peceros: Vice President of Operations since January 2018, with over 20 years of mining sector experience. Previously, Mr. Peceros worked as vice president of operations of Mina Sinchy Wayra Glencore Zinc between October 2015 and December 2017. He was also Senior Technical Advisor at Glencore Zinc South America between August 2012 and October 2015. Moreover, he was chief operating officer of Mopani Copper Mines Plc Zambia de Glencore Copper between April 2010 and June 2012 and Senior Technical Advisor at Glencore Copper between November 2009 and March 2010. Between 2003 and 2009 he worked in several positions at Glencore, as chief executive officer at Kamoto Underground Mine Congo DRC and Mufulira Mine Zambia and Project Manager at Nkana Mine, Mopani Copper Mines Plc Zambia. From 1999 until 2003 he worked as Mining Manager at Mina Yauliyacu in Peru. Mr. de la Cruz holds a degree in mining engineering from the Universidad de Ingenieria and a master's degree in mining management from GERENS. He also holds a bachelor's degree from the Universidad del Pacífico.

Jorge Leoncio Murillo Núñez: Chief Financial Officer since December 2013, with over 20 years of mining sector experience. Previously, Mr. Núñez worked as Financial Planning Manager from January 2011 until December 2013. Moreover, he has also worked as a consultant at KPMG Consulting, finance controller of Peru and Colombia at Bearing Point, as Assistant Corporate Manager at Grupo Gloria and as Budget Manager at Hochschild Mining Plc. Mr. Murillo holds a degree in industrial engineering and one in finance from the Pontificia Universidad Católica de Perú, as well as an MBA from ESAN.

Compensation

Compensation of our directors is set according to our bylaws and the regulations approved by the board of directors of the Company. The Board of Directors is entitled to receive a remuneration equivalent to 3% of the profits before taxes for the respective fiscal year.

PRINCIPAL SHAREHOLDERS AND DESCRIPTION OF SHARE CAPITAL

Our capital stock as of June 30, 2025 was represented by two classes of shares: (i) 1,633,414,553 Class A voting shares, representing 40.07% of our capital stock, and (ii) 2,443,157,622 Class B non-voting shares, representing 59.93% of our capital stock. See “—Our Share Capital.” Both classes of shares are listed on the Lima Stock Exchange and Santiago Stock Exchange, and Class B shares are also listed on the Latibex segment of the Madrid Stock Exchange.

The following table sets forth certain information as of June 30, 2025, with respect to the ownership of our share capital by each shareholder and group of affiliated shareholders known to us who own more than 5% of our capital stock:

Shareholders	As of June 30, 2025			% of Total Share Capital
	Class A Shares	Class B Shares	Total Shares	
Transition Metals ⁽¹⁾	898,832,275	-	898,832,275	22.06%
Funds managed by Latin American Equity ⁽²⁾	-	296,400,000	296,400,000	7.27%
Funds managed by AFP Habitat ⁽³⁾	-	243,843,610	243,843,610	5.98%
Funds managed by AFP Integra ⁽⁴⁾	1,000	240,801,802	240,802,802	5.91%
Equity Interests Trust Agreement ⁽⁵⁾	182,994,435	12,234,901	195,229,336	4.79%
De Romaña Letts Jose Ignacio	168,863,329	12,672,092	181,535,421	4.45%
Letts Colmenares De De Romaña Irene Florencia	161,732,092	18,765,076	180,497,168	4.43%
Shares held by subsidiaries ⁽⁶⁾	23,748,628	-	23,748,628	0.58%
Other shareholders	197,242,794	1,618,440,141	1,815,682,935	44.54%

(1) Transition Metals owns 55.03% of our Class A shares representing 22.06% of our capital stock. See “Risk Factors—Risks Relating to Our Business—Transition Metals exercises control over our affairs and policies and its interests may be different from yours.”

(2) Latin American Equity is a private pension administrator.

(3) AFP Habitat is a Peruvian private pension fund administrator.

(4) AFP Integra is a Peruvian private pension fund administrator.

(5) Shares owned by Empresa Minera Paragsha which are subject to the Equity Interests Trust Agreement, as defined in “Description of Notes—Collateral.”

(6) Shares owned by Compañía Minera Chungar.

Our Share Capital

Our shares are divided in two classes: Class A shares and Class B shares. Class A shares are entitled to vote, while Class B shares have no voting rights (except in exceptional cases) but are entitled to preferential rights in connection with dividend distributions.

Holders of Class A shares are entitled to one vote per share, with the exception of the election of the board of directors, where each holder is entitled to one vote per share per nominee. Each holder’s votes may be cast for a single nominee or distributed among the nominees at the holder’s discretion.

Holders of Class B shares have a preferential right in connection with the distribution of dividends. Accordingly, Class B holders are entitled to receive an additional 5% over the applicable dividend paid to Class A holders. In addition, Class B holders are not entitled to attend shareholders meetings or to exercise voting rights therein, except in the following cases:

- when a shareholders meeting discusses any of the following matters: (i) capital reduction, (ii) merger, spin-off, transformation, dissolution or liquidation, (iii) changes on our domicile to any country other than Peru, (iv) bylaws’ amendments related to our principal corporate purpose or the duration of our existence;

- when we fail to comply with the preferential cash dividend applicable to holders of Class B shares and only while such non-compliance continues, or when we intend to modify or exclude any right to which the Class B holders are entitled to; and
- when a suspension or exclusion of our shares from the Lima Stock Exchange occurs and is attributable to us and only while such situation continues.

In any of the foregoing cases, holders of Class B shares are entitled to attend the relevant shareholders meeting and to exercise one vote per share. In these cases, all Class B shares are counted for quorum purposes.

Shareholders' meetings consist of annual mandatory meetings or general meetings. The annual mandatory meeting has to take place within the first 90 days of each year, and has to treat the following matters: (i) approval or disapproval of the management, accounts and balance sheet of the foregoing year; (ii) decide on the allocation of profits; (iii) appoint the members of the board and determine their compensation; (iv) appoint, or delegate on the board of directors the appointment of, the external auditors; and (v) resolve on other aspects to which it is entitled to by virtue of the bylaws and/or applicable laws.

The general meetings have to treat following matters: (i) issuance of bonds or other debt instruments; (ii) amendments and interpretation of the bylaws; (iii) capital increases or reductions; (iv) transfer of all or of a substantial part of our assets; (v) merger, spin-off, transformation, reorganization, dissolution and liquidation; (vi) removal of the members of the board of directors and appointment of new members; (vii) order special investigations and audits; and (viii) cases for which the bylaws or the law provide for its intervention or the corporate interest requires. In order to adopt the agreements mentioned in (i) through (v), the required quorum and majorities are higher than those needed for the adoption of other resolutions.

Primary Shareholder

Integra Business, through Transition Metals, owns 55.03% of our Class A voting shares, which represent 22.05% of our total capital stock. Integra Business is a financial and investment firm that has invested in a diversified portfolio in Argentina and overseas. Its investments portfolio includes Education, Energy, Media and Telecommunications, Mining, Technology, Food, Beverages and Wines. In mining, its investment focus is on the exploration of lithium deposits and also uranium and copper.

RELATED PARTY TRANSACTIONS

In the ordinary course of business, we engage in a variety of transactions with subsidiaries, affiliates and related parties, including loan agreements and agreements relating to the sale of our products, sale of goods, management services, ore processing services, mineral and concentrate storage services and provision of labor.

Peruvian law sets forth certain restrictions and limitations on transactions with certain related parties. For instance, from a tax standpoint, the value of those transactions must be equal to the fair market value assessed under transfer pricing rules, i.e. the value agreed to by non-related parties under the same or similar circumstances.

Similarly, as a listed company, we are subject to Article 51(c) of the Peruvian Securities Market Law and its regulations approved by SMV Resolution N° 029-2018-SMV/01, which came into force on January 1, 2019 (the “Related Party Transactions Regulations”). According to such regulations, unless any of the exceptions included therein are applicable, companies with at least one class of securities registered in the Public Registry of the Securities Market (*Registro Público del Mercado de Valores*), such as us, are required to comply with the following rules, among others:

- The execution of agreements that involve at least 5% of the assets of a company with persons or entities related (as such term is defined in the applicable SMV regulations) to directors, managers or shareholders that own, directly or indirectly, 10% of the share capital, requires the prior authorization of the board of directors (with no participation of the director involved in the transaction, if any); and
- The execution of agreements with a party controlled (as such term is defined in the applicable SMV regulations) by a company’s controlling shareholder requires the prior authorization of the board of directors and an evaluation of the terms of the transaction by an external independent company (audit companies or other to be determined by the SMV) who must fulfill the requirements stated in the Related Party Transactions Regulations, and whose technical report must comply with the minimum content set forth therein.

Such regulations also provide that if it is not possible for a company’s board of directors to decide on the execution of the agreement, it must be approved by such company’s general shareholders’ meeting.

See Note 18 (other accounts payable) to our audited consolidated financial statements for details on our related party transactions.

Transition Metals

Transition Metals, a subsidiary of the Argentinian investment vehicle Integra Business, owns 55.03% of our Class A voting shares (which represent 22.06% of our total capital stock), granting Transition Metals control over the Company, and, as such, is a related party and has the ability to determine the outcome of substantially all matters submitted for a vote to our shareholders and thus exercised control over our business policies and affairs. On July 25, 2025, the Company executed a Senior Management Consulting and Advisory Services Agreement with Transition Metals, related to consulting and advisory services to be provided by such entity to the Company and its subsidiaries. Such agreement was made in conformity with applicable legislation and SMV rules, on substantially prevailing market terms and at an arm’s-length basis.

Glencore

Prior to the sale of our shares to Transition Metals, Glencore (through its subsidiary Glencore International and other entities of its economic group owned 55.03% of our Class A shares and 0.02% of our Class B shares, according to Glencore’s public information. At the time, Glencore then indirectly owned approximately 22.06% of our capital stock. Up to the time of the sale of its shares, Glencore was a related party and had the ability to determine the outcome of substantially all matters submitted for a vote to our shareholders and thus exercised control over our business policies and affairs. Glencore purchased our products during the years ended December 31, 2023 and December 31, 2024, through private auctions which apply tender processes and we currently have agreements for the sale of our products with two Glencore affiliates (Glencore Peru S.A.C. and Glencore Lima Trading S.A.C.). Our sales to Glencore have always been made in conformity with applicable legislation, SMV rules, on substantially prevailing market terms and on an arm’s-length basis in order to avoid favoring our previous controlling shareholder.

DESCRIPTION OF NOTES

We will issue the US\$750,000,000 8.500% Senior Secured Notes due 2032 (the “Notes”) pursuant to an indenture (the “Indenture”), to be dated as of the Issue Date, to be entered into by and among us, the Subsidiary Guarantors and The Bank of New York Mellon, as trustee (the “Trustee”). The following description is a summary of the material terms of the Notes Documents. It does not, however, purport to restate, and is qualified in its entirety by reference to, the provisions of the Indenture, the Notes, the Subsidiary Guarantees and the Collateral Documents, and, where reference is made to particular provisions of the Notes Documents, such provisions, including the definitions of certain terms, are qualified in their entirety by reference to all of the provisions of the Indenture, the Notes, the Subsidiary Guarantees and the Collateral Documents, as applicable. You should read the Notes Documents because they contain additional information and because such documents and not this description defines your rights as a Holder. Copies of the proposed forms of the Notes Documents may be requested from the Company at the address indicated under “Business” in the offering memorandum. You can find the definition of capitalized terms used in this section under “— Certain Definitions.

You can find the definition of capitalized terms used in this section of this offering memorandum under “— Certain Definitions.” In this section, when we refer to:

- the “Company,” we mean Volcan Compañía Minera S.A.A., and not its Subsidiaries; and*
- the “Notes” in this section, we mean the notes offered pursuant to this offering memorandum and, unless the context otherwise requires, any Additional Notes, as described below under “— Further Issues.”*

General

The Notes will:

- be senior obligations of the Company;
- be secured by first-priority Liens on the Collateral, which Collateral also secures the Existing 2030 Notes and shall secure any future Additional First Lien Debt on a *pari passu* basis, subject to the terms of the Collateral Documents and to any Permitted Collateral Liens or Rights over Collateral;
- be unconditionally Guaranteed by each Subsidiary Guarantor with such Subsidiary Guarantee ranking equal in right of payment with all other existing and future Senior Indebtedness of such Subsidiary Guarantor, as further described under “—Subsidiary Guarantees”;
- rank *pari passu* in right of payment with any existing and future Senior Indebtedness of the Company (including the Existing Notes and any Additional Notes);
- rank senior in right of payment to all existing and future Subordinated Indebtedness of the Company, if any;
- be effectively senior to all other existing and future Senior Indebtedness of the Company that is unsecured, or that is secured by junior Liens on the Collateral or Liens that are not on the Collateral, in each case to the extent of the value of the Collateral;
- be effectively subordinated to (i) the extent of the value of the assets securing (x) all existing and future secured Indebtedness of the Company to the extent such security interest does not also secure the Notes and (y) all existing and future secured Indebtedness of the Subsidiary Guarantors to the extent such security interest does not also secure the Subsidiary Guarantees (including the Existing 2030 Notes) and (ii) all additional existing and future Indebtedness of any Subsidiary that does not provide a Subsidiary Guarantee; and
- be subordinated to obligations of the Company or the Subsidiary Guarantors preferred by statute or by operation of law.

As of June 30, 2025, after excluding intercompany balances and intercompany guarantees, we and the Subsidiary Guarantors had US\$733.4 million of outstanding consolidated indebtedness, of which US\$630.1 million was secured indebtedness.

The Company will initially issue US\$750,000,000 aggregate principal amount of Notes, but may, subject to the limitations set forth under “—Covenants—Limitation on Incurrence of Additional Indebtedness,” issue an unlimited principal amount of securities under the Indenture.

The Notes will be issued in the form of one or more global securities (the “Global Notes”) without coupons registered in the name of a nominee of DTC, as depository. The Notes will be issued in minimum denominations of US\$2,000 and integral multiples of US\$1,000 in excess thereof. See “Book-Entry, Delivery and Form” in this offering memorandum. No service charge will be made for any registration of transfer or exchange of Notes, but the Trustee may require payment of a sum sufficient to cover any transfer tax or other similar governmental charge payable in connection therewith.

Principal, Maturity and Interest

The Notes will mature on October 28, 2032 (the “Maturity Date”), unless earlier redeemed in accordance with the terms of the Notes. See “—Optional Redemption.” [On the Maturity Date, the Company will repay 100.000% of the principal amount of the Notes.](#)

Interest on the Notes will accrue at the rate of 8.500% per year and will be payable semi-annually in arrears on April 28 and October 28 of each year, commencing on April 28, 2026. Interest on the Notes will accrue from and including the Issue Date and thereafter from the most recent date to which interest has been paid.

Payments will be made to the persons who are registered Holders at the close of business on April 26 and October 26, as the case may be, immediately preceding the applicable interest payment date (whether or not a Business Day).

Interest on the Notes will accrue from the most recent date to which interest has been paid or, if no interest has been paid, from and including the Issue Date. Interest will be computed on the basis of a 360-day year comprised of twelve 30-day months.

Initially, the Trustee will act as registrar, transfer agent and paying agent for the Notes. The Company may change the registrar, transfer agent and paying agent without notice to Holders. If a Holder of a non-Global Note in an aggregate principal amount of at least US\$1,000,000 has given wire transfer instructions to the Company and the Trustee, the Trustee, as paying agent, will remit all principal, premium, if any, and interest payments in respect of those Notes received from the Company in accordance with those instructions. All other payments on the non-Global Notes will be made at the office or agency of the paying agent in New York City unless the Company elects to make interest payments by check mailed to the registered Holders at their registered addresses. Payments on Global Notes shall be made to DTC in accordance with its applicable procedures.

Further Issues

Subject to the limitations set forth under “*Covenants—Limitation on Incurrence of Additional Indebtedness*” and “*Covenants—Limitation on Liens*,” the Company may, without your consent, issue additional Notes (“Additional Notes”) in one or more transactions, which have substantially identical terms (other than issue price, issue date and initial interest payment date) as Notes issued on the Issue Date.

Any Additional Notes will be consolidated and form a single class with the Notes issued on the Issue Date, so that, among other things, Holders of any Additional Notes will have the right to vote together with Holders of Notes issued on the Issue Date as one class. Unless such Additional Notes are fungible with the Notes for U.S. federal income tax purposes, such notes shall be issued with a separate CUSIP number.

Subsidiary Guarantees

General

Each Subsidiary Guarantor will unconditionally Guarantee the performance of all obligations of the Company under the Indenture and the Notes on a senior basis (subject to certain limitations as further described below).

The Guarantee of each Subsidiary Guarantor will be a general senior secured obligation of such Subsidiary Guarantor, will be *pari passu* in right of payment with all existing and future Indebtedness of such Subsidiary Guarantor (including the Existing Notes) that is not subordinated, will be senior in right of payment to any future Subordinated Indebtedness of such Subsidiary Guarantor, will be effectively senior to all other existing and future

Indebtedness of such Subsidiary Guarantor that is unsecured or that is secured by junior Liens, in each case to the extent of the value of the Collateral, will be effectively subordinated to all existing and future secured Indebtedness of such Subsidiary Guarantor to the extent of such security interest that does not also secure such Subsidiary Guarantee of such Subsidiary Guarantor (including the Existing Notes), and will be subordinated to obligations of each Subsidiary Guarantors preferred by statute or by operation of law.

The Subsidiary Guarantors on the Issue Date will initially be Compañía Minera Chungar S.A.C. (“Compañía Minera Chungar”), Empresa Administradora Cerro S.A.C. (“Empresa Administradora Cerro”), Empresa Minera Paragsha S.A.C. (“Empresa Minera Paragsha”), Compañía Industrial Limitada de Huacho S.A. (“Compañía Industrial Huacho”), Roquel Global S.A.C. (“Roquel Global”) and Compañía Hidroeléctrica Tingo S.A. (“Compañía Hidroeléctrica Tingo”), subject to any permitted future release, as described in “—*Release of Subsidiary Guarantees*” below. The Subsidiary Guarantors share our same business address, Av. Manuel Olguin 373, Santiago de Surco, Lima, Republic of Peru. For the six months ended June 30, 2025, the combined revenues of the Company and the Subsidiary Guarantors were US\$568.0 million, representing 100% of the Company’s consolidated revenues. As of June 30, 2025, the combined assets of the Company and the Subsidiary Guarantors were US\$1,827.5 million, representing 100% of the Company’s consolidated assets.

In the event of a bankruptcy, liquidation or reorganization of the Company’s Subsidiaries that are not the Subsidiary Guarantors, such Subsidiaries will pay the holders of their debt and their trade creditors before they will be able to distribute any of their assets to the Company. In addition, any holders of minority equity interests in Subsidiaries may receive distributions prior to or *pro rata* with the Company or the Subsidiary Guarantors depending on the terms of the equity interests in such Subsidiaries.

The Company’s Subsidiaries that are not Subsidiary Guarantors represented none of the Company’s consolidated revenues as at June 30, 2025, and none of the Company’s consolidated revenues for the six month period ended June 30, 2025.

The Indenture will require any Restricted Subsidiary that Guarantees Indebtedness of the Company or any Subsidiary Guarantor after the Issue Date to provide a Subsidiary Guarantee. Please see “—Future Subsidiary Guarantees” below.

Each Subsidiary Guarantee of a Subsidiary Guarantor will be limited to the maximum amount that would not render such Subsidiary Guarantor’s obligations subject to avoidance under applicable fraudulent conveyance provisions of applicable law or under similar laws affecting the rights of creditors generally. By virtue of this limitation, a Subsidiary Guarantor’s obligation under its Subsidiary Guarantee could be significantly less than amounts payable with respect to the Notes, or a Subsidiary Guarantor may have effectively no obligation under its Subsidiary Guarantee. See “*Risk Factors—Risks Relating to the Notes and the Guarantees—It is possible that the guarantees may not be enforceable in the event of insolvency or bankruptcy or may be limited as to enforcement.*”

We cannot assure you that this limitation will protect the Subsidiary Guarantees from fraudulent transfer challenges or, if it does, that the remaining amount due and collectible under the Subsidiary Guarantees would suffice, if necessary, to pay the Notes in full when due.

Future Subsidiary Guarantees

If, on or after the Issue Date, (i) the Company or any Restricted Subsidiary acquires or creates a Wholly-Owned Significant Subsidiary, or (ii) the Company determines in good faith (after making an assessment on June 30 and December 31 of each fiscal year) that any Non-Guarantor Restricted Subsidiary has become a Significant Subsidiary based on the most recent consolidated financial statements of the Company provided to the Trustee pursuant to “—Covenants—Reports to Holders” (or required to be provided thereunder), then that newly acquired or created Wholly-Owned Significant Subsidiary, or the Non-Guarantor Restricted Subsidiary that the Company has determined in good faith that it has become a Significant Subsidiary, as applicable, must become a Subsidiary Guarantor and execute a supplemental indenture providing for its Subsidiary Guarantee and deliver an Opinion of Counsel and Officer’s Certificate to the Trustee within thirty (30) days from such acquisition, creation or determination; provided that (x) such Significant Subsidiary’s Subsidiary Guarantee will be limited to the maximum amount that would not result in a breach or violation by such Significant Subsidiary of any provision of any agreement to which it is party existing at the time of such acquisition or creation or becoming a Significant Subsidiary, as applicable; provided, further, that such provision was not adopted in connection with, or in contemplation of, such acquisition or creation or such Non-Guarantor Restricted Subsidiary becoming a Significant Subsidiary or to avoid guaranteeing the Notes or the Indenture, and (y) such Significant Subsidiary

shall not be required to execute any such supplemental indenture if the execution or enforcement of such supplemental indenture and the resultant Subsidiary Guarantee thereunder is prohibited by, or in violation of, any applicable law to which such Significant Subsidiary is subject and the Company has delivered to the Trustee an Opinion of Counsel to that effect. Notwithstanding the foregoing, if at the time of such acquisition, creation or determination, as applicable, such Significant Subsidiary has no Indebtedness, such Significant Subsidiary shall not be required to become a Subsidiary Guarantor or provide a Subsidiary Guarantee; provided that if at any time thereafter, such Significant Subsidiary Incurs any Indebtedness, at the time of such Incurrence such Significant Subsidiary must become a Subsidiary Guarantor and execute a supplemental indenture providing for its Subsidiary Guarantee and deliver an Opinion of Counsel and Officer's Certificate to the Trustee in accordance with the preceding sentence, subject to the provisos (x) and (y) therein. In case the Company or any Restricted Subsidiary acquires or creates a Significant Subsidiary that is not Wholly-Owned by the Company and any Restricted Subsidiary as permitted by the terms of the Indenture, the Company's and/or the relevant Restricted Subsidiary's interest in such newly created or acquired Significant Subsidiary shall be included promptly in the Equity Interests Trust Agreement (as defined below), subject to the perfection terms and conditions therein, to the extent such Significant Subsidiary is subject to Peruvian law, or in case such Significant Subsidiary is not subject to Peruvian law, a first ranking security interest (subject to Permitted Collateral Liens or Rights over Collateral) shall be constituted over the Restricted Subsidiary's interests of the Significant Subsidiary under the laws of the place of its incorporation and become part of the Collateral and the Company or the relevant Restricted Subsidiary will deliver to the Trustee an Opinion of Counsel and Officer's Certificate. A Significant Subsidiary designated by the Company as an Unrestricted Subsidiary shall not be required to become a Subsidiary Guarantor. See "—Covenants—Limitation on Designation of Unrestricted Subsidiaries."

The Company will not permit any Restricted Subsidiary, directly or indirectly, to Guarantee any Indebtedness of the Company or any Subsidiary Guarantor unless such Restricted Subsidiary (a) is a Subsidiary Guarantor or (b) becomes a Subsidiary Guarantor within ten (10) days of such Guarantee and executes and delivers to the Trustee an Opinion of Counsel, an Officer's Certificate and a supplemental indenture providing for its Subsidiary Guarantee, which Subsidiary Guarantee will rank senior in right of payment to or equally in right of payment with such Subsidiary's Guarantee of such other Indebtedness.

At any time after the Issue Date, the Company may designate a Subsidiary Guarantor as a Non-Guarantor Restricted Subsidiary if (A) no Default or Event of Default has occurred and is continuing at the time of or after giving effect to such Non-Guarantor Designation; (B) the Company determines in good faith, at the time of such Non-Guarantor Designation, that such Subsidiary Guarantor is not a Significant Subsidiary based on the most recent consolidated financial statements of the Company provided to the Trustee pursuant to "—Covenants—Reports to Holders" (or required to be provided thereunder); and (C) after giving effect to such Non-Guarantor Designation, (i) the total assets of all Non-Guarantor Restricted Subsidiaries (measured on a combined basis) as of the last day of the relevant fiscal quarter is less than 15.0% of the Company's consolidated total assets, and (ii) the total Adjusted EBITDA of all Non-Guarantor Restricted Subsidiaries (measured on a combined basis) for the relevant fiscal quarter is less than 15.0% of the Company's consolidated Adjusted EBITDA, in each of (C)(i) and (C)(ii) on a pro forma basis to give effect to any acquisition or disposition of companies, divisions, lines of businesses, assets or operations by the Company and its Restricted Subsidiaries subsequent to the last day of the relevant fiscal quarter and on or prior to the date of such Non-Guarantor Designation. See "—Covenants—Limitation on Designation of Non-Guarantor Restricted Subsidiaries."

Release of Subsidiary Guarantees

The Subsidiary Guarantee of a Subsidiary Guarantor will be automatically and unconditionally released (and thereupon shall terminate and be discharged and be of no further force and effect) upon:

- a sale or other disposition of Capital Stock (including by way of consolidation or merger) of the Subsidiary Guarantor or the sale or disposition of all or substantially all the assets of the Subsidiary Guarantor (other than to the Company or a Restricted Subsidiary), in each case if such sale or disposition is otherwise permitted by the Indenture;
- in connection with the merger, transfer of all or substantially all assets or consolidation of a Subsidiary Guarantor with the Company or, in the case of any Subsidiary Guarantor, any other Subsidiary Guarantor in accordance with the Indenture;

- the designation in accordance with the Indenture of the Subsidiary Guarantor as an Unrestricted Subsidiary or the Subsidiary Guarantor otherwise ceases to be a Restricted Subsidiary in accordance with the Indenture;
- the designation in accordance with the Indenture of the Subsidiary Guarantor as a Non-Guarantor Restricted Subsidiary;
- defeasance or discharge of the Notes, as provided in “—Legal Defeasance and Covenant Defeasance” and “—Satisfaction and Discharge;”
- solely in the case of a Subsidiary Guarantee created pursuant to the second paragraph of the covenant described under “—Future Subsidiary Guarantees,” upon the release or discharge of the Guarantee that resulted in the creation of such Subsidiary Guarantee pursuant to that covenant, except a discharge or release by or as a result of payment under such Guarantee;
- solely in the case of a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) that is contributed to a Permitted Joint Venture for Fair Market Value, as permitted by the terms of the Indenture and Collateral Documents, upon the delivery to the Trustee by the Company of an Opinion of Counsel and Officer’s Certificate notifying the Trustee of such contribution, *provided* that upon the formation of any such venture entity, the Company’s or the Subsidiary Guarantors’ Equity Interests in the relevant Permitted Joint Venture are simultaneously pledged and perfected thereafter, subject to the terms herein, on a first-priority basis (subject to Permitted Collateral Liens or Rights over Collateral) or assigned in trust as Collateral under the Equity Interests Trust Agreement;
- upon the final liquidation or dissolution of such Subsidiary Guarantor; provided that no Default or Event of Default occurs as a result thereof or has occurred or is continuing; or
- payment in full of the aggregate principal amount of all Notes then outstanding and all other obligations under the Indenture and the Notes then due and owing;

provided that in the case of each of clauses (1) through (8) above, it is a condition to such release that any Guarantee by such Subsidiary Guarantor of any other Secured Obligations be released substantially concurrently with the release of such Subsidiary Guarantee.

Upon any occurrence giving rise to a release of a Subsidiary Guarantee as specified above, the Trustee, upon receipt of an Officer’s Certificate from the Company and an Opinion of Counsel each stating that all conditions precedent to such release have been satisfied, will execute any documents reasonably required by the Company in order to evidence or effect such release, discharge and termination in respect of such Subsidiary Guarantee. None of the Company, any Subsidiary Guarantor or the Trustee will be required to make a notation on the Notes to reflect any Subsidiary Guarantee or any such release, termination or discharge.

Subsidiaries

Restricted Subsidiaries

As of the Issue Date, all of the Company’s Subsidiaries will be “Restricted Subsidiaries”, except for Minera Aurífera Toruna S.A.C. (“Toruna”) and Empresa Explotadora de Vinchos Ltda. S.A.C. (“Vinchos”).

Unrestricted Subsidiaries

Under the circumstances described below under the caption “*Covenants– Limitation on Designation of Unrestricted Subsidiaries*,” the Company will be permitted to designate certain of its Subsidiaries as “Unrestricted Subsidiaries.” If so designated, the Company’s Unrestricted Subsidiaries will generally not be subject to the restrictive covenants in the Indenture.

Collateral

The Notes (and any other Secured Obligations) will be secured under and in accordance with the terms of the agreements set forth below (the “Collateral”):

- (a) a trust (*fideicomiso en administración y garantía*) created under Peruvian law by an agreement dated as of July 24, 2024, as amended by the first amendment dated as of September 10, 2024, and as to be

amended as of the Issue Date (the “New Cash Flows Trust Agreement”), among the Company, Compañía Minera Chungar, Empresa Administradora Cerro, the Existing Trusts, the Peruvian Collateral Trustee and the Peruvian Collateral Agent, over, among others, (i) 100% of the cash flows released from the Existing Trusts (after deducting reasonable and documented (x) expenses related to the Existing Trusts and (y) operating expenses of and other customary related costs incurred in the ordinary course of business by the Company, Compañía Minera Chungar and Empresa Administradora Cerro, respectively, in each case consistent with historical past practice as of the Issue Date), (ii) 100% of the credit rights and, if any, 100% of the cash flows derived from the intercompany loans between and among the Company and the Subsidiary Guarantors (unless the Company or the Subsidiary Guarantors have capitalized such intercompany loans in accordance with the terms and conditions of the New Cash Flows Trust Agreement), (iii) 100% of the insurance proceeds received from insurance policies maintained by the Company or the Subsidiary Guarantors with respect to their respective material properties and businesses against loss or damage of the kinds customarily insured against by persons engaged in the same or similar businesses and (iv) 100% of any proceeds from any expropriation event. For the avoidance of doubt, the Romina Capex Reserve Account is among the bank accounts subject to, and a security interest therein is granted under, the New Cash Flows Trust Agreement.

- (b) a trust (*fideicomiso en garantía sobre acciones*) created under Peruvian law by an agreement dated as of July 24, 2024, as amended by the first amendment dated as of September 10, 2024 and as to be amended as of the Issue Date (the “Equity Interests Trust Agreement”), among the Company, Empresa Minera Paragsha, Compañía Minera Chungar, the Peruvian Collateral Agent and the Peruvian Collateral Trustee over the following Equity Interests, whether now owned or in the future acquired: (i) 100% of the shares of Compañía Minera Chungar, (ii) 100% of the shares of Empresa Administradora Cerro, (iii) 100% of the shares of Empresa Minera Paragsha, (iv) 100% of the shares of Roquel Global, (v) 100% of the Equity Interest that the Company and/or its Subsidiaries hold in Compañía Industrial Huacho, (vi) 100% of the shares of Compañía Hidroeléctrica Tingo, (vii) 100% of the Equity Interest that the Company and/or its Subsidiaries hold in Toruna and Vinchos; (viii) all Equity Interests owned by Empresa Minera Paragsha in the Company (11.20% Class A shares and 0.50% Class B shares) and in Inversiones Portuarias Chancay S.A.A. (11.20% Class A shares and 0.50% Class B shares), (ix) upon the contribution of a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) to a Permitted Joint Venture for Fair Market Value as permitted under the Indenture and Collateral Documents, 100% of the Equity Interests in such Permitted Joint Venture, and (x) 100% of the Equity Interests held by the Company or the Subsidiary Guarantors in any Subsidiary organized in Peru newly acquired or created from time to time; *provided that* to the extent such security interest is prohibited as of the date of the Issue Date or on the date of which such security interest is to be granted, the Company and the Subsidiary Guarantors shall use commercially reasonable efforts to provide the Secured Parties with a security interest in the Company’s or the Subsidiary Guarantors’ economic percentage in such venture entity, provided further that the grant of such replacement security interest shall not be a condition to the release of such Guarantor, which could include, among other structures, the creation of an intermediate company;
- (c) a pledge without conveyance agreement (*prenda sin desplazamiento y prohibición*) under Chilean law, dated as of July 24, 2024, as amended by public deed dated September 10, 2024, entered into by way of public deed between Empresa Minera Paragsha and the Chilean Collateral Agent, granting a security interest for the benefit of the Secured Parties in 4,056,708 shares issued by Cemento Polpaico S.A. (the “Chilean Share Pledge Agreement”);
- (d) mining mortgages (*hipotecas sobre unidades de producción*) created under Peruvian law by an agreement dated as of July 24, 2024, as amended by the first amendment dated as of September 10, 2024 and as to be amended as of the Issue Date (the “Mortgages over Production Units Agreement”), over the operational and non-operational mining units known as San Cristobal - Carahuacra, Andaychagua, Ticlio; Mahr Tunel, Chungar, El Pilar, Huascaran, Vichaycocha, San Sebastian, Cerro and Oxidos (the “Mining Units”), in each case, owned by the Company and its Subsidiaries (including mining concessions, land, infrastructure and fixed assets related to selected production units of the Company or certain of the Subsidiary Guarantors, as specified therein), and excluding, for the avoidance of doubt, the mining unit of Alparmarca and the Romina Project; and

- (e) mortgages (*hipotecas sobre inmuebles*) created under Peruvian law over real property of the Company and Compañía Industrial Huacho, as follows (i) the mortgage agreement, dated as of July 24, 2024, between the Company and the Peruvian Collateral Agent over offices and parking lots owned by the Company, as amended by the first amendment dated as of September 10, 2024, and as to be amended as of the Issue Date and (ii) the mortgage agreement dated as of August 22, 2024, between Compañía Industrial Huacho and the Peruvian Collateral Agent over offices and parking lots owned by Compañía Industrial Huacho, in each case granting a Lien for the benefit of the Secured Parties over specified real property of the Company and Compañía Industrial Huacho, as amended by the first amendment dated as of September 10, 2024, and as to be amended as of the Issue Date (together, the “Mortgages over Real Property Agreements”).

The Existing Trusts established by the Company, Compañía Minera Chungar and Empresa Administradora Cerro have been amended as of July 24, 2024 and the trustees thereto have been irrevocably instructed by the parties to such Existing Trusts to transfer all such remaining amounts of the Existing Trusts to the accounts of the New Cash Flow Trust, after the deduction of operating expenses and customary related costs incurred in the ordinary course of business, consistent with historical past practice of the Company as of the Issue Date. The New Cash Flows Trust is pass-through and, therefore, the Company, Compañía Minera Chungar and Empresa Administradora Cerro are entitled to use the funds of the New Cash Flow Trust for other customary operating expenses and related costs incurred in the ordinary course of business and in the absence of an Event of Default under the Notes Documents and the Collateral Documents. Upon the occurrence and continuation of an Event of Default under the Notes Documents and the Collateral Documents, the funds in the New Cash Flows Trust will be retained in such trusts and may be applied to pay, on a *pro rata* basis, the outstanding Secured Obligations, as applicable, by the Peruvian Collateral Trustee as directed by the Applicable Collateral Agent under the Intercreditor Agreement.

The Notes Documents and the Collateral Documents will require the Company and the Subsidiary Guarantors to take such actions as are necessary or appropriate to properly grant and perfect, subject to the terms herein, the first-priority Liens (subject to Permitted Collateral Liens or Rights over Collateral) on Collateral securing the Notes Obligations and other Senior Indebtedness, subject to certain limitations set forth in the Collateral Documents and the Indenture.

Subject to the terms of the Collateral Documents, the Company, the Subsidiary Guarantors and Restricted Subsidiaries will have the right to remain in possession and retain exclusive control of the Collateral (other than any cash, securities, obligations and Cash Equivalents constituting part of the Collateral and deposited with the Applicable Collateral Agent in accordance with the provisions of the Collateral Documents and other than as set forth in the Collateral Documents), to freely operate the Collateral and to collect, invest and dispose of any income therefrom. All the above-described security interests have been created on terms and pursuant to documentation in the form of Peruvian law trust agreements and other Peruvian law security agreements (except for the Chilean Share Pledge Agreement and the Chilean Collateral Agency Agreement which is governed by Chilean law), and none of the Collateral shall be subject to any other security interests, in each case, other than the Liens securing the Notes, the Existing 2030 Notes and the Additional First Lien Debt, on a *pari passu* basis on the terms set forth herein, except for Liens encumbering the Mining Units and related property that are not material, individually, or in the aggregate, to the Company and its Subsidiaries as of the Issue Date (“Existing Liens”).

The security interests described above shall be limited by the following: (i) the Company and its Subsidiaries do not own 100% of the shares in Toruna or Compañía Industrial Huacho, and as such, the trust described in item (b) above shall comply with any applicable provisions required by law or pursuant to any shareholders agreements in existence on the Issue Date, if any, (ii) certain assets included in the mining mortgages described in item (d) above may be subject to Existing Liens, which Liens may have priority over the security interest being granted pursuant to the Notes Documents and the Collateral Documents over such mortgages, and (iii) that certain shareholders agreement with CSPCP, pursuant to which CSPCP has a right of first refusal over the land owned by Roquel Global. As of the Issue Date, all Collateral shall secure, on a *pari passu* basis, all obligations outstanding under the Notes Documents, the Existing 2030 Notes and any Additional First Lien Debt.

No appraisals of the assets underlying the Collateral have been prepared. The value of the Collateral at any time will depend on, among other things, market and other economic conditions, including the availability of suitable buyers for such Collateral, and the aggregate amount of liabilities of the Company and the Subsidiary

Guarantors. In the event of a foreclosure, liquidation, bankruptcy or similar proceeding affecting the Company or a Subsidiary Guarantor, the proceeds from any sale of the Collateral or disposition of the proceeds on deposit in the New Cash Flows Trust including the Romina Capex Reserve Account, at any given time may not be sufficient to pay the Company's obligations under the Notes and the Subsidiary Guarantors' obligations under the Guarantees in full. See *"Risk Factors—Risks Relating to the Collateral for the notes—There may not be sufficient collateral to pay all or any of the notes or it may be difficult to realize the value of the Collateral."*

Romina Capex Reserve Account

The Company created an account (the "*Romina Capex Reserve Account*") into which it has been, and shall cause to be, deposited, prior to the Romina Full Funding Date (as defined below): (i) all Net Cash Proceeds received from Non-Core Asset Sales, (ii) the aggregate amount of any prepayments received by the Company or any Subsidiary in respect of offtake agreements for the Romina Project, (iii) all proceeds from any permitted Romina Project Financing, (iv) solely to the extent that the proceeds are being used to fund the Romina Project, the proceeds of any Working Capital Financing and (v) any amounts to be applied by the Company to pay cost overruns of the Romina Project, in each case of (i) through (iv) as permitted pursuant to the terms of the Notes Documents and the Collateral Documents.

The Company shall promptly (and in any event within three (3) Business Days after any deposit to the Romina Capex Reserve Account) deliver to the Applicable Collateral Agent written notice detailing (i) the source and amount of any deposit to the Romina Capex Reserve Account and (ii) the total amount in the Romina Capex Reserve Account at the date of such notice. The Company shall promptly (and in any event within three (3) Business Days thereafter) deliver to the Applicable Collateral Agent written notice of the Romina Full Funding Date. For the avoidance of doubt, any withdrawals from the Romina Capex Reserve Account from time to time shall be counted toward the US\$125,000,000 aggregate funding amount.

All amounts withdrawn from time to time from the Romina Capex Reserve Account shall be applied solely for payment of capital expenditures relating to the expansion of the Romina Project until the date on which the Romina Project achieves commercial operation, as verified in writing with a copy delivered to the Applicable Collateral Agent by an independent expert of reputable standing (the "Romina Operational Date").

Granting and Perfection of Security Interests

On the Issue Date, The Bank of New York Mellon will be appointed as the Trustee under the Indenture and, in such capacity, as collateral agent for the benefit of the Notes under the Intercreditor Agreement (the "Notes Collateral Agent") pursuant to the Intercreditor Agreement. The Trustee and the Notes Collateral Agent will join the Intercreditor Agreement through a Joinder Agreement to be executed as of the Issue Date, through which the Trustee and the Notes Collateral Agent will become parties to and secured parties under the Intercreditor Agreement. For more details see "Intercreditor Agreement."

Upon the appointment of the Trustee and the Notes Collateral Agent as Notes Secured Parties under the Intercreditor Agreement, the Security Documents shall grant first-priority Liens on the Collateral, in each case in favor of the Notes Secured Parties, subject to (i) the Permitted Collateral Liens or Rights over Collateral, (ii) the execution of an amendment to the Chilean Collateral Agency Agreement, the Chilean Share Pledge Agreement and perfection of the shares pledge created thereunder, which perfection shall take place within 30 calendar days following the Issue Date and the registration of such amendment before the Chilean public registries and notification to the issuer of the shares and the Chilean Central Securities Depository (*Depósito Central de Valores*), and (iii) the execution of amendments to the Security Documents (other than the Chilean Share Pledge Agreement and the Chilean Collateral Agency Agreement) to become effective as of the Issue Date, as may be required in order to (a) modify certain provisions of such Security Documents to, among others, increase the Lien amount ("*monto del gravamen*") under such Security Documents so that 100% of the Obligations under the Notes Obligations are secured obligations and expressly covered under the corresponding Security Documents, and (b) reflect the amendments to the New Cash Flows Trust Agreement, the Existing Trust Agreements, the Equity Interests Trust Agreement, the Mortgages over Production Units Agreement and the Mortgages over Real Property Agreements, as may be consented to by holders of the 2030 Notes pursuant to the Tender Offer, as discussed in Tender Offer Documents.

The Company shall register any amendments to the Security Documents before the corresponding public registries within 90 calendar days following the date of effectiveness of the amendments to the Security

Documents, provided that, an additional 45 calendar day extension shall automatically be granted if the Company is using commercially reasonable best efforts to obtain the registration and observations to the registration have been issued by the relevant registrar, which observations the Company is diligently addressing.

The Company and the Subsidiary Guarantors shall (i) make all filings and take all such other similar actions required or advisable in connection with the perfection of the first-priority security interests (subject to Permitted Collateral Liens or Rights over Collateral) in the Collateral as and to the extent contemplated by the Indenture and the Collateral Documents, and (ii) take all actions necessary or advisable to maintain such first-priority security interests and to perfect such first-priority security interests (subject to Permitted Collateral Liens or Rights over Collateral) in any Collateral acquired after the Issue Date, in each case as and to the extent contemplated by the Indenture and the Collateral Documents.

Collateral Release

The Indenture and the Collateral Documents will provide that the Liens on the Collateral will automatically be released:

- (1) in whole, upon payment in full of all principal, interest, premium, if any or additional amounts, if any, on the Existing 2030 Notes; *provided* that the Issuer obtains prior to such release, a Rating Reaffirmation for the Notes with respect to the proposed release of Collateral.
- (2) with respect to any Collateral, upon the sale or other disposition (including by way of consolidation, amalgamation or merger) by the Company or any Restricted Subsidiary of the Capital Stock, if any, constituting such Collateral (other than to the Company, a Subsidiary Guarantor, or a Restricted Subsidiary) not otherwise prohibited by the Indenture, and provided that such asset sale or other disposition complied with “—Covenant – Limitation on Asset Sale”;
- (3) in whole, upon payment in full of the principal of, accrued and unpaid interest, if any, Additional Amounts, if any, and premium, if any, on, the Notes;
- (4) defeasance or discharge of the Indenture as set forth below under the caption “—Defeasance” and “—Satisfaction and Discharge”;
- (5) upon designation of such Restricted Subsidiary as an Unrestricted Subsidiary in accordance with the Indenture;
- (6) in part, as to any asset (A)(I) constituting Collateral that is sold or otherwise disposed of by the Company or any of the Subsidiary Guarantors to any Person that is not a Subsidiary Guarantor or Restricted Subsidiary in a transaction permitted by the Indenture and provided that such sale or other disposition complied with “—Covenant – Limitation on Asset Sale”, or (II) constituting Shared Collateral, in connection with the taking of an enforcement action by the Peruvian Collateral Agent or the Chilean Collateral Agent on the instructions of the Applicable Collateral Agent (as provided for in the Intercreditor Agreement) in respect of any first priority Lien obligations in accordance with the Intercreditor Agreement, (B) that is held by a Subsidiary Guarantor that ceases to be a Subsidiary Guarantor in accordance with the Indenture, or (C) that is otherwise released in accordance with, and as expressly provided for by the terms of, the Notes Documents and the Collateral Documents; provided that in the case of clause (5)(A)(II), the proceeds of such Shared Collateral shall be applied in accordance with the Intercreditor Agreement;
- (7) solely in the case of any asset constituting Collateral that is owned by a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) that is contributed into a Permitted Joint Venture for Fair Market Value, upon the delivery to the Trustee by the Company of an Opinion of Counsel and Officer’s Certificate notifying the Trustee of such contribution, *provided that* upon the formation of any such Permitted Joint Venture, the Secured Parties will receive a perfected first-priority security interest (subject to Permitted Collateral Liens or Rights over Collateral) over the Company’s or Subsidiary Guarantors’ Equity Interest in the Permitted Joint Venture; or
- (8) as described under the caption “—Modification of Notes Documents.”

Upon any occurrence giving rise to a release of any Liens on the Collateral as specified above, the Trustee, upon receipt of an Officer’s Certificate from the Company and an Opinion of Counsel each stating that

all conditions precedent to such release have been satisfied, will execute any documents reasonably required by the Company in order to evidence or effect such release, discharge and termination in respect of such Lien.

After-Acquired Property

With respect to any obsolete movable or separable assets that are replaced by similar assets, including, but not limited to, property, mining concessions, land, valuable infrastructure and fixed assets and Equity Interests, acquired after the Issue Date by the Company or Subsidiary Guarantors and subject to inclusion in the Collateral covered by the Security Documents in accordance with their terms, the Company shall, as may be required by the Indenture (i) execute and deliver to the Peruvian Collateral Agent or the Chilean Collateral Agent, as the case may be, such amendments to the relevant Security Documents or such other documents as the Peruvian Collateral Agent or Chilean Collateral Agent, as applicable, deems necessary or advisable to grant to the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, for the benefit of the Secured Parties, a security interest in such property and (ii) take all actions necessary or advisable to grant to the Peruvian Collateral Agent or the Chilean Collateral Agent, as the case may be, for the benefit of the Secured Parties, a perfected first priority security interest (subject to Permitted Collateral Liens or Rights over Collateral) in such property, including submit any filing as may be required by the relevant Security Documents or by law or as may be requested by the relevant Collateral Agent; provided that, the registration and perfection of such new Collateral, shall occur within 90 calendar days after the date of effectiveness of the relevant Security Document; provided further that a 45 calendar days extension shall be granted to the Company if observations to the registration have been issued by the relevant registrar and the Company is diligently addressing such observations, and as thereafter may be extended by the Secured Parties, upon written notice to the Company.

Intercreditor Agreement

On the Issue Date, the Trustee and the Notes Collateral Agent (A) will become parties to the Intercreditor Agreement through a Joinder Agreement to be entered into among (i) the Company, (ii) the Subsidiary Guarantors, (iii) the Trustee and (iv) the Notes Collateral Agent, and (B) shall become Secured Parties under such agreement, and the Obligations under the Notes Documents and the Indenture shall be secured by the Collateral. Each Holder, by its acceptance of a Note, shall be deemed to have acknowledged and agreed that, at any time prior to the release of Collateral as described in clause (1) of “—Collateral Release”, to the extent there is a conflict between the terms of the Indenture and the terms of the Intercreditor Agreement, the terms of the Intercreditor Agreement shall prevail.

The Intercreditor Agreement provides that any Additional First Lien Debt may be secured by the Collateral and may be guaranteed by the Company and Subsidiary Guarantors on a senior basis, in each case, under and pursuant to the Additional First Lien Documents, if and subject to the condition that the Authorized Representative of any such Additional First Lien Debt (each, an “Additional First Lien Debt Representative”), and the collateral agent, collateral trustee or similar representative for the holders of such Additional First Lien Debt (each, an “Additional First Lien Debt Collateral Agent” and, together with the Additional First Lien Debt Representative, the “Additional First Lien Debt Parties”), in each case, acting on behalf of the holders of such Additional First Lien Debt, subject to the terms therein, becomes a party to the Intercreditor Agreement through a Joinder Agreement. As needed to permit the incurrence of any Additional Debt Facilities under the Intercreditor Agreement to the extent permitted under the First Lien Debt Documents, the Indenture and any other Additional First Lien Document, the Trustee and the Notes Collateral Agent will be authorized under the Indenture to amend the Intercreditor Agreement to include Additional Debt Facilities to the list of Additional First Lien Debt which may be secured by the Collateral and may be guaranteed by the Company and Subsidiary Guarantors on a senior basis and be subject to the terms of the Intercreditor Agreement.

The Intercreditor Agreement contains provisions customary for *pari passu* intercreditor agreements. The right to receive payment from the Collateral, including the proceeds of any enforcement of any Collateral, shall be *pari passu* with one another among the Secured Obligations, notwithstanding the time, order or method of creation or perfection of any Liens securing any Secured Obligations, prior to the discharge of such Secured Obligations except that holders of each Series of Secured Obligations bear the risk of impairment of such Series.

The Intercreditor Agreement may not be amended without the written consent of each Collateral Agent, each other Authorized Representative party thereto and the Company (to the extent the rights of the Company or

Subsidiary Guarantors are directly and adversely affected); *provided* that (i) additional First Lien Debt Representatives may become party to the Intercreditor Agreement in accordance with the provisions thereof related to additional Secured Obligations without consent of any other Secured Party, upon the execution and delivery of a Joinder Agreement, and (ii) the Collateral Agents may, at the expense of the Company and the Subsidiary Guarantors, effect amendments and modifications to the Intercreditor Agreement to the extent necessary to reflect any incurrence of any Additional First Lien Debt in compliance with the First Lien Debt Documents, the Indenture and any other Additional First Lien Document.

Administration and Enforcement of the Collateral

If an Event of Default has occurred and is continuing, and (i) the Applicable Collateral Agent or any Secured Party is taking action to enforce rights or remedies in respect of any Shared Collateral (including through the Peruvian Collateral Agent or the Chilean Collateral Agent), or (ii) any distribution is made in respect of any Shared Collateral in any Insolvency or Liquidation Proceeding of the Company or any Subsidiary Guarantors (including any adequate protection payments), or (iii) any Secured Party receives any payment pursuant to any other intercreditor agreement (if any) (other than the Intercreditor Agreement) or otherwise with respect to any Shared Collateral, then the proceeds of any sale, collection or other liquidation of any such Shared Collateral received by any Secured Party on account of such enforcement rights or remedies (all such payments, distributions, proceeds of any sale, collection or other liquidation of any Shared Collateral and all proceeds or payments of any such distribution being collectively referred to as “Proceeds”) shall be applied (i) FIRST, to the payment in full in cash of all amounts related to costs deriving from the foreclosure of the Collateral, taxes and expenses related to the Collateral (including administration thereof), trustee fees, and all amounts (including without limitation, fees, claims, indemnities, and fees and expenses of their respective legal counsel) owing to each Authorized Representative, each Collateral Agent (in its capacity as such), the Peruvian Collateral Agent and the Chilean Collateral Agent on a ratable basis pursuant to the terms of the applicable Secured Obligations, (ii) SECOND, subject to impairments, to the payment in cash in full of the outstanding Secured Obligations of each Series secured by a valid and perfected lien on such Shared Collateral on a ratable basis, with such proceeds from Shared Collateral to be applied to the Secured Obligations of a given Series in accordance with the terms of the applicable Secured Obligations; *provided that* following the commencement of any Insolvency or Liquidation Proceeding with respect to the Company or any Subsidiary Guarantor, solely as among the Secured Parties, in the event the value of the Shared Collateral, which is part of such Insolvency or Liquidation Proceeding, is not sufficient for the entire amount of Post-Petition Interest on the Secured Obligations secured by the Shared Collateral to be allowed under Section 506(a) and (b) of the Bankruptcy Code or any other applicable provision of the Bankruptcy Code or other Bankruptcy Law in such Insolvency or Liquidation Proceeding, the amount of Secured Obligations of each Series of Secured Obligations shall include only the maximum amount of Post-Petition Interest on the Secured Obligations allowable under Section 506(a) and (b) of the Bankruptcy Code or any other applicable provision of the Bankruptcy Code or other Bankruptcy Law in such Insolvency or Liquidation Proceeding; and (iii) THIRD, after payment in full in cash of all Secured Obligations, to the Company and the Subsidiary Guarantors or their successors or assigns, as their interests may appear, or to whosoever may be lawfully entitled to receive the same, or as a court of competent jurisdiction may direct. If any Secured Party shall receive any payment or other recovery in excess of its portion of payments on account of the Secured Obligations to which it is then entitled in accordance with the Intercreditor Agreement, such Secured Party shall hold such payment or recovery in trust for the benefit of all Secured Parties for distribution in accordance with the Intercreditor Agreement. Notwithstanding the foregoing, with respect to any Shared Collateral upon which a third party (other than a Secured Party) has a lien or security interest that is junior in priority to the security interest of any Series of Secured Obligations but senior (as determined by a court of competent jurisdiction in a final and non-appealable judgment) to the security interest of any other Series of Secured Obligations (such third party, an “Intervening Creditor”), the value of any Shared Collateral or Proceeds which are allocated to such Intervening Creditor shall be deducted on a ratable basis solely from the Shared Collateral or Proceeds to be distributed in respect of the Series of Secured Obligations with respect to which such impairment exists.

With respect to any Shared Collateral at any time, (i) the Applicable Collateral Agent shall act only on the instructions of the Applicable Authorized Representative, (ii) the Applicable Collateral Agent shall not follow any instructions with respect to such Shared Collateral (including with respect to any intercreditor agreement with respect to any Shared Collateral) from any Non-Controlling Authorized Representative (or any other Secured Party other than the Applicable Authorized Representative) and (iii) no Non-Controlling Authorized Representative or other Secured Party (other than the Applicable Authorized Representative) shall, or shall instruct the Applicable Collateral Agent to, cause to commence any judicial or non-judicial foreclosure proceedings with respect to, seek to

have a trustee, receiver, liquidator or similar official appointed for or over, attempt any action to take possession of, exercise any right, remedy or power with respect to, or otherwise take any action to enforce its security interest in or realize upon, or take any other action available to it in respect of, any Shared Collateral (including with respect to any intercreditor agreement with respect to any Shared Collateral), whether under any Collateral Documents, applicable law or otherwise, it being agreed that only the Applicable Collateral Agent, acting on the instructions of the Applicable Authorized Representative and in accordance with the Intercreditor Agreement and any Collateral Documents, shall be entitled to take any such actions or exercise any such remedies with respect to Shared Collateral (including by instructing the Peruvian Collateral Agent or the Chilean Collateral Agent to act).

Notwithstanding the equal priority of the Liens on the Shared Collateral securing each Series of Secured Obligations with respect to the Shared Collateral, the Applicable Collateral Agent (in the case of the Additional First Lien Collateral Agent, acting on the instructions of the Applicable Authorized Representative) may deal with the Shared Collateral as if such Applicable Collateral Agent had a senior Lien on such Collateral. No Non-Controlling Authorized Representative or Non-Controlling Secured Party will contest, protest or object to any foreclosure proceeding or action brought by the Applicable Collateral Agent, the Applicable Authorized Representative or the Controlling Secured Party or any other exercise by the Applicable Collateral Agent, the Applicable Authorized Representative or the Controlling Secured Party of any rights and remedies relating to the Shared Collateral, or to cause the Applicable Collateral Agent to do so. The foregoing shall not be construed to limit the rights and priorities of any Secured Party, the Applicable Collateral Agent or any Authorized Representative with respect to any Collateral not constituting Shared Collateral. The Applicable Collateral Agent shall agree that, prior to taking any enforcement action, or any action to commence or petition for any Insolvency or Liquidation Proceeding, the Applicable Collateral Agent shall use commercially reasonable efforts to provide the Non-Controlling Authorized Representative prior written notice thereof; provided that the failure of the Applicable Collateral Agent to provide such notice shall not constitute a breach of the Intercreditor Agreement by the Applicable Collateral Agent.

Any Secured Party joining the Intercreditor Agreement (including the Notes Secured Parties) shall have, and by accepting a Note, each Holder will be deemed to have:

- (1) irrevocably appointed the Applicable Authorized Representative and the Applicable Collateral Agent to act as its agents under the Security Documents, as applicable, and any other relevant document;
- (2) irrevocably authorized the Applicable Authorized Representative and the Applicable Collateral Agent to perform the duties and exercise the rights, powers and discretions that are specifically given to them under the Collateral Documents, together with any other incidental rights, powers and discretions and to execute each document expressed to be executed by the Applicable Authorized Representative or the Applicable Collateral Agent on its behalf;
- (3) irrevocably appointed, for the benefit of their respective Secured Parties, the Peruvian Collateral Agent as collateral agent under their respective Collateral Documents; and
- (4) irrevocably authorizes and instructs the Chilean Collateral Agent, to execute and deliver the Chilean Collateral Agency Agreement, and to appoint itself as Chilean Collateral Agent, with authority to self-contract, in accordance with article 18 of Law No. 20,190 of the Republic of Chile, with broad authorities to represent the Secured Parties in the granting, amendment and release of any Security Documents, being entitled to negotiate all provisions thereunder, being of the essence, nature or merely incidental thereto; *provided* that the Chilean Collateral Agent so appointed is hereby authorized to sign one or more public instruments in Chile on behalf of the Secured Parties under the Intercreditor Agreement and the other relevant documents to which the security agent is a party (including, without limitation, the Security Documents).

Certain Bankruptcy and Insolvency Limitations

The Intercreditor Agreement shall continue in full force and effect notwithstanding the commencement and continuance of any Insolvency or Liquidation Proceeding, subject to the limitations of the applicable Bankruptcy Laws. The relative rights as to the Shared Collateral and proceeds thereof shall continue after the commencement of any Insolvency or Liquidation Proceeding on the same basis as prior to the date of the petition therefor.

In any Insolvency or Liquidation Proceeding, (i) any Authorized Representative or any other First Lien Secured Party may file a proof of claim or statement of interest with respect to the Secured Obligations owed to

such Secured Parties; (ii) any Authorized Representative or any other Secured Party may take any action to preserve or protect (but not enforce) the validity, perfection, priority and enforceability of the Liens granted in favor of such Secured Parties, provided that no such action is, or could reasonably be expected to be, (A) adverse to the Liens granted in favor of the Controlling Secured Parties or the rights of the Applicable Collateral Agent or any other Controlling Secured Parties to exercise remedies in respect thereof or (B) otherwise inconsistent with the terms of the Intercreditor Agreement; (iii) any Authorized Representative or any other Secured Party may file any responsive or defensive pleadings in opposition to any motion, claim, adversary proceeding or other pleading made by any Person objecting to or otherwise seeking the disallowance of the claims or Liens of such Secured Party, including any claims secured by the Shared Collateral, in each case, to the extent not inconsistent with the terms of the Intercreditor Agreement; (iv) any Additional First Lien Debt Representative may exercise such rights and remedies with respect to bankruptcy or insolvency as provided for under the Intercreditor Agreement; (v) any Additional First Lien Debt Representative may exercise its rights and remedies as an unsecured creditor against the Company or the Subsidiary Guarantors in accordance with the terms of the applicable Collateral Documents to the extent not inconsistent with the Intercreditor Agreement; (vi) any Additional First Lien Debt Representative may vote on any plan of reorganization, plan of liquidation, agreement for composition, or other type of plan of arrangement or restructuring proposed in or in connection with any Insolvency or Liquidation Proceeding to the extent not inconsistent with the Intercreditor Agreement; (vii) any Additional First Lien Debt Representative may accelerate the Additional First Lien Debt in accordance with the terms of the applicable Secured Obligations and/or (viii) any Additional First Lien Debt Representative may enforce the terms of subordination agreements or other intercreditor agreements with third-parties, in each case, to the extent such enforcement is not inconsistent with the Intercreditor Agreement.

If the Company or any other Subsidiary Guarantor shall become subject to a case (a “Bankruptcy Case”) under the Bankruptcy Code or, if applicable, other Bankruptcy Law and shall, as debtor(s)-in-possession, move for approval of financing (“DIP Financing”) to be provided by one or more lenders (the “DIP Lenders”) under Section 364 of the Bankruptcy Code or any equivalent provision of any other Bankruptcy Law or the use of cash collateral under Section 363 of the Bankruptcy Code or any equivalent provision of any other Bankruptcy Law, and in any case subject to the limitations set forth under Peruvian law in the event of liquidation, each Secured Party (other than any Controlling Secured Party or Authorized Representative of any Controlling Secured Party) agrees that it will not raise, join or support any objection to any such financing or to the Liens on the Shared Collateral securing the same (“DIP Financing Liens”) or to any use of cash collateral that constitutes Shared Collateral, unless an Authorized Representative of any Controlling Secured Party shall then oppose or object (or join in any objection) to such DIP Financing or such DIP Financing Liens or use of cash collateral (and (i) to the extent that such DIP Financing Liens are senior to the Liens on any such Shared Collateral for the benefit of the Controlling Secured Parties, each Non- Controlling Secured Party will subordinate its Liens with respect to such Shared Collateral on the same terms as the Liens of the Controlling Secured Parties (other than any Liens of any Secured Parties constituting DIP Financing Liens) are subordinated thereto, and (ii) to the extent that such DIP Financing Liens rank *pari passu* with the Liens on any such Shared Collateral granted to secure the Secured Obligations of the Controlling Secured Parties, each Non-Controlling Secured Party will confirm the priorities with respect to such Shared Collateral as set forth herein), in each case so long as (A) the Secured Parties of each Series retain the benefit of their Liens on all such Shared Collateral pledged to the DIP Lenders, including proceeds thereof arising after the commencement of such proceeding, with the same priority *vis-à-vis* all the other Secured Parties (other than any Liens of the Secured Parties constituting DIP Financing Liens) as existed prior to the commencement of the Bankruptcy Case, (B) the Secured Parties of each Series are granted Liens on any additional or replacement collateral pledged to any Secured Parties as adequate protection or otherwise in connection with such DIP Financing or use of cash collateral, with the same priority *vis-à-vis* the Secured Parties (other than any Liens of the Secured Parties constituting DIP Financing Liens) as set forth in the Intercreditor Agreement, (C) if any amount of such DIP Financing and/or cash collateral is applied to repay or exchange any of the Secured Obligations (including pursuant to a “roll up”), such amount is applied pursuant to Intercreditor Agreement, and (D) if any Secured Parties are granted adequate protection with respect to the Secured Obligations, including in the form of periodic payments, in connection with such DIP Financing and/or use of cash collateral, the proceeds of such adequate protection are applied pursuant to the Intercreditor Agreement; provided that the Secured Parties of each Series shall have a right to object to the grant of a Lien to secure the DIP Financing over any Collateral subject to Liens in favor of the Secured Parties of such Series or their Authorized Representative that shall not constitute Shared Collateral; and provided, further, that the Secured Parties receiving adequate protection with respect to the Secured Obligations shall not object to any other Secured Party receiving adequate protection with respect to the

Secured Obligations comparable to any adequate protection granted to such Secured Parties in connection with a DIP Financing and/or use of cash collateral.

Each Authorized Representative, on behalf of itself and the applicable Secured Parties, agrees that, and the Notes Secured Parties shall agree, under the Intercreditor Agreement, not to oppose any sale or disposition of any Shared Collateral of the Company or any Subsidiary Guarantor that is supported by the Controlling Secured Parties or the Applicable Authorized Representative (at the direction of the Controlling Secured Parties), in an Insolvency or Liquidation Proceeding or otherwise; provided that any proceeds of any Shared Collateral realized therefrom shall be applied pursuant to the Intercreditor Agreement.

The rights of the parties under the Collateral Documents and the rights of the Collateral Agents, as beneficiary of the New Cash Flows Trust Agreement, the Equity Interests Trust Agreement, the Existing Trust Agreements, the Chilean Share Pledge Agreement, the Chilean Collateral Agency Agreement, the Mortgages over Production Units Agreements and the Mortgages over Real Property Agreements are governed by the laws of Peru or Chile, as applicable. The laws relating to trusts, mortgages and to the creation and perfection of security interests in Peru and Chile may differ from other jurisdictions and may be subject to restrictions and limitations. These restrictions and limitations may have the effect of preventing, limiting and/or delaying the enforcement of rights under such Security Documents, and may materially impair the claims of investors in the Notes and/or investors' access to the Collateral. Any such delay in having an enforceable claim could also diminish the value of a Holder's interest in such Collateral due, among other things, to the existence of other potential creditors and claimants. See *"Risk Factors—Risks Relating to the Collateral for the notes— In the event of our bankruptcy, the ability of the holders of the notes to realize upon the Collateral will be subject to certain bankruptcy law and other limitations."*

It is impossible to predict how long payments under the Notes could be delayed following commencement of a bankruptcy case or in case general attachments by third parties over the Company's assets are in place, and whether or when the Collateral Agents would be able to receive, collect and/or exercise remedies with respect to cash flows that are not deposited directly by clients in the accounts of the Existing Trusts and the New Cash Flows Trust, but transferred by the Company to such accounts upon collection as set forth in the relevant agreements governing the applicable trusts. See *"Risk Factors—Risks Relating to the Collateral for the notes— In the event of our bankruptcy, the ability of the holders of the notes to realize upon the Collateral will be subject to certain bankruptcy law and other limitations."*

Once the commencement of an insolvency procedure of a Peruvian company, such as the Company and the Subsidiary Guarantors, is made public, two main consequences are immediately triggered (a) the automatic stay of enforcement of all of the debtor's obligations (whether monetary or non-monetary); and (b) the protection of the debtor's estate (assets) by means of the suspension of all judicial or extra-judicial collection and foreclosure proceedings filed by any creditor and, in general, the suspension of all acts intended to create or enforce any lien, security or mortgage against the property of the debtor, except those that have been transferred to a trust (like the Equity Interests Trust Agreement, the Existing Trusts and the New Cash Flows Trust). The automatic stay will prevent the Peruvian Collateral Agent from pursuing enforcement of the mortgages created under the Mortgages over Production Units Agreement and the Mortgages over Real Property Agreements. The automatic stay of enforcement of all of the debtor's obligations does not prevent creditors from enforcing their rights against third parties which have granted corporate or asset-based guarantees, who will assume the contractual position of the original debtor. Moreover, under the Peruvian Bankruptcy Law, once the debtor files for insolvency, or is given notice of an involuntary filing, all actions taken by management during the previous year (clawback period) and from that date on and until the date the creditors ratify or replace management (avoidance period) may be under specific judicial scrutiny. The clawback period covers all actions or transactions taken by management during the previous year, whether for consideration or not, that have a negative effect on the net worth of the company and are not in the ordinary course of business (all requirements must be met). The avoidance period covers actions or transactions specifically detailed under the Peruvian Bankruptcy Law.

The Peruvian Bankruptcy Law does not recognize nor regulate group insolvency. It regulates the insolvency proceedings on a company-by-company basis and does not include any regulation relating to proceedings covering more than one legal entity or entitling creditors of insolvent companies or the companies themselves to include other entities of the same corporate group in the same insolvency proceeding. Consequently, the insolvency proceeding cannot be used to liquidate or reorganize a corporate group on a combined basis. There are no special proceedings or impediments or protections applicable to foreign creditors.

Also, in Peru foreign creditors are entitled to the same rights and benefits as Peruvian creditors in connection with an insolvency proceeding. Finally, in the event of an insolvency proceeding, if a debtor is domiciled in Peru it will be subject to the exclusive jurisdiction of Instituto Nacional de Defensa de la Competencia y de la Protección de la Propiedad Intelectual – INDECOPI.

Amendment of Collateral Documents

The Company, the Subsidiary Guarantors, the Trustee and the Notes Collateral Agent will not be permitted to amend, modify or supplement, the Collateral Documents in any way, except as permitted under the Indenture and the Collateral Documents and otherwise in accordance with “—Modification of Notes Documents”, provided that any amendment or modification to a Collateral Document that affects only one Series of Senior Indebtedness may be effected as permitted by the documents governing such Series of Senior Indebtedness.

No Impairment of Security Interests

Except as otherwise permitted under the Notes Documents and the Collateral Documents, neither the Company nor any of the Subsidiary Guarantors will be permitted to take any action, or knowingly omit to take any action, which action or omission would have the result of materially impairing the security interest with respect to the Collateral for the benefit of the Secured Parties.

Acceptance by Holders

By its acceptance of the Notes, each Holder will be deemed to have consented to the terms of the Collateral Documents and the Intercreditor Agreement and to have authorized and directed the Trustee and the Notes Collateral Agent, as applicable, to execute, deliver and perform each of the Collateral Documents, to which it is a party, binding the Holders to the terms thereof.

Additional Amounts

All payments in respect of the Notes will be made free and clear of and without any deduction or withholding for or on account of any present or future taxes, duties, levies, imposts, assessments or other government charges and any interest, penalties or other liabilities with respect thereto (“Taxes”), unless the withholding or deduction of such Taxes is required by law or the official interpretation thereof, or by the administration thereof. If we are required by any law of Peru or any jurisdiction where the Company or any Subsidiary Guarantor is incorporated or resident for tax purposes or from or through which any payment in respect of the Notes is made by the paying agent or the Company, or any political subdivision thereof (a “Relevant Jurisdiction”) or any taxing authority of a Relevant Jurisdiction, to withhold or deduct any Taxes from or in respect of any sum payable under the Notes, we shall (i) pay such additional amounts (“Additional Amounts”) as may be necessary in order that the net amounts receivable by Holders of any Notes after such withholding or deduction shall equal the respective amounts which would have been receivable by such Holder in the absence of such withholding or deduction, (ii) make such withholding or deduction, and (iii) pay the full amount withheld or deducted to the relevant tax or other authority in accordance with applicable law, except that no such Additional Amounts will be payable in respect of:

- any present or future Taxes that would not have been imposed but for any present or former connection between the Holder or beneficial owner of a Note (or a fiduciary, settlor, beneficiary, member or shareholder of the Holder or beneficial owner of a Note) and the Relevant Jurisdiction (other than the mere receipt of a payment, the ownership or holding of a Note, or enforcing rights thereunder);
- any estate, inheritance, capital gains, excise, personal property tax, sales, transfer, gift or similar tax, assessment or other governmental charge imposed with respect to the Notes;
- any Taxes that would not have been imposed but for the failure of the Holder or any other Person to comply with any certification, identification, information, documentation or other reporting requirement concerning the nationality, residence, identity or connection with the Relevant Jurisdiction, for tax purposes, of the Holder or any beneficial owner of the Note if compliance is required by law, regulation or by an applicable income tax treaty to which the Relevant Jurisdiction is a party, as a precondition to exemption from, or reduction in the rate of the Tax, and we have given the Holder at least thirty (30) days’ notice, in writing, that the Holder will be required to provide such certification, identification, information or documentation; provided that such certification,

identification, information, documentation or other reporting requirement is not materially more onerous than the provision of forms required by the United States under analogous circumstances;

- any Tax payable otherwise than by deduction or withholding from payments on or in respect of the Notes;
- any present or future Taxes with respect to a Note presented for payment, where presentation is required, more than thirty (30) days after (i) the date on which the payment became due and payable or (ii) the date on which payment thereof is duly provided for and notice is provided to Holders, whichever occurs later, except to the extent that the Holder of such Note would have been entitled to such Additional Amounts on presenting such Note for payment on the last day of such 30-day period;
- any payment on the Note to a Holder that is a fiduciary, a partnership, a limited liability company or a person other than the sole beneficial owner of any such payment, to the extent that a beneficiary or settlor with respect to such fiduciary, a member of such a partnership, an interest holder in such a limited liability company or the beneficial owner of the payment would not have been entitled to the Additional Amounts had the beneficiary, settlor, member or beneficial owner been the Holder of the Note;
- any taxes required to be deducted or withheld pursuant to Section 1471(b) of the U.S. Internal Revenue Code of 1986, as amended (the “Code”), or otherwise imposed pursuant to Sections 1471 through 1474 of the Code, any regulations or agreements thereunder, official interpretations thereof or any law implementing an intergovernmental approach thereto (“FATCA”); or
- in the case of any combination of the items listed above.

Upon request, the Company will provide the Trustee with documentation reasonably satisfactory to the Trustee evidencing the payment of Taxes in respect of which we have paid any Additional Amount within thirty (30) days of payment to the relevant taxing authority. We will make copies of such documentation available to the Holders or the relevant paying agent upon request.

The Company will pay promptly when due any present or future stamp, court or documentary taxes or any excise or property taxes, charges or similar levies that arise in any jurisdiction from the execution, delivery or registration of each Note or any other document or instrument referred to in the Indenture or such Note, excluding any such taxes, charges or similar levies imposed by any jurisdiction that is not a Relevant Jurisdiction except those resulting from, or required to be paid in connection with, the enforcement of such Note or any other such document or instrument after the occurrence and during the continuance of any Event of Default with respect to the Note in default.

The Company intends to withhold Peruvian taxes from interest payments on the Notes at a rate of 4.99% and to pay Additional Amounts, subject to the conditions above, with respect thereto for so long as the Notes are held through DTC or its nominee. See “Taxation—Peruvian Taxation.”

Any reference in this offering memorandum, the Indenture or the Notes to principal, premium, interest or any other amount payable in respect of the Notes by us will be deemed also to refer to any Additional Amount that may be payable with respect to that amount under the obligations referred to in this section.

In the event of any merger or other transaction described and permitted under “— Certain Covenants — Limitation on Merger, Consolidation and Sale of Assets,” then all references to Peru, Peruvian law or regulations, and Peruvian taxing authorities under this section and under “— Optional Redemption — Optional Redemption upon Tax Event” shall be deemed to also include the relevant Qualified Merger Jurisdiction, the law or regulations of the relevant Qualified Merger Jurisdiction, and any taxing authority of the relevant Qualified Merger Jurisdiction, respectively.

Optional Redemption

Optional Redemption with a Make-Whole Premium

At any time and from time to time prior to October 28, 2028 (the “First Call Date”), the Company will have the right, at its option, to redeem the Notes, in whole or in part, at a redemption price per Note (expressed as a percentage of principal amount and rounded to three decimal places) equal to the greater of:

- (1) (a) the sum of the present values of the remaining scheduled payments of principal and interest thereon discounted to the redemption date (assuming the notes matured on the First Call Date) on a semi-annual basis (assuming a 360-day year consisting of twelve 30-day months) at the Treasury Rate *plus* 50 basis points less (b) interest accrued to the date of redemption, and

- (2) 100% of the principal amount of the Notes to be redeemed,

plus, in either case, accrued and unpaid interest thereon to, but excluding, the redemption date, and Additional Amounts, if any.

“*Treasury Rate*” shall mean, with respect to any redemption date, the yield determined by the Company in accordance with the following two paragraphs.

The Treasury Rate shall be determined by the Company after 4:15 p.m., New York City time (or after such time as yields on U.S. government securities are posted daily by the Board of Governors of the Federal Reserve System), on the third business day preceding the applicable redemption date based upon the yield or yields for the most recent day that appear after such time on such day in the most recent statistical release published by the Board of Governors of the Federal Reserve System designated as “Selected Interest Rates (Daily) — H.15” (or any successor designation or publication) (“H.15”) under the caption

“U.S. government securities–Treasury constant maturities–Nominal” (or any successor caption or heading) (“H.15 TCM”). In determining the Treasury Rate, the Company shall select, as applicable: (1) the yield for the Treasury constant maturity on H.15 exactly equal to the period from the applicable redemption date to the First Call Date (the “Remaining Life”); or (2) if there is no such Treasury constant maturity on H.15 exactly equal to the Remaining Life, the two yields – one yield corresponding to the Treasury constant maturity on H.15 immediately shorter than and one yield corresponding to the Treasury constant maturity on H.15 immediately longer than the Remaining Life – and shall interpolate to the First Call Date on a straight-line basis (using the actual number of days) using such yields and rounding the result to three decimal places; or (3) if there is no such Treasury constant maturity on H.15 shorter than or longer than the Remaining Life, the yield for the single Treasury constant maturity on H.15 closest to the Remaining Life. For purposes of this paragraph, the applicable Treasury constant maturity or maturities on H.15 shall be deemed to have a maturity date equal to the relevant number of months or years, as applicable, of such Treasury constant maturity from the applicable redemption date.

If on the third business day preceding the applicable redemption date H.15 TCM is no longer published, the Company shall calculate the Treasury Rate based on the rate per annum equal to the semi-annual equivalent yield to maturity at 11:00 a.m., New York City time, on the second business day preceding such redemption date of the United States Treasury security maturing on, or with a maturity that is closest to, the First Call Date, as applicable. If there is no United States Treasury security maturing on the First Call Date but there are two or more United States Treasury securities with a maturity date equally distant from the First Call Date, one with a maturity date preceding the First Call Date and one with a maturity date following the First Call Date, the Company shall select the United States Treasury security with a maturity date preceding the First Call Date. If there are two or more United States Treasury securities maturing on the First Call Date or two or more United States Treasury securities meeting the criteria of the preceding sentence, the Company shall select from among these two or more United States Treasury securities the United States Treasury security that is trading closest to par based upon the average of the bid and asked prices for such United States Treasury securities at 11:00 a.m., New York City time. In determining the Treasury Rate in accordance with the terms of this paragraph, the semiannual yield to maturity of the applicable United States Treasury security shall be based upon the average of the bid and asked prices (expressed as a percentage of principal amount) at 11:00 a.m., New York City time, of such United States Treasury security, and rounded to three decimal places.

The Trustee shall not have any responsibility to calculate or determine a redemption price, nor shall it be liable to the Company, the Guarantors, the holders or any party for, any calculation hereto.

Optional Redemption Without a Make-Whole Premium

At any time and from time to time on or after the First Call Date, the Company may, at its option, redeem the Notes, in whole or in part, at the redemption prices, expressed as percentages of principal amount, set forth below, plus accrued and unpaid interest thereon, if any, to the applicable redemption date, if redeemed during the 12-month period beginning on October 28 of the years indicated below.

Year	Percentage
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2028	104.250%
2029	102.125%
2030 and thereafter	100.000%

Optional Redemption with Proceeds of Equity Offerings

At any time prior to October 28, 2028, the Company may, at its option, on one or more occasions, redeem up to 35% of the aggregate principal amount of Notes at a redemption price of 108.500% of the principal amount thereof, plus accrued and unpaid interest to the redemption date, with the net cash proceeds of one or more Equity Offerings; provided that:

- (1) Notes in an aggregate principal amount equal to at least 65% of the aggregate principal amount of Notes issued on the first Issue Date remain outstanding immediately after the occurrence of such redemption; and
- (2) the redemption must occur within ninety (90) days of the date of the closing of such Equity Offering.

Optional Redemption Upon Tax Event

If the Company determines that, as a result of any amendment to, expiration of, or change in, the laws (or any rules or regulations thereunder) of a Relevant Jurisdiction, any taxing authority thereof or therein affecting taxation, or any amendment to or change in an official interpretation or application of such laws, rules or regulations, which amendment to, expiration of, or change of such laws, rules or regulations becomes effective or, in the case of a change in official interpretation or application, is announced on or after the date of this offering memorandum (or on or after the date a Relevant Jurisdiction becomes a Relevant Jurisdiction, if later), we (or a Subsidiary Guarantor) would be obligated to pay any Additional Amounts in excess of those attributable to a withholding tax rate of 4.99% with respect to the Notes (see “—Additional Amounts” and “Taxation—Peruvian Taxation”); provided, that the Company, in its business judgment, determines that such obligation cannot be avoided by the Company taking reasonable measures available to it, then, at its option, all, but not less than all, of the Notes may be redeemed at any time at a redemption price equal to 100% of the outstanding principal amount, plus any accrued and unpaid interest to the redemption date due thereon up to but excluding the date of redemption; provided that (1) no notice of redemption for tax reasons may be given earlier than sixty (60) days prior to the earliest date on which the Company (or a Subsidiary Guarantor) would be obligated to pay these Additional Amounts if a payment on the Notes were then due, and (2) at the time such notice of redemption is given such obligation to pay such Additional Amounts remains in effect.

Prior to the giving of any notice of redemption pursuant to this provision, the Company will deliver to the Trustee:

- an Officer’s Certificate stating that we are entitled to effect the redemption and setting forth a statement of facts showing that the conditions precedent to the Company’s right to redeem have occurred (including that we cannot avoid the obligation to pay such Additional Amounts by taking reasonable measures available); and
- an Opinion of Counsel from legal counsel in a Relevant Jurisdiction of recognized standing to the effect that we have or will become obligated to pay such Additional Amounts as a result of such change or amendment.

The Trustee may conclusively rely upon and will accept such Officer’s Certificate and Opinion of Counsel as sufficient evidence of the satisfaction of the conditions precedent described above.

Optional Clean-Up Redemption

In the event that Holders of not less than 90% of the aggregate principal amount of the outstanding Notes validly tender and do not withdraw such Notes in a Change of Control Offer, Asset Sale Offer, or other tender offer and the Company (or a third party making the offer) purchases all of the Notes validly tendered and not withdrawn by such Holders, or if the Company otherwise redeems not less than 90% of the aggregate principal amount of the outstanding Notes pursuant to the terms of the Indenture, the Company or third party offeror, as applicable, will have the right, upon not less than 10 nor more than 60 days’ prior notice, given not more than 30 days following the

purchase pursuant to such offer described above, to redeem (in the case of the Company) or purchase (in the case of a third party offeror) all of the Notes that remain outstanding following such purchase at a redemption price or purchase price, as the case may be, equal to the price paid to each other Holder in such offer (which may be less than par) plus, to the extent not included in such price, accrued and unpaid interest on the Notes that remain outstanding, to the date of redemption (subject to the right of Holders of record on the relevant record date to receive interest due on an interest payment date that is on or prior to the redemption date).

Optional Redemption Procedures

Notice of any redemption will be given at least ten (10) but not more than sixty (60) days before the redemption date to Holders of Notes to be redeemed (with a copy to the Trustee) in accordance with the provisions described in “—Notices” below, except that redemption notices may be given more than 60 days prior to a redemption date if the notice is issued in connection with a defeasance or covenant defeasance of the Notes or a satisfaction and discharge of the Indenture.

Notice of any redemption of the Notes may, at the Company’s discretion, be subject to one or more conditions precedent. If such redemption is so subject to the satisfaction of one or more conditions precedent, such notice shall describe each such condition and, if applicable, shall state that such redemption may not occur and such notice may be rescinded in the event that any or all such conditions shall not have been satisfied by the redemption date.

Notes called for redemption will become due on the date fixed for redemption. The Company will pay the redemption price for the Notes together with accrued and unpaid interest thereon to but excluding the date of redemption (subject to the rights of the relevant Holders as of the record date to receive payments of interest on the related interest payment date). On and after the redemption date, interest will cease to accrue on the Notes as long as the Company has deposited with the paying agent funds in satisfaction of the applicable redemption price together with accrued and unpaid interest thereon pursuant to the Indenture. Upon redemption of the Notes by the Company, the redeemed Notes will be cancelled and cannot be reissued.

If fewer than all of the Notes are being redeemed, the Notes to be redeemed shall be selected as follows: (1) if the Notes are listed on an exchange, in compliance with the requirements of such exchange or (2) on a pro rata basis to the extent practicable, or, if the pro rata basis is not practicable for any reason, by lot or by such other method as most nearly approximates a pro rata basis, in each case as long as the Notes are in global form, subject to customary DTC procedures (in integral multiples of US\$1,000; provided that the remaining principal amount of such Holder’s Note will not be less than US\$2,000). Upon surrender of any Note redeemed in part, the Holder will receive a new Note equal in principal amount to the unredeemed portion of the surrendered Note. Once notice of redemption is sent to the Holders, Notes called for redemption become due and payable at the redemption price on the redemption date, and, commencing on the redemption date, Notes redeemed will cease to accrue interest (unless the Company defaults in the payment of the redemption price).

In addition to the Company’s right to redeem the Notes as set forth above, the Company may purchase the Notes in open-market transactions, tender offers or otherwise at any price, in compliance with applicable securities laws. Any Note so purchased by the Company may be surrendered to the Trustee for cancellation.

Change of Control Triggering Event

Upon the occurrence of a Change of Control Triggering Event, each Holder will have the right to require that the Company purchase all or a portion of such Holder’s Notes (in integral multiples of US\$1,000; provided that the remaining principal amount of such Holder’s Note will not be less than US\$2,000) of the Holder’s Notes at a purchase price equal to 101% of the principal amount thereof, plus any accrued and unpaid interest thereon to but excluding the purchase date (the “Change of Control Payment”).

Within thirty (30) days following the date upon which the Change of Control Triggering Event occurs, the Company must send a notice to each Holder, with a copy to the Trustee, offering to purchase the Notes as described above (a “Change of Control Offer”) as described in “—Notices” below. The Change of Control Offer will state, among other things, the purchase date, which must be at least ten (10) but not more than sixty (60) days from the date the notice is given, other than as may be required by law (the “Change of Control Payment Date”). The Change of Control Offer may, at the Company’s discretion, be subject to the consummation of the transactions triggering the Change of Control Triggering Event as a condition precedent.

On the Business Day immediately preceding the Change of Control Payment Date, the Company will, to the extent lawful, deposit with the paying agent funds in an amount equal to the Change of Control Payment, in respect of all Notes or portions thereof so tendered.

On the Change of Control Payment Date, as applicable, the Company will, to the extent lawful:

- (1) accept for payment all Notes or portions thereof properly tendered and not withdrawn; and
- (2) deliver or cause to be delivered to the Trustee the Notes so accepted together with an Officer's Certificate stating the aggregate principal amount of Notes or portions thereof being purchased by the Company.

If only a portion of a Note is purchased pursuant to a Change of Control Offer, as applicable, a new Note in an authorized principal amount equal to the portion thereof not purchased will be issued in the name of the Holder thereof upon cancellation of the original Note (or appropriate adjustments to the amount and beneficial interests in a Global Note will be made, as appropriate). Notes (or portions thereof) purchased pursuant to a Change of Control Offer, as applicable, will be cancelled and cannot be reissued.

The Company will comply with the requirements of Rule 14e-1 under the Exchange Act and any other securities laws and regulations to the extent any such rule, laws and regulations are applicable in connection with the purchase of Notes in connection with a Change of Control Offer, as applicable. To the extent that the provisions of any applicable securities laws or regulations conflict with the Change of Control Triggering Event provisions of the Indenture, the Company will comply with such securities laws and regulations and will not be deemed to have breached its obligations under the Indenture by doing so.

Other existing and future indebtedness of the Company may contain prohibitions on the occurrence of events that would constitute a Change of Control or require that Indebtedness be purchased upon a Change of Control. Moreover, the exercise by the Holders of their right to require the Company to repurchase the Notes upon a Change of Control Triggering Event may cause a default under such indebtedness even if the Change of Control itself does not.

If a Change of Control Offer occurs, the Company may not have available funds sufficient to make the Change of Control Payment for all the Notes that might be delivered by Holders seeking to accept the Change of Control Offer. In the event the Company is required to purchase outstanding Notes pursuant to a Change of Control Offer, the Company expects that it would seek third-party financing to the extent it does not have available funds to meet its purchase obligations and any other obligations it may have. However, we cannot assure you that the Company would be able to obtain necessary financing and the terms of the Indenture may restrict the ability of the Company to obtain such financing.

Holdes will not be entitled to require the Company to purchase their Notes in the event of a takeover, recapitalization, leveraged buyout or similar transaction which does not lead to a Change of Control Triggering Event.

The Company will not be required to make a Change of Control Offer upon a Change of Control Triggering Event if: (a) a third party makes the Change of Control Offer in the manner, at the times and otherwise in compliance with the requirements set forth in the Indenture applicable to a Change of Control Offer made by the Company and purchases all Notes validly tendered and not withdrawn under such Change of Control Offer or (b) prior to the date the Change of Control Offer is required to be made, the Company has given notice of redemption in respect of all of the outstanding Notes in accordance with the Indenture.

Notwithstanding anything to the contrary herein, a Change of Control Offer may be made in advance of a Change of Control Triggering Event, conditional upon the consummation of the required Change of Control Triggering Event, if a definitive agreement is in place for the applicable Change of Control at the time of making of the Change of Control Offer.

Covenants in the Indenture restricting the ability of the Company and its Restricted Subsidiaries to incur additional Indebtedness, to grant Liens on property, to make Restricted Payments and to make Asset Sales may also

make more difficult or discourage a takeover of the Company, whether favored or opposed by the management or its Board of Directors. Consummation of any Asset Sale may, in certain circumstances, require redemption or repurchase of the Notes, and the Company or the acquiring party may not have sufficient financial resources to effect such redemption or repurchase. In addition, restrictions on transactions with Affiliates may, in certain circumstances, make more difficult or discourage any leveraged buyout of the Company or any of its Subsidiaries. While these restrictions cover a wide variety of arrangements that have traditionally been used to effect highly leveraged transactions, the Indenture may not afford the Holders protection in all circumstances from the adverse aspects of a highly leveraged transaction, reorganization, restructuring, merger, recapitalization or similar transaction.

One of the events that constitutes a Change of Control under the Indenture is the disposition of “all or substantially all” of the Company’s assets under certain circumstances. This term varies based upon the facts and circumstances of the subject transaction and has not been interpreted under New York State law (which is the governing law of the Indenture) to represent a specific quantitative test. As a consequence, in certain circumstances there may be uncertainty in ascertaining whether a particular transaction involved a disposition of “all or substantially all” of the assets of a Person and a Change of Control Triggering Event. In the event that Holders elect to require the Company to purchase the Notes and the Company contests such election, there can be no assurance as to how a court interpreting New York State law would interpret that phrase under certain circumstances.

Covenants

Limitation on Incurrence of Additional Indebtedness

- (1) The Company will not, and will not cause or permit any of its Restricted Subsidiaries to, directly or indirectly, Incur any Indebtedness (including Acquired Indebtedness), except that the Company and its Subsidiary Guarantors may Incur Indebtedness if, at the time of and immediately after giving pro forma effect to the Incurrence thereof and the application of the net proceeds therefrom, (i) the Consolidated Interest Coverage Ratio of the Company shall be no less than 2.00 to 1.0 and (ii) the Consolidated Debt to EBITDA Ratio of the Company shall be no greater than 3.50 to 1.00.
- (2) Notwithstanding clause (1) above, the Company and its Restricted Subsidiaries, as applicable, may, at any time, Incur the following Indebtedness (“Permitted Indebtedness”):
 - (a) Indebtedness in respect of the Notes (excluding Additional Notes) and the Subsidiary Guarantees (including in respect of any Additional Notes);
 - (b) other Indebtedness of the Company and its Restricted Subsidiaries outstanding on the Issue Date, including the Existing Notes.
 - (c) Hedging Obligations entered into by the Company and its Restricted Subsidiaries for bona fide hedging purposes and not for speculative purposes, including without limitation, Hedging Obligations with respect to the Notes;
 - (d) intercompany Indebtedness between the Company and any Restricted Subsidiary or between any Restricted Subsidiaries; provided that such Indebtedness must be expressly subordinated to the prior payment in full of all obligations under the Notes and the Indenture, in the case of the Company, or a Subsidiary Guarantor’s Subsidiary Guarantee, in the case of a Subsidiary Guarantor; and provided further, that in the event that at any time any such Indebtedness ceases to be held by the Company or any Restricted Subsidiary, such Indebtedness will be deemed to be Incurred by the Company or the relevant Restricted Subsidiary, as the case may be, and not permitted by this clause (d) at the time such event occurs;
 - (e) Indebtedness of the Company or any of its Restricted Subsidiaries arising from the honoring by a bank or other financial institution of a check, draft or similar instrument (including daylight overdrafts paid in full by the close of business on the day such overdraft was Incurred) drawn against insufficient funds in the ordinary course of business; provided that such Indebtedness is extinguished within five (5) Business Days of receipt of notice of insufficient funds;
 - (f) Indebtedness of the Company or any of its Restricted Subsidiaries in respect of any obligations under workers’ compensation claims, severance payment obligations, payment obligations in connection with health or other types of social security benefits, unemployment or other insurance

or self-insurance obligations, reclamation, statutory obligations, regulatory or other similar legal obligations, and factoring and other financing of payables or receivables in the ordinary course of business;

- (g) Indebtedness consisting of letters of credit, banker's acceptances, performance bonds, appeal bonds, surety bonds, promissory notes, customs bonds and other similar bonds and reimbursement obligations Incurred by the Company or any Restricted Subsidiary in the ordinary course of business securing the performance of contractual, concession, franchise or license obligations of the Company or any Restricted Subsidiary (in each case, other than for an obligation for borrowed money);
- (h) Indebtedness of the Company or any of its Restricted Subsidiaries to the extent the net proceeds thereof are promptly used to redeem the Notes in full or deposited to defease or discharge the Notes, in each case in accordance with the Indenture;
- (i) Refinancing Indebtedness in respect of:
 - (i) Indebtedness (other than Indebtedness owed to the Company or any Subsidiary of the Company) Incurred pursuant to clause (1) above (it being understood that no Indebtedness outstanding on the Issue Date is Incurred pursuant to such clause (1)); or
 - (ii) Indebtedness Incurred pursuant to clauses (a), (b) or (j) (including, for the avoidance of any doubt, with respect to Indebtedness consisting of the aggregate principal amount of the Existing Notes that remain outstanding following the Issue Date);
- (j) Acquired Indebtedness of any Restricted Subsidiary that was not Incurred to finance the acquisition thereof provided that, after giving effect to the Incurrence of such Acquired Indebtedness, the Company would be permitted to Incur at least US\$1.00 of additional Indebtedness under clause (1) above;
- (k) Indebtedness arising from agreements of the Company or a Restricted Subsidiary providing for indemnification, adjustment of purchase price or similar obligations (including in respect of earn-outs not for financing purposes) or from customary guarantees or performance bonds, in each case, incurred in connection with the disposition of any business, assets or Subsidiary, other than Guarantees of Indebtedness incurred by any Person acquiring all or any portion of such business, assets or Subsidiary for the purpose of financing such acquisition; provided that the maximum aggregate liability in respect of all such Indebtedness will at no time exceed the gross proceeds actually received by the Company and the Restricted Subsidiary in connection with such disposition;
- (l) the Guarantee by the Company or any Subsidiary Guarantor of Indebtedness of the Company or a Restricted Subsidiary of the Company that was permitted to be Incurred by another provision of this covenant;
- (m) Capitalized Lease Obligations, working capital and mortgage financings or Purchase Money Indebtedness of the Company or any Subsidiary Guarantor, in each case Incurred for the purpose of acquiring or financing all or any part of the purchase price or cost of design, installation, construction or improvement of property or equipment used or useful in a Permitted Business, in an aggregate principal amount at any one time outstanding, including any Refinancing Indebtedness Incurred to Refinance any Indebtedness Incurred pursuant to this clause (m), not to exceed the greater of US\$25.0 million and 3% of the Company's Consolidated Net Tangible Assets (or the equivalent in other currencies);
- (n) Prior to the earlier of the Romina Full Funding Date and June 30, 2026, up to \$125,000,000 in Indebtedness secured solely by the Romina Project Assets to be used solely for expansion capital expenditures related to the Romina Project, which amount shall be reduced on a dollar-for-dollar basis, as of any date of determination, by the aggregate amount of cash that has been deposited into the Romina Capex Reserve Account (including any amounts deposited and since withdrawn) as of such date; *provided*, that in no event shall the total amount of amortization payments in respect of such financing in any fiscal year exceed the greater of \$35,000,000 and 28% of the

aggregate principal amount of such financing then outstanding (the “Romina Project Financing”); and

- (o) in addition to Indebtedness referred to in clauses (a) through (n) above, Indebtedness of the Company or any Restricted Subsidiary in an aggregate principal amount at any one time outstanding not to exceed the greater of US\$130.0 million and 15% of the Company’s Consolidated Net Tangible Assets (or the equivalent in other currencies).
- (3) For purposes of determining compliance with, and the outstanding principal amount of, any particular Indebtedness Incurred pursuant to and in compliance with this covenant:
- (a) the outstanding principal amount of any item of Indebtedness will be counted only once;
 - (b) in the event that an item of Indebtedness meets the criteria of clause (1) above or more than one of the categories of Permitted Indebtedness described in clauses (a) through (n) of clause (2) above, the Company may, in its sole discretion, divide and classify (or at any time reclassify) such item of Indebtedness in any manner that complies with this covenant;
 - (c) Indebtedness permitted by this covenant need not be permitted solely by reference to one provision permitting such Indebtedness, but may be permitted in part by such provision and in part by one or more other provisions of this covenant permitting such Indebtedness;
 - (d) the amount of Indebtedness issued at a price that is less than the principal amount thereof will be equal to the amount of the liability in respect thereof determined in accordance with IFRS;
 - (e) Guarantees of, or obligations in respect of letters of credit or similar instruments relating to, Indebtedness which is otherwise included in the determination of a particular amount of Indebtedness will not be included; and
 - (f) the accrual of interest, the accretion or amortization of original issue discount, the payment of regularly scheduled interest in the form of additional Indebtedness of the same instrument or the payment of regularly scheduled dividends on Disqualified Capital Stock in the form of additional Disqualified Capital Stock with the same terms will not be deemed to be an Incurrence of Indebtedness for purposes of this covenant; provided that any such outstanding additional Indebtedness or Disqualified Capital Stock paid in respect of Indebtedness Incurred pursuant to any provision of clause (2) above will be counted as Indebtedness outstanding thereunder for purposes of any future Incurrence under such provision.
- (4) For purposes of determining compliance with any U.S. dollar-denominated restriction on the Incurrence of Indebtedness, the U.S. dollar-equivalent principal amount of Indebtedness denominated in a non-U.S. currency will be calculated based on the relevant currency exchange rate in effect on the date such Indebtedness was Incurred or, in the case of revolving credit Indebtedness, first committed; provided that if such Indebtedness is Incurred to refinance other Indebtedness denominated in a non-U.S. currency, and such refinancing would cause the applicable U.S. dollar-denominated restriction to be exceeded if calculated at the relevant currency exchange rate in effect on the date of such refinancing, such U.S. dollar-denominated restriction will be deemed not to have been exceeded so long as the principal amount of such Refinancing Indebtedness does not exceed the principal amount of such Indebtedness being refinanced. The principal amount of any Indebtedness Incurred to refinance other Indebtedness, if Incurred in a different currency from the Indebtedness being refinanced, will be calculated based on the currency exchange rate applicable to the currencies in which such Refinancing Indebtedness is denominated that is in effect on the date of such refinancing.

Limitation on Restricted Payments

The Company will not, and will not cause or permit any of its Restricted Subsidiaries to, directly or indirectly, take any of the following actions (each, a “Restricted Payment”):

- (a) declare or pay any dividend or return of capital or make any distribution on or in respect of shares of Capital Stock of the Company or any Restricted Subsidiary to holders of such Capital Stock, other than:
 - dividends or distributions payable in Qualified Capital Stock of the Company;

- dividends or distributions payable to the Company and/or a Restricted Subsidiary; or
 - dividends, distributions or returns of capital made on a pro rata basis to the Company and its Restricted Subsidiaries, on the one hand, and minority holders of Capital Stock of a Restricted Subsidiary, on the other hand (or on a less than pro rata basis to any minority holder);
- (b) purchase, redeem or otherwise acquire or retire for value any Capital Stock of the Company held by Persons other than the Company or any of its Restricted Subsidiaries;
- (c) make any principal payment on, purchase, defease, redeem, prepay, decrease or otherwise acquire or retire for value, prior to any scheduled final maturity, scheduled repayment or scheduled sinking fund payment, as the case may be, any Subordinated Indebtedness; or
- (d) make any Investment (other than Permitted Investments);

if at the time of the Restricted Payment and immediately after giving pro forma effect thereto:

- (1) a Default or an Event of Default has occurred and is continuing;
- (2) the Company is not able to Incur at least US\$1.00 of additional Indebtedness pursuant to paragraph (1) of “—Limitation on Incurrence of Additional Indebtedness” at the time of or after giving effect to such Restricted Payment; or
- (3) the aggregate amount (the amount expended for these purposes, if other than in cash, being the Fair Market Value of the relevant property) of the proposed Restricted Payment and all other Restricted Payments made subsequent to the Issue Date up to the date thereof will exceed the sum of:
 - (A) (x) 50% or (y) 100% (if the Consolidated Debt to EBITDA Ratio of the Company is equal to or less than 1.0 to 1.0 at the time of or after giving effect to such Restricted Payment) of cumulative Consolidated Net Income of the Company or, if such cumulative Consolidated Net Income of the Company is a loss, minus 100% of the loss, accrued during the period, treated as one accounting period, from January 1, 2025 to the end of the most recent fiscal quarter for which consolidated financial information of the Company is available; plus
 - (B) 100% of the aggregate net cash proceeds received by the Company from any Person from any:
 - (x) contribution to the Capital Stock of the Company not representing an interest in Disqualified Capital Stock or issuance and sale of Qualified Capital Stock of the Company, in each case subsequent to the Issue Date; or
 - (y) issuance and sale subsequent to the Issue Date (and, in the case of Indebtedness of a Restricted Subsidiary, at such time as it was a Restricted Subsidiary) of any Indebtedness for borrowed money of the Company or any Restricted Subsidiary that has been converted into or exchanged for Qualified Capital Stock of the Company;
 excluding, in each case, any net cash proceeds:
 - (x) received from a Subsidiary of the Company;
 - (y) used to acquire Capital Stock or other assets from an Affiliate of the Company; or
 - (z) applied in accordance with clause (2) or (3) of the second paragraph of this covenant below; plus
 - (C) an amount equal to the sum, for all Unrestricted Subsidiaries, of the following:

- (x) the cash return, and the fair market value of assets or property received, after the Issue Date, on Investments in an Unrestricted Subsidiary made after the Issue Date pursuant to this paragraph as a result of any sale, repayment, redemption, liquidating distribution or other realization (to the extent not included in clause 3(A) above); plus
 - (y) all distributions or dividends to the Company or a Restricted Subsidiary from Unrestricted Subsidiaries (provided that such distributions or dividends shall be excluded in calculating Consolidated Net Income for purposes of clause 3(A) to the extent already included in clause 3(A) above); plus
 - (z) the portion (proportionate to the Company's equity interest in such Subsidiary) of the Fair Market Value of the assets less liabilities of an Unrestricted Subsidiary at the time such Unrestricted Subsidiary is designated a Restricted Subsidiary; plus
- (D) the cash return, and the fair market value of property received, after the Issue Date, on any other Investment made after the Issue Date pursuant to this paragraph, as a result of any sale, repayment, redemption, liquidating distribution or other realization (to the extent not included in clause 3(A) above).

Notwithstanding the preceding paragraph, this covenant does not prohibit:

- (1) the payment of any dividend within sixty (60) days after the date of declaration of such dividend if the dividend would have been permitted on the date of declaration pursuant to the preceding paragraph;
- (2) the acquisition of any shares of Capital Stock of the Company:
 - (x) in exchange for Qualified Capital Stock of the Company; or
 - (y) through the application of the net cash proceeds received by the Company from a substantially concurrent sale of Qualified Capital Stock of the Company or a contribution to the equity capital of the Company not representing an interest in Disqualified Capital Stock, in each case not received from a Subsidiary of the Company;

provided, that the value of any such Qualified Capital Stock issued in exchange for such acquired Capital Stock and any such net cash proceeds will be excluded from clause (3)(B) of the first paragraph of this covenant (and were not included therein at any time);
- (3) the voluntary prepayment, purchase, defeasance, redemption or other acquisition or retirement for value of any Subordinated Indebtedness solely in exchange for, or through the application of net cash proceeds of a substantially concurrent sale, other than to a Subsidiary of the Company, of:
 - (x) Qualified Capital Stock of the Company; or
 - (y) Refinancing Indebtedness for such Subordinated Indebtedness;

provided, that the value of any Qualified Capital Stock issued in exchange for Subordinated Indebtedness and any net cash proceeds referred to above shall be excluded from clause (3)(B) of the first paragraph of this covenant (and were not included therein at any time);
- (4) if no Default or Event of Default has occurred and is continuing or would exist after giving pro forma effect thereto, repurchases by the Company of Capital Stock of the Company or options, warrants or other securities exercisable or convertible into Capital Stock of the Company from employees or directors of the Company or any of its Subsidiaries or their authorized representatives upon the death, disability or termination of employment or directorship of the employees or directors, in an amount not to exceed US\$3.0 million (or the equivalent in other currencies) in any calendar year and US\$8.0 million (or the equivalent in other currencies) in the aggregate;
- (5) repurchases of Capital Stock deemed to occur upon the exercise of stock options if the Capital Stock represents all or a portion of the exercise price thereof (or related withholding taxes), and Restricted Payments by the Company to allow the payment of cash in lieu of the issuance of fractional shares

upon the exercise of options or warrants or upon the conversion or exchange of Capital Stock of the Company;

- (6) to the extent such transactions constitute Restricted Payments, the distribution of Equity Interests held by any of the Company or the Subsidiary Guarantors in a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) to a Permitted Joint Venture for Fair Market Value, *provided* that all of the Company's or each Subsidiary Guarantors' respective Equity Interests in such Permitted Joint Venture are simultaneously pledged and perfected thereafter, subject to the terms herein, on a first- priority basis (subject to Permitted Collateral Liens or Rights over Collateral) or assigned in trust under the Equity Interests Trust Agreement as Collateral for the benefit of the Secured Parties; and
- (7) if no Default or Event of Default has occurred and is continuing or would exist after giving pro forma effect thereto, Restricted Payments in an amount which, when taken together with all Restricted Payments made pursuant to this clause (7), does not exceed US\$40.0 million (or the equivalent thereof in other currencies).

In determining the aggregate amount of Restricted Payments made subsequent to the Issue Date, amounts expended pursuant to clauses (1) (without duplication for the declaration of the relevant dividend) and (4) above will be included in such calculation, and amounts expended pursuant to clauses (2), (3), (5) and (6) above will not be included in such calculation.

The amount of any Restricted Payments not in cash will be the Fair Market Value on the date of such Restricted Payment of the property, assets or securities proposed to be paid, transferred or issued by the Company or the relevant Restricted Subsidiary, as the case may be, pursuant to such Restricted Payment.

For purposes of determining compliance with this covenant, in the event that a Restricted Payment (or portion thereof) permitted pursuant to this covenant or a Permitted Investment (or portion thereof) meets the criteria of more than one of the categories of Restricted Payments described above or one or more clauses of the definition of "Permitted Investment," the Company shall be permitted to classify such Restricted Payment or Permitted Investment (or any portion thereof) on the date it is made, or later reclassify all or any portion of such Restricted Payment or Permitted Investment, in any manner that complies with this covenant, and such Restricted Payment or Permitted Investment (or portion thereof) shall be treated as having been made pursuant to only one of such clauses of this covenant or of the definition of Permitted Investment.

Limitation on Asset Sales

The Company will not, and will not permit any of its Restricted Subsidiaries to, consummate an Asset Sale unless:

- (a) the Company or such Restricted Subsidiary, as the case may be, receives consideration at the time of the Asset Sale at least equal to the Fair Market Value of the assets sold or otherwise disposed of; and
- (b) at least 75% of the consideration received for the assets sold by the Company or the Restricted Subsidiary, as the case may be, in the Asset Sale is in the form of (1) cash or Cash Equivalents; (2) assets (other than current assets as determined in accordance with IFRS or Capital Stock) to be used by the Company or any Restricted Subsidiary in a Permitted Business; (3) Capital Stock in a Person engaged solely in a Permitted Business that will become a Restricted Subsidiary as a result of such Asset Sale; or (4) a combination of cash, Cash Equivalents and such assets. For purposes of this clause (b), the assumption by the purchasers of Indebtedness or other obligations (other than Subordinated Indebtedness) of the Company or a Restricted Subsidiary pursuant to a customary novation agreement, and instruments or securities received from the purchasers that are promptly, but in any event within ninety (90) days of the closing, converted by the Company or a Restricted Subsidiary to cash, to the extent of the cash actually so received, shall be considered cash received at closing.

The Company or such Restricted Subsidiary, as the case may be, may apply the Net Cash Proceeds of any such Asset Sale within 365 days thereof to:

- (1) repay, prepay or purchase any secured Senior Indebtedness of the Company or any Restricted Subsidiaries, in each case for borrowed money or constituting a Capitalized Lease Obligation and permanently reduce the commitments with respect thereto without Refinancing;
- (2) make capital expenditures in the Company or any Restricted Subsidiary involved in a Permitted Business;
- (3) purchase:
 - (A) assets (other than current assets as determined in accordance with IFRS or Capital Stock) to be used by the Company or any Restricted Subsidiary in a Permitted Business; or
 - (B) Capital Stock of a Person engaged solely in a Permitted Business that will become, upon purchase, a Restricted Subsidiary,
 from a Person other than the Company and its Restricted Subsidiaries;
- (4) enter into a binding commitment with a Person, other than the Company and its Restricted Subsidiaries, to apply such Net Cash Proceeds pursuant to clauses (2) or (3) above, provided, that such binding commitment shall be subject only to customary conditions and the applicable purchase shall be consummated within 180 days following the expiration of the aforementioned 365-day period; or
- (5) any combination of (1) through (4) above.

To the extent all or a portion of the Net Cash Proceeds of any Asset Sale (A) not constituting Collateral are not applied within 365 days after the Asset Sale as described in clauses (1) through (4) of the immediately preceding paragraph or (B) of Collateral that are (i) not applied within 365 days after the Asset Sale in a Replacement Collateral Asset pledged as described in the paragraph above; or (ii) that the Company decides will not be applied in a Replacement Collateral Asset within the 365-day period, and in that case, as promptly as it may decide; (any such Net Cash Proceeds not so applied, “Excess Proceeds”), the Company will make an offer (within ten (10) Business Days of such 365th day (subject to deferral as described below and the extension described in clause (4) above)) equal to the Excess Proceeds to purchase Notes (the “Asset Sale Offer”), at a purchase price equal to 100% of the principal amount of the Notes to be purchased, plus any accrued and unpaid interest thereon, to but excluding the purchase date (the “Asset Sale Offer Amount”). The Company will purchase pursuant to an Asset Sale Offer from all tendering Holders on a pro rata basis, and, at the Company’s option, on a pro rata basis with the holders of any other Senior Indebtedness with similar provisions requiring the Company to offer to purchase the other Senior Indebtedness with the proceeds of Asset Sales, that principal amount (or accreted value in the case of Indebtedness issued with original issue discount) of Notes and the other Senior Indebtedness to be purchased equal to such Excess Proceeds. The Company may satisfy its obligations under this covenant with respect to the Net Cash Proceeds of an Asset Sale by making an Asset Sale Offer prior to the expiration of the relevant period set forth above.

The Company may, however, defer an Asset Sale Offer until there is an aggregate amount of Excess Proceeds from one or more Asset Sales equal to or in excess of US\$50.0 million (or the equivalent in other currencies). At that time, the entire amount of Excess Proceeds, and not just the amount in excess of US\$50.0 million (or the equivalent in other currencies), will be applied as required pursuant to this covenant.

Pending application in accordance with this covenant, (i) at any time prior to the release of Collateral as described in clause (1) of “—Collateral Release”, Net Cash Proceeds received from the Asset Sale of any Collateral shall promptly be deposited into an account under the Existing Trusts pledged for the benefit of the Secured Parties, for the purposes and subject to the terms and conditions described in this covenant and (ii) thereafter. Net Cash Proceeds may be invested in Cash Equivalents.

Each notice of an Asset Sale Offer will state, among other things, the purchase date, which must be at least ten (10) and not more than sixty (60) days from the date the notice is given, other than as may be required by law (the “Asset Sale Offer Payment Date”). Upon receiving notice of an Asset Sale Offer, Holders may elect to tender

their Notes in whole or in part in integral multiples of US\$1,000 in exchange for cash; provided that the principal amount of such tendering Holder's Note will not be less than US\$2,000.

On the Business Day immediately preceding the Asset Sale Offer Payment Date, the Company will, to the extent lawful, deposit with the paying agent funds in an amount equal to the Asset Sale Offer Amount in respect of all Notes or portions thereof so tendered.

On the Asset Sale Offer Payment Date, the Company will, to the extent lawful:

- (1) accept for payment all Notes or portions thereof properly tendered pursuant to the Asset Sale Offer; and
- (2) deliver or cause to be delivered to the Trustee the Notes so accepted together with an Officer's Certificate stating the aggregate principal amount of Notes or portions thereof being purchased by the Company.

To the extent that Holders of Notes and holders of other Senior Indebtedness, if any, which are the subject of an Asset Sale Offer properly tender and do not withdraw Notes or the other Senior Indebtedness in an aggregate amount exceeding the amount of Excess Proceeds, the Company will purchase the Notes and the other Senior Indebtedness on a pro rata basis (based on amounts tendered). If only a portion of a Note is purchased pursuant to an Asset Sale Offer, a new Note in an authorized principal amount equal to the portion thereof not purchased will be issued in the name of the Holder thereof upon cancellation of the original Note (or appropriate adjustments to the amount and beneficial interests in a Global Note will be made, as appropriate). Notes (or portions thereof) purchased pursuant to an Asset Sale Offer will be cancelled and cannot be reissued.

Upon completion of an Asset Sale Offer, the amount of Net Cash Proceeds will be reset at zero. Accordingly, to the extent that the aggregate amount of Notes and other Senior Indebtedness tendered pursuant to an Asset Sale Offer is less than the aggregate amount of Excess Proceeds, the Company and its Restricted Subsidiaries may use any remaining Net Cash Proceeds in any manner not prohibited by the Indenture.

If at any time any non-cash consideration received by the Company or any Restricted Subsidiary, as the case may be, in connection with any Asset Sale is converted into or sold or otherwise disposed of for cash (other than interest received with respect to any non-cash consideration), the conversion or disposition will be deemed to constitute an Asset Sale hereunder and the Net Cash Proceeds thereof will be applied in accordance with this covenant within 365 days of conversion or disposition (subject to deferral and extension as described above).

The Company will comply with the requirements of Rule 14e-1 under the Exchange Act and any other securities laws and regulations to the extent any such rule, laws and regulations are applicable in connection with the purchase of Notes pursuant to an Asset Sale Offer. To the extent that the provisions of any applicable securities laws or regulations conflict with the "Asset Sale" provisions of the Indenture, the Company will comply with these laws and regulations and will not be deemed to have breached its obligations under the "Asset Sale" provisions of the Indenture by doing so.

Non-Core Asset Sales

Notwithstanding anything to the contrary in "—Limitation on Asset Sales", so long as no Event of Default has occurred and is continuing, any Net Cash Proceeds resulting from any Non-Core Asset Sales shall not trigger an Asset Sale Offer, and shall be allocated to the Company to be applied (i) prior to the earlier of the Romina Full Funding Date and June 30, 2026, to fund the Romina Capex Reserve Account, as set forth under "—Romina Capex Reserve Account," and (ii) thereafter, as unrestricted cash.

Limitation on Sale and Leaseback Transactions

The Company will not, and will not permit any Restricted Subsidiary to, enter into any Sale and Leaseback Transaction with respect to any property or asset unless:

- (1) the Company or the Restricted Subsidiary would be entitled to:
 - (A) Incur Indebtedness in an amount equal to the Attributable Indebtedness with respect to such Sale and Leaseback Transaction pursuant to the covenant described under the caption "— Limitation on Incurrence of Additional Indebtedness," and

- (B) create a Lien on such property or asset securing such Attributable Indebtedness without equally and ratably securing the Notes pursuant to the covenant described under the caption “—Limitation on Liens,” in which case, the corresponding Indebtedness and Lien will be deemed incurred pursuant to those provisions, and
- (2) the Company complies with the covenant described under the caption “—Limitation on Asset Sales” in respect of such transaction.

Limitation on Designation of Unrestricted Subsidiaries

The Company may designate after the Issue Date any Subsidiary of the Company as an “Unrestricted Subsidiary” under the Indenture (an “Unrestricted Subsidiary Designation”) only if:

- (1) no Default or Event of Default has occurred and is continuing at the time of or after giving effect to such Unrestricted Subsidiary Designation and any transactions between the Company or any of its Restricted Subsidiaries and such Unrestricted Subsidiary are in compliance with “—Limitation on Transactions with Affiliates”; and
- (2) the Company would be permitted to make an Investment at the time of such Unrestricted Subsidiary Designation (assuming the effectiveness of such Unrestricted Subsidiary Designation and treating such Unrestricted Subsidiary Designation as an Investment at the time of such Unrestricted Subsidiary Designation) as a Restricted Payment pursuant to the first paragraph of “—Limitation on Restricted Payments” or a Permitted Investment in an amount (the “Designation Amount”) equal to the amount of the Company’s Investment in such Subsidiary on such date.

The Company may revoke any Unrestricted Subsidiary Designation of a Subsidiary as an Unrestricted Subsidiary (a “Revocation”) only if:

- (1) no Default or Event of Default has occurred and is continuing at the time of and after giving effect to such Revocation; and
- (2) all Liens and Indebtedness of such Unrestricted Subsidiary outstanding immediately following such Revocation would, if Incurred at such time, have been permitted to be Incurred for all purposes of the Indenture.

Upon a Restricted Subsidiary becoming an Unrestricted Subsidiary:

- (1) all existing Investments of the Company and the Restricted Subsidiaries therein (valued at the Company’s proportional share of the fair market value of its assets less liabilities) will be deemed made at that time;
- (2) all existing Capital Stock or Indebtedness of the Company or a Restricted Subsidiary held by it will be deemed Incurred at that time, and all Liens on property of the Company or a Restricted Subsidiary held by it will be deemed Incurred at that time;
- (3) all existing transactions between it and the Company or any Restricted Subsidiary will be deemed entered into at that time;
- (4) it is released at that time from its Subsidiary Guarantee, if any; and
- (5) it will cease to be subject to the provisions of the Indenture as a Restricted Subsidiary.

Upon an Unrestricted Subsidiary becoming, or being deemed to become, a Restricted Subsidiary:

- (1) all of its Indebtedness and Disqualified or Preferred Stock will be deemed Incurred at that time for purposes of “—Limitation on Incurrence of Additional Indebtedness”;
- (2) Investments therein previously charged under “Limitation on Restricted Payments” will be credited thereunder;
- (3) it may be required to issue a Subsidiary Guarantee; and

- (4) it will thenceforward be subject to the provisions of the Indenture as a Restricted Subsidiary.

The designation of a Subsidiary of the Company as an Unrestricted Subsidiary will be deemed to include the designation of all of the Subsidiaries of such Subsidiary. All Unrestricted Subsidiary Designations and Revocations, other than those made on the Issue Date pursuant to the Indenture must be evidenced by Board Resolutions of the Company's Board of Directors and an Officer's Certificate, delivered to the Trustee certifying compliance with the preceding provisions.

Limitation on Designation of Non-Guarantor Restricted Subsidiaries

The Company may designate at any time after the Issue Date any Subsidiary Guarantor as a "Non-Guarantor Restricted Subsidiary" under the Indenture (a "Non-Guarantor Designation") only if:

- (1) no Default or Event of Default has occurred and is continuing at the time of or after giving effect to such Non-Guarantor Designation;
- (2) the Company determines in good faith, at the time of such Non-Guarantor Designation, that such Subsidiary Guarantor is not a Significant Subsidiary based on the most recent consolidated financial statements of the Company provided to the Trustee pursuant to "—Covenants—Reports to Holders" (or required to be provided thereunder); and
- (3) after giving effect to such Non-Guarantor Designation, (i) the total assets of all Non-Guarantor Restricted Subsidiaries (measured on a combined basis) as of the last day of the relevant fiscal quarter is less than 15.0% of the Company's consolidated total assets, and (ii) the total Adjusted EBITDA of all Non-Guarantor Restricted Subsidiaries (measured on a combined basis) for the relevant fiscal quarter is less than 15.0% of the Company's consolidated Adjusted EBITDA, in each of (3)(i) and (3)(ii) on a pro forma basis to give effect to any acquisition or disposition of companies, divisions, lines of businesses, assets or operations by the Company and its Restricted Subsidiaries subsequent to the last day of such fiscal quarter and on or prior to the date of such Non-Guarantor Designation.

Upon a Subsidiary Guarantor becoming a Non-Guarantor Restricted Subsidiary, any Subsidiary Guarantee previously provided by such Subsidiary Guarantor will be automatically and unconditionally released (and thereupon shall terminate and be discharged and be of no further force and effect).

The designation of a Subsidiary Guarantor as a Non-Guarantor Restricted Subsidiary will be deemed to include the designation of all of the Subsidiaries of such Subsidiary Guarantor as Non-Guarantor Restricted Subsidiaries. All Non-Guarantor Designations must be evidenced by Board Resolutions of the Company's Board of Directors and an Officers' Certificate, delivered to the Trustee certifying compliance with the preceding provisions; provided, however that all Subsidiaries of the Company that are not Subsidiary Guarantors as of the Issue Date shall automatically be designated as Non-Guarantor Restricted Subsidiaries on the Issue Date. Any Non-Guarantor Designation shall automatically be revoked if such Subsidiary provides a Subsidiary Guarantee.

Limitation on Dividend and Other Payment Restrictions Affecting Restricted Subsidiaries

- (a) Except as provided in paragraph (b) below, the Company will not, and will not cause or permit any of its Restricted Subsidiaries to, directly or indirectly, create or otherwise cause or permit to exist or become effective any encumbrance or restriction on the ability of any Restricted Subsidiary to:
 - (1) pay dividends or make any other distributions on or in respect of its Capital Stock to the Company or any other Restricted Subsidiary or pay any Indebtedness owed to the Company or any other Restricted Subsidiary;
 - (2) make loans or advances to, or Guarantee any Indebtedness or other obligations of, or make any Investment in, the Company or any other Restricted Subsidiary; or
 - (3) transfer any of its property or assets to the Company or any other Restricted Subsidiary.

- (b) Paragraph (a) above of this covenant will not apply to encumbrances or restrictions existing under or by reason of:
- (1) applicable law, rule, regulation or order;
 - (2) the Indenture, the Notes Documents, the Existing Notes and any security documents related thereto or the Subsidiary Guarantees;
 - (3) the terms of any Indebtedness outstanding on the Issue Date;
 - (4) the terms of any binding agreement with respect to any Restricted Subsidiary relating to its Capital Stock or assets in effect on the Issue Date, and any amendments or restatements thereof; provided that any amendment or restatement is not materially more restrictive with respect to such encumbrances or restrictions than those in existence on the Issue Date;
 - (5) restrictions on the transfer of assets subject to any Permitted Lien;
 - (6) customary provisions restricting the ability of any Restricted Subsidiary to undertake any action described in clauses (a)(1) through (a)(3) above in joint venture agreements and other similar agreements entered into in the ordinary course of business and with the approval of the Company's Board of Directors;
 - (7) customary restrictions on cash or other deposits imposed by customers under contracts or other arrangements entered into or agreed to in the ordinary course of business;
 - (8) customary non-assignment provisions of any license agreement or other contract and customary provisions restricting assignment or subletting in any lease governing a leasehold interest of any Restricted Subsidiary, or any customary restriction on the ability of a Restricted Subsidiary to dividend, distribute or otherwise transfer any asset that is subject to a Lien that secures Indebtedness, in each case permitted to be Incurred under the Indenture;
 - (9) restrictions with respect to a Restricted Subsidiary of the Company imposed pursuant to a binding agreement which has been entered into for the sale or disposition of Capital Stock or assets of such Restricted Subsidiary; provided that such restrictions apply solely to the Capital Stock or assets of such Restricted Subsidiary being sold;
 - (10) customary restrictions imposed on the transfer of copyrighted or patented materials;
 - (11) Indebtedness permitted to be incurred pursuant to clause 2(m) under "—Covenants—Limitation of Incurrence of Additional Indebtedness" that impose encumbrances and restrictions on the assets so acquired or subject to the lease;
 - (12) restrictions (A) with respect to any Person, or to the property or assets of any Person, at the time the Person is acquired by the Company or any Restricted Subsidiary, or (B) with respect to any Unrestricted Subsidiary at the time it is designated or is deemed to become a Restricted Subsidiary, which encumbrances or restrictions (i) are not applicable to any other Person or the property or assets of any other Person and (ii) were not put in place in anticipation of such event and any extensions, renewals, replacements or refinancings of any of the foregoing, provided that the encumbrances and restrictions in the extension, renewal, replacement or refinancing are, taken as a whole, no less favorable in any material respect to the noteholders than the encumbrances or restrictions being extended, renewed, replaced or refinanced; and
 - (13) an agreement that amends, extends, renews, refinances or replaces an agreement referred to in clauses (1)-(12) of this paragraph (b); provided that such agreement is, taken as a whole, not materially more restrictive with respect to such encumbrances or restrictions than those contained in the agreement that it amends, extends, renews, refinances or replaces.

Limitation on Liens

The Company will not, and will not cause or permit any of its Restricted Subsidiaries to, directly or indirectly, Incur any Liens of any kind against or upon any of their respective properties or assets, whether owned on the Issue Date or acquired after the Issue Date, or any proceeds therefrom, to secure any Indebtedness or trade payables, unless contemporaneously therewith effective provision is made to secure the Notes, the Subsidiary Guarantees and all other amounts due under the Indenture equally and ratably with such Indebtedness or other obligation (or, in the event that such Indebtedness is subordinated in right of payment to the Notes or the Subsidiary Guarantees prior to such Indebtedness or other obligation) with a Lien on the same properties and assets securing such Indebtedness or other obligation for so long as such Indebtedness or other obligation is secured by such Lien; except that the foregoing provisions shall not apply to (without duplication): (a) in the case of any property or asset that does not constitute Collateral, any Permitted Lien and (b) in the case of any property or asset that constitutes Collateral, Permitted Collateral Liens or Rights over Collateral.

Limitation on Merger, Consolidation and Sale of Assets

The Company will not, in a single transaction or series of related transactions, consolidate or merge with or into any Person (whether or not the Company is the surviving or continuing Person), or sell, assign, transfer, lease, convey or otherwise dispose of (or cause or permit any Restricted Subsidiary to sell, assign, transfer, lease, convey or otherwise dispose of) all or substantially all of the Company's properties and assets (determined on a consolidated basis for the Company and its Restricted Subsidiaries) to any Person unless:

- (a) either:
 - (1) the Company is the surviving or continuing Person; or
 - (2) the Person (if other than the Company) formed by such consolidation or into which the Company is merged or the Person which acquires by sale, assignment, transfer, lease, conveyance or other disposition the properties and assets of the Company and of the Company's Restricted Subsidiaries substantially as an entirety (the "Surviving Entity"):
 - (A) is a corporation organized and validly existing under the laws of Peru or a Qualified Merger Jurisdiction; and
 - (B) expressly assumes, by supplemental indenture, executed and delivered to the Trustee, the due and punctual payment of all amounts payable pursuant to the Indenture and the principal of, and premium, if any, and interest on all of the Notes and the performance and observance of the covenants of the Notes and the Indenture on the part of the Company to be performed or observed;
- (b) immediately after giving effect to such transaction and the assumption contemplated by clause (a)(2)(B) above (including giving effect on a pro forma basis to any Indebtedness (including any Acquired Indebtedness) Incurred or anticipated to be Incurred in connection with or in respect of such transaction), the Company or such Surviving Entity, as the case may be:
 - (A) will be able to Incur at least US\$1.00 of additional Indebtedness pursuant to clause (1) of "Limitation on Incurrence of Additional Indebtedness"; or
 - (B) the Consolidated Interest Coverage Ratio for the Surviving Entity would be equal to or higher than the Consolidated Interest Coverage Ratio for the Company immediately prior to such transaction, and the Consolidated Debt to EBITDA Ratio for the Surviving Entity would be equal to or lower than Consolidated Debt to EBITDA Ratio for the Company immediately prior to such transaction.
- (c) immediately before and immediately after giving effect to such transaction and the assumption contemplated by clause (a)(2)(B) above (including, without limitation, giving effect on a pro forma basis to any Indebtedness (including any Acquired Indebtedness) Incurred or anticipated to be Incurred and any Lien granted in connection with or in respect of the transaction), no Default or Event of Default has occurred or is continuing;
- (d) if the surviving or continuing Person is not the Company, each Subsidiary Guarantor has confirmed by supplemental indenture that its Subsidiary Guarantee will apply to the Obligations of the Surviving Entity in respect of the Indenture and the Notes; and

- (e) the Company or the Surviving Entity has delivered to the Trustee an Officer's Certificate and an Opinion of Counsel, each stating that the consolidation, merger, sale, assignment, transfer, lease, conveyance or other disposition and, if required in connection with such transaction, the supplemental indenture(s), if any, comply with the applicable provisions of the Indenture and that all conditions precedent in the Indenture relating to the transaction and the execution of the supplemental indenture(s), if any, have been satisfied.

For purposes of this covenant, the transfer (by lease, assignment, sale or otherwise, in a single transaction or series of transactions) of all or substantially all of the properties or assets of one or more Restricted Subsidiaries of the Company, the Capital Stock of which constitutes all or substantially all of the properties and assets of the Company (determined on a consolidated basis for the Company and its Restricted Subsidiaries), will be deemed to be the transfer of all or substantially all of the properties and assets of the Company.

The provisions of clause (b) above will not apply to any merger or consolidation of the Company into an Affiliate of the Company incorporated solely for the purpose of reincorporating the Company in another jurisdiction so long as the Indebtedness of the Company and its Restricted Subsidiaries taken as a whole is not increased thereby.

The foregoing shall not apply to (i) any transfer of assets by the Company to any Subsidiary Guarantor or (ii) any transfer of assets among Subsidiary Guarantors. For the avoidance of doubt, the foregoing shall not apply to a contribution of Equity Interests held by any of the Company or the Subsidiary Guarantors in a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) to a Permitted Joint Venture for Fair Market Value, provided that all of the Company's or each Subsidiary Guarantors' respective Equity Interests in such Permitted Joint Venture are simultaneously pledged and perfected thereafter, subject to the terms herein, on a first-priority basis (subject to Permitted Collateral Liens or Rights over Collateral) or assigned in trust under the Equity Interests Trust Agreement as Collateral for the benefit of the Secured Parties.

Upon any consolidation, combination or merger or any transfer of all or substantially all of the properties and assets of the Company and its Restricted Subsidiaries in accordance with this covenant, in which the Company is not the continuing Person, the Surviving Entity formed by such consolidation or into which the Company is merged or to which such conveyance, lease or transfer is made will succeed to, and be substituted for, and may exercise every right and power of, the Company under the Indenture and the Notes with the same effect as if such Surviving Entity had been named as such and the Company shall be relieved of its obligations under the Indenture and the Notes. For the avoidance of doubt, compliance with this covenant will not affect the obligations of the Company (including a Surviving Entity, if applicable) under "—Change of Control Triggering Event" if applicable.

No Subsidiary Guarantor may consolidate with or merge with or into any Person, or sell, convey, transfer or dispose of, all or substantially all its assets as an entirety or substantially as an entirety, in one transaction or a series of related transactions, to any Person, or permit any Person to merge with or into the Subsidiary Guarantor unless:

- (a)
 - (i) the other Person is the Company or any Restricted Subsidiary that is a Subsidiary Guarantor or becomes a Subsidiary Guarantor concurrently with the transaction; or
 - (ii) (1) either (x) the Subsidiary Guarantor is the continuing Person or (y) the resulting, surviving or transferee Person (if not such Subsidiary Guarantor) expressly assumes by supplemental indenture all of the obligations of the Subsidiary Guarantor under its Subsidiary Guarantee; and (2) immediately after giving effect to the transaction, no Default has occurred and is continuing; or
 - (iii) the transaction constitutes a sale or other disposition (including by way of consolidation or merger) of the Subsidiary Guarantor or the sale or disposition of all or substantially all the assets of the Subsidiary Guarantor (in each case other than to the Company or a Restricted Subsidiary) otherwise permitted by the Indenture; and
- (b) the Company or the surviving entity has delivered to the Trustee an Officer's Certificate and an Opinion of Counsel, each stating that the consolidation, merger, sale, assignment, transfer, lease, conveyance or other disposition and, if required in connection with such transaction, the supplemental indenture, if any, comply with the applicable provisions of the Indenture and that all

conditions precedent in the Indenture relating to the transaction and the execution of the supplemental indenture, if any, have been satisfied.

Limitation on Transactions with Affiliates

- (1) The Company will not, and will not permit any of its Restricted Subsidiaries to, directly or indirectly, enter into any transaction or series of related transactions (including, without limitation, the purchase, sale, lease or exchange of any property or the rendering of any service) with, or for the benefit of, any of its Affiliates (each an “Affiliate Transaction”), unless the terms of such Affiliate Transaction are no less favorable than those that could reasonably be expected to be obtained in a comparable transaction at such time on an arm’s-length basis from a Person that is not an Affiliate of the Company.
- (2) Paragraph (1) above will not apply to:
 - (a) Affiliate Transactions with or among the Company and any Restricted Subsidiary or between or among Restricted Subsidiaries;
 - (b) reasonable fees and compensation paid to, and any indemnity provided on behalf of, officers, directors and employees of the Company or any Restricted Subsidiary;
 - (c) Affiliate Transactions undertaken pursuant to the terms of any agreement or arrangement to which the Company or any of its Restricted Subsidiaries is a party as of or on the Issue Date, as these agreements or arrangements may be amended, modified, supplemented, extended, renewed or replaced from time to time; provided that any future amendment, modification, supplement, extension, renewal or replacement entered into after the Issue Date will be permitted to the extent that its terms are not more materially disadvantageous to the Holders than the terms of the agreements or arrangements in effect on the Issue Date;
 - (d) the entering into of a customary agreement providing registration rights to the shareholders of the Company and the performance of such agreements;
 - (e) transactions or payments, including grants of securities, stock options and similar rights, pursuant to any employee, officer or director compensation or benefit plans or arrangements entered into in the ordinary course of business or approved by the Company’s Board of Directors in good faith;
 - (f) any employment agreements entered into by the Company or any of its Restricted Subsidiaries in the ordinary course of business;
 - (g) any Restricted Payments made in compliance with “—Limitation on Restricted Payments” and Permitted Investments;
 - (h) transactions with customers, clients, suppliers, or purchasers or sellers of goods or services that are Affiliates, in each case in the ordinary course of business and otherwise in compliance with the terms of the Indenture, which are on terms no less favorable than those that could reasonably be expected to be obtained in a comparable transaction at such time on an arm’s-length basis from a Person that is not an Affiliate of the Company (as determined in good faith by the Board of Directors or senior management of the Company); and
 - (i) loans and advances to officers, directors and employees of the Company or any Restricted Subsidiary in the ordinary course of business and not exceeding US\$3.0 million (or the equivalent in other currencies) outstanding at any one time.

Maintenance of Priority

The Company shall ensure that its payment obligations with respect to the Notes will constitute its direct, unconditional and general senior secured obligations and will rank senior or pari passu (except for Indebtedness that is subordinated in right of payment to the Notes) in priority of payment and in all other respects with respect to its future Indebtedness, except for certain obligations that in case of the Company’s insolvency or bankruptcy are granted preferential treatment pursuant to the laws of Peru.

Each Subsidiary Guarantor shall ensure that its payment obligations with respect to its Subsidiary Guarantee will constitute its direct, unconditional and general senior secured obligations and will rank senior or pari passu (except for Indebtedness that is subordinated in right of payment to its Subsidiary Guarantee) in priority of payment and in all other respects with respect to its future Indebtedness, except for certain obligations that in case of such Subsidiary Guarantor's insolvency or bankruptcy are granted preferential treatment pursuant to the laws of its jurisdiction of incorporation.

Conduct of Business

The Company and its Restricted Subsidiaries will not engage in any business other than a Permitted Business.

Anti-Layering

Neither the Company nor any Subsidiary Guarantor may Incur any Indebtedness that is subordinate in right of payment to other Indebtedness of the Company or any Subsidiary Guarantor unless such Indebtedness is also subordinate in right of payment to the Notes or the relevant Subsidiary Guarantee on substantially identical terms. This does not apply to distinctions between categories of Indebtedness that exist by reason of any Liens or Guarantees securing or in favor of some but not all of such Indebtedness.

Use of Proceeds

The Company will use the net proceeds from the offering as described under "Use of Proceeds."

Reports to Holders

For so long as the Notes remain outstanding, the Company will furnish or cause to be furnished to the Trustee and to the Holders of Notes upon such Holder's written request, copies of (or written notice of a password protected URL address providing access to) the following items in English:

- within sixty (60) days after the end of the first, second and third quarters of the Company's fiscal year ending December 31, quarterly unaudited financial statements (consolidated) prepared in accordance with IFRS of the Company for such period; and
- within one hundred and twenty (120) days after the end of the fiscal year of the Company commencing with the fiscal year ended December 31, 2025, annual audited financial statements (consolidated) prepared in accordance with IFRS of the Company for such fiscal year and a report on such annual financial statements by the Company's auditors.

Each such annual report will include a "Management's Discussion and Analysis of Financial Condition and Results of Operations."

Beginning with the first full fiscal quarter ending after the Issue Date and for so long as the Notes remain outstanding, the Company shall use its commercially reasonable efforts, consistent with its judgment as to what is prudent at the time, to participate in quarterly conference calls (which may be a single conference call together with investors holding other securities of the Company or its Restricted Subsidiaries or with the Company's earnings calls) to discuss operating results and related matters. The Company shall issue a press release which will provide the date and time of any such call and will direct Holders to contact the investor relations office of the Issuer to obtain access to the conference call.

So long as any Notes are "restricted securities" within the meaning of Rule 144(a)(3) under the Securities Act, the Company will furnish to the Trustee, upon its request, the information required to be delivered pursuant to Rule 144A(d)(4) under the Securities Act.

Delivery of such reports, information and documents to the Trustee is for informational purposes only and the Trustee's receipt of such reports shall not constitute actual or constructive notice of any information contained therein or determinable from information contained therein, including the Company's or any other Person's

compliance with any of its covenants under the Indenture, the Notes or any Subsidiary Guarantee (as to which the Trustee is entitled to rely exclusively on Officer's Certificates).

The Trustee shall not be obligated to monitor or confirm, on a continuing basis or otherwise, the Company's or any other Person's compliance with the covenants described above or with respect to any reports or other documents filed under the Indenture; provided, however, that nothing herein shall relieve the Trustee of any obligations to monitor the Company's timely delivery of all reports described in the second paragraph of this section "—Covenants—Reports to Holders."

Covenant Suspension

If on any date following the Issue Date (i) the Notes have Investment Grade Ratings from at least two of Fitch, Moody's and S&P, and (ii) no Default has occurred and is continuing under the Indenture (the occurrence of the events described in the foregoing clauses (i) and (ii) being collectively referred to as a "Covenant Suspension Event"), the Company and its Restricted Subsidiaries will not be subject to the following covenants (collectively, the "Suspended Covenants"):

- (1) "—Covenants—Limitation on Incurrence of Additional Indebtedness";
- (2) "—Covenants—Limitation on Restricted Payments";
- (3) "—Covenants—Limitation on Asset Sales";
- (4) "—Covenants—Limitation on Designation of Unrestricted Subsidiaries";
- (5) "—Covenants—Limitation on Dividend and Other Payment Restrictions Affecting Restricted Subsidiaries";
- (6) "—Covenants—Anti-Layering";
- (7) "—Covenants—Maintenance of Priority";
- (8) "—Covenants—Conduct of Business";
- (9) Clause (b) of the first paragraph of "—Covenants—Limitation on Merger, Consolidation and Sale of Assets"; and
- (10) "—Covenants—Limitation on Transactions with Affiliates."

In the event that the Company and its Restricted Subsidiaries are not subject to the Suspended Covenants under the Indenture for any period of time as a result of the foregoing, and on any subsequent date (the "Reversion Date") at least two of Fitch, Moody's or S&P no longer give the Notes an Investment Grade Rating, then the Company and its Restricted Subsidiaries will thereafter again be subject to the Suspended Covenants under the Indenture.

The period of time between the occurrence of a Covenant Suspension Event and the Reversion Date is referred to in this description as the "Suspension Period." In the event of any such reinstatement, no action taken or omitted to be taken by the Company or any of its Restricted Subsidiaries in respect of the Suspended Covenants prior to such reinstatement will give rise to a Default or Event of Default under the Indenture; provided that (1) with respect to Restricted Payments made after any such reinstatement, the amount of Restricted Payments made will be calculated as though the covenant described under "—Covenants—Limitation on Restricted Payments" had been in effect prior to, but not during, the Suspension Period, provided further that any Subsidiaries designated as Unrestricted Subsidiaries during the Suspension Period shall automatically become Restricted Subsidiaries on the Reversion Date (subject to the Company's right to subsequently designate them as Unrestricted Subsidiaries pursuant to "—Covenants—Limitation on Designation of Unrestricted Subsidiaries"), and (2) all Indebtedness Incurred, or Disqualified Capital Stock or Preferred Stock issued, during the Suspension Period will be classified to have been Incurred or issued pursuant to clause (b) of the second paragraph of "—Covenants—Limitation on Incurrence of Additional Indebtedness."

No representation is made that the Notes will ever achieve or maintain Investment Grade Ratings. The Company shall send written notice to the Trustee upon the commencement of any Suspension Period or the occurrence of any Reversion Date; provided that the failure to so notify the Trustee shall not be a default under the Indenture. The Trustee shall have no duty to monitor the ratings of the Notes, shall not be deemed to have any

knowledge of the ratings of the Notes and shall have no duty to notify Holders of any Suspension Period or Reversion Date.

Notices

Notices to Holders of non-Global Notes will be mailed to them at their registered addresses. Notices to Holders of Global Notes will be given to DTC in accordance with its applicable procedures.

In addition, from and after the date the Notes are listed on the Euro MTF market of the Luxembourg Stock Exchange and so long as it is required by the rules of such exchange, all notices to Holders of Notes will be published in English by the Company on the website of the Luxembourg Stock Exchange at www.luxse.com.

Notices will be deemed to have been given on the date of delivery to DTC or mailing, as applicable, or of publication as aforesaid or, if published on different dates, on the date of the first such publication. The Trustee shall have no duty to oversee or confirm that a notice has been published in Luxembourg or with the Luxembourg Stock Exchange.

Events of Default

The following are “Events of Default” under the Indenture:

- (1) default in the payment when due of the principal of or premium, if any, on (including, in each case, any related Additional Amounts) any Notes, including the failure to make a required payment to purchase Notes tendered pursuant to an optional redemption;
- (2) default for thirty (30) days or more in the payment when due of interest (including any related Additional Amounts) on any Notes;
- (3) the failure to perform or comply with any of the provisions described under “—Covenants—Limitation on Merger, Consolidation and Sale of Assets”;
- (4) default in the performance or breach of the obligations described under the caption “—Repurchase of Notes upon a Change of Control Triggering Event” and “—Covenants—Limitation on Asset Sales”, and such default or breach continues for a period of thirty (30) consecutive days after written notice is received by the Company from the Trustee at the request of the Holders or from the Holders of 25% or more in aggregate principal amount of the outstanding Notes;
- (5) the failure by the Company or any Restricted Subsidiary to comply with any other material covenant or agreement contained in the Indenture or the Notes for sixty (60) days or more after written notice to the Company thereof from the Trustee or to the Company and the Trustee from the Holders of at least 25% in aggregate principal amount of the outstanding Notes;
- (6) default by the Company or any Restricted Subsidiary under any Indebtedness (whether such Indebtedness now exists or is created after the Issue Date) which:
 - (a) is caused by a failure to pay principal of or premium, if any, or interest on such Indebtedness and continues following the expiration of any applicable grace period provided in such Indebtedness and has not been cured or waived; or
 - (b) results in the acceleration of such Indebtedness prior to its Stated Maturity, and the principal or accreted amount of Indebtedness covered by clause (a) or (b) at the relevant time, aggregates US\$30.0 million (or the equivalent in other currencies) or more;
- (7) failure by the Company or any of its Restricted Subsidiaries to pay one or more final judgments against any of them, aggregating US\$30.0 million (or the equivalent in other currencies) or more, which are not paid, discharged or stayed for a period of sixty (60) days or more (to the extent not covered by a reputable and creditworthy insurance company);
- (8) certain events of bankruptcy, insolvency, concurso mercantil or quiebra affecting the Company or any Significant Subsidiary or group of Restricted Subsidiaries that, taken together, would constitute a Significant Subsidiary;

- (9) except as permitted by the Indenture, any Subsidiary Guarantee of any Significant Subsidiary or group of Subsidiary Guarantors that, taken together, would constitute a Significant Subsidiary is held to be unenforceable or invalid in a judicial proceeding or ceases for any reason to be in full force and effect or any such Subsidiary Guarantor or group of Subsidiary Guarantors denies or disaffirms its obligations under its Subsidiary Guarantee; or
- (10) with respect to any material portion of the Collateral prior to the release of Collateral as described in clause (1) of “—Collateral Release”, the Security Documents cease to be in full force and effect, or the Security Documents cease to give the Holders the Liens purported to be created thereby, or the Security Documents are declared null and void or the Company or any Subsidiary Guarantor denies in writing that it has any further liability under the Security Documents (in each case, other than in accordance with the terms of the Indenture or any of the Collateral Documents).

If an Event of Default (other than an Event of Default specified in clause (8) above with respect to the Company) has occurred and is continuing, the Trustee or the Holders of at least 25% in principal amount of outstanding Notes may declare the unpaid principal of and premium, if any, and accrued and unpaid interest on all the Notes to be immediately due and payable by notice in writing to the Company (and the Trustee if given by the Holders) specifying the Event of Default and that it is a “notice of acceleration.” If an Event of Default specified in clause (8) above occurs with respect to the Company, then the unpaid principal of and premium, if any, and accrued and unpaid interest on all the Notes will become immediately due and payable without any declaration or other act on the part of the Trustee or any Holder.

At any time after a declaration of acceleration with respect to the Notes as described in the preceding paragraph, the Holders of a majority in principal amount of the outstanding Notes may rescind and cancel such declaration and its consequences:

- (1) if the rescission would not conflict with any judgment or decree;
- (2) if all existing Events of Default have been cured or waived, except nonpayment of principal or interest that has become due solely because of the acceleration;
- (3) to the extent the payment of such interest is lawful, interest on overdue installments of interest and overdue principal, which has become due otherwise than by such declaration of acceleration, has been paid; and
- (4) if the Company has paid the Trustee its compensation and reimbursed the Trustee for its expenses, disbursements and advances (including without limitation, reasonable and documented counsel fees and expenses) outstanding at that time.

No rescission will affect any subsequent Default or impair any rights relating thereto.

The Holders of a majority in principal amount of the outstanding Notes may waive any existing Default or Event of Default under the Indenture, and its consequences, except a default in the payment of the principal of, premium, if any, or interest on any Notes.

The Trustee is under no obligation to exercise any of its rights or powers under the Indenture at the request, order or direction of any of the Holders, unless such Holders have offered to the Trustee indemnity and/or security reasonably satisfactory to it. Subject to all provisions of the Indenture and applicable law, the Holders of a majority in aggregate principal amount of the then outstanding Notes have the right to direct the time, method and place of conducting any proceeding for any remedy available to the Trustee or exercising any trust or power conferred on the Trustee.

No Holder of any Notes will have any right to institute any proceeding with respect to the Indenture or for any remedy thereunder, unless:

- (1) such Holder gives to the Trustee written notice of a continuing Event of Default;
- (2) Holders of at least 25% in principal amount of the then outstanding Notes make a written request to pursue the remedy;
- (3) such Holders provide to the Trustee satisfactory indemnity and/or security;
- (4) the Trustee does not comply within sixty (60) days; and

- (5) during such 60-day period the Holders of a majority in principal amount of the outstanding Notes do not give the Trustee a written direction which, in the opinion of the Trustee, is inconsistent with the request;

provided that a Holder of a Note may institute suit for enforcement of payment of the principal of and premium, if any, or interest on such Note on or after the respective due dates expressed in such Note.

The Company is required, within ten (10) Business Days of becoming aware of any Default or Event of Default, to deliver to the Trustee an Officer's Certificate describing such Default or Event of Default, the status thereof and what action the Company is taking or proposes to take in respect thereof. In addition, the Company is required to deliver to the Trustee, within one hundred and twenty (120) days after the end of each fiscal year, an Officer's Certificate indicating whether the signers thereof know of any Default or Event of Default that occurred during the previous fiscal year. In the absence of receipt by a responsible officer of the Trustee of an Officer's Certificate regarding any such notice of Default or Event of Default from the Company or written notice from any Holder of such Default or Event of Default, the Trustee shall not be deemed to have notice or be charged with knowledge of any Default or Event of Default. The Indenture provides that if a Default or Event of Default occurs and a responsible officer of the Trustee has received written notice thereof, the Trustee must give to each Holder notice of the Default or Event of Default within forty-five (45) days after the Trustee received written notice thereof. Except in the case of a Default or Event of Default in the payment of principal of, premium, if any, or interest on any Note, the Trustee may withhold notice if and so long as a committee of its trust officers in good faith determines that withholding notice is in the interests of the Holders.

Legal Defeasance and Covenant Defeasance

The Company may, at its option and at any time, elect to have its obligations discharged with respect to the outstanding Notes and all obligations of the Subsidiary Guarantors discharged with respect to the Subsidiary Guarantees ("Legal Defeasance"). Legal Defeasance means that the Company will be deemed to have paid and discharged the entire indebtedness represented by the outstanding Notes on the 91st day after the deposit specified in clause (1) of the second following paragraph, except for:

- (1) the rights of Holders to receive payments in respect of the principal of, premium, if any, and interest on, the Notes when such payments are due from the trust referred to below;
- (2) the Company's obligations with respect to the Notes concerning issuing temporary Notes, registration of transfer and exchange Notes, mutilated, destroyed, lost or stolen Notes and the maintenance of an office or agency for payments;
- (3) the rights, powers, trusts, duties, immunities and indemnities of the Trustee and obligations of the Company and the Subsidiary Guarantors in connection therewith; and
- (4) the Legal Defeasance provisions of the Indenture.

In addition, the Company may, at its option and at any time, elect to have its obligations released with respect to the covenants that are described under "—Covenants" (other than "Limitation on Merger, Consolidation and Sale of Assets") ("Covenant Defeasance") and thereafter any omission to comply with such obligations will not constitute a Default or Event of Default. In the event Covenant Defeasance occurs, certain events (other than non-payment and bankruptcy, receivership, reorganization and insolvency events with respect to the Company or any Significant Subsidiary) described under "—Events of Default" will no longer constitute an Event of Default with respect to the Notes.

In order to exercise either Legal Defeasance or Covenant Defeasance:

- (1) the Company must irrevocably deposit with the Trustee, in trust, for the benefit of the Holders, (a) cash in U.S. dollars, (b) certain direct non-callable obligations of, or guaranteed by, the United States, or (c) a combination thereof, in such amounts as will be sufficient without reinvestment (in the written opinion of a nationally recognized investment bank, appraisal firm or firm of independent public accountants delivered to the Trustee; provided, however that such written opinion will not be required if the Company has irrevocably deposited with the Trustee, in trust, for the benefit of the Holders, cash in U.S. dollars in an amount sufficient without reinvestment) to pay the principal of, premium, if any, and interest (including Additional Amounts) on the Notes on the stated date for payment thereof or on the applicable redemption date, as the case may be;

- (2) in the case of Legal Defeasance, the Company has delivered to the Trustee an Opinion of Counsel from U.S. counsel reasonably acceptable to the Trustee (subject to customary exceptions and exclusions) and independent of the Company to the effect that:
 - (a) the Company has received from, or there has been published by, the Internal Revenue Service a ruling; or
 - (b) since the Issue Date, there has been a change in the applicable U.S. federal income tax law,

in either case to the effect that, and based thereon such Opinion of Counsel shall state that, the beneficial owners of the Notes will not recognize income, gain or loss for U.S. federal income tax purposes as a result of such Legal Defeasance and will be subject to U.S. federal income tax on the same amounts, in the same manner and at the same times as would have been the case if such Legal Defeasance had not occurred;
- (3) in the case of Covenant Defeasance, the Company has delivered to the Trustee an Opinion of Counsel from U.S. counsel reasonably acceptable to the Trustee (subject to customary exceptions and exclusions) and independent of the Company to the effect that the beneficial owners of the Notes will not recognize income, gain or loss for U.S. federal income tax purposes as a result of such Covenant Defeasance and will be subject to U.S. federal income tax on the same amounts, in the same manner and at the same times as would have been the case if such Covenant Defeasance had not occurred;
- (4) no Default or Event of Default has occurred and is continuing on the date of the deposit pursuant to clause (1) of this paragraph (except any Default or Event of Default resulting from any failure to comply with “—Covenants—Limitation on Incurrence of Additional Indebtedness” as a result of the borrowing of the funds required to effect such deposit);
- (5) the Company has delivered to the Trustee an Officer’s Certificate stating that such Legal Defeasance or Covenant Defeasance will not result in a breach or violation of, or constitute a default under, the Indenture or any other material agreement or instrument to which the Company or any of its Subsidiaries is a party or by which the Company or any of its Subsidiaries is bound;
- (6) the Company has delivered to the Trustee an Officer’s Certificate stating that the deposit was not made by the Company with the intent of preferring the Holders over any other creditors of the Company or any Subsidiary of the Company or with the intent of defeating, hindering, delaying or defrauding any other creditors of the Company or others;
- (7) the Company has delivered to the Trustee an Officer’s Certificate and an Opinion of Counsel from U.S. counsel reasonably acceptable to the Trustee (subject to customary exceptions and exclusions) and independent of the Company, each stating that all conditions precedent provided for or relating to the Legal Defeasance or the Covenant Defeasance have been complied with; and
- (8) the Company has delivered to the Trustee an Opinion of Counsel from U.S. counsel reasonably acceptable to the Trustee (subject to customary qualifications and exclusions) to the effect that the trust resulting from the deposit does not constitute, or is not qualified as, a regulated investment company under the Investment Company Act of 1940.

Satisfaction and Discharge

The Indenture will be discharged and will cease to be of further effect (except as to surviving rights or registration of transfer or exchange of the Notes and the rights, powers, trusts, duties, immunities and indemnities of the Trustee and the obligations of the Company and the Subsidiary Guarantors in connection therewith, as expressly provided for in the Indenture) as to all outstanding Notes when:

- (1) either:
 - (a) all the Notes theretofore authenticated and delivered (except lost, stolen or destroyed Notes which have been replaced or paid and Notes for whose payment money has theretofore been deposited in trust or segregated and held in trust by the Company and thereafter repaid to the Company or discharged from such trust) have been delivered to the Trustee for cancellation; or

- (b) all Notes not theretofore delivered to the Trustee for cancellation have become due and payable or will become due and payable within one year, and the Company has irrevocably deposited or caused to be deposited with the Trustee (a) cash in U.S. dollars, (b) certain direct, non-callable obligations of, or guaranteed by, the United States or (c) a combination thereof, sufficient without reinvestment (in the written opinion of a nationally recognized investment bank, appraisal firm or firm of independent accountants delivered to the Trustee; provided, however that such written opinion will not be required if the Company has irrevocably deposited or caused to be deposited with the Trustee cash in U.S. dollars in an amount sufficient without reinvestment) to pay and discharge the entire Indebtedness on the Notes not theretofore delivered to the Trustee for cancellation, for principal of, premium, if any, and interest on the Notes to the date of deposit (in the case of Notes that have become due and payable), or to the stated maturity or redemption date, as the case may be, together with irrevocable instructions from the Company directing the Trustee to apply such funds to the payment;
- (2) the Company has paid all other sums payable by it under the Indenture and the Notes; and
- (3) the Company has delivered to the Trustee an Officer's Certificate and an Opinion of Counsel stating that all conditions precedent under the Indenture relating to the satisfaction and discharge of the Indenture have been complied with.

Modification of the Notes Documents

From time to time, the Company, the Subsidiary Guarantors, the Trustee and the Notes Collateral Agent, as applicable, without the consent of the Holders, may amend, modify or supplement the Indenture, the Notes and the Intercreditor Agreement for the following purposes; provided that the Subsidiary Guarantors, other than the relevant Subsidiary Guarantor, need not execute a supplemental indenture executed pursuant to clause (3) below:

- (1) to cure any ambiguity, defect or inconsistency contained therein;
- (2) to provide for the assumption by a surviving entity of the obligations of the Company or a Subsidiary Guarantor under the Indenture;
- (3) to add Subsidiary Guarantees or additional Guarantees or release a Subsidiary Guarantee in accordance with the terms of the Indenture;
- (4) to add Collateral to secure the Notes;
- (5) to add to the covenants of the Company for the benefit of the Holders or surrender any right or power conferred upon the Company;
- (6) to provide for the issuance of Additional Notes in accordance with the Indenture;
- (7) to evidence the replacement of the Trustee or the Notes Collateral Agent as provided for under the Indenture or the Intercreditor Agreement;
- (8) if necessary, in connection with any release of any security permitted under the Indenture (including the release of Collateral as described in clause (1) of "—Collateral Release" and subject to the conditions thereunder);
- (9) to make any other change that does not adversely affect the rights of any Holder in any material respect;
- (10) to provide for uncertificated Notes in addition to or in place of certificated Notes; or
- (11) to conform the text of the Indenture, the Subsidiary Guarantees or the Notes to any provision of this "Description of Notes," to the extent such provision was intended to be a verbatim recitation of the text of the Indenture, the Subsidiary Guarantees or the Notes (as applicable), which such intention shall be evidenced to the Trustee by delivery of an Officer's Certificate from the Company, upon which the Trustee may conclusively rely;
- (12) to convey, transfer, assign, mortgage or pledge any property to or with the Trustee, or to make such other provisions in regard to matters or questions arising under the Indenture or the Notes that shall not adversely affect the interests of any Holders;

- (13) as required by local law to give effect to, or protect any security interest for the benefit of the Secured Parties, in any property or so that the security interests therein comply with applicable requirements of law; or
- (14) to amend the Intercreditor Agreement to include Additional Debt Facilities to the list of Additional First Lien Debt which may be secured by the Collateral and may be guaranteed by the Company and Subsidiary Guarantors on a senior basis and be subject to the terms of the Intercreditor Agreement, the Indenture and any other Additional First Lien Document.

From time to time, the Company, the Subsidiary Guarantors, the Trustee, to the extent applicable, the Notes Collateral Agent, without the consent of the Holders, may amend, modify or supplement the Security Documents, subject to the restrictions contained therein, for the following purposes:

- (1) to cure any ambiguity, defect or inconsistency contained therein;
- (2) to provide for the assumption by a surviving entity of the obligations of the Company or a Subsidiary Guarantor under the Indenture;
- (3) to evidence the replacement of the Trustee or the Notes Collateral Agent as provided for under the Indenture or the Intercreditor Agreement; to effect administrative changes of a technical or immaterial nature;
- (4) to provide additional guarantees for the Notes;
- (5) to evidence the release of Liens granted in favor of the Trustee or any Secured Party in the Shared Collateral in accordance with the terms of the Indenture;
- (6) to convey, transfer, assign, mortgage or pledge any property to or with the Trustee, or to make such other provisions in regard to matters or questions arising under the Indenture or the Notes that shall not adversely affect the interests of any Holders;
- (7) as required by local law to give effect to, or protect any security interest for the benefit of the Secured Parties, including to effect the granting, perfection, protection, expansion or enhancement of any security interest in any property, or so that the security interests therein comply with applicable requirements of law;
- (8) to cause such Collateral, Collateral Document, Subsidiary Guarantee, or other security document to be consistent with the Indenture, the Notes or the Intercreditor Agreement, as applicable;
- (9) as may be required to give effect under the Security Documents to any amendment to the Intercreditor Agreement to include Additional Debt Facilities to the list of Additional First Lien Debt which may be secured by the Collateral and may be guaranteed by the Company and Subsidiary Guarantors on a senior basis and be subject to the terms of the Intercreditor Agreement, the Indenture and any other Additional First Lien Document; or
- (10) as may be required to evidence or permit Liens of any Secured Party (including the Notes Secured Parties) in the Shared Collateral, to the extent permitted under the terms of the Indenture.

Other modifications to, amendments of, and supplements to, the Indenture, the Notes, the Subsidiary Guarantees or the Security Documents may be made with the consent of the Holders of a majority in principal amount of the then outstanding Notes issued under the Indenture and, with respect to any Collateral Document, subject to the restrictions contained therein, except that, without the consent of each Holder affected thereby, no amendment may:

- (1) reduce the percentage of the principal amount of the outstanding Notes whose Holders must consent to an amendment, supplement or waiver;
- (2) reduce the rate of or change or have the effect of changing the time for payment of interest on any Notes (for the avoidance of doubt, changing the period provided for any repurchase or redemption notice under the Indenture and the Notes is not limited by this clause);
- (3) reduce the principal of or change or have the effect of changing the fixed maturity of any Notes, or change the date on which any Notes may be subject to redemption, or reduce the redemption price

therefor (for the avoidance of doubt, changing the period provided for any repurchase or redemption notice under the Indenture and the Notes is not limited by this clause);

- (4) make any Notes payable in money other than that stated in the Notes;
- (5) make any change in provisions of the Indenture entitling each Holder to receive payment of principal of, premium, if any, and interest on such Notes on or after the due date thereof or to bring suit to enforce such payment, or permitting Holders of a majority in principal amount of outstanding Notes to waive Defaults or Events of Default (other than a default in payment of principal or interest on any Note);
- (6) amend, change or modify in any material respect the obligation of the Company to make and consummate a Change of Control Offer in respect of a Change of Control Triggering Event that has occurred or make and consummate an Asset Sale Offer with respect to any Asset Sale that has been consummated;
- (7) make any change to or otherwise modify any provision of the Indenture or any other Notes Document governing or affecting the ranking, guarantee or subordination provisions of the Notes or the Subsidiary Guarantees, in each case, in a manner that adversely affects the rights of any Holder, except as permitted by the Indenture pursuant to clause (1) of “—Collateral Release”;
- (8) make any change in the provisions of the Indenture described under “—Additional Amounts” that adversely affects the rights of any Holder or amend the terms of the Notes in a way that would result in a loss of exemption from any applicable taxes;
- (9) make any change to the provisions of the Indenture that would have the effect of releasing all or substantially all of the Liens securing the Notes, except as permitted by the Indenture pursuant to clause (1) of “—Collateral Release”;
- (10) (i) release all or substantially all of the Subsidiary Guarantees (or value thereof) or Subsidiary Guarantors from any of their obligations under their Guarantees or the Indenture while any Note remains outstanding, or (ii) amend, supplement, delete or otherwise modify any provision of the Indenture or any other Notes Document if the effect thereof would be to cause any such Subsidiary to cease to be subject to, or to not be required to comply with, all or substantially all of the negative covenants set forth in the Indenture on the Issue Date, except as permitted by the Indenture pursuant to clause (1) of “—Collateral Release”;
- (11) modify any payment waterfall or priority (whether prior to or after an Event of Default);
- (12) subordinate any Lien on any Collateral, except as already permitted by the Indenture under the definition of “Permitted Collateral Liens or Rights over Collateral”; and
- (13) modify any term of the Intercreditor Agreement or any other intercreditor agreement that would have the effect of making a change that would otherwise require the consent of the holder of each outstanding Note affected thereby.

In connection with any amendment, supplement or waiver, the trustee shall be entitled to receive an officers’ certificate and an opinion of counsel, each stating that all conditions precedent to such amendment, supplement or waiver have been satisfied, that such amendment, supplement or waiver is authorized or permitted by the Indenture and, with respect to the opinion of counsel, that such amendment, supplement or waiver is the legal, valid and binding obligation of the Company, enforceable against it in accordance with its terms.

Governing Law; Jurisdiction

The Indenture, the Notes, the Subsidiary Guarantees and the Collateral Documents will be governed by and construed in accordance with the laws of the State of New York, and will provide for the submission of the parties to the jurisdiction of the courts in the State of New York; provided that certain of the Collateral Documents will be governed by the laws of Peru or the laws of Chile to the extent that the validity, perfection, effect of perfection or of non-perfection or priority of the security interests granted thereunder are governed by such other jurisdictions pursuant to applicable conflict of laws principles.

Each of the Company and the Subsidiary Guarantors will submit to the jurisdiction of the U.S. federal and New York state courts located in The City of New York, Borough of Manhattan and will appoint an agent for

service of process with respect to any actions brought in these courts arising out of or based on the Notes Documents.

According to the laws of the State of New York, claims against the Company for the payment of principal of and premium, if any, and interest on the Notes must be made within six years from the due date for payment thereof.

The Trustee, the Notes Collateral Agent and the local collateral agents

The Bank of New York Mellon is the Trustee under the Indenture. The office of the Trustee at which its corporate trust business is principally administered is located at 240 Greenwich Street, New York, New York 10286, United States of America.

The Bank of New York Mellon is the Notes Collateral Agent under the Intercreditor Agreement.

The Bank of New York Mellon shall be the Applicable Authorized Representative and the Applicable Collateral Agent under the Intercreditor Agreement as of the Settlement Date and thereafter, as the Notes are expected to constitute the largest outstanding principal amount of any then outstanding Series of Secured Obligations, subject to the terms and conditions of the Intercreditor Agreement, as described herein.

Citibank del Perú S.A. is the Peruvian Collateral Agent under the Intercreditor Agreement.

TMF Chile Asesorías Empresariales Ltda. is the Chilean Collateral Agent under the Intercreditor Agreement.

The Company and the Subsidiary Guarantors may change the registrar, paying agent, registrar or transfer agent, or appoint an additional paying agent or transfer agent, in each case without prior notice to the Holders.

Except during the continuance of an Event of Default, the Trustee will perform only such duties as are specifically set forth in the Indenture. During the existence of an Event of Default, the Trustee will exercise such rights and powers vested in it by the Indenture, and use the same degree of care and skill in its exercise as a prudent person would exercise or use under the circumstances in the conduct of his own affairs.

By accepting a Note, each Holder will be deemed to have:

- (1) irrevocably appointed the Applicable Authorized Representative and the Applicable Collateral Agent to act as its agents under the Security Documents, as applicable, and any other relevant document;
- (2) irrevocably authorized the Applicable Authorized Representative and the Applicable Collateral Agent to perform the duties and exercise the rights, powers and discretions that are specifically given to them under the Collateral Documents, together with any other incidental rights, powers and discretions and to execute each document expressed to be executed by the Applicable Authorized Representative or the Applicable Collateral Agent on its behalf;
- (3) irrevocably appointed, for the benefit of their respective Secured Parties, the Peruvian Collateral Agent as collateral agent under their respective Collateral Documents; and
- (4) irrevocably authorized and instructed the Chilean Collateral Agent, to execute and deliver the Chilean Collateral Agency Agreement, and to appoint itself as Chilean Collateral Agent, with authority to self-contract, in accordance with article 18 of Law No. 20,190 of the Republic of Chile, with broad authorities to represent the Secured Parties in the granting, amendment and release of any Security Documents, being entitled to negotiate all provisions thereunder, being of the essence, nature or merely incidental thereto; *provided* that the Chilean Collateral Agent so appointed is hereby authorized to sign one or more public instruments in Chile on behalf of the Secured Parties under the Intercreditor Agreement and the other relevant documents to which the security agent is a party (including, without limitation, the Security Documents).

No Personal Liability

No past, present or future incorporator, director, officer, employee, shareholder or controlling person, as such, of the Company or any Subsidiary Guarantor will have any liability for any obligations of the Company under

the Notes, the Indenture or the Subsidiary Guarantee or for any claims based on, in respect of or by reason of such obligations or their creation. By accepting a Note, each Holder waives and releases all such liability. The waiver and release are part of the consideration for issuance of the Notes. The waiver may not be effective to waive liabilities under the U.S. federal securities laws, under Peruvian corporate law or Chilean corporate law.

Currency Indemnity

The Company, and each Subsidiary Guarantor, will pay all sums payable under the Indenture, the Notes or such Subsidiary Guarantee solely in U.S. Dollars. Any amount received or recovered in a currency other than U.S. Dollars by any payee, in respect of any sum expressed to be due to it from the Company or any Subsidiary Guarantor, will only constitute a discharge to the Company or any such Subsidiary Guarantor to the extent of the U.S. Dollar amount which such payee is able to purchase with the amount received or recovered in that other currency on the date of the receipt or recovery or, if it is not practicable to make the purchase on that date, on the first date on which such payee is able to do so. If the U.S. Dollar amount is less than the U.S. Dollar amount expressed to be due to the Trustee under the Indenture or any Holder under the Indenture or any Note, the Company, and any Subsidiary Guarantor, will indemnify such payee against any loss it sustains as a result. In any event, the Company and the Subsidiary Guarantors will indemnify each payee against the cost of making any purchase of U.S. Dollars. For the purposes of this paragraph, it will be sufficient for a payee to certify in a satisfactory manner that it would have suffered a loss had an actual purchase of U.S. Dollars been made with the amount received in that other currency on the date of receipt or recovery or, if it was not practicable to make the purchase on that date, on the first date on which it was able to do so. In addition, payees will also be required to certify in a satisfactory manner the need for a change of the purchase date.

The indemnities described above:

- constitute a separate and independent obligation from the other obligations of the Company and the Subsidiary Guarantors;
- will give rise to a separate and independent cause of action;
- will apply irrespective of any indulgence granted by any Holder or the Trustee; and
- will continue in full force and effect despite any other judgment, order, claim or proof for a liquidated amount in respect of any sum due under the Indenture, any Note or any Subsidiary Guarantee.

Listing

In the event that the Notes are listed on the Official List of the Luxembourg Stock Exchange for trading on the Euro MTF market, the Company will use its commercially reasonable efforts to maintain such listing; provided that the Company may delist the Notes from the Luxembourg Stock Exchange in accordance with the rules of the exchange and seek an alternative admission to listing, trading and/or quotation for the Notes on a different section of the Luxembourg Stock Exchange or by such other listing authority, stock exchange and/or quotation system inside or outside the European Union as the Company's Board of Directors may decide.

Certain Definitions

The following sets forth certain of the defined terms used in the Indenture. Reference is made to the Indenture for full disclosure of all such terms, as well as any other terms used herein for which no definition is provided.

"Acquired Indebtedness" means Indebtedness of a Person or any of its Subsidiaries existing at the time such Person becomes a Restricted Subsidiary or at the time it merges or consolidates with the Company or any of its Restricted Subsidiaries or is assumed in connection with the acquisition of assets from such Person. Acquired Indebtedness will be deemed to have been Incurred at the time such Person becomes a Restricted Subsidiary or at the time it merges or consolidates with the Company or a Restricted Subsidiary or at the time such Indebtedness is assumed in connection with the acquisition of assets from such Person.

"Additional Amounts" has the meaning set forth under *"—Additional Amounts"* above.

“Additional Debt Facilities” means, one or more debt facilities or indentures, supplemental indentures, loans, commercial paper facilities with banks, insurance companies or other institutional lenders providing for revolving credit loans, term loans, notes, letters of credit or other forms of guarantees and assurances or other credit facilities or extensions of credit, including overdrafts, in each case, as amended, restated, modified, renewed, refunded, replaced or refinanced in whole or in part from time to time and, for the avoidance of doubt, includes any agreement extending the maturity of, refinancing or restructuring all or any portion of the indebtedness under such agreements or any successor agreements, in each case, as permitted to be entered into pursuant to the terms and conditions described in *“—Covenants—Limitation on Incurrence of Additional Indebtedness.”*

“Additional First Lien Debt” shall mean Indebtedness of the Company, a Subsidiary Guarantor or any Restricted Subsidiary that (i) ranks equally in right of payment and is secured ratably by Liens on the Collateral having the same priority as the Liens securing the Notes and the Existing 2030 Notes, (ii) is permitted to be incurred, secured and guaranteed on such basis by the Indenture and (iii) is subject to the Intercreditor Agreement. For the avoidance of doubt, the Notes shall not be deemed Additional First Lien Debt.

“Additional First Lien Debt Collateral Agent” has the meaning set forth under *“Intercreditor Agreement”* above.

“Additional First Lien Debt Representative” has the meaning set forth under *“Intercreditor Agreement”* above.

“Additional First Lien Documents” means, with respect to any series of Additional First Lien Debt, the notes, credit agreement, indentures, security documents and other operative agreements evidencing or governing such indebtedness and liens securing such indebtedness, including the Additional First Lien Security Documents and each other agreement entered into for the purpose of securing any series of Additional First Lien Debt.

“Additional First Lien Secured Parties” means the Additional First Lien Debt Representative, and the collateral agent, collateral trustee or similar representative for the holders of such Additional First Lien Debt, in each case, acting on behalf of the holders of such Additional First Lien Debt.

“Additional First Lien Security Documents” means any collateral agreement, security agreement or any other document now existing or entered into after the Issue Date that creates Liens on any assets or properties of the Company or of any of the Subsidiary Guarantors to secure the Obligations under Additional First Lien Debt as permitted by the Indenture and the Collateral Documents.

“Additional Notes” has the meaning set forth under *“—Further Issues”* above.

“Affiliate” means, with respect to any specified Person, any other Person who directly or indirectly through one or more intermediaries’ controls, or is controlled by, or is under common control with, such specified Person. Solely for purposes of this definition, the term “control” means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting securities, by contract or otherwise. For purposes of this definition, the terms “controlling,” “controlled by” and “under common control with” have correlative meanings.

“Alpamarca” means an open pit mine and mineral stockpiles and a concentrator plant owned by Compañía Minera Chungar producing zinc, silver, lead and copper related to the Romina Project.

“Applicable Authorized Representative” means the Authorized Representative of the Series of Secured Obligations that constitutes the largest outstanding principal amount of any then outstanding Series of Secured Obligations; *provided that*, after the Non-Controlling Authorized Representative Enforcement Date, the Applicable Authorized Representative shall be the Major Non-Controlling Authorized Representative.

“Applicable Collateral Agent” means the agent appointed under the Intercreditor Agreement to act or refrain from acting (or instructing the local collateral agents to act) with respect to any Shared Collateral which after the Non-Controlling Authorized Representative Enforcement Date, shall be the collateral agent of the Series of Secured Obligations represented by the Major Non-Controlling Authorized Representative; *provided*, further, that in each case of a change in Applicable Collateral Agent, such change shall be effective upon receipt by the Peruvian Collateral Agent and the Chilean Collateral Agent of a notice of change of Applicable Collateral Agent from the new Applicable Collateral Agent, in the terms described in the Intercreditor Agreement, certifying as to the event or circumstance in this definition that has occurred to cause such change in Applicable Collateral Agent.

“Asset Acquisition” means:

- (1) an Investment by the Company or any Restricted Subsidiary in any other Person pursuant to which such Person will become a Restricted Subsidiary, or will be merged with or into the Company or any Restricted Subsidiary;
- (2) the acquisition by the Company or any Restricted Subsidiary of the assets of any Person (other than a Subsidiary of the Company) which constitute all or substantially all of the assets of such Person or comprises any division or line of business of such Person or any other properties or assets of such Person other than in the ordinary course of business; or
- (3) any Revocation with respect to an Unrestricted Subsidiary.

“*Asset Sale*” means any direct or indirect sale, disposition, issuance, conveyance, transfer, lease, assignment or other transfer, including, without limitation, a Sale and Leaseback Transaction (each, a “disposition”), by the Company or any Restricted Subsidiary of:

- (a) any Capital Stock other than Capital Stock of the Company (other than directors’ qualifying shares and shares issued to foreign nationals to the extent required by applicable law); or
- (b) any property or assets (other than cash, Cash Equivalents or Capital Stock) of the Company or any Restricted Subsidiary.

Notwithstanding the preceding, the following items will not be deemed to be Asset Sales:

- (1) the disposition of all or substantially all of the assets of the Company and its Restricted Subsidiaries as permitted under “—Covenants—Merger, Consolidation and Sale of Assets” or any disposition which constitutes a Change of Control;
- (2) the sale of property or equipment that, in the reasonable determination of the Company, has become worn out, obsolete or damaged or otherwise unused in connection with the business of the Company or any Restricted Subsidiary;
- (3) sales or other dispositions of equipment, inventory, accounts receivable or other assets in the ordinary course of business;
- (4) for purposes of “—Covenants—Limitation on Asset Sales” only, the making of a Restricted Payment permitted under “—Covenants—Limitation on Restricted Payments” and any Permitted Investment;
- (5) a disposition to the Company or a Restricted Subsidiary, including a Person that is or will become a Restricted Subsidiary immediately after the disposition;
- (6) the creation of a Permitted Lien;
- (7) dispositions of receivables and related assets or interests in connection with the compromise, settlement or collection thereof in the ordinary course of business or in bankruptcy or similar proceedings and exclusive of factoring or similar arrangements;
- (8) (i) the licensing or sublicensing of intellectual property or other general intangibles, including entering into cross-licensing arrangements, in the ordinary course of business and (ii) the abandonment or other disposition of intellectual property that is, in the reasonable judgment of management of the Company or the relevant Restricted Subsidiary, no longer economically convenient to maintain or useful in the conduct of the Permitted Business;
- (9) any sale of Capital Stock in, or Indebtedness of other securities of, an Unrestricted Subsidiary;
- (10) a Sale and Leaseback Transaction permitted under the proviso at the end of “—Covenants—Limitation on Sale and Leaseback Transactions”;
- (11) the good faith surrender or waiver of contract rights, tort claims or statutory rights in connection with a settlement;
- (12) the lease, assignment, licensing or sub-lease or sub-licensing of any real or personal property in the ordinary course of business;
- (13) a Non-Core Asset Sale; and

- (14) any other transaction or series of related transactions involving a disposition of property or assets with a Fair Market Value of not more than US\$500,000 (or the equivalent in other currencies).

For the avoidance doubt, any sale, disposition or other transfer of Collateral shall constitute an Asset Sale and be subject to the provisions under “—Covenants—Limitation on Asset Sales,” with the exception of a Non-Core Asset Sale.

“*Asset Sale Offer*” has the meaning set forth under “—Covenants—Limitation on Asset Sales.”

“*Asset Sale Offer Amount*” has the meaning set forth under “—Covenants—Limitation on Asset Sales.”

“*Asset Sale Offer Payment Date*” has the meaning set forth under “—Covenants—Limitation on Asset Sales.”

“*Asset Sale Transaction*” means any Asset Sale and, whether or not constituting an Asset Sale, (1) any sale or other disposition of Capital Stock, (2) any designation with respect to an Unrestricted Subsidiary and (3) any sale or other disposition of property or assets excluded from the definition of Asset Sale by clause (4) of that definition.

“*Attributable Indebtedness*” means, in respect of a Sale and Leaseback Transaction the present value, discounted at the interest rate implicit in the Sale and Leaseback Transaction, of the total obligations of the lessee for rental payments during the remaining term of the lease in the Sale and Leaseback Transaction.

“*Authorized Representative*” means, at any time, (i) in the case of the Notes and upon the execution of the Joinder Agreement to the Intercreditor Agreement and subject to the conditions therein, the Trustee, (ii) in the case of the Existing 2030 Notes, the Existing 2030 Notes Trustee and (iii) in the case of any Series of Additional First Lien Debt or Additional First Lien Secured Parties that become subject to the Intercreditor Agreement after the Issue Date, the Additional First Lien Debt Representative named for such Series in the applicable Joinder Agreement.

“*Bankruptcy Code*” means Title 11 of the United States Code, as amended.

“*Bankruptcy Law*” means the Bankruptcy Code of the United States of America, the Peruvian Bankruptcy Law, and all other liquidation, conservatorship, bankruptcy, assignment for the benefit of creditors, moratorium, rearrangement, receivership, insolvency, reorganization, or similar debtor relief laws of the United States, Peru or other applicable jurisdictions from time to time in effect.

“*Board of Directors*” means, with respect to any Person, the board of directors or similar governing body of such Person or any duly authorized committee thereof.

“*Board Resolution*” means, with respect to any Person, a copy of a resolution certified by the Secretary or an Assistant Secretary of such Person to have been duly adopted by the Board of Directors of such Person and to be in full force and effect on the date of such certification, and delivered to the Trustee.

“*Business Day*” means a day other than a Saturday, Sunday or any day on which banking institutions are authorized or required by law to close in New York City, United States or in Lima, Peru.

“*Capital Stock*” means, with respect to any Person, any and all shares, interests, rights to purchase, warrants, options, participations or other equivalents of or interests in (however designated and whether or not voting) of equity of such Person, including each class of Common Stock, Preferred Stock, limited liability interests or partnership interests, but excluding any debt securities convertible into such equity.

“*Capitalized Lease Obligations*” means an obligation that would have been required to be classified and accounted for as a capitalized lease for financial reporting purposes in accordance with IFRS as of the Issue Date. The amount of Indebtedness represented by such obligation will be the capitalized amount of such obligation at the time any determination thereof is to be made as determined in accordance with IFRS, and the Stated Maturity thereof will be the date of the last payment of rent or any other amount due under such lease prior to the first date such lease may be terminated without penalty.

“*Cash Equivalents*” shall mean:

- (1) United States dollars, Peruvian soles, or the local currencies of the countries of incorporation of the Subsidiary Guarantors held by the Company or any Restricted Subsidiary from time to time;
- (2) securities issued or directly and fully guaranteed or insured by the United States government or any agency or instrumentality of the United States government (provided that the full faith and credit of

the United States is pledged in support of those securities) having maturities of not more than 12 months from the date of acquisition;

- (3) certificates of deposit, demand and time deposits and Eurodollar time deposits with maturities of 12 months or less from the date of acquisition, bankers' acceptances with maturities not exceeding 12 months and overnight bank deposits, in each case, with any commercial bank having capital and surplus in excess of US\$250 million and the outstanding indebtedness of which is rated at least "A-2" by S&P, at least "P-2" by Moody's or at least "F-2" by Fitch (or the equivalent of such rating by such rating organization, or, if no rating of S&P, Moody's or Fitch then exists because none of the foregoing then rates obligations of the type described in this clause, the equivalent of such rating by any other United States nationally recognized securities rating agency);
- (4) commercial paper having one of the two highest rating categories obtainable from either Moody's or S&P and in each case maturing within 12 months after the date of acquisition;
- (5) readily marketable direct obligations issued by any state of the United States or any political subdivision thereof, in either case having one of the two highest rating categories obtainable from either Moody's or S&P and in each case maturing within 12 months after the date of acquisition; and
- (6) money market funds that invest primarily in securities described in clauses (1) through (5) of this definition.

"Change of Control" means the occurrence of any of the following events:

- (1) the direct or indirect sale, lease, transfer, conveyance or other disposition (other than by way of merger or consolidation), in one or a series of related transactions, of all or substantially all of the assets of the Company and its Subsidiaries taken as a whole to any Person (including any "person" or "group" (as such terms are used in Sections 13(d)(3) and 14(d) of the Exchange Act or any successor provisions to any of the foregoing)) other than to one or more Permitted Holders;
- (2) the consummation of any transaction (including without limitation, any merger or consolidation) the result of which is that the Permitted Holders cease to be (x) the "beneficial owners" (as defined in Rules 13d 3 and 13d 5 under the Exchange Act), directly or indirectly, of more than 50% of the Voting Stock of the Company, measured by voting power rather than number of shares or (y) have the ability to control the management or policies of the Company or appoint a majority of the members of the Board of Directors of the Company; or
- (3) the adoption of a plan relating to the liquidation or dissolution of the Company.

"Change of Control Offer" has the meaning set forth under *"—Change of Control Triggering Event."*

"Change of Control Payment" has the meaning set forth under *"—Change of Control Triggering Event."*

"Change of Control Payment Date" has the meaning set forth under *"—Change of Control Triggering Event."*

"Change of Control Triggering Event" means the occurrence of both a Change of Control and a Rating Decline.

"Chilean Collateral Agent" means TMF Chile Asesorías Empresariales Ltda. or any successor thereto.

"Chilean Collateral Agency Agreement" means the Chilean law-governed collateral agency agreement (*contrato de agencia de garantías*), granted by way of public deed on July 24, 2024 by and between the Company and the Chilean Collateral Agent, as amended by way of public deed on or about the Issue Date.

"Chilean Share Pledge Agreement" has the meaning set forth under *"—Collateral."*

"Collateral" means the assets that are secured by and subject to Liens created by the Security Documents as described under *"—Collateral,"* including as of the Issue Date.

"Collateral Agents" means (i) in the case of the Notes, the Notes Collateral Agent, (ii) in the case of the Existing 2030 Notes, the Existing 2030 Notes Collateral Agent and (iii) in case of any Series of Additional First Lien Debt that become subject to the Intercreditor Agreement, the Additional First Lien Debt Collateral Agent for such Series named in the applicable Joinder Agreement

“*Collateral Documents*” means collectively, (i) the Intercreditor Agreement, (ii) the Security Documents and (iii) the Additional First Lien Security Documents.

“*Commodity Agreement*” means, with respect to any Person, any commodity swap agreement, commodity cap agreement, commodity collar agreement, commodity or raw material futures contract or any other agreement as to which such Person is a party designed to manage commodity risk of such Person.

“*Common Stock*” means, with respect to any Person, any and all shares, interests or other participations in, and other equivalents (however designated and whether voting or non-voting) of such Person’s common equity interests, whether outstanding on the Issue Date or issued after the Issue Date, and includes, without limitation, all series and classes of such common equity interests.

“*Compañía Hidroeléctrica Tingo*” means Compañía Hidroeléctrica Tingo S.A.

“*Compañía Industrial Huacho*” means Compañía Industrial Limitada de Huacho S.A.

“*Compañía Minera Chungar*” means Compañía Minera Chungar S.A.C.

“*Consolidated Adjusted EBITDA*” means, with respect to any Person for any period, Consolidated Net Income for such Person for such period, plus the following (without duplication) to the extent deducted or added in calculating such Consolidated Net Income for such period:

- (1) Consolidated Interest Expense for such Person;
- (2) Consolidated Income Tax Expense for such Person;
- (3) Consolidated Non-cash Charges for such Person;
- (4) any non-operating and/or non-recurring charges, expenses or losses of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) for such period;
- (5) all fees, costs and expenses incurred in connection with the offering of the Notes as disclosed under “Use of Proceeds”; and
- (6) any net loss from disposed or discontinued operations.

less (x) all non-cash credits and gains increasing Consolidated Net Income for such Person for such period, (y) all cash payments made by such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) during such period relating to non-cash charges that were added back in determining Consolidated Adjusted EBITDA in any prior period and (z) non-operating and/or non-recurring income or gains (less all fees and expenses related thereto) increasing Consolidated Net Income of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) for such period.

Notwithstanding the foregoing, to the extent not otherwise already included, the items specified in clauses (1) through (6) above for any Subsidiary (Restricted Subsidiary in the case of the Company) will be added to Consolidated Net Income in calculating Consolidated Adjusted EBITDA for any period:

- (a) in proportion to the percentage of the total Capital Stock of such Subsidiary (Restricted Subsidiary in the case of the Company) held directly or indirectly by such Person at the date of determination; and
- (b) to the extent that a corresponding amount would be permitted at the date of determination to be distributed to such Person by such Subsidiary (Restricted Subsidiary in the case of the Company) pursuant to its charter and bylaws (*estatutos sociales*) and each law, regulation, agreement or judgment applicable to such distribution.

“*Consolidated Debt to EBITDA Ratio*” means, with respect to any Person as of any date of determination, the ratio of the aggregate amount of Consolidated Indebtedness for such Person as of such date to Consolidated Adjusted EBITDA for such Person for the Four Quarter Period.

For purposes of this definition, Consolidated Indebtedness and Consolidated Adjusted EBITDA will be calculated after giving effect on a pro forma basis in good faith for the period of such calculation for the following:

- (1) the Incurrence, repayment or redemption of any Indebtedness (including Acquired Indebtedness) of such Person or any of its Subsidiaries (Restricted Subsidiaries in the case of the Company), and the application of the proceeds thereof, including the Incurrence of any Indebtedness (including Acquired

Indebtedness), and the application of the proceeds thereof, giving rise to the need to make such determination, occurring during such Four Quarter Period or at any time subsequent to the last day of such Four Quarter Period and prior to or on such date of determination, to the extent, in the case of an Incurrence, such Indebtedness is outstanding on the date of determination, as if such Incurrence, and the application of the proceeds thereof, repayment or redemption occurred on the first day of such Four Quarter Period;

- (2) any Asset Sale Transaction or Asset Acquisition by such Person or any of its Subsidiaries (Restricted Subsidiaries in the case of the Company), including any Asset Sale or Asset Acquisition giving rise to the need to make such determination, occurring during the Four Quarter Period or at any time subsequent to the last day of the Four Quarter Period and prior to or on such date of determination, as if such Asset Sale Transaction or Asset Acquisition occurred on the first day of the Four Quarter Period; and
- (3) in the case of the Company and the Subsidiary Guarantors, any reductions in net Indebtedness due to Investments made pursuant to clause (2) of “Permitted Investments” that are held as of the time of such calculation.

For purposes of making such pro forma computation, the amount of Indebtedness under any revolving credit facility will be computed based on:

- (a) the average daily balance of such Indebtedness during such Four Quarter Period; or
- (b) if such facility was created after the end of such Four Quarter Period, the average daily balance of such Indebtedness during the period from the date of creation of such facility to the date of such calculation,

in each case giving pro forma effect to any borrowings related to any transaction referred to in clause (2) above.

“*Consolidated Interest Coverage Ratio*” means, with respect to any Person as of any date of determination, the ratio of the aggregate amount of Consolidated Adjusted EBITDA of such Person for the four most recent full fiscal quarters for which financial statements are available ending prior to the date of such determination (the “Four Quarter Period”) to Consolidated Interest Expense for such Person for such Four Quarter Period. For purposes of this definition, Consolidated Adjusted EBITDA and Consolidated Interest Expense will be calculated after giving effect on a pro forma basis in good faith for the period of such calculation for the following:

- (1) the Incurrence, repayment or redemption of any Indebtedness (including Acquired Indebtedness) of such Person or any of its Subsidiaries (Restricted Subsidiaries in the case of the Company) and the application of the proceeds thereof, including the Incurrence of any Indebtedness (including Acquired Indebtedness), and the application of the proceeds thereof, giving rise to the need to make such determination, occurring during such Four Quarter Period and at any time subsequent to the last day of such Four Quarter Period and prior to or on such date of determination, as if such Incurrence, and the application of the proceeds thereof, repayment or redemption occurred on the first day of such Four Quarter Period;
- (2) any Asset Sale Transaction or Asset Acquisition by such Person or any of its Subsidiaries (Restricted Subsidiaries in the case of the Company), including any Asset Sale or Asset Acquisition giving rise to the need to make such determination, occurring during the Four Quarter Period or at any time subsequent to the last day of the Four Quarter Period and prior to or on such date of determination, as if such Asset Sale Transaction or Asset Acquisition occurred on the first day of such Four Quarter Period;
- (3) the Consolidated Adjusted EBITDA attributable to discontinued operations, as determined in accordance with IFRS, and operations or businesses (and ownership interests therein) disposed of prior to the date of determination, will be excluded;
- (4) the Consolidated Interest Expense attributable to discontinued operations, as determined in accordance with IFRS, and operations or businesses (and ownership interests therein) disposed of prior to the date of determination, will be excluded, but only to the extent that the obligations giving rise to such Consolidated Interest Expense will not be obligations of the specified Person or any of its Restricted Subsidiaries following the date of determination;

- (5) any Person that is a Restricted Subsidiary on the date of determination or that becomes a Restricted Subsidiary on the date of determination will be deemed to have been a Restricted Subsidiary at all times during such Four Quarter Period; and
- (6) any Person that is not a Restricted Subsidiary on the date of determination or would cease to be a Restricted Subsidiary on the date of determination will be deemed not to have been a Restricted Subsidiary at any time during such Four Quarter Period.

For purposes of making such pro forma computation:

- (a) interest on any Indebtedness bearing a floating rate of interest will be calculated as if the rate in effect on the applicable date of determination had been the applicable rate for the entire Four Quarter Period (taking into account any Interest Rate Agreements applicable to such Indebtedness);
- (b) interest on any Indebtedness under a revolving credit facility will be computed based upon the average daily balance of such Indebtedness during such Four Quarter Period, or if such facility was created after the end of such Four Quarter Period, the average daily balance of such Indebtedness during the period from the date of creation of such facility to the date of such calculation; and
- (c) interest on Indebtedness that may optionally be determined at an interest rate based upon a factor of a prime or similar rate, a eurocurrency interbank offered rate, or other rate, will be deemed to have been based upon the rate actually chosen, or, if none, then based upon such optional rate chosen as the Company may designate.

“Consolidated Income Tax Expense” means, with respect to any Person for any period, the provision for federal, state, local and any other income taxes payable by such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) for such period as determined on a consolidated basis in accordance with IFRS.

“Consolidated Indebtedness” means, with respect to any Person as of any date of determination, an amount equal to the aggregate amount (without duplication) of all Indebtedness of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) outstanding at such time determined in accordance with IFRS and as set forth in the most recent consolidated balance sheet of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company).

“Consolidated Interest Expense” means, with respect to any Person for any period, the sum (without duplication) determined on a consolidated basis in accordance with IFRS of, net of any interest income:

- (1) the aggregate of cash and non-cash interest expense of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) for such period determined on a consolidated basis in accordance with IFRS, including, without limitation, the following (whether or not interest expense in accordance with IFRS):
 - (a) any amortization or accretion of debt discount or any interest paid on Indebtedness of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) in the form of additional Indebtedness;
 - (b) any amortization of deferred financing costs;
 - (c) the net costs under Hedging Obligations (including amortization of fees) in respect of Indebtedness or that are otherwise treated as interest expense or equivalent under IFRS; provided that if Hedging Obligations result in net benefits rather than costs, such benefits will be credited to reduce Consolidated Interest Expense unless, pursuant to IFRS, such net benefits are otherwise reflected as a cash gain in Consolidated Net Income;
 - (d) all capitalized interest;
 - (e) the interest portion of any deferred payment obligation;
 - (f) commissions, discounts and other fees and charges Incurred in respect of letters of credit or bankers’ acceptances;
 - (g) any interest expense on Indebtedness of another Person that is Guaranteed by such Person or one of its Subsidiaries (Restricted Subsidiaries in the case of the Company) or secured

by a Lien on the assets of such Person or one of its Subsidiaries (Restricted Subsidiaries in the case of the Company), whether or not such Guarantee or Lien is called upon; and

- (2) the interest component of Capitalized Lease Obligations paid, accrued and/or scheduled to be paid or accrued by such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) during such period; and
- (3) the product of:
 - (x) cash and non-cash dividends paid, declared, accrued or accumulated on any Disqualified Capital Stock of the Company or a Restricted Subsidiary, except for dividends payable in the Company's Qualified Capital Stock or paid to the Company or to a Restricted Subsidiary, and
 - (y) a fraction, the numerator of which is one and the denominator of which is one minus the sum of the currently effective combined Federal, state, local and foreign tax rate applicable to the Company and its Restricted Subsidiaries.

"Consolidated Net Income" means, with respect to any Person for any period, the aggregate net income (or loss) of such Person and its Subsidiaries (after deducting (or adding) the portion of such net income (or loss) attributable to minority interests in Subsidiaries of such Person) for such period on a consolidated basis, determined in accordance with IFRS; provided that there will be excluded therefrom to the extent reflected in such aggregate net income (loss):

- (1) net after-tax gains or losses from Asset Sale Transactions or abandonments or reserves relating thereto;
- (2) net after-tax items classified as extraordinary gains or losses or income or expenses or charges;
- (3) the net income (or loss) of any Person, other than such Person and any Subsidiary of such Person (Restricted Subsidiary in the case of the Company); except that the Company's equity in the net income of any Person will be included up to the aggregate amount of cash actually distributed by such Person during such period to the Company or a Restricted Subsidiary as a dividend or other distribution (subject, in the case of a dividend or other distribution to a Restricted Subsidiary, to the limitations contained in clause (4) below); and except further that the Company's equity in the net loss of any Person will be included to the extent such loss has been funded with cash from the Company or a Restricted Subsidiary;
- (4) solely for the purpose of determining the amount available for Restricted Payments under clause (3)(A) of "*Covenants—Limitation on Restricted Payments*," the net income (but not loss) of any Subsidiary of such Person (Restricted Subsidiary in the case of the Company) to the extent that a corresponding amount could not be distributed to such Person at the date of determination as a result of any restriction pursuant to the constituent documents of such Subsidiary (Restricted Subsidiary in the case of the Company) or any law, regulation, agreement or judgment applicable to any such distribution;
- (5) any restoration to income of any contingency reserve, except to the extent that provision for such reserve was made out of Consolidated Net Income accrued at any time following the Issue Date;
- (6) any gain (or loss) from foreign exchange translation or change in net monetary position;
- (7) any net gain or loss (after any offset) resulting in such period from Hedging Obligations entered into for bona fide hedging purposes and not for speculative purposes; provided that the net effect on income or loss (including in any prior periods) will be included upon any termination or early extinguishment of such Hedging Obligations, other than any Hedging Obligations with respect to Indebtedness (that is not itself a Hedging Obligation) and that are extinguished concurrently with the termination or other prepayment of such Indebtedness; and
- (8) the cumulative effect of changes in accounting principles.

"Consolidated Net Tangible Assets" means the total of all assets appearing on the Company's consolidated balance sheet less (i) all current liabilities (other than current maturities of long-term debt) and (ii) all intangibles.

“*Consolidated Non-cash Charges*” means, with respect to any Person for any period, the aggregate depreciation, amortization and other non-cash expenses or losses of such Person and its Subsidiaries (Restricted Subsidiaries in the case of the Company) for such period, determined on a consolidated basis in accordance with IFRS (excluding any such charge which constitutes an accrual of or a reserve for cash charges for any future period or the amortization of a prepaid cash expense paid in a prior period).

“*Controlling Secured Parties*” means, with respect to any Shared Collateral, the Series of Secured Parties whose Authorized Representative is the Applicable Authorized Representative for such Shared Collateral.

“*Covenant Defeasance*” has the meaning set forth under “—Legal Defeasance and Covenant Defeasance.”

“*Covenant Suspension Event*” has the meaning set forth under “—Covenant Suspension.”

“*CSPCP*” means Cosco Shipping Ports Chancay Perú S.A., a company incorporated under the laws of Peru, to own, develop and construct the Chancay Port.

“*Currency Agreement*” means any foreign exchange forward contract, currency swap agreement or other similar agreement or arrangement designed to protect against fluctuations in foreign exchange rates.

“*Default*” means an event or condition the occurrence of which is, or with the lapse of time or the giving of notice or both would be, an Event of Default.

“*Designation Amount*” has the meaning set forth under “—Covenants—Limitation on Designation of Unrestricted Subsidiaries” above.

“*Disqualified Capital Stock*” means that portion of any Capital Stock which, by its terms (or by the terms of any security into which it is convertible or for which it is exchangeable at the option of the holder thereof), or upon the happening of any event, matures or is mandatorily redeemable, pursuant to a sinking fund obligation or otherwise, or is redeemable at the sole option of the holder thereof.

“*DIP Financing*” has the meaning set forth under “—Intercreditor Agreement— Enforcement of the Collateral and Certain Bankruptcy and Insolvency Limitations” above.

“*DIP Financing Liens*” has the meaning set forth under “—Intercreditor Agreement— Enforcement of the Collateral and Certain Bankruptcy and Insolvency Limitations” above.

“*DIP Lenders*” has the meaning set forth under “—Intercreditor Agreement— Enforcement of the Collateral and Certain Bankruptcy and Insolvency Limitations” above.

“*Empresa Administradora Cerro*” means Empresa Administradora Cerro S.A.C.

“*Empresa Minera Paragsha*” means Empresa Minera Paragsha S.A.C.

“*Equity Interests*” means any and all shares of Capital Stock, partnership interests, membership interests in a limited liability company, beneficial interests in a trust, participations, quotas or other ownership interests in a Person, any and all warrants, options or other rights entitling the holder thereof to purchase any of the foregoing or any securities convertible into or exchangeable or exercisable for any of the foregoing.

“*Equity Interests Trust Agreement*” has the meaning set forth under “—Collateral.”

“*Equity Offering*” means an offering for cash, after the Issue Date, of Qualified Capital Stock of the Company or of any direct or indirect parent of the Company (to the extent the proceeds thereof are contributed to the common equity of the Company).

“*Event of Default*” has the meaning set forth under “—Events of Default.”

“*Excess Proceeds*” has the meaning set forth under “Covenants—Limitation on Asset Sales.”

“*Exchange Act*” means the U.S. Securities Exchange Act of 1934, as amended, or any successor statute or statutes thereto.

“*Existing Liens*” has the meaning set forth under “—Collateral” above.

“*Existing Notes*” means the Existing 2026 Notes and the Existing 2030 Notes.

“*Existing Trusts*” means, collectively, the trusts patrimonies (*patrimonios fideicometidos*) established by means of the Existing Trust Agreements.

“*Existing Trust Agreements*” means, collectively, (i) the trust agreement entered into by the Company and Banco Internacional del Perú S.A.A. – Interbank on August 5, 2013, as amended from time to time prior to the Issue Date, (ii) the trust agreement entered into by Compañía Minera Alpacamarca S.A.C. (currently, Compañía Minera Chungar) and Banco Internacional del Perú S.A.A. – Interbank on June 30, 2015, as amended from time to time prior to the Issue Date, and (iii) the trust agreement entered into by Empresa Administradora Cerro and Banco Internacional del Perú S.A.A. – Interbank on August 7, 2013, as amended from time to time prior to the Issue Date, collectively, into which 100% of the collection rights and cash flows from the sale of concentrates carried out by the Company, Compañía Minera Chungar and Empresa Administradora Cerro, respectively, were transferred as trust assets (*bienes fideicometidos*) to the Existing Trusts.

“*Existing 2026 Notes*” means the Company’s 4.375% Senior Notes due 2026.

“*Existing 2030 Notes*” means the Company’s 8.750% Senior Secured Notes due 2030 issued pursuant to the Existing 2030 Notes Indenture.

“*Existing 2030 Secured Parties*” means the Trustee, the Notes Collateral Agent and any other collateral agent, collateral trustee or similar representative for holders of Existing 2030 Notes, in each case, acting on behalf of the Trustee or the Holders of the outstanding Existing 2030 Notes from time to time.

“*Existing 2030 Notes Indenture*” means that certain indenture, dated as of September 10, 2024, by and among the Company, the subsidiary guarantors named therein and the Existing 2030 Notes Trustee.

“*Existing 2030 Notes Trustee*” means Citibank, N.A., in its capacity as trustee under the Existing 2030 Indenture.

“*Existing 2030 Notes Collateral Agent*” means Citibank, N.A., in its capacity as trustee under the Existing 2030 Indenture pursuant to the Intercreditor Agreement, or a successor thereto.

“*Fair Market Value*” means, with respect to any asset, the price (after taking into account any liabilities relating to such assets) which could be negotiated in an arm’s-length free market transaction, for cash, between a willing seller and a willing and able buyer, neither of which is under any compulsion to complete the transaction; provided that the Fair Market Value of any such asset or assets, if greater than US\$5.0 million, will be determined conclusively by the Board of Directors of the Company acting in good faith, and will be evidenced by a Board Resolution.

“*Fitch*” means Fitch Ratings Ltd. or any successor to the rating agency business thereof.

“*First Lien Debt Documents*” means the Existing 2030 Notes Indenture and any Additional First Lien Document.

“*Guarantee*” means any obligation, contingent or otherwise, of any Person directly or indirectly guaranteeing any Indebtedness of any other Person:

- (1) to purchase or pay, or advance or supply funds for the purchase or payment of, such Indebtedness of such other Person, whether arising by virtue of partnership arrangements, or by agreement to keep-well, to purchase assets, goods, securities or services, to take-or-pay, or to maintain financial statement conditions or otherwise; or
- (2) entered into for purposes of assuring in any other manner the obligee of such Indebtedness of the payment thereof or to protect such obligee against loss in respect thereof, in whole or in part;

provided that “*Guarantee*” will exclude endorsements for collection or deposit in the ordinary course of business. “*Guarantee*,” when used as a verb, has a corresponding meaning.

“*Hedging Obligations*” means the obligations of any Person pursuant to any Interest Rate Agreement, Currency Agreement or Commodity Agreement.

“*Holder*” means the Person in whose name a Note is registered in the note register pursuant to the terms of the Indenture.

“*IFRS*” means the International Financial Reporting Standards as adopted by the International Accounting Standards Board which are in effect from time to time.

“*Incur*” means, with respect to any Indebtedness or other obligation of any Person, to create, issue, incur (including by conversion, exchange or otherwise), assume, Guarantee or otherwise become liable in respect of such

Indebtedness or other obligation on the balance sheet of such Person (and “Incurrence” and “Incurred” will have meanings correlative to the foregoing); provided that (1) any Indebtedness of a Person existing at the time such Person becomes a Restricted Subsidiary of the Company will be deemed to be Incurred by such Restricted Subsidiary at the time it becomes a Restricted Subsidiary of the Company and (2) neither the accrual of interest nor the accretion of original issue discount nor the payment of interest in the form of additional Indebtedness with the same terms and the payment of dividends on Disqualified Capital Stock or Preferred Stock in the form of additional shares of the same class of Disqualified Capital Stock or Preferred Stock will be considered an Incurrence of Indebtedness.

“*Indebtedness*” means, with respect to any Person, without duplication:

- (1) the principal amount (or, if less, the accreted value) of all obligations of such Person for borrowed money;
- (2) the principal amount (or, if less, the accreted value) of all obligations of such Person evidenced by bonds, debentures, notes or other similar instruments;
- (3) all Capitalized Lease Obligations of such Person;
- (4) all obligations of such Person issued or assumed as the deferred purchase price of property, all conditional sale obligations and all obligations under any title retention agreement (but excluding the amount of the advance payments in sale agreements, whether these are accounted for as trade accounts payable or indebtedness in the ordinary course of business with a maturity of up to three (3) years);
- (5) all reimbursement obligations of such Person in respect of the face amount of letters of credit or other similar instruments (other than obligations with respect to letters of credit securing obligations (other than obligations described in clauses (1), (2) and (4) above) entered into in the ordinary course of business of such Person, to the extent such letters of credit are not drawn upon or, if and to the extent drawn upon, such drawing is reimbursed no later than the third Business Day following receipt by such Person of a demand for reimbursement following payment on the letter of credit);
- (6) Guarantees and other contingent obligations of such Person in respect of Indebtedness referred to in clauses (1) through (5) above and clauses (8) through (11) below;
- (7) all Indebtedness of any other Person of the type referred to in clauses (1) through (6) above which is secured by any Lien on any property or asset of such Person, the amount of such Indebtedness being deemed to be the lesser of the Fair Market Value of such property or asset and the amount of the Indebtedness so secured;
- (8) all net obligations under Hedging Obligations of such Person (excluding any obligations to pay to Peruvian authorities amounts due in connection with Taxes) (the amount of any such obligations to be equal at any time to the termination value of such agreement or arrangement giving rise to such obligation that would be payable by such Person at such time);
- (9) all liabilities recorded on the balance sheet of such Person in connection with a sale or other disposition of accounts receivables and related assets;
- (10) all Disqualified Capital Stock issued by such Person with the amount of Indebtedness represented by such Disqualified Capital Stock being equal to the greater of its voluntary or involuntary liquidation preference and its maximum fixed repurchase price, but excluding accrued dividends, if any; provided that:
 - (a) if the Disqualified Capital Stock does not have a fixed repurchase price, such maximum fixed repurchase price will be calculated in accordance with the terms of the Disqualified Capital Stock as if the Disqualified Capital Stock were purchased on any date on which Indebtedness will be required to be determined pursuant to the Indenture;
 - (b) if the maximum fixed repurchase price is based upon, or measured by, the fair market value of the Disqualified Capital Stock, the fair market value will be the Fair Market Value thereof; and

- (11) all liabilities recorded on the balance sheet of such Person in connection with any equity commitments, whether pursuant to letters of credit or otherwise, other than any such liabilities in connection with any equity contribution commitment that (i) is or would be permitted under the covenant “—Limitation on Restricted Payments” so long as treated as an Investment and (ii) the corresponding amount of the equity contribution commitment is deposited in a reserve account and is not recognized as cash, Cash Equivalents or marketable securities of the Person or any of its Subsidiaries in calculating the Consolidated Indebtedness thereof.

The amount of Indebtedness of any Person at any date will be the outstanding balance at such date of all unconditional obligations as described above and the maximum liability, upon the occurrence of the contingency giving rise to the obligation, of any contingency obligations at such date.

“Insolvency or Liquidation Proceeding” means:

- (1) any case or proceeding commenced by or against the Company or any other Subsidiary Guarantor under any Bankruptcy Law, any other case or proceeding for the reorganization, recapitalization or adjustment or marshalling of the assets or liabilities of the Company or any other Subsidiary Guarantor, any receivership or assignment for the benefit of creditors relating to the Company or any other Subsidiary Guarantor or any similar case or proceeding relative to the Company or any other Subsidiary Guarantor or its creditors, as such, in each case whether or not voluntary;
- (2) any liquidation, dissolution, marshalling of assets or liabilities or other winding up of or relating to the Company or any other Subsidiary Guarantor, in each case whether or not voluntary and whether or not involving bankruptcy or insolvency; or
- (3) any other case or proceeding of any type or nature in which substantially all claims of creditors of the Company or any other Subsidiary Guarantor are determined and any payment or distribution is or may be made on account of such claims.

“Intercreditor Agreement” means that certain Intercreditor Agreement, dated as of July 24, 2024, among the Peruvian Collateral Agent, the Chilean Collateral Agent, the Existing 2030 Notes Trustee, the Existing 2030 Notes Collateral Agent, the Company and the Subsidiary Guarantors, and, upon execution of (i) the Joinder Agreement, the Trustee and the Notes Collateral Agent and/or (2) any other joinder thereto in accordance with the terms thereof, the respective agents or representatives of the applicable Additional First Lien Secured Parties, as permitted by the Indenture and the Collateral Documents.

“Interest Rate Agreement” means, with respect to any Person, any interest rate protection agreement (including, without limitation, interest rate swaps, caps, floors, collars, derivative instruments and similar agreements) and/or other types of hedging agreements designed solely to hedge interest rate risk of such Person.

“Investment” means, with respect to any Person, any:

- (1) direct or indirect loan, advance or other extension of credit (including, without limitation, a Guarantee) or performance guarantee to any other Person (other than advances or extensions of credit to customers in the ordinary course of business);
- (2) capital contribution (including any commitment to make such capital contribution) (by means of any transfer of cash or other property to others or any payment for property or services for the account or use of others) to any other Person; or
- (3) any purchase or acquisition by such Person of any Capital Stock, bonds, notes, debentures or other securities or evidences of Indebtedness issued by, any other Person.

“Investment” will exclude accounts receivable or deposits arising in the ordinary course of business. “Invest,” “Investing” and “Invested” have corresponding meanings.

For purposes of the “—Limitation on Restricted Payments” covenant, the Company will be deemed to have made an “Investment” in an Unrestricted Subsidiary at the time of its Unrestricted Subsidiary Designation, which will be valued at the Fair Market Value of the sum of the net assets of such Unrestricted Subsidiary at the time of its Unrestricted Subsidiary Designation and the amount of any Indebtedness of such Unrestricted Subsidiary or owed to

the Company or any Restricted Subsidiary immediately following such Unrestricted Subsidiary Designation. Any property transferred to or from an Unrestricted Subsidiary will be valued at its Fair Market Value at the time of such transfer. If the Company or any Restricted Subsidiary sells or otherwise disposes of any Capital Stock of a Restricted Subsidiary (including any issuance and sale of Capital Stock by a Restricted Subsidiary) such that, after giving effect to any such sale or disposition, such Restricted Subsidiary would cease to be a Subsidiary of the Company, the Company will be deemed to have made an Investment on the date of any such sale or disposition equal to the sum of the Fair Market Value of the Capital Stock of such former Restricted Subsidiary held by the Company or any Restricted Subsidiary immediately following such sale or other disposition and the amount of any Indebtedness of such former Restricted Subsidiary Guaranteed by the Company or any Restricted Subsidiary or owed to the Company or any other Restricted Subsidiary immediately following such sale or other disposition.

“Investment Grade Rating” means a rating equal to or higher than (a) BBB-, in the case of S&P and Fitch, and (b) Baa3, in the case of Moody’s.

“Issue Date” means the first date of issuance of Notes under the Indenture.

“Joinder Agreement” means a joinder to the Intercreditor Agreement required to be delivered by the Trustee and the Collateral Agent, or by an Additional First Lien Debt Representative and the related Additional First Lien Debt Collateral Agent, as applicable, in order to establish an additional Series of Secured Obligations and add Secured Parties under the Intercreditor Agreement.

“Legal Defeasance” has the meaning set forth under “—Legal Defeasance and Covenant Defeasance.”

“Lien” means any lien, mortgage, deed of trust, pledge, security interest, charge or encumbrance of any kind (including any conditional sale or other title retention agreement, any lease in the nature thereof and any agreement to give any security interest); provided that the lessee in respect of a Capitalized Lease Obligation or Sale and Leaseback Transaction will be deemed to have Incurred a Lien on the property leased thereunder; provided that in no event shall an operating lease be deemed to constitute a Lien.

“Major Non-Controlling Authorized Representative” means, with respect to any Shared Collateral, the Authorized Representative of the Series of Secured Obligations that constitutes the largest outstanding principal amount of any then outstanding Series of Secured Obligations, excluding the Secured Obligations represented by the Applicable Authorized Representative, with respect to such Shared Collateral.

“Mining Units” means the productive mining units consisting of San Cristobal - Carahuacra, Andaychagua, Ticlio;, Mahr Tunel, Chungar, El Pilar, Huascaran, Vichaycocha, San Sebastian, Cerro and Oxidos, in each case, owned by the Company and its Subsidiaries (including mining concessions, land properties, plants and all other assets that are part of such productive mining units), but specifically excluding, for the avoidance of doubt, the mining unit of Alparmarca and the Romina Project.

“Moody’s” means Moody’s Investors Service, Inc., or any successor to the rating agency business thereof.

“Mortgages over Production Units Agreements” has the meaning set forth under “—Collateral.”

“Mortgages over Real Property Agreements” has the meaning set forth under “—Collateral.”

“Net Cash Proceeds” means, with respect to any Asset Sale, the proceeds in the form of cash or Cash Equivalents, including payments in respect of deferred payment obligations when received in the form of cash or Cash Equivalents received by the Company or any of its Restricted Subsidiaries from such Asset Sale, net of:

- (1) reasonable out-of-pocket expenses and fees relating to such Asset Sale (including, without limitation, legal, accounting and investment banking fees and sales commissions);
- (2) taxes paid or payable in respect of such Asset Sale after taking into account any reduction in consolidated tax liability due to available tax credits or deductions and any tax sharing arrangements;
- (3) repayment of Indebtedness secured by a Lien permitted under the Indenture that is required to be repaid in connection with such Asset Sale;
- (4) all distributions and other payments required to be made to minority interest holders in Subsidiaries or joint ventures as a result of such Asset Sale; and
- (5) appropriate amounts to be provided by the Company or any Restricted Subsidiary, as the case may be, as a reserve, in accordance with IFRS, against any liabilities associated with such Asset Sale and

retained by the Company or any Restricted Subsidiary, as the case may be, after such Asset Sale, including, without limitation, pension and other post-employment benefit liabilities, liabilities related to environmental matters and liabilities under any indemnification obligations associated with such Asset Sale, but excluding any reserves with respect to Indebtedness.

“*New Cash Flows Trust*” means the trust patrimony (*patrimonio fideicometido*) incorporated by means of the New Cash Flows Trust Agreement.

“*New Cash Flows Trust Agreement*” has the meaning set forth under “—Collateral.”

“*Non-Controlling Authorized Representative*” means, at any time with respect to any Shared Collateral, any Authorized Representative that is not the Applicable Authorized Representative at such time with respect to such Shared Collateral.

“*Non-Controlling Authorized Representative Enforcement Date*” means, with respect to any Non-Controlling Authorized Representative under the Intercreditor Agreement, the date which is 120 days (throughout which 120-day period such Non-Controlling Authorized Representative was the Major Non-Controlling Authorized Representative) after the occurrence of both (i) an event of default (under and as defined in the Notes or in the Additional First Lien Document, as applicable, under which such Non-Controlling Authorized Representative is the Authorized Representative) and (ii) receipt by each of the Applicable Collateral Agent, each other Collateral Agent, the Applicable Authorized Representative, and each other Authorized Representative of written notice from such Non-Controlling Authorized Representative certifying that (x) such Non-Controlling Authorized Representative is the Major Non-Controlling Authorized Representative and that an event of default (under and as defined in the Notes or the Additional First Lien Document, as applicable, under which such Non-Controlling Authorized Representative is the Authorized Representative) has occurred and is continuing and (y) the Existing 2030 Notes, the Notes Obligations or the Additional First Lien Debt of the Series with respect to which such Non-Controlling Authorized Representative is the Authorized Representative are currently due and payable in full (whether as a result of acceleration thereof or otherwise) in accordance with the terms of the Notes or the Additional First Lien Document, as applicable; *provided* that, such Event of Default (under and as defined in the Notes or the Additional First Lien Document, as applicable, under which such Non-Controlling Authorized Representative is the Authorized Representative) shall be continuing at the end of such 120-day period; *provided, further* that the Non-Controlling Authorized Representative Enforcement Date shall be stayed and shall not occur and shall be deemed not to have occurred with respect to any Shared Collateral (1) at any time the Applicable Authorized Representative or the Applicable Collateral Agent (or the Peruvian Collateral Agent or the Chilean Collateral Agent, as applicable, on behalf of and at the instruction of the Applicable Authorized Representative or the Applicable Collateral Agent) has commenced and is diligently pursuing any enforcement action with respect to such Shared Collateral or (2) at any time the Company or the Subsidiary Guarantor which has granted a security interest in such Shared Collateral is then a debtor under or with respect to (or otherwise subject to) any Insolvency or Liquidation Proceeding.

“*Non-Controlling Secured Parties*” means, at any time with respect to any Shared Collateral, the Secured Parties which are not Controlling Secured Parties at such time with respect to such Shared Collateral.

“*Non-Core Asset Sales*” means any transaction or series of related transactions involving property or assets resulting in Net Cash Proceeds of not more than US\$15.0 million (or the equivalent in other currencies) in the aggregate in any Fiscal Year.

“*Non-Guarantor Designation*” has the meaning set forth under “—Covenants—Limitation on Designation of Non-Guarantor Restricted Subsidiaries” above.

“*Non-Guarantor Restricted Subsidiary*” has the meaning set forth under “—Covenants—Limitation on Designation of Non-Guarantor Restricted Subsidiaries.”

“*Notes*” has the meaning given to it in the preamble hereof.

“*Notes Collateral Agent*” means The Bank of New York Mellon, in its capacity as Trustee under the Indenture pursuant to the Intercreditor Agreement, or a successor thereto.

“*Notes Documents*” means the Indenture, the Notes and the Subsidiary Guarantees.

“*Notes Obligations*” means all Indebtedness and other obligations of the Company and the Subsidiary Guarantors under or with respect to the Notes Documents.

“Notes Secured Parties” means the Trustee, the Notes Collateral Agent and any other collateral agent, collateral trustee or similar representative for Holders, in each case, acting on behalf of the Trustee or the Holders of the outstanding Notes from time to time.

“Obligations” means, with respect to any Indebtedness, any principal, interest (including, without limitation, Post-Petition Interest), premium, Additional Amounts, penalties, fees, indemnifications, reimbursements, damages, and other liabilities payable under the documentation governing such Indebtedness, including in the case of the Notes and the Subsidiary Guarantees, the Indenture.

“OECD” means the Organization of Economic Cooperation and Development.

“Officer” means, with respect to any Person, the chairman of the Board of Directors, president, chief executive officer, chief financial officer, chief operating officer, or any vice president, treasurer or secretary of such Person.

“Officer’s Certificate” means, in connection with any action to be taken by the Company or any Subsidiary Guarantor a certificate signed by an Officer of such Person in accordance and compliance with the terms of the Indenture and that is delivered to the Trustee.

“Opinion of Counsel” means a written opinion of counsel, who may be counsel for the Company (except as otherwise provided in the Indenture), obtained at the expense of the Company, a Surviving Entity or a Restricted Subsidiary, and who is reasonably acceptable to the Trustee.

“Permitted Business” means the business or businesses conducted by the Company and its Restricted Subsidiaries as of the Issue Date and any business that is reasonably related, complementary, incidental or ancillary thereto or is an extension or development of any thereof.

“Permitted Collateral Liens or Rights over Collateral” means any of the following Liens;

- (1) Liens securing the Notes;
- (2) Existing Liens on Issue Date and any extension, renewal or replacement thereof, provided that the Liens in the extension, renewal or replacement are, taken as a whole, no more adverse in any material respect to the Noteholders than the Liens being extended, renewed or replaced;
- (3) Pre-Existing Liens on Future Collateral to the extent related to the Company and the Subsidiary Guarantors’ obligation under the covenant “After-Acquired Property”;
- (4) Statutory Liens of landlords and carriers, warehousemen, mechanics, suppliers, materialmen, repairmen, employees, pension plan administrators or other like Liens arising in the ordinary course of business and with respect to amounts being contested in good faith or Liens relating to attorney’s liens or bankers’ liens, rights of set-off or similar rights and remedies as to deposit accounts or other funds maintained with a creditor depository institution;
- (5) Liens incurred or deposits made in the ordinary course of business in connection with workers’ compensation, unemployment insurance and other types of social security and with respect to amounts being contested in good faith;
- (6) Lien securing letters of credit issued in the ordinary course of business consistent with past practice in connection therewith, or to secure the performance of tenders, statutory obligations, surety and appeal bonds, customs duties, bids, leases, government performance and return-of- money bonds and other similar obligations (exclusive of obligations for the payment of borrowed money);
- (7) Liens for taxes, assessments, governmental charges, levies or claims which are not yet due or thereafter can be paid without penalty or are being contested in good faith by appropriate proceedings and for which such reserves or other appropriate provisions, if any, have been established as required by IFRS;
- (8) judgment Liens not giving rise to an Event of Default so long as such Lien is adequately bonded and any appropriate legal proceedings which may have been duly initiated for the review of such judgment have not been finally terminated or the period within which such proceeding may be initiated has not expired;

- (9) Liens securing obligations to the Peruvian Ministry of Energy and Mines or other governmental authorities incurred in the ordinary course of business, including but not limited to mining closure plans;
- (10) Liens securing Additional First Lien Debt permitted to be Incurred pursuant to the covenant described under “—*Restrictive Covenants—Limitation on Incurrence of Additional Indebtedness*”; and
- (11) Rights of third-parties related to: (i) the shareholders agreement existing as of the Issue Date with CSPCP, pursuant to which CSPCP has a right of first refusal over the land owned by Roquel Global; (ii) the shareholders agreements existing as of the Issue Date with shareholders of Toruna and of Compañía Industrial Huacho, in respect of the shares owned by the Company or any of its Subsidiaries in such companies; and (iii) any shareholder agreement or arrangement entered into in connection with the contribution of a Subsidiary (other than Compañía Minera Chungar and Empresa Administradora Cerro) to a Permitted Joint Venture, to the extent entered into for Fair Market Value and under customary market conditions, and as otherwise permitted under the Indenture, *provided* that, no Lien to any third-party (other than any owner of the Equity Interests in such Permitted Joint Venture) shall be permitted over the Equity Interests of the Company, any Subsidiary Guarantor and any Restricted Subsidiary in the Permitted Joint Venture.

“*Permitted Holders*” means one or more of the following (i) Transition Metals AG, and (ii) any non-natural Person that is a direct or indirect Affiliate of any of the Persons referred to in the preceding clause (i) and with respect to which a Person or Persons listed in the preceding clause (i) owns the majority of the aggregate of the total voting power of the Voting Stock in such non-natural Person, on a fully diluted basis.

“*Permitted Indebtedness*” has the meaning set forth under clause (2) of “—*Covenants—Limitation on Incurrence of Additional Indebtedness*.”

“*Permitted Investments*” means:

- (1) any Investment in the Company or in a Restricted Subsidiary of the Company that is engaged in a Permitted Business;
- (2) any Investment in the Notes;
- (3) any Investment in Cash Equivalents;
- (4) any Investment by the Company or any Subsidiary of the Company in a Person, if as a result of such Investment:
 - (a) such Person becomes a Restricted Subsidiary of the Company that is a Subsidiary Guarantor engaged in a Permitted Business, or
 - (b) such Person is merged or consolidated with or into, or transfers or conveys substantially all its assets to, or is liquidated into, the Company or a Restricted Subsidiary that is a Subsidiary Guarantor engaged in a Permitted Business;
- (5) Investments received as non-cash consideration in an Asset Sale made pursuant to and in compliance with the provisions of “—*Covenants—Limitation on Asset Sales*” or a disposition excluded under the definition of Asset Sale;
- (6) any Investment acquired solely in exchange for Qualified Capital Stock of the Company or the licensing of intangible property;
- (7) Hedging Obligations otherwise permitted under the Indenture;
- (8) (i) receivables owing to the Company or any Restricted Subsidiary if created or acquired in the ordinary course of business, (ii) Cash Equivalents or other cash management investments or liquid or portfolio securities pledged as collateral pursuant to the covenant described under the caption “—*Covenants—Limitation on Liens*,” (iii) endorsements for collection or deposit in the ordinary course of business, and (iv) securities, instruments or other obligations received in compromise or settlement of debts created in the ordinary course of business, or by reason of a composition or readjustment of debts or reorganization of another Person, or in satisfaction of claims or judgments;

- (9) Investments in Unrestricted Subsidiaries and joint ventures engaged in a Permitted Business in an aggregate amount that, taken together with all other Investments made in reliance on this clause, not to exceed US\$50.0 million (net of, with respect to the Investment in any particular Person, the cash return thereon received after the Issue Date as a result of any sale for cash, repayment, redemption, liquidating distribution or other cash realization (not included in Consolidated Adjusted EBITDA), not to exceed the amount of Investments in such Person made after the Issue Date in reliance on this clause);
- (10) any Investment existing on the Issue Date or made pursuant to binding commitments in effect on the Issue Date or an Investment consisting of any extension, modification or renewal of any Investments existing as of the Issue Date (but not Investments involving additional advances, contributions or other investments of cash or property or other increases thereof, other than as a result of the accrual or accretion of interest or original issue discount or payment-in-kind pursuant to the terms of such Investment as of the Issue Date, or as otherwise permitted under the Indenture);
- (11) guarantees of Indebtedness permitted under “—Covenants—Limitation on Incurrence of Additional Indebtedness” and the creation of Liens on the assets of the Company or any Restricted Subsidiary in compliance with the covenant described under “—Covenants—Limitation on Liens”;
- (12) advances, loans or extensions of trade credit in the ordinary course of business by the Company or any of its Restricted Subsidiaries;
- (13) payroll, travel and other loans or advances to, or Guarantees issued to support the obligations of, officers and employees, in each case in the ordinary course of business; and
- (14) in addition to Investments listed above, Investments in Persons engaged in Permitted Businesses in an aggregate amount, taken together with all other Investments made in reliance on this clause (14), not to exceed US\$55.0 million.

“*Permitted Liens*” means any of the following Liens:

- (1) Liens existing on the Issue Date and any extension, renewal or replacement thereof;
- (2) statutory Liens of landlords and Liens of carriers, warehousemen, mechanics, suppliers, materialmen, repairmen and other Liens imposed by law incurred in the ordinary course of business for sums not yet delinquent or being contested in good faith, if such reserve or other appropriate provision, if any, as shall be required by IFRS shall have been made in respect thereof;
- (3) (a) licenses, sublicenses, leases or subleases granted by the Company or any of its Restricted Subsidiaries to other Persons not materially interfering with the conduct of the business of the Company or any of its Restricted Subsidiaries and (b) any interest or title of a lessor, sublessor or licensor under any lease or license agreement permitted by the Indenture to which the Company or any Restricted Subsidiary is a party;
- (4) Liens Incurred or deposits made in the ordinary course of business in connection with workers’ compensation, unemployment insurance and other types of social security and with respect to amounts being contested in good faith;
- (5) Lien securing letters of credit issued in the ordinary course of business consistent with past practice in connection therewith, or to secure the performance of tenders, statutory obligations, surety and appeal bonds, customs duties, bids, leases, government performance and return-of-money bonds and other similar obligations (exclusive of obligations for the payment of borrowed money);
- (6) Liens upon specific items of inventory or other goods and proceeds of any Person securing such Person’s obligations in respect of bankers’ acceptances issued or created for the account of such Person to facilitate the purchase, shipment or storage of such inventory or other goods;
- (7) Liens on patents, trademarks, service marks, trade names, copyrights, technology, know-how and processes to the extent such Liens arise from the granting of license to use such patents, trademarks, service marks, trade names, copyrights, technology, know-how and processes to any Person in the ordinary course of business of the Company or any of its Restricted Subsidiaries;

- (8) Liens securing reimbursement obligations with respect to commercial letters of credit which encumber documents and other property relating to such letters of credit and products and proceeds thereof;
- (9) Liens encumbering deposits made to secure obligations arising from statutory, regulatory, contractual, or warranty requirements of the Company or a Restricted Subsidiary, including rights of offset and set-off;
- (10) Liens for taxes, assessments or other governmental charges not yet subject to penalties for nonpayment or which are being contested in good faith by appropriate proceedings, provided that appropriate reserves required pursuant to IFRS have been made in respect thereof;
- (11) encumbrances, ground leases, easements or reservations of, or rights of others for, licenses, rights of way, sewers, electric lines, telegraph and telephone lines and other similar purposes, or zoning, building codes or other restrictions (including, without limitation, minor defects or irregularities in title and similar encumbrances) as to the use of real properties or liens incidental to the conduct of the business of such Person or to the ownership of its properties which do not in the aggregate materially adversely affect the value of said properties or materially impair their use in the operation of the business of such Person;
- (12) deposits in the ordinary course of business securing liability for reimbursement obligations of insurance carriers providing insurance to the Company or its Restricted Subsidiaries and any Liens thereon;
- (13) judgment Liens not giving rise to an Event of Default so long as such Lien is adequately bonded and any appropriate legal proceedings which may have been duly initiated for the review of such judgment have not been finally terminated or the period within which such proceeding may be initiated has not expired;
- (14) Liens arising solely by virtue of any statutory or common law provisions relating to banker's Liens, rights of set-off or similar rights and remedies as to deposit accounts or other funds maintained with a depository institution;
- (15) Liens securing Hedging Obligations;
- (16) Liens to secure any Refinancing Indebtedness which is Incurred to Refinance any Indebtedness which has been secured by a Lien permitted under the covenant described under "—Covenants—Limitation on Liens" not incurred pursuant to clause (18) or (20) below and which Indebtedness has been Incurred in accordance with "—Covenants—Limitation on Incurrence of Additional Indebtedness"; provided that such new Liens:
 - (a) are no less favorable to the Holders of Notes and are not more favorable to the lienholders with respect to such Liens than the Liens in respect of the Indebtedness being Refinanced; and
 - (b) do not extend to any property or assets other than the property or assets securing the Indebtedness Refinanced by such Refinancing Indebtedness;
- (17) Liens securing Indebtedness or other obligations of a Restricted Subsidiary owing to the Company or another Restricted Subsidiary and permitted to be Incurred under the Indenture;
- (18) Liens securing Acquired Indebtedness Incurred in accordance with "—Covenants—Limitation on Incurrence of Additional Indebtedness" not incurred in connection with, or in anticipation or contemplation of, the relevant acquisition, merger or consolidation; provided that:
 - (a) such Liens secured such Acquired Indebtedness at the time of and prior to the Incurrence of such Acquired Indebtedness by the Company or a Restricted Subsidiary and were not granted in connection with, or in anticipation of the Incurrence of such Acquired Indebtedness by the Company or a Restricted Subsidiary; and
 - (b) such Liens do not extend to or cover any property of the Company or any Restricted Subsidiary other than the property that secured the Acquired Indebtedness prior to the time such Indebtedness became Acquired Indebtedness of the Company or a Restricted

Subsidiary and are no more favorable to the lienholders than the Liens securing the Acquired Indebtedness prior to the Incurrence of such Acquired Indebtedness by the Company or a Restricted Subsidiary;

- (19) Liens securing Indebtedness permitted to be incurred pursuant to clause 2(m) under “—Covenants—Limitation of Incurrence of Additional Indebtedness;” provided that:
- (a) the related Purchase Money Indebtedness does not exceed the cost of such property and will not be secured by any property of the Company or any Restricted Subsidiary other than the property so acquired, constructed, improved or leased; and
 - (b) the Lien securing such Indebtedness will be created within 365 days of such acquisition, construction, improvement or lease;
- (20) Liens securing the Notes, Additional First Lien Debt and any Subsidiary Guarantees;
- (21) Sale and Leaseback Transactions pursuant to the proviso at the end of the covenant described under the caption “—Covenants—Limitation on Sale and Leaseback Transactions;”;
- (22) Liens arising from precautionary Uniform Commercial Code financing statement and similar filings in other jurisdictions regarding operating leases entered into by the Company or any of its Restricted Subsidiaries in the ordinary course of business;
- (23) Liens securing obligations to the Peruvian Ministry of Energy and Mines or other governmental authorities incurred in the ordinary course of business, including but not limited to mining closure plans;
- (24) first priority Liens on the Romina Project Assets securing the Romina Project Financing up to the amount of the Romina Project Financing permitted to be incurred under the Indenture and Collateral Documents, it being understood that such first priority Liens on the Romina Project Assets shall not be granted in favor of the Secured Parties; and
- (25) Liens securing an amount of Indebtedness outstanding at any one time not to exceed the greater of US\$130.0 million or 15% of the Company’s Consolidated Net Tangible Assets (or the equivalent in other currencies).

“*Person*” means an individual, partnership, limited partnership, corporation, company, limited liability company, unincorporated organization, trust or joint venture, or a governmental agency or political subdivision thereof.

“*Peruvian Bankruptcy Law*” means the Peruvian Bankruptcy Law (*Ley General del Sistema Concursal*) approved by Law No. 27809, as amended.

“*Peruvian Collateral Agent*” means Citibank del Perú S.A. or any successor thereto.

“*Peruvian Collateral Trustee*” means La Fiduciaria S.A. or any successor thereto.

“*Post-Petition Interest*” means all interest accrued or accruing after the commencement of any Insolvency or Liquidation Proceeding (and interest that would accrue but for the commencement of any Insolvency or Liquidation Proceeding) in accordance with and at the contract rate (including, without limitation, any rate applicable upon default) specified in the agreement or instrument creating, evidencing or governing any Indebtedness, whether or not, pursuant to applicable law or otherwise, the claim for such interest is allowed as a claim in such Insolvency or Liquidation Proceeding.

“*Pre-Existing Liens on Future Collateral*” means the Liens in effect as of the acquisition date over any material assets, including, but not limited to, any property, mining concessions, land, valuable infrastructure and fixed assets and Equity Interests, which are acquired after the Issue Date by the Company or any of the Subsidiary Guarantors and that are intended to be pledged as Collateral; provided, however, that such Liens are not Incurred in connection with, or in anticipation or contemplation of, the acquisition.

“*Preferred Stock*” means, with respect to any Person, any Capital Stock of such Person that has preferential rights over any other Capital Stock of such Person with respect to dividends, distributions or redemptions or upon liquidation.

“Purchase Money Indebtedness” means Indebtedness Incurred for the purpose of financing all or any part of the purchase price, or other cost of construction or improvement of any property; provided that the aggregate principal amount of such Indebtedness does not exceed the lesser of the Fair Market Value of such property or such purchase price or cost, including any Refinancing of such Indebtedness that does not increase the aggregate principal amount (or accreted amount, if less) thereof as of the date of the Refinancing.

“Qualified Capital Stock” means any Capital Stock that is not Disqualified Capital Stock and any warrants, rights or options to purchase or acquire Capital Stock that is not Disqualified Capital Stock that are not convertible into or exchangeable into Disqualified Capital Stock.

“Qualified Merger Jurisdiction” means (i) the Republic of Panama; (ii) the United States or any state or territory thereof; or (iii) any state member of the OECD whose sovereign debt is rated BBB or higher by S&P and Baa2 or higher by Moody’s.

“Rating Agencies” means (i) S&P, (ii) Moody’s and (iii) Fitch. In the event that any of S&P, Moody’s or Fitch is no longer in existence or issuing ratings, such organization, as the case may be, may be replaced by an internationally recognized statistical rating organization designated by the Company with notice to the Trustee.

“Rating Date” means in connection with a Change of Control Triggering Event, that date which is ninety (90) days prior to the earlier of (i) the occurrence of a Change of Control or (ii) public notice of the occurrence of a Change of Control or of the intention by the Company or any other Person or Persons to effect a Change of Control.

“Rating Decline” means in connection with a Change of Control Triggering Event, the occurrence, on or within ninety (90) days (which period will be (i) extended for so long as any of the Rating Agencies has publicly announced that it is considering a possible ratings change as a result of a Change of Control or (ii) reduced in the event of a Rating Reaffirmation to the date on which the Rating Reaffirmation has been obtained) after the earlier to occur of public notice of (i) the occurrence of a Change of Control or (ii) the intention by the Company or any other Person or Persons to effect a Change of Control, of any of the events listed below, in each case expressly as a result of such Change of Control:

- (a) in the event the Notes have an Investment Grade Rating by any two or more Rating Agencies on the Rating Date, the rating of the Notes by any such Rating Agency will be changed to below an Investment Grade Rating;
- (b) in the event the Notes have an Investment Grade Rating by any, but not two or more, of the Rating Agencies on the Rating Date, the rating of the Notes by such Rating Agency will be changed to below an Investment Grade Rating; or
- (c) in the event the Notes are rated below an Investment Grade Rating by any two or more Rating Agencies on the Rating Date, the rating of the Notes by any such Rating Agency will be decreased by one or more gradations (including gradations within rating categories as well as between rating categories).

“Rating Reaffirmation” means, (i) in connection with a Change of Control, a written reaffirmation from each Rating Agency then rating the Notes stating that the credit rating on the Notes, which was in effect immediately prior to a public notice of such Change of Control or of the intention of the Company or any Person to effect such Change of Control, will not be decreased as a result of such Change of Control and (ii) in connection with a release of Collateral in whole as described in clause (1) of “—Collateral Release”, a written reaffirmation from each Rating Agency then rating the Notes that the credit rating on the Notes, which as in effect immediately prior to the proposed release, will not be decreased by one or more gradations (including gradations within rating categories as well as between rating categories) as a result of such proposed release.

“Refinance” means, in respect of any Indebtedness, to refinance, extend, renew, defease, amend, increase, modify, supplement, restructure, refund, replace, repay, prepay, purchase, redeem or retire, or to issue other indebtedness or enter alternative financing arrangements, in each case in exchange or replacement for such indebtedness (in whole or in part), including by adding or replacing lenders, creditors, agents, borrowers or guarantors. “Refinanced” and “Refinancing” have correlative meanings.

“Refinancing Indebtedness” means Indebtedness of the Company or any Restricted Subsidiary issued to Refinance any other Indebtedness of the Company or a Restricted Subsidiary (including any successive refinancing) so long as:

- (1) the aggregate principal amount (or initial accreted value, if applicable) of such new Indebtedness as of the date of such proposed Refinancing does not exceed the aggregate principal amount (or initial accreted value, if applicable) of the Indebtedness being Refinanced (plus the amount of any premium required to be paid under the terms of the instrument governing such Indebtedness and the amount of reasonable expenses incurred by the Company in connection with such Refinancing);
- (2) such new Indebtedness has:
 - (a) a Weighted Average Life to Maturity that is equal to or greater than the Weighted Average Life to Maturity of the Indebtedness being Refinanced; and
 - (b) a final maturity that is equal to or later than the final maturity of the Indebtedness being Refinanced; and
- (3) if the Indebtedness being Refinanced is:
 - (a) Indebtedness of the Company or any Subsidiary Guarantor, then such Refinancing Indebtedness will be Indebtedness of the Company or such Subsidiary Guarantor; and
 - (b) Subordinated Indebtedness, then such Refinancing Indebtedness will be subordinated to the Notes or any relevant Subsidiary Guarantee, if applicable, at least to the same extent and in the same manner as the Indebtedness being Refinanced.

“*Replacement Collateral Assets*” means assets of similar nature and comparable value and quality used or useful in any business in which the Company or any of its Subsidiaries is engaged and any business related, ancillary or complimentary to such businesses.

“*Restricted Payment*” has the meaning set forth under “—Covenants—Limitation on Restricted Payments.”

“*Restricted Subsidiary*” means any Subsidiary of the Company which at the time of determination is not an Unrestricted Subsidiary.

“*Reversion Date*” has the meaning set forth under “—Covenant Suspension.”

“*Revocation*” has the meaning set forth under “—Covenants—Limitation on Designation of Unrestricted Subsidiaries.”

“*Romina Project*” means the mine expansion at Romina until the Romina Operational Date/

“*Romina Capex Reserve Account*” has the meaning set forth under “—Romina Capex Reserve Account.”

“*Romina Full Funding Date*” means the date on which the Romina Capex Reserve Account has been funded in an aggregate amount of \$125,000,000 (whether from Net Cash Proceeds from Non-Core Asset Sales, prepayments under offtake agreements, permitted financings, or as otherwise permitted under the Notes Documents, and including any amounts deposited for cost overruns). For the avoidance of doubt, all withdrawals from the Romina Capex Reserve Account from time to time shall be counted toward the \$125,000,000 aggregate funding amount.

“*Romina Operational Date*” has the meaning set forth under “—Romina Capex Reserve Account.”
 “*Romina Project*” means the mine expansion at Romina until the Romina Operational Date

“*Romina Project Assets*” means the property and other assets held solely by Compañía Minera Chungar and being developed as the Romina Project, excluding the Romina Capex Reserve Account, but including Alparmarca.

“*Romina Project Financing*” has the meaning set forth under “—Covenants—Limitation on Incurrence of Additional Indebtedness.”

“*Roquel Global*” means Roquel Global S.A.C.

“*Sale and Leaseback Transaction*” means any direct or indirect arrangement with any Person or to which any such Person is a party providing for the leasing to the Company or a Restricted Subsidiary of any property, whether owned by the Company or any Restricted Subsidiary at the Issue Date or later acquired, which has been or is to be sold or transferred by the Company or such Restricted Subsidiary to such Person or to any other Person by whom funds have been or are to be advanced on the security of such property.

“S&P” means S&P Global Ratings, a division of S&P Global Inc., or any successor to its rating agency business thereof.

“Secured Obligations” means all obligations secured under the Collateral, the Existing 2030 Notes and guarantees thereunder, the Notes, the Guarantees and the Additional First Lien Debt.

“Secured Parties” means the Notes Secured Parties, the Existing 2030 Secured Parties and the Additional First Lien Secured Parties with respect to each series of Additional First Lien Debt.

“Security Documents” means, collectively, the following documents:

- (1) the New Cash Flows Trust Agreement;
- (2) the Existing Trust Agreements, as amended as of July 24, 2024 (for the avoidance of doubt, the Existing Trust Agreements are listed as Security Documents to the extent they receive the cash flows that will be transferred to the New Cash Flows Trust);
- (3) the Equity Interests Trust Agreement;
- (4) the Chilean Share Pledge Agreement;
- (5) the Chilean Collateral Agency Agreement;
- (6) the Mortgages over Production Units Agreements;
- (7) the Mortgages over Real Property Agreements; and
- (8) all financing statements and other filings, recordings or registrations required by the Collateral Documents to be filed or made and all irrevocable power of attorneys notices and acknowledgements required to be given under and in respect of any such Security Document.

“Senior Indebtedness” means the Notes, the Subsidiary Guarantees, the Existing 2030 Notes and guarantees thereunder, the Additional First Lien Debt and any other Indebtedness of the Company or any Restricted Subsidiary that ranks equal in right of payment with the Notes, or the relevant Subsidiary Guarantee, as the case may be.

“Series” means (i) the Notes, (ii) the Existing 2030 Notes and (iii) each other issuance or incurrence of Debt that is secured on a pari passu basis with the foregoing.

“Shared Collateral” means, at any time, Collateral in which the holders of two or more Series of Senior Indebtedness (or the Collateral Agents for their benefit) hold a valid and perfected security interest at such time. If more than two Series of Senior Indebtedness are outstanding at any time and the holders of less than all Series of Senior Indebtedness hold a valid and perfected security interest in any Collateral at such time, then such Collateral shall constitute Shared Collateral for those Series of Senior Indebtedness that hold a valid and perfected security interest in such Collateral at such time and shall not constitute Shared Collateral for any Series which does not have a valid and perfected security interest in such Collateral at such time. For as long as there are any Secured Obligations outstanding other than the Notes Obligations (including the Secured Obligations under Existing 2030 Notes), all Collateral shall be Shared Collateral with respect to the Secured Obligations.

“Significant Subsidiary” means a Restricted Subsidiary of the Company that would constitute a “Significant Subsidiary” of the Company in accordance with Rule 1-02 under Regulation S-X under the Securities Act in effect on the Issue Date.

“Stated Maturity” means, with respect to any security, the date specified in such security as the fixed date on which the final payment of principal of such security is due and payable, including pursuant to any mandatory redemption provision (but excluding any provision providing for the repurchase of such security at the option of the holder thereof upon the happening of any contingency unless such contingency has occurred).

“Subordinated Indebtedness” means, with respect to the Company or any Restricted Subsidiary, any Indebtedness of the Company or such Restricted Subsidiary, as the case may be, which is expressly subordinated in right of payment to the Notes or the relevant Subsidiary Guarantee, as the case may be.

“Subsidiary” means, with respect to any Person, any other Person of which such Person owns, directly or indirectly, more than 50% of the voting power of the other Person’s outstanding Voting Stock.

“*Subsidiary Guarantee*” means the unconditional guarantee, on a joint and several basis, of the full and prompt payment of all Obligations of the Company under the Indenture and the Notes, in accordance with the terms of the Indenture.

“*Subsidiary Guarantor*” means (i) each of Compañía Minera Chungar, Empresa Administradora Cerro, Empresa Minera Paragsha, Compañía Industrial Huacho, Roquel Global, and Compañía Hidroeléctrica Tingo, and (ii) any other Subsidiary of the Company that provides a Subsidiary Guarantee in accordance with the provisions of the Indenture after the Issue Date.

“*Surviving Entity*” has the meaning set forth under “—Covenants—Limitation on Merger, Consolidation and Sale of Assets.”

“*Suspended Covenants*” has the meaning set forth under “—Covenant Suspension.”

“*Suspension Period*” has the meaning set forth under “—Covenant Suspension.”

“*Toruna*” means Minera Aurífera Toruna S.A.C.

“*Trustee*” means The Bank of New York Mellon, or a successor thereto.

“*Unrestricted Subsidiary*” means any Subsidiary of the Company designated as an Unrestricted Subsidiary pursuant to “—Covenants—Limitation on Designation of Unrestricted Subsidiaries.” Any such Unrestricted Subsidiary Designation may be revoked by a Board Resolution of the Company, subject to the provisions of such covenant.

“*Unrestricted Subsidiary Designation*” has the meaning set forth under “—Covenants—Limitation on Designation of Unrestricted Subsidiaries” above.

“*Vinchos*” means Empresa Explotadora de Vinchos Ltda. S.A.C.

“*Voting Stock*” means, with respect to any Person, securities of any class of Capital Stock of such Person then outstanding and normally entitled to vote in the election of members of the Board of Directors (or equivalent governing body) of such Person. The term “normally entitled” means without regard to any contingency.

“*Weighted Average Life to Maturity*” means, when applied to any Indebtedness at any date, the number of years (calculated to the nearest one-twelfth) obtained by dividing:

- (1) the then outstanding aggregate principal amount or liquidation preference, as the case may be, of such Indebtedness into
- (2) the sum of the products obtained by multiplying:
 - (a) the amount of each then remaining installment, sinking fund, serial maturity or other required payment of principal or liquidation preference, as the case may be, including payment at final maturity, in respect thereof, by
 - (b) the number of years (calculated to the nearest one-twelfth) which will elapse between such date and the making of such payment.

“*Wholly-Owned*” means, with respect to any Restricted Subsidiary, a Restricted Subsidiary all of the outstanding Capital Stock of which (other than any director’s qualifying shares) is owned by the Company and one or more Wholly Owned Restricted Subsidiaries (or a combination thereof).

“*Working Capital Financing*” means up to \$70,000,000 of lines of credit to be used solely for working capital.

BOOK-ENTRY, DELIVERY AND FORM

The certificates representing the notes will be issued in fully registered form without interest coupons. Notes sold in reliance on Rule 144A under the Securities Act initially will be represented by permanent notes in global, fully registered form without interest coupons (each, a “Restricted Global Note”). The notes sold in offshore transactions in reliance upon Regulation S under the Securities Act will initially be represented by permanent notes in global, fully registered form without interest coupons (each, a “Regulation S Global Note,” together with the Restricted Global Notes, the “Global Notes”). The Global Notes will be deposited with the Trustee as a custodian for DTC, as depositary, and registered in the name of a nominee of such depositary.

The Global Notes (and any notes issued in exchange therefor) will be subject to certain restrictions on transfer set forth therein and in the indenture and will bear the applicable legend regarding such restrictions set forth under the heading “Transfer Restrictions—Legends” herein. For a description of the restrictions on transfer of Certificated Securities and any interest in the Global Notes, see “Transfer Restrictions” and “Plan of Distribution—Notes Are Not Being Registered.”

The Global Notes

We expect that, pursuant to procedures established by DTC, (i) upon the issuance of the Global Notes, DTC or its custodian will credit, on its internal system, the principal amount at maturity of the individual beneficial interests represented by such Global Notes to the respective accounts of persons who have accounts with such depositary (“participants”) and (ii) ownership of beneficial interests in the Global Notes will be shown on, and the transfer of such ownership will be effected only through, records maintained by DTC or its nominee (with respect to interests of participants) and the records of participants (with respect to interests of persons other than participants). Such accounts initially will be designated by or on behalf of the initial purchasers and ownership of beneficial interests in the Global Notes will be limited to participants or persons who hold interests through participants. Holders may hold their interests in the Global Notes directly through DTC if they are participants in such system, or indirectly through organizations that are participants in such system.

So long as DTC or its nominee is the registered owner or holder of the notes, DTC or such nominee, as the case may be, will be considered the sole owner or holder of the notes represented by such Global Notes for all purposes under the indenture governing the notes. No beneficial owner of an interest in the Global Notes will be able to transfer that interest except in accordance with DTC’s procedures, in addition to those provided for under the indenture with respect to the notes.

Payments of the principal of, and premium (if any) and interest on, the Global Notes will be made to DTC or its nominee, as the case may be, as the registered owner thereof. Neither we, the Trustee, any paying agent, any transfer agent or the registrar will have any responsibility or liability for any aspect of the records relating to or payments made on account of beneficial ownership interests in the Global Notes or for maintaining, supervising or reviewing any records relating to such beneficial ownership interest.

We expect that DTC or its nominee, upon receipt of any payment of principal of, and premium (if any) and interest on the Global Notes, will credit participants’ accounts with payments in amounts proportionate to their respective beneficial interests in the principal amount of the Global Notes as shown on the records of DTC or its nominee. We also expect that payments by participants to owners of beneficial interests in the Global Notes held through such participants will be governed by standing instructions and customary practice, as is now the case with securities held for the accounts of customers registered in the names of nominees for such customers. Such payments will be the responsibility of such participants.

DTC has advised us that it will take any action permitted to be taken by a holder of notes (including the presentation of notes for exchange as described below) only at the direction of one or more participants to whose account the DTC interests in the Global Notes are credited and only in respect of such portion of the aggregate principal amount of notes as to which such participant or participants has or have given such direction. However, if there is an event of default under the indenture, DTC will exchange the Global Notes for Certificated Securities, which it will distribute to its participants and which will be legended as set forth under the heading “Transfer Restrictions” and “Plan of Distribution—Notes Are Not Being Registered.”

DTC has advised us as follows:

- DTC is a limited-purpose trust company organized under New York banking law,
- a “banking organization” within the meaning of the New York banking law,
- a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and
- a “clearing agency” registered pursuant to the provisions of Section 17A of the Exchange Act.

DTC holds and provides asset servicing for issues of U.S. and non-U.S. equity, corporate and municipal debt issues that participants deposit with DTC. DTC also facilitates the post-trade settlement among participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between participants’ accounts. This eliminates the need for physical movement of securities certificates. Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. Access to the DTC system is also available to indirect participants such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a participant, either directly or indirectly.

So long as DTC or its nominee is the registered owner of a Global Note, DTC or its nominee will be considered the sole owner or holder of the notes represented by that Global Note for all purposes under the indenture. Except as provided below, owners of beneficial interests in a Global Note:

- will not be entitled to have notes represented by the Global Note registered in their names;
- will not receive or be entitled to receive physical, certificated notes; and
- will not be considered the registered owners or holders of the notes under the indenture for any purpose, including with respect to the giving of any direction, instruction or approval to the Trustee under the indenture.

As a result, each investor who owns a beneficial interest in a Global Note must rely on the procedures of DTC to exercise any rights of a holder of notes under the indenture (and, if the investor is not a participant or an indirect participant in DTC, on the procedures of the DTC participant through which the investor owns its interest).

Payments of principal, premium, if any, and interest with respect to the notes represented by a Global Note will be made by the Trustee to DTC’s nominee as the registered holder of the Global Note. Neither we nor the Trustee will have any responsibility or liability for the payment of amounts to owners of beneficial interests in a Global Note, for any aspect of the records relating to or payments made on account of those interests by DTC, or for maintaining, supervising or reviewing any records of DTC relating to those interests.

Payments by participants and indirect participants in DTC to the owners of beneficial interests in a Global Note will be governed by standing instructions and customary practices and will be the responsibility of those participants or indirect participants and not of DTC, its nominee or us.

Transfers between participants in DTC will be effected under DTC’s procedures and will be settled in same-day funds. Transfers between participants in Euroclear and Clearstream will be effected in the ordinary way under the rules and operating procedures of those systems.

Cross-market transfers between DTC participants, on the one hand, and Euroclear or Clearstream participants, on the other hand, will be effected within DTC through the DTC participants that are acting as depositaries for Euroclear and Clearstream. To deliver or receive an interest in a Global Note held in a Euroclear or Clearstream account, an investor must send transfer instructions to Euroclear or Clearstream, as the case may be, under the rules and procedures of that system and within the established deadlines of that system. If the transaction meets its settlement requirements, Euroclear or Clearstream, as the case may be, will send instructions to its DTC depositary to take action to effect final settlement by delivering or receiving interests in the relevant Global Notes in DTC, and making or receiving payment under normal procedures for same-day funds settlement applicable to DTC.

Euroclear or Clearstream participants may not deliver instructions directly to the DTC depositaries that are acting for Euroclear or Clearstream.

Because of time zone differences, the securities account of a Euroclear or Clearstream participant that purchases an interest in a Global Note from a DTC participant will be credited on the business day for Euroclear or Clearstream immediately following the DTC settlement date. Cash received in Euroclear or Clearstream from the sale of an interest in a global note to a DTC participant will be received with value on the DTC settlement date but will be available in the relevant Euroclear or Clearstream cash account as of the business day for Euroclear or Clearstream following the DTC settlement date.

DTC, Euroclear and Clearstream have agreed to the above procedures to facilitate transfers of interests in the global notes among participants in those settlement systems. Neither we nor the Trustee will have any responsibility for the performance by DTC, Euroclear or Clearstream or their participants of indirect participants of their obligations under the rules and procedures governing their operations.

Certificated Securities

A Global Note is exchangeable for certificated notes in fully registered form without interest coupons (“Certificated Securities”) only in the following limited circumstances:

- DTC notifies us that it is unwilling or unable to continue as depositary for the Global Note and we fail to appoint a successor depositary within 90 days of such notice;
- DTC ceases to be registered as a clearing agency under the Securities Exchange Act of 1934 and a successor depositary is not appointed within 90 days;
- we, at our option, notify the Trustee that we elect to cause the issuance of Certificated Securities; or
- there shall have occurred and be continuing an event of default with respect to the notes under the indenture and DTC shall have requested the issuance of Certificated Securities.

Certificated Securities may not be exchanged for beneficial interests in any Global Note unless the transferor first delivers to the Trustee a written certificate (in the form provided in the indenture) to the effect that such transfer will comply with the appropriate transfer restrictions applicable to such notes. See “Transfer Restrictions” and “Plan of Distribution—Notes Are Not Being Registered.”

The laws of some states require that certain persons take physical delivery in definitive form of securities that they own. Consequently, the ability to transfer the notes will be limited to such extent.

Exchanges between Regulation S Notes and Restricted Global Notes

Beneficial interests in one Global Note may generally be exchanged for interests in another Global Note. Depending on whether the transfer is being made during or after the 40-day period commencing on the original issue date of the notes, and to which Global Note the transfer is being made, the seller may be required to provide certain written certifications in the form provided in the indenture. A beneficial interest in a Global Note that is transferred to a person who takes delivery through another Global Note will, upon transfer, become subject to any transfer restrictions and other procedures applicable to beneficial interests in the other Global Note.

Transfers involving exchanges of beneficial interests between the Regulation S Global Notes and the Restricted Global Notes will be effected by DTC by means of an instruction originated through the DTC deposit/withdrawal at custodian system. Accordingly, in connection with any such transfer, appropriate adjustments will be made to reflect a decrease in the principal amount of the Regulation S Global Note and a corresponding increase in the principal amount of the Restricted Global Note or vice versa, as applicable. Any beneficial interest in one of the Global Notes that is transferred to a person who takes delivery in the form of an interest in the other Global Note will, upon transfer, cease to be an interest in such Global Note and will become an interest in the other Global Note and, accordingly, will thereafter be subject to all transfer restrictions and other procedures applicable to beneficial interests in such other Global Note for so long as it remains such an interest.

TAXATION

General

This section summarizes the principal Peruvian tax and U.S. federal income tax considerations relating to the purchase, ownership and disposition of the notes. This summary does not provide a comprehensive description of all tax considerations that may be relevant to a decision to purchase the notes. This summary does not describe any tax consequences arising under the laws of any state, locality or taxing jurisdiction other than the United States and Peru.

This summary is based on the tax laws of Peru and the United States as in effect on the date of this offering memorandum, as well as regulations, rulings and decisions of Peru and the United States available on or before that date and now in effect. Those laws, rules, regulations and decisions are subject to change and changes could apply retroactively, which could affect the continued accuracy of this summary.

Prospective purchasers of the notes should consult their own tax advisors as to the Peruvian, U.S. or other tax consequences of the purchase, ownership and disposition of the notes or beneficial interests therein. They should especially consider how the tax considerations discussed below, as well as the application of state, local, foreign or other tax laws, could apply to them in their particular circumstances.

Peruvian Taxation

The discussion in this offering memorandum is not intended or written to be used, and cannot be used by any person, for the purpose of avoiding Peruvian taxation, and was written to support the promotion or marketing of the offering memorandum. Each investor should seek advice based on their particular circumstances from an independent tax advisor.

The following is a general summary of the material consequences under Peruvian income tax law, as in effect as of the date of this offering memorandum, derived from the purchase, ownership and disposition of beneficial interests in the notes by non-Peruvian holders. For purposes of this section, “non-Peruvian holder” means either: (i) an individual who is not domiciled in Peru or (ii) a legal entity that is not incorporated under the laws of Peru, unless the debt securities are assigned to a branch, agent, representative or permanent establishment in Peru of a foreign entity. For purposes of Peruvian taxation, an individual is deemed domiciled in Peru if he or she (i) is a Peruvian citizen who has regular residence in Peru or (ii) is not a Peruvian citizen but has remained present in Peru for more than 183 days within any 12-month period.

This summary does not purport to address all Peruvian income tax consequences that may be applicable or relevant to particular non-Peruvian holders.

Peru has currently in force treaties to avoid double taxation with the Andean Community (Bolivia, Colombia and Ecuador), Brazil, Canada, Chile, Switzerland, South Korea, Mexico, Portugal and Japan. Non-Peruvian holders that are domiciled in any of these countries should consult an independent tax advisor regarding the application of the treaties.

Interest

Non-Peruvian Holders are subject to income tax in Peru only on Peruvian source income. For these purposes, interest payments derived from the notes are considered Peruvian source income.

Interest payments derived from the notes received by non-Peruvian holders that are entities will be subject to Peruvian withholding income tax at a rate of 4.99%. In order to qualify for the preferential withholding income tax rate of 4.99%, the non-Peruvian holder and the Company shall not be deemed related parties; otherwise, the rate will be 30%. Similarly, interest payments derived from the notes received by non-Peruvian holders who are individuals is subject to withholding income tax at a rate of 4.99%, provided that the non-Peruvian holder does not reside in a tax haven or non-cooperative jurisdictions and/or is not subject to a preferred tax regime, as defined in the Income Tax Law. If this requirement is not fulfilled, the applicable withholding rate will be 30%.

Capital Gains

With respect to non-Peruvian holders, any gain arising from the sale, exchange or other disposition of the beneficial interest in the notes would not be subject to Peruvian income tax. Prospective purchasers should discuss with their own tax advisors the application of any income tax described herein to their particular situations.

Financial Transaction Tax (“ITF”)

ITF is levied on, among other transactions, any transfer, turnover, deposit, credit or debit from accounts opened by individuals or corporations in the Peruvian financial system. Currently, the tax rate is 0.005%.

Value-Added Tax

Interest paid on the notes is not subject to any Peruvian value-added tax (*Impuesto General a las Ventas*).

Moreover, the sale, exchange or disposition of the notes is not subject to any Peruvian value-added tax.

Certain U.S. Federal Income Tax Consequences

The following discussion is a summary of certain U.S. federal income tax consequences of acquiring, owning and disposing of the notes. This discussion applies only to U.S. Holders (as defined below) that purchase the notes at the initial issue price indicated on the cover of this offering memorandum and that hold the notes as “capital assets” (generally, property held for investment). This discussion is based on the U.S. Internal Revenue Code of 1986, as amended (the “Code”), its legislative history, existing final, temporary and proposed U.S. Treasury regulations, administrative pronouncements by the U.S. Internal Revenue Service (the “IRS”), and judicial decisions, in each case as of the date hereof and all of which are subject to change (possibly on a retroactive basis) and to different interpretations. This discussion is intended for general information only and does not purport to address all U.S. federal income tax consequences that may be relevant to a particular U.S. Holder and each U.S. Holder is urged to consult its own tax advisor regarding its specific tax situation. The discussion does not address the tax consequences that may be relevant to U.S. Holders subject to special tax rules, including, for example:

- insurance companies;
- tax-exempt organizations;
- dealers in securities or currencies;
- traders in securities that elect the mark-to-market method of accounting with respect to their securities holdings;
- banks or other financial institutions;
- regulated investment companies or real estate investment trusts;
- partnerships or other pass-through entities or arrangements for U.S. federal income tax purposes;
- persons whose functional currency for U.S. federal income tax purposes is not the U.S. dollar;
- taxpayers with applicable financial statements subject to the application of Section 451(b) of the Code;
- U.S. expatriates;
- persons that hold the notes as part of a hedge, straddle, conversion or other integrated transaction; or
- persons who tender notes in the Tender Offer and Consent Solicitation.

Further, this discussion does not address the alternative minimum tax consequences of holding the notes or the potential application of the Medicare tax on net investment income. In addition, this discussion does not address

the state, local and non-U.S. tax consequences of acquiring, owning and disposing of the notes or any aspects of U.S. federal tax law other than income taxation.

As used herein, the term “U.S. Holder” means a beneficial owner of the notes that is, for U.S. federal income tax purposes:

- an individual who is a citizen or resident of the United States;
- a corporation (or any other entity treated as a corporation for U.S. federal income tax purposes) created or organized in or under the laws of the United States, any state thereof, or the District of Columbia;
- an estate the income of which is subject to U.S. federal income tax regardless of its source; or
- a trust if (i) a court within the United States is able to exercise primary supervision over the trust’s administration and one or more U.S. persons have the authority to control all substantial decisions of the trust or (ii) the trust has an election in effect under current U.S. Treasury regulations to be treated as a U.S. person.

If a partnership (or any other entity or arrangement treated as a partnership for U.S. federal income tax purposes) holds the notes, the tax treatment of the partnership and a partner in such partnership generally will depend on the status of the partner and the activities of the partnership. Partnerships that are beneficial owners of notes, and partners in such partnerships, should consult their tax advisors regarding the U.S. federal, state, local and non-U.S. tax consequences of acquiring, owning and disposing of the notes.

Interest

Interest paid to a U.S. Holder on a note, including any amount withheld in respect of any taxes and any additional amounts, will be includible in gross income as ordinary interest income at the time such payments are received or accrued in accordance with such U.S. Holder’s regular method of tax accounting for U.S. federal income tax purposes. If Peruvian or other non-U.S. income taxes are withheld on interest payments on the notes (including any income taxes withheld on any additional amounts paid), a U.S. Holder will also be treated as having received an amount equal to the amount of such income taxes and as having paid such amount to the relevant taxing authority. As a result, the amount of interest income included in gross income by a U.S. Holder would be greater than the amount of cash actually received by the U.S. Holder in such instance.

Interest on the notes will be treated as foreign source income for U.S. federal income tax purposes and generally will constitute “passive category” income for most U.S. Holders. Subject to generally applicable restrictions and conditions (including a minimum holding period requirement), if any foreign income taxes are withheld on interest payments on the notes, a U.S. Holder may be entitled to a foreign tax credit in respect of any such foreign income taxes. These generally applicable restrictions and conditions include requirements adopted in U.S. Treasury regulations promulgated in December 2021, and subject to the discussion below, there can be no assurance that any taxes imposed by Peru will satisfy these requirements. A subsequent notice from the IRS provides temporary relief from such U.S. Treasury regulations by allowing taxpayers to apply a modified version of the U.S. Treasury regulations for taxable years ending before the date that a notice or other guidance withdrawing or modifying the temporary relief is issued (or any later date specified in such notice or other guidance), *provided* that the taxpayer consistently applies such modified version of the U.S. Treasury regulations and complies with specific requirements set forth in a previous notice. In the case of a U.S. Holder that consistently elects to apply the modified version of the U.S. Treasury regulations in the manner described in the preceding sentence, the Peruvian tax on interest generally will qualify as a creditable tax. In the case of all other U.S. Holders, the application of these requirements to the Peruvian tax on interest is uncertain and we have not determined whether these requirements have been met. If the Peruvian tax is not a creditable tax for a U.S. Holder or the U.S. Holder does not elect to claim a foreign tax credit for any foreign income taxes, the U.S. Holder may be able to deduct the Peruvian tax in computing the U.S. Holder’s taxable income for U.S. federal income tax purposes, subject to applicable limitations and requirements. The calculation of U.S. foreign tax credits and, in the case of a U.S. Holder that elects to deduct foreign income taxes, the availability of deductions, involves the application of complex rules that depend on a U.S. Holder’s particular circumstances. U.S. Holders are urged to consult their tax advisors regarding the availability of the foreign tax credit (or the availability of deductions) under their particular circumstances.

Sale, Exchange or Other Taxable Disposition

Upon a sale, exchange or other taxable disposition (including a redemption) of a note, a U.S. Holder will recognize taxable gain or loss equal to the difference, if any, between the amount realized on the sale, exchange or other taxable disposition (other than amounts attributable to accrued but unpaid interest, which will be taxable as ordinary interest income to the extent not previously included in gross income) and the U.S. Holder's adjusted tax basis in the note. A U.S. Holder's adjusted tax basis in a note generally will equal the cost of the note to the U.S. Holder. Any such gain or loss will generally be capital gain or loss and will be long-term capital gain or long-term capital loss if the notes have been held for more than one year at the time of such sale, exchange or other taxable disposition. Certain non-corporate U.S. Holders (including individuals) may be eligible for preferential rates of U.S. federal income tax in respect of long-term capital gains. Any gain or loss realized on the sale, exchange or other taxable disposition of a note generally will be treated as U.S. source gain or loss, as the case may be. The deductibility of capital losses is subject to limitations under the Code.

If any gain from the sale, exchange or other taxable disposition of notes is subject to Peruvian or other non-U.S. income tax, a U.S. Holder may not be able to credit such tax against its U.S. federal income tax liability under the U.S. foreign tax credit limitations of the Code (because such gain generally would be U.S. source income) unless such income tax can be credited (subject to applicable limitations) against U.S. federal income tax due on other income that is treated as derived from foreign sources. Alternatively, the U.S. Holder may deduct such taxes in computing taxable income for U.S. federal income tax purposes provided that the U.S. Holder does not elect to claim a foreign tax credit for any foreign income taxes paid or accrued for the relevant taxable year. Prospective investors should consult their own tax advisors as to the U.S. federal income tax (including foreign tax credit) implications of such sale, exchange or other taxable disposition of a note.

If we undergo certain transactions, as described under "Description of Notes—Covenants—Limitation on Merger, Consolidation and Sale of Assets" above, a deemed taxable exchange of any outstanding Notes may occur for U.S. federal income tax purposes. U.S. Holders should consult their tax advisors regarding the potential U.S. federal income tax implications of such a deemed taxable exchange.

U.S. Backup Withholding and Information Reporting

Information reporting requirements generally apply to payments of principal of, and interest (including additional amounts, if any) on, a note and to proceeds of the sale or redemption of a note, to U.S. Holders (other than exempt recipients). Backup withholding will be required on payments on a note to a U.S. Holder, other than an exempt recipient, if the U.S. Holder fails to furnish its correct taxpayer identification number or otherwise fails to comply with, or establish an exemption from, the backup withholding requirements.

Backup withholding is not an additional tax. Any amounts withheld under the backup withholding rules will generally be allowed as a refund or a credit against a U.S. Holder's U.S. federal income tax liability, provided the required information is furnished to the IRS in a timely manner.

Foreign Financial Asset Reporting

Certain U.S. Holders who are individuals or domestic entities may be required to report information relating to an interest in the notes by filing IRS Form 8938 with their U.S. federal income tax return, subject to certain exceptions (including an exception for notes held in accounts maintained by certain financial institutions). U.S. Holders should consult their tax advisors regarding the effect, if any, of this requirement on their ownership and disposition of the notes.

THE ABOVE DESCRIPTION IS NOT INTENDED TO CONSTITUTE A COMPLETE ANALYSIS OF ALL TAX CONSEQUENCES RELATING TO THE OWNERSHIP OF NOTES. PROSPECTIVE PURCHASERS OF NOTES SHOULD CONSULT THEIR OWN TAX ADVISORS CONCERNING THE TAX CONSEQUENCES OF THEIR PARTICULAR SITUATIONS.

PLAN OF DISTRIBUTION

Subject to the terms and conditions set forth in a purchase agreement among us and the initial purchasers, we have agreed to sell to the initial purchasers, and each of the initial purchasers has agreed, severally and not jointly, to purchase from us, the principal amount of notes set forth opposite its name below.

Initial Purchasers	Principal Amount of Notes
BofA Securities, Inc.	US\$267,857,000
Banco BTG Pactual S.A. – Cayman Branch.....	US\$187,500,000
Goldman Sachs & Co. LLC.....	US\$267,857,000
Natixis Securities Americas LLC	US\$26,786,000
Total	US\$750,000,000

Subject to the terms and conditions set forth in the purchase agreement, the initial purchasers have agreed, severally and not jointly, to purchase all of the notes sold under the purchase agreement if any of these notes are purchased. If an initial purchaser defaults, the purchase agreement provides that the purchase commitments of the non-defaulting initial purchasers may be increased or the offering may be terminated.

We and the Subsidiary Guarantors have agreed to indemnify the initial purchasers and their affiliates against certain liabilities, including liabilities under the Securities Act, or to contribute to payments the initial purchasers may be required to make in respect of those liabilities.

The initial purchasers are offering the notes, subject to prior sale, when, as and if issued to and accepted by them, subject to approval of legal matters by their counsel, including the validity of the notes, and other conditions contained in the purchase agreement, such as the receipt by the initial purchasers of officer's certificates and legal opinions. The initial purchasers reserve the right to withdraw, cancel or modify offers to the public and to reject orders in whole or in part. The initial purchasers may offer and sell the notes through any of their affiliates.

Banco BTG Pactual S.A. - Cayman Branch is not a broker-dealer registered with the SEC, and therefore may not make sales of any notes in the United States or to U.S. persons except in compliance with applicable U.S. laws and regulations. To the extent Banco BTG Pactual S.A. - Cayman Branch intends to sell the notes in the United States, it will do so only through BTG Pactual US Capital, LLC or one or more U.S. registered broker-dealers, or otherwise as permitted by applicable U.S. law.

Commissions and Discounts

The initial purchasers propose initially to offer the notes at the offering price set forth on the cover page of this offering memorandum. After the initial offering, the offering price or any other term of the offering may be changed.

Notes Are Not Being Registered

The notes have not been registered under the Securities Act or any state securities laws. The initial purchasers propose to offer the notes for resale in transactions not requiring registration under the Securities Act or applicable state securities laws, including sales pursuant to Rule 144A and Regulation S. The initial purchasers will not offer or sell the notes except to persons they reasonably believe to be qualified institutional buyers or pursuant to offers and sales to non-U.S. persons that occur outside of the United States within the meaning of Regulation S. In addition, until 40 days following the commencement of this offering, an offer or sale of notes within the United States by a dealer (whether or not participating in the offering) may violate the registration requirements of the Securities Act unless the dealer makes the offer or sale in compliance with Rule 144A or another exemption from registration under the Securities Act. Each purchaser of the notes will be deemed to have made acknowledgments, representations and agreements as described under "Transfer Restrictions."

New Issue of Notes

The notes are a new issue of securities with no established trading market. Although we will apply to have the notes listed on Official List of the Luxembourg Stock Exchange for trading on the Euro MTF Market, we cannot assure you that an active market for the notes will develop. We have been advised by the initial purchasers that they presently intend to make a market in the notes after completion of the offering. However, they are under no obligation to do so and may discontinue any market-making activities at any time without any notice. We cannot assure the liquidity of the trading market for the notes. If an active trading market for the notes does not develop, the market price and liquidity of the notes may be adversely affected. If the notes are traded, they may trade at a discount from their initial offering price, depending on prevailing interest rates, the market for similar securities, our operating performance and financial condition, general economic conditions and other factors.

No Sales of Similar Securities

We have agreed that we will not, for a period of 90 days after the date of this offering memorandum, without first obtaining the prior written consent of the initial purchasers directly or indirectly, sell, offer, contract or grant any option to sell, pledge, transfer or establish an open “put equivalent position,” or otherwise dispose of or transfer, or announce the offering of, or file any registration statement under the Securities Act in respect of, any of our debt securities or securities exchangeable for or convertible into our debt securities, except for the notes sold to the initial purchasers pursuant to the purchase agreement.

Stabilization Transactions and Short Positions

In connection with the offering of the notes, the initial purchasers may engage in overallotment, stabilizing transactions and syndicate covering transactions. Overallotment involves sales in excess of the offering size, which creates a short position for the initial purchasers. A short position is more likely to be created if the initial purchasers are concerned that there may be downward pressure on the price of the notes in the open market after pricing that could adversely affect investors who purchase in the offering. Stabilizing transactions involve bids to purchase the notes in the open market for the purpose of pegging, fixing or maintaining the price of the notes. Syndicate covering transactions involve purchases of the notes in the open market after the distribution has been completed in order to cover short positions. Any of these transactions may have the effect of preventing or retarding a decline in the market price of the notes or cause the price of the notes to be higher than it would otherwise be in the absence of those transactions.

Neither we nor any of the initial purchasers make any representation or prediction as to the direction or magnitude of any effect that the transactions described above may have on the price of the notes. If the initial purchasers commence any of these transactions, they may discontinue them at any time.

Settlement

Delivery of the notes was made against payment therefor on October 29, 2025, which was the third business day following the date of this offering memorandum (such settlement being referred to as “T+3”). Under Rule 15c6-1 under the Exchange Act, trades in the secondary market are required to settle in one business day, unless the parties to any such trade expressly agree otherwise. Accordingly, purchasers who wished to trade notes prior to the first business day before delivery of the notes hereunder were required, by virtue of the fact that the notes initially settled in T+3, to specify an alternate settlement arrangement at the time of any such trade to prevent a failed settlement. Purchasers of the notes who wish to trade the notes prior to their date of delivery hereunder should consult their advisors.

Selling Restrictions

Neither we nor the initial purchasers are making an offer to sell, or seeking offers to buy, the notes in any jurisdiction where the offer and sale is not permitted. You must comply with all applicable laws and regulations in force in any jurisdiction in which you purchase, offer or sell the notes or possess or distribute this offering memorandum, and you must obtain any consent, approval or permission required for your purchase, offer or sale of the notes under the laws and regulations in force in any jurisdiction to which you are subject or in which you make such purchases, offers or sales. Neither we nor the initial purchasers will have any responsibility therefor.

Notice to Prospective Investors in the European Economic Area

The notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the EEA. For these purposes:

- (a) the expression “retail investor” means a person who is one (or more) of:
 - (i) a retail client as defined in point (11) of Article 4(1) of MiFID II; or
 - (ii) a customer within the meaning of the Insurance Distribution Directive, where that customer would not qualify as a professional client as defined in point (10) of Article 4(1) of MiFID II.

Consequently, no key information document required by the PRIIPs Regulation for offering or selling the notes or otherwise making them available to retail investors in the EEA has been prepared and, therefore, offering or selling the notes or otherwise making them available to any retail investor in the EEA may be unlawful under the PRIIPs Regulation.

Each person in a member state of the EEA (a “Member State”) to whom any offer of notes is made or who receives any communication in respect of, or who initially acquires any notes under, the offers contemplated in this offering memorandum, or to whom the notes are otherwise made available will be deemed to have represented, warranted and agreed to and with the initial purchasers and us that it and any person on whose behalf it acquires notes as a financial intermediary, is (i) a “qualified investor” within the meaning of the Prospectus Regulation and (ii) not a “retail investor” as defined above.

Notice to Prospective Investors in the United Kingdom

The notes are not intended to be offered, sold or otherwise made available to and should not be offered, sold or otherwise made available to any retail investor in the UK. For these purposes:

- (a) the expression “retail investor” means a person who is one (or more) of:
 - (i) a retail client, as defined in point (8) of Article 2 of Regulation (EU) No 2017/565 as it forms part of domestic law by virtue of the EUWA; or
 - (ii) a customer within the meaning of the provisions of the FSMA and any rules or regulations made under the FSMA to implement the Insurance Distribution Directive, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA.

This document is only being distributed to and is only directed at (i) persons who are outside the UK or (ii) investment professionals falling within Article 19 (5) of the Order or (iii) high net worth entities, and other persons to whom it may lawfully be communicated, falling within Article 49(2)(a) to (d) of the Order (all such persons together being referred to as “relevant persons”). Any notes will only be available to, and any invitation, offer or agreement to subscribe, purchase or otherwise acquire such notes will be engaged in only with, relevant persons. Any person who is not a relevant person should not act or rely on this document or any of its contents. Consequently, no key information document required by the UK PRIIPs Regulation, for offering or selling the notes or otherwise making them available to retail investors in the UK has been prepared and therefore offering or selling the notes or otherwise making them available to any retail investor in the UK may be unlawful under the UK PRIIPs Regulation.

Each initial purchaser is expected to:

- (a) communicate or cause to be communicated an invitation or inducement to engage in investment activity (within the meaning of Section 21 of the FSMA) received by it in connection with the issue or sale of the notes in circumstances in which Section 21(1) of the FSMA does not apply to the issuer or the Subsidiary Guarantors; and
- (b) comply with all applicable provisions of the FSMA with respect to anything done by it in relation to the notes in, from or otherwise involving the United Kingdom.

Notice to Prospective Investors in Switzerland

This offering memorandum is not intended to constitute an offer or solicitation to purchase or invest in the notes. The notes may not be publicly offered, directly or indirectly, in Switzerland within the meaning of the Swiss Financial Services Act (“FinSA”) and no application has or will be made to admit the notes to trading on any trading venue (exchange or multilateral trading facility) in Switzerland. Neither this offering memorandum nor any other offering or marketing material relating to the notes, constitutes or will constitute a prospectus pursuant to the FinSA, and neither this offering memorandum nor any other offering or marketing material relating to the notes may be publicly distributed or otherwise made publicly available in Switzerland.

Notice to Prospective Investors in Hong Kong

The notes will not be offered or sold in Hong Kong by means of any document other than (i) to “professional investors” as defined in the Securities and Futures Ordinance (Cap. 571, The Laws of Hong Kong) and any rules made thereunder; or (ii) in other circumstances which do not result in the document being a “prospectus” the meaning of the Companies Ordinance (Cap. 32, The Laws of Hong Kong) or which do not constitute an offer to the public within the meaning of that Ordinance, and no advertisement, invitation or document relating to the notes may be issued or may be in the possession of any person for the purpose of any issuance (in each case whether in Hong Kong or elsewhere), which is directed at, or the contents of which are likely to be accessed or read by, the public of Hong Kong (except if permitted to do so under the securities laws of Hong Kong) other than with respect to notes which are or are intended to be disposed of only to persons outside Hong Kong or only to “professional investors” as defined in the Securities and Futures Ordinance and any rules made thereunder.

Notice to Prospective Investors in Singapore

This offering memorandum has not been, and will not be, registered as a prospectus with the Monetary Authority of Singapore. Accordingly, each initial purchaser has not offered or sold any notes or caused such notes to be made the subject of an invitation for subscription or purchase, and has not circulated or distributed, nor will it circulate or distribute, this document or any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of such notes, whether directly or indirectly, to any person in Singapore other than (i) to an institutional investor (as defined in Section 4A of the Securities and Futures Act of Singapore (the “SFA”)) pursuant to Section 274 of the SFA, (ii) to a relevant person (as defined in Section 275(2) of the SFA) pursuant to Section 275(1) of the SFA, or any person pursuant to Section 275(1A) of the SFA, and in accordance with the conditions specified in Section 275 of the SFA or (iii) otherwise pursuant to, and in accordance with, the conditions of, any other applicable provision of the SFA.

Where the notes subscribed or purchased under Section 275 of the SFA by a relevant person that is a corporation (which is not an accredited investor (as defined in Section 4A of the SFA)) the sole business of which is to hold investments and the entire share capital of which is owned by one or more individuals, each of whom is an accredited investor, the securities (as defined in Section 239(1) of the SFA) of that corporation shall not be transferable for six months after that corporation has acquired the notes under Section 275 of the SFA except: (1) to an institutional investor under Section 274 of the SFA or to a relevant person (as defined in Section 275(2) of the SFA); (2) where such transfer arises from an offer in that corporation’s securities pursuant to Section 275(1A) of the SFA; (3) where no consideration is or will be given for the transfer; (4) where the transfer is by operation of law; (5) as specified in Section 276(7) of the SFA; or (6) as specified in Regulation 32 of the Securities and Futures (Offers of Investments) (Shares and Debentures) Regulations 2005 of Singapore (“Regulation 32”). Where the Notes are subscribed or purchased under Section 275 of the SFA by a relevant person that is a trust (where the trustee is not an accredited investor (as defined in Section 4A of the SFA)) whose sole purpose is to hold investments and each beneficiary of the trust is an accredited investor, the beneficiaries’ rights and interest (howsoever described) in that trust shall not be transferable for six months after that trust has acquired the Notes under Section 275 of the SFA except: (1) to an institutional investor under Section 274 of the SFA or to a relevant person (as defined in Section 275(2) of the SFA); (2) where such transfer arises from an offer that is made on terms that such rights or interest are acquired at a consideration of not less than S\$200,000 (or its equivalent in a foreign currency) for each transaction (whether such amount is to be paid for in cash or by exchange of securities or other assets); (3) where no consideration is or will be given for the transfer; (4) where the transfer is by operation of law; (5) as specified in Section 276(7) of the SFA; or (6) as specified in Regulation 32.

Any reference to the SFA is a reference to the Securities and Futures Act 2001 of Singapore and a reference to any term as defined in the SFA or any provision in the SFA is a reference to that term or provision as modified or amended from time to time including by such of its subsidiary legislation as may be applicable at the relevant time.

Notice to Prospective Investors in Japan

The notes have not been and will not be registered pursuant to Article 4, Paragraph 1 of the Financial Instruments and Exchange Law of Japan (Law No. 25 of 1948, as amended, or the “FIEA”). Accordingly, none of the notes or any interest therein may be offered or sold, directly or indirectly, in Japan or to, or for the benefit of, any “resident” of Japan (which term as used herein means any person resident in Japan, including any corporation or other entity organized under the laws of Japan), or to others for re-offering or resale, directly or indirectly, in Japan or to or for the benefit of a resident of Japan, except pursuant to an exemption from the registration requirements of, and otherwise in compliance with, the FIEA and any other applicable laws, regulations and ministerial guidelines of Japan in effect at the relevant time.

Notice to Prospective Investors in Peru

The notes and the information contained in this offering memorandum are not being publicly marketed or offered in Peru and have not and will not be distributed or cause to be distributed to the general public in Peru. Peruvian securities laws and regulations on public offerings will not be applicable to the offering of the notes and therefore, the disclosure obligations set forth therein will not be applicable to the Issuers or the sellers of the notes before or after their acquisition by prospective investors. The notes and information contained in this offering memorandum have not been, and will not be, reviewed, confirmed, approved or in any way submitted to the *Superintendencia del Mercado de Valores* (Peruvian capital market regulator) (the “SMV”) nor have they been registered with the SMV’s Securities Market Public Registry (*Registro Público del Mercado de Valores*). Accordingly, the notes cannot be offered or sold within Peruvian territory except to the extent any such offering or sale qualifies as a private offering under Peruvian law and regulations and complies with the provisions on private offerings set forth therein.

Notice to Prospective Investors in Brazil

The notes have not been, and will not be, registered with the Brazilian Securities Commission (*Comissão de Valores Mobiliários*), or the CVM. The notes may not be offered or sold in Brazil, except in circumstances that do not constitute a public offering in Brazil under CVM Resolution No. 160, dated 13 July 2022, as amended (“CVM Resolution 160”) or unauthorized distribution under Brazilian laws and regulations. The notes are not being offered into Brazil. The notes will be authorized for trading on organized non-Brazilian securities markets and may only be offered to Brazilian professional investors (as defined by applicable CVM regulation), who may only acquire the notes through a non-Brazilian account, with settlement outside Brazil in non-Brazilian currency. The trading of these securities on regulated securities markets in Brazil is prohibited.

Notice to Prospective Investors in Chile

The notes being offered will not be registered under Law No. 18,045 (the “Chilean Securities Market Law”) in the Securities Registry (*Registro de Valores*) or in the Foreign Securities Registry (*Registro de Valores Extranjeros*) of the Chilean Financial Markets Commission (*Comisión para el Mercado Financiero*, or the “CMF”) and, therefore, the notes are not and will not be subject to the supervision of the CMF. As unregistered securities in Chile, we are not required to disclose public information about the notes in Chile. Accordingly, the notes cannot and will not be publicly offered to persons in Chile unless they are registered in the corresponding Securities Registry. The notes, as a general rule, may only be offered in Chile in circumstances that do not constitute a “public offering” under Chilean law or in compliance with General Rule (*Norma de Carácter General*) No. 336 of the CMF, dated June 27, 2012 (“CMF Rule 336”). Pursuant to the Chilean Securities Market Law, a public offering of securities is an offering that is addressed to the general public or to certain specific categories or groups thereof. Considering that the definition of public offering is quite broad, even an offering addressed to a small group of investors may be considered to be addressed to a certain specific category or group of the public and therefore be considered public under applicable law. However, pursuant to Rule 336, the notes may be privately offered in Chile to certain “qualified investors” (*Inversionistas Calificados*) identified as such therein (which in turn are further described in General Rule No. 216 of the CMF, dated June 12, 2008).

CMF Rule 336 requires the following information to be provided to prospective investors in Chile:

1. Date of commencement of the offer: October 16, 2025. The offer of the notes is subject to CMF Rule 336;
2. The subject matter of this offer are securities not registered with the Securities Registry (*Registro de Valores*) of the CMF, nor with the Foreign Securities Registry (*Registro de Valores Extranjeros*) of the CMF, therefore the notes are not being subject to the oversight of the CMF;
3. Since the notes are not registered in Chile there is no obligation by the issuer to make publicly available information about the notes in Chile; and
4. The notes shall not be subject to public offering in Chile unless registered with the corresponding Securities Registry of the CMF.

Notice to Prospective Investors in Canada

The notes may be sold only to purchasers purchasing, or deemed to be purchasing, as principal that are accredited investors, as defined in National Instrument 45-106 *Prospectus Exemptions* or subsection 73.3(1) of the Securities Act (Ontario), and are permitted clients, as defined in National Instrument 31-103 *Registration Requirements, Exemptions and Ongoing Registrant Obligations*. Any resale of the notes must be made in accordance with an exemption from, or in a transaction not subject to, the prospectus requirements of applicable securities laws in Canada.

Securities legislation in certain provinces or territories of Canada may provide a purchaser with remedies for rescission or damages if this offering memorandum (including any amendment hereto) contains a misrepresentation, provided that the remedies for rescission or damages are exercised by the purchaser within the time limit prescribed by the securities legislation of the purchaser's province or territory. The purchaser should refer to any applicable provisions of the securities legislation of the purchaser's province or territory for particulars of these rights or consult with a legal advisor.

Pursuant to section 3A.3 of National Instrument 33-105 Underwriting Conflicts (NI 33-105), the initial purchasers are not required to comply with the disclosure requirements of NI 33-105 regarding underwriter conflicts of interest in connection with this offering.

Notice to Prospective Investors in Colombia

The notes have not been, and will not be, registered in the National of Securities and Issuers Registry (*Registro Nacional de Valores y Emisores*) maintained by the Colombian Superintendence of Finance (*Superintendencia Financiera de Colombia*) or listed on a regulated securities trading system as the Colombia Stock Exchange (*Bolsa de Valores de Colombia*). Therefore, the notes may not be publicly offered, sold or negotiated in Colombia, except in compliance with the applicable Colombian securities regulations; provided that foreign financial entities must abide by the terms of Decree 2555 of 2010 (and/or any other applicable laws from time to time) to offer, or to undertake any other activities in connection with, the notes privately to their Colombian clients.

The offering memorandum is for the sole and exclusive use of the addressee as an offeree in Colombia, and the offering memorandum shall not be interpreted as being addressed to any third party in Colombia or for the use of any third party in Colombia, including any shareholders, administrators or employees of the addressee.

The recipient of the notes acknowledges that certain Colombian laws and regulations (including, but not limited to, foreign exchange and tax regulations) are applicable to any transaction or investment made in connection with the notes being offered and represents that it will be liable for complying with any such laws and regulations when so required under Colombian law.

Notice to Prospective Investors in Taiwan

The notes have not been and will not be registered or filed with, or approved by, the Financial Supervisory Commission of Taiwan and/or any other regulatory authorities of Taiwan pursuant to relevant securities laws and regulations and may not be sold, issued or offered within Taiwan through a public offering or in any circumstances that constitute an offer or solicitation of an offer within the meaning of the Securities and Exchange Act or relevant laws and regulations of Taiwan that require registration, filing or approval of the Financial Supervisory Commission of Taiwan and/or any other regulatory authorities of Taiwan. No person or entity in Taiwan has been authorized to offer or sell the notes in Taiwan.

Other Relationships

The initial purchasers are acting as dealer managers and solicitation agents in the Tender Offer and Consent Solicitation. Some of the initial purchasers and their affiliates have engaged in, and may in the future engage in, investment banking and other commercial dealings in the ordinary course of business with us or our affiliates. They have received, or may in the future receive, customary fees and commissions for these transactions.

In addition, in the ordinary course of their business activities, the initial purchasers and their affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (including bank loans) for their own account and for the accounts of their customers. Such investments and securities activities may involve securities and/or instruments of ours or our affiliates. If any of the initial purchasers or their affiliates has a lending relationship with us, certain of those initial purchasers or their affiliates routinely hedge, and certain other of those initial purchasers or their affiliates may hedge, their credit exposure to us consistent with their customary risk management policies. Typically, the initial purchasers and their affiliates would hedge such exposure by entering into transactions which consist of either the purchase of credit default swaps or the creation of short positions in our securities, including potentially the notes offered hereby. Any such credit default swaps or short positions could adversely affect future trading prices of the notes offered hereby. The initial purchasers and their affiliates may also make investment recommendations and/or publish or express independent research views in respect of such securities or financial instruments and may hold, or recommend to clients that they acquire, long and/or short positions in such securities and instruments. In addition, the initial purchasers and/or their affiliates are or may be lenders, and in some cases agents or managers for the lenders, under credit facilities made to us. In particular, certain of the initial purchasers and/or certain of their affiliates are currently lenders under the Credit Agreement. As such, any amounts that we repay under the Credit Agreement with the proceeds of this offering of notes corresponds to amounts payable to certain of the initial purchasers and/or certain of their affiliates. Because such initial purchasers and/or certain of their affiliates will receive a portion of the proceeds from this offering, such initial purchasers may be deemed to have a “conflict of interest” with us.

TRANSFER RESTRICTIONS

Because the following restrictions will apply with respect to the resale of the notes, purchasers are advised to consult legal counsel prior to making any offer, resale, pledge or transfer of the notes.

None of the notes nor any of the guarantees has been registered under the Securities Act or any state securities laws, and they may not be offered or sold within the United States or to, or for the account or benefit of, US persons except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act. Accordingly, the notes are being offered and sold only (A) to “qualified institutional buyers” (as defined in Rule 144A promulgated under the Securities Act, or Rule 144A) (“QIBs”) in compliance with Rule 144A and (B) outside the United States to persons other than US persons (“non-US purchasers,” which term shall include dealers or other professional fiduciaries in the United States acting on a discretionary basis for non-US beneficial owners (other than an estate or trust)) in reliance upon Regulation S under the Securities Act, or Regulation S. As used herein, the terms “United States” and “US person” have the meanings given to them in Regulation S.

Each purchaser of notes (other than the initial purchasers in connection with the initial issuance and sale of the notes) will be deemed to have represented and agreed as follows:

1. It is purchasing the notes for its own account or an account with respect to which it exercises sole investment discretion and that it and any such account is either (A) a QIB, and is aware that the sale to it is being made in reliance on Rule 144A or (B) a non-US purchaser that is outside the United States (or a non-US purchaser that is a dealer or other fiduciary as referred to above).

2. It acknowledges that the notes are being offered in a transaction not involving any public offering in the United States within the meaning of the Securities Act; that the notes have not been registered under the Securities Act and may not be offered or sold within the United States or to, or for the account or benefit of, US persons except as set forth below.

3. It shall not resell or otherwise transfer any of such notes at any time for a 144A Note and for 40 days for a Reg S Note except (A) to the Company or any of its subsidiaries, (B) to a QIB in a transaction complying with Rule 144A, (C) outside the United States in compliance with Rule 904 under the Securities Act, (D) in accordance with another exemption from the registration requirements of the Securities Act (if available and based upon an opinion of counsel if the Company so requests), or (F) pursuant to an effective registration statement under the Securities Act.

4. It agrees that it will give to each person to whom it transfers the notes notice of any restrictions on transfer of such notes.

5. It acknowledges that prior to any proposed transfer of notes in certificated form or of beneficial interests in a note in global form (a “Global Note”) (in each case other than pursuant to an effective registration statement) the holder of notes or the holder of beneficial interests in a Global Note, as the case may be, may be required to provide certifications and other documentation relating to the manner of such transfer and submit such certifications and other documentation as provided in the indenture.

6. It understands that (i) the following is the form of restrictive legend which will appear on the face of the Rule 144A Global Note, and which will be used to notify transferees of the foregoing restrictions on transfer:

“THIS NOTE HAS NOT BEEN REGISTERED UNDER THE U.S. SECURITIES ACT OF 1933, AS AMENDED (THE “SECURITIES ACT”), OR ANY OTHER SECURITIES LAWS. THE HOLDER HEREOF, BY PURCHASING THIS NOTE, AGREES THAT THIS NOTE OR ANY INTEREST OR PARTICIPATION HEREIN MAY BE OFFERED, RESOLD, PLEDGED OR OTHERWISE TRANSFERRED ONLY (1) TO US, (2) SO LONG AS THIS NOTE IS ELIGIBLE FOR RESALE PURSUANT TO RULE 144A UNDER THE SECURITIES ACT (“RULE 144A”), TO A PERSON WHO THE SELLER REASONABLY BELIEVES IS A QUALIFIED INSTITUTIONAL BUYER (AS DEFINED IN RULE 144A) IN ACCORDANCE WITH RULE 144A, (3) IN AN OFFSHORE TRANSACTION IN ACCORDANCE WITH RULE 903 OR 904 OF REGULATION S UNDER THE SECURITIES ACT, (4) PURSUANT TO AN EXEMPTION FROM REGISTRATION UNDER THE SECURITIES ACT (IF AVAILABLE) OR (5) PURSUANT TO AN EFFECTIVE REGISTRATION

STATEMENT UNDER THE SECURITIES ACT, AND IN EACH OF SUCH CASES IN ACCORDANCE WITH ANY APPLICABLE SECURITIES LAWS OF ANY STATE OF THE UNITED STATES OR OTHER APPLICABLE JURISDICTION. THE HOLDER HEREOF, BY PURCHASING THIS NOTE, REPRESENTS AND AGREES THAT IT WILL NOTIFY ANY PURCHASER OF THIS NOTE FROM IT OF THE RESALE RESTRICTIONS REFERRED TO ABOVE. THE FOREGOING LEGEND MAY BE REMOVED FROM THIS NOTE ONLY WITH THE CONSENT OF THE ISSUER.”;

and (ii) the following is the form of restrictive legend which will appear on the face of the Regulation S Global Note and which will be used to notify transferees of the foregoing restrictions on transfer:

“THIS NOTE HAS NOT BEEN REGISTERED UNDER THE U.S. SECURITIES ACT OF 1933, AS AMENDED (THE “SECURITIES ACT”), OR ANY OTHER SECURITIES LAWS. THE HOLDER HEREOF, BY PURCHASING THIS NOTE, AGREES THAT NEITHER THIS NOTE NOR ANY INTEREST OR PARTICIPATION HEREIN MAY BE OFFERED, RESOLD, PLEDGED OR OTHERWISE TRANSFERRED IN THE ABSENCE OF SUCH REGISTRATION UNLESS SUCH TRANSACTION IS EXEMPT FROM, OR NOT SUBJECT TO, SUCH REGISTRATION AND IN ACCORDANCE WITH ANY APPLICABLE SECURITIES LAWS OF ANY OTHER APPLICABLE JURISDICTION.

THE FOREGOING LEGEND MAY BE REMOVED FROM THIS NOTE AFTER 40 DAYS BEGINNING ON AND INCLUDING THE LATER OF (A) THE DATE ON WHICH THE NOTES ARE OFFERED TO PERSONS OTHER THAN DISTRIBUTORS (AS DEFINED IN REGULATION S UNDER THE SECURITIES ACT) AND (B) THE ORIGINAL ISSUE DATE OF THIS NOTE.”

For further discussion of the requirements (including the presentation of transfer certificates) under the indenture to effect exchanges or transfers of interest in global notes and certificated notes, see “Form of Notes, Clearing and Settlement.”

7. It acknowledges that the foregoing restrictions apply to holders of beneficial interests in the notes, as well as holders of the notes.

8. It acknowledges that the Trustee will not be required to accept for registration of transfer any notes acquired by it, except upon presentation of evidence satisfactory to us and the Trustee that the restrictions set forth herein have been complied with.

9. It acknowledges that we, the initial purchasers and others will rely upon the truth and accuracy of the foregoing acknowledgments, representations and agreements and agrees that if any of the acknowledgments, representations or agreements deemed to have been made by its purchase of the notes is no longer accurate, it shall promptly notify us and the initial purchasers. If it is acquiring the notes as a fiduciary or agent for one or more investor accounts, it represents that it has sole investment discretion with respect to each such account and it has full power to make the foregoing acknowledgments, representations, and agreements on behalf of each account.

VALIDITY OF THE NOTES

The validity of the notes will be passed upon for us by Allen Overy Shearman Sterling US LLP, our United States counsel, and by Payet, Rey, Cauvi, Pérez Abogados, our Peruvian Counsel, and for the initial purchasers by Paul Hastings LLP, United States counsel for the Initial Purchasers, and by Miranda & Amado Abogados S. Civil de R.L., Peruvian counsel for the Initial Purchasers. Allen Overy Shearman Sterling US LLP may rely without independent investigation as to all matters of Peruvian law on Payet, Rey, Cauvi, Pérez Abogados and Paul Hastings LLP may rely without independent investigation as to all matters of Peruvian law on Miranda & Amado Abogados S. Civil de R.L.

INDEPENDENT AUDITORS

Our consolidated financial statements as of December 31, 2024 and 2023 and for each of the two years ended December 31, 2024 and 2023 included in this offering memorandum have been audited by Velásquez, Loli y Asociados S. Civil de R.L., member firm of Deloitte Touche Tohmatsu Limited, independent auditors, as indicated in their report appearing herein.

Our unaudited interim condensed consolidated financial statements as of June 30, 2025 and for the six-month periods ended June 30, 2025 have been subject to the limited review by Gaveglío Aparicio y Asociados Sociedad Civil de Responsabilidad Limitada a member firm of the PricewaterhouseCoopers International Limited network, independent auditors.

LISTING AND GENERAL INFORMATION

The creation and issuance of the notes have been authorized by our Board of Directors on September 17, 2025 and by our shareholders on October 15, 2025.

Except as disclosed in this offering memorandum, there are no litigation or arbitration proceedings against or affecting us or any of our respective assets, nor are we aware of any pending or threatened proceedings, which are or might reasonably be expected to be material in the context of the issuance of the notes.

Except as disclosed in this offering memorandum, there has been no material adverse change or any development reasonably likely to involve a material adverse change, in our prospects and condition (financial or otherwise) or general affairs since June 30, 2025, that is material in the context of the issuance of the notes.

Application has been made to list the notes on the Official List of the Luxembourg Stock Exchange and to admit the notes to trading on the Euro MTF Market of the Luxembourg Stock Exchange.

For so long as any of the notes remain outstanding, copies of the following documents will be obtainable and available free of charge during normal business hours at the offices of the paying agent and our principal office, at the addresses listed on the last page of this offering memorandum:

- this listing memorandum;
- the indenture relating to the notes (which includes the contracts relating to the guarantees) and our by-laws (*estatuto*);
- the certificates of incorporation and amendments thereof of the Subsidiary Guarantors;
- the financial statements included in this offering memorandum; and
- all our future annual and quarterly unaudited interim condensed consolidated financial statements.

Each of the purchase agreement among the Company, the subsidiary guarantors and the initial purchasers, the indenture and the notes are governed by the laws of the State of New York.

The global notes representing the notes have been accepted for clearing and settlement by Clearstream and Euroclear. The Rule 144A Global Note has been assigned ISIN US92863UAD81, CUSIP 92863U AD8 and Common Code 322180632. The Regulation S Global Note has been assigned ISIN USP98047AE63, CUSIP P98047 AE6 and Common Code 322179022.

Under New York law, claims against the issuer for the payment of principal, premium, if any, or interest on the notes must be made within six years from the due date for payment thereof.

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**VOLCAN COMPAÑÍA MINERA S.A.A. AND
SUBSIDIARIES**

**Report on Review of Interim Financial
Information**

**Unaudited Condensed Interim Consolidated
Financial Statements**

As of June 30, 2025 and for
the six-month period then ended and 2024

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

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VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONDENSED INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

AS OF JUNE 30, 2025 (UNAUDITED) AND DECEMBER 31, 2024 (AUDITED)

(In thousands of U.S. dollars (US\$000))

	Notes	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
ASSETS			
CURRENT ASSETS:			
Cash and cash equivalents	6	146,806	155,834
Trade accounts receivable (net)	8	43,702	33,477
Other accounts receivable (net)	9	69,445	67,424
Inventories (net)	11	35,664	38,070
Other financial assets	10	1,358	948
Total current assets		<u>296,975</u>	<u>295,753</u>
NON-CURRENT ASSETS:			
Other accounts receivable (net)	9	42,012	31,834
Financial investments	7	129,645	153,047
Inventories (net)	11	4,968	5,180
Property, plant and equipment (net)	12	673,788	683,121
Right-of-use assets (net)	13	11,709	15,663
Investment properties (net)	14	4,983	-
Mining concessions, exploration and development costs and other assets (net)	15	664,447	656,228
Total non-current assets		<u>1,531,552</u>	<u>1,545,073</u>
TOTAL		<u>1,828,527</u>	<u>1,840,826</u>

	Notes	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
LIABILITIES AND EQUITY			
CURRENT LIABILITIES:			
Bank overdrafts		1	-
Financial obligations	16	109,588	40,701
Trade accounts payable	17	166,614	189,711
Other accounts payable	18	98,095	89,891
Deferred income		21	21
Other financial liabilities	10	8,768	-
Total current liabilities		<u>383,087</u>	<u>320,324</u>
NON-CURRENT LIABILITIES:			
Other financial liabilities	10	2,089	-
Financial obligations	16	617,880	709,060
Provisions	19	237,638	237,658
Deferred income tax	20	92,776	123,509
Deferred income		566	577
Total non-current liabilities		<u>950,949</u>	<u>1,070,804</u>
Total liabilities		<u>1,334,036</u>	<u>1,391,128</u>
EQUITY:			
Issued capital stock	21 (a)	774,294	774,294
Higher value in acquisition of treasury shares	21 (b)	(162,285)	(162,285)
Treasury shares	21 (c)	(41,511)	(41,511)
Legal reserve	21 (d)	12,009	10,492
Accumulated other comprehensive income	21 (e)	21,670	49,406
Accumulated losses		(109,686)	(180,698)
Total equity		<u>494,491</u>	<u>449,698</u>
TOTAL		<u>1,828,527</u>	<u>1,840,826</u>

The accompanying notes are an integral part of these condensed interim consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONDENSED INTERIM CONSOLIDATED STATEMENTS OF PROFIT OR LOSS FOR THE SIX-MONTHS PERIOD ENDED JUNE 30, 2025 AND 2024 (UNAUDITED) (In thousands of U.S. dollars (US\$000))

	Notes	Six months period from January 1 to June 30	
		2025 US\$000 (Unaudited)	2024 US\$000 (Unaudited)
Net sales	22	568,035	394,971
Cost of sales	23	<u>(366,584)</u>	<u>(323,892)</u>
Gross profit		201,451	71,079
Administrative expenses	24	(33,749)	(22,509)
Selling expenses	25	(18,059)	(13,962)
Other income	26	12,476	51,405
Other expenses	26	<u>(21,787)</u>	<u>(50,323)</u>
Operating profit		140,332	35,690
Financial income	28	2,258	2,186
Financial expenses	28	<u>(43,007)</u>	<u>(38,353)</u>
Profit (loss) before income tax		99,583	(477)
Income tax	29	<u>(27,054)</u>	<u>(8,342)</u>
Net profit (loss) for the period		<u>72,529</u>	<u>(8,819)</u>
Weighted average of the number of outstanding shares (in thousands)	30	<u>3,857,594</u>	<u>3,857,594</u>
Basic and diluted earnings (loss) per share	30	<u>0.019</u>	<u>(0.002)</u>

The accompanying notes are an integral part of these condensed interim consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONDENSED INTERIM CONSOLIDATED STATEMENTS OF OTHER COMPREHENSIVE INCOME FOR THE SIX-MONTHS PERIOD ENDED JUNE 30, 2025 AND 2024 (UNAUDITED) (In thousands of U.S. dollars (US\$000))

	Six months period from January 1 to June 30	
	2025	2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
Net profit (loss) for the period	72,529	(8,819)
OTHER COMPREHENSIVE INCOME:		
Items that will not be reclassified to profit or loss:		
Unrealized loss (profit) of investments in equity instruments	(29,785)	123,199
Deferred income tax	8,787	(36,344)
Total other comprehensive income that will not be reclassified to loss (profit)	(20,998)	86,855
Items that can be subsequently reclassified to profit or loss:		
Unrealized loss of derivative financial instruments	(9,557)	(173)
Deferred income tax	2,819	51
Total other comprehensive income that can be subsequently reclassified to loss	(6,738)	(122)
Total other comprehensive income for the period net of income tax	(27,736)	86,733
Total comprehensive income, net of income tax	44,793	77,914

The accompanying notes are an integral part of these condensed interim consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONDENSED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE SIX-MONTHS PERIOD ENDED JUNE 30, 2025 AND 2024 (UNAUDITED) (In thousands of U.S. dollars (US\$000))

	Issued capital stock US\$000 Note 21 (a)	Higher value in acquisition of treasury shares US\$000 Note 21 (b)	Treasury shares US\$000 Note 21 (c)	Legal reserve US\$000 Note 21 (d)	Accumulated other comprehensive income US\$000 Note 21 (e)	Accumulated losses US\$000	Total equity US\$000
Balance as of January 1, 2024 (Unaudited)	906,680	(173,234)	(60,934)	10,416	(10,208)	(308,122)	364,598
Comprehensive income							
Net loss for the period	-	-	-	-	-	(8,819)	(8,819)
Other comprehensive income for the period	-	-	-	-	86,733	-	86,733
Total comprehensive income for the period	-	-	-	-	86,733	(8,819)	77,914
Capital decrease	(132,386)	-	-	-	-	-	(132,386)
Other changes in equity	-	10,949	19,423	76	-	(9,709)	20,739
Balance as of June 30, 2024 (Unaudited)	<u>774,294</u>	<u>(162,285)</u>	<u>(41,511)</u>	<u>10,492</u>	<u>76,525</u>	<u>(326,650)</u>	<u>330,865</u>
Balance as of January 1, 2025 (Unaudited)	774,294	(162,285)	(41,511)	10,492	49,406	(180,698)	449,698
Comprehensive income							
Net profit for the period	-	-	-	-	-	72,529	72,529
Other comprehensive loss (income) for the period	-	-	-	-	(27,736)	-	(27,736)
Total comprehensive income for the period	-	-	-	-	(27,736)	72,529	44,793
Other changes in equity				1,517	-	(1,517)	-
Balance as of June 30, 2025 (Unaudited)	<u>774,294</u>	<u>(162,285)</u>	<u>(41,511)</u>	<u>12,009</u>	<u>21,670</u>	<u>(109,686)</u>	<u>494,491</u>

The accompanying notes are an integral part of these condensed interim consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES**CONDENSED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX-MONTHS PERIOD ENDED JUNE 30, 2025 AND 2024 (UNAUDITED)
(In thousands of U.S. dollars (US\$000))**

	Six months period from January 1 to June 30	
	2025	2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
OPERATING ACTIVITIES:		
Collections from:		
Sales	611,103	441,685
Return of credit balance subject to profit and taxes	21,671	25,484
Payments to/for:		
Suppliers and third parties	(378,373)	(309,079)
Employees	(76,468)	(50,125)
Income tax	(32,024)	(2,578)
Royalties	(11,307)	(4,864)
Others	4,658	4,411
Net cash and cash equivalents provided by operating activities	139,260	104,934
INVESTING ACTIVITIES:		
Payments for:		
Cementos Polpaico Shares	(5,000)	-
Purchase of property, plant and equipment	(45,063)	(29,666)
Increase of exploration and development costs, and other assets	(40,249)	(45,598)
Net cash and cash equivalents used in investing activities	(90,312)	(75,264)
FINANCING ACTIVITIES:		
Collection from:		
Sale of shares in energy company	-	26,279
Obtaining loans with third parties	-	25,000
Payments for:		
Financial obligations	(27,644)	(44,688)
Interests	(30,332)	(29,341)
Bank overdrafts	-	(1,043)
Net cash and cash equivalents used in financing activities	(57,976)	(23,793)
NET DECREASE (INCREASE) IN CASH AND CASH EQUIVALENTS	(9,028)	5,877
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD	155,834	61,642
	146,806	67,519
CASH AND CASH EQUIVALENTS CLASSIFIED AS HELD FOR SALE	-	500
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	146,806	68,019

Transactions that do not result in cash flows are described in Note 35.

The accompanying notes are an integral part of these condensed interim consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

NOTES TO THE CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX-MONTHS PERIOD ENDED JUNE 30, 2025 (UNAUDITED) AND DECEMBER 31, 2024 (AUDITED) (Amounts expressed in thousands of U.S. dollars)

1. INCORPORATION, ECONOMIC ACTIVITY, APPROVAL OF CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS, SUBSIDIARIES, AND OTHER CONTRACTUAL MATTERS

(a) Incorporation and economic activity

Volcan Compañía Minera S.A.A. (hereinafter “the Company”) is a subsidiary of Transition Metals Ag., which is a subsidiary of Integral Capital Business S.A., a company domiciled in Panama, owner of 63% of common class A voting shares in circulation and the total include the economic interest of 23%, excluding treasury shares.

The majority shareholder was a subsidiary of Glencore Plc., a company domiciled in Switzerland until May 08, 2024.

The Company was incorporated on February 1, 1998 in Lima, Peru.

Total common class A voting shares and class B non-voting shares comprising the capital stock of the Company are listed in the Stock Exchange of Lima.

The Company is mainly engaged in the exploration and operation of mining claims and the extraction, concentration, treatment, and commercialization of polymetallic minerals. The economic activity of Subsidiaries is explained in paragraph (c).

The Company and Subsidiaries engaged in the mining sector operate the mining units of Yauli, Animon, Alparmarca and Cerro in the departments of Cerro de Pasco, Junín, and Lima. The subsidiary dedicated to the electricity generation business operates in the department of Lima.

The Company’s Management addresses and supervises all operations of the economic group.

The legal domicile, where the administrative offices of the Company and Subsidiaries are located, is Av. Manuel Olguin No. 375, Santiago de Surco, Lima.

(b) Approval of the condensed interim consolidated financial statements

The condensed interim consolidated financial statements as of June 30, 2025 have been approved by the Company’s Management on July 31, 2025. Management believes that the accompanying consolidated financial statements will be approved by the General Shareholders’ Meeting as presented. The consolidated financial statements as of December 31, 2024 were approved by the Annual Mandatory Shareholders’ Meeting held on March 27, 2025.

(c) *Subsidiaries*

The Subsidiaries included in the preparation of the accompanying condensed interim consolidated financial statements are presented below:

Consolidated Subsidiaries and economic activity	Direct and indirect interest in ownership		Domicile
	As of	As of	
	06/30/2025	12/31/2024	
	%	%	
Mining exploration and operation:			
Compañía Minera Chungar S.A.C.	100.00	100.00	Peru
Empresa Administradora Cerro S.A.C. (1)	100.00	100.00	Peru
Empresa Explotadora de Vinchos Ltda. S.A.C.	100.00	100.00	Peru
Minera Aurífera Toruna S.A.C. (2)	80.00	80.00	Peru
Electric power generation:			
Compañía Hidroeléctrica Tingo S.A. (3)	100.00	100.00	Peru
Investments in general:			
Roquel Global S.A.C.	100.00	100.00	Peru
Compañía Industrial Limitada de Huacho S.A.	96.41	96.41	Peru
Empresa Minera Paragsha S.A.C.	100.00	100.00	Peru

- (1) Subsidiary Empresa Administradora Cerro S.A.C. absorbed Óxidos de Pasco S.A.C.
(2) Subsidiary of Empresa Minera Paragsha S.A.C. and indirect subsidiary of the Company.
(3) Subsidiary of Compañía Minera Chungar S.A.C. and indirect subsidiary of the Company.

A description of the economic activity of each subsidiary is presented below:

(c.1) *Mining exploration and operation*

Compañía Minera Chungar S.A.C.

This company has two mining units, Animon located in the province of Pasco, department of Cerro de Pasco, and Alpamarca, located in the province of Yauli, Department of Junin. This is engaged in the exploration, development, and operation of mineral deposits, basically with zinc, copper, and lead contents. This company has 244 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32. Based on the estimate of reserves and resources, the Company's Management has considered a useful life of mine until 2046.

In addition, the Subsidiary has 10 hydroelectric power plants, from which 9 are located in Huaral and one in Cerro de Pasco. Six of these plants have a concession (4 indefinite and 2 definite) and four plants do not have a concession nor a permit since this plant has a production less than 500KW, as established in the Electrical Concessions Law.

Empresa Administradora Cerro S.A.C.

This company is located in the province of Pasco, department of Cerro de Pasco. This is engaged in the exploration, development, and operation of mineral deposits, basically with zinc and lead contents. Now, the Subsidiary processes stockpiles in its mining unit Cerro since its mining operations have stopped. The Subsidiary has 10 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note

32. Based on the estimate of reserves and resources, the Company's Management has considered a useful life of mine until 2030.

In addition, as a result of the merger with Óxidos de Pasco S.A.C., which became effective in October 2023, the Subsidiary is engaged in the treatment of oxidized minerals at a leach pad. The Subsidiary has one beneficiation concession with an indefinite term. Based on the estimate of reserves and resources, the Company's Management has considered a useful life of mine until 2035.

Empresa Explotadora de Vinchos Ltda. S.A.C.

This company, located in the province of Daniel Alcides Carrion, department of Cerro de Pasco. This was incorporated for the exploration, development and operation of mineral deposits and its main activity was the exploration of its mining concessions through the financing of the Company and Subsidiaries. No activities have been developed as of June 30, 2025.

The Company's Management is reevaluating potential projects or the option of a simple reorganization in order to search for synergies for the development of its projects. The Subsidiary has 29 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32.

Minera Aurífera Toruna S.A.C.

The concessions of this company are located in the district of Ulcumayo and Paucartambo, departments of Junin and Cerro de Pasco, respectively. This company was incorporated for the exploration, development and operation of mineral deposits and its main activity was the exploration of its mining concessions through the financing of the Company and Subsidiaries. No activities have been developed as of June 30, 2025.

The Company's Management is reevaluating potential projects or the option of a simple reorganization in order to search for synergies for the development of its projects. The Subsidiary has 7 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32.

(c.2) Electric power generation

Compañía Hidroeléctrica Tingo S.A.

This company is engaged in the operation and maintenance of gen-sets and electrical energy transmission systems. It has the hydroelectric power plant of Tingo of 1.25 MW and 77.15 km of transmission lines of 22.9 and 50 KV, which are in the province of Huaral, department of Lima. The Subsidiary has a definite electrical concession.

(c.3) Investments in general

Roquel Global S.A.C.

This company is engaged in real estate development in order to perform port and logistics activities in relation to the Chancay Port. This company performed municipal procedures for the award of acquired land in 2019 (sanitation stage), which are still in progress. This company is seeking a strategic partner for the Industrial Logistics Complex Project "Chancay Park", which is undergoing an initial stage. The subsidiary is located in the district of Surco, Lima.

Compañía Industrial Limitada de Huacho S.A.

This company is mainly engaged in real estate activity, in which most of its properties are in the district of Jesus Maria, province of Lima.

Empresa Minera Paragsha S.A.C.

This company was incorporated for exploration, operation, assignment, and mining usufruct; however, its main activity now is the purchase and sale of investments in equity instruments. This subsidiary has shares of the Company and investments in Inversiones Portuarias Chancay S.A.A and Cementos Polpaico S.A. (Note 7). This subsidiary has 47 mining concessions, from which there are 30 concessions with an indefinite term.

(c.4) Unconsolidated entities

The Company prepares its condensed interim consolidated financial statements by incorporating the balances and transactions of all entities over which it has control, regardless of the level of equity interest, except certain Subsidiaries since they are undergoing a liquidation process. Management believes that the financial statements of unconsolidated entities do not have relevant figures for the condensed interim consolidated financial statements that could affect the economic decisions of users.

(c.5) Unaudited financial information of Subsidiaries

The unaudited interim financial statements of direct and indirect Subsidiaries as of June 30, 2025 are summarized below:

	Assets	Liabilities	Equity	Net profit (loss)
	US\$000	US\$000	US\$000	US\$000
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Compañía Minera Chungar S.A.C.	622,952	364,482	258,470	(13,922)
Empresa Administradora Cerro S.A.C. (1)	449,680	157,605	292,075	42,707
Empresa Minera Paragsha S.A.C.	163,488	90,082	73,406	(8,805)
Empresa Explotadora de Vinchos Ltda. S.A.C.	994	12,189	(11,195)	(1,070)
Minera Aurífera Toruna S.A.C. (2)	14	4,410	(4,396)	(312)
Compañía Hidroeléctrica Tingo S.A. (3)	26,692	7,525	19,167	566
Roquel Global S.A.C.	18,771	3,893	14,878	(177)
Compañía Industrial Limitada de Huacho S.A.	7,457	70	7,387	345
Unconsolidated entities	44	-	44	-
	1,290,092	640,256	649,836	19,332

The audited financial statements of direct and indirect Subsidiaries as of December 31, 2024 are summarized below:

	Assets	Liabilities	Equity	Net profit (loss)
	US\$000	US\$000	US\$000	US\$000
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Compañía Minera Chungar S.A.C.	636,092	494,388	141,704	(37,613)
Empresa Administradora Cerro S.A.C. (1)	428,646	179,278	249,368	40,106
Empresa Minera Paragsha S.A.C.	178,880	81,336	97,544	(9,537)
Empresa Explotadora de Vinchos Ltda. S.A.C.	1,040	11,166	(10,126)	14,624
Minera Aurífera Toruna S.A.C. (2)	3	4,087	(4,084)	(135)
Compañía Hidroeléctrica Tingo S.A. (3)	21,848	3,248	18,600	234
Roquel Global S.A.C.	18,734	3,679	15,055	(800)
Compañía Industrial Limitada de Huacho S.A.	7,378	307	7,071	399
Unconsolidated entities	34	-	34	-
	<u>1,292,655</u>	<u>777,489</u>	<u>515,166</u>	<u>7,278</u>

- (1) Subsidiary Empresa Administradora Cerro S.A.C. absorbed Óxidos de Pasco S.A.C.
(2) Subsidiary of Empresa Minera Paragsha S.A.C. and indirect subsidiary of the Company.
(3) Subsidiary of Compañía Minera Chungar S.A.C. and indirect subsidiary of the Company.

(d) Companies sold in 2024.

Below is a description of the economic activity of these companies:

Hidroeléctrica Huanchor S.A.C.

This company was mainly engaged in the sale of energy through the operation and maintenance of electric transmission system generation plants. For this, this company had the hydroelectric power plant of Huanchor of 19.768 MW and mini hydroelectric power plant of Tamboraque of 1.3 MW, both located in the district of San Mateo, province of Huarochiri, Lima. The Subsidiary had a definite electrical concession.

On June 14, 2024, the Company entered into a definitive agreement to sale the subsidiary for an amount of US\$46,800 with EDF PERÚ S.A.C., AC Captales Infraestructure II L.P, AC Captales Fondo Infraestructura II. and AC Captales Fondo Infraestructura II GP.

On October 11, 2024, the Company was sold for a final consideration for US\$49,469 before taxes and other deductions to Rimac Hydro S.A.C., a company 50% owned by EDF PERÚ S.A.C. and 50% by the following funds: (i) AC Captales Infraestructure Fund II, L.P., managed by AC Captales Infraestructure II GP LLC; (ii) AC Captales Fondo Infraestructura II and (iii) AC Captales Fondo Infraestructura II GP, both managed by AC Captales Sociedad Administradora de Fondos de Inversión S.A.

Empresa de Generación Energética Rio Baños S.A.C.

This company was mainly engaged in the sale of energy through the operation and maintenance of the hydroelectric power plant of Rucuy of 20.27 MW, located in the district of Pacaraos, province of Huaral, department of Lima. The Subsidiary had a definite electrical concession.

On May 31, 2024 the Company sold this subsidiary to Sindicato Energético S.A. for US\$31,675 (Note 26).

(e) Financial investment in related entity

Inversiones Portuarias Chancay S.A.A.

This company was incorporated in the Oficina de Registro de Lima of the Superintendencia Nacional de los Registros Públicos on October 3, 2023. According to Volcan's Shareholders' Meeting held on August 24, 2023, this company was incorporated to acquire, develop and negotiate interests or equity rights in companies engaged in port and logistics activities of any kind, as well as any related services.

The General Shareholders' Meeting approved the split-off of an equity block consisting of 40% of the shares in Cosco Shipping Ports Chancay Perú S.A. owned by the Company

On October 25, 2023, the shareholders of Volcan Compañía Minera S.A.A. and Inversiones Portuarias Chancay S.A.A. approved the split-off of the equity block made up of 40% of the shares of Cosco Shipping Ports Chancay Perú S.A. owned by Volcan Compañía Minera S.A.A. which transferred to Inversiones Portuarias Chancay S.A.A.

The effective date of the split-off was on March 4, 2024, and the net book value of the equity block amounts to the sum in soles of S/443,328 (equivalent to US\$132,386) composed of capital of S/407,656 and additional capital of S/35,672.

As a result of the split-off of the equity block, the Board of Directors agreed to modify its bylaws, to read as follows: The subscribed and paid capital of Inversiones Portuarias Chancay S.A.A. is S/407,656 represented by 1,633,414,553 Class "A" common shares and 2,443,157,622 Class "B" common shares with a nominal value of S/0.10 each.

The Company has investments in Inversiones Portuarias Chancay S.A.A. through its subsidiaries for US\$90,594, measured at fair value. (Note 7).

(f) Other contractual matters

(f.1) Subscription and Investment Agreement between Volcan Compañía Minera S.A.A. and Cosco Shipping Ports Limited

On January 23, 2019, the Company entered into with Cosco Shipping Ports Limited (CSPL) and its subsidiary Cosco Shipping (Chancay) Ports Limited (CSPL SPV), companies of the Peoples' Republic of China, with the participation of Terminales Portuarios Chancay S.A. (now Cosco Shipping Ports Chancay Perú S.A.) (CSPL), subsidiary of the Company until May 13, 2019, a subscription and investment agreement and a shareholders' agreement, under which CSPL, through its subsidiary CSPL SPV, became the shareholder of Cosco Shipping Ports Chancay Perú S.A. with 60% of shares of the capital stock for US\$225,000.

On May 13, 2019, the strategic partner was incorporated with an interest of 60% of shares of CSPL through a capital increase. The Company held ownership of the remaining 40% of shares of the capital stock of Cosco Shipping Ports Chancay Perú S.A., thus it became from subsidiary to associate of the Company at that date.

The definite completion of the transaction was mainly subject to the approval of the modification of the Environmental Impact Assessment (MEIA), which was obtained on September 22, 2020. That date, pursuant to Director's Resolution No. 00158-2020, the National Service of Environmental Certification for Sustainable Investments (SENACE) approved the

modification of the Environmental Impact Assessment (MEIA-d) of the Expansion Project of the Operating Port Area – Stage 1 of the Multi-purpose Port Terminal Chancay. When the MEIA was approved, CSPL SPV made capital contributions in the first semester of 2021.

The infrastructure project is located 50 km. on the northern area of the Callao Port. This project consists in a multi-purpose port terminal that will have two specialized terminals: (i) a terminal for containers that will include 11 docks for this type of cargo; and (ii) a terminal for loading bulk, general and rolling cargoes that will have four docks. At the first stage, an area of 141 hectares will be developed with an investment of US\$1,300,000.

At the Board of Directors' Meeting of Volcan Compañía Minera S.A.A. held on March 24, 2023, as shareholder of 40% of Cosco Shipping Ports Chancay Peru S.A., the financing granted by financial entities for US\$975,000 was approved for the development of the Multi-purpose Port Terminal Chancay.

The guarantees will be covered by the assets of Cosco Shipping Ports Chancay Peru S.A.

The project represents a major infrastructure work and an important opportunity for economic development for the country since it will be part of China's new connectivity network with the rest of the world, comprised by sea and land lanes. The Project was inaugurated in November 2024.

(f.2) Bond issuance

"4.375% Senior Notes Due 2026"

On February 11, 2021, bonds known as "4.375% Senior Notes Due 2026" were issued and placed in their entirety in the international market for US\$475,000 under Rule 144A and Regulation S of the U.S. Securities Act of the United States of America. The Company requested the inclusion of bonds in the Official List of the Luxembourg Stock Exchange and the admission for negotiation in the Euro MTF of the Luxembourg Stock Exchange.

These bonds mature in 5 years, on February 11, 2026, and accrue interests at an annual rate of 4.375%. Interests will be paid in semiannual installments as from August 11, 2021. Financial compliance covenants were not established for this obligation, but certain limitations were determined, as described in Note 16(a).

The instruments issued by the Company were partially repurchased on June 21, 2022 for up to US\$110,000 by using the Company's available cash.

"8.75% Senior Notes Due 2030"

On September 10, 2024, the Company made a private exchange offering of the instruments issued by Volcan Compañía Minera S.A.A. denominated "4.375% Senior Notes due 2026" ("Existing Notes") addressed to the holders of the Existing Notes, for new notes denominated "8.750% Senior secured notes due 2030" ("New Notes"), maturing in January 2030. These notes accrue interests at an annual rate of 8.750% to be paid through semi-annual installments.

The Company received valid offers and consents from registered holders of the Existing Notes for US\$297,014, representing approximately 81.37% of its outstanding principal amount. The Company accepted the full amount of the offerings described above, plus a 1% commission, which amounted to US\$299,872 of New Notes issued in consideration for the Existing Notes that made such offerings, and entered into a second addendum to the existing Indenture.

According to Management, the Company does not have any noncompliance event derived from the bond issuance agreements.

(f.4) Guarantee and Administration Trust Agreement entered into with Banco Internacional del Perú S.A.A., hereinafter “Interbank”

Interbank (trustee) and Volcan Compañía Minera S.A.A. (trustor) entered into this agreement on August 5, 2013. Pursuant to this agreement, a guarantee and administration trust fund was established, under which the Company transfers the administration of all the cash flows credited in its collection accounts, held in several financial entities, to Interbank under this trust. Commitments derived from this trust agreement are being met and allow ensuring cash flows to address the obligations of the Company and involved Subsidiaries.

2. MATERIAL ACCOUNTING POLICIES

(a) Basis of preparation and presentation

The accompanying condensed interim consolidated financial statements as of June 30, 2025 and for the six months periods ended June 30, 2025 and 2024 have been prepared in accordance with International Accounting Standards (IAS) 34 Interim Financial Reporting issued by the International Accounting Standards Board (IASB). In accordance with IAS 34, the interim financial information is intended only to provide updated information on the content of the last annual financial statements authorized for issuance, focusing on new activities, events and circumstances that occurred during the period of six months, and does not duplicate information previously published in the last annual financial statements authorized for issuance.

Consequently, these condensed interim consolidated financial statements do not include all the information required to complete financial statements prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the International Accounting Standards Board (IASB) and, accordingly, for a proper comprehension of the information included in these condensed interim consolidated financial statements, they should be read together with the consolidated financial statements as of December 31, 2024 that have been prepared in accordance with IFRS issued by the IASB and the Interpretations of the International Financial Reporting Interpretations Committee (IFRIC).

These unaudited condensed interim consolidated financial statements are presented in thousands of U.S. dollars, which is the Company’s functional currency.

The Company and Subsidiaries’ Management is responsible for the information contained in these condensed interim consolidated financial statements, which expressly confirms that all principles and criteria established in IFRS issued by the IASB, effective at each year-end, have been applied in their preparation.

(b) Seasonality

In view of the business activities in which the Company and Subsidiaries are engaged, their transactions are not cyclical or seasonal in nature. Therefore, no specific disclosures are included in these explanatory notbfes to the unaudited condensed interim consolidated financial statements for the six months period ended June 30, 2025.

(c) Comparative information

The information for 2024 contained in these six months unaudited condensed interim consolidated financial statements is presented for comparison purposes only with the information of the six months period ended June 30, 2025 for the condensed interim consolidated statement of profit and loss and other comprehensive income, changes in equity and cash flows. The audit information as of December 31, 2024 is presented for comparison purposes with the condensed interim consolidated statement of financial position as of June 30, 2025.

(d) Going concern

As of June 30, 2025 and as of December 31, 2024, the Company and Subsidiaries present a negative working capital for US\$86,112 and US\$24,571, respectively.

Management prepares its condensed interim consolidated financial statements under the going concern principle based on the judgment that there are no events or conditions that can contribute material uncertainties about the Company and Subsidiaries' capacity to continue as a going concern. This is based on, Management has projections of cash flows provided by its operating flows mainly, which allow addressing its obligations for at least the next twelve months.

Management has credit capacity that allows them having access to credit lines in top-ranked financial entities to address their obligations.

These cash flows depend on significant judgments and assumptions, such as the selling price of the mineral, production costs, among others.

3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The Company and Subsidiaries' Management is responsible for the information contained in these condensed interim consolidated financial statements. To prepare them, certain estimates have been used to quantify some assets, liabilities, revenue, expenses, and commitments recorded therein, based on experience and other relevant factors. Actual results may differ from those estimates.

These estimates are reviewed on an ongoing basis. Changes in accounting estimates are prospectively recognized by recording the effects of changes in the corresponding profit or loss accounts for the period when corresponding reviews are conducted.

The most important estimates considered for the preparation of the condensed interim consolidated financial statements of the Company and Subsidiaries refer to:

- Determination of functional currency and record of foreign currency transactions.
- Fair value of financial instruments.
- Valuation of inventories.
- Useful life assigned to mining rights, exploration and development costs, property, plant and equipment, and intangible assets.
- Determination of mineral reserves and resources.
- Impairment loss of long-term assets.
- Liability for the disposal of assets and mine closure.
- Provisions and estimate for contingencies.

- Revenue recognition.
- Current and deferred income tax and mining taxes.
- Uncertain tax positions.
- Going concern.

Actual results may differ from those estimates. The results for interim periods are not necessarily indicative of annual results.

During the six months period ended June 30, 2025, there were no significant changes in the estimates made at 2024 year-end.

4. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS INTERNATIONALLY ISSUED

a) New standards, amendments and interpretations adopted by the Company -

Within the framework of IFRS, certain accounting changes have been issued that are effective as of January 1, 2025. These changes have been taken into account by the Company for the preparation of the condensed interim consolidated financial statements. These accounting changes are summarized as follows:

- Amendments to IAS 21: Lack of Exchangeability: In August 2023, the IASB amended IAS 21 to add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. Prior to these amendments, IAS 21 set out the exchange rate to use when exchangeability is temporarily lacking, but not what to do when lack of exchangeability is not temporary.

The amendments to standards and interpretations previously listed have not had an impact on the Company's financial statements for prior years, or for the current year.

b) New standards, amendments and interpretations applicable to the Company in force for the annual financial statements beginning on or after June 30, 2025, that have not been early adopted -

Certain standards, amendments to standards and interpretations have been published that are mandatory in future years and have not been early adopted by the Company. A summary of these accounting changes that will be effective in periods after June 2025 are as follows:

- Amendments to IFRS 9 and IFRS 7 - Amendments to the Classification and Measurement of Financial Instruments.
- IFRS 18, Presentation and Disclosure in Financial Statements.
- IFRS 19, Subsidiaries without Public Accountability: Disclosures.
- Annual Improvements to IFRS 2024 - Volume 11.
- Amendments to IFRS 10 and IAS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

No other standards have been identified that are not yet effective and that could have a significant impact on the Company could be expected in the current reporting periods.

The Company will evaluate during second semester 2025 and 2026, depending on the entry into force of these standards and amendments, the impact that they could have on its financial statements.

5. FINANCIAL INSTRUMENTS AND RISKS

(a) Categories of financial instruments

The financial asset and liabilities of the Company and Subsidiaries comprise following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Financial assets:		
Cash and cash equivalents	146,806	155,834
Amortized cost		
Other accounts receivable (net)	10,464	12,342
Fair value through profit or loss		
Trade accounts receivable (net)	43,702	33,477
Derivatives designated as hedging instruments	233	-
	43,935	33,477
Fair value through other comprehensive income		
Financial investments	129,645	153,047
Derivatives designated as hedging instruments	1,125	948
	130,770	153,995
Total	331,975	355,648
Financial liabilities:		
Amortized cost		
Bank overdrafts	1	-
Financial obligations	727,468	749,761
Trade accounts payable	166,614	189,711
Other accounts payable	16,237	17,408
	910,320	956,880
Fair value through profit or loss		
Derivatives not designated as hedging instruments	590	-
Derivatives designated as hedging instruments	533	-
	1,123	-
Fair value through other comprehensive income		
Derivatives designated as hedging instruments	9,734	-
	9,734	-
Total	921,177	956,880

(b) Financial risks

During the normal course of operations, the Company and Subsidiaries are exposed to several financial risks. The risk management program of the Company and Subsidiaries is mainly focused on financial markets and seeks to minimize potential adverse effects on the financial performance of the Company and Subsidiaries. The Financial Management Department of the Company and Subsidiaries is in charge of risk management, which identifies, evaluates, and covers financial risks.

(i) **Market risk**

Exchange rate risk

The Company and Subsidiaries perform their sales in U.S. dollars, which allow them to meet their obligations in such currency. The exchange rate risk mainly arises from balances held in soles.

As of June 30, 2025, the balances of financial assets and liabilities denominated in foreign currency correspond to balances in soles, are expressed in US dollars at the purchase and sale exchange rate published by the Superintendency of Banking and Insurance and AFP (SBS) in effect on that date, which were US\$0.283, US\$0.282 per S/1.00, respectively, (US\$0.266 and US\$0.265 per S/1.00, respectively as of December 31, 2024) and are summarized as follows:

	06/30/2025 S/000 (Unaudited)	12/31/2024 S/000 (Audited)
Assets		
Cash and cash equivalents	101,245	194,403
Other accounts receivable (net)	155,894	127,690
Total assets	257,139	322,093
Liabilities		
Bank overdrafts	(1)	-
Trade accounts payable	(105,842)	(120,572)
Other accounts payable	(58,437)	(65,317)
Total liabilities	(164,280)	(185,889)
Net asset	92,859	136,204

For the six-month period ended June 30, 2025, the Company and Subsidiaries recorded a net exchange gain of US\$859 (net exchange loss of US\$692 for the six-month period ended June 30, 2024) (Note 28).

Management considers a sensitivity rate of 5% as reasonable in the assessment of exchange rate risk. A sensitivity analysis assuming the devaluation and revaluation of the sol (S/), equivalent to the rate mentioned above, exclusively on balances of assets and liabilities reflected above, considering other constant variables in the condensed interim consolidated statement of profit or loss before income tax, is presented in the following table:

	Changes in exchange rate	Effect on profit or loss before income tax (Debit) credit	
		06/30/2025	06/30/2024
		US\$000 (Unaudited)	US\$000 (Unaudited)
Revaluation	+5%	(1,308)	(895)
Devaluation	-5%	1,308	895

Price risk

The Company and Subsidiaries are exposed to commercial risks arising from changes in mineral market prices. In order to cover the risk arising from the decrease of prices of metals, Management hires derivative financial instruments.

For the control and follow-up of hedges, Management approved the “Metal Price Hedging Policy”, which is executed and monitored together with the Financial Risk Management Policy. Management has also a Hedging Committee whose objective is to mitigate the risks associated with variations and volatility of the prices of metals they produce.

For the period of six month ended of June 30, 2025 and 2024, if the average sales prices of main metals payable, contained in ore concentrates, increase (or decrease) by 10% and all other variables are held constant, profit or loss before taxes of the Company and Subsidiaries would change, as shown below:

	Effect on profit or loss before income tax (Debit) Credit US\$000 (Unaudited)
Zinc concentrate	
2025:	
Increase in the international price of zinc	29,951
Decrease in the international price of zinc	(29,951)
2024:	
Increase in the international price of zinc	21,202
Decrease in the international price of zinc	(21,202)
	Effect on profit or loss before income tax (Debit) Credit US\$000 (Unaudited)
Lead concentrate	
2025:	
Increase in the international price of lead	9,806
Decrease in the international price of lead	(9,806)
2024:	
Increase in the international price of lead	9,006
Decrease in the international price of lead	(9,006)

	Effect on profit or loss before income tax (Debit) Credit
	US\$000 (Unaudited)
Copper concentrate	
2025:	
Increase in the international price of copper	3,972
Decrease in the international price of copper	(3,972)
2024:	
Increase in the international price of copper	2,478
Decrease in the international price of copper	(2,478)
	Effect on profit or loss before income tax (Debit) Credit
	US\$000 (Unaudited)
Silver concentrate	
2025:	
Increase in the international price of silver	7,392
Decrease in the international price of silver	(7,392)
2024:	
Increase in the international price of silver	3,375
Decrease in the international price of silver	(3,375)

As of June 30, 2025 and December 31, 2024, the fair value of the embedded derivatives contained in the commercial contracts amounts to a gain of US\$3,711 and a loss of US\$2,692, respectively (Note 22).

Interest rate risk

The Company and Subsidiaries have significant assets, which are held in renowned financial entities and accrue interests at current rates in the market. Operating income and cash flows of the Company and Subsidiaries are independent of changes in interest rates in the market.

The interest rate risk is addressed by Management of the Company and Subsidiaries through a policy that establishes obtaining loans at fixed and variable interest rates.

Management considers that the risk of fluctuations in the fair value of interest rates is not significant since the interest rates of its financing agreements are not significantly different from the market interest rates for similar financial instruments.

(ii) Credit risk

The credit risk of the Company and Subsidiaries arises from the inability of debtors to meet their obligations. For this reason, Management establishes conservative credit policies and constantly evaluates the conditions of the market where their debtors operate, for which Management uses risk rating reports for commercial and credit operations.

The financial assets (excluding cash and cash equivalents and financial investments) of the Company and Subsidiaries are within their maturity dates.

Trade accounts receivable are denominated in U.S. dollars and expire on the issue date of the payment receipt. Such amounts are effective in the following days of maturity. The sales of the Company and Subsidiaries are performed to local and foreign customers, with whom they have commercial agreements. As of June 30, 2025, the Company has a portfolio of 19 customers (24 customers as of December 31, 2024). The three most important customers of the Company and Subsidiaries represented 47% of total sales for the six-month period ended June 30, 2025 (46% of total sales for the six-month period ended June 30, 2024).

The Company's Management considers the credit history of its customers and their payment capacity and evaluates the debts that are estimated to be collected as variation to determine the required provision for doubtful accounts. Management concludes that a provision for doubtful accounts is not required.

(iii) *Liquidity risk*

Prudent liquidity risk management implies maintaining sufficient cash and cash equivalents and having the possibility to be engaged and/or have engaged certain financing operations through adequate credit sources.

As of June 30, 2025 and December 31, 2024, the Company and Subsidiaries have negative working capital for US\$86,112 and US\$24,571, respectively.

The increase in negative working capital is mainly due to the 4.375% Senior Notes Due 2026, which mature in February 2026, therefore this is part of current liabilities as of June 30, 2025.

In addition, it generates significant cash flows from operating activities (US\$136,919 as of June 30, 2025, and US\$90,869 as of June 30, 2024).

Management believes that these measures will allow the Company and Subsidiaries to have sufficient cash flows to properly manage their financial obligations.

The table below presents an analysis of the financial liabilities of the Company and Subsidiaries classified according to their maturity (including interests to be paid at those maturities) at the date of the condensed interim consolidated statement of financial position:

Financial assets	Less than 1 year US\$000	Between 1 and 2 years US\$000	Between 2 and 10 years US\$000	Total US\$000
As of June 30, 2025 (Unaudited):				
Cash and cash equivalents	146,806	-	-	146,806
Trade accounts receivable (net)	43,702	-	-	43,702
Other accounts receivable (net)	10,464	-	-	10,464
Derivatives designated as hedging instruments	1,358	-	-	1,358
Financial investments	-	-	129,645	129,645
Total	202,330	-	129,645	331,975
As of December 31, 2024 (Audited):				
Cash and cash equivalents	155,834	-	-	155,834
Trade accounts receivable (net)	33,477	-	-	33,477
Other accounts receivable (net)	12,342	-	-	12,342
Derivatives designated as hedging instruments	948	-	-	948
Financial investments	-	-	153,047	153,047
Total	202,601	-	153,047	355,648
Financial liabilities				
	Less than 1 year US\$000	Between 1 and 2 years US\$000	Between 2 and 10 years US\$000	Total US\$000
As of June 30, 2025 (Unaudited):				
Bank overdrafts	1	-	-	1
Financial obligations	173,272	81,195	721,010	975,477
Trade accounts payable	166,614	-	-	166,614
Derivatives designated as hedging instruments	8,768	2,089	-	10,857
Other accounts payable	16,237	-	-	16,237
Total	364,892	83,284	721,010	1,169,186
As of December 31, 2024 (Audited):				
Financial obligations	107,786	150,551	768,446	1,026,783
Trade accounts payable	189,711	-	-	189,711
Other accounts payable	17,408	-	-	17,408
Total	314,905	150,551	768,446	1,233,902

(iv) Capital management risk

The company manages its capital with the objective of ensuring the ability to continue as a going concern, maximizing returns to shareholders, and maintaining an optimal capital structure to reduce the cost of capital.

To achieve these objectives, the company may adjust dividend payments, repay capital to shareholders, issue new shares, or sell assets to reduce debt.

The company's capital structure comprises shareholders' equity and net financial debt, which includes bank loans and bonds issued, less cash and cash equivalents.

The leverage ratio was as follows:

	Notes	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Bank overdrafts		1	-
Financial obligations	16	727,468	749,761
Cash and cash equivalents	6	(146,806)	(155,834)
Total net debt		580,663	593,927
Total equity		494,491	449,698
Net debt ratio		1.17	1.32

The Company managed to reduce the ratio from 1.32 in 2024 to 1.17 in 2025 due to the amortization of debt.

(c) Fair value of financial instruments

For purposes of the condensed interim consolidated financial statements, fair value measurements are categorized in three levels: 1, 2 or 3; depending on the degree in which the information for fair value measurements are observable, and their significance to fair value measurement in its entirety, as described below:

- Level 1: Input is quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company may access to at the measurement date.
- Level 2: Input is different from quoted prices included in Level 1, which are observable for the asset or liability, whether directly or indirectly.
- Level 3: Input is not observable for the asset or liability.

Fair value of financial assets and liabilities of the Company that are not measured at fair value, but fair value disclosures are required

Management considers that the carrying amounts of financial assets and liabilities recognized in the condensed interim consolidated financial statements are similar to their fair value, including the long-term loan that accrues equivalent interests at current market rates. The fair value of bonds issued in the international market (Note 16 (a)) is classified as Level 1 since quoted prices are available. The fair value of these bonds amount to US\$364,299 as of June 30, 2025 (US\$352,033 as of December 31, 2024).

Fair value of financial assets and liabilities of the Company and Subsidiaries that are measured at fair value on a constant basis

As of June 30, 2025, and December 31, 2024, the financial instruments measured at fair value after initial recognition refer to trade accounts receivable, financial investments and derivative financial instruments.

The following table shows the financial instruments measured at fair value on a constant basis, classified per level:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Financial assets		
Level 1		
Investments in equity instruments (a)	129,645	153,047
Level 2		
Trade accounts receivable (b)	43,702	33,477
Derivatives designated as hedging instruments	1,358	948
	<u>45,060</u>	<u>34,425</u>
Financial liabilities		
Level 2		
Derivatives not designated as hedging instruments	590	-
Derivatives designated as hedging instruments	10,267	-
	<u>10,857</u>	<u>-</u>

- (a) Financial investments (Note 7) correspond to the investment in Cementos Polpaico S.A., listed on the Chile Stock Exchange, and Inversiones Portuarias Chancay S.A.A., listed on the Peruvian Stock Exchange. As these investments are traded in active markets it has been classified as Level 1.
- (b) Trade accounts receivable, designated at fair value through profit or loss, comprise the changes in the value of provisional liquidations, which are adjusted at market value based on future estimates of metal prices at the date of the condensed interim consolidated financial statements. The measurement of fair value is classified as Level 2 since these measurements derive from international quotation prices in force included in Level 1.
- (c) No transfers have been made between levels during the period.

6. CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Petty cash and cash in banks (a) (b)	71,867	125,240
Mutual funds	45,698	-
Deposit		15,000
Cash in transit	-	3,722
Restricted cash (c)	<u>29,241</u>	<u>11,872</u>
	<u>146,806</u>	<u>155,834</u>

- (a) Cash in banks mainly comprise checking accounts denominated in soles and U.S. dollars, which are held in local banks, are freely available and accrue interests at market rates. Checking accounts include trust accounts that were constituted to meet the commitments derived from financial obligations (Notes 16), which are also freely available.
- (b) The Company and Subsidiaries present amounts for US\$20,175 and US\$40,628 as of June 30, 2025 and December 31, 2024 as part of cash in banks, which correspond to cash deposited in Banco de la Nacion for the payment of taxes.

- (c) This item corresponds to amounts withheld mainly by the Tax Administration for US\$15,095 as of June 30, 2025 (US\$11,872 as of December 31, 2024). In addition, the main differential for 2025 corresponds to Funds Retained for Projects for US\$14,146.

7. FINANCIAL INVESTMENTS

Financial investments comprise the following:

Company	Class	Class of shares	Participation		Market value		Carrying amount as of	
			06/30/2025	12/31/2024			06/30/2025	12/31/2024
			%	%	US\$000 (Unaudited)	US\$000 (Audited)		
Financial investments at fair value:								
Cemento Polpaico S.A. (a)	Common	4,056,643	18.59	15.90	7,661	Chilean pesos	39,046	28,593
Inversiones Portuarias Chancay S.A.A. (b)	Common - Class A	206,743,063	12.66	12.66	1.54	Soles	90,092	123,782
Inversiones Portuarias Chancay S.A.A. (b)	Common - Class B	12,234,901	0.50	0.50	0.15	Soles	502	667
Other investments:								
Other companies	Common	-	-	-	-		5	5
							129,645	153,047

- (a) Cementos Polpaico S.A. is engaged in the production and commercialization of cement and lime. As of June 30, 2025, the quotation amounted to 7,661 Chilean pesos per share, equivalent to US\$8.227 (7,000 Chilean pesos per share, equivalent to US\$7.048 as of December 31, 2024). Those shares are listed on the Chile Stock Exchange.

The fair value of this investment has generated an unrealized gain for US\$5,452 (unrealized loss for US\$8,560 in 2024) and deferred tax loss for US\$1,608 (deferred tax income for US\$2,525 in 2024).

On July 2, 2025, Cementos Polpaico's dividends were paid by Empresa Minera Parasgha S.A.C. for US\$533, corresponding to the years 2022 and 2024.

- (b) Inversiones Portuarias Chancay S.A.A. was incorporated to acquire, develop, and negotiate interests or patrimonial rights in companies engaged in port and logistics activities of any kind, as well as related services.

As of June 30, 2025, through its Subsidiaries, the Company has 206,743,063 Class A shares, whose price amounts to S/1.54 per share (equivalent to US\$0.44 per share) and 12,234,901 Class B shares, with a market price of S/0.15 per share (equivalent to US\$0.04 per share).

The fair value of this investment has generated an unrealized loss for US\$35,237 (unrealized gain for US\$92,345 in 2024) and deferred tax income for US\$10,395 (deferred tax loss for US\$27,242 in 2024).

Financial investments are Financial assets measured at fair value through other comprehensive income.

8. TRADE ACCOUNTS RECEIVABLE (NET)

Trade accounts receivable (net) comprise the following:

	<u>06/30/2025</u>	<u>12/31/2024</u>
	US\$000	US\$000
	(Unaudited)	(Audited)
Invoices	62,879	56,371
Embedded derivatives	309	(3,402)
Impairment estimate for accounts receivable	(19,486)	(19,492)
Total	<u>43,702</u>	<u>33,477</u>

Accounts receivable have current maturity, do not accrue interests, and do not have specific guarantees. These accounts are expected to be collected in the first quarter of the following year.

The main customers of the Company and Subsidiaries are renowned in the international market, have good credit history and do not have financial issues as of June 30, 2025 and December 31, 2024.

On December 22, 2023, Glencore Lima Trading S.A.C. and Volcan Compañía Minera S.A.A. entered into a consumption loan agreement No. 062-24-01 for US\$25,000. Under the terms and conditions of this agreement, the Company will sell zinc concentrates to Glencore Lima Trading S.A.C. from 2026 to 2028 (Note 16 c).

The impairment estimated for trade accounts receivable according to the assessment of expected credit losses is mainly related to a customer that is undergoing a liquidation process and comes from 2008.

Management of the Company and Subsidiaries believe that the estimate for doubtful accounts is sufficient to cover the non-compliance risk at the date of the condensed interim consolidated statements of financial position.

9. OTHER ACCOUNTS RECEIVABLE (NET)

Other accounts receivable (net) comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Tax credit for value-added tax (a)	47,282	41,897
Recoverable taxes	42,211	32,134
Advances granted to contractors and suppliers	16,428	11,652
Credit balance for income tax and temporary tax on net assets (b)	5,337	9,496
Public works for taxes, in process (d)	4,777	4,313
Prepaid expenses	2,649	3,968
Loans granted to employees	1,118	239
Other minor items	460	483
	120,262	104,182
Impairment estimate for other accounts receivable (e)	(19,269)	(17,266)
Subtotal	100,993	86,916
<u>Amortized cost:</u>		
Accounts receivable from contractors and others	12,877	13,298
Loans granted to third parties (c)	10,422	10,366
Escrow account – sale of companies	5,096	5,973
Other minor items	1,288	1,810
	29,683	31,447
Impairment estimate for other accounts receivable (e)	(19,219)	(19,105)
Subtotal	10,464	12,342
Total	111,457	99,258
Non-current portion	42,012	31,834
Current portion	69,445	67,424

- (a) As of June 30, 2025, this item includes an amount of US\$19,269 (US\$17,266 as of December 31, 2024), which corresponds to tax credit that is not expected to be recovered; therefore, an impairment estimate has been established for such amount.
- (b) As of June 30, 2025, it corresponds to the balance of income tax payments on account of US\$3,430 and payments for the temporary tax on net assets for US\$1,907 (as of December 31, 2024, it corresponds to the balance of income tax payments on account of US\$3,017 and payments for the temporary tax on net assets for US\$6,479)
- (c) Loans to third parties accrue interest at market rates and are primarily considered current maturities. The Company and Subsidiaries have considered setting aside US\$10,106 for doubtful accounts based on the assessment of the risk of non-collectibility.
- (d) This corresponds to disbursements made for public works, for which partial certificates of "Regional and Local Public Investment - Public Treasury" (CIPRL) have been obtained, which will allow for the cancellation of the amount invested by the Company in the

execution of investment projects. During 2024, the Company completed the projects "Improvement and Expansion of Sports Services at the Municipal Sports Center on Av. 1° de Mayo in the District of Chancay, Province of Huaral, Department of Lima" (CUI 2466179) and "Improvement of the Comprehensive Management of Municipal Solid Waste in the District of Huayllay, Province of Pasco, Department of Pasco" (CUI 2511013) which US\$1,792 has been recovered through the "CIPRL" (Recycling and Recycling Program) under the scheme of Law 29230 on Works for Taxes. The recovery of the invested balance, amounting to US\$2,985, will be sought in 2025.

- (e) As of June 30, 2025, it corresponds mainly to the allowance for impairment of the general sales tax credit for US\$19,269 and loans receivable for US\$10,106. As of December 31, 2024, it corresponds mainly to the provision for impairment of the general sales tax credit for US\$17,266, loans receivable for US\$10,069 and the remaining balance corresponds mainly to contractors receivable.

Management of the Company and Subsidiaries believes that the impairment estimate for other accounts receivable is sufficient to cover the non-compliance risk at the date of the condensed interim consolidated statement of financial position.

10. OTHER FINANCIAL ASSETS AND LIABILITIES

Other financial assets comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Derivative financial instruments:		
Derivatives designated as hedging instruments (b)	1,358	948
	<u>1,358</u>	<u>948</u>

Other financial liabilities comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Derivative financial instruments:		
Derivatives designated as hedging instruments (b)	10,267	-
Derivatives not designated as hedging instruments (a)	590	-
	<u>10,857</u>	<u>-</u>
Non-current portion	2,089	-
Current portion	<u>8,768</u>	<u>-</u>

- (a) As of June 30, 2025 and December 31, 2024, it corresponds to pending invoices for the settlement of derivative financial instruments.
- (b) Derivative financial instruments were contracted with several international financial institutions, including Macquarie Bank Limited, J.Aron & Company, JP Morgan, Morgan Stanley and Citibank NY.

The effect on results for fair value and settlement of derivative financial instruments is found in the notes Net sales (Note 22) and details of the condensed interim consolidated statement of other comprehensive income.

11. INVENTORIES (NET)

Inventories (net) comprise the following:

	<u>06/30/2025</u> US\$000 (Unaudited)	<u>12/31/2024</u> US\$000 (Audited)
Concentrates (a)	4,558	8,909
Mineral (a)	3,023	5,416
Pyrite stockpiles	4,968	5,180
Sundry supplies	36,765	32,297
Inventories in transit	<u>231</u>	<u>482</u>
	49,545	52,284
Impairment estimate of supplies	<u>(8,913)</u>	<u>(9,034)</u>
Total	<u>40,632</u>	<u>43,250</u>
Non-current portion	<u>4,968</u>	<u>5,180</u>
Current portion	<u>35,664</u>	<u>38,070</u>

(a) According to the sales commitments, the concentrate held as of June 30, 2025 will be sold, and the mineral will be exploited in second semester of 2025.

(b) The impairment estimate of supplies comprises the following:

	<u>06/30/2025</u> US\$000 (Unaudited)	<u>12/31/2024</u> US\$000 (Audited)
Opening balance	9,034	9,779
Additions (Note 26)	102	599
Recovery (Note 26)	(223)	(947)
Sale of company (Huanchor) IFRS 5	<u>-</u>	<u>(397)</u>
Closing balance	<u>8,913</u>	<u>9,034</u>

Management believes that the impairment estimate covers the risk of loss at the date of the condensed interim consolidated statements of financial position.

12. PROPERTY, PLANT AND EQUIPMENT (NET)

The movement in the cost and accumulated depreciation of property, plant and equipment, net, was as follows:

	Balance as of January 1, 2025 US\$000 (Audited)	Additions US\$000	Sales and/or disposals US\$000	Transfers US\$000	Balance as of June 30, 2025 US\$000 (Unaudited)
Cost of:					
Land	23,106	-	-	(4,578)	18,528
Buildings and other constructions	1,175,308	-	-	2,008	1,177,316
Environmental management program infrastructure	680	-	-	-	680
Machinery and equipment	178,080	733	(150)	218	178,881
Vehicles	2,916	144	-	-	3,060
Furniture and fixtures and computer equipment	8,927	123	-	-	9,050
Sundry equipment	444,796	5,461	-	512	450,769
Units in transit	565	88	-	(143)	510
Works in progress (a)	101,303	37,277	-	(9,367)	129,213
	<u>1,935,681</u>	<u>43,826</u>	<u>(150)</u>	<u>(11,350)</u>	<u>1,968,007</u>
Accumulated depreciation of:					
Buildings and other constructions	741,372	26,927	-	(1,117)	767,182
Environmental management program infrastructure	680	-	-	-	680
Machinery and equipment	149,201	5,865	(50)	-	155,016
Vehicles	2,586	72	-	-	2,658
Furniture and fixtures and computer equipment	7,478	177	-	-	7,655
Sundry equipment	<u>351,243</u>	<u>9,785</u>	<u>-</u>	<u>-</u>	<u>361,028</u>
	<u>1,252,560</u>	<u>42,826</u>	<u>(50)</u>	<u>(1,117)</u>	<u>1,294,219</u>
Net value	<u>683,121</u>				<u>673,788</u>

	Balance as of January 1, 2024 US\$000 (Audited)	Additions US\$000	Sales and/or disposals US\$000	Transfers US\$000	Disposal of subsidiaries US\$000	Balance as of December 31, 2024 US\$000 (Audited)
Cost of:						
Land	23,573	-	-	-	(467)	23,106
Buildings and other constructions	1,200,955	569	-	42,247	(68,463)	1,175,308
Environmental management program infrastructure	680	-	-	-	-	680
Machinery and equipment	187,986	3,236	(973)	-	(12,169)	178,080
Vehicles	3,320	-	(404)	-	-	2,916
Furniture and fixtures and computer equipment	8,937	40	-	7	(57)	8,927
Sundry equipment	430,633	10,285	(317)	5,036	(841)	444,796
Units in transit	3,244	222	-	(2,901)	-	565
Works in progress (a)	86,629	56,400	(286)	(41,330)	(110)	101,303
	<u>1,945,957</u>	<u>70,752</u>	<u>(1,980)</u>	<u>3,059</u>	<u>(82,107)</u>	<u>1,935,681</u>
Accumulated depreciation of:						
Buildings and other constructions	686,041	76,616	-	-	(21,285)	741,372
Environmental management program infrastructure	680	-	-	-	-	680
Machinery and equipment	147,157	13,170	(919)	-	(10,207)	149,201
Vehicles	2,811	152	(377)	-	-	2,586
Furniture and fixtures and computer equipment	7,108	421	-	-	(51)	7,478
Sundry equipment	330,330	21,528	(108)	-	(507)	351,243
	<u>1,174,127</u>	<u>111,887</u>	<u>(1,404)</u>	<u>-</u>	<u>(32,050)</u>	<u>1,252,560</u>
Net value	<u>771,830</u>					<u>683,121</u>

- (a) As of June 30, 2025, the projects that are part of item works in progress mainly belong to Volcan Compañía Minera S.A.A. for US\$68,534 and Subsidiary Compañía Minera Chungar S.A.C. for US\$41,723 (US\$52,662 and US\$31,209 as of December 31, 2024, respectively), as detailed below:

Volcan Compañía Minera S.A.A.

	06/30/2025	12/31/2024
	US\$000	US\$000
	(Unaudited)	(Audited)
Growth of tailings facility Rumichaca Level 4233	29,988	29,981
Growth of tailings facility Rumichaca Level 4235	11,571	-
Growth of tailings facility Rumichaca Level 4250	3,823	3,788
Tailings facility - filter Gavilán - Carahuacra	2,441	2,441
Growth of tailings facility Andaychagua Alto Level 4415	2,006	2,006
Industrial wastewater treatment plant	965	965
Engineering - growth of tailings facility Andaychagua Alta Level 4420	828	818
Maintenance workshop Level 1320	542	542
Installation of electrical works - advance	-	498
Construction of electrical substations	-	479
Engineering MEIA - Growth of tailing facility Andaychagua	747	474
Construction of substation 3 NVA Ticlio	459	459
Other minor projects	15,164	10,211
	<u>68,534</u>	<u>52,662</u>

Subsidiary Compañía Minera Chungar S.A.C.

	06/30/2025	12/31/2024
	US\$000	US\$000
	(Unaudited)	(Audited)
Romina project - General infrastructure	8,830	7,031
Construction of Cacray camp	5,465	5,048
Romina project - permits, social & environment	2,176	1,967
Pumping system level 390 - reinforcement of Esperanza system	4,074	1,874
Engineering and construction of Rinconada tailings facility	2,425	2,425
TSF Animón with filtered tailings facility	1,503	1,417
Infraestructura General En Sitio - Romina	1,353	-
Transmission line Yanahuin Romina	1,097	1,097
Reinforcement of Electrical Substation Animon	1,083	1,083
Other minor projects	13,717	9,267
	<u>41,723</u>	<u>31,209</u>

As of June 30, 2025 and December 31, 2024, other Subsidiaries have projects in progress for US\$18,956 and US\$17,432, respectively.

The projects held as of June 30, 2025 are estimated to be completed between 2025 and 2026.

- (b) The six months charge for depreciation has been distributed as follows:

	06/30/2025	06/30/2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
Cost of sales (Note 23)	41,430	52,627
Administrative expenses (Note 24)	612	702
Selling expenses (Note 25)	33	34
Other expenses (Note 26)	751	1,420
Total	42,826	54,783

- (c) As of June 30, 2025, buildings, machinery, and equipment include assets under finance leases with a carrying amount of US\$7,631 and US\$14,417, respectively (US\$7,800 and US\$18,805 as of December 31, 2024).
- (d) The Company and Subsidiaries hired insurance policies on their main assets according to the policies established by Management.
- (e) As of June 30, 2025 and December 31, 2024, the cost of property, plant and equipment is presented net of accumulated impairment of US\$335,623, distributed in items of buildings and constructions for US\$263,245, machinery and equipment and sundry equipment for US\$43,897, and others for US\$28,481.
- (f) As of June 30, 2025 and December 31, 2024, the Company and Subsidiaries have fully depreciated assets for US\$190,084 and US\$134,921, respectively.

13. RIGHT-OF-USE ASSETS (NET)

The movement in the cost and accumulated depreciation of right-of-use assets, net, was as follows:

	Balance as of January 1, 2025 US\$000 (Audited)	Additions US\$000	Balance as of June 30, 2025 US\$000 (Unaudited)
Cost of:			
Operating machinery	15,865	-	15,865
Vehicles	9,950	-	9,950
Properties	169	-	169
	<u>25,984</u>	<u>-</u>	<u>25,984</u>
Depreciation of:			
Operating machinery	4,871	1,759	6,630
Vehicles	5,280	2,195	7,475
Properties	170	-	170
	<u>10,321</u>	<u>3,954</u>	<u>14,275</u>
Net value	<u>15,663</u>		<u>11,709</u>

	Balance as of January 1, 2024 US\$000 (Audited)	Additions US\$000	Disposals US\$000	Transfers US\$000	Balance as of December 31, US\$000 (Audited)
Cost of:					
Operating machinery	13,448	2,417	-	-	15,865
Vehicles	11,029	2,912	(3,897)	(94)	9,950
Properties	169	-	-	-	169
	<u>24,646</u>	<u>5,329</u>	<u>(3,897)</u>	<u>(94)</u>	<u>25,984</u>
Depreciation of:					
Operating machinery	1,857	3,014	-	-	4,871
Vehicles	4,711	4,412	(3,784)	(59)	5,280
Properties	152	18	-	-	170
	<u>6,720</u>	<u>7,444</u>	<u>(3,784)</u>	<u>(59)</u>	<u>10,321</u>
Net value	<u>17,926</u>				<u>15,663</u>

The six months charge for depreciation of right-of-use assets has been distributed as follows:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Cost of sales (Note 23)	3,954	3,092
Other expenses (Note 26)	-	319
Total	<u>3,954</u>	<u>3,411</u>

14. INVESTMENT PROPERTIES (NET)

The movement in the cost and accumulated depreciation of investment properties, net, was as follows:

	Balance as of January 1, 2025 US\$000 (Audited)	Additions US\$000	Transfers US\$000	Balance as of June 30, 2025 US\$000 (Unaudited)
Cost of:				
Lands	-	-	4,578	4,578
Buildings	-	-	1,548	1,548
	<u>-</u>	<u>-</u>	<u>6,126</u>	<u>6,126</u>
Depreciation of:				
Buildings	-	26	1,117	1,143
	<u>-</u>	<u>26</u>	<u>1,117</u>	<u>1,143</u>
Net value	<u>-</u>			<u>4,983</u>

15. MINING CONCESSIONS, EXPLORATION AND DEVELOPMENT COSTS AND OTHER ASSETS (NET)

The movement in the cost and accumulated amortization of mining concessions, exploration and development costs, closure of mining units and other assets was as follows:

	Balance as of January 1, 2025 US\$000 (Audited)	Additions US\$000	Disposals US\$000	Transfers US\$000	Balance as of June 30, 2025 US\$000 (Unaudited)
Cost of:					
Mining concessions	250,068	-	(741)	-	249,327
Exploration costs	347,530	3,700	-	1,069	352,299
Development costs (a)	1,053,424	35,406	-	3,974	1,092,804
Closure of mining units	141,537	-	-	-	141,537
Community rights	21,401	-	-	-	21,401
Other intangibles	17,898	39	-	181	18,118
	<u>1,831,858</u>	<u>39,145</u>	<u>(741)</u>	<u>5,224</u>	<u>1,875,486</u>
Amortization of:					
Mining concessions	210,356	1,948	(648)	-	211,656
Exploration costs	217,906	7,147	-	-	225,053
Development costs (a)	614,939	24,475	-	-	639,414
Closure of mining units	112,510	1,261	-	-	113,771
Community rights	9,712	613	-	-	10,325
Other intangibles	10,207	613	-	-	10,820
	<u>1,175,630</u>	<u>36,057</u>	<u>(648)</u>	<u>-</u>	<u>1,211,039</u>
Net value	<u>656,228</u>				<u>664,447</u>

	Balance as of January 1, 2024 US\$000	Additions US\$000	Disposals US\$000	Transfers US\$000	Estimate adjustment US\$000 (Note 33)	Disposal of subsidiaries US\$000 (Note 27)	Impairment recovery US\$000 (Note 27)	Balance as of December 31, 2024 US\$000
	(Audited)							(Audited)
Cost of:								
Mining concessions	260,650	-	(10,343)	-	-	(239)	-	250,068
Exploration costs	338,691	8,839	-	-	-	-	-	347,530
Development costs (a)	896,005	69,145	-	(3,426)	-	-	91,700	1,053,424
Closure of mining units	210,609	-	-	3,437	(72,509)	-	-	141,537
Community rights	24,645	-	-	-	-	(3,244)	-	21,401
Other intangibles	20,995	3	-	(3,070)	-	(30)	-	17,898
	<u>1,751,595</u>	<u>77,987</u>	<u>(10,343)</u>	<u>(3,059)</u>	<u>(72,509)</u>	<u>(3,513)</u>	<u>91,700</u>	<u>1,831,858</u>
Amortization of:								
Mining concessions	205,730	4,865	-	-	-	(239)	-	210,356
Exploration costs	201,663	16,243	-	-	-	-	-	217,906
Development costs (a)	577,179	37,760	-	-	-	-	-	614,939
Closure of mining units	98,717	13,793	-	-	-	-	-	112,510
Community rights	8,911	1,545	-	-	-	(744)	-	9,712
Other intangibles	8,745	1,479	-	-	-	(17)	-	10,207
	<u>1,100,945</u>	<u>75,685</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(1,000)</u>	<u>-</u>	<u>1,175,630</u>
Net value	<u>650,650</u>							<u>656,228</u>

(a) Development costs:

The movement and structure of this item is presented below:

	Balance as of January 1, 2025 US\$000 (Audited)	Additions US\$000	Transfers US\$000	Balance as of June 30, 2025 US\$000 (Unaudited)
Cost of:				
Yauli	575,662	25,612	-	601,274
Cerro de Pasco	157,420	117	3,974	161,511
Animon	314,084	9,677	-	323,761
Vinchos	6,258	-	-	6,258
	<u>1,053,424</u>	<u>35,406</u>	<u>3,974</u>	<u>1,092,804</u>
Accumulated amortization of:				
Yauli	323,605	13,735	-	337,340
Cerro de Pasco	108,888	3,252	-	112,140
Animon	176,188	7,488	-	183,676
Vinchos	6,258	-	-	6,258
	<u>614,939</u>	<u>24,475</u>	<u>-</u>	<u>639,414</u>
Net cost	<u>438,485</u>			<u>453,390</u>

	Balance as of January 1, 2024 US\$000 (Audited)	Additions US\$000	Transfers US\$000	Impairment recovery US\$000	Balance as of December 31, 2024 US\$000 (Audited)
Cost of:					
Yauli	435,487	53,265	10	86,900	575,662
Cerro de Pasco	156,056	-	(3,436)	4,800	157,420
Animon	298,204	15,880	-	-	314,084
Vinchos	6,258	-	-	-	6,258
	<u>896,005</u>	<u>69,145</u>	<u>(3,426)</u>	<u>91,700</u>	<u>1,053,424</u>
Accumulated amortization of:					
Yauli	306,854	16,751	-	-	323,605
Cerro de Pasco	103,383	5,505	-	-	108,888
Animon	160,684	15,504	-	-	176,188
Vinchos	6,258	-	-	-	6,258
	<u>577,179</u>	<u>37,760</u>	<u>-</u>	<u>-</u>	<u>614,939</u>
Net cost	<u>318,826</u>				<u>438,485</u>

- (b) The six months charge for amortization has been distributed as follows:

	<u>06/30/2025</u>	<u>06/30/2024</u>
	<u>US\$000</u>	<u>US\$000</u>
	<u>(Unaudited)</u>	<u>(Unaudited)</u>
Cost of sales (Note 23)	34,409	34,766
Administrative expenses (Note 24)	906	979
Other expenses (Note 26)	743	214
Total	<u>36,057</u>	<u>35,959</u>

- (c) As of June 30, 2025 and December 31, 2024, the cost of mining concessions, development costs and other intangibles assets is presented net of accumulated impairment of US\$602,659, distributed in items of mining concessions for US\$45,984, exploration costs for US\$237,045, development costs for US\$268,086, and other intangibles for US\$51,544. In 2024, as part of the impairment assessment of certain cash-generating units (CGUs), the Company's Management determined an estimate of impairment recovery for US\$91,700, distributed in development costs. (Note 27).

16. FINANCIAL OBLIGATIONS

The movement and structure of this item is presented below:

	Original amount US\$000	Interest rate (%)	Maturity	Total	
				06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Bonds (a)					
Negotiated bonds	475,000	4.375	Feb-26	67,986	67,986
Adjustment for amortized cost (issue costs)				(643)	(1,194)
				<u>67,343</u>	<u>66,792</u>
Negotiated bonds	299,872	8.75	Jan-30	299,872	299,872
Adjustment for amortized cost (issue costs)				(10,452)	(11,545)
				<u>289,420</u>	<u>288,327</u>
Syndicated loan (b)					
Syndicated loan	369,371	5.0 + SOFR 3M	Jul-29	330,201	344,348
Adjustment for amortized cost (issue costs)				(14,492)	(15,097)
				<u>315,709</u>	<u>329,251</u>
Loans (c)					
Glencore Lima Trading S.A.C.	25,000	4.5 + SOFR 3M	Dec-28	25,000	25,000
Glencore International AG	30,000	5.5 + SOFR 3M	Jan-25	-	6,375
				<u>25,000</u>	<u>31,375</u>
Lease liability with third parties					
Lease liability	-	-	-	8,790	12,777
				<u>8,790</u>	<u>12,777</u>
Lease liability with financial entities					
Banco Internacional del Perú-Interbank	2,573	Between 3.00 and 3.30	Between Jan-25 and Feb-25	-	142
Scotiabank Perú S.A.A.	11,298	Between 3.90 and 7.35	Between Jul-25 and Feb-27	1,540	4,070
				<u>1,540</u>	<u>4,212</u>
Interests payable				<u>19,666</u>	<u>17,027</u>
Total financial obligations				<u>727,468</u>	<u>749,761</u>
Non-current portion				<u>617,880</u>	<u>709,060</u>
Current portion				<u>109,588</u>	<u>40,701</u>

- (a) Negotiated bonds known as "4.375% Senior Notes Due 2026" were issued on February 11, 2021 and placed in their entirety in the international market for US\$475,000, at an annual coupon rate of 4.375%, maturing in 5 years. Interests are paid in semiannual installments from August 11, 2021 to February 11, 2026. The issue document of these bonds does not establish the compliance with financial covenants; however, it establishes certain limitations, such as incurring additional debts, for the Company as well as for Subsidiaries considered restricted, if when acquiring such debt, the consolidated fixed hedge rate of the Company and Subsidiaries is less than 2.0. This document also establishes limitations for the sale of assets, among others.

Funds were received on February 11, 2021 and in that month, the Company did the following:

- (i) Partial purchase of "5.375% Senior Notes Due 2022" for US\$125,000.
- (ii) Payment of syndicated loan for US\$303,000, including accrued interests.
- (iii) Payment of other medium-term credits for US\$34,000.
- (iv) The balance of funds received for the new issue of bonds was used for operation-related expenses.

The instruments issued by the Company were partially repurchased on June 21, 2022 for up to US\$110,000 by using the Company's available cash. A profit of US\$6,600 was obtained from this transaction due to the discount obtained at the face value of the repurchased debt.

On August 5, 2024, the Company made a private exchange offer to the holders of the bonds denominated "4.375% Senior Notes Due 2026" for new bonds denominated "8.750% Senior secured notes due 2030".

81.37% of the holders of the "4.375% Senior Notes Due 2026" equivalent to US\$297,014 accepted the exchange proposal. As a result, on September 10, 2024, the Company issued US\$299,872 of the instruments denominated "8.750% Senior secured notes due 2030".

The interest on the "8.750% Senior secured notes due 2030" will be paid every January 24 and July 24 until January 2030, the date on which the principal amount is paid.

The new notes "8.750% Senior secured notes due 2030" are guaranteed by the majority of the Company's assets including the subsidiaries: Compañía Minera Chungar S.A.C., Empresa Administradora Cerro S.A.C., Empresa Minera Paragsha S.A.C., Compañía Industrial Limitada de Huacho S.A., Roquel Global S.A.C., Compañía Hidroeléctrica Tingo S.A., Minera Aurífera Toruna S.A.C. and Empresa Explotadora de Vinchos Ltda. S.A.C. and share guarantees, on a *pari passu* basis, with the obligations of the syndicated loan agreement dated July 24, 2024, entered into between the Company, some of its subsidiaries, the lenders detailed in such document and Citibank N.A., as administrative agent.

- (b) On December 29, 2021, the Company signed an agreement for a syndicated loan managed by Citigroup Global Markets Inc. and Banco Santander S.A. for US\$400,000.

The loan was disbursed on January 25, 2022 and had to be amortized in quarterly installments according to the following schedule: US\$102.9 million in 2024, US\$137.1

million in 2025 and US\$160 million in 2026. In addition, it had a variable interest rate, equivalent to LIBOR (3m) plus a markup, which was 400 bps as of December 31, 2023.

The lenders of this loan are the following entities: Banco Santander, S.A.; Citibank, N.A.; Bank of Nova Scotia; Banco Internacional del Peru S.A.A.; Banco Interamericano de Finanzas; Banco de Crédito e Inversiones, S.A.; Banco Latinoamericano de Comercio Exterior, S.A.; Bancaribe Curacao Bank N.V.; Banco de Crédito del Perú; Natixix, New York Branch and Banco de Occidente Panamá, S.A.

The amount of US\$34,286 of the syndicated loan was amortized in June 2024 and, on July 24, the Company entered into a comprehensive "Amended and Restated Credit Agreement" to the syndicated loan agreement which included the following modifications:

- (i) The extension of the final maturity date to July 24, 2029.
 - (ii) The amortization of the outstanding amount of US\$369,371 million in quarterly installments according to the following schedule: US\$10,000 due in 2025, US\$20,000 in 2026, US\$25,000 in 2027, US\$35,000 due in 2028 and US\$25 million with the remaining balance on the final maturity date.
 - (iii) Interest rate of SOFR+500 bps during years 1-3 and a possible increase in years 4-5 to SOFR+550 bps.
 - (iv) It allows additional financing of up to US\$70,000 for working capital, US\$125,000 for the development of the Romina Project, US\$100,000 for hedging operations and an additional US\$15,000 for leasing operations.
 - (v) Provided that there are outstanding balances of the syndicated loan greater than US\$160,000, the Company will apply part of the cash surplus greater than US\$70,000 to amortize the syndicated loan.
 - (vi) The following financial covenants have been established:
 - (a) Consolidated total debt to EBITDA ratio: the consolidated debt to EBITDA ratio, measured as of the last day of each fiscal quarter must be less than: 3.75:1.00 by December 31, 2026, and (ii) 3.50:1.00 as of 2027.
 - (b) Consolidated EBITDA to Debt Service ratio, measured on the last day of each fiscal quarter, must be greater than 1.75:1.00.
- As of June 30, 2025, the result of the Debt to EBITDA ratio is 1.55. In case of the EBITDA to Debt Service ratio is 3.33.
- (vii) Limitations are established for the sale of certain assets, among others.
 - (viii) The refinanced loan is secured by the majority of the Company's assets including the subsidiaries: Compañía Minera Chungar S.A.C., Empresa Administradora Cerro S.A.C., Empresa Minera Paragsha S.A.C., Compañía Industrial Limitada de Huacho S.A., Roquel Global S.A.C., Compañía Hidroeléctrica Tingo S.A., Minera Aurífera Toruna S.A.C. y Empresa Explotadora de Vinchos Ltda. S.A.C.
 - (ix) The refinanced loan allows the Company to share the guarantees granted *pari passu* with the "8,750% Senior secured notes due 2030".

- (c) On December 22, 2023, Glencore Lima Trading S.A.C. and Volcan Compañía Minera S.A.A. entered into a Mutual Monetary Agreement for US\$25,000, with a variable interest rate SOFR (3M) + 4.5%. The loan was disbursed during the first quarter of 2024.

On July 12, 2024, Glencore International AG and Volcan Compañía Minera S.A.A. entered into a financing agreement for US\$30,000 with a maturity of 6 months, with a variable interest rate SOFR (3M) + 5.5%. The loan was disbursed on July 22, 2024.

- (d) The debt amortization schedule at face value, including interests to be accrued, as of June 30, 2025 and December 31, 2024 is as follows:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
2025	-	107,786
2026	173,272	150,551
2027	81,195	83,282
2028	85,303	89,905
2029	94,324	295,387
2030	541,383	299,872
Total	975,477	1,026,783

- (e) As of June 30, 2025 and 2024, the reconciliation of cash flows to financial obligations are shown below:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Movements related to cash flows		
Obtaining loans from third parties	-	25,000
Payment of short-term loans from banks	(6,375)	-
Payment of short-term loans from syndicated loan	(14,147)	(34,286)
Payment of leases with financial entities	(2,673)	(5,919)
Payment of interests on loans	(30,332)	(29,341)
Payment of leases with third parties	(4,449)	(4,483)
Bank overdrafts	1	(1,043)
Total	(57,975)	(50,072)
Movements not related to cash flows		
Obtainment of finance leases	-	1,502
Interests on loans	33,052	29,453
Exchange difference - financial obligations	382	584
Accrual of issue costs - bonds	1,644	551
Accrual of structural costs - syndicated loan	605	507
Lease liabilities with third parties	-	3,218
Available for sale	-	(58)
Decrease of financial obligations during the period	(22,292)	(14,315)
Financial obligations at the beginning of the period	749,761	804,915
Financial obligations at the end of the period	727,469	790,600

(f) Guarantees

The guarantees are shared *pari passu* between the new guaranteed syndicated loan and the "8,750% Senior secured notes due 2030" and comprise the following:

(i) Trust in administration and guarantee under Peruvian Law on certain balances of the flows from the sale of concentrates from Volcan, Chungar and Cerro de Pasco that are provided by the trusts of those companies.

(ii) Trust in guarantee under Peruvian Law on current or future interests in:

(a) 100% of the shares owned by Volcan or its subsidiaries in Chungar, Cerro, Paragsha, Roquel, Tingo, Huacho, Toruna and Vinchos;

(b) Shares owned by Paragsha in Volcan (11.20% of common Class A shares), in Inversiones Portuarias Chancay S.A.A. (11.20% of common Class A shares) and Cementos Polpaico.

(c) 100% interest in any newly created or acquired subsidiary; and

(d) 100% of the equity interest that corresponds to Volcan or its subsidiaries in a future joint venture.

(iii) Mortgages on production units under Peruvian Law on the mining units of San Cristóbal Carahuacra, Andaychagua, Ticlio; Mahr Tunel, Chungar, El Pilar, Huascarán, Vichaycocha, San Sebastian, Cerro and Oxidos. These mortgages include mining concessions, land, plants and assets. Alpamarca and Romina are excluded.

(iv) Mortgages under Peruvian Law on real estate owned by the Borrower and Huacho with respect to the offices.

17. TRADE ACCOUNTS PAYABLE

Trade accounts payable comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Invoices payable (a) (b)	98,254	117,233
Invoices to receive (c)	54,497	59,563
Guarantee funds	13,863	12,915
Total	166,614	189,711

(a) Trade accounts payable mainly arise from the acquisition of materials and supplies for the execution of activities of the Company and Subsidiaries and are mainly denominated in U.S. dollars and soles, have current maturity, do not accrue interests and no guarantees have been granted for these obligations. As of June 30, 2025 and as of December 31, 2024, balances payable are effective and within the payment terms established by the Company and Subsidiaries, which range between 30 and 90 days.

(b) As of June 30, 2025, the Company and Subsidiaries hold obligations for US\$16,462 (US\$7,330 as of December 31, 2024), which are related to invoices that the suppliers have

granted to financial entities. Those obligations do not accrue interests and have the original maturity that was agreed upon with suppliers.

- (c) Invoices to receive correspond to the estimated record of consumption of goods and services, for which, at the date of the consolidated financial statements, the payment receipts issued by their pertinent suppliers have not been received.

18. OTHER ACCOUNTS PAYABLE

Other accounts payable comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Short term		
Salaries and profit-sharing (a)	44,204	45,907
Income tax	27,626	16,425
Mining taxes	5,561	5,144
Dividends	1,004	953
Contribution to OEFA	221	201
Other minor items	3,242	3,853
	<u>81,858</u>	<u>72,483</u>
<u>Amortized cost:</u>		
Water use/treatment/discharge	3,932	3,447
Operating rights and penalties	8,007	12,024
Other minor items	4,298	1,937
	<u>16,237</u>	<u>17,408</u>
Total	<u>98,095</u>	<u>89,891</u>

- (a) As of June 30, 2025, this item mainly includes vacations, profit-sharing, and performance bonus of employees for US\$11,260, US\$11,980 and US\$7,622, respectively (US\$9,887, US\$9,428 and US\$10,419 for vacations, profit-sharing, and performance bonus of employees, respectively, in 2024).

19. PROVISIONS

Provisions comprise the following:

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Provisions for lawsuits (a)	33,193	31,990
Mine closure (Note 33)	184,868	180,811
Agreements with communities (b)	19,161	19,838
Other provisions	416	5,019
Total	<u>237,638</u>	<u>237,658</u>

(a) The movement of provisions for lawsuits is presented below:

	<u>US\$000</u>
Balance as of January 1, 2024 (Audited)	<u>32,346</u>
Provision for the period	3,073
Reversal	<u>(3,429)</u>
Balance as of December 31, 2024 (Audited)	<u>31,990</u>
Provision for the period (Note 26)	3,593
Reversal (Note 26)	<u>(2,390)</u>
Balance as of June 30, 2025 (Unaudited)	<u>33,193</u>

(b) As of June 30, 2025 and December 31, 2024, the nominal value of the provision for obligations with communities is US\$26,561, which has been determined using the annual discount rate of 5.9%, resulting in a net value of US\$19,838.

20. DEFERRED INCOME TAX

The composition of this heading, according to the items originating same, is provided below:

	<u>06/30/2025</u>	<u>12/31/2024</u>
	<u>US\$000</u>	<u>US\$000</u>
	<u>(Unaudited)</u>	<u>(Audited)</u>
Deferred assets		
Depreciation of property, plant and equipment, net and amortization of mining rights and concessions, exploration, development and stripping costs	46,421	45,783
Provision for the closing of mining units	39,827	38,963
Recoverable tax loss	27,608	26,621
Fair value of Polpaico Cement	8,366	9,975
Contingencies provisions	8,103	9,067
Provision for agreements with communities	5,088	5,204
Operating lease liabilities	2,358	3,505
Impairment estimate of supplies	2,157	2,193
Various provisions	2,157	2,068
Vacation payments outstanding	1,925	1,579
Provision of mining royalties	1,226	1,220
Embedded derivative	293	814
Fair value of Derivative Financial Instrument	3,029	-
Provision for doubtful accounts	167	167
Other minors	<u>2,870</u>	<u>3,527</u>
	151,595	150,686

Deferred liabilities

Use of benefits from amortization of mining rights and concessions, exploration, development and stripping costs, and depreciation of property, plant and equipment	196,449	195,473
Effect by translation of the tax benefits to dollars	19,953	41,461
Fair value of financial investment in IPCH	18,228	27,242
Financial expenses due to financial obligations	4,993	5,249
Activation of expenses for bond issuance	2,555	2,962
Fair value of Derivative Financial Instrument	433	280
Embedded derivative	188	-
Uncollected Derivative Financial Instrument	93	-
Other minors	1,479	1,528
	244,371	274,195
Deferred liabilities (net)	92,776	123,509

21. EQUITY**(a) Issued capital stock**

The issued capital stock of the Company is represented by 1,633,414,553 class A voting shares, and 2,443,157,622 class B non-voting shares with a right of preferred dividend allocation, which is not cumulative. All common shares are duly subscribed and paid and have a face value of S/0.55 per share.

The preferred right to participate in the allocation of dividends in cash consists in receiving an additional payment for dividends of 5% per share, only on the amount of each dividend in cash paid to each common class A share. This right is not cumulative if the Shareholders' Meeting does not declare nor pay dividends in cash in any period.

Both common class A and B shares, listed on the Lima Stock Exchange, are actively negotiated in the stock market. As of June 30, 2025, their quotation was S/0.46 and S/0.240 per share, respectively (S/0.41 and S/0.208 per share, respectively, as of December 31, 2024). As of June 30, 2025, the negotiation frequency of class A shares was 0% and 100% for class B shares (5% for class A shares and 100% for class B shares as of December 31, 2024).

The equity interest structure as of June 30, 2025 and December 31, 2024 is as follows:

Individual interest percentage in issued capital stock	Number of shareholders		Total interest percentage	
	06/30/2025 (Unaudited)	12/31/2024 (Audited)	06/30/2025 (Unaudited) %	12/31/2024 (Audited) %
Less than 0.20	12,685	12,391	21.26	20.39
From 0.20 to 1.00	33	24	13.18	11.19
From 1.01 to 5.00	13	14	36.24	41.01
From 5.01 to 10.00	1	1	7.27	5.36
From 10.01 to 20.00	1	1	22.05	22.05
	12,733	12,431	100.00	100.00

The Shareholders' Meeting of Volcan Compañía Minera S.A.A. was held on July 3, 2023, in which class A and class B shareholders participated and agreed to reduce the capital stock of the Company by US\$227,620 (S/856,080) through the decrease of the face value of all class A and

class B shares issued by the Company; that is, affecting 4,076,572,175 shares issued by the Company, whose face value reduced from S/0.87 to S/0.66.

As a result of the capital reduction agreement, the Shareholders' Meeting agreed to amend the text of Article Five of the articles of incorporation, so that it is worded as follows:

The subscribed and paid-in capital of the Company is S/2,690,537,635.50 represented by 1,633,414,553 Class "A" Common Shares and 2,443,157,622 Class "B" Common Shares with a face value of S/0.66 per share.

The effective date of the split-off was March 4, 2024. As a consequence of the split-off of the equity block, whose net carrying amount for (in thousand) S/443,328 (equivalent for US\$132,386) the face value reduced from S/0.66 to S/0.55.

On May 8, 2024, over-the-counter transfers totaling 898,832,275 Class "A" common shares of Volcan Compañía Minera S.A.A. have been made by Glencore International AG, Blomara Financing Corp., Earthwind International S.A. and Sandown Resources S.A. in favor of Transition Metals AG., which in turn is a subsidiary of Integral Capital Business S.A., a company domiciled in Panama.

(b) Higher value in acquisition of treasury shares

This item corresponds to the result obtained from the purchase of treasury shares, which are credited or debited in this account.

As a result of the decrease of the face value of treasury shares (letter c), the higher value in the acquisition of treasury shares has decreased.

(c) Treasury shares

This item corresponds to shares of the Company acquired by Subsidiaries. From total shares, 182,994,435 common class A shares and 12,234,901 class B shares are owned by subsidiary Empresa Minera Paragsha S.A.C., 23,442,345 common class A shares are owned by subsidiary Compañía Minera Chungar S.A.C., and 306,283 common class A shares are owned by subsidiary Compañía Industrial Limitada de Huacho S.A.

The treasury shares decrease as a consequence of the split-off of the equity block, the face value of share reduced from S/0.66 to S/0.55.

(d) Legal reserve

Pursuant to the General Business Law, the legal reserve is established by transferring a minimum of 10% of net profit from each period, after deducting accumulated losses, until it achieves an amount equivalent to the fifth part of capital. In the absence of undistributed profit or freely available reserves, the legal reserve shall be applied to offset losses and must be replaced. The legal reserve can be capitalized but shall also be replaced.

(e) Accumulated other comprehensive income

This item corresponds to unrealized profit (loss) of derivative financial instruments designated as hedging instruments. This unrealized profit or loss derives from the fact that the price of commodities was agreed upon at a value higher or lower than their liquidation value, and at a profit or loss for the effect of the fair value of the investment in equity instruments (Note 7).

22. NET SALES

For the six-month period ended June 30, 2025 and for the six-month period ended June 30, 2024, revenue mainly includes sales of zinc, lead, silver, and copper concentrates and silver bars, as follows:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Net sales per concentrate:		
Zinc	299,515	212,017
Lead	98,061	90,056
Silver	73,922	33,747
Copper	39,724	24,783
	511,222	360,603
Net sales of silver bars:		
Silver bars	53,199	37,115
Net sales of silver slag:		
Silver slag	(386)	-
	564,035	397,718
Profit (loss) in:		
Execution of financial instruments	289	(55)
Embedded derivatives (c)	3,711	(2,692)
Total	568,035	394,971

The net sales of concentrates to customers per geographical area are presented below (without including the valuation effect of the embedded derivative and unrealized profit of hedging instruments):

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Peru	273,770	246,398
Asia	97,191	48,267
Europe	189,064	103,053
America	4,010	-
	564,035	397,718

(a) Sales concentration

For the six-month period ended June 30, 2025, the three most important customers represented 47% of total sales (46% of total sales for six-month period ended June 30, 2024). As of June 30, 2025 34% of accounts receivable is related to these customers (56% as of June 30, 2024). The concentrates of the Company and Subsidiaries are sold to renowned companies in the country and abroad, with whom commercial agreements are executed.

(b) Sales commitments

As of June 30, 2025, the Company and Subsidiaries hold commitments with third parties for sales of zinc, lead, and copper concentrates for 595,023 WMT, 51,702 WMT and 1,202 WMT until 2029, for an approximate amount of US\$617,305, US\$147,237 and US\$8,689, respectively (909,816 WMT, 118,189 WMT and 9,162 WMT, respectively, as of December 31, 2024, for an approximate amount of US\$997,832, US\$296,108 and US\$42,274).

As of June 30, 2025, the Company and Subsidiaries hold commitments for the sale of dore bars for 373,056 oz. for US\$13,849. As of December 31, 2024, the Company and Subsidiaries held commitments for the sale of dore bars for 1,500,000 oz. for US\$45,275.

- (c) For the six-month period ended June 30, 2025, fair values of embedded derivatives caused a gain of US\$3,711 (for June 30, 2024, caused a loss of US\$2,692) respectively. Future quotations of the dates when open positions as of June 30, 2025, are expected to be liquidated are obtained from the publications of the London Metal Exchange.

23. COST OF SALES

Cost of sales comprises the following:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Beginning balance of concentrates (Note 11)	8,909	8,052
Beginning balance of minerals (Note 11)	5,416	11,956
Services provided by third parties, energy and others	134,104	117,173
Consumption of supplies	62,440	57,117
Depreciation (Note 12 (b))	40,497	48,673
Depreciation of right-of-use assets (Note 13)	3,954	3,092
Labor	54,247	38,226
Amortization (Note 15 (b))	32,052	31,959
Purchase of Concentrate and mineral	17,349	319
Ending balance of concentrates (Note 11)	(4,558)	(9,216)
Ending balance of minerals (Note 11)	(3,023)	(11,917)
Subtotal	351,387	295,434
Cost of plant shutdown	11,907	21,697
Depreciation of plant shutdown (Note 12 (b))	933	3,954
Amortization of plant shutdown (Note 15 (b))	2,357	2,807
Total	366,584	323,892

24. ADMINISTRATIVE EXPENSES

Administrative expenses comprise the following:

	06/30/2025	06/30/2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
Personnel charges	19,527	10,929
Professional fees	4,005	1,575
Services provided by contractors	131	213
Mails, telecommunications and other minor items	2,149	1,928
Insurance	2,860	1,878
Communications and information technology	358	238
Operating rights - Penalties	557	2,230
Leases	609	743
Amortization (Note 15 (b))	906	979
Depreciation (Note 12 (b))	612	702
Others	2,035	1,094
Total	33,749	22,509

25. SELLING EXPENSES

Selling expenses comprise the following:

	06/30/2025	06/30/2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
Freight	10,388	8,521
Services for the sale of concentrates	3,460	1,657
Sundry services	701	347
Services provided by contractors	486	438
Personnel expenses	717	485
Samples, analysis and supervision	854	661
Shipment expenses	265	541
Services provided by third parties	345	307
Leases	810	971
Depreciation (Note 12 (b))	33	34
Total	18,059	13,962

26. OTHER INCOME AND EXPENSES

Other income comprises the following:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Other income:		
Income for sale of shares (a)	-	31,675
Income from the sale of energy to third parties	454	6,275
Income from interest	771	4,039
Income from the sale of sundry supplies	3,600	3,202
Income from services provided to third parties	2,158	3,186
Recovery of impairment estimate of supplies (Note 11)	223	829
Reversal of provision for lawsuits (Note 19)	2,390	826
Insurance compensation	17	14
Others	2,863	1,359
Total	12,476	51,405

- (a) In 2024, corresponds to the sale of Empresa Generadora Rio Baños S.A.C., the generated income was US\$31,675 and the cost US\$30,000 classified as "Other expenses".

Other expenses comprise the following:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Other expenses:		
Share disposal cost (a)	-	(30,000)
Cost of sales of sundry supplies	(3,194)	(2,962)
Services provided by contractors	(868)	(1,678)
Cost of sales of energy	(414)	(3,851)
Professional fees	(23)	(395)
Provision for lawsuits (Note 19)	(3,593)	(1,121)
Tax administrative penalties	(5,759)	(1,561)
Leases	(57)	(563)
Depreciation (Note 12 (b))	(751)	(1,420)
Depreciation of right-of-use assets (Note 13)	-	(319)
Sundry non-deductible expenses	(1,475)	(194)
Contribution for regulation OEFA and OSINERMI	(1,201)	(809)
Cost of services provided to third parties	(148)	(502)
Impairment of other accounts receivable	(985)	(826)
Amortization (Note 15 (b))	(743)	(214)
Expense of impairment estimate of supplies (Note 11)	(102)	(209)
Others	(2,474)	(3,699)
Total	(21,787)	(50,323)

27. IMPAIRMENT OF NON-FINANCIAL ASSETS

By applying International Accounting Standard 36 Impairment of non-financial assets, the Company and Subsidiaries updated their assessment of the recoverable value of long-term assets.

In 2024, as part of the impairment assessment of certain cash-generating units (CGU), the Company's Management recognized a recovery corresponding to the impairment estimate in Volcan Compañía Minera S.A.A. and Empresa Administradora Cerro S.A.C. for US\$86,900 and US\$4,800, respectively.

The impairment recovery in Volcan Compañía Minera S.A.A. resulted from higher volumes of resources and the decrease of the discount rate, assumptions used in the determination of its cash flows. This amount was fully allocated to Development costs.

The recovery mainly in Empresa Administradora Cerro S.A.C. resulted from higher volumes of resources. This amount was allocated to Development costs.

As of June, 30, 2025, Management assessed that there are no additional impairment indicators to be recognized in the consolidated interim financial statements.

28. FINANCE INCOME AND EXPENSES

Finance income and expenses comprise the following:

	06/30/2025	06/30/2024
	US\$000	US\$000
	(Unaudited)	(Unaudited)
Financial income		
Net exchange difference gain	859	-
Interests on loans	11	15
Other financial income	1,388	2,171
Total	2,258	2,186
Financial expenses		
Net exchange difference loss	-	(692)
Interests on issued bonds	(15,250)	(8,336)
Interests on syndicated loans	(16,652)	(20,171)
Interests and expenses of financial obligations	(1,135)	(547)
Effect for the update of the present value of mine closure provision (Note 33)	(5,305)	(2,444)
Amortized cost of bonds	(541)	(441)
Effect for the update of the present value of communities	(553)	(202)
Interests on lease liabilities	(382)	(763)
Commissions and other expenses	(3,189)	(4,757)
Total	(43,007)	(38,353)

29. INCOME TAX

Income tax comprise the following:

	06/30/2025 US\$000 (Unaudited)	06/30/2024 US\$000 (Unaudited)
Income tax		
Current	(36,370)	(3,582)
Deferred	20,509	892
	(15,861)	(2,690)
Special mining tax	(4,219)	(1,343)
Mining royalties	(6,319)	(4,258)
Contribution to the mining retirement fund	(655)	(51)
Total	(27,054)	(8,342)

(a) Reconciliation of effective income tax rate with tax rate

During June 30, 2025, and 2024, the effective income tax rate is different from the tax rate. The nature of this difference is due to certain items related to taxable profit, whose effects are summarized below:

	06/30/2025		06/30/2024	
	Amount US\$000 (Unaudited)	Percentage % (Unaudited)	Amount US\$000 (Unaudited)	Percentage % (Unaudited)
Profit (loss) before income tax	99,583	100.00	(477)	100.00
Income tax as per tax rate	(29,377)	(29.50)	141	(29.50)
Unrecognized deferred tax for tax losses	1,127	1.13	(1,685)	353.25
Translation effect of non-financial assets	8,578	8.61	(4,072)	853.67
Deferred assets not recognized due to lack of recoverability	3,567	3.58	2,065	(432.91)
Tax effects on non-deductible expenses and other minor items	243	0.24	861	(180.50)
Mining taxes as income tax	(11,192)	(11.24)	(5,652)	1,184.91
Income tax expense and tax rate applicable to profit as per records	(27,054)	(27.17)	(8,342)	1,748.91

(b) Income tax payable

The Company and Subsidiaries have a credit balance with the Tax Administration for US\$27,626 as of June 30, 2025 (US\$16,425 as of December 31, 2024) (Note 18).

(c) Significant changes to income tax in Peru

After June 30, 2025, no significant changes have been made to the income tax regime in Peru, which may affect these condensed interim consolidated financial statements. The standards and interpretations effective as of June 30, 2025 have been considered by Management when preparing these condensed interim consolidated financial statements.

30. BASIC AND DILUTED EARNINGS (LOSS) PER SHARE

Earnings (Loss) per share is calculated dividing consolidated net profit attributable to common shareholders by the weighted average of number of common shares outstanding at the date of the condensed interim consolidated statement of financial position.

As of June 30, 2025 and 2024, diluted earnings (loss) per common share has not been calculated since there are no diluting common or investment shares, such as financial instruments and other contracts that give the right to obtain common or investment shares, so it is the same as basic earnings per share.

	<u>06/30/2025</u> <u>US\$000</u> <u>(Unaudited)</u>	<u>06/30/2024</u> <u>US\$000</u> <u>(Unaudited)</u>
Net profit (loss)	72,529	(8,819)
Average common shares - thousands of units	3,857,594	3,857,594
Net basic and diluted earnings (loss) per share for the period	0.019	(0.002)

31. INFORMATION PER BUSINESS SEGMENT

The Company organizes its activities in six business segments: Volcan, Chungar, Cerro, investments, energy, and other non-reportable segments.

The contributions of each business segment mainly derive from the net margin of production and sale of zinc, lead, copper or bulk concentrates, the production and sale of Dore bars, revenue from dividends received from investments in equity instruments, revenue from the lease of properties, and the sale of energy and power.

- Volcan: production and sale of concentrates produced in mining unit of Yauli, which comprises mines San Cristobal, Carahuacra, Andaychagua and Ticlio, Carahuacra Norte open pit and Victoria, Andaychagua and Mahr Tunel concentration plants.
- Chungar: production and sale of concentrates produced in mining units of Chungar and Alpamarca. Chungar comprises mines Animon and Islay and the Animon concentration plant. Alpamarca comprises Alpamarca open pit, mine Rio Pallanga and Alpamarca plant.
- Cerro: production and sale of concentrates produced in mining unit of Cerro, which comprises polymetallic stockpiles and San Expedito and Paragsha concentration plants. In addition, as a result of the merger with Oxidos, it has oxide stockpiles, oxides in site, pyrite stockpiles and the Oxidos leach pad.
- Investments: include operations of its Subsidiary Empresa Minera Paragsha S.A.C.
- Energy: includes operations in hydroelectric power plants Tingo.
- Others: include operations of port, non-operating, and other subsidiaries.

Data of interest per business segment as of June 30, 2025 and 2024 is presented in the tables below:

As of June 30, 2025 and for the six-month period ended:

	Volcan US\$000 (Unaudited)	Chungar US\$000 (Unaudited)	Cerro US\$000 (Unaudited)	Investment US\$000 (Unaudited)	Energy US\$000 (Unaudited)	Others US\$000 (Unaudited)	Deletions US\$000 (Unaudited)	Total US\$000 (Unaudited)
Total assets	2,181,104	622,952	449,680	163,488	26,692	27,236	(1,642,625)	1,828,527
Total liabilities	1,257,380	364,482	157,605	90,082	7,525	20,562	(563,600)	1,334,036
Sales	377,175	124,514	135,078	-	617	313	(69,662)	568,035
Gross profit (loss)	136,731	15,699	48,837	-	12	313	(141)	201,451
Operating expenses	(54,569)	(15,316)	(12,028)	(993)	(43)	(1,476)	10,830	(73,595)
Other operating income	17,324	3,834	1,587	-	133	285	(10,687)	12,476
Operating profit (loss)	99,487	4,217	38,396	(993)	102	(877)	-	140,332
Profit (loss) before income tax	85,978	(20,882)	44,284	(8,812)	504	(1,489)	-	99,583
Net profit (loss) for the period	53,195	(13,922)	42,707	(8,805)	566	(1,212)	-	72,529
Detail of sales								
Local sales	212,025	84,764	44,009	-	617	312	(68,341)	273,386
International sales	161,146	39,808	89,695	-	-	-	-	290,649
Embedded derivative, estimate of committed sales, adjustment of open temporary liquidations and execution of financial instruments	4,004	(58)	1,374	-	-	-	(1,320)	4,000
	377,175	124,514	135,078	-	617	312	(69,661)	568,035

As of December 31, 2024 and for the six-month period ended June 30, 2024

	Volcan US\$000	Chungar US\$000	Cerro US\$000	Investment US\$000	Energy US\$000	Others US\$000	Deletions US\$000	Total US\$000
<u>As of December 31, 2024 (Audited)</u>								
Total assets	2,096,127	636,092	428,646	178,880	21,848	27,155	(1,547,922)	1,840,826
Total liabilities	1,219,312	494,388	179,278	81,336	3,248	19,239	(605,673)	1,391,128
<u>As of June 30, 2024 (Unaudited)</u>								
Sales	231,544	102,722	89,332	-	3,620	264	(32,511)	394,971
Gross profit (loss)	63,443	(4,549)	11,983	-	1,557	264	(1,619)	71,079
Operating expenses	(66,027)	(12,828)	(8,544)	(937)	(456)	(902)	2,900	(86,794)
Other operating income	45,563	6,722	2,112	-	55	64	(3,111)	51,405
Operating profit (loss)	42,979	(10,655)	5,552	(936)	(288)	(574)	(388)	35,690
Profit (loss) before income tax	13,326	(18,745)	9,878	(3,729)	185	(926)	(466)	(477)
Net profit (loss) for the period	9,156	(16,563)	4,517	(3,733)	(31)	(1,183)	(982)	(8,819)
<u>Detail of sales</u>								
Local sales	170,485	78,330	26,243	-	3,620	264	(32,544)	246,398
International sales	63,757	24,395	63,168	-	-	-	-	151,320
Embedded derivative, estimate of committed sales, adjustment of open temporary liquidations and execution of financial instruments	(2,698)	(3)	(79)	-	-	-	33	(2,747)
	231,544	102,722	89,332	-	3,620	264	(32,511)	394,971

32. COMMITMENTS AND CONTINGENCIES

(a) Contingencies

Based on the opinion of their external and internal legal advisors, the Company and Subsidiaries' Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$33,193 and US\$31,990, which is presented in item "Provisions" of the condensed interim consolidated statement of financial position as of June 30, 2025, and December 31, 2024, respectively (Note 19). The Company and Subsidiaries' Management and their legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external and internal legal advisors of the Company and Subsidiaries determined an amount of US\$ 65,973 as of June 30, 2025 (US\$83,910 as of December 31, 2024), which corresponds to several proceedings addressed by the Company.

The detail of contingencies of the Company and Subsidiaries are summarized below:

(a.1) Volcan Compañía Minera S.A.A.

Based on the opinion of its external and internal legal advisors, the Company's Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$17,520, which is presented in item "Provisions" of the condensed interim consolidated statement of financial position as of June 30, 2025 (US\$17,157 as of December 31, 2024). The Company's Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external and internal legal advisors of the Company determined an amount of US\$34,170 as of June 30, 2025 (US\$37,503 as of December 31, 2024), which corresponds to several proceedings addressed by the Company.

Civil and labor proceedings

As of June 30, 2025, certain civil and labor lawsuits have been filed against the Company for US\$11,514 (US\$9,947 as of December 31, 2024), which have been classified as probable. Contingencies classified as possible amount to US\$17,258 as of June 30, 2025 (US\$14,367 as of December 31, 2024) for compensations for occupational disease, refund of social benefits, payment of profit sharing, reinstatement of employees and others.

Tax proceedings

As of June 30, 2025, the Company has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT) and the Tax Court for certain tax determination resolutions, fine and interest resolutions, mainly corresponding to criteria differences in the determination of tax bases for the settlement of third-category income tax of 2015 and 2017.

As of June 30, 2025, and December 31, 2024, other tax proceedings were classified as possible, which include expenses disallowed by the National Superintendence of Tax Administration (SUNAT) for not complying with the criteria of the Tax Administration to amortize the development expenses, among other related concepts. These possible contingencies amount to US\$249 as of June 30, 2025 (US\$8,344 as of December 31, 2024).

Sanctioning administrative proceedings and contentious-administrative actions

The Company has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, Supervisory Entity of Investment in Energy and Mining (OSINERGMIN) and the Environmental Supervision and Evaluation Entity (OEFA) for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$6,005 as of June 30, 2025 (US\$7,210 as of December 31, 2024), and possible contingencies for US\$16,662 as of June 30, 2025 (US\$14,792 as of December 31, 2024)

Based on a legal and factual basis, the Company's Management and its legal advisors believe that no additional significant liabilities will arise for the Company from the final resolution of all these proceedings.

(a.2) Compañía Minera Chungar S.A.C. (Chungar)

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$9,099 as of June 30, 2025 (US\$8,076 as of December 31, 2024). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external legal advisors determined an amount of US\$27,888 as of June 30, 2025 (US\$39,972 as of December 31, 2024), which corresponds to several proceedings addressed by the Subsidiary.

Civil and labor proceedings

As of June 30, 2025, certain civil and labor lawsuits have been filed against Chungar for US\$3,399 (US\$2,284 as of December 31, 2024), which have been classified as probable. Contingencies classified as possible amount to US\$1,661 as of June 30, 2025 (US\$15,988 as of December 31, 2024) for payment of compensations for damages for occupational disease, refund of social benefits, and others under appeal and/or judgment process.

Tax proceedings

As of June 30, 2025, Chungar has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT) and the Tax Court for certain tax determination resolutions, fine and interest resolutions.

Tax determination resolutions, fine and interest resolutions mainly correspond to criteria differences in the determination of tax bases for the settlement of third-category income tax of 2004 and 2017, according to the National Superintendence of Tax Administration (SUNAT), to the omitted payment of taxes. To this date, these proceedings have been contested at an administrative level, have been appealed to the Tax Court, and have been contested at a legal level before the Judiciary.

Finally, there are other contingencies that have derived from concept discrepancies with the Tax Administration and have been classified as possible for US\$19,762 as of June 30, 2025 (US\$17,697 as of December 31, 2024).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, OSINERGMIN and OEFA for alleged breach of several environmental standards and safety and occupational health regulations, at a level of probable contingencies for US\$5,700 as of June 30, 2025 (US\$5,792 as of December 31, 2024).

Contingencies classified as possible amount to US\$6,465 as of June 30, 2025 (US\$6,288 as of December 31, 2024).

(a.3) Empresa Administradora Cerro S.A.C.

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$6,244 as of June 30, 2025 (US\$6,156 as of December 31, 2024). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external legal advisors determined an amount of US\$3,462 as June 30, 2025 (US\$6,011 as of December 31, 2024), which corresponds to several proceedings addressed by the Subsidiary.

Civil and labor proceedings

As of June 30, 2025, certain labor lawsuits have been filed against the Subsidiary for US\$3,275 (US\$2,407 as of December 31, 2024), which have been classified as probable. Civil and labor contingencies classified as possible amount to US\$1,666 as of June 30, 2025 (US\$627 as of December 31, 2024) for payment of compensations for damages for occupational disease, refund of social benefits, payment of production bonus, and others under appeal and/or judgment process.

Tax proceedings

As of June 30, 2025, and December 31, 2024, the Subsidiary has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT), the Tax Court and local governments for certain tax determination resolutions, fine and interest resolutions.

Tax determination resolutions, fine and interest resolutions correspond to the omitted payment of taxes according to the National Superintendence of Tax Administration (SUNAT), as well as criteria differences in the determination of tax bases for the settlement of third-category income tax. To this date, these proceedings have been contested at an administrative level.

In addition, the Subsidiary has some tax administrative proceedings that were classified as probable contingencies and are presented in item "Provisions" of the condensed interim consolidated statement of financial position for US\$720 as of June 30, 2025 (US\$678 as of December 31, 2024).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, OSINERGMIN and OEFA for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$2,249 as of June 30, 2025 (US\$3,070 as of December 31, 2024) and contingencies classified as possible for US\$1,796 (US\$5,298 as of December 31, 2024).

(a.4) Empresa Explotadora de Vinchos Ltda. S.A.C.

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$330 as of June 30, 2025 (US\$601 as of December 31, 2024) and contingencies classified as possible for US\$453 as of June 30, 2025 (US\$424 as of December 31, 2024). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

Labor proceedings

As of June 30, 2025, certain labor lawsuits have been filed against the subsidiary for US\$21 (US\$20 as of December 31, 2024), which have been classified as probable.

Tax proceedings

As of June 30, 2025, some tax proceedings have been filed against the subsidiary, which include expenses disallowed by the National Superintendence of Tax Administration (SUNAT), classified as possible for US\$453 (US\$424 as of December 31, 2024).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, OSINERGMIN and OEFA for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$309 as of June 30, 2025 (US\$581 as of December 31, 2024).

(b) Guarantees

The Company and Subsidiaries have letters of guarantee with financial entities, which expired until May 2026, in favor of:

- General Mining Board of the Ministry of Energy and Mines that guarantees the compliance with the applicable Mine Closure Plans of the Company and Subsidiaries for US\$164,328 as of June 30, 2025 (US\$122,534 as of December 31, 2024).
- Third parties that guarantee the compliance with payments for the provision of services and/or others for US\$712 (comprised by S/1,014 and US\$426) as of June 30, 2025 and US\$818 (comprised by S/1,476 and US\$426) as of December 31, 2024.

33. ENVIRONMENTAL OBLIGATIONS

Provision for the closure of mining units

The Congress of the Republic of Peru issued Law No. 28090 on October 14, 2003. The purpose of this Law is to regulate the obligations and procedures to be followed by mining owners for the preparation, presentation, and implementation of Mine Closure Plans, as well as the constitution of pertinent environmental guarantees, which ensure the compliance with investments, according to environmental protection, preservation, and restoration principles. The Regulations of Law No. 28090 were published on August 16, 2005.

In 2024 the Company and Subsidiaries submitted the updates of the Mine Closure Plan of their main mining units to the Ministry of Energy and Mines and are expecting to receive the pertinent approvals of certain mining units.

	06/30/2025 US\$000 (Unaudited)	12/31/2024 US\$000 (Audited)
Mining units		
Cerro de Pasco	38,746	37,928
Chungar	21,830	21,517
Carahuacra	44,264	43,100
Andaychagua	23,986	23,614
Alpamarca	27,631	26,928
Vinchos	9,534	9,269
Tidlio	8,352	8,137
Vichaycocha	4,991	4,930
Toruna	1,581	1,535
San Sebastian	3,953	3,853
Total (Note 19)	184,868	180,811

The movement of the provision for the closure of mining units and exploration projects is resented below:

	US\$000
Balance as of January 1, 2024 (Audited)	262,670
Changes in estimates (Note 15)	(72,509)
Other expenses/income	(11,228)
Increase for update of present value of provision	4,854
Disbursements	(2,976)
Balance as of December 31, 2024 (Audited)	180,811
Increase for update of present value of provision (Note 28)	5,305
Disbursements	(1,248)
Balance as of June 30, 2025 (Unaudited)	184,868

The provision for the closure of mining units represents the present value of closure costs that are expected to be incurred between 2025 and 2057.

Changes in estimates consider the change in the rate, the modification of budgets and the deletion of contingent costs.

The estimate of costs for the closure of mining units is based on the study prepared by an independent advisor, which complies with current environmental regulations, as well as the quality requirements and standards shared by the parent. The provision for the closure of mining units mainly corresponds to activities that should be performed for the restoration of the mining unit and areas affected by mining activities. Main works to be performed are earthmoving works, revegetation works and disassembly of plants.

This estimate is highly sensitive to changes in different variables such as the discount rate and period. However, closure budgets are regularly reviewed to take into account any significant change in conducted studies.

In addition, the time when disbursements will be made will depend on Management's judgment and the useful life of the mine, which will be based on the reserves and resources of the mining units.

As of June 30, 2025 and December 31, 2024, the nominal value of the provision for the closure of mining units is US\$342,867, which has been determined using the annual discount rate of 5.9%, resulting in a net present value of US\$184,868. The Company and Subsidiaries consider that this liability is sufficient to comply with environmental protection laws in force approved by the Ministry of Energy and Mines.

34. REMUNERATIONS PAID TO KEY EMPLOYEES

The remuneration of the key employees of the Company and Subsidiaries for the six-month periods ended June 30, 2025 and 2024 amounted to US\$9,700 and US\$6,803, respectively, and corresponds to salaries, profit sharing, benefits and social charges, bonuses and extraordinary allowances.

35. NON-MONETARY TRANSACTIONS AND STATEMENT OF CASH FLOWS

Transactions that have not resulted in cash flows were the following, as of June 30, 2025 and 2024:

2025:

- Acquisition of property, plant, and equipment, which have not been paid yet, for US\$19,741.
- Acquisition of mining concessions, development costs and other intangibles, which have not been paid yet, for US\$12,597.
- Acquisition of exploration costs, which have not been paid yet, for US\$1,350.

2024:

- Assets acquired under leases for US\$1,502.
- Acquisition of property, plant, and equipment, which have not been paid yet, for US\$10,258.
- Acquisition of mining concessions, development costs and other intangibles, which have not been paid yet, for US\$15,351.
- Acquisition of exploration costs, which have not been paid yet, for US\$2,103.

36. SUBSEQUENT EVENTS

We are not aware of any subsequent event that has occurred between the closing date and authorization date of these condensed interim consolidated financial statements, which may significantly affect them.

**VOLCAN COMPAÑÍA MINERA S.A.A. AND
SUBSIDIARIES**

Independent Auditors' Report

Consolidated Financial Statements
For the Years Ended
December 31, 2024 and 2023

(Free translation of a report originally issued in
Spanish)

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

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INDEPENDENT AUDITORS' REPORT

Tel: +51 (1) 211 8585
Fax: +51 (1) 211 8586
www.deloitte.com/pe

To the Shareholders and Directors of
Volcan Compañía Minera S.A.A. and Subsidiaries

Opinion on the consolidated financial statements

We have audited the accompanying consolidated financial statements of **Volcan Compañía Minera S.A.A. and Subsidiaries** (hereinafter, "the Group"), which comprise the consolidated statements of financial position as of December 31, 2024, and the consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, and the notes to the consolidated financial statements, as well as a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Group as of December 31, 2024, the results of operations and cash flows for the year then ended, in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) approved by the Junta de Decanos de los Colegios de Contadores Públicos del Perú (Board of Deans of the Peruvian Professional Associations of Certified Public Accountants). Our responsibilities under those standards are further described in the Auditor's Responsibilities section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants, approved by the Peruvian Professional Associations of Certified Public Accountants (IESBA Code-Peru), together with the ethical requirements relevant for our audit of the financial statements in Peru, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code-Peru. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

1. Impairment of long-lived assets

Description of the key audit matter

As indicated in Notes 13, 14 and 15 to the consolidated financial statements, as of December 31, 2024, the Company and Subsidiaries have long-lived assets for a net depreciation and impairment value of US\$1,355 million. In this regard, in 2024, the Group recorded a recovery of



US\$92 million as a result of its assessment of the recoverable value of those assets. To this effect, Management made significant estimates regarding different factors, such as future mineral prices, proven and probable reserves and inferred resources that determine the net production value, head grades, operating costs, capital expenditures and discount rate. Due to the uncertainty in the estimate, we have identified this matter as a key audit matter.

Audit response to the key audit matter

- We obtained an understanding of the relevant method, judgments and assumptions used by Management, including the involvement of its specialists for the measurement of reserves and resources, discount rate, and others, and evaluated whether there were relevant changes compared to 2023.
- We tested the design and implementation and the operating effectiveness of Management's relevant review control about the estimate of the value in use and used assumptions and judgments.
- We involved our specialists in valuations to challenge the method to calculate the projected cash flows, the assumptions and information sources used by Management including the sensitivity of those assumptions, in particular, regarding the projected selling prices for minerals, net production value, recovery percentage and concentration levels, head grades and discount rate used to determine the value in use.
- We evaluated the appropriateness of the disclosures related to the key assumptions used.

2. Liability for asset disposal and mine closure

Description of the key audit matter

As indicated in Note 33 to the consolidated financial statements, the Group has a provision for US\$181 million to restore and rehabilitate the environment affected by its operations and for the disposal of assets. This provision is governed by a combination of legislative requirements and policies of the Company and includes significant estimates such as: i) costs for rehabilitation and dismantling activities of assets, ii) the period of time to make future related disbursements, and iii) discount rate.

Audit response to the key audit matter

- We obtained an understanding of how the Group determines the calculation method, identifies the relevant assumptions or data sources, and the need of changes in them.
- We evaluated whether the judgments, significant assumptions, and data to develop the estimate are consistent with the guidelines of the local regulatory entity, and whether the discount rate used in the calculation, as revised by our valuation specialists, are aligned with the market.
- We examined the competence, capacity, objectivity, and nature of the work of the internal expert who assisted the Group in the preparation of the estimate.
- We evaluated the appropriateness of the disclosures in the consolidated financial statements.



Other information

Management is responsible for the other information. The other information comprises the information included in the report but does not include the consolidated financial statements and our auditor's report thereon. We expect to have the other information after the date of this audit report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. When we read the other information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance of the Company.

Responsibilities of Management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board, and for such internal control as Management determines is necessary to enable the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, Management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's consolidated financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient and appropriate audit evidence regarding the financial information of the companies or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the Group's audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Group regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during the audit.

We also provide those charged with governance of the Group with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance of the Group, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

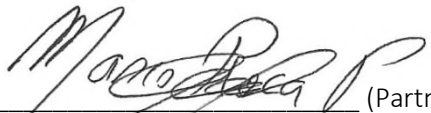


Other matters

The translation of this report has been made solely for the convenience of English-speaking readers and has been derived from the consolidated financial statements originally issued in Spanish.

Velásquez, Maguelo y Asociados S. Civil. de R. L.

Countersigned by:



(Partner)

Marco Roca Peña

CPC Registration No. 33204

February 21, 2025



VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS OF DECEMBER 31, 2024 AND 2023 (In thousands of U.S. dollars (US\$000))

	Notes	2024 US\$000	2023 US\$000		Notes	2024 US\$000	2023 US\$000
ASSETS				LIABILITIES AND EQUITY			
CURRENT ASSETS:				CURRENT LIABILITIES:			
Cash and cash equivalents	6	155,834	61,642	Bank overdrafts		-	1,046
Trade accounts receivable (net)	9	33,477	20,316	Financial obligations	16	40,701	136,326
Other accounts receivable (net)	10	67,424	77,038	Trade accounts payable	17	189,711	242,213
Inventories (net)	12	38,070	48,305	Other accounts payable	18	89,891	60,495
Other financial assets	11	948	655	Deferred income		21	21
Total current assets		295,753	207,956	Total current liabilities		320,324	440,101
NON-CURRENT ASSETS:				NON-CURRENT LIABILITIES:			
Other accounts receivable (net)	10	31,834	35,970	Financial obligations	16	709,060	667,543
Investment in associates	7	-	148,118	Provisions	19	237,658	323,474
Financial investments	8	153,047	37,158	Deferred income tax	28 (a)	123,509	78,857
Inventories (net)	12	5,180	5,619	Deferred income		577	602
Property, plant and equipment (net)	13	683,121	771,778	Total non-current liabilities		1,070,804	1,070,476
Right-of-use assets (net)	14	15,663	17,926	Total liabilities		1,391,128	1,510,577
Mining concessions, explorations and development costs and other assets (net)	15	656,228	650,650	EQUITY:			
Total non-current assets		1,545,073	1,667,219	Issued capital stock	20 (a)	774,294	906,680
				Higher value in acquisition of treasury shares	20 (b)	(162,285)	(173,234)
				Treasury shares	20 (c)	(41,511)	(60,934)
				Legal reserve	20 (d)	10,492	10,416
				Accumulated other comprehensive income	20 (e)	49,406	(10,208)
				Accumulated losses		(180,698)	(308,122)
				Total equity		449,698	364,598
TOTAL		1,840,826	1,875,175	TOTAL		1,840,826	1,875,175

The accompanying notes are an integral part of these consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023 (In thousands of U.S. dollars (US\$000))

	Notes	2024 US\$000	2023 US\$000
Net sales	21	960,521	883,086
Cost of sales	22	(699,588)	(725,507)
Gross profit		260,933	157,579
Administrative expenses	23	(62,875)	(55,157)
Selling expenses	24	(29,081)	(30,563)
Other income	25	145,115	63,429
Other expenses	25	(115,282)	(78,507)
Recovery (loss) for impairment of long-lived assets	26	91,700	(36,200)
Operating profit		290,510	20,581
Financial income	27	4,888	5,793
Financial expenses	27	(79,206)	(70,526)
Profit (loss) before income tax		216,192	(44,152)
Income tax	28	(79,059)	34,169
Net profit (loss) for the year		137,133	(9,983)
Weighted average of the number of outstanding shares (in thousands)	29	3,857,594	3,857,594
Basic and diluted earnings (loss) per share	29	0.036	(0.003)

The accompanying notes are an integral part of these consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF OTHER COMPREHENSIVE INCOME FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023

(In thousands of U.S. dollars (US\$000))

	<u>2024</u> <u>US\$000</u>	<u>2023</u> <u>US\$000</u>
Net profit (loss) for the year	137,133	(9,983)
OTHER COMPREHENSIVE INCOME:		
Items that will not be reclassified to profit or loss:		
Unrealized profit (loss) of investments in equity instruments	83,785	(1,269)
Deferred income tax	<u>(24,717)</u>	<u>374</u>
	59,068	(895)
Items that can be subsequently reclassified to profit or loss:		
Unrealized profit of derivative financial instruments	774	173
Deferred income tax	<u>(228)</u>	<u>(51)</u>
Total other comprehensive income that can be subsequently reclassified to profit or loss	<u>546</u>	<u>122</u>
Total comprehensive income, net of income tax	<u><u>196,747</u></u>	<u><u>(10,755)</u></u>

The accompanying notes are an integral part of these consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023 (In thousands of U.S. dollars (US\$000))

	Issued capital stock US\$000 Note 20 (a)	Higher value in acquisition of treasury shares US\$000 Note 20 (b)	Treasury shares US\$000 Note 20 (c)	Legal reserve US\$000 Note 20 (d)	Accumulated other comprehensive income US\$000 Note 20 (e)	Accumulated losses US\$000	Total equity US\$000
Balance as of January 1, 2023	<u>1,134,300</u>	<u>(173,234)</u>	<u>(60,934)</u>	<u>10,695</u>	<u>(9,436)</u>	<u>(526,038)</u>	<u>375,353</u>
Comprehensive income	-	-	-	-	-	(9,983)	(9,983)
Net loss for the year	-	-	-	-	(772)	-	(772)
Other comprehensive income for the year	-	-	-	-	(772)	-	(772)
Total comprehensive income for the year	-	-	-	-	(772)	(9,983)	(10,755)
Capital decrease	(227,620)	-	-	(986)	-	228,606	-
Legal reserve	-	-	-	707	-	(707)	-
Balance as of December 31, 2023	<u>906,680</u>	<u>(173,234)</u>	<u>(60,934)</u>	<u>10,416</u>	<u>(10,208)</u>	<u>(308,122)</u>	<u>364,598</u>
Comprehensive income	-	-	-	-	-	137,133	137,133
Net profit for the year	-	-	-	-	59,614	-	59,614
Other comprehensive income for the year	-	-	-	-	59,614	-	59,614
Total comprehensive income for the year	-	-	-	-	59,614	137,133	196,747
Capital decrease	(132,386)	-	-	-	-	-	(132,386)
Legal reserve	-	-	-	76	-	(76)	-
Other changes in equity	-	10,949	19,423	-	-	(9,633)	20,739
Balance as of December 31, 2024	<u>774,294</u>	<u>(162,285)</u>	<u>(41,511)</u>	<u>10,492</u>	<u>49,406</u>	<u>(180,698)</u>	<u>449,698</u>

The accompanying notes are an integral part of these consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023 (In thousands of U.S. dollars (US\$000))

	2024 US\$000	2023 US\$000
OPERATING ACTIVITIES:		
Collection from:		
Sales	1,061,959	1,039,336
Return of credit balance subject to profit and taxes	43,692	27,723
Payments to/for:		
Suppliers and others	(683,790)	(669,275)
Employees	(107,346)	(119,659)
Income tax	(2,774)	(18,322)
Royalties	(13,276)	(11,411)
Net cash and cash equivalents provided by operating activities	<u>298,465</u>	<u>248,392</u>
INVESTING ACTIVITIES:		
Payments for:		
Purchase of property, plant and equipment	(73,027)	(85,548)
Increase of exploration and development costs, and other assets	(74,857)	(94,382)
Net cash and cash equivalents used in investing activities	<u>(147,884)</u>	<u>(179,930)</u>
FINANCING ACTIVITIES:		
Collection from:		
Sale of shares of energy company	74,148	-
Obtainment of loans with third parties	55,000	-
Payments for:		
Financial obligations	(124,080)	(25,389)
Overdrafts and other financial liabilities	(1,046)	(848)
Interests	(60,411)	(54,183)
Net cash and cash equivalents used in financing activities	<u>(56,389)</u>	<u>(80,420)</u>
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	94,192	(11,958)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	<u>61,642</u>	<u>73,600</u>
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	<u><u>155,834</u></u>	<u><u>61,642</u></u>

Transactions that do not result in cash flows are described in Note 35.

The accompanying notes are an integral part of these consolidated financial statements.

VOLCAN COMPAÑÍA MINERA S.A.A. AND SUBSIDIARIES

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023 (Amounts expressed in thousands of U.S. dollars)

1. INCORPORATION, ECONOMIC ACTIVITY, APPROVAL OF CONSOLIDATED FINANCIAL STATEMENTS, SUBSIDIARIES, AND OTHER CONTRACTUAL MATTERS

(a) Incorporation and economic activity

Volcan Compañía Minera S.A.A. (hereinafter “the Company”) is a subsidiary of Transition Metals AG, which is a subsidiary of Integral Capital Business S.A., a company domiciled in Panama, owner of 63% of common class A voting shares and an economic interest of 23%, excluding treasury shares.

On May 8, 2024, Glencore AG (previous controlling shareholder of the Company), which is a subsidiary of Glencore PLC., performed an over-the-counter transfer of its shares in favor of Transition Metals AG.

The Company was incorporated on February 1, 1998 in Lima, Peru.

Total common class A voting shares and class B non-voting shares comprising the capital stock of the Company are listed in the Stock Exchange of Lima.

The Company is mainly engaged in the exploration and operation of mining claims and the extraction, concentration, treatment, and commercialization of polymetallic minerals. The economic activity of Subsidiaries is explained in paragraph (c).

The Company and Subsidiaries engaged in the mining sector operate the mining units of Yauli, Animon, Alpamarca and Cerro in the departments of Cerro de Pasco, Junín, and Lima. The Subsidiary Tingo engaged in the electric power generation business has authorizations and electric power generation concessions for self-consumption in its mining operations of Animon.

The legal domicile, where the administrative offices of the Company and Subsidiaries are located, is Av. Manuel Olguin No. 375, Santiago de Surco, Lima.

(b) Approval of the consolidated financial statements

The consolidated financial statements as of December 31, 2024 have been approved by the Company’s Management on February 17, 2025 and will be submitted to the Board of Directors and Shareholders for approval. Management believes that the accompanying consolidated financial statements will be approved by the Annual Mandatory Shareholders’ Meeting as presented. The consolidated financial statements as of December 31, 2023 were approved by the Annual Mandatory Shareholders’ Meeting held on March 26, 2024.

(c) *Subsidiaries*

The Subsidiaries included in the preparation of the accompanying consolidated financial statements are presented below:

Consolidated Subsidiaries and economic activity	Direct and indirect interest in ownership		Domicile
	2024	2023	
	%	%	
Mining exploration and operation:			
Compañía Minera Chungar S.A.C.	100.00	100.00	Peru
Empresa Administradora Cerro S.A.C.	100.00	100.00	Peru
Empresa Explotadora de Vinchos Ltda. S.A.C.	100.00	100.00	Peru
Minera Aurífera Toruna S.A.C. (1)	80.00	80.00	Peru
Electric power generation:			
Hidroeléctrica Huanchor S.A. (3)	-	100.00	Peru
Empresa de Generación Eléctrica Río Baños S.A.C. (4)	-	100.00	Peru
Compañía Hidroeléctrica Tingo S.A. (2)	100.00	100.00	Peru
Investments in general:			
Empresa Minera Paragsha S.A.C.	100.00	100.00	Peru
Roquel Global S.A.C.	100.00	100.00	Peru
Compañía Industrial Limitada de Huacho S.A.	96.41	96.41	Peru
Inversiones Portuarias Chancay S.A.A. (5)	-	100.00	Peru

- (1) Subsidiary of Empresa Minera Paragsha S.A.C. and indirect subsidiary of the Company.
- (2) Subsidiary of Compañía Minera Chungar S.A.C. and indirect subsidiary of the Company.
- (3) Subsidiary Hidroeléctrica Huanchor S.A. was sold on October 11, 2024.
- (4) Subsidiary Empresa de Generación Eléctrica Río Baños S.A.C. was sold on May 31, 2024.
- (5) The shares of Inversiones Portuarias Chancay S.A.A. were distributed to the same shareholders of the Company as part of the split-off agreement.

A description of the economic activity of each subsidiary is presented below:

(c.1) Mining exploration and operation

Compañía Minera Chungar S.A.C.

This company has two mining units, Animon, located in the province of Pasco, department of Cerro de Pasco, and Alpamarca, located in the province of Yauli, Department of Junin. It is engaged in the exploration, development, and operation of mineral deposits, basically with zinc, copper, and lead contents. This company has 244 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32. Based on the estimate of reserves and resources, the Company's Management has considered a useful life of the mine until 2046.

In addition, the Subsidiary has 10 hydroelectric power plants, from which 9 are located in Huaral and one in Cerro de Pasco. Six of these plants have a concession (4 indefinite and 2 definite) and four plants do not have a concession nor a permit since this plant has a production less than 500KW, as established in the Electrical Concessions Law.

Empresa Administradora Cerro S.A.C.

This company is located in the province of Pasco, department of Cerro de Pasco, and is engaged in the exploration, development, and operation of mineral deposits, basically with zinc and lead contents. Now, the Subsidiary processes stockpiles in its mining unit Cerro since its mining operations have stopped. The Subsidiary has 10 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32.

Based on the estimate of reserves and resources, the Company's Management has considered a useful life of the mine until 2030.

In addition, as a result of the merger with Oxidos de Pasco S.A.C., which became effective in October 2023, the Subsidiary is engaged in the treatment of oxidized minerals at a leach pad. The Subsidiary has one beneficiation concession with an indefinite term. Based on the estimate of reserves and resources, the Company's Management has considered a useful life of the mine until 2035.

Empresa Explotadora de Vinchos Ltda. S.A.C.

This company, located in the province of Daniel Alcides Carrion, department of Cerro de Pasco, was incorporated for the exploration, development and operation of mineral deposits and its main activity was the exploration of its mining concessions through the financing of the Company and Subsidiaries. No activities have been developed in 2024 and 2023.

The Company's Management is reevaluating potential projects or the option of a simple reorganization in order to search for synergies for the development of its projects. The Subsidiary has 29 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32.

Minera Aurífera Toruna S.A.C.

The concessions of this company are located in the district of Ulcumayo and Paucartambo, departments of Junin and Cerro de Pasco, respectively. This company was incorporated for the exploration, development and operation of mineral deposits and its main activity was the exploration of its mining concessions through the financing of the Company and Subsidiaries. No activities have been developed in 2024 and 2023.

The Company's Management is reevaluating potential projects or the option of a simple reorganization in order to search for synergies for the development of its projects. The Subsidiary has 7 mining concessions with an indefinite term. Relevant obligations and commitments related to the concession are mentioned in Note 32.

(c.2) Electric power generation

Hidroeléctrica Huanchor S.A.C.

This company was mainly engaged in the sale of energy through the operation and maintenance of electric transmission system generation plants. For this, this company had the hydroelectric power plant of Huanchor of 19.768 MW and mini hydroelectric power plant of Tamboraque of 1.3 MW, both located in the district of San Mateo, province of Huarochiri, Lima. The Subsidiary had a definite electrical concession.

On June 14, 2024, the Company entered into a definite agreement for the sale of Huanchor with EDF PERÚ S.A.C., AC Captales Infraestructura II L.P., AC Captales Fondo Infraestructura II, and AC Captales Fondo Infraestructura II GP.

Hidroeléctrica Huanchor S.A.C. was sold on October 11, 2024 for US\$49,469.

Empresa de Generación Energética Río Baños S.A.C.

This company was mainly engaged in the sale of energy through the operation and maintenance of the hydroelectric power plant of Rucuy of 20.27 MW, located in the district of Pacaraos, province of Huaral, department of Lima. The Subsidiary had a definite electrical concession.

On May 31, 2024, the Company sold this Subsidiary to Sindicato Energético S.A. for US\$31,675.

Compañía Hidroeléctrica Tingo S.A.

This company is engaged in the operation and maintenance of gen-sets and electrical energy transmission systems. It has the hydroelectric power plant of Tingo of 1.25 MW and 82 km of transmission lines of 22.9 and 50 KV, which are located in the province of Huaral, department of Lima. The Subsidiary has a definite electrical concession.

(c.3) Investments in general

Roquel Global S.A.C.

This company is engaged in real estate development in order to perform port and logistics activities in relation to the Chancay Port. This company performed municipal procedures for the award of acquired land in 2019 (sanitation stage), which are still in progress. This company is seeking a strategic partner for the Industrial Logistics Complex Project, which is undergoing an initial stage. The subsidiary is located in the district of Surco, Lima.

Compañía Industrial Limitada de Huacho S.A.

This company is mainly engaged in real estate activities. Its main properties are located in the district of Jesus Maria, province of Lima.

Empresa Minera Paragsha S.A.C.

This company was incorporated for exploration, operation, assignment, and mining usufruct; however, its main activity now is the purchase and sale of investments in equity instruments. This subsidiary has shares of the Company and Cementos Polpaico S.A. (Note 8). This subsidiary has 47 mining concessions, from which there are 30 concessions with an indefinite term. It is located in the district of Surco, Lima.

(c.4) Unconsolidated entities

The Company prepares its consolidated financial statements incorporating the balances and transactions of those entities over which it has control, regardless of the level of equity interest, except certain Subsidiaries since they are undergoing a liquidation process. Management believes that the financial statements of unconsolidated entities do not have relevant figures (total assets less than US\$50) for the consolidated financial statements that could affect the economic decisions of users.

(c.5) Financial information of Subsidiaries

The financial statements of consolidated direct and indirect Subsidiaries (unaudited) as of December 31, 2024 are summarized below:

	Assets US\$000	Liabilities US\$000	Equity US\$000	Net profit (loss) US\$000
Compañía Minera Chungar S.A.C.	636,092	494,388	141,704	(37,613)
Empresa Administradora Cerro S.A.C.	428,646	179,278	249,368	40,106
Empresa Explotadora de Vinchos Ltda. S.A.C.	1,040	11,166	(10,126)	14,624
Minera Aurífera Toruna S.A.C. (1)	3	4,087	(4,084)	(135)
Compañía Hidroeléctrica Tingo S.A. (2)	21,848	3,248	18,600	234
Empresa Minera Paragsha S.A.C.	178,880	81,336	97,544	(9,537)
Roquel Global S.A.C.	18,734	3,679	15,055	(800)
Compañía Industrial Limitada de Huacho S.A.	7,378	307	7,071	399
Unconsolidated entities	34	-	34	-
	<u>1,292,655</u>	<u>777,489</u>	<u>515,166</u>	<u>7,278</u>

The financial statements of direct and indirect Subsidiaries (unaudited) as of December 31, 2023 are summarized below:

	Assets US\$000	Liabilities US\$000	Equity US\$000	Net profit (loss) US\$000
Compañía Minera Chungar S.A.C.	747,519	577,540	169,979	(48,668)
Empresa Administradora Cerro S.A.C.	397,503	188,242	209,261	99,943
Empresa Explotadora de Vinchos Ltda. S.A.C.	157	24,906	(24,749)	(1,241)
Minera Aurífera Toruna S.A.C. (1)	12	3,961	(3,949)	(403)
Hidroeléctrica Huanchor S.A.C. (3)	50,162	32,124	18,038	(9,266)
Empresa de Generación Eléctrica Río Baños S.A.C. (4)	46,366	14,728	31,638	13,782
Compañía Hidroeléctrica Tingo S.A. (2)	20,592	2,225	18,367	999
Empresa Minera Paragsha S.A.C.	147,116	106,254	40,862	(10,883)
Roquel Global S.A.C.	18,761	2,906	15,855	(804)
Compañía Industrial Limitada de Huacho S.A.	6,849	298	6,551	317
Unconsolidated entities	34	-	34	-
	<u>1,435,071</u>	<u>953,184</u>	<u>481,887</u>	<u>43,776</u>

- (1) Subsidiary of Empresa Minera Paragsha S.A.C. and indirect subsidiary of the Company.
- (2) Subsidiary of Compañía Minera Chungar S.A.C. and indirect subsidiary of the Company.
- (3) Subsidiary sold on October 11, 2024.
- (4) Subsidiary sold on May 31, 2024.

(d) Financial investment in related entity

Inversiones Portuarias Chancay S.A.A.

This company was registered at the Registration Office of Lima of the National Superintendence of Public Records on October 3, 2023. According to Volcan's Shareholders' Meeting held on August 24, 2023, this company was incorporated to acquire, develop and negotiate interests or equity rights in companies engaged in port and logistics activities of any kind, as well as any related services.

The Shareholders' Meeting approved the split-off of a block of equity comprised by 40% of shares in Cosco Shipping Ports Chancay Peru S.A., owned by the Company.

On October 25, 2023, the shareholders of Volcan Compañía Minera S.A.A. and Inversiones Portuarias Chancay S.A.A. approved the split-off of a block of equity comprised by 40% of shares in Cosco Shipping Ports Chancay Perú S.A., owned by Volcan Compañía Minera S.A.A, which was transferred to Inversiones Portuarias Chancay S.A.A.

The effective date of the split-off was March 4, 2024, and the net carrying amount of the block of equity amounts to S/443,328 (equivalent to US\$132,386), comprised by capital for S/407,656 and additional capital for S/35,672.

As a result of the split-off of the block of equity, the Board of Directors agreed to modify its articles of incorporation to be written as follows: The subscribed and paid capital of Inversiones Portuarias Chancay S.A.A. is S/407,656, represented by 1,633,414,553 common class “A” shares and 2,443,157,622 common class “B” shares with a face value of S/0.10 per share.

Pursuant to the split-off agreement, the Company’s shareholders are also shareholders of Inversiones Portuarias Chancay S.A.A.; therefore, it is not a subsidiary, but a related entity.

The Company has investments in Inversiones Portuarias Chancay S.A.A. through its Subsidiaries for US\$124,449, which are measured at fair value through other comprehensive income (Note 8).

(e) Merger

The Shareholders’ Meeting of Empresa Administradora Cerro S.A.C. approved the merger by absorption to Oxidos de Pasco S.A.C. on September 29, 2023.

The effective date of the merger was October 1, 2023. The merger was performed at the carrying amount of the merged company as of September 30, 2023.

(f) Other contractual matters

(f.1) Subscription and Investment Agreement between Volcan Compañía Minera S.A.A. and Cosco Shipping Ports Limited

On January 23, 2019, the Company entered into with Cosco Shipping Ports Limited (CSPL) and its subsidiary Cosco Shipping (Chancay) Ports Limited (CSPL SPV), companies of the Peoples’ Republic of China, with the participation of Terminales Portuarios Chancay S.A. (now Cosco Shipping Ports Chancay Perú S.A.) (CSPL), subsidiary of the Company until May 13, 2019, a subscription and investment agreement and a shareholders’ agreement, under which CSPL, through its subsidiary CSPL SPV, became the shareholder of Cosco Shipping Ports Chancay Perú S.A. with 60% of shares of the capital stock for US\$225,000 at the closing date, which is subject to the verification of the compliance with the Antitrust Law, provided by the international authorities of Ukraine and China.

On May 13, 2019, the strategic partner was incorporated with an interest of 60% of shares of CSPL through a capital increase. The Company holds and owns the remaining 40% of shares of the capital stock of Cosco Shipping Ports Chancay Perú S.A., thus it became from subsidiary to associate of the Company at that date.

The definite completion of the transaction was mainly subject to the approval of the modification of the Environmental Impact Assessment (MEIA), which was obtained on September 22, 2020. That date, pursuant to Director’s Resolution No. 00158-2020, the National Service of Environmental Certification for Sustainable Investments (SENACE)

approved the modification of the Environmental Impact Assessment (MEIA-d) of the Expansion Project of the Operating Port Area – Stage 1 of the Multi-purpose Port Terminal Chancay. When the MEIA was approved, CSPL SPV made capital contributions in the first semester of 2021.

The infrastructure project is located 50 km. on the northern area of the Callao Port. This project consists in a multi-purpose port terminal that will have two specialized terminals: (i) a terminal for containers that will include 11 docks for this type of cargo; and (ii) a terminal for loading bulk, general and rolling cargoes that will have four docks. At the first stage, an area of 141 hectares will be developed with an investment of US\$1,300,000.

At the Board of Directors' Meeting of Volcan Compañía Minera S.A.A. held on March 24, 2023, as shareholder of 40% of Cosco Shipping Ports Chancay Peru S.A., the financing granted by financial entities for US\$975,000 was approved for the development of the Multi-purpose Port Terminal Chancay.

The guarantees will be covered by the assets of Cosco Shipping Ports Chancay Peru S.A.

The project represents a major infrastructure work and an important opportunity for economic development for the country since it will be part of China's new connectivity network with the rest of the world, comprised by sea and land lanes. The operations of this project are estimated to commence in 2025.

(f.2) Bond issuance

"4.375% Senior Notes Due 2026"

On February 11, 2021, bonds known as "4.375% Senior Notes Due 2026" were issued and placed in their entirety in the international market for US\$475,000 under Rule 144A and Regulation S of the U.S. Securities Act of the United States of America. The Company requested the inclusion of bonds in the Official List of the Luxembourg Stock Exchange and the admission for negotiation in the Euro MTF of the Luxembourg Stock Exchange.

These bonds mature in 5 years, on February 11, 2026, and accrue interests at an annual rate of 4.375%. Interests will be paid in semiannual installments as from August 11, 2021. Financial compliance covenants were not established for this obligation, but certain limitations were determined, as described in Note 16(a).

The instruments issued by the Company were partially repurchased on June 21, 2022 for up to US\$110,000 by using the Company's available cash.

"8.75% Senior Notes Due 2030"

On September 10, 2024, the Company made a private exchange offering of the instruments issued by Volcan Compañía Minera S.A.A. denominated "4.375% Senior Notes due 2026" ("Existing Notes") addressed to the holders of the Existing Notes, for new notes denominated "8.750% Senior secured notes due 2030" ("New Notes"), maturing in January 2030. These notes accrue interests at an annual rate of 8.750% to be paid through semi-annual installments.

The Company received valid offers and consents from registered holders of the Existing Notes for US\$297,014, representing approximately 81.37% of its outstanding principal amount. The Company accepted the full amount of the offerings described above, plus a 1% commission, which amounted to US\$299,872 of New Notes issued in consideration for the Existing Notes that made such offerings, and entered into a second addendum to the existing Indenture.

According to Management, the Company does not have any noncompliance event derived from the bond issuance agreements.

(f.3) Guarantee and Administration Trust Agreement entered into with Banco Internacional del Perú S.A.A., hereinafter Interbank

Interbank (trustee) and Volcan Compañía Minera S.A.A. (trustor) entered into this agreement on August 5, 2013. Pursuant to this agreement, a guarantee and administration trust fund was established, under which the Company transfers the administration of all the cash flows credited in its collection accounts, held in several financial entities, to Interbank under this trust. Commitments derived from this trust agreement are being met and allow ensuring cash flows to address the obligations of the Company and involved Subsidiaries.

2. SIGNIFICANT ACCOUNTING POLICIES

Significant accounting policies used by the Company and Subsidiaries for the preparation of the consolidated financial statements are summarized below:

(a) Statement of compliance and basis of preparation and presentation

The accompanying consolidated financial statements were prepared in accordance with the International Financial Reporting Standards (IFRS), issued by the International Accounting Standards Board (IASB), effective as of December 31, 2024 and 2023, as applicable, including International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), and Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), or by the former Standing Interpretations Committee (SIC), adopted by the IASB, which have been validated by the Accounting Standards Committee for their application in Peru. Historical cost basis was applied for these purposes, except those items measured at fair value, as further explained in the section of significant accounting policies.

Historical cost is generally based on fair value of the consideration given for asset exchange.

Fair value is the price that would be received when selling an asset or paid when transferring a liability in an organized transaction between market participants at a measurement date, regardless of the fact that such price is directly observable or estimable through another valuation technique. When estimating the fair value of an asset or liability, the Company and Subsidiaries consider the characteristics of such asset or liability in the event that market participants would want to consider them when setting a price at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined over such basis, except share-based payment transactions (which are within the scope of IFRS 2), lease transactions (within the scope of IFRS 16), and measurements somehow similar to fair value, but are not fair value, such as net realizable value in IAS 2, or value in use in IAS 36, if necessary.

The Company and Subsidiaries' Management is responsible for the information contained in these consolidated financial statements, which expressly confirms that all principles and criteria established in IFRS issued by the IASB, effective at each year-end, have been applied in their preparation.

(b) Consolidation principles

The accompanying consolidated financial statements include the accounts of the Company and of those entities controlled by the Company (Subsidiaries), except certain subsidiaries that are undergoing a liquidation process and are not relevant (Note 1 (c.4)). The Company considers that control of an entity is achieved when the Company has the power to govern their financial and operating policies in order to obtain benefits from their activities.

All significant intercompany transactions have been eliminated in consolidation.

Profit and loss of subsidiaries acquired or disposed during the year are included in the consolidated statement of profit or loss as from the effective date of acquisition or up to the effective date of sale, as applicable. Total comprehensive income of those subsidiaries is attributed to the Company's shareholders and to the non-controlling owners of these subsidiaries even in cases when these interests result in a deficit balance.

Changes in the interest in Subsidiaries that do not correspond to a loss of control over them are accounted for as equity transactions. The carrying amounts of interest of the shareholders of the Company and the non-controlling owners of these subsidiaries are adjusted to reflect the changes in their interest. Any difference between these amounts and the fair value of the consideration paid or received is directly attributed to equity of shareholders of the Group.

(c) Functional and presentation currency

The Company and each Subsidiary prepare and present their consolidated financial statements in U.S. dollars, its functional currency. The functional currency is the currency of the main economic environment in which an entity operates, which influences selling prices of traded goods and services, among other factors.

(d) Foreign currency transactions

Transactions in currencies other than the U.S. dollar are considered as "foreign currency transactions" and are recognized by applying the exchange rates effective at the date of transactions. At the end of each reporting period, balances of monetary items denominated in foreign currency are translated by applying the exchange rates effective at that date.

Balances of non-monetary items accounted for at fair value, denominated in foreign currency, are translated by applying the exchange rates applicable at the date when fair value was determined. Balances of non-monetary items recognized in historical cost terms, denominated in foreign currency, are translated by applying the exchange rates effective at the date of transactions.

Exchange differences arising from monetary items are recognized in net profit or loss for the period when arisen.

(e) Financial instruments

Financial instruments are contracts that simultaneously give rise to a financial asset in a company and a financial liability or equity instrument in another company. Financial assets and liabilities are recognized when the Group becomes part of the contractual agreements of the corresponding instrument.

Financial assets and liabilities are initially measured at fair value plus transaction costs directly attributable to their acquisition or issuance, except for those classified at fair value through profit or loss, which are initially recognized at fair value and whose transaction costs directly attributable to their acquisition or issuance, are recognized immediately in profit or loss for the year.

Financial assets

All regular way purchases or sales of financial assets are recognized and derecognized on a trade date basis and require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

Classification of financial assets

Debt instruments that meet the following conditions are measured subsequently at amortized cost:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments that meet the following conditions are measured subsequently at fair value through other comprehensive income:

- the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

By default, all other financial assets are measured subsequently at fair value through profit or loss.

Despite the foregoing, the Company may make the following irrevocable designation at initial recognition of a financial asset:

- The Company may irrevocably elect to present subsequent changes in fair value of an equity investment in other comprehensive income if certain criteria are met; and

- The Company may irrevocably designate a debt investment that meets the amortized cost or fair value through other comprehensive income criteria if doing so eliminates or significantly reduces an accounting mismatch.

Amortized cost and effective interest method

The effective interest method is a method of calculating the amortized cost of a debt instrument and of allocating interest income over the relevant period.

For financial assets other than purchased or originated credit-impaired financial assets, the effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated by discounting the estimated future cash flows, including expected credit losses, to the amortized cost of the debt instrument on initial recognition.

The amortized cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss provision. On the other hand, the gross carrying amount of a financial asset is the amortized cost of a financial asset before adjusting for any loss provision.

Interest income is recognized using the effective interest method for debt instruments measured subsequently at amortized cost and at fair value through other comprehensive income. For financial assets other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired.

For financial assets that have subsequently become credit-impaired, interest income is recognized by applying the effective interest rate to the amortized cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognized by applying the effective interest rate to the gross carrying amount of the financial asset.

For purchased or originated credit-impaired financial assets, the Company and Subsidiaries recognize interest income by applying the credit-adjusted effective interest rate to the amortized cost of the financial asset from initial recognition. The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired. Interest income is recognized in the consolidated statement of profit or loss.

Equity instruments designated as at fair value through other comprehensive income

On initial recognition, the Company may make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments as at fair value through other comprehensive income. Designation at fair value through other comprehensive income is not permitted if the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination.

Investments in equity instruments at fair value through other comprehensive income are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with profit and losses arising from changes in fair value recognized in other comprehensive income accumulated. The cumulative profit or loss is not reclassified to profit or loss on disposal of the equity investments, instead, it is transferred to retained earnings.

Dividends on these investments in equity instruments are recognized in profit or loss in accordance with IFRS 9 unless the dividends clearly represent a recovery of part of the cost of the investment.

The Company has designated all investments in equity instruments that are not held for trading as at fair value through other comprehensive income.

Impairment of financial assets

The Company and Subsidiaries recognize a provision for expected credit losses of financial assets that are measured at amortized cost or at fair value through other comprehensive income. An impairment loss for investments in equity instruments is not recognized. The amount of expected credit losses is updated at each reporting date in order to reflect the changes in credit risk since the initial recognition of the pertinent financial instrument.

The Company and Subsidiaries recognize lifetime expected credit losses for trade accounts receivable and other accounts receivable in the short term, for which they used the simplified approach. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company and Subsidiaries' historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions, and an assessment of both the current as well as the forecast direction of conditions at the presentation date, including time value of money where appropriate.

For all other long-term financial instruments, the Company and Subsidiaries recognize lifetime expected credit losses when there has been a significant increase in credit risk since initial recognition, for which the general model was used. The evaluation of whether the expected credit losses should be recognized during the life of the credit is based on significant increases in the probability or the risk that a noncompliance may occur since initial recognition instead of the evidence that the credit of a financial asset is impaired at the presentation date of the report, or an actual noncompliance has occurred.

The duration of expected credit losses during the life of the credit represents the expected credit losses that will result from all possible default events over the expected useful life of a financial instrument. In contrast, 12-month expected credit losses during the life of the credit represents the portion of the useful life of expected credit losses during the life of the credit that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

Financial liabilities

Financial liabilities are classified at fair value through profit or loss or at amortized cost using the effective interest method. The Company and Subsidiaries determine the classification of financial liabilities upon initial recognition.

Financial liabilities at fair value through profit or loss

Financial liabilities are classified as at fair value through profit or loss when the financial liability is held for trading or it is designated as at fair value through profit or loss.

A financial liability is classified as held for trading if:

- (i) it has been acquired principally for the purpose of repurchasing it in the near term; or
- (ii) on initial recognition it is part of a portfolio of identified financial instruments that the Company and Subsidiaries manage and have a recent actual pattern of short-term profit-taking; or
- (iii) it is a derivative, except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument.

A financial liability other than a financial liability held for trading may be designated as a financial liability at fair value through profit or loss upon initial recognition if:

- (i) such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- (ii) the financial liability forms part of a group of financial assets or financial liabilities or both, which is managed, and its performance is evaluated on a fair value basis, in accordance with the Company and Subsidiaries' documented risk management or investment strategy, and information about the Company and Subsidiaries is provided internally on that basis; or
- (iii) it forms part of a contract containing one or more embedded derivatives, and IFRS 9 permits the entire combined contract to be designated as at fair value through profit or loss.

Financial liabilities at fair value through profit or loss are measured at fair value, with any profit or losses arising on the new measurement recognized in profit or loss. The net profit or loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the "other profit and losses" line item.

However, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognized in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognized in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognized in other comprehensive income are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

Financial liabilities measured subsequently at amortized cost

Other financial liabilities, including loans, trade accounts payable and others, are measured subsequently at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts cash flows receivable or payable (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) estimated through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortized cost of a financial liability.

Derecognition of financial liabilities

The Company and Subsidiaries derecognize financial liabilities when, and only when, the Company and Subsidiaries' obligations are discharged, cancelled, or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in profit or loss.

Derivative financial instruments

The Company and Subsidiaries enter into a variety of derivative financial instruments to manage its exposure to rate risks and prices of commodities.

Derivatives are recognized initially at fair value at the date a derivative contract is entered into and are subsequently remeasured to their fair value at each reporting date. The profit or loss in changes of fair value of these assets is recognized in profit or loss for the year they are incurred unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

A derivative with a positive fair value is recognized as a financial asset whereas a derivative with a negative fair value is recognized as a financial liability. Derivatives are not offset in the consolidated financial statements unless the Company and Subsidiaries have both a legally enforceable right and intention to offset. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than 12 months and it is not due to be realized or settled within 12 months. Other derivatives are presented as current assets or current liabilities.

Embedded derivatives

An embedded derivative is a component of a hybrid contract that also includes a non-derivative host, with the effect that some of the cash flows of the combined instrument vary in a way similar to a stand-alone derivative.

Derivatives embedded in hybrid contracts with a financial asset host within the scope of IFRS 9 are not separated. The entire hybrid contract is classified and subsequently measured as either amortized cost or fair value as appropriate.

Derivatives embedded in hybrid contracts with hosts that are not financial assets within the scope of IFRS 9 (e.g., financial liabilities) are treated as separate derivatives when they meet the definition of a derivative, their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at fair value through profit or loss.

If the hybrid contract is a quoted financial liability, instead of separating the embedded derivative, the Company and Subsidiaries generally designate the whole hybrid contract at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realized or settled within 12 months.

Hedge accounting

The Company and Subsidiaries designate certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, and cash flow hedges. As of December 31, 2024, the Company and Subsidiaries held hedge operations of commodities in order to ensure future flows of sale of concentrates.

At the inception of the hedge relationship, the Company and Subsidiaries document the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Company and Subsidiaries document whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationship meets all of the following hedge effectiveness requirements:

- there is an economic relationship between the hedged item and the hedging instrument;
- the effect of credit risk does not dominate the value changes that result from that economic relationship; and
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Company and Subsidiaries actually hedge and the quantity of the hedging instrument that the Company and Subsidiaries actually use to hedge that quantity of hedged item.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio but the risk management objective for that designated hedging relationship remains the same, the Company and Subsidiaries adjust the hedge ratio of the hedging relationship (i.e., rebalance the hedge) so that it meets the qualifying criteria again.

The Company and Subsidiaries designate the full change in the fair value of a forward contract (i.e., including the forward elements) as the hedging instrument for all of its hedging relationships involving forward contracts.

The Company and Subsidiaries designate only the intrinsic value of option contracts as a hedged item, i.e., excluding the time value of the option. The changes in the fair value of the aligned time value of the option are recognized in other comprehensive income and accumulated in the cost of hedging reserve. If the hedged item is transaction-related, the time value is reclassified to profit or loss when the hedged item affects profit or loss. If the hedged item is time period related, then the amount accumulated in the cost of hedging reserve is reclassified to profit or loss on a rational basis; the Company and Subsidiaries apply straight-line amortization. Those reclassified amounts are recognized in profit or loss in the same line as the hedged item. If the hedged item is a non-financial item, then the amount accumulated in the cost of hedging reserve is removed directly from equity and included in the initial carrying amount of the recognized non-financial item. Furthermore, if the Company and Subsidiaries expect that some or all of the loss accumulated in cost of hedging reserve will not be recovered in the future, that amount is immediately reclassified to profit or loss.

Note 5 sets out details of the fair values of the derivative instruments used for hedging purposes.

Fair value hedges

The fair value change on qualifying hedging instruments is recognized in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognized in other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the hedging gain or loss is recognized in profit or loss instead of other comprehensive income. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain or loss remains in other comprehensive income to match that of the hedging instrument. Where hedging gains or losses are recognized in profit or loss, they are recognized in the same line as the hedged item.

The Company and Subsidiaries discontinue hedge accounting only when the hedging relationship (or a part thereof) cease to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated, or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is amortized to profit or loss from that date.

The effects for fair value change on fair value hedges are presented in the consolidated statement of other comprehensive income.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognized in other comprehensive income and accumulated under the heading of cash flow hedging reserve, limited to the cumulative change in fair value of the hedged item from inception of the hedge. The profit or loss relating to the ineffective portion is recognized immediately in profit or loss.

Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognized hedged item. However, when the hedged forecast transaction results in the recognition of a non-financial asset or a non-financial liability, the profit and losses previously recognized in other comprehensive income and accumulated in equity are removed from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability. This transfer does not affect other comprehensive income. Furthermore, if the Company and Subsidiaries expect that some or all of the loss accumulated in the cash flow hedging reserve will not be recovered in the future, that amount is immediately reclassified to profit or loss.

The Company and Subsidiaries discontinue hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated, or exercised. The discontinuation is accounted for prospectively. Any profit or loss recognized in other comprehensive income and accumulated in cash flow hedge reserve at that time remains in equity and is reclassified to profit or loss when the forecast transaction occurs. When a forecast transaction is no longer expected to occur, the profit or loss accumulated in the cash flow hedge reserve is reclassified immediately to profit or loss.

The effects for fair value change on cash flow hedges are presented in the consolidated statement of other comprehensive income.

(f) Cash and cash equivalents

Cash comprises cash on hand and freely available deposits. Cash equivalents comprise short-term financial investments with maturities of three months or less counted from their acquisition date, which are readily convertible into known amounts of cash and are not subject to an insignificant risk of changes in value.

(g) Inventories and obsolescence estimate

Concentrates and raw material are valued at the lower of acquisition or production cost or net realizable value. The cost of concentrates includes the cost of direct materials, and in this case, direct labor costs and manufacturing overheads, include the cost of transferring inventories to their current location and conditions. The cost of concentrates and supplies is determined by applying the weighted average cost method, and the cost of inventories in transit is determined by applying the specific cost method. Net realizable value is the sales price estimated in the normal course of business, less the estimated costs to place inventories in sale conditions and perform their sale. Due to the reductions of the carrying amount of inventories to their net realizable value (concentrate) and obsolescence or slow turnover (supplies), an estimate for inventory obsolescence is established and charged to profit or loss of the period when those reductions occur.

(h) Property, plant, and equipment (net)

Property, plant, and equipment are presented at acquisition cost, less accumulated depreciation, and the accumulated amount of impairment losses.

Initial disbursements, as well as those subsequently incurred, related to goods whose cost can be estimated reliably, and it is probable that future economic benefits will be obtained from them, are recognized as property, plant, and equipment.

Disbursements for maintenance and repairs are recognized as expenses during the period when incurred. Main components of major equipment are recorded independently and are depreciated according to their useful life. Profit or loss arising from the sale or disposal of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset, which is recognized in profit or loss for the period when the sale is considered performed.

Property, plant and equipment under construction or acquisition are presented at cost, less any determined impairment loss. The cost of these assets in process includes professional fees and, for qualifying assets, borrowing costs. Those assets are subsequently classified to their category of property, plant, and equipment when the construction or acquisition process has been completed and they are ready for intended use. These assets are depreciated from that moment, similarly to the rest of categories of property, plant, and equipment.

The residual value, useful life and depreciation and amortization methods are reviewed and adjusted prospectively where appropriate at the end of every year.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The profit or loss arising on the disposal or retirement of an item of property, plant and equipment is determined

as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

Depreciation

Units-of-production method

The depreciation of buildings and other mining constructions is calculated by units of production based on economically recoverable reserves and a portion of resources from the pertinent mining unit.

The units of production are measured in recoverable metric tons of lead, copper, and zinc. The depreciation ratio per units of production is determined according to the production of the year over economically recoverable reserves and resources.

Straight-line method

The depreciation of other mining and hydroelectric assets is calculated by applying the straight-line method based on the lower of the estimated useful life of assets or the remaining useful life of the mining unit for mining assets. The useful lives used by the Company are as follows:

	<u>Years</u>
Buildings and other constructions	Up to 33 years
Environmental management program infrastructure	Up to 10 years
Machinery and equipment	Up to 10 years
Vehicles	Up to 5 years
Furniture and fixtures, and computer equipment	Up to 10 years
Sundry equipment	Up to 10 years

(i) Mining concessions, evaluation, exploration and development costs and other intangibles

Mining rights and concessions

Mining rights represent the ownership of the Company and Subsidiaries of mining properties that contain the acquired mineral reserves. Mining rights that are related to mineral reserves are amortized following the units-of-production method, using the proven and probable reserves as a basis and a portion of inferred resources.

Mining concessions are capitalized in the consolidated statement of financial position and represent the ownership of the Company and Subsidiaries of mining properties with a geological interest. Mining concessions are amortized as from the production stage based on the units-of-production method, using proven and probable reserves and a portion of inferred resources. In case the Company and Subsidiaries abandon those concessions, associated costs are written off in the consolidated statement of profit or loss and other comprehensive income.

At every year-end, the Company and Subsidiaries evaluate for each cash-generating unit if there is any indication that the value of their mining rights may be impaired. If any indication exists, the Company and Subsidiaries establish an estimate of the recoverable amount of the asset.

Evaluation and exploration costs

Evaluation and exploration costs are capitalized only provided that they are estimated to be economically recoverable through a successful operation in the future or when the activities are in process in the area of interest, and it has not reached a stage that allows evaluating reasonably the existence of economically recoverable reserves. Costs are capitalized as evaluation and exploration assets until the Company and Subsidiaries have completed a preliminary feasibility study, some resources have become reserves and Management determines the probability that the property turns into a mine. At that time, it is considered that the development stage of the property starts, and subsequent evaluation and exploration costs are reclassified.

These costs mainly include used materials and fuel, land survey costs, drilling costs and payments made to contractors. For this purpose, economically recoverable benefits of exploration projects can be evaluated properly when any of the following conditions are met: i) the Board of Directors authorizes Management to conduct a feasibility study for the project, and ii) the purpose of the exploration is to convert resources into reserves or to confirm resources.

Evaluation and exploration costs are amortized from the beginning of production following the units-of-production method based on proven and probable reserves and a portion of inferred resources they are related to.

All capitalized evaluation and exploration costs are monitored to identify impairment indications. When a possible impairment is identified, each area of interest or cash-generating unit (CGU) is evaluated. If capitalized costs are not expected to be recovered, they are charged to the consolidated statement of profit or loss.

Development costs

Costs associated with the mine development stage are capitalized. Development costs required to keep production going are charged to profit or loss of the period when incurred.

Development costs are amortized as described above for evaluation and exploration costs.

Intangibles

Intangible assets with finite useful lives separately acquired are reported at cost less accumulated amortization and any recognized accumulated impairment loss. Amortization is calculated using the straight-line method based on useful lives estimated by the Company and Subsidiaries. Estimates on useful lives and depreciation methods are reviewed at the end of each reporting period to evaluate possible material changes in previous expectations or the expected consumption pattern of future economic benefits inherent to those assets, prospectively incorporating the effects of any change in these estimates against net profit or loss in the period they are made.

(j) Review of impairment of long-term assets

The Company and Subsidiaries regularly review the carrying amounts of their tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). If it is not possible to estimate the recoverable amount of an individual asset, the Company and Subsidiaries estimate the recoverable amount of the cash-generating unit to which the asset belongs. If a reasonable and

consistent distribution basis can be identified, corporate assets are also distributed to individual cash-generating units, or otherwise, to the smallest group of cash-generating units for which a reasonable and consistent distribution basis is identified.

The recoverable amount is the higher of fair value less the cost to sell and value in use. Value in use is determined based on future estimated cash flows discounted to their present value, using a discount rate before taxes that reflects current market valuations related to the time value of money and the specific risks of the asset.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is immediately recognized as expense.

An impairment loss can be subsequently reversed and recognized as revenue in profit for the year, to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had been recognized for the asset (cash-generating unit) in previous years.

In the determination of values in use of their assets, the Company and Subsidiaries review their projections of future revenue streams that consider the following variables: discount rate, projection of prices, resources and reserves, production, costs, and expenses.

(k) Investment in associates

An associate is an entity over which the Company has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method of accounting, except when the investment, or a portion of such investment, is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 Non-current assets held for sale and discontinued operations. Under the equity method, an investment in an associate is recognized initially in the consolidated statement of financial position at cost and adjusted for changes after the acquisition for the Company's share of the profit or loss and other comprehensive income of the associate or joint venture. When the Company's share of losses of an associate or joint venture exceeds the Company's interest in that associate or joint venture, the Company discontinues recognizing its share of further losses. Additional losses are recognized only to the extent that the Company has incurred legal or constructive obligations or made payments on behalf of the associate.

An investment in an associate is accounted for using the equity method from the date on which the investee becomes an associate. On acquisition of the investment in an associate, any excess of the cost of the investment over the Company's share of the net fair value of the identifiable assets and liabilities of the investee is recognized as goodwill, which is included within the carrying amount of the investment. Any excess of the Company's share of the net fair value of the identifiable assets and liabilities over the cost of the investment, after reassessment, is recognized immediately in profit or loss in the period in which the investment is acquired.

(l) Leases

The Company and Subsidiaries as lessees:

The Company and Subsidiaries recognize right-of-use assets at the commencement date of the lease (that is, the date when the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment loss, and are adjusted for any new measurement of lease liabilities. The cost of right-of-use assets includes lease liabilities recognized, initial direct costs incurred, and lease payments made before the commencement date of the lease less any lease incentive received. Unless the Company and Subsidiaries are reasonably certain that they will obtain the ownership of the leased asset at the end of the lease term, assets recognized for right of use are amortized on a straight-line basis over the lease term. Right-of-use assets are subject to impairment.

At the commencement date of the lease, the Company and Subsidiaries recognize lease liabilities at the present value of payments that will be made over the lease term. Lease payments include fixed payments less any lease incentive receivable, variable lease payments that depend on an index or rate, and the amounts expected to be paid as residual value guarantees.

When calculating the present value of lease payments, the Company and Subsidiaries use the incremental borrowing rate at the commencement date of the lease if the interest rate implicit in the lease cannot be readily determined.

After the commencement date, the amount of lease liabilities increases to reflect the accrual of interests and is reduced for lease payments made. In addition, the carrying amount of lease liabilities is remeasured whether there is a modification, change in the lease term or change in in-substance fixed payments.

The Company and Subsidiaries apply the recognition exemption on properties at a short term (that is, those properties with a lease term of 12 months or less from the commencement date of the lease and that do not contain a lease option). The Company and Subsidiaries also apply the recognition exemption on low-value assets in the lease of office equipment. Payments for short-term leases and low-value assets are recognized as expenses on a straight-line basis over the lease term.

(m) Provisions

Provisions are recognized when the Company and Subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that the Company and Subsidiaries will have to dispose of resources that provide economic benefits in order to settle the obligation, and a reliable estimate of the obligation amount can be made.

The amount recognized as provision corresponds to the best estimate of the necessary disbursement to settle the present obligation at the date of the consolidated statement of financial position, considering the risks and uncertainties surrounding most of the events and circumstances concurrent to its valuation. If the provision amount is measured using estimated cash flows to settle the obligation, the carrying amount is the present value of corresponding disbursements.

In case it is expected that a part or the total disbursement necessary to settle the provision may be reimbursed by a third party, the portion receivable is recognized as an asset when its recovery is virtually certain, and the amount of such portion can be determined reliably.

(n) Provision for closure of mining units

The asset and liability for closure of mining units is recognized when: (i) the Company and Subsidiaries have a present obligation related to the dismantling and removal of assets, as well as the restoration of areas where its mining units are located, and (ii) the amount of those obligations can be estimated reliably.

The initial amount of the recognized asset and liability is the present value of future estimated disbursements to meet those obligations.

After initial measurement, the obligation is adjusted to reflect the passing of time and changes in estimated future cash flows underlying the obligation. The provision increase due to the passing of time is recognized as financial expense, while increases and decreases for changes in estimated future cash flows are capitalized and depreciated during the life of the related asset. Actual incurred costs in the settlement of the liability for site restoration are recorded in the provision as long as the provision has been determined by those costs. A profit or loss can be recorded after the settlement of the liability while the asset is depreciated based on proven and probable reserves, and a percentage of inferred resources by applying the units-of-production method. Related depreciation is recognized as expense.

(o) Financing costs

Financing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalized and added to the cost of the project until those assets are considered to be substantially ready for their intended use, that is, when such assets are able to generate commercial production. If a loan is requested for a specific use in the project, the capitalized amount represents actual costs incurred to obtain such loan.

Provided the variable rate of loans used to finance a qualifying asset and that are covered by an effective cash flow hedge of interest rate risk, the effective portion of the derivative is recognized in other comprehensive income and is reclassified to profit or loss when the qualifying asset affects profit or loss. Provided the fixed rate of loans is used to finance qualifying assets and are covered by an effective hedge of interest rate risk, capitalized costs of loans reflect the interest rate hedge.

If short-term excess funds derived from the specific loan are available, earnings provided by temporary investment are also capitalized and deducted from the total debt cost. If funds used to finance a project are part of the general debt, the capitalized amount is calculated by applying the weighted average rate of the general debt of the Company and Subsidiaries during the period. All other debt costs are recognized in the consolidated statement of comprehensive income in the period when incurred.

(p) Revenue recognition

Revenue is measured by using the fair value of the consideration received or receivable, derived therefrom. This revenue is reduced by estimates such as refunds from customers, discounts, and other similar items.

Revenue is recognized as follows:

- (i) Revenue is associated with the sale of concentrates, Dore bars and others when the control of the sold asset is transferred to the customer. Transfer control indicators include an unconditional obligation payable, legal title, physical ownership, transfer of risks and

benefits, and acceptance from the customer. It generally occurs when concentrates are delivered at the loading port, warehouse, or vessel, pursuant to the agreement entered into with the buyer. The buyer controls the concentrates at that place. If the Company and Subsidiaries are responsible of delivery costs and other services after the date when control of goods is transferred to the customer, these other services are considered as independent performance obligations; therefore, a portion of revenue obtained from the agreement are allocated and recognized when these performance obligations are met.

Sale agreements of concentrates, Dore bars and others generally provide a temporary payment based on provisional assays and prices of quoted metals. The final liquidation is based on the results of final assays and prices of metals applicable in specific quotation periods, which tend to range between a month after the shipment and up to three months after the shipment arrives to the agree-upon place and is based on the average prices of metals in the market. For this purpose, the transaction price can be measured reliably for those products, such as zinc, lead, copper, and silver, for which there is a free and active market, such as the London Stock Exchange.

Since these agreements will be settled in the future based on international quotations of contents payable to be finally agreed upon, these agreements are treated as embedded derivatives, and as of the closing of the year, are adjusted due to significant changes in international quotations to reflect them at their fair value. Definite adjustments that result from final liquidations are recorded in the period when issued, generally when the seller and buyer exchange weights and contents payable, and establish the quotation term, according to conditions previously agreed upon in the pertinent sale agreements.

IFRS 15 requires that the variable consideration should be recognized only when it is highly probable that a significant reversal does not occur in the amount of recognized accumulated revenue. The Company and Subsidiaries concluded that the adjustments related to final liquidations for the quantity and quality of sold concentrates are not significant and do not restrict revenue recognition.

- (ii) Revenue from the sale of energy and electrical power is recognized every month based on cyclical readings and is fully recognized in the period in which such service is provided, establishing only one performance obligation.
- (iii) Revenue from interests is recognized based on the effective yield in proportion to the time elapsed.
- (iv) Other revenue is recognized in profit or loss when earned.

(q) Recognition of costs and expenses

The cost of sales of ore concentrates is recognized in the period when shipment or delivery is performed based on contractual terms and conditions, against profit or loss of the period when corresponding operating income is recognized. Expenses are recognized when there has been a decrease in future economic benefits related to a decrease in assets or increase in liabilities and, additionally, when expenses can be measured reliably, regardless of the payment date.

(r) Employee benefits

Benefits to employees include, among others, short-term benefits, such as wages, salaries and social security contributions, annual paid leaves, paid sick leaves, profit-sharing and incentives, if paid within twelve months following the end of the period. These benefits are recognized

against profit or loss for the period when the employee has provided the services that entitle them to receive those benefits. Corresponding obligations payable are presented as part of other liabilities.

(s) Operating profit

Operating profit is understood as total net sales less total cost of sales, administrative expenses, selling expenses, other income and expenses and impairment loss of long-lived assets, excluding financial income and expenses, and income tax expense.

(t) Income tax

Income tax expense for the period comprises current and deferred income tax and special mining tax.

Current income tax

Current income tax calculated corresponds to the tax payable by applying a rate of 29.5% on estimated taxable income, after deducting the profit sharing of employees (8% on estimated taxable income) and is recorded in profit or loss for the year when obtained.

Current income tax payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in profit or loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company and Subsidiaries' current income tax liability is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

A provision is recognized for those matters for which the tax determination is uncertain, but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Company and Subsidiaries supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

Deferred income tax

Deferred income tax is recognized on temporary differences between the carrying amount of assets and liabilities included in the consolidated financial statements and corresponding tax bases used to determine the taxable income, the pertinent rate of these differences, and in this case, the benefits of tax losses to amortize and some tax credits are included. Deferred tax assets or liabilities are generally recognized for all taxable temporary differences. A deferred tax income asset will be recognized for all deductible temporary differences to the extent that it is probable that the Company and Subsidiaries will have future tax profit against which to apply those deductible temporary differences. Such assets and liabilities are not recognized if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognized for taxable temporary differences arising on investments in subsidiaries and associates, and interests in joint ventures, except where the Company and Subsidiaries are able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only

recognized to the extent that it is probable that there will be sufficient taxable profits against which to utilize those temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realized based on rates (and tax laws) that have been enacted or substantively enacted at the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company and Subsidiaries expect, at the end of the reporting period, to recover or settle the carrying amount of their assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company and Subsidiaries intend to settle their current tax assets and liabilities on a net basis.

Current and deferred income tax for the year

Current and deferred income taxes are recognized in profit or loss, except when they relate to items that are not recognized in profit or loss, either in other comprehensive income or directly in equity, respectively. Where current or deferred income tax arises from the initial recognition of a business combination, the tax effect is included in the recognition of the business combination.

(u) Contingent assets and liabilities

Contingent liabilities are recorded in the consolidated financial statements when it is probable that they will be confirmed in time and can be quantified reasonably; otherwise, they are disclosed in a note to the consolidated financial statements.

Contingent assets are not recorded in the consolidated financial statements but are disclosed in a note when their contingency level is probable.

Items previously treated as contingent liabilities will be recognized in the consolidated financial statements in the period when a change in probabilities occurs, that is, when it is determined that an outflow of resources is probable to occur to cover such liability. Items previously treated as contingent assets will be recognized in the consolidated financial statements in the period when it is determined that an inflow of resources is virtually certain to occur.

(v) Basic and diluted earnings (loss) per share

Basic earnings (loss) per share is calculated by dividing net profit or loss attributable to shareholders by the weighted average number of outstanding common shares during the period, including shares for the restatement into constant currency.

Since there are no diluted potential common shares, that is, financial instruments or other contracts that allow obtaining common shares, basic and diluted earnings (loss) per share is the same.

(w) Segments

The Company and Subsidiaries report financial and descriptive information about their reportable segments. Reportable segments are operating segments or aggregations of operating segments that meet specified criteria. Operating segments are components of an entity about which separate financial information is available that is evaluated regularly by the chief operating decision maker (CODM) in deciding how to allocate resources and in assessing performance. Generally, financial information is required to be reported on the same basis as it is used internally for evaluating operating segment performance and deciding how to allocate resources to segments.

3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The Company and Subsidiaries' Management is responsible for the information contained in these consolidated financial statements. To prepare them, certain estimates have been used to quantify some assets, liabilities, revenue, expenses, and commitments recorded therein, based on experience and other relevant factors. Final results may differ from those estimates.

These estimates are reviewed on an ongoing basis. Changes in accounting estimates are prospectively recognized by recording the effects of changes in the corresponding profit or loss accounts for the period when corresponding reviews are conducted.

The most important estimates considered for the preparation of the consolidated financial statements of the Company and Subsidiaries refer to:

- Fair value of financial instruments (Note 2(e)).
- Useful life assigned to mining rights, exploration and development costs, property, plant and equipment, and intangible assets.
- Determination of mineral reserves and resources.
- Impairment loss of long-term assets.
- Liability for the disposal of assets and mine closure.
- Provisions and contingencies.
- Temporary liquidation in revenue recognition (Note 2(p)).
- Taxes and uncertain tax positions.
- Going concern.

Key sources of uncertainty in estimates

We present the following basic assumptions regarding the future and other key sources of uncertainty in estimates, at the end of the reporting period, which may imply a significant risk of material adjustments in the carrying amounts of assets and liabilities during the next financial periods.

Determination of reserves and mineral resources

The Company and Subsidiaries calculate their mineral reserves and resources based on the guidelines provided by the Australian Standard – JORC Code (Joint Ore Reserves Committee), which establish technical and economic standards and recommendations. The Company and Subsidiaries have internationally certified employees who, together with specialists from the Parent, are in charge of the preparation and review of reserves annually.

Proven and probable reserves and a percentage of inferred resources are used in the calculation of the depreciation and amortization of non-financial assets, which are depreciated by applying the units-of-production method (Notes 2(h) and 2(i)), as well as for the determination of the closure period of mining units and the impairment analysis of non-financial assets.

Liability for the disposal of assets and mine closure

The Company and Subsidiaries determine an estimate for the obligations of disposal of assets and closure of their mining units using the discounted cash flow model. In order to develop this model, Management makes certain estimates about the scope and costs for disposal and closure activities, changes in technology and regulations, and other macroeconomic variables considered in the estimate, such as inflation rates and others considered to determine the discount rate. In addition, Management takes into account the best-estimated terms when these disbursements will be made.

The Company and Subsidiaries regularly review future estimated disbursements, disbursement terms and considered discount rates, as indicated in Note 33, and correct the values of the asset and liability prospectively, if necessary.

Review of carrying amounts and impairment evaluation

The Company and Subsidiaries annually review whether a permanent asset requires an impairment estimate according to the accounting policy indicated in Note 2(j). This determination requires the use of professional judgment by the Company and Subsidiaries' Management in order to analyze impairment indicators as well as in the determination of value in use. In this last case, the application of judgment is required for the preparation of future cash flows, including projected future level of operations of the Company and Subsidiaries, forecast of economic factors that affect its income and costs, and the determination of the discount rate to be applied to such flow.

Useful life of property, plant, and equipment

As described in Note 2(h), the Company and Subsidiaries review the estimated useful life of property, plant, and equipment annually. Internal specialists of the operations and maintenance areas are involved in these evaluations in order to determine if the useful life is appropriate for the expected use of its assets. The determination of useful lives requires estimates regarding the expected commercial and technological evolution and different uses of assets. The hypothesis related to the technological environment and its future development imply a significant judgment degree, since the timing and nature of those future technological changes are difficult to predict.

Contingencies

The Company and Subsidiaries are subject to transactions or contingent events over which professional judgment is used for estimating the probability of occurrence of future events. The legal situation at the estimate date and the opinion of legal advisors are considered for that purpose (Note 32).

Taxes

The determination of tax obligations and expenses requires interpretations of applicable tax regulations. The Company and Subsidiaries seek professional tax advice before making any decision on tax matters. Even though Management considers that its estimates are prudent and

appropriate, interpretation differences may arise with the tax administration that may affect tax charges in the future.

For the recovery of deferred tax assets, an evaluation is required to determine whether deferred tax assets should be recognized in the consolidated statement of financial position. Deferred tax assets require Management to evaluate the probability that the Company and Subsidiaries generate taxable profit in future periods to use deferred tax assets. The estimates of future taxable income are based on forecasts of operating cash flows and the application of tax laws of each jurisdiction. Provided future cash flows and taxable income are significantly different from the estimates, it could affect the capacity of the Company and Subsidiaries to realize net deferred tax assets recorded at the reporting date.

Uncertain tax positions

The Company and Subsidiaries apply a significant judgment when identifying uncertainties over income tax treatments. In this regard, the Company and Subsidiaries have reviewed the following situations:

- Contentious proceedings
- Implemented tax plans
- Performed corporate reorganizations
- Other situations identified by Management

In the evaluation, Management has considered the following sources to identify potential uncertain tax situations:

- Criteria applied by the tax administration in its reviews
- Opinions of the tax administration in reports or official letters
- Case law of courts in all instances
- SUNAT's guidelines (National Superintendence of Customs and Tax Administration)

The evaluation has been conducted for all unexpired tax periods, considering for this the provisions of the tax code.

As a result of the examination of each one of the situations mentioned above, Management has identified uncertain tax situations that may affect the determination of income tax under IFRIC 23, mainly those related to the amortization of development costs, which do not have a significant implication on the consolidated financial statements due to their temporary nature.

Management must reevaluate its estimates when there is a change in a circumstance, such as the knowledge of actions followed by the tax administration, formally adopted situations, the case law of courts or the expiry of the statute of limitations.

Going concern

Management prepares its consolidated financial statements under the going concern principle based on the judgment that there are no events or conditions that can contribute material uncertainties about the Company and Subsidiaries' capacity to continue as a going concern. As a result, Management has projections of cash flows provided by its operating flows mainly, which allow addressing its obligations for at least the next twelve months.

These cash flows depend on significant judgments and assumptions, such as the selling price of the mineral, production costs, among others.

4. NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS INTERNATIONALLY ISSUED

(a) New IFRSs, interpretations and amendments to current standards that did not significantly affect reported amounts and their disclosures in current and previous years

The following standards, interpretations and amendments to current standards were published with mandatory application for accounting periods beginning on or after January 1, 2024, which did not affect the records and disclosures of the Company and Subsidiaries:

- ***Amendments to IAS 1 Classification of Liabilities as Current or Non-Current***

The amendments to IAS 1 published in January 2020 affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.

- ***Amendments to IAS 1 Presentation of Financial Statements – Non-current Liabilities with Covenants***

The amendments specify that only covenants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or non-current).

Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g. a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date).

The IASB also specifies that the right to defer settlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the carrying amount of related liabilities and facts and circumstances, if any, that indicate that the entity may have difficulties complying with the covenants.

- ***Amendments to IFRS 16 Leases – Lease Liability in a Sale and Leaseback***

The amendments to IFRS 16 add subsequent measurement requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee

to determine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognize a gain or loss that relates to the right of use retained by the seller-lessee, after the commencement date.

The amendments do not affect the gain or loss recognized by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognized a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16. This could have been particularly the case in a leaseback that includes variable lease payments that do not depend on an index or rate.

As part of the amendments, the IASB amended an Illustrative Example in IFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and lease liability in a sale and leaseback transaction with variable lease payments that do not depend on an index or rate. The illustrative examples also clarify that the liability that arises from a sale and leaseback transaction that qualifies as a sale applying IFRS 15 is a lease liability.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024. Earlier application is permitted. If a seller-lessee applies the amendments for an earlier period, it is required to disclose that fact.

A seller-lessee applies the amendments retrospectively in accordance with IAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied IFRS 16.

- ***Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures—Supplier Finance Arrangements***

The amendments add a disclosure objective to IAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addition, IFRS 7 was amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

The term 'supplier finance arrangements' is not defined. Instead, the amendments describe the characteristics of an arrangement for which an entity would be required to provide the information.

To meet the disclosure objective, an entity will be required to disclose in aggregate for its supplier finance arrangements:

- The terms and conditions of the arrangements.
- The carrying amount, and associated line items presented in the entity's statement of financial position, of the liabilities that are part of the arrangements.
- The carrying amount, and associated line items for which the suppliers have already received payment from the finance providers.

- Ranges of payment due dates for both those financial liabilities that are part of a supplier finance arrangement and comparable trade payables that are not part of a supplier finance arrangement.
- Liquidity risk information.

(b) *New IFRSs, interpretations and amendments issued applicable after the presentation date of the consolidated financial statements*

At the approval date of these consolidated financial statements, the Company and Subsidiaries have not applied the following new standards, interpretations and amendments that have been issued, but are not effective yet:

- ***Amendments to IAS 21 – Lack of Exchangeability***

The amendments to IAS 21 specify when a currency is exchangeable into another currency and when it is not: (i) a currency is exchangeable when an entity is able to exchange that currency for the other currency through markets or exchange mechanisms that create enforceable rights and obligations without undue delay at the measurement date and for a specified purpose; (ii) a currency is not exchangeable into the other currency if an entity can only obtain an insignificant amount of the other currency.

The amendments specify how an entity determines the exchange rate to apply when a currency is not exchangeable: when a currency is not exchangeable at the measurement date, an entity estimates the spot exchange rate as the rate that would have applied to an orderly transaction between market participants at the measurement date and that would faithfully reflect the economic conditions prevailing. The amendments require the disclosure of additional information when a currency is not exchangeable: when a currency is not exchangeable an entity discloses information that would enable users of its financial statements to evaluate how a currency's lack of exchangeability affects, or is expected to affect, its financial performance, financial position and cash flows.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier application is permitted.

Management is evaluating the potential impact that these amendments will have on the Company and Subsidiaries.

- ***IFRS 18 Presentation and Disclosures in Financial Statements***

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings Per Share.

IFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss.
- provide disclosures on management-defined performance measures in the notes to the financial statements.
- improve aggregation and disaggregation.

The Company is required to apply IFRS 18 for annual reporting periods beginning on January 1, 2027, with earlier application permitted. The amendments to IAS 7 and IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions.

Management is evaluating the potential impact that these amendments will have on the Company and Subsidiaries.

- ***IFRS 19 Subsidiaries without Public Accountability: Disclosures***

IFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying IFRS in its financial statements.

A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS.

IFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

An entity is only permitted to apply IFRS 19 if, at the end of the reporting period:

- it is a subsidiary (this includes an intermediate parent);
- it does not have public accountability, and
- its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS.

A subsidiary has public accountability if:

- its debt or equity instruments are traded in a public market, or it is in the process of issuing such instruments for trading in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets), or;
- it holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses (for example, banks, credit unions, insurance entities, securities brokers/dealers, mutual funds, and investment banks often meet this second criterion).

The Company can apply IFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply IFRS 19 in its consolidated financial statement may do so in its separate financial statements.

This new standard is effective for reporting periods beginning on January 1, 2027, with earlier application permitted. If the Company elects to apply IFRS 19 for a reporting period earlier than the reporting period in which it first applies IFRS 18, it is required to apply a modified set of disclosure requirements set out in an appendix to IFRS 19. If an entity elects to apply IFRS 19 for an annual reporting period before it applied the amendments to IAS 21, it is not required to apply the disclosure requirements in IFRS 19 with regard to Lack of Exchangeability.

Management considers that this standard is not applicable to the Company and Subsidiaries since they do not perform this type of operations.

- ***Amendments to IFRS 9 Classification and Measurement of Financial Instruments.*** Effective for annual periods beginning on or after January 1, 2026, with earlier application permitted.

Derecognition of a financial liability settled through electronic transfer:

The amendments to the application guidance of IFRS 9 permit an entity to consider a financial liability (or part of it) that will be settled in cash using an electronic payment system as discharged before the settlement date if specified criteria are met. An entity that elects to apply the derecognition option would be required to apply it to all settlements made through the same electronic payment system.

Classification of financial assets:

- Contractual terms that are consistent with a basic lending arrangement: The amendments to the application guidance of IFRS 9 provide guidance on how an entity can assess whether contractual cash flows of a financial asset are consistent with a basic lending arrangement. To illustrate the changes to the application guidance, the amendments add examples of financial assets that have, or do not have, contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.
- Assets with non-recourse features: The amendments enhance the description of the term 'non-recourse'. Under the amendments, a financial asset is considered to have non-recourse features if an entity's ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets.
- Contractually linked instruments: The amendments clarify the characteristics of contractually linked instruments that distinguish them from other transactions. The amendments also note that not all transactions with multiple debt instruments meet the criteria of transactions involving multiple contractually linked instruments and provide an example. In addition, the amendments clarify that the reference to instruments in the underlying pool can include financial instruments that are not within the scope of the classification requirements.

Disclosures:

- Investments in equity instruments designated at fair value through other comprehensive income: The requirements in IFRS 7 are amended for disclosures that an entity provides in respect of these investments. In particular, an entity would be required to disclose the fair value gain or loss presented in other comprehensive income during the period, showing separately the fair value gain or loss that relates to investments derecognized in the period and the fair value gain or loss that relates to investments held at the end of the period.
- Contractual terms that could change the timing or amount of contractual cash flows: The amendments require the disclosure of contractual terms that could change the timing or amount of contractual cash flows on the occurrence (or non-occurrence) of a contingent event that does not relate directly to changes in a basic lending risks and costs. The requirements apply to each class of financial asset measured at amortized cost or fair value through other comprehensive income and each class of financial liability measured at amortized cost.

- ***Annual Improvements to IFRS Standards.*** Effective for annual periods beginning on or after January 1, 2026, with early application permitted.

The Annual Improvements include amendments to five standards.

IFRS 1 First-time Adoption of International Financial Reporting Standards

Hedge accounting by a first-time adopter. The amendment addresses a potential confusion arising from an inconsistency in wording between paragraph B6 of IFRS 1 and requirements for hedge accounting in IFRS 9 Financial Instruments.

IFRS 7 Financial Instruments: Disclosures

- Gain or loss on derecognition. The amendment addresses a potential confusion in paragraph B38 of IFRS 7 arising from an obsolete reference to a paragraph that was deleted from the standard when IFRS 13 Fair Value Measurement was issued.
- Disclosure of deferred difference between fair value and transaction price. The amendment addresses an inconsistency between paragraph 28 of IFRS 7 and its accompanying implementation guidance that arose when a consequential amendment resulting from the issuance of IFRS 13 was made to paragraph 28, but not to the corresponding paragraph in the implementation guidance.
- Introduction and credit risk disclosures. The amendment addresses a potential confusion by clarifying in paragraph IG1 that the guidance does not necessarily illustrate all the requirements in the referenced paragraphs of IFRS 7 and by simplifying some explanations.

IFRS 9 Financial Instruments

- Lessee derecognition of lease liabilities. The amendment addresses a potential lack of clarity in the application of the requirements in IFRS 9 to account for an extinguishment of a lessee's lease liability that arises because paragraph 2.1(b)(ii) of IFRS 9 includes a cross-reference to paragraph 3.3.1, but not also to paragraph 3.3.3 of IFRS 9.
- Transaction price. The amendment addresses a potential confusion arising from a reference in Appendix A to IFRS 9 to the definition of 'transaction price' in IFRS 15 Revenue from Contracts with Customers while term 'transaction price' is used in particular paragraphs of IFRS 9 with a meaning that is not necessarily consistent with the definition of that term in IFRS 15.

IFRS 10 Consolidated Financial Statements

Determination of a 'de facto agent'. The amendment addresses a potential confusion arising from an inconsistency between paragraphs B73 and B74 of IFRS 10 related to an investor determining whether another party is acting on its behalf by aligning the language in both paragraphs.

IAS 7 Statement of Cash Flows

Cost method. The amendment addresses a potential confusion in applying paragraph 37 of IAS 7 that arises from the use of the term 'cost method' that is no longer defined in IFRS Accounting Standards.

- ***Amendments to IFRS 9 Financial Instruments.*** Effective for annual periods beginning on or after January 1, 2026, with early application permitted.

- The own-use requirements in IFRS 9 are amended to include the factors an entity is required to consider when applying IFRS 9:2.4 to contracts to buy and take delivery of renewable electricity for which the source of production of the electricity is nature-dependent; and
- The hedge accounting requirements in IFRS 9 are amended to permit an entity using a contract for nature-dependent renewable electricity with specified characteristics as a hedging instrument:

To designate a variable volume of forecast electricity transactions as the hedged item if specified criteria are met; and to measure the hedged item using the same volume assumptions as those used for the hedging instrument.

Management is evaluating the potential impact that these amendments will have on the Company and Subsidiaries.

5. FINANCIAL INSTRUMENTS AND RISKS

(a) Categories of financial instruments

The financial asset and liabilities of the Company and Subsidiaries comprise following:

	2024 US\$000	2023 US\$000
Financial assets:		
Cash and cash equivalents	155,834	61,642
Amortized cost		
Other accounts receivable (net)	12,342	5,591
Fair value through profit or loss		
Trade accounts receivable (net)	33,477	20,316
Derivatives not designated as hedging instruments	-	440
Derivatives designated as hedging instruments	-	42
	33,477	20,798
Fair value through other comprehensive income		
Financial investments	153,047	37,158
Derivatives designated as hedging instruments	948	173
	153,995	37,331
Total	355,648	125,362
Financial liabilities:		
Amortized cost		
Bank overdrafts	-	1,046
Financial obligations	749,761	803,869
Trade accounts payable	189,711	242,213
Other accounts payable	17,408	17,098
Total	956,880	1,064,226

(b) Financial risks

During the normal course of operations, the Company and Subsidiaries are exposed to several financial risks. The risk management program of the Company and Subsidiaries is mainly focused on financial markets and seeks to minimize potential adverse effects on the financial performance of the Company and Subsidiaries. The Financial Management Department of the Company and Subsidiaries is in charge of risk management, which identifies, evaluates, and covers financial risks.

(i) **Market risk**

Exchange rate risk

The Company and Subsidiaries perform their sales in U.S. dollars, which allow them to meet their obligations in such currency. The exchange rate risk mainly arises from balances held in soles.

As of December 31, 2024 and 2023, the balances of financial assets and liabilities denominated in foreign currency correspond to balances in Peruvian soles and are expressed in U.S. dollars at the buying and selling exchange rates published by the Superintendence of Banking, Insurance and AFP (SBS, for its acronym in Spanish), effective at those dates, which were US\$0.266 and US\$0.265 per S/1.00, respectively (US\$0.270 and US\$0.269 per S/1.00, respectively, as of December 31, 2023), and are summarized below:

	<u>2024</u> <u>S/000</u>	<u>2023</u> <u>S/000</u>
Assets		
Cash and cash equivalents	194,403	114,622
Trade accounts receivable (net)	-	3,088
Other accounts receivable (net)	<u>127,690</u>	<u>136,271</u>
Total assets	<u>322,093</u>	<u>253,981</u>
Liabilities		
Bank overdrafts	-	(422)
Trade accounts payable	(120,572)	(141,198)
Other accounts payable	<u>(65,317)</u>	<u>(42,673)</u>
Total liabilities	<u>(185,887)</u>	<u>(184,293)</u>
Net asset	<u><u>136,204</u></u>	<u><u>69,688</u></u>

In 2024, the Company and Subsidiaries recorded a net exchange profit for US\$36,876 and net exchange loss for US\$36,306 (net exchange profit for US\$201,059 and net exchange loss for US\$200,108 in 2023) (Note 27).

Management considers a sensitivity rate of 5% as reasonable in the assessment of exchange rate risk. A sensitivity analysis assuming the devaluation and revaluation of the Peruvian sol (S/), equivalent at the aforementioned rate, exclusively on balances of assets and liabilities reflected above, considering other constant variables in the consolidated statement of profit or loss before income tax, is presented in the following table:

	<u>Changes in exchange rates</u>	<u>Effect on profit or loss before taxes (Debit) Credit</u>	
		<u>2024</u>	<u>2023</u>
		<u>US\$000</u>	<u>US\$000</u>
Revaluation	+5%	(1,806)	(939)
Devaluation	-5%	1,806	939

Price risk

The Company and Subsidiaries are exposed to commercial risks arising from changes in mineral market prices. In order to cover the risk arising from the decrease of prices of metals, Management will hire derivative financial instruments.

For the control and follow-up of hedges, Management approved the “Metal Price Hedging Policy”, which is executed and monitored together with the Financial Risk Management Policy. Management has also a Hedging Committee whose objective is to mitigate the risks associated with variations and volatility of the prices of metals they produce.

As of December 31, 2024 and 2023, if the average sales prices of main metals payable, contained in ore concentrates, increase (or decrease) by 10% and all other variables are held constant, profit or loss after taxes of the Company and Subsidiaries would change, as shown below:

	Effect on profit (loss) before income tax (Debit) Credit US\$000
Zinc concentrate	
2024:	
Increase in the international price of zinc	50,220
Decrease in the international price of zinc	(50,220)
2023:	
Increase in the international price of zinc	43,842
Decrease in the international price of zinc	(43,842)
	Effect on profit (loss) before income tax (Debit) Credit US\$000
Lead concentrate	
2024:	
Increase in the international price of lead	21,384
Decrease in the international price of lead	(21,384)
2023:	
Increase in the international price of lead	22,864
Decrease in the international price of lead	(22,864)
	Effect on profit (loss) before income tax (Debit) Credit US\$000
Copper concentrate	
2024:	
Increase in the international price of copper	7,130
Decrease in the international price of copper	(7,130)
2023:	
Increase in the international price of copper	6,064
Decrease in the international price of copper	(6,064)

	Effect on profit (loss) before income tax (Debit) Credit
	US\$000
Silver concentrate	
2024:	
Increase in the international price of silver	7,791
Decrease in the international price of silver	(7,791)
2023:	
Increase in the international price of silver	6,857
Decrease in the international price of silver	(6,857)

As of December 31, 2024 and 2023, the fair value of embedded derivatives contained in commercial agreements amounts to a loss of US\$3,402 and a profit of US\$1,071, respectively.

Interest rate risk

The Company and Subsidiaries have significant assets, which are held in renowned financial entities and accrue interests at current rates in the market. Operating income and cash flows of the Company and Subsidiaries are independent of changes in interest rates in the market.

The interest rate risk is addressed by Management of the Company and Subsidiaries through a policy that establishes obtaining loans at fixed and variable interest rates.

Management considers that the risk of fluctuations in the fair value of interest rates is not significant since the interest rates of its financing agreements are not significantly different from the market interest rates for similar financial instruments.

(ii) Credit risk

The credit risk of the Company and Subsidiaries arises from the inability of debtors to meet their obligations. For this reason, Management establishes conservative credit policies and constantly evaluates the conditions of the market where their debtors operate, for which Management uses risk rating reports for commercial and credit operations.

The financial assets (excluding cash and cash equivalents and financial investments) of the Company and Subsidiaries are within their maturity dates.

Trade accounts receivable are denominated in U.S. dollars and expire on the issue date of the payment receipt. Such amounts are effective in the following days of maturity. The sales of the Company and Subsidiaries are performed to local and foreign customers, with whom they have commercial agreements. As of December 31, 2024 and 2023, the Company has a portfolio of 24 customers. The three most important customers of the Company and Subsidiaries represented 52% of total sales (46% of total sales in 2023).

The Company's Management considers the credit history of its customers and their payment capacity and evaluates the debts that are estimated to be collected as variation to determine the required provision for doubtful accounts. Management concludes that a provision for doubtful accounts is not required.

(iii) *Liquidity risk*

Prudent liquidity risk management implies maintaining sufficient cash and cash equivalents and having the possibility to be engaged and/or have engaged certain financing operations through adequate credit sources.

As of December 31, 2024 and 2023, the Company and Subsidiaries present a negative working capital for US\$24,571 and US\$232,145, respectively.

The decrease in negative working capital is mainly due to the refinancing of the syndicated loan. As of December 31, 2023, the balance of the short-term debt was US\$102,857. As a result of this negotiation, as of December 31, 2024, US\$10,000 is presented as a short-term balance and the remaining balance was reclassified to long-term liabilities.

The Company generates cash flow, net, from significant operating activities (US\$298,465 in 2024 and US\$248,392 in 2023). Management believes that these flows will allow the Company and Subsidiaries to adequately manage their short-term financial obligations.

The table below presents an analysis of the financial liabilities of the Company and Subsidiaries classified according to their maturity (including interests to be paid at those maturities) at the date of the consolidated statement of financial position:

Financial assets	Less than 1 year US\$000	Between 1 and 2 years US\$000	Between 2 and 10 years US\$000	Total US\$000
As of December 31, 2024:				
Cash and cash equivalents	155,834	-	-	155,834
Other accounts receivable (net)	12,342	-	-	12,342
Trade accounts receivable (net)	33,477	-	-	33,477
Derivatives designated as hedging instruments	948	-	-	948
Financial investments	-	-	153,047	153,047
Total	202,061	-	153,047	355,648
As of December 31, 2023:				
Cash and cash equivalents	61,642	-	-	61,642
Other accounts receivable (net)	5,591	-	-	5,591
Trade accounts receivable (net)	20,316	-	-	20,316
Derivatives not designated as hedging instruments	440	-	-	440
Derivatives designated as hedging instruments	215	-	-	215
Financial investments	-	-	37,158	37,158
	88,204	-	37,158	125,362
Financial liabilities				
	Less than 1 year US\$000	Between 1 and 2 years US\$000	Between 2 and 10 years US\$000	Total US\$000
As of December 31, 2024:				
Financial obligations	107,786	233,833	685,164	1,026,783
Trade accounts payable	189,711	-	-	189,711
Other accounts payable	17,408	-	-	17,408
Total	314,905	233,833	685,164	1,233,902
As of December 31, 2023:				
Bank overdrafts	1,046	-	-	1,046
Financial obligations	160,941	202,799	685,164	926,020
Trade accounts payable	242,213	-	-	242,213
Other accounts payable	17,098	-	-	17,098
Total	421,298	202,799	562,280	1,186,377

(iv) Capital management risk

The objective is to safeguard the ability of the Company and Subsidiaries to continue as going concern in order to generate returns to shareholders and benefits to other interest groups and maintain an optimal capital structure to reduce capital cost.

Management handles its capital structure and makes adjustments to deal with changes in the economic conditions of the market. In order to maintain or adjust the capital structure, the Company can adjust the payment of dividends to its shareholders, return capital to its shareholders or issue new shares. No changes were made to the objectives, policies, or procedures in 2024 and 2023.

The leverage ratio was as follows:

	2024 US\$000	2023 US\$000
Financial obligations	749,761	803,869
Cash and cash equivalents	(155,834)	(61,642)
Total net debt	593,927	742,227
Total equity	449,698	364,598
Net debt ratio	1.32	2.04

(c) Fair value of financial instruments

For purposes of the consolidated financial statements, fair value measurements are categorized in three levels: 1, 2 or 3; depending on the degree in which the information for fair value measurements are observable, and their significance to fair value measurement in its entirety, as described below:

- Level 1: Input is quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company may access to at the measurement date.
- Level 2: Input is different from quoted prices included in Level 1, which are observable for the asset or liability, whether directly or indirectly.
- Level 3: Input is not observable for the asset or liability.

Fair value of financial assets and liabilities of the Company that are not measured at fair value, but fair value disclosures are required

Management considers that the carrying amounts of financial assets and liabilities recognized in the consolidated financial statements are similar to their fair value, including the long-term loan that accrues equivalent interests at current market rates. The fair value of bonds issued in the international market (Note 16(b)) is classified as Level 1 since quoted prices are available. The fair value of these bonds amount to US\$352,033 as of December 31, 2024 (US\$223,690 as of December 31, 2023).

Fair value of financial assets and liabilities of the Company and Subsidiaries that are measured at fair value on a constant basis

As of December 31, 2024 and 2023, the financial instruments measured at fair value after initial recognition refer to trade accounts receivable, financial investments and derivative financial instruments.

The following table shows the financial instruments measured at fair value on a constant basis, classified per level:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Financial assets		
Level 1		
Investments in equity instruments (a)	153,047	37,158
Level 2		
Trade accounts receivable (b)	33,477	20,316
Derivatives not designated as hedging instruments	-	440
Derivatives designated as hedging instruments	<u>948</u>	<u>215</u>
	<u>34,425</u>	<u>20,971</u>

- (a) Financial investments (Note 8) correspond to the investment in Cementos Polpaico S.A., which is listed on the Chile Stock Exchange, and Inversiones Portuarias Chancay S.A.A., which is listed on the Peru Stock Exchange; for this reason, they have been classified as Level 1.
- (b) Trade accounts receivable, designated at fair value through profit or loss, comprise the changes in the value of provisional liquidations, which are adjusted at market value based on future estimates of metal prices at the date of the consolidated financial statements. The measurement of fair value is classified as Level 2 since these measurements derive from international quotation prices in force included in Level 1.
- (c) No transfers have been made between levels during the year.

6. CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise the following:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Petty cash and cash in banks (a) (b)	125,240	60,072
Deposit (c)	15,000	-
Cash in transit	3,722	-
Restricted cash (d)	<u>11,872</u>	<u>1,570</u>
	<u>155,834</u>	<u>61,642</u>

- (a) Petty cash and cash in banks mainly comprise checking accounts denominated in soles and U.S. dollars, which are held in local banks, are freely available and accrue interests at market rates. Checking accounts include trust accounts that were constituted to meet the commitments derived from financial obligations (Notes 1(f.3) and 16), which are also freely available.
- (b) The Company and Subsidiaries present amounts for US\$40,628 and US\$19,775 as of December 31, 2024 and 2023, respectively, as part of petty cash and cash in banks, which correspond to cash deposited in Banco de la Nación for the payment of taxes.
- (c) The deposit held as of December 31, 2024 matures in 90 days and accrues interests at a market rate.
- (d) This item corresponds to amounts withheld by the Tax Administration.

7. INVESTMENT IN ASSOCIATE

The investment in associate comprises the following:

Company	Class	Number of shares	Interest in net equity		Face value	Carrying amount	
			As of December 31,			As of December 31,	
			2024	2023		2024	2023
			%	%		US\$000	US\$000
Cosco Shipping Ports Chancay Perú S.A.	Common	410,653,252	-	40	1 Sol	-	148,118

Cosco Shipping Ports Chancay Perú S.A. is engaged in port activities and its objective is the development, construction, implementation, commissioning, and operation of a multi-purpose port at the Chancay bay, located in the northern area of Lima. It is estimated to commence operations in 2024.

At the Board of Directors' Meeting of Volcan Compañía Minera S.A.A. held on March 24, 2023, as shareholder of 40% of Cosco Shipping Ports Chancay Peru S.A., the financing granted by financial entities for US\$975,000 was approved for the development of the Multi-purpose Port Terminal Chancay.

As of December 31, 2023, this investment in associate was measured using the equity method.

The split-off of the equity block comprised by 40% of Volcan's shares in Cosco Shipping Ports Chancay Perú S.A. was approved at Volcan's Shareholders' Meeting, on August 24, 2023. The incorporation of Inversiones Portuarias Chancay S.A.A., the company receiving the split-off block of equity, was registered in the Lima Registry Office of the Superintendence of Public Registries on October 3, 2023. The effective date of the split-off was March 4, 2024.

8. FINANCIAL INVESTMENTS

Financial investments comprise the following:

Company	Class	Number of shares	Interest in net equity		Market value		Carrying amount	
			As of December 31,				As of December 31,	
			2024	2023			2024	2023
			%	%	US\$000	US\$000		
Financial investments at fair value:								
Cemento Polpaico S.A.	Common	4,056,643	15.90	15.90	7,000	Chilean pesos	28,593	37,153
Inversiones Portuarias Chancay	Common - Class A	206,743,063	12.66	-	2.25	Soles	123,782	-
Inversiones Portuarias Chancay	Common - Class B	12,234,901	0.50	-	0.21	Soles	667	-
Other investments:								
Other companies	Common	-	-	-	-		5	5
							153,047	37,158

Cementos Polpaico S.A. is engaged in the production and commercialization of cement and lime. As of December 31, 2024, the quotation amounted to 7,000 Chilean pesos per share, equivalent to US\$7.048 (8,040 Chilean pesos per share, equivalent to US\$9.159 as of December 31, 2023). Those shares are listed on the Chile Stock Exchange.

The fair value of this investment has generated an unrealized loss for US\$8,561 (US\$1,269 in 2023) and deferred tax income for US\$2,525 (US\$374 in 2023).

Inversiones Portuarias Chancay S.A.A. was incorporated to acquire, develop, and negotiate interests or patrimonial rights in companies engaged in port and logistics activities of any kind, as well as related services.

As of December 31, 2024, through its Subsidiaries, the Company has 206,743,063 Class A shares, whose price amounts to S/2.25 per share (equivalent to US\$0.60 per share) and 12,234,901 Class B shares, with a market price of S/0.21 per share (equivalent to US\$0.05 per share).

The fair value of this investment has generated an unrealized profit for US\$92,346 and deferred tax income for US\$27,242.

9. TRADE ACCOUNTS RECEIVABLE (NET)

Trade accounts receivable (net) comprise the following:

	2024	2023
	US\$000	US\$000
From third parties		
Invoices	56,371	32,360
Impairment estimate for accounts receivable	(19,492)	(23,831)
Embedded derivatives	(3,402)	1,065
	33,477	9,594

	<u>2024</u>	<u>2023</u>
	US\$000	US\$000
From related entities		
Invoices	-	10,716
Embedded derivatives	-	6
	<u>-</u>	<u>10,722</u>
Total	<u>33,477</u>	<u>20,316</u>

Accounts receivable have current maturity, do not accrue interests, and do not have specific guarantees. These accounts are expected to be collected in the first quarter of the following year.

The main customers of the Company and Subsidiaries are renowned in the international market, have good credit history and do not have financial issues at year-end.

The impairment estimate for accounts receivable according to the assessment of expected credit losses is mainly related to a customer that is undergoing a liquidation process and comes from 2008.

	<u>2024</u>	<u>2023</u>
	US\$000	US\$000
Opening balance	23,831	19,539
Additions	398	4,552
Recovery	(185)	(217)
Write-off	<u>(4,552)</u>	<u>(43)</u>
Closing balance	<u>19,492</u>	<u>23,831</u>

Management of the Company and Subsidiaries believe that the estimate for doubtful accounts is sufficient to cover the non-compliance risk at the date of the consolidated statement of financial position.

10. OTHER ACCOUNTS RECEIVABLE (NET)

Other accounts receivable (net) comprise the following:

	2024 US\$000	2023 US\$000
Tax credit for value-added tax (a)	41,897	58,173
Recoverable taxes	32,134	35,284
Advances granted to contractors and suppliers	11,652	1,689
Credit balance for income tax and temporary tax on net assets (b)	9,496	16,544
Public works for taxes, in process (d)	4,313	4,282
Prepaid expenses	3,968	3,818
Loans granted to employees	239	431
Other minor items	483	2,904
	104,182	123,125
Impairment estimate for other accounts receivable (e)	(17,266)	(15,708)
Subtotal	86,916	107,417
<u>Amortized cost:</u>		
Accounts receivable from contractors and others	13,298	13,262
Loans granted to third parties (c)	10,366	10,511
Escrow account – sale of companies (Note 25 (a))	5,973	-
Other minor items	1,810	1,244
	31,447	25,017
Impairment estimate for other accounts receivable (e)	(19,105)	(19,426)
Subtotal	12,342	5,591
Total	99,258	113,008
Non-current portion	31,834	35,970
Current portion	67,424	77,038

(a) As of December 31, 2024, this item includes an amount of US\$17,266 (US\$15,708 as of December 31, 2023), which corresponds to tax credit that is not expected to be recovered; therefore, an impairment estimate has been established for such amount.

(b) As of December 31, 2024, this item corresponds to the balance for payments on account of income tax for US\$3,017 and payments for the temporary tax on net assets for US\$6,479, which will be requested as from 2025 (as of December 31, 2023, this item corresponded to the balance for payments on account of income tax for US\$11,879 and payments for the temporary tax on net assets for US\$4,665, which were requested as from 2023 and are being recovered).

- (c) Loans granted to third parties accrue interests at market rates and are considered to have a current maturity. The Company and Subsidiaries have considered provisioning the amount of US\$10,069 as doubtful account according to the assessment of uncollectibility risk.
- (d) This item corresponds to payments made for public works, for which the “Regional and Local Public Investment – Public Treasury” partial certificates (CIPRL in Spanish) have been obtained. These certificates would allow the payment of the amount invested by the Company for the execution of investment projects. In 2024, the Company completed the execution of the projects “Improvement and extension of sports services of the Municipal Sports Center at Av. 1° de Mayo, district of Chancay – province of Huaral – department of Lima”, with code CUI No. 2466179, and “Improvement of integral management of municipal solid waste in the district of Huayllay – province of Pasco – department of Pasco”, with code CUI No. 2511013, for which, pursuant to Law 29230 of Works for Taxes, US\$3,288 has been recovered through the “CIPRL”. The recovery of the invested balance amounting to US\$1,487 will be arranged in 2025.
- (e) As of December 31, 2024, this item mainly corresponds to the impairment provision for tax credit for value-added tax for US\$17,266 and loans receivable for US\$10,069. As of December 31, 2023, this item mainly corresponded to the impairment provision for tax credit for value-added tax for US\$15,708, loans receivable for US\$10,076, and the remaining balance mainly corresponds to contractors receivable.

Management of the Company and Subsidiaries believes that the impairment estimate for other accounts receivable is sufficient to cover the non-compliance risk at the date of the consolidated statement of financial position.

11. OTHER FINANCIAL LIABILITIES

Other financial liabilities comprise the following:

	2024 US\$000	2023 US\$000
Derivative financial instruments:		
Derivatives not designated as hedging instruments (a)	-	440
Derivatives designated as hedging instruments (b)	948	215
	<u>948</u>	<u>655</u>

- (a) As of December 31, 2023, this item corresponds to pending invoices for the settlement of derivative financial instruments.
- (b) The contracts for derivative financial instruments were negotiated with several international financial entities, including JP Morgan, Morgan Stanley, Citibank NY and Macquarie.

12. INVENTORIES (NET)

Inventories (net) comprise the following:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Concentrates (a)	8,909	8,052
Mineral (a)	5,416	11,956
Pyrite stockpiles	5,180	5,619
Sundry supplies	32,297	37,805
Inventories in transit	<u>482</u>	<u>271</u>
	52,284	63,703
Impairment estimate (b)	<u>(9,034)</u>	<u>(9,779)</u>
Total	<u><u>43,250</u></u>	<u><u>53,924</u></u>
Non-current portion	<u>5,180</u>	<u>5,619</u>
Current portion	<u>38,070</u>	<u>48,305</u>

(a) According to the sales commitments, the concentrate held as of December 31, 2024 will be sold, and the mineral will be exploited in 2025.

(b) The impairment estimate comprises the following:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Opening balance	9,779	17,779
Destruction of supplies	-	(8,305)
Additions (Note 25)	599	1,099
Recovery (Note 25)	(947)	(794)
Sale of companies IFRS 5	<u>(397)</u>	<u>-</u>
Closing balance	<u><u>9,034</u></u>	<u><u>9,779</u></u>

Management believes that the impairment estimate covers the risk of loss at the date of the consolidated statement of financial position.

13. PROPERTY, PLANT AND EQUIPMENT (NET)

The movement in the cost and accumulated depreciation of property, plant and equipment, net, was as follows:

	Balance as of January 1, 2024 US\$000	Additions US\$000	Sales and/or disposals US\$000	Transfers US\$000	Disposal of subsidiaries US\$000	Balance as of December 31, 2024 US\$000
Cost of:						
Land	23,573	-	-	-	(467)	23,106
Buildings and other constructions	1,200,955	569	-	42,247	(68,463)	1,175,308
Environmental management program infrastructure	680	-	-	-	-	680
Machinery and equipment	187,986	3,236	(973)	-	(12,169)	178,080
Vehicles	3,320	-	(404)	-	-	2,916
Furniture and fixtures and computer equipment	8,937	40	-	7	(57)	8,927
Sundry equipment	430,633	10,285	(317)	5,036	(841)	444,796
Units in transit	3,244	222	-	(2,901)	-	565
Works in progress (a)	86,629	56,400	(286)	(41,330)	(110)	101,303
	<u>1,945,957</u>	<u>70,752</u>	<u>(1,980)</u>	<u>3,059</u>	<u>(82,107)</u>	<u>1,935,681</u>
Accumulated depreciation of:						
Buildings and other constructions	686,093	76,564	-	-	(21,285)	741,372
Environmental management program infrastructure	680	-	-	-	-	680
Machinery and equipment	147,157	13,170	(919)	-	(10,207)	149,201
Vehicles	2,811	152	(377)	-	-	2,586
Furniture and fixtures and computer equipment	7,108	421	-	-	(51)	7,478
Sundry equipment	330,330	21,528	(108)	-	(507)	351,243
	<u>1,174,179</u>	<u>111,835</u>	<u>(1,404)</u>	<u>-</u>	<u>(32,050)</u>	<u>1,252,560</u>
Net value	<u>771,778</u>					<u>683,121</u>

	Balance as of January 1, 2023 US\$000	Additions US\$000	Sales and/or disposals US\$000	Transfers US\$000	Impairment estimate US\$000	Impairment recovery US\$000	Balance as of December 31, 2023 US\$000
Cost of:							
Land	23,919	262	-	(608)	-	-	23,573
Buildings and other constructions	1,078,997	3,597	(2,149)	111,934	(25,058)	33,634	1,200,955
Environmental management program infrastructure	259	-	-	421	-	-	680
Machinery and equipment	193,491	1,832	(6,421)	(916)	-	-	187,986
Vehicles	3,500	(49)	(166)	35	-	-	3,320
Furniture and fixtures and computer equipment	10,485	56	(57)	(1,547)	-	-	8,937
Sundry equipment	399,352	11,581	(218)	19,918	-	-	430,633
Units in transit	1,620	1,874	-	(250)	-	-	3,244
Works in progress (a)	104,404	49,619	(1,183)	(66,211)	-	-	86,629
	<u>1,816,027</u>	<u>68,772</u>	<u>(10,194)</u>	<u>62,776</u>	<u>(25,058)</u>	<u>33,634</u>	<u>1,945,957</u>
Accumulated depreciation of:							
Buildings and other constructions	564,168	70,582	(532)	51,875	-	-	686,093
Environmental management program infrastructure	259	-	-	421	-	-	680
Machinery and equipment	140,060	13,730	(5,717)	(916)	-	-	147,157
Vehicles	2,801	188	(164)	(14)	-	-	2,811
Furniture and fixtures and computer equipment	7,807	532	(19)	(1,212)	-	-	7,108
Sundry equipment	288,020	24,190	(52)	18,172	-	-	330,330
	<u>1,003,115</u>	<u>109,222</u>	<u>(6,484)</u>	<u>68,326</u>	<u>-</u>	<u>-</u>	<u>1,174,179</u>
Net value	<u>812,912</u>						<u>771,778</u>

- (a) As of December 31, 2024, the projects that are part of item works in progress mainly belong to Volcan Compañía Minera S.A.A. for US\$52,662 and Subsidiary Compañía Minera Chungar S.A.C. for US\$31,209 (US\$46,142 and US\$31,848 as of December 31, 2023, respectively), as detailed below:

Volcan Compañía Minera S.A.A.

	<u>2024</u> US\$000	<u>2023</u> US\$000
Growth of tailings facility Rumichaca Level 4233	29,981	9,323
Growth of tailings facility Rumichaca Level 4250	3,788	1,925
Tailings facility - filter Gavilán - Carahuacra	2,441	2,441
Growth of tailings facility Andaychagua Alto Level 4415	2,006	-
Industrial wastewater treatment plant	965	965
Maintenance workshop Level 1320	542	542
Engineering – growth of tailings facility Andaychagua Alta Level 4420	818	343
Installation of electrical works – advance	498	-
Construction of electrical substations	479	-
Engineering MEIA – Growth of tailing facility Andaychagua	474	-
Construction of substation 3 NVA Ticlio	459	-
Other minor projects	10,211	30,603
	<u>52,622</u>	<u>46,142</u>

Subsidiary Compañía Minera Chungar S.A.C.

	<u>2024</u> US\$000	<u>2023</u> US\$000
Romina project - General infrastructure	7,031	4,899
Construction of Cacray camp	5,048	3,876
Romina project - permits, social & environment	1,967	1,053
Pumping system level 390 – reinforcement of Esperanza system	1,874	-
TSF Animón with filtered tailings facility	1,417	145
Engineering and construction of Rinconada tailings facility	2,425	2,425
Transmission line Yanahuin Romina	1,097	1,097
Reinforcement of Electrical Substation Animon	1,083	1,083
Other minor projects	9,267	17,280
	<u>31,209</u>	<u>31,848</u>

As of December 31, 2024 and 2023, other Subsidiaries have projects in progress for US\$17,472 and US\$12,209, respectively.

The projects held as of December 31, 2024 are estimated to be completed between 2025 and 2026.

- (b) The annual charge for depreciation has been distributed as follows:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Cost of sales (Note 22)	108,424	105,240
Administrative expenses (Note 23)	720	1,528
Selling expenses (Note 24)	66	43
Other expenses (Note 25)	<u>2,625</u>	<u>2,411</u>
Total	<u><u>111,835</u></u>	<u><u>109,222</u></u>

- (c) As of December 31, 2024, buildings, machinery, and equipment include assets under finance leases with a carrying amount of US\$7,800 and US\$18,805, respectively (US\$8,138 and US\$27,770 as of December 31, 2023).
- (d) The Company and Subsidiaries hired insurance policies on their main assets according to the policies established by Management.
- (e) As of December 31, 2024 and 2023, the cost of property, plant and equipment is presented net of accumulated impairment of US\$335,623, distributed in items of buildings and constructions for US\$263,245, machinery and equipment and sundry equipment for US\$43,897, and others for US\$28,481.
- (f) As of December 31, 2024 and 2023, the Company and Subsidiaries have assets fully depreciated for US\$134,921 and US\$111,827, respectively.

14. RIGHT-OF-USE ASSETS (NET)

The movement in the cost and accumulated depreciation of right-of-use assets, net, was as follows:

	<u>Balance as of</u> <u>January 1, 2024</u> US\$000	<u>Additions</u> US\$000	<u>Disposals</u> US\$000	<u>Disposal of</u> <u>subsidiaries</u> US\$000	<u>Balance as of</u> <u>December 31, 2024</u> US\$000
Cost of:					
Operating machinery	13,448	2,417	-	-	15,865
Vehicles	11,029	2,912	(3,897)	(94)	9,950
Properties	<u>170</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>170</u>
	<u><u>24,646</u></u>	<u><u>5,329</u></u>	<u><u>(3,897)</u></u>	<u><u>(94)</u></u>	<u><u>25,984</u></u>

	Balance as of January 1, 2024 US\$000	Additions US\$000	Disposals US\$000	Disposal of subsidiaries US\$000	Balance as of December 31, 2024 US\$000
Depreciation of:					
Operating machinery	1,857	3,014	-	-	4,871
Vehicles	4,711	4,412	(3,784)	(59)	5,280
Properties	152	18	-	-	170
	<u>6,721</u>	<u>7,444</u>	<u>(3,784)</u>	<u>(59)</u>	<u>10,322</u>
Net value	<u>17,926</u>				<u>15,663</u>
	Balance as of January 1, 2023 US\$000	Additions US\$000	Disposals US\$000	Transfers US\$000	Balance as of December 31, 2023 US\$000
Cost of:					
Operating machinery	10,255	5,878	(2,685)	-	13,448
Vehicles	10,403	6,370	(6,151)	407	11,029
Properties	170	-	-	-	170
	<u>20,827</u>	<u>12,248</u>	<u>(8,836)</u>	<u>407</u>	<u>24,646</u>
Depreciation of:					
Operating machinery	2,685	1,857	(2,685)	-	1,857
Vehicles	6,661	3,525	(5,931)	456	4,711
Properties	96	56	-	-	152
	<u>9,443</u>	<u>5,438</u>	<u>(8,616)</u>	<u>456</u>	<u>6,721</u>
Net value	<u>11,385</u>				<u>17,926</u>

The annual charge for depreciation of right-of-use assets has been distributed as follows:

	2024 US\$000	2023 US\$000
Cost of sales (Note 22)	6,700	4,568
Administrative expenses (Note 23)	<u>744</u>	<u>870</u>
Total	<u>7,444</u>	<u>5,438</u>

15. MINING CONCESSIONS, EXPLORATION AND DEVELOPMENT COSTS AND OTHER ASSETS (NET)

The movement in the cost and accumulated amortization of mining concessions, exploration and development costs, closure of mining units and other assets was as follows:

	Balance as of January 1, 2024 US\$000	Additions US\$000	Disposals US\$000	Transfers US\$000	Estimate adjustment US\$000 (Note 33)	Disposal of subsidiaries US\$000	Impairment recovery US\$000	Balance as of December 31, 2024 US\$000
Cost of:								
Mining concessions	260,650	-	(10,343)	-	-	(239)	-	250,068
Exploration costs	338,691	8,839	-	-	-	-	-	347,530
Development costs (a)	896,005	69,145	-	(3,426)	-	-	91,700	1,053,424
Closure of mining units	210,609	-	-	3,437	(72,509)	-	-	141,537
Community rights	24,645	-	-	-	-	(3,244)	-	21,401
Other intangibles	20,995	3	-	(3,070)	-	(30)	-	17,898
	<u>1,751,595</u>	<u>77,987</u>	<u>(10,343)</u>	<u>(3,059)</u>	<u>(72,509)</u>	<u>(3,513)</u>	<u>91,700</u>	<u>1,831,858</u>
Amortization of:								
Mining concessions	205,730	4,865	-	-	-	(239)	-	210,356
Exploration costs	201,663	16,243	-	-	-	-	-	217,906
Development costs (a)	577,179	37,760	-	-	-	-	-	614,939
Closure of mining units	98,717	13,793	-	-	-	-	-	112,510
Community rights	8,911	1,545	-	-	-	(744)	-	9,712
Other intangibles	8,745	1,479	-	-	-	(17)	-	10,207
	<u>1,100,945</u>	<u>75,685</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(1,000)</u>	<u>-</u>	<u>1,175,630</u>
Net value	<u>650,650</u>							<u>656,228</u>

	Balance as of January 1, 2023 US\$000	Additions US\$000	Disposals/ Transfers US\$000	Change in estimate US\$000 (Note 33)	Impairment estimate US\$000 (Note 26)	Impairment recovery US\$000	Balance as of December 31, 2023 US\$000
Costo de:							
Mining concessions	272,001	-	(11,351)	-	-	-	2560,650
Exploration costs	312,547	13,077	18,710	-	(7,936)	2,293	338,691
Development costs (a)	830,575	76,308	28,255	-	(91,806)	52,673	896,005
Closure of mining units	217,595	-	-	(6,986)	-	-	210,609
Community rights	24,645	-	-	-	-	-	24,645
Other intangibles	15,018	-	5,977	-	-	-	20,995
	<u>1,672,381</u>	<u>89,385</u>	<u>41,591</u>	<u>(6,986)</u>	<u>(99,742)</u>	<u>54,966</u>	<u>1,751,595</u>
Amortization of:							
Mining concessions	211,841	5,243	(11,354)	-	-	-	205,730
Exploration costs	163,385	16,568	18,710	-	-	-	201,663
Development costs (a)	502,615	43,309	28,255	-	-	-	577,179
Closure of mining units	80,728	17,989	-	-	-	-	98,717
Community rights	6,814	2,097	-	-	-	-	8,911
Other intangibles	7,060	1,249	436	-	-	-	8,745
	<u>972,443</u>	<u>92,455</u>	<u>36,047</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>1,100,945</u>
Net value	<u>699,938</u>						<u>650,650</u>

(a) Development costs:

The movement and structure of this item is presented below:

	Balance as of January 1, 2024 US\$000	Additions US\$000	Transfers US\$000	Impairment recovery US\$000	Balance as of December 31, 2024 US\$000
Cost of:					
Yauli	435,487	53,265	10	86,900	575,662
Cerro de Pasco	156,056	-	(3,436)	4,800	157,420
Animon	298,204	15,880	-	-	314,084
Vinchos	6,258	-	-	-	6,258
	<u>896,005</u>	<u>69,145</u>	<u>(3,426)</u>	<u>91,700</u>	<u>1,053,424</u>
Accumulated amortization of:					
Yauli	306,854	16,751	-	-	323,605
Cerro de Pasco	103,383	5,505	-	-	108,888
Animon	160,684	15,504	-	-	176,188
Vinchos	6,258	-	-	-	6,258
	<u>577,179</u>	<u>37,760</u>	<u>-</u>	<u>-</u>	<u>614,939</u>
Net cost	<u>318,826</u>				<u>438,485</u>

	Balance as of January 1, 2023 US\$000	Additions US\$000	Transfers US\$000	Impairment estimate US\$000	Impairment recovery US\$000	Balance as of December 31, 2023 US\$000
Cost of:						
Yauli	464,357	62,936	-	(91,806)	-	435,487
Cerro de Pasco	75,128	-	28,255	-	52,673	156,056
Animon	284,832	13,372	-	-	-	298,204
Vinchos	6,258	-	-	-	-	6,258
	<u>830,575</u>	<u>76,308</u>	<u>28,255</u>	<u>(91,806)</u>	<u>52,673</u>	<u>896,005</u>
Accumulated amortization of:						
Yauli	279,177	27,677	-	-	-	306,854
Cerro de Pasco	75,128	-	28,255	-	-	103,383
Animon	142,052	18,632	-	-	-	160,684
Vinchos	6,258	-	-	-	-	6,258
	<u>502,615</u>	<u>46,309</u>	<u>28,255</u>	<u>-</u>	<u>-</u>	<u>577,179</u>
Net cost	<u>327,960</u>					<u>318,826</u>

(b) The annual charge for amortization has been distributed as follows:

	2024 US\$000	2023 US\$000
Cost of sales (Note 22)	73,218	89,702
Administrative expenses (Note 23)	2,063	2,559
Other expenses (Note 25)	<u>404</u>	<u>194</u>
Total	<u>75,685</u>	<u>92,455</u>

(c) As of December 31, 2024, the cost of mining concessions, development costs and other intangibles is presented net of accumulated impairment of US\$602,659, distributed in items of mining concessions for US\$45,984, exploration costs for US\$237,045, development costs for US\$268,086, and other intangibles for US\$51,544 (as of December 31, 2023, it is presented net of accumulated impairment of US\$694,359, distributed in items of mining concessions for US\$45,984, exploration costs for US\$237,045, development costs for US\$359,786, and other intangibles for US\$51,544).

In 2024, as part of the impairment assessment of certain cash-generating units (CGUs), the Company's Management determined an impairment estimate recovery for US\$91,700, distributed in development costs (Note 26).

In 2023, the Company's Management determined an estimate of impairment loss for US\$99,742, distributed in items of exploration costs for US\$7,936, development costs for US\$91,806, and also determined an impairment recovery for US\$54,966, distributed in items of exploration costs for US\$2,293 and development costs for US\$52,673 (Note 26).

16. FINANCIAL OBLIGATIONS

The movement and structure of this item is presented below:

	Original amount US\$000	Interest rate (%)	Maturity	Total	
				2024 US\$000	2023 US\$000
Bonds (a):					
Negotiated bonds	475,000	4.375	Feb-26	67,986	365,000
Adjustment for amortized cost (issue costs)				(1,194)	(2,296)
				66,792	362,704
Negotiated bonds	299,872	8.75	Jan-30	299,872	-
Adjustment for amortized cost (issue costs)				(11,545)	-
				288,327	-
Syndicated loan (b):					
Syndicated loan	400,000	-	Jan-26	-	400,000
Adjustment for amortized cost (issue costs)				-	(2,030)
				-	397,970
Syndicated loan	369,371	-	Jul-29	344,348	-
Adjustment for amortized cost (issue costs)				(15,097)	-
				329,251	-
Loans (c):					
Glencore Lima Trading S.A.C.	25,000	4.5 + SOFR 3M	Dec-28	25,000	-
Glencore International Inc	30,000	5.5 + SOFR 3M	Jan-25	6,375	-
				31,375	-
Lease liability with third parties					
Lease liability	-	-	-	12,777	15,270
				12,777	15,270
Lease liability with financial entities					
Banco Internacional del Perú-Interbank	2,573	Between 2.19 and 4.45	Between Jan-25 and Feb-25	142	2,573
Scotiabank Perú S.A.A.	11,298	Between 2.04 and 3.83	Between Jan-25 and Feb-27	4,070	11,298
				4,212	13,871
Interests payable					
Total financial obligations				17,027	14,054
Non-current portion				749,761	803,869
Current portion				709,060	667,543
				40,701	136,326

- (a) Negotiated bonds known as "4.375% Senior Notes Due 2026" were issued on February 11, 2021 and placed in their entirety in the international market for US\$475,000, at an annual coupon rate of 4.375%, maturing in 5 years. Interests will be paid in semiannual installments from August 11, 2021 to February 11, 2026, the date on which the principal amount had to be paid. The issue document of these bonds does not establish the compliance with financial covenants; however, it establishes certain limitations, such as incurring additional debts, for the Company as well as for Subsidiaries considered restricted, if when acquiring such debt, the consolidated fixed hedge rate of the Company and Subsidiaries is less than 2.0. This document also establishes limitations for the sale of assets, among others.

Funds were received on February 11, 2021 and in that month, the Company did the following:

- (i) Partial purchase of "5.375% Senior Notes Due 2022" for US\$125,000.
- (ii) Payment of syndicated loan for US\$303,000, including accrued interests.
- (iii) Payment of other medium-term credits for US\$34,000.
- (iv) The balance of funds received for the new issue of bonds was used for operation-related expenses.

The instruments issued by the Company were partially repurchased on June 21, 2022 for up to US\$110,000 by using the Company's available cash. A profit of US\$6,600 was obtained from this transaction due to the discount obtained at the face value of the repurchased debt.

On August 5, 2024, the Company made a private exchange offer to the holders of the bonds denominated "4.375% Senior Notes Due 2026" for new bonds denominated "8.750% Senior secured notes due 2030".

81.37% of the holders of the "4.375% Senior Notes Due 2026" equivalent to US\$297,014 accepted the exchange proposal. As a result, on September 10, the Company issued US\$299,872 of the instruments denominated "8.750% Senior secured notes due 2030".

The interest on the "8.750% Senior secured notes due 2030" will be paid every January 24 and July 24 until January 2030, the date on which the principal amount is paid.

The new notes "8.750% Senior secured notes due 2030" are guaranteed by the majority of the Company's assets including the subsidiaries: Compañía Minera Chungar, Empresa Administradora Cerro, Empresa Minera Paragsha, Compañía Industrial Huacho, Roquel and Tingo and shares guarantees, on a *pari passu* basis, with the obligations of the syndicated loan agreement dated July 24, 2024, entered into between the Company, some of its subsidiaries, the lenders detailed in such document and Citibank N.A., as administrative agent.

- (b) On December 29, 2021, the Company entered into an agreement for a syndicated loan managed by Citigroup Global Markets Inc. and Banco Santander S.A. for US\$400,000.

The loan was disbursed on January 25, 2022 and had to be amortized in quarterly installments according to the following schedule: US\$102.9 million in 2024, US\$137.1

million in 2025 and US\$160 million in 2026. In addition, it had a variable interest rate, equivalent to LIBOR (3m) plus a markup, which was 400 bps as of December 31, 2023.

The lenders of this loan are the following entities: Banco Santander, S.A.; Citibank, N.A.; Bank of Nova Scotia; Banco Internacional del Peru S.A.A.; Banco Interamericano de Finanzas; Banco de Crédito e Inversiones, S.A.; Banco Latinoamericano de Comercio Exterior, S.A.; Bancaribe Curacao Bank N.V.; Banco de Crédito del Perú; Natixix, New York Branch and Banco de Occidente Panamá, S.A.

The amount of US\$34,286 of the syndicated loan was amortized in June 2024 and, on July 24, the Company entered into a comprehensive "Amended and Restated Credit Agreement" to the syndicated loan agreement which included the following modifications:

- (i) The extension of the final maturity date to July 24, 2029.
 - (ii) The amortization of the outstanding amount of US\$369,371 million in quarterly installments according to the following schedule: US\$10,000 due in 2025, US\$20,000 in 2026, US\$25,000 in 2027, US\$35,000 due in 2028 and US\$25 million with the remaining balance on the final maturity date.
 - (iii) Interest rate of SOFR+500 bps during years 1-3 and a possible increase in years 4-5 to SOFR+550 bps.
 - (iv) It allows additional financing of up to US\$70,000 for working capital, US\$125,000 for the development of the Romina Project, US\$100,000 for hedging operations and an additional US\$15,000 for leasing operations.
 - (v) Provided that there are outstanding balances of the syndicated loan greater than US\$160,000, the Company will apply part of the cash surplus greater than US\$70,000 to amortize the syndicated loan.
 - (vi) The following financial covenants have been established:
 - (a) Consolidated total debt to EBITDA ratio: the consolidated debt to EBITDA ratio, measured as of the last day of each fiscal quarter must be less than: 3.75:1.00 by December 31, 2026, and (ii) 3.50:1.00 as of 2027.
 - (b) Consolidated EBITDA to Debt Service ratio, measured on the last day of each fiscal quarter, must be greater than 1.75:1.00.
- As of December 31, 2024, the result of the Debt to EBITDA ratio is 1.99. In case of the EBITDA to Debt Service ratio, the result at the end of 2024 is 2.34.
- (vii) Limitations are established for the sale of certain assets, among others.
 - (viii) The refinanced loan is secured by the majority of the Company's assets including the subsidiaries: Compañía Minera Chungar, Empresa Administradora Cerro, Empresa Minera Paragsha, Compañía Industrial Huacho, Roquel and Tingo.

- (ix) The refinanced loan allows the Company to share the guarantees granted *pari passu* with the "8,750% Senior secured notes due 2030".

On December 22, 2023, Glencore Lima Trading S.A.C. and Volcan Compañía Minera S.A.A. entered into a Mutual Monetary Agreement for US\$25,000, with a variable interest rate SOFR (3M) + 4.5%. The loan was disbursed during the first quarter of 2024.

On July 12, 2024, Glencore International AG and Volcan Compañía Minera S.A.A. entered into a financing agreement for US\$30,000 with a maturity of 6 months, with a variable interest rate SOFR (3M) + 5.5%. The loan was disbursed on July 22, 2024.

- (c) The debt amortization schedule at face value, including interests to be accrued, as of December 31, 2024 and 2023 is as follows:

	2024 US\$000	2023 US\$000
2024	-	160,941
2025	107,786	202,799
2026	150,551	562,280
2027	83,282	-
2028	89,905	-
2029	295,387	-
2030	299,872	-
Total	<u>1,026,783</u>	<u>926,020</u>

- (d) As of December 31, 2024 and 2023, the reconciliation of cash flows to financial obligations are shown below:

	2024 US\$000	2023 US\$000
Movements related to cash flows		
Obtainment of third-party loans	55,000	-
Payment of issue costs - syndicated loan and bond	(20,753)	-
Payment of short-term loans from banks	(23,625)	(2,804)
Payment of syndicated loan	(59,310)	-
Payment of leases with financial entities	(11,123)	(13,413)
Payment of interests on loans	(60,411)	(54,183)
Payment of leases with third parties	(8,873)	(9,172)
Bank overdrafts	(1,046)	2,017
Total	<u>(130,141)</u>	<u>(77,555)</u>

	2024 US\$000	2023 US\$000
Movements not related to cash flows		
Obtainment of finance leases	1,466	1,240
Interests on loans	63,384	55,639
Exchange difference - financial obligations	-	868
Accrual of issue costs - bonds	1,794	1,012
Accrual of structural costs - syndicated loan	1,964	1,015
Lease liabilities with third parties	6,379	12,199
Decrease of financial obligations during the year	<u>(55,154)</u>	<u>(5,582)</u>
Financial obligations at the beginning of the year	<u>804,915</u>	<u>810,497</u>
Financial obligations at the end of the year	<u><u>749,761</u></u>	<u><u>804,915</u></u>

(e) Guarantees

The guarantees are shared *pari passu* between the new guaranteed syndicated loan and the "8,750% Senior secured notes due 2030" and comprise the following:

- (i) Trust in administration and guarantee under Peruvian Law on certain balances of the flows from the sale of concentrates from Volcan, Chungar and Cerro de Pasco that are provided by the trusts of those companies.
- (ii) Trust in guarantee under Peruvian Law on current or future interests in:
 - (a) 100% of the shares owned by Volcan or its subsidiaries in Chungar, Cerro, Paragsha, Roquel, Tingo, Huacho, Toruna and Vinchos;
 - (b) Shares owned by Paragsha in Volcan (11.20% of common Class A shares), in Inversiones Portuarias Chancay S.A.A. (11.20% of common Class A shares) and Cementos Polpaico.
 - (c) 100% interest in any newly created or acquired subsidiary; and
 - (d) 100% of the equity interest that corresponds to Volcan or its subsidiaries in a future joint venture.
- (iii) Mortgages on production units under Peruvian Law on the mining units of San Cristóbal Carahuacra, Andaychagua, Ticlio; Mahr Tunel, Chungar, El Pilar, Huascarán, Vichaycocha, San Sebastian, Cerro and Oxidos. These mortgages include mining concessions, land, plants and assets. Alpamarca and Romina are excluded.
- (iv) Mortgages under Peruvian Law on real estate owned by the Borrower and Huacho with respect to the offices.

(f) Commercial agreements

Through its commercial agreements, the Company has additional working capital lines that ensure liquidity and financial flexibility. To date, the Company has lines for up to US\$25,000 with maturities until December 2025.

17. TRADE ACCOUNTS PAYABLE

Trade accounts payable comprise the following:

	<u>2024</u>	<u>2023</u>
	<u>US\$000</u>	<u>US\$000</u>
Invoices payable (a) (b)	117,233	169,656
Invoices receivable (c)	59,563	58,207
Guarantee funds	<u>12,915</u>	<u>14,350</u>
Total	<u>189,711</u>	<u>242,213</u>

- (a) Trade accounts payable mainly arise from the acquisition of materials and supplies for the execution of activities of the Company and Subsidiaries and are mainly denominated in U.S. dollars and soles, have current maturity, do not accrue interests and no guarantees have been granted for these obligations. As of December 31, 2024 and 2023, balances payable are effective and within the payment terms established by the Company and Subsidiaries, which range between 30 and 90 days.
- (b) As of December 31, 2024, the Company and Subsidiaries hold obligations for US\$7,320 (US\$39,345 as of December 31, 2023), which are related to invoices that the suppliers have granted to financial entities. Those obligations do not accrue interests and have the original maturity that was agreed upon with suppliers.
- (c) Invoices receivable correspond to the estimated record of consumption of goods and services, for which, at the date of the consolidated financial statements, the payment receipts issued by their pertinent suppliers have not been received.

18. OTHER ACCOUNTS PAYABLE

Other accounts payable comprise the following:

	2024 US\$000	2023 US\$000
Short term		
To third parties		
Salaries and profit-sharing of employees (b)	32,097	31,795
Income tax	16,425	107
Advances from customers (a)	-	3,200
Mining taxes	5,144	2,388
Dividends	953	975
Contribution to OEFA	201	136
Other minor items	3,853	4,250
	<u>58,673</u>	<u>42,851</u>
 <u>Amortized cost:</u>		
Water use/treatment/discharge	3,447	7,744
Operating rights and penalties	12,024	7,371
Other minor items	1,937	1,983
	<u>17,408</u>	<u>17,098</u>
	<u>89,891</u>	<u>59,949</u>
 To related entities		
Sundry items	-	546
	<u>-</u>	<u>546</u>
 Total	<u><u>89,891</u></u>	<u><u>60,495</u></u>

- (a) As of December 31, 2023, this item corresponds to an advance received from IXM S.A. for the future delivery of 3,750 MT of lead concentrate, which was completed in 2024. The Company does not have advances from customers as of December 31, 2024.
- (b) As of December 31, 2024, this item mainly includes vacations, profit-sharing, and performance bonus of employees for US\$9,887, US\$9,428 and US\$10,419, respectively (US\$11,090, US\$2,833 and US\$7,138 for vacations, profit-sharing, and performance bonus of employees, respectively, in 2023).

19. PROVISIONS

Provisions comprise the following:

	2024 US\$000	2023 US\$000
Mine closure (Note 33)	31,990	32,346
Provisions for lawsuits (a)	180,811	262,670
Agreements with communities (b)	19,838	23,365
Other provisions	5,019	5,093
Total	<u>237,658</u>	<u>323,474</u>

(a) The movement of provisions for lawsuits is presented below:

	US\$000
Balance as of January 1, 2023	<u>25,422</u>
Provision for the year (Note 25)	6,924
Balance as of December 31, 2023	<u>32,346</u>
Provision for the year (Note 25)	3,073
Reversal (Note 25)	<u>(3,429)</u>
Balance as of December 31, 2024	<u>31,990</u>

(b) As of December 31, 2024, the nominal value of the provision for obligations with communities is US\$26,561 (US\$25,504 as of December 31, 2023), which has been determined using the annual discount rate of 5.90% (1.85% in 2023), resulting in a net value of US\$19,838 (US\$23,365 as of December 31, 2023).

20. EQUITY

(a) *Issued capital stock*

The issued capital stock of the Company is represented by 1,633,414,553 class A voting shares, and 2,443,157,622 class B non-voting shares with a right of preferred dividend allocation, which is not cumulative. All common shares are duly subscribed and paid and have a face value of S/0.55 per share (S/0.66 in 2023).

The preferred right to participate in the allocation of dividends in cash consists in receiving an additional payment for dividends of 5% per share, only on the amount of each dividend in cash paid to each common class A share. This right is not cumulative if the Shareholders' Meeting does not declare nor pay dividends in cash in any period.

Both common class A and B shares, listed on the Lima Stock Exchange, are actively negotiated in the stock market. Their quotation was S/0.41 and S/0.208 per share, respectively (S/0.53 and S/0.312 per share, respectively, as of December 31, 2023). As of December 31, 2024, the

negotiation frequency of class A shares was 5% and 100% for class B shares (25% for class A shares and 95% for class B shares as of December 31, 2023).

The equity interest structure as of December 31, 2024 and 2023 is as follows:

Individual interest percentage in issued capital stock	Number of shareholders		Total interest percentage	
	2024	2023	2024 %	2023 %
Less than 0.20	12,391	8,315	20.39	12.73
From 0.20 to 1.00	24	19	11.19	8.31
From 1.01 to 5.00	14	18	41.01	56.77
From 5.01 to 10.00	1	1	5.36	5.40
From 10.01 to 20.00	1	1	22.05	16.79
	12,431	8,354	100.00	100.00

The Shareholders' Meeting of Volcan Compañía Minera S.A.A. was held on July 3, 2023, in which class A and class B shareholders participated and agreed to reduce the capital stock of the Company by US\$227,620 (S/856,080) through the decrease of the face value of all class A and class B shares issued by the Company; that is, affecting 4,076,572,175 shares issued by the Company, whose face value reduced from S/0.87 to S/0.66.

As a result of the capital reduction agreement, the Shareholders' Meeting agreed to amend the text of Article Five of the articles of incorporation, so that it is worded as follows:

The subscribed and paid-in capital of the Company is S/2,690,537,635.50 represented by 1,633,414,553 Class "A" Common Shares and 2,443,157,622 Class "B" Common Shares with a face value of S/0.66 per share.

The effective date of the split-off was March 4, 2024. As a result of the split-off of the block of equity, the capital decreased by (in thousands) S/443,328 (equivalent of US\$132,386).

On May 8, 2024, over-the-counter transfers totaling 898,832,275 Class "A" common shares of Volcan Compañía Minera S.A.A. have been made by Glencore International AG, Blomara Financing Corp., Earthwind International S.A. and Sandown Resources S.A. in favor of Transition Metals AG., which in turn is a subsidiary of Integral Capital Business S.A., a company domiciled in Panama.

(b) Higher value in acquisition of treasury shares

This item corresponds to the result obtained from the purchase of treasury shares, which are credited or debited in this account.

As a result of the decrease of the face value of treasury shares (letter c), the higher value in the acquisition of treasury shares has decreased.

(c) Treasury shares

This item corresponds to shares of the Company acquired by the Subsidiaries. From total shares, 182,994,435 common class A shares and 12,234,901 class B shares for US\$34,690 and US\$2,320, respectively, are owned by subsidiary Empresa Minera Paragsha S.A.C., 23,442,345 common class A shares for US\$4,444 are owned by subsidiary Compañía Minera Chungar S.A.C., and 306,283 common class A shares for US\$57 are owned by subsidiary Compañía Industrial Limitada de Huacho S.A.

In 2024, treasury shares have decreased as a consequence of the split-off of the block of equity, and the face value of shares was reduced from S/0.66 to S/0.55.

(d) Legal reserve

Pursuant to the General Business Law, the legal reserve is established by transferring a minimum of 10% of net profit from each period, after deducting accumulated losses, until it achieves an amount equivalent to the fifth part of capital. In the absence of undistributed profit or freely available reserves, the legal reserve shall be applied to offset losses, and must be replaced. The legal reserve can be capitalized but shall also be replaced.

(e) Accumulated other comprehensive income

This item corresponds to unrealized profit (loss) of derivative financial instruments designated as hedging instruments. This unrealized profit or loss derives from the fact that the price of commodities was agreed upon at a value higher or lower than their liquidation value, and at a profit or loss for the effect of the fair value of the investment in equity instruments (Note 8).

21. NET SALES

During 2024 and 2023, revenue mainly includes sales of zinc, lead, silver, and copper concentrates and silver bars, as follows:

	2024 US\$000	2023 US\$000
Net sales per concentrate:		
Zinc	502,200	483,415
Lead	213,836	228,635
Silver	77,913	68,565
Copper	71,295	60,639
	865,244	796,254
Net sales of silver bars:		
Silver bars	98,327	84,747
Net sales of silver slag:		
Silver slag	1,478	-
	965,049	881,001
Profit (loss) in:		
Execution of financial instruments	(55)	3,893
Embedded derivatives (Note 30(a))	(4,473)	(1,808)
Total	<u>960,521</u>	<u>883,086</u>

The net sales of concentrates, silver bars and silver slags to customers per geographical area are presented below (without including the valuation effect of the embedded derivative and unrealized profit of hedging instruments):

	<u>2024</u> US\$000	<u>2023</u> US\$000
Peru	613,460	606,197
Europe	224,301	77,365
Asia	110,099	197,439
America	<u>17,189</u>	<u>-</u>
	<u>965,049</u>	<u>881,001</u>

(a) Sales concentration

In 2024, the three most important customers represented 52% of total sales (46% of total sales in 2023). As of December 31, 2024, 39% of accounts receivable is related to these customers (28% as of December 31, 2023). The concentrates of the Company and Subsidiaries are sold to renowned companies in the country and abroad, with whom commercial agreements are executed.

(b) Sales commitments

As of December 31, 2024, the Company and Subsidiaries hold commitments with third parties for sales of zinc, lead, and copper concentrates for 909,816 WMT, 118,189 WMT and 9,162 WMT until 2029, for an approximate amount of US\$997,832, US\$296,108 and US\$42,274, respectively (739,419 WMT, 158,181 WMT and 11,735 WMT, approximately, as of December 31, 2023, for an approximate amount of US\$710,149, US\$357,436 and US\$41,265).

As of December 31, 2024, the Company and Subsidiaries hold commitments for the sale of Dore bars for 1,500,000 oz. for US\$45,275. As of December 31, 2023, the Company and Subsidiaries held commitments for the sale of Dore bars for 2,620,600 oz. for US\$55,815.

22. COST OF SALES

Cost of sales comprises the following:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Beginning balance of concentrates (Note 12)	8,052	11,036
Beginning balance of minerals (Note 12)	11,956	13,547
Services provided by third parties, energy and others	259,009	279,460
Consumption of supplies	120,978	128,476
Depreciation (Note 13 (b))	102,935	103,455
Depreciation of right-of-use assets (Note 14)	6,700	4,568
Labor	89,217	89,524
Amortization (Note 15 (b))	68,515	88,829
Purchase of concentrates and minerals	1,288	-

	<u>2024</u> US\$000	<u>2023</u> US\$000
Others	2,945	-
Ending balance of concentrates (Note 12)	(8,909)	(8,052)
Ending balance of minerals (Note 12)	<u>(5,416)</u>	<u>(11,956)</u>
Subtotal	657,270	698,887
Cost of plant shutdown	32,126	23,962
Depreciation of plant shutdown (Note 13 (b))	5,489	1,785
Amortization of plant shutdown (Note 15 (b))	<u>4,703</u>	<u>873</u>
Total	<u><u>699,588</u></u>	<u><u>725,507</u></u>

23. ADMINISTRATIVE EXPENSES

Administrative expenses comprise the following:

	<u>2024</u> US\$000	<u>2023</u> US\$000
Personnel charges	35,091	21,565
Professional fees	6,414	5,613
Insurance	5,108	4,316
Operating rights - Penalties	3,620	2,908
Mails, telecommunications, and other minor items	3,052	3,103
Amortization (Note 15 (b))	2,063	2,559
Leases	1,537	2,325
Depreciation of right-of-use assets (Note 14)	744	870
Depreciation (Note 13 (b))	720	1,528
Communications and information technology	563	810
Services provided by contractors	464	4,912
Impairment of accounts receivable	398	-
Personnel services	192	221
Others	<u>2,909</u>	<u>4,427</u>
Total	<u><u>62,875</u></u>	<u><u>55,157</u></u>

24. SELLING EXPENSES

Selling expenses comprise the following:

	2024 US\$000	2023 US\$000
Freight	17,991	19,306
Services for the sale of concentrates	3,701	3,296
Leases	1,658	2,139
Samples, analysis, and supervision	1,475	1,476
Personnel expenses	1,084	1,159
Services provided by contractors	1,034	864
Services provided by third parties	755	352
Shipment expenses	671	1,152
Sundry services	646	776
Depreciation (Note 13 (b))	66	43
Total	29,081	30,563

25. OTHER INCOME AND EXPENSES

Other income comprises the following:

	2024 US\$000	2023 US\$000
Other income:		
Income from the sale of energy companies (a)	90,675	-
Recovery of estimate for mine closure and communities (b)	12,853	-
Interests and other untaxed items	9,751	-
Income from the sale of energy to third parties	8,666	23,767
Income from the sale of sundry supplies	7,594	9,991
Reversal of provision for lawsuits (Note 19)	3,429	-
Leases	2,199	2,074
Income from services provided to third parties	1,808	2,457
Recovery of impairment of supplies (Note 12)	947	794
Disposal of fixed assets	389	680
Insurance compensation	136	4,481
Profit from valuation of investment in associate under the equity method	-	316
Income from recovery of impairment of other accounts receivable	-	13,688
Others	6,668	5,181
Total	145,115	63,429

(a) Income from the sale of energy companies is mainly composed of:

- (i) Sale of Empresa Generadora Rio Baños S.A.C. The income obtained was US\$31,675 and the cost was US\$30,000 classified as "Other expenses". As part of the

transaction, there is an escrow account receivable for US\$4,373, the sale of which was made on May 31, 2024.

- (ii) The sale of Hidroeléctrica Huanchor S.A.C. for US\$49,469, and the cost for US\$39,785 classified as "Other expenses". As part of the transaction, there is an escrow account receivable for US\$1,600, the sale of which was made on October 11, 2024.
- (b) In 2024, the Company updated its mine closure estimate (Note 33) and communities (Note 19), recognizing the effect of changes in other income and other expenses for non-operating subsidiaries.

Other expenses comprise the following:

	2024 US\$000	2023 US\$000
Other expenses:		
Disposal for the sale of energy companies	(69,785)	-
Cost of sales of sundry supplies	(7,141)	(10,660)
Tax administrative penalties	(5,160)	(3,201)
Expense for mine closure and communities	(5,140)	(8,866)
Cost of services provided to third parties	(4,663)	(5,228)
Provision for lawsuits (Note 19)	(3,073)	(6,924)
Cost of sales of energy	(2,979)	(9,900)
Depreciation (Note 13 (b))	(2,625)	(2,411)
Services provided by contractors	(2,422)	(7,603)
Contribution for regulation OEFA and OSINERMIN	(1,975)	(1,764)
Impairment of other accounts receivable	(1,758)	(7,031)
Sundry expenses	(1,460)	(2,071)
Professional fees	(802)	(4,344)
Impairment estimate for supplies (Note 12)	(599)	(1,099)
Leases	(595)	(2,690)
Derecognition of property, plant and equipment	(579)	(1,287)
Amortization (Note 15 (b))	(404)	(194)
Others	(4,122)	(3,234)
Total	<u>(115,282)</u>	<u>(78,507)</u>

26. IMPAIRMENT OF NON-FINANCIAL ASSETS

By applying International Financial Reporting Standard 36 Impairment of non-financial assets, the Company and Subsidiaries updated their assessment of the recoverable value of long-term assets.

The Company and mining Subsidiaries have defined as a CGU the set of operating mining units per company and its energy subsidiary has defined its hydroelectric plant in operation as a CGU.

In 2024, as part of the impairment assessment of certain cash-generating units (CGU), the Company's Management determined a recovery for the impairment estimate of US\$86,900 in

Volcan Cía Minera S.A.A. They also recognized a recovery corresponding to the impairment estimate in Empresa Administradora Cerro S.A.C. for US\$4,800.

The recovery of impairment in Volcan Cía Minera S.A.A. resulted from higher volumes of resources and the decrease of the discount rate, assumptions used in the determination of its cash flows. Such amount was allocated to the item Development costs.

The recovery of impairment in Empresa Administradora Cerro S.A.C. resulted from higher volumes of resources. This amount was allocated to the item Development costs.

In 2023, as part of the impairment assessment of certain cash-generating units (CGU), the Company's Management determined a loss for the impairment estimate of US\$124,800 in Volcan Cía Minera S.A.A. They also recognized a recovery corresponding to the impairment estimate in Empresa Administradora Cerro S.A.C. and Empresa Generadora Rio Baños S.A.C. for US\$81,800 and US\$6,800, respectively.

	<u>2024</u>	<u>2023</u>
	<u>Impairment estimate</u>	<u>Impairment estimate</u>
	<u>US\$000</u>	<u>US\$000</u>
Cash-generating units:		
Volcan	86,900	(124,800)
Cerro	4,800	81,800
Egerba	-	6,800
	<u>-</u>	<u>6,800</u>
Total	<u>91,700</u>	<u>(36,200)</u>
Recorded in:		
Property, plant and equipment (net) (Note 13)	-	8,576
Exploration costs (Note 15)	-	(5,643)
Mining concessions, development costs and other intangibles (net) (Note 15)	<u>91,700</u>	<u>(39,133)</u>
Total	<u>91,700</u>	<u>(36,200)</u>

For the calculation of the value in use, flows were projected during the life of the mine of each CGU, so the Company used the following assumptions: international prices (Zn, Pb, Cu, Ag), commercial terms, resources and reserves (R&R), costs and investments according to the level of production determined based on R&R. The discount rate used, for flows after taxes, was 9.86% and 13.25% as of December 31, 2024 and 2023, respectively. The Company and Subsidiaries' mining units are aligned to the life of the mines, which ranges from 2025 to 2046. In case of energy companies, the discounts rate used was 9.86% and 13.25% as of December 31, 2024 and 2023, respectively, and the useful lives of assets range from 2025 to 2052.

The impairment estimate is highly sensitive to several factors such as the price of minerals, proven and probable reserves and inferred resources, head grades and discount rate. A change in the perspectives of these assumptions may give rise to additional significant impairments/reversals. Level 3 valuation techniques were used in the determination of the discounted value for both periods.

Management of the Company and Subsidiaries believes that the balance of the impairment estimate for non-financial assets is sufficient to cover the impairment risk appropriately at the date of the consolidated statement of financial position. In addition, Management considers that no significant changes will be made on the discount rate that may increase the impairment loss.

27. FINANCIAL INCOME AND EXPENSES

Financial income and expenses comprise the following:

	2024 US\$000	2023 US\$000
Financial income		
Net exchange difference profit	570	951
Interests on loans	3,597	4,841
Other financial income	721	1
	<u>4,888</u>	<u>5,793</u>
Financial expenses		
Interests on issued bonds	(21,053)	(16,766)
Interests on syndicated loans	(39,375)	(38,488)
Interests and expenses of financial obligations	(3,262)	(1,200)
Effect for the update of the present value of mine closure (Note 33)	(4,854)	(3,393)
Amortized cost of bonds	(942)	(881)
Effect for the update of the present value of communities	(372)	(230)
Interests on lease liabilities	(1,253)	(1,271)
Commissions and other expenses	(8,095)	(8,297)
	<u>(79,206)</u>	<u>(70,526)</u>

28. INCOME TAX

Income tax shown in the consolidated statement of profit or loss comprise the following:

	2024 US\$000	2023 US\$000
Income tax		
Current	(30,647)	(12,116)
Deferred (a)	(32,125)	57,096
	<u>(62,772)</u>	<u>44,980</u>
Special mining tax (b)	(5,266)	(2,019)
Mining royalties (b)	(10,510)	(8,599)
Contribution to the mining retirement fund (c)	(511)	(193)
	<u>(79,059)</u>	<u>34,169</u>

- (a) The Company and Subsidiaries recognize the effects of temporary differences between the accounting basis and the tax basis. Income tax is presented in the following table, according to the items that generated it.

	Balance as of January 1, 2023 US\$000	Additions (deductions)		Balance as of December 31, 2023 US\$000	Additions (deductions)					Balance as of December 31, 2024 US\$000
		Statement of profit or loss US\$000	Other comprehensive income US\$000		Statement of profit or loss US\$000	Other comprehensive income US\$000	Sale (Huanchor) US\$000	Sale (Rio Baños) US\$000	Split-off Volcan-IPCH US\$000	
Deferred asset										
Depreciation expenses of property, plant and equipment (net)	52,211	(9,026)	-	43,185	2,598	-	-	-	-	45,783
Amortization expenses of mining rights and concessions, exploration, development and stripping costs	48	(2)	-	46	-	-	(46)	-	-	-
Provision for the closure of mining units	62,553	(1,883)	-	60,670	(21,707)	-	-	-	-	38,963
Lease liability	3,047	1,308	-	4,355	(835)	-	(15)	-	-	3,505
Provision for contingencies	7,428	1,725	-	9,153	(81)	-	(2)	(3)	-	9,067
Obsolescence estimate for inventories	3,694	(1,423)	-	2,271	25	-	(103)	-	-	2,193
Recoverable tax loss	22,034	1,726	-	23,760	5,110	-	(2,249)	-	-	26,621
Embedded derivatives and sales adjustments	119	(119)	-	-	814	-	-	-	-	814
Fair value of shares of Cementos Polpaico S.A. (Note 8)	7,076	-	374	7,450	-	2,525	-	-	-	9,975
Provision for community agreements	5,778	487	-	6,265	(310)	-	(3)	(748)	-	5,204
Pending vacations payable	1,812	(55)	-	1,757	(170)	-	(8)	-	-	1,579
Provision for doubtful accounts	50	1,428	-	1,478	(1,311)	-	-	-	-	167
Undercapitalization - interests	4,863	135	-	4,998	(4,998)	-	-	-	-	-
Other expenses of Mahr Tunel tailings facility	-	-	-	-	1,199	-	-	-	-	1,199
Adjustment of value of Alpamarca mineral	-	-	-	-	869	-	-	-	-	869
Others	2,564	407	-	2,971	1,786	-	(7)	(3)	-	4,746
Total	173,277	(5,292)	374	168,359	(17,010)	2,525	(2,433)	(754)	-	150,686
Deferred liability										
Use of amortization benefits of mining rights and concessions, exploration, development and stripping costs	(217,169)	31,287	-	(185,882)	(8,559)	-	-	738	-	(193,703)
Use of depreciation benefits of property, plant and equipment (net)	(23,347)	12,715	-	(10,632)	330	-	41	8,490	-	(1,771)
Effect for translation of tax benefits into U.S. dollars	(57,474)	15,076	-	(42,348)	(409)	-	1,077	221	-	(41,459)
Fair value of instruments	-	-	(51)	(51)	-	(229)	-	-	-	(280)
Valuation of stockpiles	(1,834)	226	-	(1,608)	80	-	-	-	-	(1,528)
Adjustment at fair value of investments in associates	(4,747)	(93)	-	(4,840)	(200)	-	-	-	5,040	-
Insurance compensation	(2,025)	2,025	-	-	-	-	-	-	-	-
Embedded derivatives	(105)	(298)	-	(403)	403	-	-	-	-	-
Sales adjustments	(882)	882	-	-	-	-	-	-	-	-
Amortized cost of financial obligations	(1,900)	624	-	(1,276)	(5,151)	-	-	-	-	(6,427)
Commission – Debt structuring	-	-	-	-	(1,785)	-	-	-	-	(1,785)
Valuation of shares of Inversiones Portuarias Chancay S.A.A. (Note 8)	-	-	-	-	-	(27,242)	-	-	-	(27,242)
Others	(120)	(56)	-	(176)	(176)	-	-	-	-	-
Total	(309,553)	62,388	(51)	(247,216)	(15,115)	(27,471)	1,118	9,449	5,040	(274,195)
Net asset (liability)	(136,276)	57,096	323	(78,857)	(32,125)	(24,946)	(1,315)	8,695	5,040	(123,509)

Management believes that there is a reasonable certainty about the recoverability of the deferred income tax asset related to the tax loss of the Company and its Subsidiaries, considering the option b) selected by the Company and its Subsidiaries for offsetting losses (see section vii) and the business plan. In 2024, the Company recovered US\$2,571 (US\$7,731 as of December 31, 2023), and in case of its subsidiary Compañía Minera Chungar S.A., an increase of tax loss was recorded for US\$7,681 (US\$8,801 as of December 31, 2023, Compañía Minera Chungar S.A. and Hidroeléctrica Huanchor S.A.C.).

For other subsidiaries that have tax losses, no deferred income tax assets generated for US\$35,583 were recognized (US\$33,579 as of December 31, 2023) since there was no certainty about the recoverability of such deferred income tax asset.

(b) Mining royalties and special mining tax

On September 28, 2011, pursuant to Law No. 29788, the Law of the Mining Royalty (Law No. 28258) was modified and established that all companies that do not have an established regime will take the operating profit as a basis for the calculation of mining royalties. Tax rates range between 1% and 12%, depending on the operating margin. In no case, royalties shall be less than 1% of quarterly sales. The paid quantity is classified as an accepted deduction for the calculation of income tax. Mining companies are required to submit a quarterly tax return and make payments in local currency in the last 12 working days of the second month after the month when the quarter ends.

In addition, the Special Mining Tax is created pursuant to Law No. 29789. The tax is imposed on the operating profit and is not applicable to companies that have entered into a tax stability agreement with the Peruvian government.

(c) Contribution to the mining retirement fund

This item corresponds to the contribution of 0.5% of annual income of mining, metallurgical, and iron and steel companies, before taxes, to provide a complementary payment, in addition to retirement, disability and survival pensions of mining, metallurgical and iron and steel employees, pursuant to Law No. 29741, which is applicable since 2012.

The resources of FCJMMS (Complementary Mining, Metallurgical and Iron and Steel Fund) will be managed by the FCR (Consolidated Fund of Social Security Reserves), created by Legislative Decree No. 817, Social Security Regime Law under the responsibility of the Peruvian government.

SUNAT manages the contributions to FCJMMS, which will be transferred to the FCR to be part of the FCJMMS. The requesting parties collect these contributions at the Service Center of the Social Security Administration (ONP, for its acronym in Spanish).

Tax situation

(i) Current tax framework

The Company and Subsidiaries are subject to the Peruvian tax regime. The income tax rate applicable to companies for 2024 is 29.5%.

The last paragraph of article 52-A of the Income Tax Law (hereinafter ITL) establishes that the companies that distribute to domiciled natural entities dividends and any other form of profit distribution referred to in paragraph i) of article 24° of the ITL are imposed with a rate of 5%.

Article 54° establishes that natural entities that are not domiciled in the country will be subject to the withholding of 5% of their income from Peruvian source, such as dividends and other forms of profit distribution, except those indicated in paragraph f) of article 10° of the ITL.

Paragraph e) of article 56° establishes that the tax on legal entities that are not domiciled in the country will be determined by applying a rate of 5% when dividends are distributed, and other forms of profit distribution received from legal entities. However, any amount or payment in kind resulting from the taxable third-category income that represents an indirect disposal of income that is not susceptible to subsequent tax control, including amounts charged to undeclared expenses and income (alleged dividends), is subject to the income tax rate of 5% assumed by the entity in 2024.

Management of the Company and Subsidiaries believes that, as a result of the application of these standards, no significant contingencies will arise for the Company and Subsidiaries as of December 31, 2024.

(ii) Open years to tax review

The Tax Administration is authorized to review, and if applicable, correct the income tax determined by the Company and Subsidiaries in the last four years, counted from January 1 of the year following the year when the pertinent income tax return was submitted (open years to tax review).

Income tax returns from 2020 to 2024 and value-added tax for the periods from December 2020 to December 2024 of the Company and Subsidiaries will be reviewed by the Tax Administration. In addition, the Tax Administration has started a review process of income tax corresponding to period 2022 of the Company.

Since certain differences may arise from the interpretation that the Tax Administration has on regulations applicable to the Company and Subsidiaries, it is not possible to determine to date whether additional tax liabilities will arise or not from the reviews to be conducted. Any additional tax, charge, and interest, if incurred, will be recognized in profit or loss for the year when such criteria differences with the Tax Administration are resolved. Management of the Company and Subsidiaries believes that that no material liabilities will arise as a result of potential reviews.

(iii) Transfer pricing

The following new standards have been established in order to determine income tax:

- Comparable uncontrolled price (CUP) for commodities: It is confirmed that, for import or export of commodities, the market value will be provided by quotation (it was established before for operations with intermediaries or from, through or to tax havens). The detail of this standard is included in the regulations.

- New formal obligations: The Transfer Pricing Technical Study is no longer submitted and new tax returns are included:

Tax return	Minimum annual income	Assumption	Details	Effective from
Local report	S/11,485 (US\$3,152)	Operations with related entities	Transactions that give rise to taxable income or deductible expense	2018
Master report	S/103,000 (US\$27,408)	Taxpayers that are part of a Group	Organizational structure, description of the business, transfer pricing policies, financial and tax position	2018
Report per country	Not applicable	Taxpayers that are part of a Multinational Group	Global revenue distribution, paid taxes, and activities of each entity of the multinational group	2019

The Company and Subsidiaries have submitted the local report, master report and report per country for 2023 to the Tax Administration and are now preparing the pertinent reports for 2024.

Based on the analysis of operations of the Company and Subsidiaries, Management and its legal advisors consider that no significant liabilities will arise for the consolidated financial statements as of December 31, 2024 and 2023, in relation to transfer pricing.

(iv) Reconciliation of effective income tax rate with tax rate

During 2024 and 2023, the effective income tax rate is different from the tax rate. The nature of this difference is due to certain items related to taxable profit, whose effects are summarized below:

	2024		2023	
	Amount US\$000	Percentage %	Amount US\$000	Percentage %
Profit (loss) before income tax	216,192	100	(44,152)	100
Income tax as per tax rate	63,777	29.50	(13,025)	29.50
Unrecognized deferred tax for tax losses	(7,745)	(3.58)	(671)	1.52
Adjustment of income tax from previous years	15	0.01	-	-
Translation effect of non-financial assets	5,420	2.51	181	(0.41)
Deferred assets not recognized due to lack of recoverability	2,552	1.18	(28,200)	63.87
Tax effects on non-deductible expenses and other minor items	(1,247)	(0.58)	(3,265)	7.39
Mining taxes	16,287	7.53	10,811	(24.49)
Income tax profit and tax rate applicable to profit as per records	79,059	36.57	(34,169)	77.39

(v) Income tax payable

The Company and Subsidiaries have a credit balance with the Tax Administration for US\$16,425 as of December 31, 2024 (US\$107 as of December 31, 2023) (Note 18).

(vi) Significant changes to income tax in Peru

After December 31, 2024, no significant changes have been made to the income tax regime in Peru, which may affect these consolidated financial statements. The standards and interpretations effective as of December 31, 2024 have been considered by Management when preparing these consolidated financial statements.

Below we present the main amendments that will be applicable as from 2025:

Interests and capital gains from repurchase and disposal transactions of participation units of Stock Exchange Funds or ETFs

Pursuant to Law 32218, published on December 29, 2024, interests and capital gains from repurchase and disposal transactions of participation units of Stock Exchange Funds or Exchange-traded Funds (ETF), whose underlying items are the instruments issued by the Republic of Peru (Public Treasury bills issued by the Republic of Peru and Bonds and other debt securities issued by the Republic of Peru under the Market Creators Program or the mechanism that replaces it, or in the international market as of 2003), constitute untaxed income.

Accelerated depreciation of fixed assets used in the power generation activity with water resources and other renewable resources

Pursuant to Law 32217, published on December 29, 2024, the accelerated depreciation tax benefit that promotes investment in the power generation activity with water resources and other renewable resources was extended until December 31, 2030.

This benefit consists of the accelerated depreciation applicable to the machinery, equipment and civil works necessary for the installation and operation of the plant that generates electricity with water resources and other renewable resources, which will have an annual depreciation rate of no more than 20% as annual global rate.

Advance pricing agreements (APAs) and other valuation methods

- Legislative Decree 1663, published on September 24, 2024, modifies paragraph 7 of article 32 A of the Income Tax Law, in which the application of other valuation methods is allowed when it is not possible to apply the other six provided, provided that such methods comply with the new conditions and rules established in the ITL.
- Legislative Decree 1662, published on September 24, 2024, allows the retroactive application of advance pricing agreements (rollback), provided that it is verified that the relevant facts and circumstances of such years are the same as in the years covered by the advance pricing agreements and the action of SUNAT to determine the tax obligation of the income tax by application of transfer pricing standards has not expired with respect to such transactions.

(vii) Tax losses

In accordance with Legislative Decree No. 945 and as established by Law No. 27513, tax loss carryforwards may be applied under one of the following options:

- (a) Offsetting total net third category loss from Peruvian source recorded in one taxable year, assigning this amount every year until its depletion, to net third category income to be

obtained in the four immediately subsequent years, calculated as from the following year of its generation. The amount that is not offset once this period of time has passed will not be offset in subsequent years.

- (b) Offsetting total net third category loss from Peruvian source recorded in one taxable year, assigning this amount every year until its depletion, to 50% of net third category income to be obtained in immediately subsequent years.

Management of the Company and Subsidiaries Compañía Minera Chungar S.A.C. and Empresa Administradora Cerro S.A.C. selected option (b) and other Subsidiaries selected option (a) to offset tax losses.

29. BASIC AND DILUTED EARNINGS (LOSS) PER SHARE

Earnings (loss) per share is calculated dividing consolidated net profit (loss) attributable to common shareholders by the weighted average of number of common shares outstanding at the date of the consolidated statement of financial position.

As of December 31, 2024 and 2023, diluted earnings (loss) per common share has not been calculated since there are no diluting common or investment shares, such as financial instruments and other contracts that give the right to obtain common or investment shares, so it is the same as basic earnings per share.

	2024 US\$000	2023 US\$000
Net earnings (loss)	137,133	(9,983)
Average common shares - thousands of units	3,857,594	3,857,594
Net basic and diluted (loss) earnings per share for the year	0.036	(0.003)

30. DERIVATIVE FINANCIAL INSTRUMENTS

During 2024, the Company and Subsidiaries used derivative financial instruments to reduce market risks to which they are exposed. Risks mainly refer to the effects of changes in the prices of traded metals, which vary constantly.

Derivative financial instruments designated at fair value comprise changes in the settlement prices of covered commodities, which are adjusted at a market value based on future estimates of prices of metals at the date of the consolidated financial statements. The measurement of fair value is categorized at Level 2 since they are measurements derived from international quotation prices in effect included in Level 1.

(a) Hedging operations of mineral prices

In 2024, the Company and Subsidiaries entered into price swaps to ensure future flows provided by its sales, as well as treatment expenses that are subject to escalators that increase them in upward price scenarios.

As of December 31, 2024, the Company had the following hedging operations in force (Note 11), which will be settled in 2025:

<u>Metal</u>	<u>Amount</u>	<u>Period</u>	<u>Fair value</u> <u>US\$000</u>
Zinc	7,800	January 2025 – December 2025	948
Total			<u>948</u>

(b) Embedded derivative for the variation of quotations in concentrate sale agreements

As of December 31, 2024 and 2023, provisional liquidations in metric tons (MT) of zinc, lead and copper, and ounces (Oz.) of silver held at those dates, their final liquidation periods and the fair value of embedded derivatives are shown below:

As of December 31, 2024:

<u></u>	<u>Quantity</u> <u>DMT/OZ</u>	<u>Quotation period</u>	<u>Fair value</u> <u>US\$000</u>
Receivable			
Zinc	223,475	Sep 2024 - Mar 2025	(1,828)
Lead	182,681	Jul 2024 - Mar 2025	(236)
Copper	18,442	Nov 2024 - Feb 2025	(1,065)
Silver	57,621	Apr 2024 - Jan 2025	(160)
Silver slag	334	Jan 2025	<u>(113)</u>
Total - Note 9			<u>(3,402)</u>

As of December 31, 2023:

<u></u>	<u>Quantity</u> <u>DMT/OZ</u>	<u>Quotation period</u>	<u>Fair value</u> <u>US\$000</u>
Receivable			
Zinc	268,222	Jul 2023 - Feb 2024	1,293
Lead	142,446	May 2023 - Mar 2024	(562)
Copper	13,964	Nov 2023 - Feb 2024	225
Silver	54,659	Jun 2023 - Ene 2024	<u>115</u>
Total - Note 9			<u>1,071</u>

As of December 31, 2024 and 2023, fair values of embedded derivatives caused a loss of US\$4,473 and US\$1,808, respectively, and are shown in item “Net sales” of the consolidated statement of profit or loss (Note 21). Future quotations of the dates when open positions as of December 31, 2024 and 2023 are expected to be liquidated are obtained from the publications of the London Metal Exchange.

31. INFORMATION PER BUSINESS SEGMENT

The Company organizes its activities in six business segments: Volcan, Chungar, Cerro, investments, energy, and other non-reportable segments.

The contributions of each business segment mainly derive from the net margin of production and sale of zinc, lead, copper or bulk concentrates, the production and sale of Dore bars, revenue from dividends received from investments in equity instruments, revenue from the lease of properties, and the sale of energy and power.

- Volcan: production and sale of concentrates produced in mining unit of Yauli, which comprises mines San Cristobal, Carahuacra, Andaychagua and Ticlio, Carahuacra Norte open pit and Victoria, Andaychagua and Mahr Tunel concentration plants.
- Chungar: production and sale of concentrates produced in mining units of Chungar and Alpamarca. Chungar comprises mines Animon and Islay and the Animon concentration plant. Alpamarca comprises Alpamarca open pit, mine Rio Pallanga and Alpamarca plant.
- Cerro: production and sale of concentrates produced in mining unit of Cerro, which comprises polymetallic stockpiles and San Expedito and Paragsha concentration plants. In addition, as a result of the merger with Oxidos, it has oxide stockpiles, oxides in site, pyrite stockpiles and the Oxidos leach pad.
- Investments: include operations of its Subsidiary Empresa Minera Paragsha S.A.C.
- Energy: includes operations of the hydroelectric power plant Tingo.
- Others: include operations of the subsidiary that will perform port and logistics, non-operating, and other activities.

Data of interest per business segment as of December 31, 2024 and 2023 is presented in the tables below:

As of December 31, 2024:

	Volcan US\$000	Chungar US\$000	Cerro US\$000	Paragsha US\$000	Energy US\$000	Others US\$000	Deletions US\$000	Total US\$000
Total assets	2,096,127	636,092	428,646	178,880	21,848	27,154	(1,547,921)	1,840,826
Total liabilities	1,219,312	494,388	179,278	81,336	3,247	19,237	(605,672)	1,391,128
Sales	574,088	247,341	211,614	-	1,189	577	(74,288)	960,521
Gross profit	206,813	3,002	53,688	-	(86)	577	(116)	260,933
Operating expenses	(165,762)	(40,394)	(21,189)	(1,761)	(550)	(1,938)	24,357	(207,238)
Other operating income	208,493	14,488	8,410	7	134	16,540	(11,258)	236,815
Operating profit (loss)	249,545	(22,904)	40,909	(1,755)	(502)	15,179	10,039	290,510
Profit (loss) before income tax	195,713	(45,829)	50,702	(9,534)	442	14,370	10,328	216,192
Net profit (loss) for the year	120,090	(37,613)	40,106	(9,537)	234	14,088	9,765	137,133
Detail of sales								
Local sales	434,220	175,850	76,599	-	1,189	577	(74,975)	613,460
International sales	144,081	72,143	135,365	-	-	-	-	351,589
Embedded derivative, adjustment of open temporary liquidations and execution of financial instruments	(4,213)	(651)	(350)	-	-	-	686	(4,528)
	574,088	247,342	211,614	-	1,189	577	(74,289)	960,521

As of December 31, 2023:

	Volcan US\$000	Chungar US\$000	Cerro US\$000	Paragsha US\$000	Energy US\$000	Others US\$000	Deletions US\$000	Total US\$000
Total assets	2,200,968	747,519	397,503	147,116	117,120	25,779	(1,760,830)	1,875,175
Total liabilities	1,312,403	577,540	188,241	106,254	49,077	32,072	(755,010)	1,510,577
Sales	530,017	227,922	170,808	-	21,330	470	(67,462)	883,086
Gross profit	141,575	(101)	12,928	-	11,443	470	(8,736)	157,579
Operating expenses	(22,835)	(47,517)	(20,347)	(1,774)	(42,861)	(3,047)	143,472	(200,427)
Other operating income	29,674	10,474	99,429	36	33,876	1,065	(111,125)	(63,429)
Operating profit (loss)	(57,104)	(37,144)	92,010	(1,738)	(2,458)	(1,510)	23,609	20,581
Profit (loss) before income tax	(88,127)	(65,245)	99,594	(10,887)	3,104	(2,182)	19,591	(44,152)
Net profit (loss) for the year	(48,668)	(48,668)	99,944	(10,883)	5,515	(2,131)	18,941	(9,982)
Detail of sales								
Local sales	391,985	202,033	57,862	-	21,330	470	(67,482)	606,198
International sales	134,499	26,590	113,714	-	-	-	-	274,803
Embedded derivative, adjustment of open temporary liquidations and execution of financial instruments	3,533	(701)	(768)	-	-	-	21	2085
	530,017	227,922	170,808	-	21,330	470	67,461	883,086

32. COMMITMENTS AND CONTINGENCIES

(a) Contingencies

Based on the opinion of their external and internal legal advisors, the Company and Subsidiaries' Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$31,990 and US\$32,346, which is presented in item "Provisions" of the consolidated statement of financial position as of December 31, 2024 and 2023, respectively (Note 19). The Company and Subsidiaries' Management and their legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external and internal legal advisors of the Company and Subsidiaries determined an amount of US\$83,910 (US\$84,479 as of December 31, 2023), which corresponds to several proceedings addressed by the Company.

The detail of contingencies of the Company and Subsidiaries are summarized below:

(a.1) Volcan Compañía Minera S.A.A.

Based on the opinion of its external and internal legal advisors, the Company's Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$17,157 as of December 31, 2024 (US\$16,221 as of December 31, 2023). The Company's Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external and internal legal advisors of the Company determined an amount of US\$37,503 as of December 31, 2024 (US\$37,181 as of December 31, 2023), which corresponds to several proceedings addressed by the Company.

Civil and labor proceedings

As of December 31, 2024, certain civil and labor lawsuits have been filed against the Company for US\$9,947 (US\$7,572 as of December 31, 2023), which have been classified as probable. Contingencies classified as possible amount to US\$14,367 (US\$14,654 as of December 31, 2023) for compensations for occupational disease, refund of social benefits, payment of profit sharing, reinstatement of employees and others.

Tax proceedings

As of December 31, 2024, the Company has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT) and the Tax Court for certain tax determination resolutions, fine and interest resolutions, mainly corresponding to criteria differences in the determination of tax bases for the settlement of third-category income tax of 2015 and 2017.

As of December 31, 2024 and 2023, other tax proceedings were classified as possible, which include expenses disallowed by the National Superintendence of Tax Administration (SUNAT) for not complying with the criteria of the Tax Administration to amortize the development expenses, among other related concepts. These possible contingencies amount to US\$8,344 (US\$8,503 as of December 31, 2023).

Sanctioning administrative proceedings and contentious-administrative actions

The Company has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, Ministry of Production, Supervisory Entity of Investment in Energy and Mining (OSINERGMIN) and the Environmental Supervision and Evaluation Entity (OEFA) for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$7,210 as of December 31, 2024 (US\$8,549 as of December 31, 2023), and possible contingencies for US\$14,792 as of December 31, 2024 (US\$14,024 as of December 31, 2023).

Based on a legal and factual basis, the Company's Management and its legal advisors believe that no additional significant liabilities will arise for the Company from the final resolution of all these proceedings.

(a.2) Compañía Minera Chungar S.A.C.

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$8,076 as of December 31, 2024 (US\$9,077 as of December 31, 2023). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external legal advisors determined an amount of US\$39,972 as of December 31, 2024 (US\$38,944 as of December 31, 2023), which corresponds to several proceedings addressed by the Subsidiary.

Civil and labor proceedings

As of December 31, 2024, certain civil and labor lawsuits have been filed against Chungar for US\$2,284 (US\$1,550 as of December 31, 2023), which have been classified as probable. Contingencies classified as possible amount to US\$15,988 as of December 31, 2024 (US\$15,726 as of December 31, 2023) for payment of compensations for damages for occupational disease, refund of social benefits, and others under appeal and/or judgment process.

Tax proceedings

As of December 31, 2024, the Subsidiary has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT) and the Tax Court for certain tax determination resolutions, fine and interest resolutions.

Tax determination resolutions, fine and interest resolutions mainly correspond to criteria differences in the determination of tax bases for the settlement of third-category income tax of 2004 and 2017, according to the National Superintendence of Tax Administration (SUNAT), to the omitted payment of taxes. To this date, these proceedings have been contested at an administrative level, have been appealed to the Tax Court, and have been contested at a legal level before the Judiciary.

Finally, there are other contingencies that have derived from concept discrepancies with the Tax Administration and have been classified as possible for US\$17,697 as of December 31, 2024 (US\$17,459 as of December 31, 2023).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, Ministry of Production, OSINERGMIN and OEFA for alleged breach of several environmental standards and safety and occupational health regulations, at a level of probable contingencies for US\$5,792 as of December 31, 2024 (US\$7,527 as of December 31, 2023).

Contingencies classified as possible amount to US\$6,287 as of December 31, 2024 (US\$5,759 as of December 31, 2023).

(a.3) Empresa Administradora Cerro S.A.C.

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$6,156 as of December 31, 2024 (US\$6,208 as of December 31, 2023). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

In relation to possible contingencies, external legal advisors determined an amount of US\$6,011 as of December 31, 2024 (US\$7,057 as of December 31, 2023), which corresponds to several proceedings addressed by the Subsidiary.

Civil and labor proceedings

As of December 31, 2024, certain labor lawsuits have been filed against the Subsidiary for US\$2,407 (US\$2,328 as of December 31, 2023), which have been classified as probable. Civil and labor contingencies classified as possible amount to US\$627 as of December 31, 2024 (US\$1,241 as of December 31, 2023) for payment of compensations for damages for occupational disease, refund of social benefits, payment of production bonus, and others under appeal and/or judgment process.

Tax proceedings

As of December 31, 2024 and 2023, the Subsidiary has not yet resolved some administrative proceedings with the National Superintendence of Tax Administration (SUNAT), the Tax Court and local governments for certain tax determination resolutions, fine and interest resolutions.

Tax determination resolutions, fine and interest resolutions correspond to the omitted payment of taxes according to the National Superintendence of Tax Administration (SUNAT), as well as criteria differences in the determination of tax bases for the settlement of third-category income tax. To this date, these proceedings have been contested at an administrative level.

In addition, the Subsidiary has some tax administrative proceedings that were classified as probable contingencies and are presented in item "Provisions" of the consolidated statement of financial position for US\$678 as of December 31, 2024 (US\$688 as of December 31, 2023).

Contingencies classified as possible amount to US\$85 (US\$85 as of December 31, 2023).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental, safety, occupational health and labor safety proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, Employment and Work Promotion Ministry (National Superintendence of Labor Supervision), Ministry of Energy and Mines, Ministry of Production, OSINERGMIN and OEFA for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$3,071 as of December 31, 2024 (US\$3,192 as of December 31, 2023) and contingencies classified as possible for US\$5,299 as of December 31, 2024 (US\$5,730 as of December 31, 2023).

(a.4) Empresa Explotadora de Vinchos Ltda. S.A.C.

Based on the opinion of its external and internal legal advisors, Management has reviewed all tax, labor, civil, administrative, and other proceedings, and has determined and established a provision for probable contingencies for US\$601 as of December 31, 2024 (US\$717 as of December 31, 2023) and contingencies classified as possible for US\$424 as of December 31, 2024 (US\$1,298 as of December 31, 2023). Management and its legal advisors believe that this provision covers probable contingencies sufficiently.

Labor proceedings

As of December 31, 2024, certain labor lawsuits have been filed against the subsidiary for US\$20 (US\$20 as of December 31, 2023), which have been classified as probable.

Tax proceedings

As of December 31, 2024, some tax proceedings have been filed against the subsidiary, which include expenses disallowed by the National Superintendence of Tax Administration (SUNAT), classified as possible for US\$424 (US\$1,298 as of December 31, 2023).

Sanctioning administrative proceedings and contentious-administrative actions

The Subsidiary has not yet resolved certain environmental proceedings with the following regulatory entities: National Water Authority - Local Water Authorities, OSINERGMIN and OEFA for alleged breach of several environmental standards and the provisions of the Safety and Occupational Health Regulations, at a level of probable contingencies for US\$581 as of December 31, 2024 (US\$696 as of December 31, 2023).

(b) Guarantees

The Company and Subsidiaries have letters of guarantee with financial entities, which expired in December 2024 and were renewed until October 2025, in favor of:

- General Mining Board of the Ministry of Energy and Mines that guarantees the compliance with the applicable Mine Closure Plans of the Company and Subsidiaries for US\$122,534 (US\$114,845 in 2023).
- As of December 31, 2024, the Company does not have letters of guarantee with the National Superintendence of Tax Administration (SUNAT) to guarantee debts and obligations held with the Tax Administration (US\$10,242 (equivalent to S/38,000) in 2023).
- Third parties that guarantee the compliance with payments for the provision of services and/or others for US\$818 (comprised by S/1,476 and US\$426) and US\$7,448 (comprised by S/24,906 and US\$736) in 2023.

33. ENVIRONMENTAL OBLIGATIONS

Provision for the closure of mining units

The Congress of the Republic of Peru issued Law No. 28090 on October 14, 2003. The purpose of this Law is to regulate the obligations and procedures to be followed by mining owners for the preparation, presentation, and implementation of Mine Closure Plans, as well as the constitution of pertinent environmental guarantees, which ensure the compliance with investments, according to environmental protection, preservation, and restoration principles. The Regulations of Law No. 28090 were published on August 16, 2005.

In 2024 and 2023, the Company and Subsidiaries submitted the updates of the Mine Closure Plan of their main mining units to the Ministry of Energy and Mines and are expecting to receive the pertinent approvals of certain mining units.

As of December 31, 2024, the Company and Subsidiaries recognized a liability of US\$180,811 for all their mining units (US\$262,670 as of December 31, 2023), in relation to their obligations for future closure:

	2024	2023
	US\$000	US\$000
Mining unit		
Cerro de Pasco	37,928	34,758
Óxidos		
Chungar	21,517	48,176
Carahuacra	43,100	68,884
Andaychagua	23,614	35,554
Alpamarca	26,928	33,859
Vinchos	9,269	20,492
Ticlio	8,137	10,676
Vichaycocha	4,930	4,301
Toruna	1,535	1,760
San Sebastian	3,853	4,210
Total (Note 18)	180,811	262,670

The movement of the provision for the closure of mining units and exploration projects is presented below:

	<u>US\$000</u>
Balance as of January 1, 2023	<u><u>270,714</u></u>
Changes in estimates (Note 15)	(6,986)
Other expenses/income	633
Increase for update of present value of provision (Note 27)	3,393
Disbursements	<u>(5,084)</u>
Balance as of December 31, 2023	<u><u>262,670</u></u>
Changes in estimates (Note 15)	(72,509)
Other expenses/income	(11,228)
Increase for update of present value of provision (Note 27)	4,854
Disbursements	<u>(2,976)</u>
Balance as of December 31, 2024	<u><u>180,811</u></u>

The provision for the closure of mining units represents the present value of closure costs that are expected to be incurred between 2025 and 2057.

Changes in estimates consider the change in the rate, the modification of budgets and the deletion of contingent costs.

The estimate of costs for the closure of mining units is based on the study prepared by an independent advisor, which complies with current environmental regulations, as well as the quality requirements and standards shared by the parent. The provision for the closure of mining units mainly corresponds to activities that should be performed for the restoration of the mining unit and areas affected by mining activities. Main works to be performed are earthmoving works, revegetation works and disassembly of plants.

This estimate is highly sensitive to changes in different variables such as the discount rate and period. However, closure budgets are regularly reviewed to take into account any significant change in conducted studies.

In addition, the time when disbursements will be made will depend on Management's judgment and the useful life of the mine, which will be based on the reserves and resources of the mining units.

As of December 31, 2024, the nominal value of the provision for the closure of mining units is US\$342,867, which has been determined using the annual discount rate of 5.90%, resulting in a net present value of US\$180,811 (nominal value of US\$309,901 as of December 31, 2023, using an annual discount rate of 1.85%, resulting in a net present value of US\$262,670). The Company and Subsidiaries consider that this liability is sufficient to comply with environmental protection laws in force approved by the Ministry of Energy and Mines.

34. REMUNERATIONS PAID TO KEY PERSONNEL

The remuneration of the key personnel of the Company and Subsidiaries for the years ended December 31, 2024 and 2023 amounted to US\$15,204 and US\$11,746, respectively, and corresponds to salaries, profit sharing, benefits and social charges, bonuses and extraordinary allowances.

35. NON-MONETARY TRANSACTIONS AND STATEMENT OF CASH FLOWS

Transactions that have not resulted in cash flows were the following:

2024

- Adjustment of the mine closure provision for US\$78,883.
- Adjustment for the recovery of the impairment of long-term assets for US\$91,700.
- Adjustment of the present value of the liability with communities for US\$967.
- Assets acquired under leases for US\$6,833.
- Acquisition of property, plant, and equipment, which have not been paid yet, for US\$28,803.
- Acquisition of mining concessions, development costs and other intangibles, which have not been paid yet, for US\$18,562.
- Acquisition of exploration costs, which have not been paid yet, for US\$2,261.

2023

- Adjustment of the mine closure provision for US\$2,960.
- Adjustment for the impairment of long-term assets for US\$36,200.
- Adjustment of the present value of the liability with communities for US\$2,773.
- Assets acquired under leases for US\$1,240.
- Acquisition of property, plant, and equipment, which have not been paid yet, for US\$28,283.
- Acquisition of mining concessions, development costs and other intangibles, which have not been paid yet, for US\$18,215.
- Acquisition of exploration costs, which have not been paid yet, for US\$3,492.

36. LEASES

The Company as lessee

Leases are related to leases of minor machinery and equipment for up to 3 years. The Company and Subsidiaries do not have operating lease agreements that contain clauses for the review of market rentals. The Company and Subsidiaries do not have the option to buy leased assets at the expiry date of lease terms.

The amounts recognized in the statement of profit or loss for this concept were US\$41,440 and US\$42,834 in 2024 and 2023, respectively. The commitments for leases are shown below according to their expiry date:

	<u>2024</u> US\$000	<u>2023</u> US\$000
1 year or less	13,726	20,390
More than 1 to 3 years	<u>5,387</u>	<u>7,244</u>
	<u>19,113</u>	<u>27,633</u>

The carrying amount of right-of-use assets and liabilities recognized and the movements generated in the year are presented in Note 14 and Note 16, respectively.

37. SUBSEQUENT EVENTS

We are not aware of any subsequent event that has occurred between the closing date and authorization date of these consolidated financial statements, which may significantly affect them.

ISSUER

Volcan Compañía Minera S.A.A.
Av. Manuel Olgún 373, Santiago de Surco
Lima
Republic of Peru

TRUSTEE, REGISTRAR, PAYING AGENT AND TRANSFER AGENT

The Bank of New York Mellon
240 Greenwich Street
New York, New York 10286
United States of America

LUXEMBOURG LISTING AGENT

Allen Overy Shearman Sterling SCS
5 Avenue John F. Kennedy L-1855
Luxembourg

LEGAL ADVISORS TO THE ISSUER

As to New York law
Allen Overy Shearman Sterling US LLP
599 Lexington Avenue
New York, New York 10022
United States of America

As to Peruvian law
Payet, Rey, Cauvi, Pérez Abogados
Victor A. Belaunde 147, San Isidro
Lima
Republic of Peru

LEGAL ADVISORS TO THE INITIAL PURCHASERS

As to New York law
Paul Hastings LLP
200 Park Avenue
New York, New York 10166
United States of America

As to Peruvian law
Miranda & Amado Abogados S. Civil de R.L.
Avenida Jose Larco 1301, Piso 20
Miraflores, Lima 15074
Republic of Peru

INDEPENDENT AUDITORS

**Velásquez, Loli y Asociados S. Civil de R.L., member
firm of Deloitte Touche Tohmatsu Limited**

Las Begonias 441, Piso 6
San Isidro, Lima 27
Republic of Peru

**Gaveglío Aparicio y Asociados Sociedad Civil de
Responsabilidad Limitada, member firm of the
PricewaterhouseCoopers International Limited
network**

Av. Santo Toribio
Lima, 15046
Republic of Peru

